CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[872 NE2d 842, 840 NYS2d 730]

RICHARD A. WILLIAMSON, as Successor Liquidating Trustee on Behalf of LIPPER CONVERTIBLES, L.P., and LIPPER FIXED INCOME FUND, L.P., Respondent, v PRICEWATERHOUSECOOPERS LLP, Appellant.

Argued April 25, 2007; decided June 7, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 22, 2006. The Appellate Division (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, New York County (Karla Moskowitz, J.; op 2005 NY Slip Op 30084[U]), as had granted defendant's motion to dismiss plaintiff's negligence and malpractice claims with respect to audits conducted from 1995 through 1999; (2) denied the motion; and (3) reinstated such claims. The following question was certified by the Appellate Division: ''Was the order of this Court, which reversed the order of the Supreme Court, properly made?''

Williamson v PricewaterhouseCoopers LLP, 32 AD3d 179, reversed.

HEADNOTE

Limitation of Actions — Accountant Malpractice — Continuous Representation Doctrine

The continuous representation doctrine was not available to toll the limitations period applicable to an accountant malpractice action commenced in July 2004 and alleging defendant's improper audits of the financial statement of two hedge funds for the years 1995 through 1999. Plaintiff's malpractice claims accrued on the date the funds received defendant's audit opinions and were barred by the applicable three-year statute of limitations (CPLR 214 [6]). The continuous representation doctrine, pursuant to which the statute of limitations is tolled where there is a mutual understanding of the need for further representation on the specific subject matter underlying the malpractice claim, was not available. The funds had entered into annual engagements with defendant for the provision of separate and discrete audit services, and once defendant performed the services for a particular year, no further work as to that year was undertaken. Plaintiff's allegations did not establish a course of representation as to the particular problems (conditions) that gave rise to the malpractice claims. There was no allegation that defendant and the funds contemplated further representation regarding the audits, nor were the funds aware of the need for further representation as to the audits. Thus, the ''mutual understanding'' required under the doctrine did not exist.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Accountants § 21; Am Jur 2d, Limitation of Actions §§ 174, 177.

Carmody-Wait 2d, Limitation of Actions §§ 13:161, 13:315.

McKinney's, CPLR 214 (6).

NY Jur 2d, Limitations and Laches § 246; NY Jur 2d, Malpractice §§ 15, 16.

Siegel, NY Prac § 42.

ANNOTATION REFERENCE

Application of statute of limitations to actions for breach of duty in performing services of public accountant. 7 ALR5th 852.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: accountant /2 malpractice & continuous /2 representation /p toll!

POINTS OF COUNSEL

Orrick, Herrington & Sutcliffe LLP, New York City (*J. Peter Coll, Jr., Sherene D. Hannon* and *Thomas H. Godwin* of counsel), and *Andrew J. Plunkett* for appellant. I. The First Department decision should be reversed because PricewaterhouseCoopers LLP's consecutive annual audits do not amount to continuous representation which would toll the statute of limitations. (*Borgia v City of New York,* 12 NY2d 151; *Shumsky v Eisenstein,* 96 NY2d 164; *Glamm v Allen,* 57 NY2d 87; *Greene v Greene,* 56 NY2d 86; *Gordon v Magun,* 83 NY2d 881; *Young v*

New York City Health & Hosps. Corp., 91 NY2d 291; *Nykorchuck v Henriques,* 78 NY2d 255; *Massie v Crawford,* 78 NY2d 516; *Charalambakis v City of New York,* 46 NY2d 785; *Davis v City of New York,* 38 NY2d 257.) II. The First Department decision eviscerates the applicable three-year statute of limitations period. (*Chase Scientific Research v NIA Group,* 96 NY2d 20; *Santulli v Englert, Reilly & McHugh,* 78 NY2d 700; *Ackerman v Price Waterhouse,* 84 NY2d 535; *McCoy v Feinman,* 99 NY2d 295.)

Labaton Sucharow & Rudoff LLP, New York City (*Thomas A. Dubbs, Lisa Buckser-Schulz, Barry Michael Okun* and *Craig A. Martin* of counsel), for respondent. I. The First Department's decision that the applicability of the ''continuous representation'' doctrine to a series of audits is a question of fact that cannot be determined prior to the development of a full factual record should be affirmed. (*Borgia v City of New York,* 12 NY2d 151; *Ackerman v Price Waterhouse,* 252 AD2d 179; *Zwecker v Kulberg,* 209 AD2d 514; *Hall & Co. v Steiner & Mondore,* 147 AD2d 225; *Kearney v Firley, Moran, Freer & Eassa,* 234 AD2d 967; *Shumsky v Eisenstein,* 96 NY2d 164; *Greene v Greene,* 56 NY2d 86; *Muller v Sturman,* 79 AD2d 482; *McDermott v Torre,* 56 NY2d 399; *Young v New York City Health & Hosps. Corp.,* 91 NY2d 291.) II. The First Department correctly held that the ''continuous representation'' doctrine and its applicability create questions of fact. (*A.J. Temple Marble & Tile v Union Carbide Marble Care,* 87 NY2d 574; *Greene v Greene,* 56 NY2d 86; *McDermott v Torre,* 56 NY2d 399; *Shumsky v Eisenstein,* 96 NY2d 164; *Hall & Co. v Steiner & Mondore,* 147 AD2d 225; *Young v New York City Health & Hosps. Corp.,* 91 NY2d 291; *McCoy v Feinman,* 99 NY2d 295; *Nykorchuck v Henriques,* 78 NY2d 255; *Massie v Crawford,* 78 NY2d 516; *Gordon v Magun,* 83 NY2d 881.)

Willkie Farr & Gallagher LLP, New York City (*Kelly M. Hnatt* and *Matthew P. Bosher* of counsel), and *Richard I. Miller* for American Institute of Certified Public Accountants and another, amici curiae. I. The relationship between an independent auditor and its client is not susceptible to application of the continuous representation doctrine. (*Borgia v City of New York,* 12 NY2d 151; *Young v New York City Health & Hosps. Corp.,* 91 NY2d 291; *Nykorchuck v Henriques,* 78 NY2d 255; *Rizk v Cohen,* 73 NY2d 98; *Greene v Greene,* 56 NY2d 86; *Glamm v Allen,* 57 NY2d 87; *Reuben H. Donnelley Corp. v Mark I Mktg. Corp.,* 893 F Supp 285; *Shumsky v Eisenstein,* 96 NY2d 164; *Massie v*

Crawford, 78 NY2d 516; *Davis v City of New York,* 38 NY2d 257.) II. Public policy militates against subjecting auditors to an indeterminate limitations period. (*United States v Marion,* 404 US 307; *Duffy v Horton Mem. Hosp.,* 66 NY2d 473; *Connell v Hayden,* 83 AD2d 30; *Ehrlich-Bober & Co. v University of Houston,* 49 NY2d 574; *Brothers v Florence,* 95 NY2d 290; *Ultramares Corp. v Touche,* 255 NY 170.)

Wilentz, Goldman & Spitzer, P.A., Woodbridge, New Jersey (*Kevin P. Roddy* of counsel), for National Association of Shareholder and Consumer Attorneys, amicus curiae. I. The investing public places great reliance on audits. (*United States v Arthur Young & Co.,* 465 US 805.) II. The market expects continuous long-term relationships between companies and their auditors. III. Continuous use of the same auditors, while in some ways conducive to audit quality, can lead to mistakes, and then permit them to be repeated year after year.

Berman DeValerio Pease Tabacco Burt & Pucillo, Boston, Massachusetts and San Francisco, California (*Joseph J. Tabacco, Jr.,* and *Nicole Lavallee* of counsel), for Professor Ross Fuerman, amicus curiae. The contention that auditors would be subjected to unlimited liability if the continuous representation doctrine were applied to them is simply false.

OPINION OF THE COURT

JONES, J.

We are asked to determine whether the continuous representation doctrine applies to toll the limitations period applicable to plaintiff's auditing malpractice claims against defendant. In the circumstances presented, we conclude that it does not.

Facts and Procedural History

Lipper Convertibles and Lipper Fixed Income Fund (collectively, the Funds) were private investment limited partnerships (hedge funds) managed by Lipper Holdings (Management). Lipper Convertibles' primary asset was a portfolio of convertible securities. Lipper Fixed Income invested approximately 60% of its assets in Lipper Convertibles.

Beginning in or around 1990, the Funds annually engaged defendant to perform a number of accounting services with respect to the previous fiscal year, including an audit of and opinion on each Fund's year-end financial statements.[1] Management was responsible for preparing the financial statements in accordance with generally accepted accounting principles (GAAP) and representing that the statements were devoid of fraud and free of material misstatement. Defendant was responsible for performing audits on the financial statements pursuant to generally accepted auditing standards (GAAS). Defendant performed the audits by referring to the worksheets it prepared for the prior year's audits; examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by Management; and evaluating the overall financial statement presentation.

After completing its inspection of the financial statements, defendant issued unqualified opinions for the year audited, stating that the financial statements fairly represented the financial position of the Funds on December 31st of the subject year. Once the annual audit services for a particular fiscal year were complete, defendant did no further work as to that year. On February 26 and March 12, 2001, defendant issued the audit opinions on the year-end 2000 financial statements of Lipper Convertibles and Lipper Fixed Income, respectively. The 2000 audits were the last audits defendant completed on behalf of the Funds.

On January 14, 2002, two key officers of Lipper Convertibles—the comanager of the portfolio and its head of research—unexpectedly resigned in order to start their own hedge fund. In or around February 2002, Management conducted a review of the values it had placed on Lipper Convertibles' securities as of December 31, 2001 and discovered that the former portfolio manager had used an improper valuation method which materially overstated the securities holdings. Management further discovered that, due to the former portfolio manager's overstatement of Lipper Convertibles' securities holdings, the Funds reported increasingly inflated assets, capital and profits in their respective financial statements for the years 1995 through 2000.

In a letter dated February 20, 2002, Management notified the limited partners of Lipper Convertibles that a write-down in the

---

1. As part of each engagement and incident to each specific audit, defendant was required to render an opinion as to whether Lipper Convertibles' internal control structure conformed with rule 17a-5 (17 CFR 240.17a-5) promulgated pursuant to the Securities Exchange Act of 1934, and prepare tax returns for the Funds and Schedule K-1's for the Funds' limited partners.

value of the Fund's portfolio of convertible securities, as of December 31, 2001, would result in a 40% (approximately $400 million) decline in the Fund's net equity value. After this announcement, many limited partners withdrew their investments from the Funds. On March 26, 2002, Management notified the limited partners that it was dissolving the Funds and began the winding up process. As part of this process, Management, the liquidating trustee of the Funds, liquidated all securities held by the Funds. By petition dated October 3, 2002, Management commenced a proceeding to wind up the Funds in Supreme Court. On July 1, 2003, the court appointed plaintiff Richard A. Williamson as successor liquidating trustee of the Funds. On December 15, 2003, plaintiff and defendant executed a stipulation and tolling agreement (Tolling Agreement) under which they agreed that "all applicable state or federal statutes of limitations and other time-related defenses as to the Claims are tolled from December 15, 2003 through and including [June 30, 2004]."

On July 2, 2004, more than three years after defendant completed its final audits of the Funds' financial statements and issued its final opinions, plaintiff commenced this action against defendant for malpractice, among other claims, based on defendant's improper audits of the Funds' financial statements for the fiscal years 1995 through 2000. Plaintiff alleged that defendant's services for the Funds incorporated and built upon the services rendered in prior years, and were continuous and performed in the same manner and for the same purpose until early 2002. Regarding the alleged malpractice, plaintiff asserted that: (1) defendant's audits were not conducted in accordance with GAAS; (2) defendant, beginning with its audits of the Funds' 1995 financial statements, ignored blatant errors in the portfolio manager's valuation of Lipper Convertibles' securities holdings and took as its starting point for each year's audit the materially incorrect figures it had certified in the previous year; (3) although defendant was aware of these errors, instead of advising Management, it falsely represented to the Funds' limited partners year after year that the Funds' financial statements fairly represented the value of the portfolios for Lipper Convertibles and Lipper Fixed Income, and that the statements complied with GAAP; and (4) as a result, the Funds reported increasingly inflated assets, capital and profits in their financial statements year after year, with each year's statements relying and building upon the errors of the prior year.

Defendant filed a pre-answer motion to dismiss the complaint, arguing that plaintiff's malpractice claims were time-barred by the three-year statute of limitations applicable to claims of professional malpractice (*see* CPLR 214 [6]).[2] Plaintiff countered that the statute of limitations should be tolled under the ''continuous representation'' doctrine because each audit was one step in the continuous and interrelated service defendant provided to the Funds over a 12-year period (from 1990 until it was discharged in February 2002).

Supreme Court granted defendant's motion to dismiss, in part, holding that plaintiff's malpractice claims were time-barred (*see* CPLR 203 [a]). The court stated: ''[T]he annual audits form the only basis for plaintiff's claims. Taken together, plaintiff's claims underscore that the audits [defendant] performed constituted the continuation of a general professional relationship. Those audits are insufficient to toll the statute of limitations under the continuous representation doctrine'' (2005 NY Slip Op 30084[U], at *13).

The Appellate Division reversed, with two Justices dissenting (32 AD3d 179 [2006]). The majority reinstated the malpractice claims and held that Supreme Court ''should have given plaintiff the opportunity to develop through discovery, and to establish, the asserted fact that each audit was merely a step in a continuous and interrelated service that [defendant] provided through the years in question'' (*id.* at 181). The dissenting Justices concluded that, ''[i]nasmuch as these were discrete audits conducted on a year-to-year basis, the continuous representation doctrine does not apply to alter the accrual date of these causes of action'' (*id.* at 185). The Appellate Division granted defendant leave to appeal and certified the following question: ''Was the order of this Court, which reversed the order of the Supreme Court, properly made?'' For the reasons that follow, we answer the certified question in the negative, reverse and reinstate the order of Supreme Court.

Discussion

An action for professional malpractice must be commenced within three years of the date of accrual (*see* CPLR 214 [6]). A claim accrues when the malpractice is committed, not when the

---

2. During oral argument on this motion, defendant acknowledged that plaintiff's malpractice claims based on the 2000 audits were timely under the Tolling Agreement. Thus, defendant only moved on the claims based on the years 1995 through 1999.

client discovers it (*see e.g. Glamm v Allen*, 57 NY2d 87, 93 [1982], citing *McDermott v Torre*, 56 NY2d 399 [1982]).

In *Ackerman v Price Waterhouse* (84 NY2d 535 [1994]), a case involving an accounting partnership's alleged negligence and professional malpractice in the preparation of annual tax returns, we held that an accounting malpractice claim ''accrues upon the client's receipt of the accountant's work product since this is the point that a client reasonably relies on the accountant's skill and advice'' (*id.* at 541). This is the point ''when all the facts necessary to the cause of action have occurred and an injured party can obtain relief in court'' (*id.*). Here, plaintiff's malpractice claims for the 1995 through 1999 audits accrued on the date the Funds received defendant's audit opinions (i.e., in February or March 1996, 1997, 1998, 1999 and 2000). The limitations period for the claim regarding the 1999 audits ran in March 2003. Because this action was not commenced until July 2, 2004, more than a year later, plaintiff's malpractice claims for the years ending 1995 through 1999 are time-barred unless the ''continuous representation'' doctrine applies.

This case presents our first opportunity to determine the applicability of the continuous representation doctrine in an accounting context. In making this determination, we are guided, in part, by our ''continuous treatment'' jurisprudence.

The continuous treatment doctrine was first recognized in medical malpractice cases (*see Borgia v City of New York*, 12 NY2d 151 [1962]), and is codified in CPLR 214-a. The statute provides that an action for medical malpractice must be commenced within $2^1/_2$ years from the date of the ''act, omission or failure complained of or last treatment where there is continuous treatment for the same illness, injury or condition which gave rise to the said act, omission or failure'' (CPLR 214-a). Thus, under the continuous treatment doctrine, ''when the course of treatment which includes the wrongful acts or omissions has run continuously and is related to the same original condition or complaint,'' the limitations period does not begin to run until the end of the treatment (*Borgia*, 12 NY2d at 155). A patient's ''treatment,'' for purposes of the doctrine, ''does not necessarily terminate upon a patient's last visit if further care or monitoring of the condition is 'explicitly anticipated by both physician and patient' '' (*Young v New York City Health & Hosps. Corp.*, 91 NY2d 291, 296 [1998], quoting *Richardson v Orentreich*, 64 NY2d 896, 898 [1985]).

The rule of ''continuous treatment'' does not apply to a continuing general relationship between patient and physician or to situations where the patient initiates routine, periodic examinations to check a condition (*see Massie v Crawford*, 78 NY2d 516, 519 [1991]; *McDermott*, 56 NY2d at 406). Similarly, a physician's failure to take action or provide services in order to protect a patient's interests, does not, standing alone, constitute treatment for purposes of tolling the limitations period (*see e.g. Young*, 91 NY2d at 296-297).

The doctrine developed out of the concern that a malpractice cause of action might expire while the plaintiff ''was still a patient receiving care and treatment related to the conditions produced by the earlier wrongful acts and omissions'' (*Borgia,* 12 NY2d at 156). Put another way, the toll ''enforce[s] the view that a patient should not be required to interrupt corrective medical treatment by a physician and undermine the continuing trust in the physician-patient relationship in order to ensure the timeliness of a medical malpractice action'' (*Young*, 91 NY2d at 296, citing *Rizk v Cohen*, 73 NY2d 98, 104 [1989]; *see Borgia*, 12 NY2d at 156). Thus, ''a patient who is not aware of the need for further treatment of a condition is not faced with the dilemma that the doctrine is designed to prevent'' (*Young*, 91 NY2d at 296).

The rule of continuous treatment, or more appropriately continuous representation, applies to other types of professionals, such as lawyers (*see Greene v Greene*, 56 NY2d 86, 94 [1982]; *Glamm*, 57 NY2d at 93). The continuous representation and treatment doctrines '' 'recognize[ ] that a person seeking professional assistance has a right to repose confidence in the professional's ability and good faith, and realistically cannot be expected to question and assess the techniques employed or the manner in which the services are rendered' '' (*Shumsky v Eisenstein*, 96 NY2d 164, 167 [2001], quoting *Greene*, 56 NY2d at 94).

Contrary to plaintiff's suggestion, the basic principles that inform the continuous treatment doctrine apply to the rule of continuous representation (*see e.g. Shumsky*, 96 NY2d at 167-168 [using the continuous treatment and representation doctrines interchangeably when discussing their common, underlying rules]; *compare Zorn v Gilbert*, 8 NY3d 933, 934 [2007] *and McCoy v Feinman*, 99 NY2d 295, 306 [2002] [holding that the ''continuous representation doctrine tolls the statute of limitations . . . where there is a mutual understanding of the need for further representation on the specific subject matter underlying the malpractice claim''] *with Young*, 91 NY2d at 296 [holding that the continuous treatment doctrine tolls the limitations period if further care or monitoring of the condition is explicitly anticipated by both physician and patient]). We do, however, agree with plaintiff that *Shumsky* is instructive in resolving the issue before us.

In *Shumsky*, defendant attorney, who was retained by plaintiffs for the express purpose of investigating, researching and *prosecuting* a breach of contract action against a third party, failed to commence the suit before the statute of limitations expired. He also never responded to plaintiffs' inquiries regarding the status of the case. Eventually, plaintiffs brought a legal malpractice action against defendant; however, as the limitations period had expired, the suit was time-barred unless saved by application of the continuous representation doctrine. This Court held that where (1) plaintiffs and defendant attorney were acutely aware of the need for further representation against the third party (i.e., they had a mutual understanding to that effect), and (2) plaintiffs were under the impression that defendant attorney was actively addressing their legal needs, the continuous representation doctrine tolled the limitations period for plaintiffs' malpractice claim until plaintiffs were put on notice by defendant's failure to return calls that he withdrew from representing them (*see Shumsky*, 96 NY2d at 170-171). In so holding, we noted that ''upon signing the retainer agreement, [which essentially established a 'course of representation' for continuous representation purposes,] plaintiffs and the defendant reasonably intended that their professional relationship . . . would continue'' (*id*. at 170); and ''plaintiffs' attempt to contact defendant . . . about the status of their case and requesting a letter in response, confirm[ed] this understanding'' (*id*.). *Shumsky*, therefore, emphasizes that the nature and scope of the parties' retainer agreement (engagement) play a key role in determining whether ''continuous representation'' was contemplated by the parties.

Applying the foregoing principles, and accepting, as we must, the facts as alleged by plaintiff on this motion to dismiss, we conclude that the continuous representation doctrine is not available to toll the statute of limitations here.

Plaintiff's allegations make clear that for the years in question, the Funds entered into annual engagements with defendant for the provision of separate and discrete audit services for the Funds' year-end financial statements, and once defendant performed the services for a particular year, no further work as to that year was undertaken. Taken together, plaintiff's allegations establish defendant's failures within a continuing professional relationship, not a course of representation as to the particular problems (conditions) that gave rise to plaintiff's malpractice claims. Plaintiff fails to allege that defendant and the Funds explicitly contemplated further representation regarding the audits. Specifically, the Funds never engaged defendant to provide corrective or remedial services (e.g., to reexamine a prior year's financial statements or redo a prior year's audit). Nor were the Funds aware of the need for further representation as to the audits. Thus, the ''mutual understanding'' required under the doctrine did not exist.

Given the Funds' lack of awareness of a condition or problem warranting further representation and the fact that no course of representation was alleged, the purpose underlying the continuous representation doctrine would not be served by its application here. Thus, Supreme Court properly granted defendant's motion to dismiss with respect to the malpractice claims for audits conducted from 1995 through 1999.

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated, and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[872 NE2d 1188, 840 NYS2d 882]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUAN NIEVES-ANDINO, Also Known as JUAN ANDINO-NIEVES, Appellant.

Argued June 6, 2007; decided June 28, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 6, 2006. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Albert Lorenzo, J., on motion; Joseph Fisch, J., at trial and sentence; *see* 8 Misc 3d 1020[A], 2005 NY Slip Op 51212[U] [2005]), which had convicted defendant, upon a jury verdict, of murder in the second degree. The modification consisted of vacating the DNA databank fee. The Appellate Division affirmed the judgment as modified.

People v Nieves-Andino, 30 AD3d 1137, affirmed.

HEADNOTE

Crimes — Right of Confrontation — Admission of Victim's Excited Utterance to Police Officer

Defendant's Sixth Amendment right of confrontation was not violated by the admission into evidence of a shooting victim's answers to the responding police officer's questions as to what had happened. The officer's brief solicitation of pedigree information and information about the attacker's identity was part of the officer's reasonable efforts to assess what had happened to cause the victim's injuries and whether there was any continuing danger to the others in the vicinity. Even if the attacker had left the crime scene and no longer posed a physical threat to the victim, the officer reasonably assumed that there was an ongoing emergency. Accordingly, the victim's responses to the officer's inquiries were nontestimonial and were admissible as excited utterances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1169, 1170, 1182, 1184; AM JUR 2d, Evidence § 885.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3102, 172:3103, 172:3106, 172:3308, 172:3398, 172:3404.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law §§ 1932–1934, 2031.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Res Gestae.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: excited /2 utterance & question! /s officer /p confront!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jonathan M. Kirshbaum* and *Robert S. Dean* of counsel), for appellant. The victim's on-the-scene statement to a police officer, which was made after the incident was over and the assailant had left the scene, and which described in detail the past criminal conduct, was testimonial and barred under the Sixth Amendment pursuant to the Supreme Court's decision in *Davis v Washington* (547 US 813 [2006]). (*Crawford v Washington,* 541 US 36; *Lawrence v Chater,* 516 US 163; *People v Watson,* 14 Misc 3d 942; *United States v Clemmons,* 461 F3d 1057; *Matter of German F.,* 13 Misc 3d 642; *People v Bradley,* 8 NY3d 124; *People v Nieves,* 67 NY2d 125.)

Robert T. Johnson, District Attorney, Bronx (*Allen H. Saperstein, Joseph N. Ferdenzi* and *Nancy D. Killian* of counsel), for respondent. Defendant's claim that the statements were testimonial since there was no ongoing emergency is unpreserved for this Court's review; nor can he establish that, as a matter of law, no emergency situation existed where the seriously wounded shooting victim lay sprawled on the street, and the police arrived a scant 15 minutes after the shooting. (*People v Bradley,* 8 NY3d 124; *People v Kelly,* 56 NY2d 873; *People v Molnar,* 98 NY2d 328; *People v Knowles,* 88 NY2d 763; *People v Lyons,* 81 NY2d 753; *People v Baumann & Sons Buses, Inc.,* 6 NY3d 404; *People v Gray,* 86 NY2d 10; *People v Tutt,* 38 NY2d 1011; *United States v Clemmons,* 461 F3d 1057; *Lawrence v Chater,* 516 US 163.)

OPINION OF THE COURT

PIGOTT, J.

Jose Millares was shot in the early hours of November 28, 2000 on the Bronx street where he sold drugs. His associate Michael O'Carroll called 911. Within minutes, two police officers arrived on the scene, and immediately went to Millares, who was lying, half on the street, half on the sidewalk, between two parked cars. There was a small crowd of onlookers. Officer Doyle bent down to observe the victim more closely. He was bleeding and grimacing with pain. As soon as Officer Doyle had summoned an ambulance, he spoke with Millares, who replied in a low voice. The officer asked for, and Millares gave, his name, address and phone number. The officer then asked Millares what had happened. Millares responded that he had argued with a man named Bori, who had shot him three times, and he told the officer Bori's address. Officer Riordan, meanwhile, searched the location for shell casings, finding four discharged casings from a .380 caliber pistol.

O'Carroll had witnessed the shooting and, after Millares died of his injuries, he informed the police that he had seen defendant Juan Nieves-Andino, who was known as Bori, shoot Millares. O'Carroll knew defendant, who had sold drugs for Millares; in 1999, defendant apparently ventured out on his own, and the two men quarreled.

After being apprehended in Puerto Rico and returned to New York, defendant was charged with second-degree murder and other crimes. He moved in limine for an order excluding, as hearsay, Millares's statement that he had been shot by a man named Bori. Citing *Crawford v Washington* (541 US 36 [2004]), defendant argued that admission of the statement would violate his Sixth Amendment right to confront a witness against him. The People responded that the statement was admissible as an excited utterance and that its admission would not violate the Sixth Amendment. Supreme Court agreed with the People.

At trial, Officer Doyle testified that Millares told him he had been shot by a man named Bori, and that Millares had told him where Bori lived. O'Carroll testified that he saw defendant approach Millares, pull a .380 caliber pistol from the pouch of his "hoodie," and fire four or five shots at Millares, before running away. In addition, autopsy evidence indicated that the cause of death was complications from a gunshot wound. The jury convicted defendant of second-degree murder.

The Appellate Division agreed with Supreme Court that defendant's right of confrontation was not violated by the admission of Millares's response to the officer's questioning. A Judge of this Court granted leave to appeal, and we now affirm.

Our decision is guided by *Crawford v Washington* (541 US 36 [2004]) and *Davis v Washington* (547 US 813 [2006]). In those cases, the Supreme Court held that the Federal Confrontation Clause prohibits the "admission of testimonial statements of a witness who did not appear at trial unless [the witness] was unavailable to testify, and the defendant had had a prior opportunity for cross-examination'' (*id.* at 821). Only statements that are testimonial make the absent declarant a ''witness'' within the meaning of the Confrontation Clause (*see id.*). In *Davis*, the Supreme Court explained that statements made in response to police inquiries are *not* testimonial when the circumstances ''objectively indicat[e] that the primary purpose of the interrogation is to enable police assistance to meet an ongoing emergency'' (*id.* at 822).

Last year, in *People v Bradley* (8 NY3d 124 [2006]), we had occasion to apply the ''primary purpose of the interrogation'' analysis set forth in *Davis* to a statement, made by a woman to a police officer, that her boyfriend had assaulted her. The officer testified that, following a 911 call, he arrived at the door of an apartment to find the shaken woman who was bleeding profusely and walking with a limp. He asked her what had happened and she said her boyfriend had thrown her through a glass door. The officer then found the defendant in the apartment and observed a broken glass door. We held that ''defendant's right of confrontation was not violated by the admission into evidence of a statement made in response to a question from a police officer, where the officer's evident reason for asking the question was to deal with an emergency'' (8 NY3d at 125). Because the victim's ''statement was made when the officer could reasonably have assumed, and apparently did assume, that he had an emergency to deal with'' (8 NY3d at 128), it was not testimonial.

Defendant argues that when the assailant, having left the crime scene, no longer poses a physical threat to the victim, the primary purpose of a police officer's questioning of the victim cannot be to meet an ongoing emergency. We do not believe that *Davis* imposed such a restricted interpretation of what constitutes a continuing emergency. Whether an officer's primary reason for making an inquiry was to deal with an emergency is a fact-based question that must necessarily be answered on a case-by-case basis. Even when the assailant has fled, the circumstances of the police officer's questioning of the victim may objectively indicate that the officer reasonably assumed an ongoing emergency and acted with the primary purpose of preventing further harm.

Officer Doyle arrived at the scene of a recent shooting and, as soon as he had summoned medical help, asked the victim what had happened. Given the speed and sequence of events, the officer could not have been certain that the assailant posed no further danger to Millares or to the onlookers. His brief solicitation of pedigree information and information about the attacker's identity was part of Officer Doyle's reasonable efforts to assess what had happened to cause Millares's injuries and whether there was any continuing danger to the others in the vicinity. In other words, the primary purpose of his inquiry was to find out the nature of the attack, ''so that he could decide what, if any, action was necessary to prevent further harm'' (*Bradley*, 8 NY3d at 127). ''[T]he nature of what was asked and answered . . . viewed objectively, was such that the elicited statements were necessary to be able to *resolve* the present emergency, rather than simply to learn . . . what had happened in the past'' (*Davis*, 547 US at 827). In short, Officer Doyle, like the officer in *Bradley*, reasonably assumed that there was an ongoing emergency. It follows that Millares's responses to Officer Doyle's inquiries were nontestimonial (*see Bradley*, 8 NY3d at 128) and that their admission did not implicate defendant's right to confrontation.

Contrary to defendant's urging, Officer Doyle's questioning of Millares is distinguishable from the interrogation in the companion case to *Davis*, *Hammon v Indiana*, in which the Supreme Court held that the victim's statement was testimonial. In *Hammon*, the officers questioned a husband and wife in separate rooms following a report of domestic disturbance, and the wife filled out a battery affidavit (*see Davis*, 547 US at 820). The husband remained under the control of the police during the wife's questioning in *Hammon*, so that the police knew that the emergency had ended when they began their inquiries. By contrast, Officer Doyle had no knowledge of the assailant's whereabouts when he began questioning Millares.

Our holding today is also consistent with the Supreme Court's dictum in *Davis* that statements made by a victim of domestic violence to a 911 operator might be testimonial if they were made after the victim told the operator that the assailant had fled (*see Davis*, 547 US at 828-829). When a 911 operator or a police officer justifiably believes that the assailant no longer poses a threat to the victim, the purpose of his or her interrogation of the victim may ''evolve'' from dealing with an ongoing emergency to establishing past events with a view to later criminal prosecution (*see Davis*, 547 US at 828). On this record, however, the initial purpose of Officer Doyle's inquiry did not change.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (concurring). I agree with the majority that the Appellate Division's order upholding defendant's conviction should be affirmed, and that Millares's statements regarding his pedigree information were nontestimonial. I write separately, however, because the circumstances objectively indicate that Millares's statements concerning defendant's identity, address and past conduct were not elicited by an interrogation designed to assist Officers Doyle and Riordan in meeting an ongoing emergency. To the contrary, they indicate that the primary purpose of the interrogation was to establish or prove past events potentially relevant to a later criminal prosecution. Accordingly, these statements were testimonial under *Crawford v Washington* (541 US 36 [2004]) and *Davis v Washington* (547 US 813 [2006]), and defendant's right of confrontation was violated when the trial court admitted these statements. Nevertheless, I conclude that this error was harmless beyond a reasonable doubt.

I

Officers Doyle and Riordan both testified that on November 28, 2000, at about 4:14 A.M., they received a distress call over their radio stating that a man had been shot at 176th Street and Clay Avenue in the Bronx. Upon arriving at that location, both police officers exited their vehicle. Officer Doyle testified that he ''went over to the victim, who was laying down.'' Officer Riordan provided more detail as to what he and Officer Doyle did as they exited their vehicle. At trial, the following exchange took place:

> ''[PEOPLE]: What, if anything, did you observe your partner do after you parked your car?
>
> ''[OFFICER RIORDAN]: Both my partner and myself walked over towards the crowd and I looked down and I saw a male laying down on the sidewalk.
>
> ''[PEOPLE]: What did your partner do?
>
> ''[OFFICER RIORDAN]: My partner kneeled down next to the person laying down . . . .
>
> ''[PEOPLE]: What did you notice about the person, what else?

> ''[OFFICER RIORDAN]: He was moaning loudly. I believe I heard people in the crowd, one or two saying, you know, that he was shot.
>
> ''[PEOPLE]: Okay. And what, if anything, did you do?
>
> ''[OFFICER RIORDAN]: Well, upon hearing that[,] I immediately turned around and turned my flashlight on and started looking on the ground around the general area for any shell casings.''

Officer Riordan also testified that he left Officer Doyle with Millares.

Before speaking to Millares, Officer Doyle had an opportunity to observe that Millares was conscious, bleeding and grimacing in pain. Officer Doyle, who was trained to administer CPR, determined that he could not render any medical assistance to Millares. At trial, he was asked why he could not render medical assistance, to which he responded: ''For the seriousness of his injury, I'm not trained to give assistance. I could make things worse.'' Instead, Officer Doyle ''called for an ambulance to respond to [a] man shot.'' After calling the ambulance, Officer Doyle, who testified that he ''wanted to get some information from [Millares],'' bent down on one knee and began to question Millares. Officer Doyle asked Millares for pedigree information (his name, age, address and phone number) and then asked what happened. According to Officer Doyle's testimony, Millares said he had an argument with defendant (whom he identified by his nickname ''Bori'') and ''Bori shot him three times.'' Millares also gave Officer Doyle specific information about where defendant resided. The following testimony was elicited at trial:

> ''[PEOPLE]: Did the victim ever tell you where this person Bori lived?
>
> ''[OFFICER DOYLE]: I don't recall. I can't remember.
>
> ''[PEOPLE]: Would something refresh your memory?
>
> ''[OFFICER DOYLE]: Yes, yes.
>
> ''[PEOPLE]: I ask the witness be shown this piece of paper. . . .
>
> ''[PEOPLE]: Does that refresh your recollection?
>
> ''[OFFICER DOYLE]: Yes.
>
> ''[PEOPLE]: And did the victim, Jose Millares, indicate to you where this person Bori lived?

"[OFFICER DOYLE]: Yes.

"[PEOPLE]: Where was that?

"[OFFICER DOYLE]: 1818 Clay Avenue, Apartment 1A."

After the ambulance came and went, Officer Doyle put up crime scene tape and cordoned off the area. When the detectives arrived on the scene, he gave them the information he had received from Millares.

II

The question before this Court is whether, objectively considered, Officer Doyle's questioning of Millares produced testimonial statements. As explained by the Supreme Court in *Davis*, "[statements] are testimonial when the circumstances *objectively* indicate that there is no . . . ongoing emergency, and that the *primary purpose* of the interrogation is to establish or prove past events potentially relevant to later criminal prosecution" (547 US at 822 [emphasis added]). Here, it is clear from the facts and circumstances that Officer Doyle's interrogation of Millares was part of an investigation into past criminal conduct. One need only consider the actions of Officers Doyle and Riordan upon arriving on the scene to determine that they were not faced with an ongoing emergency or a concern of a future attack by the assailant (nor was there any indication that the assailant was still on the scene).

Right after Officers Doyle and Riordan came upon the crime scene, Officer Riordan immediately began to look for and recover evidence. Officer Doyle, on the other hand, initially sought to ensure Millares's safety. Although Officer Doyle could not render medical assistance to Millares, he called an ambulance. However, as soon as he made that call, he could do nothing further for Millares except find out Millares's pedigree information, which could assist the ambulance workers, and stay with him until the ambulance arrived. At this point, although Millares was in extremis, Officer Doyle's focus properly shifted from managing an emergency to investigating a past crime and gathering key information such as where defendant resided. Put differently, because it was objectively apparent that the emergency (i.e., the threat from the assailant) had passed, when Officer Doyle asked "what happened," he was not trying to determine "what is happening." Unlike the police officer in *People v Bradley* (8 NY3d 124 [2006]), Officer Doyle asked "what happened'' not as a means of finding out what caused Millares's injuries or determining what action needed to be taken in order to prevent further harm to Millares. Officer Doyle already had the answers to those questions before he spoke to Millares.

Thus, Officer Doyle's interrogation of Millares regarding the crime committed against him, although completely appropriate and necessary, elicited testimonial statements—i.e., statements one would expect a witness to make at trial—which are subject to the constraints of the Confrontation Clause. As stated by the *Davis* Court:

> ''Police investigations themselves are, of course, in no way impugned by our characterization of their fruits as testimonial. Investigations of past crimes prevent future harms and lead to necessary arrests. While prosecutors may hope that inculpatory 'nontestimonial' evidence is gathered, this is essentially beyond police control. Their saying that an emergency exists cannot make it be so. The Confrontation Clause in no way governs police conduct, because it is the trial *use* of, not the investigatory *collection* of, *ex parte* testimonial statements which offends that provision. But neither can police conduct govern the Confrontation Clause; testimonial statements are what they are'' (547 US at 832 n 6).

Recognizing that police officers at a crime scene may shift their focus from addressing an emergency to conducting an investigation, *Davis* and *Bradley* contemplate that police interrogations can yield nontestimonial and/or testimonial statements based on the circumstances of the particular case.* Here, the majority's view—that all of the statements made by Millares to Officer Doyle were nontestimonial—fails to follow the Supreme Court's holding in *Davis* that what ''the circumstances objectively indicate'' about the purpose of a particular interrogation is controlling. The circumstances in this case do not objectively indicate that the primary purpose of the interrogation was at all times to assist the police in dealing with an ongoing emergency. In fact, the very existence of an ongoing emergency is belied by the trial testimony of Officers Doyle and Riordan, as well as their collective conduct at the crime scene.

* Accordingly, defendant's unduly restrictive view of what constitutes an ongoing emergency (*see* majority op at 15) is unavailing.

III

Violations of a criminal defendant's Sixth Amendment right of confrontation are subject to a constitutional harmless error analysis (*see People v Eastman*, 85 NY2d 265, 276 [1995]). Unless the People show that the error is ''harmless beyond a reasonable doubt,'' such error requires reversal of the conviction and a new trial (*Eastman*, 85 NY2d at 276). ''Such errors are considered harmless when, in light of the totality of the evidence, there is no reasonable possibility that the error affected the jury's verdict'' (*People v Douglas*, 4 NY3d 777, 779 [2005], citing *People v Crimmins*, 36 NY2d 230, 240-241 [1975]). In deciding whether the People have met their burden for establishing harmlessness, a reviewing court must ''consider both the overall strength of the case against defendant and the importance [of the improperly admitted evidence to that case]'' (*People v Goldstein*, 6 NY3d 119, 129 [2005]).

Here, although it was error to admit Millares's statements concerning defendant's identity, address and past conduct, there was no reasonable possibility that the error contributed to defendant's conviction. O'Carroll's testimony at trial described the shooting in great detail. Further, much of O'Carroll's testimony was corroborated by other evidence presented at trial. For example, O'Carroll testified that defendant, a man he knew very well, drew a .380 caliber automatic pistol from his ''hoodie'' pocket and fired three shots at Millares. According to O'Carroll, Millares fell wounded, but defendant kept firing until the weapon jammed. O'Carroll's description of how defendant ''unjammed'' the pistol was corroborated by the People's ballistic expert at trial. O'Carroll also detailed how defendant stood ''[r]ight on top of [Millares]'' and twice fired his gun again after the wounded victim had fallen to the ground and crawled a few feet. One of the two bullets fired by defendant ricocheted off the floor of nearby truck and also hit Millares. O'Carroll's testimony on this point was corroborated by the medical examiner who testified that the three bullet wounds sustained by the victim were consistent with a gunman standing over a prostrate victim and pointing the gun down at him. O'Carroll also testified that after the shooting, he saw Millares bleeding from the back. According to the medical examiner, Millares was shot in the back.

In light of O'Carroll's testimony and the corroborating evidence presented at trial, there was no reasonable possibility that the trial court's erroneous admission of the abovementioned statements influenced the jury's verdict. Thus, the

People have met their burden for establishing that the error was harmless beyond a reasonable doubt.

Chief Judge KAYE and Judges GRAFFEO and READ concur with Judge PIGOTT; Judge JONES concurs in result in a separate opinion in which Judges CIPARICK and SMITH concur.

Order affirmed.

[874 NE2d 706, 842 NYS2d 742]

MAYOR OF THE CITY OF NEW YORK, Appellant, v COUNCIL OF THE CITY OF NEW YORK, Respondent, and LILLIAN ROBERTS, as Executive Director of District Council 37, AFSCME, AFL-CIO, et al., Intervenors-Respondents.

Argued April 24, 2007; decided June 12, 2007

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 5, 2006. The Appellate Division, with two Justices dissenting, affirmed an order and judgment (one paper), of the Supreme Court, New York County (Doris Ling-Cohan, J.; op 6 Misc 3d 1022[A], 2005 NY Slip Op 50152[U]), which had (1) denied plaintiff's motion for summary judgment; (2) granted cross motions for summary judgment by defendant Council of the City of New York and the intervenors-defendants; and (3) declared Local Law Nos. 18 and 19 (2001) of the City of New York valid and enforceable.

Mayor of City of N.Y. v Council of City of N.Y., 38 AD3d 89, affirmed.

HEADNOTES

Local Laws — Preemption by State — Collective Bargaining — Exemption of Certain Employees from Requirement of Citywide Bargaining

1. Local Law Nos. 18 and 19 (2001) of the City of New York, which gave certain New York City Fire Department employees the status of "uniformed" fire service members for collective bargaining purposes, thereby exempting them from the requirement of citywide bargaining on certain subjects pursuant to New York City's Collective Bargaining Law (Administrative Code of City of NY § 12-307 [a] [2]), were not preempted by the Taylor Law (Civil Service Law § 200 *et seq.*). The Taylor Law permits local governments to enact their own counterparts to certain sections of the Taylor Law, and thus to displace the Taylor Law to that extent (Civil Service Law § 212). In prescribing (as to certain issues) the procedure by which agreements may be reached—bargaining with the unions representing the employees at issue, rather than bargaining with unions representing a majority of employees subject to the citywide career and salary plan—Local Laws 18 and 19 were not inconsistent with the Taylor Law's definition of "agreement" (Civil Service Law § 201 [12]). The regulation of bargaining procedures generally, and specifically the procedure by which bargaining units are determined, is a proper subject of local legislation (*see* Civil Service Law § 206 [1]).

Municipal Corporations — Home Rule Powers — Local Laws Exempting Certain Employees from Requirement of Citywide Bargaining — Mandatory Referendum Not Required

2. It was within the power of the Council of the City of New York to enact without referendum Local Law Nos. 18 and 19 (2001) of the City of New York,

which gave certain New York City Fire Department employees the status of "uniformed" fire service members for collective bargaining purposes, thereby exempting them from the requirement of citywide bargaining on certain subjects pursuant to New York City's Collective Bargaining Law (Administrative Code of City of NY § 12-307 [a] [2]). Local Laws 18 and 19 did not curtail any power of the Mayor of the City of New York within the meaning of Municipal Home Rule Law § 23 (2) (f) or New York City Charter § 38 (5). The requirement of a referendum for legislation that "curtails any power of an elective officer" must be read as applicable only to legislation that impairs a power conferred on the officer as part of the framework of local government. As a general rule, a law that merely regulates the operations of city government in collective bargaining or in some other area, is not a curtailment of an officer's power. The Mayor's power in the New York City governmental structure was unimpaired by Local Laws 18 and 19.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 9–11, 19, 21; AM JUR 2d, Labor and Labor Relations § 517; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 132, 245.

MCKINNEY'S, Civil Service Law § 201 (12); § 206 (1); § 212; Municipal Home Rule § 23 (2) (f).

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 431, 436, 442; NY JUR 2d, Elections § 717.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Collective Bargaining; Mayor; Municipal Corporations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: employee /s collective /2 bargaining & pre-empt! /s taylor

---

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Alan G. Krams, Mordecai Newman, Leonard Koerner, Spencer Fisher, Larry A. Sonnenshein* and *Tal Golomb* of counsel), for appellant. I. Municipal Home Rule Law § 23 (2) (f) and New York City Charter § 38 (5) provide that any local law that curtails "any power" of an elective officer shall be subject to a mandatory referendum. The Appellate Division majority acknowledges that Local Law Nos. 18 and 19 (2001) of the City of New York curtail mayoral power. It follows that the referendum requirement should apply to those local laws. (*Matter of*

Fogarty v Warden, 191 Misc 916, 273 App Div 910, 297 NY 963; *Matter of Heeran v Scully,* 135 Misc 874, 229 App Div 822, 254 NY 344; *Morin v Foster,* 45 NY2d 287; *Shilbury v Board of Supervisors of County of Sullivan,* 54 Misc 2d 979; *Matter of Bauch v City of New York,* 21 NY2d 599; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Matter of Sacco v Maruca,* 175 AD2d 578; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.,* 2 NY3d 524; *Burke v Kern,* 287 NY 203; *Matter of Finegan v Cohen,* 275 NY 432.) II. The purported amendments undermine the Mayor's authority to negotiate the question of whether emergency medical technicians and fire alarm dispatchers are subject to ''special and unique'' circumstances. That authority derives from Civil Service Law § 201, which confers on the Mayor exclusive power to negotiate terms and conditions of municipal employment on behalf of the City of New York, and from the Collective Bargaining Law, which is itself a product of negotiations between the Mayor and municipal unions. Accordingly, the Taylor Law preempts the purported amendments' curtailment of the Mayor's bargaining authority. (*Matter of Doyle v City of Troy,* 51 AD2d 845; *Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.,* 89 NY2d 370; *Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining,* 79 NY2d 120.)

Elizabeth Fine, General Counsel, Council of the City of New York, New York City (*Alvin L. Bragg, Jr.,* and *Lauren G. Axelrod* of counsel), for respondent. I. The Mayor lacks standing for his Taylor Law claim and, in any event, that claim fails, because Local Law Nos. 18 and 19 (2001) of the City of New York are valid exercises of powers that were expressly granted to the City Council by the Taylor Law. (*City of New York v Patrolmen's Benevolent Assn. of City of N.Y.,* 89 NY2d 380; *Stark v Goldberg,* 297 AD2d 203; *Sanders v Winship,* 57 NY2d 391; *Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining,* 79 NY2d 120.) II. The Appellate Division correctly held that Local Law Nos. 18 and 19 (2001) of the City of New York were validly enacted without a referendum. (*Lyles v State of New York,* 3 NY3d 396; *Palmer v Occidental Chem. Corp.,* 356 F3d 235; *Matter of Slominski v Rutkowski,* 62 NY2d 781; *Meredith v Connally,* 38 AD2d 385; *Matter of American Tel. & Tel. Co. v State Tax Commn.,* 61 NY2d 393; *Matter of Fogarty v Warden,* 191 Misc 916, 273 App Div 910, 297 NY 963; *Matter of Heeran v Scully,* 135 Misc 874, 229 App Div 822, 254 NY 344; *Sanders v Winship,* 57 NY2d 391; *Matter of DaimlerChrysler Corp. v Spitzer,* 7 NY3d 653; *Alweis v Evans,* 69 NY2d 199.)

Gladstein, Reif & Meginnis, LLP, New York City (*Walter M. Meginniss, Jr.,* and *Anjana Malhotra* of counsel), *Joan Stern Kiok* and *Eddie M. Demmings, General Counsel, District Council 37, AFSCME, AFL-CIO* (*Leonard D. Polletta* of counsel), for intervenors-respondents. I. Local Law Nos. 18 and 19 (2001) of the City of New York are consistent with the Taylor Law's explicit grant of City Council authority to enact such legislation. (*Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining,* 79 NY2d 120; *Matter of Doyle v City of Troy,* 51 AD2d 845; *Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.,* 89 NY2d 370; *Suffolk County Police Benevolent Assn. v County of Suffolk,* 273 AD2d 222.) II. Neither the City Charter nor the Municipal Home Rule Law bars the City Council's enactment of Local Law Nos. 18 and 19 (2001) of the City New York without a referendum. (*Matter of DaimlerChrysler Corp. v Spitzer,* 7 NY3d 653; *Tompkins v Hunter,* 149 NY 117; *Connecticut Nat. Bank v Germain,* 503 US 249; *United States v Ron Pair Enterprises, Inc.,* 489 US 235; *City of Amsterdam v Helsby,* 37 NY2d 19; *Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining,* 79 NY2d 120; *City of Corning v Corning Police Dept. of Corning City Unit of Steuben County Ch., Civ. Serv. Empls. Assn.,* 81 Misc 2d 294, 49 AD2d 689; *Matter of Mooney v Cohen,* 272 NY 33; *Di Prima v Wagner,* 14 AD2d 36, 10 NY2d 728; *Alweis v Evans,* 69 NY2d 199.)

Riele Morgiewicz, Albany, for New York Conference of Mayors and Municipal Officials, amicus curiae. I. The doctrine of curtailment embodied in Municipal Home Rule Law § 23 (2) is a core aspect of local democracy and may only be superseded by clear legislative direction. (*Matter of Heeran v Scully,* 135 Misc 874, 229 App Div 822, 254 NY 344; *Morin v Foster,* 45 NY2d 287; *Matter of Yevchak v Raymond,* 63 AD2d 197; *Matter of Fogarty v Warden,* 191 Misc 916, 273 App Div 910, 297 NY 963; *Matter of Radich v Council of City of Lackawanna,* 93 AD2d 559, 61 NY2d 652; *Van Amerogen v Donnini,* 78 NY2d 880; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.,* 2 NY3d 524.) II. The Appellate Division's unnatural interpretation of the term ''any power'' improperly undermines that scope of the curtailment doctrine's protection of elected officials' autonomy. (*Shilbury v Board of Supervisors of County of Sullivan,* 54 Misc 2d 979.)

Hiscock & Barclay, LLP, Albany (*Mark W. Blanchfield* and *David M. Cost* of counsel), for New York State County Executives' Association, amicus curiae. I. Local legislation that has the effect of interfering with the municipal chief executive officer's negotiating power in the employee bargaining process is preempted by the Taylor Law. II. The doctrine of curtailment is critical to the preservation of the autonomy of elected officials. The cumulative effect of the Appellate Division's decision would be to reduce such autonomy in contravention of the purpose of the doctrine. (*Loening v Seaman,* 290 NY 527; *Matter of Heeran v Scully,* 135 Misc 874, 229 App Div 822, 254 NY 344; *Morin v Foster,* 45 NY2d 287; *Shilbury v Board of Supervisors of County of Sullivan,* 54 Misc 2d 979; *Matter of Fogarty v Warden,* 191 Misc 916, 273 App Div 910, 297 NY 963; *People v Newman,* 32 NY2d 379, 414 US 1163.)

Christine Malafi, County Attorney, Hauppauge (*Ann K. Kandel* of counsel), for County of Suffolk, amicus curiae. I. The First Department incorrectly interpreted Municipal Home Rule Law § 23 (2) with respect to when a local law is subject to mandatory referendum. (*Leader v Maroney, Ponzini & Spencer,* 97 NY2d 95; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington,* 97 NY2d 86; *Matter of Friss v City of Hudson Police Dept.,* 187 AD2d 94; *Matter of R.A. Bronson, Inc. v Franklin Correctional Facility,* 255 AD2d 723; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Matter of Albano v Kirby,* 36 NY2d 526; *Matter of Heeran v Scully,* 135 Misc 874, 229 App Div 822, 254 NY 344; *Morin v Foster,* 45 NY2d 287.) II. Municipal Home Rule Law § 34 does not contain the limiting language contained in Municipal Home Rule Law § 23 (2) and thus is distinguishable from Municipal Home Rule Law § 23 (2). (*Matter of New York Pub. Interest Research Group v Giuliani,* 228 AD2d 276; *Hampton Hgts. Dev. Corp. v Board of Water Supply of City of Utica,* 140 AD2d 958; *Matter of Yevchak v Raymond,* 63 AD2d 197.)

Lorna B. Goodman, County Attorney, Mineola (*Karen Hutson* and *Dennis J. Saffran* of counsel), for County of Nassau, amicus curiae. Section 155 of the Nassau County Charter was enacted by the State Legislature and protects the County of Nassau's voters when changes are proposed that would curtail the powers of officials they elect. (*423 S. Salina St. v City of Syracuse,* 68 NY2d 474, 481 US 1008; *Elfvin v City of Buffalo,* 19 NY2d 280; *Matter of Finegan v Cohen,* 275 NY 432; *Matter of Heeran v Scully,* 135 Misc 874, 229 App Div 822, 254 NY 344; *Morin v Foster,* 45 NY2d 287.)

Stroock & Stroock & Lavan LLP, New York City (*Alan M.

Klinger, Ernst H. Rosenberger and *Beth A. Norton* of counsel), for United Federation of Teachers, Local No. 2, American Federation of Teachers, AFL-CIO and others, amici curiae. I. Local Law Nos. 18 and 19 (2001) of the City of New York represent a procedural change, as permitted by the Taylor Law, and do not affect the terms and conditions of employment for emergency medical technicians and fire alarm dispatchers. (*Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.,* 89 NY2d 370.) II. Local Law Nos. 18 and 19 (2001) of the City of New York are not subject to mandatory referendum.

OPINION OF THE COURT

SMITH, J.

The Mayor of New York City challenges the validity of two local laws, passed by the City Council over his veto, that give certain fire department employees the status of ''uniformed'' fire service members for collective bargaining purposes. Like Supreme Court and the Appellate Division, we reject the Mayor's challenge. We hold that the local laws are not preempted by State law, and that the Council had the power to enact them without a referendum.

Facts and Procedural History

Local Law Nos. 18 and 19 (2001) of the City of New York confer ''uniformed'' status on people employed by the New York City Fire Department as fire alarm dispatchers and emergency medical technicians (EMTs). The effect of the local laws is to require the Mayor to bargain with unions representing these employees, rather than with unions representing the majority of employees citywide, over such matters as overtime and ''time and leave'' rules. To make this understandable, we must summarize several features of the State and local legislation that governs collective bargaining with public employees.

In general, labor relations in the public sector in New York State are governed by the Taylor Law, Civil Service Law § 200 *et seq*. But the Taylor Law contains a local option provision, Civil Service Law § 212, which permits local governments to enact their own counterparts to certain sections of the Taylor Law, and thus to displace the Taylor Law to that extent. The State statute requires that the local laws be ''substantially equivalent'' to the ''provisions and procedures'' of the Taylor Law itself (Civil Service Law § 212 [1], [2]). As to New York City, however, the issue of substantial equivalence can be raised only in a declaratory judgment action brought by the Public Employment Relations Board (PERB) in New York County Supreme Court; unless and until such a challenge is brought and upheld, the City counterparts to Taylor Law provisions "shall be of full force and effect" (Civil Service Law § 212 [2]).

In 1967, the year of the Taylor Law's enactment, New York City exercised its local option by adopting a local law known as the Collective Bargaining Law (CBL) (Local Law No. 53 [1967] of City of NY § 2, codified as Administrative Code of City of NY § 1173-1.0 *et seq.* [now § 12-301 *et seq.*]). Later the same year, the Mayor, in an executive order issued "pursuant to the New York City Collective Bargaining Law," directed that there be citywide, rather than unit-by-unit, bargaining on certain subjects as to which citywide uniformity was thought especially important (Executive Order 52 of 1967 § 5 [a] [2], reprinted in City Record, Oct. 6, 1967, at 6341, 6342). Five years later, the substance of this provision of the Mayor's order was incorporated, by local law (Local Law No. 1 [1972] of City of NY § 10), into the CBL itself. It is now codified as New York City Administrative Code § 12-307 (a) (2), which provides:

> "*matters which must be uniform for all employees subject to the career and salary plan, such as overtime and time and leave rules, shall be negotiated only with* a certified employee organization, council or group of certified employee organizations designated by the board of certification as being the certified *representative or representatives of bargaining units which include more than fifty percent of all such employees*, but nothing contained herein shall be construed to deny to a public employer or certified employee organization the right to bargain for a variation or a particular application of any city-wide policy or any term of any agreement executed pursuant to this paragraph where considerations special and unique to a particular department, class of employees, or collective bargaining unit are involved" (emphasis added).

Thus, citywide collective bargaining is the general, though not invariable, rule as to "matters which must be uniform for all employees subject to the career and salary plan, such as overtime and time and leave rules." The 1967 executive order, however, made "uniformed" employees an exception to this rule, and the exception, like the general rule, was added to the

CBL by local law in 1972. Thus, New York City Administrative Code § 12-307 (a) (4) provides: "all matters, including but not limited to pensions, overtime and time and leave rules which affect employees in the uniformed police, fire, sanitation and correction services . . . shall be negotiated with the certified employee organizations representing the employees involved."

No party in this case disputes the validity of the 1967 local law that adopted the CBL, the 1967 executive order issued under the CBL's authority, or the 1972 local law incorporating provisions of the executive order in the CBL.

The local laws at issue here, adopted in 2001, expanded the definition of "employees in the uniformed . . . fire . . . service[ ]." They added to New York City Administrative Code § 12-307 (a) (4) language saying that, for purposes of that paragraph, "employees of the uniformed fire service shall also include" fire alarm dispatchers, EMTs and their supervisors. Thus, the 2001 local laws made the dispatchers and EMTs, like firefighters and police officers, exempt from section 12-307 (a) (2)'s requirement of citywide bargaining.

The 2001 local laws were passed over the veto of then-Mayor Giuliani, who responded by bringing this action for a declaratory judgment that the local laws are invalid, and an injunction against their enforcement. Supreme Court granted summary judgment in the Council's favor, declaring the laws valid. The Appellate Division affirmed, with two Justices dissenting. The Mayor appeals as of right, pursuant to CPLR 5601 (a), and we now affirm.

Discussion

The Mayor argues (1) that Local Laws 18 and 19 of 2001 are preempted by the Taylor Law and (2) that they were enacted in violation of mandatory referendum provisions of the Municipal Home Rule Law and the New York City Charter. We reject both arguments.

I

As we mentioned above, the Taylor Law permits local governments to supersede certain of its provisions, so long as the provisions and procedures of the local legislation are "substantially equivalent" to the ones they supersede (Civil Service Law § 212). The Mayor does not argue here that Local Laws 18 and 19 fail the substantial equivalence test, no doubt because he lacks standing to make that argument; only PERB can challenge New York City local laws on substantial equivalence grounds (Civil Service Law § 212 [2]).

[1] The Mayor does argue, however, that the local laws are inconsistent with the Taylor Law's definition of ''agreement'': ''the result of the exchange of mutual promises between the chief executive officer of a public employer and an employee organization'' (Civil Service Law § 201 [12]). It has been held, and the parties here do not dispute, that the Taylor Law prohibits local legislative bodies from usurping the executive's prerogative to agree with unions on terms and conditions of employment (*Matter of Doyle v City of Troy*, 51 AD2d 845 [3d Dept 1976]). But these local laws do not violate that prohibition. They do not dictate the substantive terms of an agreement; they prescribe (as to certain issues) the procedure by which agreements may be reached—bargaining with the unions representing dispatchers and EMTs, rather than bargaining with unions representing a majority of employees subject to the citywide career and salary plan.

The regulation of bargaining procedures generally, and specifically the procedure by which bargaining units are determined, is a proper subject of local legislation. The Taylor Law provides, in Civil Service Law § 206 (1), that a local government ''acting through its legislative body, is hereby empowered to establish procedures . . . to resolve disputes concerning the representation status of employee organizations.'' While this statute is not directly applicable here—the CBL has superseded it—it refutes the idea that procedures to determine the appropriate unit of bargaining are a subject beyond the reach of a local legislature.

The Mayor's preemption argument proves too much. If these 2001 local laws, which expanded the definition of ''uniformed'' employees to include dispatchers and EMTs, are preempted, how could the 1972 local law that exempted uniformed employees in general from citywide bargaining be valid? For that matter, how could the same local law have provided for citywide rather than unit-by-unit bargaining on certain issues? And how could the original CBL, enacted by local law in 1967, have given the Mayor authority to provide by executive order for both the general rule and the exception?

The answer offered by the Mayor, and by the dissent, is that the 1967 executive order and the 1972 local law were based on an agreement negotiated between the Mayor and the unions involved. The dissent implicitly asserts that the City's power to legislate in this area extends only to ratifying agreements the Mayor and the unions have already reached. But we see nothing in the Taylor Law, and nothing in any decision interpreting it, to suggest the existence of any such limitation on legislative authority; and we reject as unsound the principle that a legislative body's power to pass laws can be conferred or withheld by the executive's agreement, or failure to agree, with labor representatives on proposed legislation.

Local Laws 18 and 19 are not preempted by the Taylor Law.

II

[2] Municipal Home Rule Law § 23 (2) (f) says: ''Except as otherwise provided by or under authority of a state statute, a local law shall be subject to mandatory referendum if it . . . [a]bolishes, transfers or curtails any power of an elective officer.'' Similarly, New York City Charter § 38 (5) provides: ''A local law shall be submitted for the approval of the electors . . . if it . . . [a]bolishes, transfers or curtails any power of an elective officer.'' We hold that Local Laws 18 and 19 do not curtail any power of the Mayor within the meaning of these sections. We do not reach the question of whether the exception clause of Municipal Home Rule Law § 23 (2) applies.

The Mayor's theory is that Local Laws 18 and 19 curtail his power because he has less flexibility in bargaining with unions than he would have if the laws had not been passed. Before the enactment of these local laws, the Mayor could insist on bargaining with citywide representatives over the overtime and time and leave rules of fire alarm dispatchers and EMTs, unless ''special and unique'' considerations called for a different approach (Administrative Code of City of NY § 12-307 [a] [2]). The 2001 local laws require the Mayor to bargain directly with the unions ''representing the employees involved'' over all terms of their employment (Administrative Code § 12-307 [a] [4]). But this kind of limitation on the Mayor's freedom of action is not the sort of curtailment of power that triggers a mandatory referendum.

A great many local laws limit the actions the Mayor or another elected official may take. A local law requiring the recycling of solid waste prevents the Mayor from ordering the sanitation department to dispose of such waste less expensively (*see* Administrative Code § 16-305; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 188 AD2d 415 [1st Dept 1992]); a local law suspending alternate side of the street parking on certain holidays prevents the Mayor from enforcing it on those days (*see* Administrative Code § 19-163); a local law requiring an office to be open at certain hours prevents the Mayor from closing it (*see id.* § 7-623). But the Municipal Home Rule Law and the City Charter cannot sensibly be read to subject all local laws of this kind to a mandatory referendum. If they were, there would be more referendums than any community could well manage.

The requirement of a referendum for legislation that ''curtails any power of an elective officer'' must be read as applying only to legislation that impairs a power conferred on the officer as part of the framework of local government. For example, a local law limiting the power of New York City's Mayor to appoint commissioners, or to prepare a budget, or to create or abolish positions within his executive office would require a referendum (*see* NY City Charter §§ 6, 8 [f]; § 225 [a]). But, as a general rule, a law that merely regulates the operations of city government, in collective bargaining or in some other area, is not a curtailment of an officer's power.

Matter of Slominski v Rutkowski (62 NY2d 781 [1984]) illustrates the distinction. In that case, the Erie County Comptroller challenged county legislation that prohibited the filling of vacancies in certain county offices in the absence of a certificate of necessity from the County Executive. The effect of the legislation was to prevent the Comptroller from doing something she could otherwise have done—fill vacancies in her office without getting a certificate of necessity. But we held the Comptroller's powers had not been curtailed, and the referendum requirement of Municipal Home Rule Law § 23 (2) had not been triggered, because the powers given the Comptroller by the County Charter were unimpaired. We said: ''the only power the County Charter gives [the Comptroller] is the power to fill positions in her office as those positions are approved. That is unchanged. She, and no one else, may appoint whomever she chooses to the vacancies'' (62 NY2d at 785).

So here, the Mayor's power in the New York City governmental structure is unimpaired. A local law prescribing a procedural rule for collective bargaining is not an encroachment on the Mayor's role in City government. The limitation on his freedom to act is merely a consequence of legislative policymaking. By contrast, the cases the Mayor relies on all involved limitations on an elected officer's structural authority (*see Morin v Foster*, 45 NY2d 287 [1978] [limitation on power to appoint county manager held to require referendum]; *Matter of Fogarty v Warden*, 191 Misc 916 [Sup Ct, Orange County 1948], *affd* 273 App Div 910 [2d Dept 1948], *affd* 297 NY 963 [1948] [limitation on power to dismiss city manager held to require referendum]; *Matter of Heeran v Scully*, 135 Misc 874 [Sup Ct, Rensselaer County 1930], *affd* 229 App Div 822 [3d Dept 1930], *affd* 254 NY 344 [1930] [adding members to board created by city charter held to curtail power of existing members]; *Mayor of City of N.Y. v Council of City of N.Y.*, 280 AD2d 380 [1st Dept 2001] [limitation on Mayor's authority to appoint members of police investigatory board held to require referendum]).

Local Laws 18 and 19 were within the power of the City Council to enact without a referendum.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (dissenting). The Taylor Law preempts Local Law Nos. 18 and 19 (2001) of the City of New York. The provisions of the Collective Bargaining Law (CBL) that the City Council amended by these local laws delineate the scope of collective bargaining, and were initially hammered out by the Mayor and the municipal unions at the bargaining table. Expansion of the scope of collective bargaining is not within the sphere of legislative authority conferred upon the Council by section 212 of the Civil Service Law. As a result, these CBL provisions may be altered by the Mayor and the unions in future negotiations, but not by the Council in local law. To grasp why this is so requires a rudimentary understanding of the now largely forgotten origin and history of what has become New York City Administrative Code § 12-307 (a) (2) and (4), and the relationship of these local laws to the Taylor Law.

The Tripartite Agreement

The City first endorsed a policy of public sector collective bargaining in the 1950s (*see* Michael Fox, *Criteria for Public Sector Interest Arbitration in New York City: The Triumph of 'Ability to Pay' and the End of Interest Arbitration*, 46 Alb L Rev 97, 105 [1981]). By 1965, however, it had become apparent that the City did not have effective conflict-resolution procedures in place. That year, employees of the Department of Welfare conducted the first successful strike by municipal workers (*id.* at 106-107). The City's attempt to invoke the Condon-Wadlin Act (*see* former Civil Service Law § 108 [prohibiting strikes by public employees and providing severe penalties for violations]) failed to end the work stoppage, and the City was forced to submit disputed issues to an impartial fact-finding panel (46 Alb L Rev at 107). This panel resolved the immediate controversy and, more importantly, required the Mayor to appoint a tripartite panel comprised of city officials, civil service union representatives and labor relations experts to study and recommend improvements in the City's municipal labor relations procedures (*id.* at 107-108).

The tripartite panel's report, issued on March 31, 1966, included a Memorandum of Agreement (Agreement) negotiated by the Mayor's designees (the deputy mayor and the corporation counsel) on behalf of the City, and seven unions representing a majority of municipal workers (District Council 37, State, County and Municipal Workers' Union, AFL-CIO; Uniformed Firemen's Association, Local 94, AFL-CIO; Patrolmen's Benevolent Association; Plumbers' Union, Local 1, AFL-CIO; Building Service Employees' Union, AFL-CIO; Local 832, International Brotherhood of Teamsters; and Superior Officers' Council and Sergeants Benevolent Association of NY City Police Department). The Agreement set forth "procedures which the signatories . . . unanimously deem[ed] to be necessary and desirable for the effectuation of collective bargaining, and of the peaceful settlement of disputes, between the City and the organizations representing its employees."

The signatories also "unanimously recommend[ed] that the substance of the provisions of the enclosed [Agreement] be enacted into law by an Executive Order . . . , and, to the extent necessary, by a Local Law, both of which shall be uniformly applicable to all organizations representing City employees." Similarly, Section IX of the Agreement, entitled "Effective Date," provided that "[t]he foregoing provisions and procedures shall not become effective unless and until they are enacted into law by an Executive Order and a Local Law as set forth above" (*see* Hanslowe, *Labor Relations Law*, 18 Syr L Rev 247, 252 [1966] [the Agreement "represent(ed) a milestone in the development of governmental labor relations through discussion and negotiation *to be followed by ratification in the form of legislative and executive action*" (emphasis added)]). At the time, of course, there was no statewide law granting public employees the right to form unions of their choosing, free from employer interference, and giving those unions the right to negotiate with the public employer over terms and conditions of employment.

Section II, entitled ''Scope of Collective Bargaining,'' created the so-called pyramid structure or two-tiered system of bargaining whereby the City bargained on issues such as wages with the unions representing career and salary plan employees, but bargained on citywide issues such as overtime and time and leave rules and pensions ''with an employee organization or council or group of employee organizations representing more than 50% of all Career and Salary Plan employees.'' The Agreement also provided that nothing about the requirement to negotiate certain issues citywide would ''prevent the City from meeting with any employee organization representing employees who are affected for the purpose of hearing their views and proposals on such city-wide matters or pensions.'' Section II also specified that ''[t]he City shall continue to bargain on all matters within the scope of collective bargaining with organizations representing employees in the Police, Fire, Sanitation and Correction Services.''[1]

Local Law 53 and Executive Order 52 of 1967

To implement the Agreement, the Council adopted Local Law No. 53 (1967) of the City of New York, effective September 1, 1967, which created the Office of Collective Bargaining, including a seven-member Board of Collective Bargaining (two City representatives, two labor representatives, and three impartial members), and the Board of Certification. The salaries and expenses of the impartial members of the Board of Collective Bargaining were shared by the City and the Municipal Labor Committee, ''an association known by that name created pursuant to a memorandum dated March thirty-first, nineteen hundred sixty-six [i.e., the Agreement], as amended, signed by representatives of the city and certain employee organizations'' (former Administrative Code § 1173-3.0 [k], as added by Local Law 53 § 2).

Local Law 53 provided procedures for the final determination of representation questions; the mediation of contract negotiations; and impasse panels. It also set up procedures for the arbitration of grievances; for interpretation of its provisions; for final determinations as to the scope of collective bargaining

1. Relatedly, the Board of Estimate excluded these uniformed services from the career and salary plan when first adopting it in 1954 (*see* Journal of Proceedings of Meeting of Board of Estimate, July 9, 1954, at 10225 [excluding from career and salary plan ''(p)ositions in the uniformed forces of the Police, Fire, Sanitation and Correction Services'']).

under the terms of the applicable executive order, or the arbitrability of particular grievances; and for ascertaining if the City or a particular union had given full-faith compliance to the law's requirements and obligations. As for the scope of bargaining, former section 1173-3.0 (m) of the Administrative Code stated that ''[t]he term 'matters within the scope of collective bargaining' shall mean matters designated to be within the scope of collective bargaining *by executive order*'' (emphasis added). In addition, former section 1173-4.0 (a) specified in relevant part that the Administrative Code's provisions were ''applicable only'' to ''[a]ll mayoral agencies and to the employees and employee organizations thereof, *provided that the mayor elects by executive order* to make such provisions applicable to all such agencies, [employees and employee] organizations'' (emphasis added).

Concomitantly, the Mayor issued Executive Order 52 of 1967. Section 5, entitled ''Matters Within the Scope of Collective Bargaining,'' stated at section 5 (a) that the City would have the duty to bargain in good faith

> ''(2) with *a certified employee organization, council or group of certified employee organizations designated by the Board of Certification as representing more than 50 per cent of all employees subject to the Career and Salary Plan, and only with such employee organization or organizations, on City-wide matters which must be uniform for all such employees, such as overtime, and time and leave rules*. The terms agreed upon in such bargaining shall be applicable to and binding upon all such employees . . . . The foregoing shall not: (A) prevent the City from meeting with any other employee organization representing such employees for the purpose of hearing the views and requests of its members on such matters . . . ; or *[be] construed to deny the City or a certified employee organization the right to bargain for a variation* or a particular application of any city-wide policy or any term of an agreement executed pursuant to this Section 5 (a) (2) governing any City-wide matter, *where considerations unique to a particular department, class of employees, or collective bargaining unit* are involved.
>
> ''(3) *with an employee organization, council or group*

> *of employee organizations designated by the Board of Certification as representing more than 50 per cent of all employees within a department on matters which must be uniform for all employees in the department, but only if such organization, or in the case of a group or council, each organization in such group or council, has been previously certified as a City-wide bargaining representative for an appropriate bargaining unit*. The foregoing shall not prevent the City from meeting with any other employee organization representing such employees for the purpose of hearing the views and requests of its members on such matters . . . .
>
> ''(4) *with certified employee organizations representing employees in the uniformed forces of the police, fire, sanitation and correction services on City-wide matters, including, but not limited to pensions, overtime, and time and leave rules* insofar as such issues affect the particular service involved.
>
> ''(5) *on pensions for employees other than those in the uniformed forces referred to in Section 5 (a) (4) herein, only with a certified employee organization, council, or group of certified employee organizations designated by the Board of Certification as representing more than 50 per cent of all employees included in the pension system involved*'' (Executive Order 52 of 1967, dated Sept. 29, 1967, reprinted in City Record, Oct. 6, 1967, at 6342 [emphasis added]).

Thus, Executive Order 52 implemented two-tiered bargaining and exempted police, fire, sanitation and correction services employees from it, as agreed to by the Mayor and the unions in 1966 in the Agreement. Executive Order 52 repeated the language from the Agreement to the effect that citywide bargaining would not prevent the City from meeting with any union for purposes of hearing its views and proposals on citywide matters or pensions; and declared that its provisions respecting citywide bargaining should not be construed to deny the City or any union the right to bargain for a ''variation or a particular application'' of a citywide policy or term of agreement ''where considerations unique to a particular department, class of employees, or collective bargaining unit are involved.''

The Taylor Law and Chapter 24 of the Laws of 1969

In 1967, the Legislature adopted the Public Employees' Fair Employment Act, commonly known as the Taylor Law (L 1967, ch 392, adding Civil Service Law § 200 *et seq.*), a pioneering piece of legislation that significantly changed the relationship between public employees and employers in New York. Most provisions of the Taylor Law took effect on September 1, 1967, or contemporaneously with the culmination of the City's efforts to implement the Agreement through Local Law 53 and Executive Order 52.

The enacted legislation was a compromise version of a bill based on recommendations in the Final Report of the Governor's Committee on Public Employee Relations (the Taylor Committee), submitted to Governor Rockefeller on March 31, 1966 (*see* Lefkowitz, Osterman and Townley, Public Sector Labor and Employment Law, at 23 [2d ed]). "The Democratic [A]ssembly was concerned primarily with preserving the right of New York City to institute a labor relations program for its employees, which had been developed by its own committee of experts," the tripartite panel, and so, "as part of its price for passing the bill based upon the Taylor Committee report," the Assembly "obtained an amendment that authorized local governments to enact local laws substantially equivalent to the state law" (*id.*).

This amendment was Civil Service Law § 212, which allows localities to establish substantially equivalent provisions and procedures, to be administered by a local version of the Public Employment Relations Board (PERB), or a "mini-PERB," such as the City's Office of Collective Bargaining. Numerous provisions of the Taylor Law may not be superseded by local law, though. Section 212 (1) lists those statutes that remain directly applicable in mini-PERB jurisdictions, and section 201 (definitions) is among them. As a result, only those statutes *not* listed in section 212 (1) may be replaced or modified by substantially equivalent local laws. These are generally sections 206 and 207 (representation disputes), 209 (impasse resolution), and 210 (3) (strike prohibitions involving the forfeiture of a union's checkoff privileges). In addition, Civil Service Law § 205 (5) (d) confers improper practice jurisdiction upon the Board of Collective Bargaining (*see generally*, Lefkowitz at 796-797).

Municipal employee strikes continued to plague the City during the late 1960s, which eventually caused the Legislature to question the efficacy of the City's collective bargaining procedures. The Legislature ultimately enacted chapter 24 of the Laws of 1969, which required the City to make a report by August 1, 1969, to the leaders of the Senate and Assembly and PERB ‘‘of the steps taken and a plan designed to bring [its] practices . . . into substantial equivalence with [the Taylor Law],’’ particularly focusing on ‘‘making effective the jurisdiction of the office of collective bargaining, the need for a specified final step in the impasse procedures, and the relation of negotiations and impasse procedures to budget submission dates’’ (*see* L 1969, ch 24, § 11). If the City failed to submit a timely report, it would lose the benefit of Civil Service Law § 212 (2), which allowed the City's local law provisions supplanting statutes not enumerated in Civil Service Law § 212 (1) to remain effective without PERB's prior approval. This legislation also directed PERB to submit to the leaders of the Senate and Assembly by December 1, 1969, ‘‘its comments and recommendations regarding’’ the City's report and plan (L 1969, ch 24, § 11).

In fact, on August 1, 1969, the City issued a document entitled ‘‘Report Submitted Pursuant to Chapter 24, Laws of 1969, Designed to Bring New York City's Labor Relations Practices into Substantial Equivalence with the Public Employees' Fair Employment Act.’’ This report's recommendations, which addressed the three topics called out by the Legislature, were generally approved by PERB.

Local Law 1 of 1972

On December 29, 1971, the New York City Council Committee on Civil Service and Labor reported that the bill subsequently enacted as Local Law No. 1 (1972) of the City of New York, which was effective on January 12, 1972, ‘‘was introduced at the request of the Office of Collective Bargaining and represents the joint and cooperative effort by the Municipal Labor Committee, The City of New York, and the Office of Collective Bargaining’’ (2 Proceedings of Council of City of NY, from July 13, 1971 to Dec. 29, 1971, at 678). According to the Committee, the bill

> ‘‘amend[ed] the [CBL] so that the law, as originally enacted by [the] Council in 1967, together with the amendments as set forth herein, is in substantial

> equivalence with . . . 'The Taylor Law'.[2] This action complies with the mandate of the Taylor Law. In addition, the amendments reflect the four years of experience of the OCB.
>
> ''The Taylor Law[,] enacted by the State Legislature in 1967, contained a 'home rule' provision which authorized local public employers, through their legislative bodies, to adopt provisions and procedures concerning a labor relations program and policy affecting the employees of local public employers. It was pursuant to this home rule provision that the Council enacted Local Law 53—1967.
>
> ''In 1969, the State Legislature amended the Taylor Law requiring the Mayor . . . to submit to the Legislature a report of the steps taken and a plan designed to bring the labor relations practices of The City of New York into substantial equivalence with the Taylor Law. This bill is based on the Mayor's report [to PERB and the Legislature] and constitutes the plan designed to bring the City's labor relations policies, including finality, into substantial equivalence with state law'' (*id.*).

In sum, the Council ratified pursuant to Civil Service Law § 212 what the Mayor and the unions negotiated and what the State demanded from the Mayor to show substantial equivalence. As particularly relevant to this appeal, the Committee noted that the bill codified ''substantial portions of Executive Order 52 including the duty to bargain and *[the] scope of bargaining, with appropriate representatives*'' (*id.* [emphasis added]). In fact, Local Law 1 § 6 amended former section 1173-3.0 (m) of the Administrative Code to define the term ''matters within the scope of collective bargaining'' as ''matters specified in section 1173-4.3 of this chapter.'' This newly added section 1173-4.3 incorporated all the substantive provisions of section 5 of Executive Order 52 of 1967, which were grounded in the Agreement negotiated by the City and the unions in 1966. These provisions are now found in section 12-307 (a) (2) and (4) of the Administrative Code, which are at the heart of this appeal.

---

2. Local Law No. 2 (1972) of the City of New York, which also became effective on January 12, 1972, cured what the State considered to be perhaps the major deficiency in the City's collective bargaining procedures by making an impasse panel's recommendations final and binding.

Taylor Law Preemption

Section 12-307 of the Administrative Code is entitled ''Scope of collective bargaining; management rights.'' Section 12-307 (a) (2)—which derives from former section 1173-4.3 (Local Law 1 of 1972 § 10), which, in turn, derives from Executive Order 52 of 1967, which, in turn, derives from the Agreement negotiated by the City and the unions in 1966—specifies that

> ''matters which must be uniform for all employees subject to the career and salary plan, such as overtime and time and leave rules, shall be negotiated only with a certified employee organization, council or group of certified employee organizations designated by the board of certification as being the certified representative or representatives of bargaining units which include more than fifty percent of all such employees, but nothing contained herein shall be construed to deny to a public employer or certified employee organization the right to bargain for a variation or a particular application of any city-wide policy or any term of any agreement executed pursuant to this paragraph where considerations special and unique to a particular department, class of employees, or a collective bargaining unit are involved.''

Section 12-307 (a) (4) of the Administrative Code—which also derives from former section 1173-4.3 (Local Law 1 of 1972 § 10), which, in turn, derives from Executive Order 52 of 1967, which, in turn, derives from the Agreement negotiated by the City and the unions in 1966—specifies that ''all matters, including but not limited to pensions, overtime and time and leave rules which affect employees in the uniformed police, fire, sanitation and correction services, . . . shall be negotiated with the certified employee organizations representing the employees involved.''

In Local Laws 18 and 19 of 2001, the Council amended section 12-307 (a) (4) to include fire alarm dispatchers, EMTs and advanced EMTs and their respective supervisors within the definition of employees in the uniformed services. This changes the scope of collective bargaining and takes off the bargaining table the question of whether or not ''considerations special and unique'' to these classes of employees justify a variation from the citywide agreement regarding pensions, overtime and time and leave rules. In enacting Local Laws 18 and 19, the Council declared that special and unique considerations exist, allowing these employees to make an end run around collective bargaining. The Mayor correctly protests that the Council may not do this because section 201 (12) of the Civil Service Law (Taylor Law) confers upon him the exclusive authority to negotiate with municipal unions on the City's behalf, and local law may not supersede this authority (*see* Civil Service Law § 212 [1]; *see also Matter of Yonkers P.B.A. [City of Yonkers]*, 23 PERB ¶ 4519, at 4540 [1990] [city's mayor properly refused to implement pension benefit agreed to by city's legislative body and PBA and not negotiated or otherwise endorsed by mayor because ''a public employer's duty to negotiate rests not with its legislative body but with its chief executive officer, and any intrusion into the negotiations process by the legislative body must be by agreement of the parties'']).

The Council contends that the changes to the CBL brought about by Local Laws 18 and 19 are ''merely procedural'' and do not confer substantive terms and conditions of employment. To say that the scope of collective bargaining is merely procedural is to confer upon the Council powers and authority vested with the Mayor under section 201 (12) of the Civil Service Law. The Mayor has certain management rights allowing him to enforce limitations on the scope of collective bargaining. He is free to alter the scope of collective bargaining during negotiations with public employees, although he may not, of course, limit it more narrowly than the ''terms and conditions of employment'' outlined in the Taylor Law. The Mayor may negotiate away a management right by, for example, expanding the job titles exempt from the citywide agreement.

The majority intimates that the Council may similarly cede a management right because Local Laws 18 and 19 have something to do with ''the procedure by which bargaining units are determined,'' which is ''a proper subject of local legislation,'' citing Civil Service Law § 206 (1) (addressing disputes concerning the representation status of employee organizations) (majority op at 31). Supreme Court similarly tried to characterize Local Laws 18 and 19 as somehow substituting for Civil Service Law § 207, a Taylor Law provision that a local legislature may supplant with its own substantially equivalent provisions and procedures. But Local Laws 18 and 19 do not address representation status as commonly understood. Disputes over representation status generally relate to which job titles properly belong in a bargaining unit, or which union properly represents a unit (*see* McKinney's Cons Laws of NY, Book 9, Civil Service Law

§ 207, Notes of Decisions). Further, as the majority concedes, the CBL otherwise supersedes the Taylor Law's provisions for determining representation status. Importantly, section 12-309 (b) of the Administrative Code commits representation disputes to the Board of Certification, not the Council. Indeed, it is hard to imagine that any local law authorizing a legislative body (rather than a mini-PERB) to make a unit determination would ever pass muster as substantially equivalent to the Taylor Law.

Of course, the Taylor Law does not *require* a mini-PERB jurisdiction to develop its substantially equivalent provisions and procedures through collective bargaining. Historically—and uniquely—this is simply what the City chose to do to preserve the delicate balance in the complex relationships and competitive interests typifying its public sector labor management relations. As a result, section 212 may very well authorize the Council unilaterally to enact a local law amending the Administrative Code's provisions and procedures in those areas where this statute specifically grants the power to legislate (e.g., representation status or impasse procedures). In short, I am not ''implicitly assert[ing] that the City's power to legislate . . . extends only to ratifying agreements the Mayor and the unions have already reached'' (majority op at 31-32). I am asserting, however, that Local Laws 18 and 19 do not fit within any of those areas where section 212 authorizes the Council to act on its own. Specifically, they have nothing to do with the only such area even alluded to by Supreme Court and the majority—representation status.

The majority also argues that the Mayor's preemption argument ''proves too much'' because if the 2001 local law is preempted, the two-tiered system and its exemptions must have been bogus to begin with (majority op at 31). This proposition springs from the false premise that the scope of bargaining derives its existence and force from local law originating with the Council. In order to explain away a plainly inconsistent fact—that the two-tiered system and its exemptions were in place from 1967 through the end of 1971 *without* benefit of local law—the majority advances the novel notion that this was only because the original CBL ''author[ized]'' the Mayor ''to provide by executive order for both the general rule and the exception'' (majority op at 31). But Local Law 53 of 1967 simply deferred to the Mayor, stating that ''matters within the scope of collective bargaining'' were to embrace whatever he designated by executive order. Mayors had exercised authority over the scope of collective bargaining long before 1967. Indeed, Executive Order 52 of 1967 superseded Executive Order 49 of 1958, which granted various rights to employees, including the right to engage in collective bargaining (*see generally* Ruffo, *The Residue of Sovereignty in New York Public Employment*, 39 Alb L Rev 165, 174 [1975]). The two-tiered system and its exemptions, expressed in section 5 of Executive Order 52, were not rooted in the original CBL. Instead, they were called for by provisions of the Agreement negotiated between the Mayor and the unions in 1966, which the Council later ratified when it incorporated section 5 into Local Law 1 of 1972.

This was once widely acknowledged. As Eric J. Schmertz, a preeminent labor law expert and an original impartial member of the Board of Collective Bargaining observed: ''Certain provisions of the [CBL] are the result of collective bargaining relations between the City and its employees *which existed prior to the enactment of the [CBL]. One of these is a section of the [CBL] which creates various levels of bargaining*'' (Schmertz, *The New York City Fire Department Under the New York City Collective Bargaining Law*, 3 Hofstra L Rev 605, 611 [1975] [emphasis added], citing former Administrative Code § 1173-4.3).

The unions also once recognized that the Council did not have the authority unilaterally to amend section 12-307 of the Administrative Code to expand the definition of employees in the uniformed services. When the union representing district attorney investigators was frustrated in its efforts to slip free of the citywide agreement, it turned to the Legislature for relief. In 1989, the Legislature amended section 12-307 of the Administrative Code so as to include district attorney investigators among the employees in the uniformed services (*see* Budget Report on Bills, Bill Jacket, L 1989, ch 776, at 18 [recommending veto because measure is ''an attempt to legislatively attain what was not successfully negotiated in the collective bargaining process'']). To the dismay of a succession of Mayors, the Legislature may enact legislation that trumps a Mayor's position in collective bargaining. Until the majority's decision today, the Council was not similarly empowered.

In sum, the Taylor Law legitimizes and protects agreements collectively bargained between a public employer and a public employee union, whether or not the agreement's terms, or some of them, are also recited in statute or local law (*see* Civil Service Law §§ 204, 204-a). The majority concludes, however, that if a legislative body ratifies an agreement (here, the collectively bargained provisions establishing the two-tiered system), a fortiori, it must be empowered subsequently to amend what it has ratified (here, Local Laws 18 and 19). This proposition conflicts with the Taylor Law. For example, after the State finishes collective bargaining over a new contract with its public employee unions, the Legislature routinely amends the Civil Service Law to implement the agreement by (at a minimum) setting out the salary schedules that the Governor and the unions have agreed upon (*see e.g.* L 2004, ch 103). No one would ever suggest that (absent some amendment to the Taylor Law) the Legislature might have authority to enact legislation revising these salary schedules unilaterally because they were initially ratified in legislation (*see Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York*, 78 NY2d 143 [1991] [recognizing role of Legislature in ratifying collective bargaining agreements and holding that, after having once ratified multiyear agreement, Legislature may not subsequently enact legislation altering negotiated payroll schedule even though annual appropriations are required]). Similarly, the Council may not expand the exemptions from the citywide agreement just because it codified in local law the scope of bargaining provision that the Mayor and the unions agreed upon at the bargaining table.

As the Mayor laments, Local Laws 18 and 19 have put into play rights and obligations considered settled for nearly 40 years. Indeed, their enactment in 2001 likely signals the demise of the two-tiered system: in 2005, the Council adopted Local Law No. 56 (2005) of the City of New York to list numerous additional job titles in various departments, which the Council unilaterally deemed exempt from the citywide agreement. Because the Taylor Law prohibits the Council from operating as a freelance negotiator at liberty to make concessions on the scope of bargaining at the Mayor's expense, I respectfully dissent.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge SMITH; Judge READ dissents in a separate opinion.

Order affirmed, with costs.

[874 NE2d 723, 842 NYS2d 759]

GLENFORD MORRIS, Appellant, v PAVARINI CONSTRUCTION et al., Respondents. (And a Third-Party Action.)

Argued June 6, 2007; decided July 2, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 8, 2006. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, Bronx County (Mary Ann Brigantti-Hughes, J.), which had denied defendants' motion to dismiss plaintiff's claim under Labor Law § 241 (6); (2) granted the motion; and (3) dismissed that claim.

Morris v Pavarini Constr., 30 AD3d 177, reversed.

HEADNOTE

Labor — Safe Place to Work — Liability for Injury Caused by Falling Concrete Wall "Form"

In an action to recover damages for injuries sustained by plaintiff carpenter at a construction site when a partial or uncompleted "form" used in the fabrication of concrete walls fell on and injured his hand, it was premature for the Appellate Division to grant summary judgment dismissing plaintiff's Labor Law § 241 (6) claim premised upon the alleged violation of 12 NYCRR 23-2.2 (a), which requires that forms be structurally safe and properly braced or tied together so as to maintain position and shape. Section 241 (6), requiring owners and contractors to comply with rules of the Commissioner of Labor, creates a nondelegable duty making them liable for the conduct of others where the regulation in question contains a specific positive command. A more complete record was necessary both as to the nature of the object that caused the injury and the opinions of those expert in the construction of concrete walls as to whether the specific requirements imposed by the words "braced or tied together so as to maintain position and shape" could sensibly be applied to anything but completed forms.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248–250, 252, 254, 256, 258.

MCKINNEY'S, Labor Law § 241 (6).

12 NYCRR 23–2.2 (a).

NY JUR 2d, Employment Relations §§ 237–240, 301.

PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Carpenters and Carpentry; Concrete and Cement; Occupational Safety and Health.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: labor /5 regulation /s violat! & concrete /3 form

POINTS OF COUNSEL

Sacks and Sacks, LLP, New York City (*Scott N. Singer* of counsel), for appellant. I. The Appellate Division erred in dismissing plaintiff's claim under Labor Law § 241 (6). (*Rizzuto v L.A. Wenger Contr. Co.,* 91 NY2d 343; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Dodge v City of Hornell Indus. Dev. Agency,* 286 AD2d 902; *Greenidge v HRH Constr. Corp.,* 279 AD2d 400; *Baker v International Paper Co.,* 226 AD2d 1007; *Corsaro v Mt. Calvary Cemetery,* 227 AD2d 957; *Corsaro v Mt. Calvary Cemetery,* 214 AD2d 950; *Gielow v Coplon Home,* 251 AD2d 970; *Favia v Weatherby Constr. Corp.,* 26 AD3d 165; *Alvia v Teman Elec. Contr.,* 287 AD2d 421.) II. Plaintiff's claim under Labor Law § 200 should be reinstated. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539; *Rice v Board of Educ. of City of N.Y.,* 302 AD2d 578; *Lombardi v Stout,* 80 NY2d 290; *Rizzuto v L.A. Wenger Contr. Co.,* 91 NY2d 343; *Gawel v Consolidated Edison Co. of N.Y.,* 237 AD2d 138; *Freitas v New York City Tr. Auth.,* 249 AD2d 184.)

London Fischer LLP, New York City (*Daniel Zemann, Jr., Anthony D. Capasso* and *Daniel P. Mevorach* of counsel), for respondents. I. Plaintiff's Labor Law § 241 (6) claim predicated upon 12 NYCRR 23-2.2 (a) fails because that rule only applies to forms and not their preconstruction components. (*Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Gielow v Coplon Home,* 251 AD2d 970; *Corsaro v Mt. Calvary Cemetery,* 227 AD2d 957; *Monroe v City of New York,* 67 AD2d 89; *Rodriguez v New York City Hous. Auth.,* 209 AD2d 260; *Measom v Greenwich & Perry St. Hous. Corp.,* 268 AD2d 156, 95 NY2d 959; *Corsaro v Mt. Calvary Cemetery,* 214 AD2d 950; *Corsaro v Mt. Calvary Cemetery,* 258 AD2d 969.) II. 12 NYCRR 23-2.2 (a) is not sufficiently specific to support a claim under Labor Law § 241 (6). (*Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Hassett v Celtic Holdings,* 7 AD3d 364; *Petrocelli v Tishman Constr. Co.,* 19 AD3d 145; *Maday v Gabe's Contr., LLC,* 20 AD3d 513; *Sparkes v Berger,* 11 AD3d 601; *Schwab v A.J. Martini, Inc.,* 288 AD2d 654; *Piazza v Frank L. Ciminelli Constr. Co., Inc.,* 2 AD3d 1345.) III. Plaintiff's Labor Law § 200 claims are not before the Court. (*Kraska v Beck,* 277 App Div 836; *Hecht v City of New York,* 60 NY2d 57; *Graubard Mollen Dannett & Horowitz v Mos-*

kovitz, 86 NY2d 112; *New York Cent. R.R. Co. v Beacon Milling Co.,* 293 NY 218; *JMD Holding Corp. v Congress Fin. Corp.,* 4 NY3d 373; *Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539.)

OPINION OF THE COURT

SMITH, J.

The issue is whether a Labor Department regulation requiring ''forms'' to be ''braced or tied together so as to maintain position and shape'' (12 NYCRR 23-2.2 [a]) has been violated. We hold that the question cannot be answered on this record.

Facts and Procedural History

Plaintiff, a carpenter, was working on the construction of a new building in Manhattan when a large object, which he says was a ''form,'' fell on and injured his hand. The record shows that the word ''form'' can refer to several different things, but for present purposes it is a kind of mold used in the fabrication of concrete walls. Such a form is made of two metal sides with a space between them, into which liquid concrete is poured; the form is removed after the concrete has hardened.

The only description in the record of the object that fell on plaintiff is from his deposition; the description is neither clear nor complete. The object was not a completed form, but was part or all of one of a form's sides. The side was constructed of metal plates, estimated by plaintiff to be two feet wide and four feet long, joined together in a way plaintiff's testimony does not explain. Plaintiff testified that the wall that was to be shaped using the form would be very large—''like 30 feet high and maybe the same amount in length''—and so presumably the side of the form was, or was to be, of at least that size.

Plaintiff sued the construction manager and the owner of the premises, claiming among other things that the object that fell on him was rendered unsafe by the violation of a Labor Department regulation governing concrete work and that defendants were therefore liable for his injuries under Labor Law § 241 (6). Supreme Court dismissed his other claims, but denied defendants' motion for summary judgment dismissing the Labor Law § 241 (6) claim. On defendants' appeal, the Appellate Division reversed and ordered the Labor Law § 241 (6) claim dismissed. We granted leave to appeal, and now reverse the Appellate Division's order and remit the case to Supreme Court for further proceedings.

Discussion

Defendants did not direct or control the work that plaintiff was doing when he was injured. Thus, they can be liable to him only if Labor Law § 241 (6) imposes on them a nondelegable duty, making them liable for the conduct of others. Labor Law § 241 (6) says:

> ‘‘All areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places. The commissioner may make rules to carry into effect the provisions of this subdivision, and the owners and contractors and their agents for such work, except owners of one and two-family dwellings who contract for but do not direct or control the work, shall comply therewith.’’

This statute, we have explained, is, ‘‘in a sense, a hybrid’’ (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 503 [1993]). Its first sentence merely reiterates common-law standards of care, and thus cannot be a basis for civil liability by persons who are not themselves negligent; the first sentence ‘‘cannot by itself be relied upon as the source of an owner's or general contractor's nondelegable duty’’ (*id.* at 504). The second sentence, however, requiring owners and contractors to comply with rules of the Commissioner of Labor, does create a nondelegable duty—but only where the regulation in question contains a ‘‘specific, positive command[ ]’’ (*Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 297 [1978]), not where the regulation itself, using terms like ‘‘adequate,’’ ‘‘effective,’’ ‘‘proper,’’ ‘‘safe,’’ or ‘‘suitable,’’ merely incorporates ‘‘the ordinary tort duty of care’’ (*Ross*, 81 NY2d at 504).

Thus, plaintiff here can recover only if he shows a violation of a specific regulatory requirement. The regulation he relies on is 12 NYCRR 23-2.2 (a), which says in relevant part: ‘‘Forms . . . shall be structurally safe and shall be properly braced or tied together so as to maintain position and shape.’’

The words ‘‘structurally safe’’ and the adverb ‘‘properly’’ are not specific enough to be a basis for Labor Law § 241 (6) liability, but the words ‘‘braced or tied together so as to maintain position and shape’’ impose more specific requirements. Plaintiff has alleged that those requirements were violated. Defendants assert, and the Appellate Division held, that there was no violation.

The gist of defendants' argument is that the regulation is inapplicable here because it cannot apply to anything but a completed form. It does not make sense, defendants say, to require one side of a form to be "braced or tied together so as to maintain position and shape." Plaintiff disagrees, relying on the affidavit of an engineer; the affidavit uses the words "metal concrete forms" to refer to objects of the kind that injured plaintiff, and says "[t]he metal concrete forms could have been tied together via wood or straps or both to secure the metal forms to each other and provide stability." Plaintiff's engineer offers no further explanation of what he says should have been done; defendants submitted no expert testimony.

It was premature for the Appellate Division to grant summary judgment on this record. The interpretation of the regulation presents a question of law, but the meaning of specialized terms in such a regulation is a question on which a court must sometimes hear evidence before making its determination (*see Millard v City of Ogdensburg*, 274 AD2d 953, 954 [4th Dept 2000]). Here, a more complete record is necessary, both as to the nature of the object that caused the injury and the opinions of those expert in the construction of concrete walls as to whether the words of the regulation can sensibly be applied to anything but completed forms.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for proceedings consistent with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[876 NE2d 898, 845 NYS2d 212]

RELIANCE INSURANCE COMPANY, Appellant, v POLYVISION CORPORATION, Formerly Known as INFORMATION DISPLAY TECHNOLOGY, Respondent. SOVEREIGN COMMERCIAL GROUP, INC., Third-Party Plaintiff-Respondent; PIERCE & STEVENS CORPORATION et al., Third-Party Defendants.

Argued September 5, 2007; decided October 11, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''Does New York CPLR § 205(a) allow a corporation to refile an action within six months when a previous, timely-filed action has mistakenly been commenced in the name of a different, related corporate entity, and has been dismissed for naming the wrong plaintiff?''

HEADNOTE

Limitation of Actions — Commencement of Action after Termination of Prior Action

CPLR 205 (a)—which, in appropriate instances, adds a six-month grace period to the statute of limitations—does not permit a corporation to refile an action originally commenced in the name of a different, related corporate entity and subsequently dismissed for naming the wrong plaintiff. The benefit provided by the statute is explicitly, and exclusively, bestowed on ''the plaintiff'' who prosecuted the initial action. Only if ''the plaintiff'' dies, and his or her cause of action survives, may the executor or administrator of a deceased plaintiff's estate commence a new action based on the same occurrence. The plaintiff in the new lawsuit may appear in a different capacity, but the identity of the individual on whose behalf redress is sought must remain the same. To allow a different corporate plaintiff to proceed would open a new tributary in the law and breathe life into otherwise stale claims.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 171, 172.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:415, 13:422.
MCKINNEY'S, CPLR 205 (a).
NY JUR 2d, Limitations and Laches §§ 314, 315, 321, 322.
SIEGEL, NY PRAC § 52.

ANNOTATION REFERENCE

Applicability, as affected by change of parties, of statute permitting commencement of new action within specified time after failure of prior action not on merits. 13 ALR3d 848.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: limitation /p re-fil! /p corporation

POINTS OF COUNSEL

Post & Schell, P.C. (*Gary A. Wilson* and *John W. Dornberger* of the Pennsylvania bar, admitted pro hac vice, of counsel), for appellant. I. CPLR 205 (a) applies to actions by individuals and corporations. (*Chase Manhattan Bank v Wolowitz,* 272 AD2d 428; *Mendez v Kyung Yoo,* 23 AD3d 354; *Freedman v New York Hosp. Med. Ctr. of Queens,* 9 AD3d 415; *McGuire v Southside Hosp.,* 301 AD2d 505; *George v Mt. Sinai Hosp.,* 47 NY2d 170; *Krainski v Sullivan,* 208 AD2d 904; *Ballav v Deepdale Gen. Hosp.,* 196 AD2d 520; *Seidensticker v Huntington Hosp.,* 194 AD2d 718; *Mingone v State of New York,* 100 AD2d 897.) II. The fundamental purpose of CPLR 205 (a) is served by permitting Reliance Insurance Company to recommence. (*Gaines v City of New York,* 215 NY 533; *Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiterra Assoc.],* 5 NY3d 514; *Joseph Francese, Inc. v Enlarged City School Dist. of Troy,* 95 NY2d 59; *Dreger v New York State Thruway Auth.,* 81 NY2d 721; *Fleming v Long Is. R.R.,* 72 NY2d 998; *Parker v Mack,* 61 NY2d 114; *Carrick v Central Gen. Hosp.,* 51 NY2d 242; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.,* 69 NY2d 933; *George v Mt. Sinai Hosp.,* 47 NY2d 170; *Matter of Winston v Freshwater Wetlands Appeals Bd.,* 224 AD2d 160.)

Bivona & Cohen, P.C., New York City (*Anthony McNulty* and *Michael C. Modansky* of counsel), and *Gallagher, Gosseen, Faller & Crowley,* Garden City (*James F. Gallagher* of counsel), for respondent. Contrary to appellant's arguments, this Court has not and should not condone allowing this lawsuit in federal court, once dismissed and then time-barred in state court, under appellant's ''same party'' theory and its policy explanations advanced to further fundamental purposes of this statute. (*Graziano v Pennell,* 371 F2d 761; *Gaines v City of New York,* 215 NY 533; *Andrea v Arnone, Hedin, Casker, Kennedy & Drake,* *Architects & Landscape Architects, P.C. [Habiterra Assoc.],* 5 NY3d 514; *Joseph Francese, Inc. v Enlarged City School Dist. of Troy,* 95 NY2d 59; *Carrick v Central Gen. Hosp.,* 51 NY2d 242; *George v Mt. Sinai Hosp.,* 47 NY2d 170; *Quinn v Guerra,* 26 AD3d 874; *Matter of Winston v Freshwater Wetlands Appeals Bd.,* 224 AD2d 160; *Hakala v Deutsche Bank AG,* 343 F3d 111; *Allaway v McGinnis,* 362 F Supp 2d 390.)

Costello Shea & Gaffney LLP, New York City (*Steven E. Garry* of counsel), for third-party plaintiff-respondent. I. In order to obtain the benefit of CPLR 205 (a), a party must establish that it is the same plaintiff (or its representative) whose claims were dismissed in the prior action. (*Gaines v City of New York,* 215 NY 533; *Streeter v Graham & Norton Co.,* 263 NY 39.) II. The rules governing statutory construction mandate that this Court answer the certified question in the negative. (*People v Finnegan,* 85 NY2d 53; *Matter of Tristram K.,* 36 AD3d 147; *Morales v County of Nassau,* 94 NY2d 218; *Matter of Secor v City of New York,* 13 Misc 3d 1220[A], 2006 NY Slip Op 51924[U].) III. The cases cited by Reliance Insurance Company in its attempt to obtain the benefit of CPLR 205 (a) do not support its argument. (*Chase Manhattan Bank v Wolowitz,* 272 AD2d 428; *Krainski v Sullivan,* 208 AD2d 904; *Freedman v New York Hosp. Med. Ctr. of Queens,* 9 AD3d 415; *McGuire v Southside Hosp.,* 301 AD2d 505; *Carrick v Central Gen. Hosp.,* 51 NY2d 242; *George v Mt. Sinai Hosp.,* 47 NY2d 170; *Brown v Huntington Med. Group,* 238 AD2d 367; *Ballav v Deepdale Gen. Hosp.,* 196 AD2d 520; *Matter of Winston v Freshwater Wetlands Appeals Bd.,* 224 AD2d 160; *Matter of Rochester Community Sav. Bank v Board of Assessors of City of Rochester,* 248 AD2d 949.)

OPINION OF THE COURT

Chief Judge KAYE.

In this protracted dispute between a construction surety and the suppliers of allegedly deficient materials, the United States Court of Appeals for the Second Circuit asks us to determine whether CPLR 205 (a)—which, in appropriate instances, adds a six-month grace period to the statute of limitations—permits a corporation to refile an action originally commenced in the name of a different, related corporate entity and subsequently dismissed for naming the wrong plaintiff. We conclude that it does not.

Background

In 1987, the Lindenhurst School Board contracted with Park Construction to perform window and curtain wall replacement at the Lindenhurst Senior High School and Junior High School. Plaintiff Reliance Insurance Company (RIC), a Pennsylvania company, issued two bonds insuring Park's performance of those projects. During this same period, Reliance Insurance Company of New York (RNY), allegedly at the time a wholly-owned New York subsidiary of RIC, issued similar bonds with the same obligee—the Lindenhurst School District—to ensure performance of a different elementary school construction project.

In 1988, Park filed for bankruptcy and RIC assumed responsibility for completing the high school construction projects. RIC also succeeded to Park's rights under its existing contracts, including a 1987 agreement in which defendant PolyVision agreed to furnish several hundred insulated metal curtain wall panels for installation at the Lindenhurst Senior High School.

In 1990, RIC learned that these panels had prematurely begun showing signs of deterioration. The School Board asked that they be replaced, and RIC purchased new panels to complete the job. In 1994, suit for the faulty panels was commenced in state Supreme Court against PolyVision. For unknown reasons, RNY (the New York corporation) brought the action instead of the proper plaintiff, RIC. The case progressed slowly over the next decade, with certain documents exchanged but no depositions taken. Instead, these 10 years were marked by motion practice and amended complaints by RNY. RIC, however, never attempted to enter the action. The mistake in naming RNY as plaintiff appears to have been revealed during attempted intervention by a former subcontractor claiming to have inherited the claim against PolyVision.

The Appellate Division ultimately rejected the intervention, holding: "It is undisputed that this action was commenced by the wrong party; the correct plaintiff is the named plaintiff's parent corporation [RIC]" (2 AD3d 701, 702 [2d Dept 2003]). Thereafter, in 2004, PolyVision successfully sought dismissal of the complaint on the ground that RNY was not the real party in interest.

RIC then commenced the present action in the Federal District Court for the Eastern District of New York on diversity grounds, alleging that it was the surety entitled to reimbursement for the faulty panels and that, under the savings provision of CPLR 205 (a), the action was timely commenced within six months of the prior action's dismissal. PolyVision moved to dismiss on statute of limitations grounds, among others, arguing that RIC as a new, different plaintiff was not entitled to the benefit of CPLR 205 (a).

The District Court granted the motion to dismiss, holding that 205 (a) was not available to a different corporate entity that was not the original plaintiff. On appeal, the Second Circuit recognized that an "unresolved, important, and determinative issue of state law is central to this case" and certified the following question for our review: "Does New York CPLR § 205(a) allow a corporation to refile an action within six months when a previous, timely-filed action has mistakenly been commenced in the name of a different, related corporate entity, and has been dismissed for naming the wrong plaintiff?" (474 F3d 54, 60 [2007].)

Discussion

Tracing its roots to seventeenth century England, the remedial concept embodied in CPLR 205 (a) has existed in New York law since at least 1788 (*see Gaines v City of New York*, 215 NY 533, 537-538 [1915]). In its current incarnation, CPLR 205 (a) provides: "If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff, or, if the plaintiff dies, and the cause of action survives, his or her executor or administrator, may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period."

The other requirements of the section having been met here—the original action was timely commenced and terminated only for failure to name the proper party, and the new action is based on the same occurrences—the sole issue before us is whether CPLR 205 (a) allows for commencement of the new action by an entity that is different from, but related to, the original corporate plaintiff. As the Second Circuit observed, this is an open, important issue which will determine not only the pending case but also future cases.

Turning first, as we must, to the text of the statute, we note that the benefit provided by the section is explicitly, and exclusively, bestowed on ''the plaintiff'' who prosecuted the initial action. Only if ''the plaintiff'' dies, and his or her cause of action survives, may the executor or administrator of a deceased plaintiff's estate commence a new action based on the same occurrence. Outside of this representative context, we have not read ''the plaintiff'' to include an individual or entity other than the original plaintiff. In *George v Mt. Sinai Hosp.* (47 NY2d 170 [1979]), we permitted a suit to proceed under section 205 (a) even though it had been improperly commenced in the decedent's own name after her death and then properly recommenced in the administratrix's name after the statute of limitations had expired. We observed, however, that ''[u]sually, of course, the fact that one party commenced an action which is subsequently dismissed, will not serve to justify application of [CPLR 205 (a)] so as to support a later action by a different claimant'' (*id.* at 179). Similarly, in *Streeter v Graham & Norton Co.* (263 NY 39, 44 [1933]), we noted: ''To grant the right conferred by [the statute] to a different party plaintiff, representing in part different interests, would require the placing of a construction upon the section plainly beyond its intent and purpose.''

RIC acknowledges that it is a different party plaintiff but asserts that, as RNY's parent corporation, it is not entirely different; that while we have never before permitted a substitution of corporate plaintiffs, we also have never precluded it; and that the section must be read generously to advance its remedial purpose. All true, but for the following reasons of policy and precedent we reject RIC's conclusion.

Pivotal here is that, unlike the scenario in *George*, RIC is seeking to enforce its own, separate rights, rather than the rights of the plaintiff in the original action. We agree with the conclusion of the District Court that ''[t]he common thread running through cases applying CPLR 205 in cases where the error in the dismissed action lies only in the 'identity' of the plaintiff, is the fact that it is the same person or entity whose rights are sought to be vindicated in both actions'' (390 F Supp 2d 269, 273 [ED NY 2005]). As that court aptly stated, ''the plaintiff in the new lawsuit may appear in a different capacity, such as a duly appointed administrator, but the identity of the individual on whose behalf redress is sought, [must] remain[ ] the same'' (*id.*). That is the situation the Legislature addressed in CPLR 205 (a), but that is not the case here. RIC is not RNY in a different capacity.

To allow RIC to proceed also would open a new tributary in the law, presumably available to individuals as well as corporations, and breathe life into otherwise stale claims—some, like this one, going back nearly 20 years. The diligent corporate suitor, represented by counsel, is of course well advised to operate with the minimal care necessary to determine, before bringing suit, which of its family members has been wronged. That serves the corporation's interests as well as the broader interests served by the statute of limitations. In the present case, the bonds naming RIC, rather than RNY, are part of the record.

We are, moreover, mindful of the potential ramifications of a rule allowing a "different, related corporate entity" the benefit of the statutory grace period, not knowing precisely what that means or portends. What may be a genuine corporate twin or alter ego in one case could be a far-flung affiliate in another. Under these circumstances, we prefer to read CPLR 205 (a) as it was written by the Legislature and has consistently been applied by this Court.

Accordingly, the certified question should be answered in the negative.

Judges Ciparick, Graffeo, Read, Smith, Pigott and Jones concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[876 NE2d 903, 845 NYS2d 217]

LINDA A. STARK, ESQ., Respondent, v MOLOD SPITZ DESANTIS & STARK, P.C., et al., Appellants.

Argued September 4, 2007; decided October 16, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 30, 2006. The Appellate Division order, insofar as appealed from, modified, on the law, so much of an order of the Supreme Court, New York County (Marylin G. Diamond, J.; op 2004 NY Slip Op 30149[U]), as had granted defendant's motion to compel arbitration of plaintiff's second cause of action, directed the parties to proceed to arbitration on that cause of action and denied plaintiff's cross motion to stay arbitration. The modification consisted of denying defendants' motion to compel arbitration and granting plaintiff's cross motion to stay arbitration.

Stark v Molod Spitz DeSantis & Stark, P.C., 29 AD3d 481, reversed.

HEADNOTE

Arbitration — Waiver of Right to Arbitrate — Participation in Litigation

Defendant law firm did not waive its right to compel arbitration of plaintiff's claims under the parties' employment agreement by participating in a special proceeding commenced by plaintiff, after she was terminated from the firm, seeking emergency relief to allow her to continue to represent clients in pending personal injury lawsuits and resulting in a so-ordered stipulation resolving disputes over substitution of counsel in those lawsuits, the transfer of files and the timing of its reimbursement for disbursements. Defendant, having specifically reserved its right to attorneys' fees, later moved in the trial courts to recover attorneys' fees and disbursements in lawsuits covered by the stipulation and litigated to conclusion by plaintiff, and also at one point moved to enforce the stipulation. Those forays into the courthouse, cumulatively, did not as a matter of law manifest an affirmative acceptance of the judicial forum such that defendant's actions were then inconsistent with its later claim that plaintiff's employment-related claims should be arbitrated. The parties had included a mutual reservation-of-rights provision in the stipulation that preserved defendant's right under the agreement to demand arbitration. Moreover, there is no waiver of arbitration where urgent need justifies resort to the courts, and here the stipulation minimized any interruption of plaintiff's representation of her clients.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 70, 74, 129.

CARMODY-WAIT 2d, Arbitration §§ 141:113–141:115, 141:120, 141:121.

NY JUR 2d, Arbitration and Award §§ 95–97, 102, 103.

SIEGEL, NY PRAC § 595.

ANNOTATION REFERENCE

Defendant's participation in action as waiver of right to arbitration of dispute involved therein. 98 ALR3d 767.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: waiv! /3 arbitration & stipulation /p agreement /3 arbitrat!

POINTS OF COUNSEL

Molod Spitz & DeSantis P.C., New York City (*Marcy Sonneborn* of counsel), for appellants. Defendant did not waive arbitration. (*Matter of Weinrott [Carp],* 32 NY2d 190; *Matter of Smith Barney Shearson v Sacharow,* 91 NY2d 39; *Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.,* 37 NY2d 91; *Maross Constr. v Central N.Y. Regional Transp. Auth.,* 66 NY2d 341; *Matter of Siegel [Lewis],* 40 NY2d 687; *Flynn v Labor Ready,* 6 AD3d 492; *Les Constructions Beauce-Atlas v Tocci Bldg. Corp. of N.Y.,* 294 AD2d 409; *Sherrill v Grayco Bldrs.,* 64 NY2d 261; *Matter of Zimmerman [Cohen],* 236 NY 15; *Denihan v Denihan,* 34 NY2d 307.)

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* and *Diane K. Toner* of counsel), for respondent. Defendants manifested an intent to have the court settle the disputes by entering into the stipulation and by affirmatively engaging in motion practice. (*Sherrill v Grayco Bldrs.,* 64 NY2d 261; *Matter of Zimmerman [Cohen],* 236 NY 15; *Flores v Lower E. Side Serv. Ctr., Inc.,* 4 NY3d 363; *De Sapio v Kohlmeyer,* 35 NY2d 402; *Preiss/Breismeister Architects v Westin Hotel Co.-Plaza Hotel Div.,* 56 NY2d 787; *Matter of Hosiery Mfrs. Corp. v Goldston,* 238 NY 22; *Matter of Haupt v Rose,* 265 NY 108; *Weiss v Weiss,* 228 AD2d 366; *Grenadeir Parking Corp. v Landmark Assoc.,* 294 AD2d 313; *Figueroa v Flatbush Women's Servs.,* 244 AD2d 453.)

OPINION OF THE COURT

READ, J.

Beginning in 1996, plaintiff Linda A. Stark became an equity partner in defendant law firm, Molod Spitz DeSantis & Stark, P.C. (now Molod Spitz & DeSantis). In 2000, plaintiff withdrew as an equity partner and became a contract partner under the terms of an employment agreement that she negotiated with the firm. The agreement provided for either party to terminate it upon 60 days' written notice. Further, "all controversies and claims" arising out of the "transaction[s] contemplated by" the agreement or its "construction, performance or breach" were to "be determined by binding arbitration."

On April 10, 2003, the firm gave plaintiff notice of termination. On May 22, 2003, after she had allegedly removed files after business hours and arranged for individual representation of clients in several pending cases, the firm locked her out of its offices.

By order to show cause dated June 2, 2003, plaintiff brought what Supreme Court ultimately regarded as a special proceeding,[1] asking for various forms of relief against the firm. Specifically, plaintiff sought to be substituted as counsel in certain identified pending personal injury lawsuits; to compel the firm to turn over files in these and any additional lawsuits in which the client requested substitution; to specify that the firm was to be reimbursed for disbursements already made in these lawsuits, but not until each case was finally resolved; to prohibit the firm from working on any files where the client chose plaintiff as counsel in lieu of the firm; to direct the firm to forward communications addressed to plaintiff and to safeguard her possessions at its offices until she retrieved them; to pay plaintiff her salary through June 13, 2003; to pay plaintiff for unused vacation time; and to reimburse plaintiff $1,850 for expenses incurred. The firm opposed the application and cross-moved, seeking imposition of retaining and charging liens, payment based on quantum meruit, the return of files, and

---

1. Documents in the record discuss and describe this litigation, but none of the actual pleadings or papers are included except the order to show cause and the stipulation of settlement, discussed later. In a decision filed on February 6, 2004, Supreme Court commented that plaintiff "erroneously referred to" her petition as an affirmation (2004 NY Slip Op 30150[U], *1). Accordingly, plaintiff appears to have commenced this action with an order to show cause supported by her affirmation, which Supreme Court ultimately treated as the petition in a special proceeding. The record does not disclose the basis for the trial court's evident conclusion that a special proceeding (as opposed to a plenary action) was authorized under the circumstances (*see* Siegel, NY Prac § 547, at 943-944 [4th ed]).

reimbursement of $38,000 in disbursements. In its opposition papers, the firm cited the agreement's arbitration clause, but did not move to compel arbitration.

Upon the return date of the order to show cause, plaintiff and the firm's senior partner negotiated a stipulation of settlement. This handwritten ''so-ordered'' stipulation, dated June 17, 2003, promptly resolved disputes regarding pending cases in which plaintiff wished to continue to represent clients. The firm agreed to execute consents to change attorneys and to forward to plaintiff all files, communications and phone calls in the lawsuits identified in the order to show cause, as well as in any others where the client consented to a change of attorney; and plaintiff agreed to open a joint escrow account with the firm in the amount of $38,000 (less the disbursements in one specific matter) and to reimburse the firm from this account for already-made disbursements at the conclusion of each lawsuit where plaintiff was substituted as counsel. The parties committed to comply with these provisions within 48 hours; the firm reserved its right to claim a share of attorneys' fees in any case ''referred to'' in the order to show cause. Finally, the stipulation included a mutual reservation-of-rights clause, which recited that ''[t]his Stipulation should not otherwise be construed as a waiver of any rights or remedies that [plaintiff] or [the firm] may seek to obtain against one another.''

In October 2003, plaintiff commenced a plenary action against the firm and its shareholders, Frederick M. Molod, Alice Spitz and Salvatore J. DeSantis (hereafter collectively, the firm). The firm moved to dismiss the complaint or, alternatively, to stay the action and compel plaintiff to arbitrate; and plaintiff cross-moved to stay arbitration. In a decision filed on February 6, 2004, Supreme Court labeled the complaint ''a nullity'' inasmuch as it bore the same index number as the special proceeding (*id.* at *2).[2] As a result, ''there [was] no need to dismiss since no action [had] been commenced'' (*id.* at *2). Concomitantly, plaintiff's cross motion to stay arbitration was ''moot since the firm only sought arbitration in the event [the] court found the complaint to be valid'' (*id.*).

In the same decision, Supreme Court also denied the firm's motion and plaintiff's cross motion to enforce and/or set aside

---

2. The record does not include a copy of this complaint, which Supreme Court in her decision described as having asserted causes of action for ''breach of contract, violation of the New York City Human Rights Law and interference and harassment with [plaintiff's] law practice'' (*id.* at *1).

the stipulation.[3] The court took the position that the special proceeding had been terminated within the meaning of *Teitelbaum Holdings v Gold* (48 NY2d 51, 53 [1979] [“A settlement agreement entered into by parties to a lawsuit does not terminate the action unless there has been an express stipulation of discontinuance or actual entry of judgment in accordance with the terms of the settlement”]). As a result, Supreme Court advised the parties that if they “wish[ed] to set aside or enforce the stipulation,” they were required to “institute a plenary action under a new index number and may not proceed, as here, by motion in a disposed case” (2004 NY Slip Op 30150[U], at *2). Supreme Court ruled, however, that “[i]n any event, neither of the parties [had] established entitlement to the requested relief” relating to the stipulation (*id.*).

On April 1, 2004, plaintiff served a second complaint (with a newly purchased index number), which asserted five causes of action. The first cause of action alleged breach of contract; specifically, that the firm had “wrongfully terminated [plaintiff’s] partnership contract on April 10, 2003.” The second cause of action alleged gender discrimination prohibited by the New York City Human Rights Law; specifically, that the firm had discriminated, harassed and retaliated against plaintiff because of her gender and had “subjected [her] to a hostile work environment without any reasonable avenue for complaint,” all of which “had the purpose and effect of unreasonably interfering with [her] ability to obtain and perform work[ ] [and] work assignments, and created an intimidating, hostile and offensive working environment.” The third cause of action claimed that the firm had wrongfully locked plaintiff out of her office on May 22, 2003, withheld client files, worked on files after she had been chosen as client’s counsel, and refused to execute consents to change attorneys until she forced the issue through litigation. The third cause of action also alleged that the firm had in the past and continued to neglect to forward her mail and phone calls, and “subvert[ed]” her clients and prospective clients. The fourth cause of action sought “wrongfully withheld salary, vaca-

3. The record does not include a copy of these documents. Based on Supreme Court’s decision, the firm complained about how plaintiff was handling the joint escrow account, and requested that she be required to reimburse it immediately for disbursements in the cases covered by the stipulation. The firm also moved for sanctions. For her part, plaintiff accused the firm of withholding disbursement documentation from transferred case files. She sought an order vacating the provision in the stipulation for a joint escrow account.

tion pay, expense money and bonus money.'' The fifth cause of action for defamation alleged that the firm ''knowingly made false accusations about [plaintiff] in letters, and affirmations, to judges, court personnel, clients, lawyers, bankers, and other members of the community with the intent to defame, slander and assault [her], injuring her professionally and personally.''

Plaintiff claimed that as a result of the firm's conduct she had been ''severely damaged'' and had ''suffered substantial economic damage,'' including ''loss of back pay with interest and other employment related benefits, front pay, diminution in profit from her practice, loss of profit sharing, severe humiliation, embarrassment, mental anguish, sleeplessness, physical and medical harm together with psychic injury, all of which caused [her] to become physically debilitated.'' She sought compensatory and punitive damages in the amount of $10 million in the first, second, third and fifth causes of action, and $250,000 in damages in the fourth cause of action.

By notice of motion dated April 8, 2004, the firm sought an order pursuant to the Judiciary Law from the Supreme Court with jurisdiction over a personal injury lawsuit covered by the stipulation to determine the fees and disbursements owing plaintiff and the firm respectively from June 2003 until November 2003, when the case settled. Similarly, by notice of motion dated April 21, 2004, the firm sought an order from the Supreme Court with jurisdiction over another matter covered by the stipulation to confirm a special referee's report dated April 15, 2004, which allocated attorneys' fees between the firm and plaintiff, and to direct plaintiff to reimburse the firm its disbursements in the case. By order to show cause dated April 27, 2004, plaintiff asked Supreme Court to prevent the firm from ''mov[ing] before the trial judges to whom cases were assigned to have the respective fees of plaintiff and [the firm] determined, and for the payment of disbursements.'' She took the position that any requested fee determinations necessarily involved the same matters raised in her recently filed complaint, and that disbursements were covered by the stipulation.

In lieu of an answer, on April 20, 2004, the firm moved to dismiss plaintiff's complaint ''on the grounds, among others, that the action [was] barred by an arbitration provision in the Employment Agreement'' or, alternatively, to ''stay[ ] the action and compel[ ] Plaintiff to proceed with Arbitration.'' On May 5, 2004, plaintiff cross-moved to stay arbitration; to deny the firm's motion; to restrain the firm from seeking its share of fees and disbursements pursuant to the Judiciary Law; and to grant her summary judgment on that portion of her fourth cause of action seeking unpaid wages, vacation pay and expenses. She averred that between September 2003 and April 2004, the firm had served motions ‘‘seeking a determination of fees’’ by the trial courts in three personal injury actions.

Supreme Court dismissed the first, third and fourth causes of action, evidently reasoning that they were sufficiently related to the special proceeding to have been resolved by the stipulation; and dismissed the fifth cause of action for defamation for failure to state a claim with particularity as required by CPLR 3016 (a). The court determined, however, that plaintiff's second cause of action for gender discrimination fell within the ambit of the agreement's arbitration clause, and that the firm had not abandoned or waived the right to arbitrate. Accordingly, Supreme Court granted the firm's motion insofar as it sought to stay the second cause of action, and directed the parties to proceed to arbitration; and denied plaintiff's cross motion (2004 NY Slip Op 30149[U]). Plaintiff appealed everything except the dismissal of her fifth cause of action for defamation.

The Appellate Division, with one Justice dissenting in part, took a different view from Supreme Court, and so reinstated the first, third and fourth causes of action; denied the firm's motion insofar as it sought to compel arbitration; and granted plaintiff's cross motion to stay arbitration. Addressing whether the firm waived the right to arbitrate, the court observed that

> ‘‘plaintiff initiated both the special proceeding and the instant plenary action. In response to the special proceeding [the firm] did not move to compel arbitration. Rather, [it] elected to enter into the stipulation, which was ‘so-ordered’ by the justice assigned to the then-pending judicial proceeding, redressing issues between the parties that were embraced by the arbitration clause in the employment agreement. Additionally, [the firm] litigated the issue of the division of attorneys' fees between the firm and plaintiff in two other actions . . . despite the fact that the issue of the division of attorneys' fees between the parties was addressed in . . . the employment agreement, and concomitantly subject to the arbitration clause'' (29 AD3d 481, 485 [1st Dept 2006] [citations omitted]).

The Appellate Division decided that by ‘‘actively participat[ing] in a special proceeding and two plenary actions that involved matters falling within the ambit of the arbitration clause, thereby manifesting an affirmative acceptance of the judicial forum,'' the firm had waived its contractual right to compel arbitration (*id.*). In light of this disposition, the court did not address plaintiff's argument that her claim of gender discrimination was not arbitrable anyway, irrespective of waiver. The firm sought leave to appeal, which we granted as to so much of the Appellate Division's order as resolved plaintiff's motion to stay and the firm's motion to compel arbitration.[4]

We have repeatedly recognized New York's ''long and strong public policy favoring arbitration'' (*Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39, 49 [1997]). Indeed, ''this State favors and encourages arbitration as a means of conserving the time and resources of the courts and the contracting parties. Therefore, New York courts interfere as little as possible with the freedom of consenting parties to submit disputes to arbitration'' (*id.* at 49-50 [citations and internal quotation marks omitted]). Nonetheless, ''[l]ike contract rights generally, a right to arbitration may be modified, waived or abandoned'' (*Sherrill v Grayco Bldrs.*, 64 NY2d 261, 272 [1985]). Accordingly, a litigant may not compel arbitration when its use of the courts is ''clearly inconsistent with [its] later claim that the parties were obligated to settle their differences by arbitration'' (*Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363, 372 [2005] [citations and internal quotation marks omitted] [assuming arbitration clause in contract applied to dispute, party seeking its benefit did not assert arbitration as defense in answer or move to compel, electing instead to participate in litigation for 16 months through discovery and filing of note of issue]). As we have further explained,

> ''[t]he crucial question . . . is what degree of participation by the defendant in the action will create a waiver of a right to stay the action. In the absence of unreasonable delay, so long as the defendant's actions are consistent with an assertion of the right to arbitrate, there is no waiver. However, *where the defendant's participation in the lawsuit manifests an affirmative acceptance of the judicial forum*, with whatever advantages it may offer in the

---

4. The portion of the order reinstating causes of action is not at issue on this appeal because it is nonfinal (*see* 7 NY3d 856 [2006]).

> particular case, *his actions are then inconsistent with a later claim that only the arbitral forum is satisfactory*'' (*De Sapio v Kohlmeyer*, 35 NY2d 402, 405 [1974] [emphasis added]; *see also Singer v Jefferies & Co.*, 78 NY2d 76, 85 [1991] [under the Federal Arbitration Act, moving to dismiss before moving to compel arbitration ''should not be considered a waiver unless the opposing party demonstrates prejudice'']).

Further, ''[n]ot every foray into the courthouse effects a waiver of the right to arbitrate. . . . [W]here urgent need to preserve the status quo requires some immediate action which cannot await the appointment of arbitrators, waiver will not occur'' (*Sherrill*, 64 NY2d at 273, citing *Preiss/Breismeister Architects v Westin Hotel Co.-Plaza Hotel Div.*, 56 NY2d 787, 789 [1982]).

Here, the firm opposed plaintiff's June 2003 application and cross-moved for affirmative relief related solely to its fees and disbursements in enumerated personal injury lawsuits that plaintiff sought to retain. In June 2003, the firm entered into a stipulation resolving disputes over substitution of counsel in these lawsuits, the transfer of files, and the timing of its reimbursement for disbursements. The firm specifically reserved its right to attorneys' fees, and later moved in the trial courts to recover attorneys' fees and disbursements in lawsuits covered by the stipulation and litigated to conclusion by plaintiff. Additionally, the firm at one point moved to enforce the stipulation. We conclude that these ''foray[s] into the courthouse'' (*Sherrill*, 64 NY2d at 273), cumulatively, do not as a matter of law ''manifest[ ] an affirmative acceptance of the judicial forum'' such that the firm's ''actions [were] then inconsistent with [its] later claim that only the arbitral forum [was] satisfactory'' (*De Sapio*, 35 NY2d at 405) for resolving the employment-related claims subsequently advanced by plaintiff.

While the facts in this record do not bespeak exigency of the type addressed in *Preiss/Breismeister*, the principle for which we cited that case in *Sherrill* still applies: There is no waiver of arbitration where urgent need justifies resort to the courts. The stipulation minimized any interruption of plaintiff's representation of her clients. As a practical matter, if the firm had insisted upon arbitration in response to plaintiff's application to Supreme Court in June 2003 to secure files and consents to change attorneys, postpone payment of disbursements and the like, neither plaintiff's nor her clients' interests would have been well served by the inevitable attendant delay. Further, at that juncture the firm might have reasonably expected the stipulation to short-circuit potential future litigation except with respect to attorneys' fees and disbursements in the transferred cases, and thus to obviate the need for arbitration.

Notably, the motions in the trial courts seeking attorneys' fees and disbursements were contemplated by the stipulation, and the firm's only other affirmative motion subsequent to the stipulation sought to enforce it. Thus, all of the firm's ventures in Supreme Court addressed or grew out of plaintiff's June 2003 application for emergency relief to allow her to continue to represent clients in pending personal injury lawsuits. Some of these lawsuits were obviously being actively litigated at the time, or at least were nearing their eventual conclusion in late 2003 and early 2004.

Further, the parties included a mutual reservation-of-rights provision in the stipulation. This preserved the firm's right under the agreement to demand arbitration in the event plaintiff later elected to pursue employment-related grievances not covered by the stipulation. When plaintiff eventually put these claims forward in plenary actions brought in October 2003 (later declared a ''nullity'') and April 2004, the firm moved for orders to stay the actions and compel plaintiff to arbitrate. The firm did not file an answer; it engaged in no discovery.

As a final matter, while the firm has not waived arbitration of the second cause of action, the parties dispute whether plaintiff's claim for gender discrimination is arbitrable. As noted previously, the Appellate Division did not reach this issue.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the case remitted to that court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[876 NE2d 1189, 845 NYS2d 773]

CASTALIA ORTEGA et al., Appellants, v CITY OF NEW YORK, Respondent.

Argued September 5, 2007; decided October 16, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 5, 2006. The Appellate Division modified, insofar as appealed from, so much of an order of the Supreme Court, Kings County (Martin M. Solomon, J.; op 11 Misc 3d 848), as had denied plaintiffs' motion for summary judgment on the issue of liability on the cause of action to recover damages for spoliation and, upon searching the record, awarded summary judgment to defendant dismissing that cause of action insofar as asserted by plaintiff Castalia Ortega. The modification consisted of searching the record and awarding summary judgment to defendant dismissing the cause of action seeking to recover damages for spoliation of evidence insofar as asserted by plaintiff Manuel Peralta. The Appellate Division affirmed the order as modified.

Ortega v City of New York, 35 AD3d 422, affirmed.

HEADNOTE

Torts — Spoliation of Evidence — Wrongful Destruction of Vehicle in Violation of Court Order

Because the tort of third-party negligent spoliation of evidence is not cognizable in New York, plaintiffs, who were injured when the vehicle in which they were traveling burst into flames, could not recover damages from the City of New York based upon the wrongful destruction of the vehicle in violation of a court order that had directed the New York City Police Department to preserve the vehicle for inspection. Although discovery sanctions (*see* CPLR 3126) were inadequate to address the spoliation victims' loss here, existing New York remedies were adequate to deter spoliation or appropriately compensate the victims. Under New York's civil contempt statutory scheme, a party who suffers a loss or injury as a result of violation of a court order can seek full compensation from the contemnor. Allowing a separate cause of action for spoliation would recognize a claim that, by definition, could not be proved without resort to multiple levels of speculation and would further present uncertainties with respect to recovery of damages. In addition, recognition of the tort of third-party negligent spoliation would have the potential to create significant liability for municipalities in New York.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence § 244; AM JUR 2d, Torts §§ 17, 32.

McKinney's, CPLR 3126.

NY Jur 2d, Evidence and Witnesses § 128; NY Jur 2d, Torts § 18.

ANNOTATION REFERENCE

Intentional spoliation of evidence, interfering with prospective civil action, as actionable. 70 ALR4th 984.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: spoliation /3 evidence /s tort

POINTS OF COUNSEL

Trief & Olk, New York City (*Barbara E. Olk* of counsel), for appellants. I. Third-party negligent spoliation is a valid cause of action. (*MetLife Auto & Home v Joe Basil Chevrolet,* 1 NY3d 478; *DiDomenico v C & S Aeromatik Supplies,* 252 AD2d 41; *Ripepe v Crown Equip. Corp.,* 293 AD2d 462, 98 NY2d 765; *Vaughn v City of New York,* 201 AD2d 556; *Weigl v Quincy Specialties Co.,* 158 Misc 2d 753; *Fada Indus. v Falchi Bldg. Co.,* 189 Misc 2d 1; *Kirkland v New York City Hous. Auth.,* 236 AD2d 170; *Bigelow v RKO Radio Pictures, Inc.,* 327 US 251; *Story Parchment Co. v Paterson Parchment Paper Co.,* 282 US 555; *Hardwood Dimension & Mouldings v Consolidated Edison Co. of N.Y.,* 77 AD2d 644, 51 NY2d 1008.) II. The elements of a cause of action for spoliation: the Court should adopt the *Hannah v Heeter* (213 W Va 704, 584 SE2d 560 [2003]) elements. III. Appellants have established the requisite elements of a cause of action for spoliation as a matter of law. (*Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.,* 90 NY2d 606; *Vetrone v Ha Di Corp.,* 22 AD3d 835; *Rebollal v Payne,* 145 AD2d 617; *Espinal v Melville Snow Contrs.,* 98 NY2d 136; *Church v Callanan Indus.,* 99 NY2d 104; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Cabasso v Goldberg,* 288 AD2d 116; *Standard Fire Ins. Co. v Federal Pac. Elec. Co.,* 14 AD3d 213; *Cummings v Central Tractor Farm & Country,* 281 AD2d 792, 96 NY2d 896; *Puccia v Farley,* 261 AD2d 83.) IV. There are no material facts for which discovery was needed. (*Pearsall v Saracco,* 305 AD2d 650; *Spatola v Gelco Corp.,* 5 AD3d 469; *Wyllie v District Attorney of County of Kings,* 2 AD3d 714; *Nadeau v Connell,* 243 AD2d 1009.)

Michael A. Cardozo, Corporation Counsel, New York City (*Scott Shorr* and *Barry P. Schwartz* of counsel), for respondent.

I. Consistent with New York precedent, the Appellate Division correctly declined to recognize a third-party negligent spoliation tort. (*Sega v State of New York,* 60 NY2d 183; *Sterbenz v Attina,* 205 F Supp 2d 65; *Carella v Reilly & Assoc.,* 22 AD3d 623; *MetLife Auto & Home v Basil Chevrolet,* 303 AD2d 30, 1 NY3d 478; *Steinman v Barclays Bank,* 276 AD2d 436, 96 NY2d 818; *Weigl v Quincy Specialties Co.,* 158 Misc 2d 753; *Ripepe v Crown Equip. Corp.,* 293 AD2d 462, 98 NY2d 765; *DiDomenico v C & S Aeromatik Supplies,* 252 AD2d 41; *Vaughn v City of New York,* 201 AD2d 556; *Fada Indus. v Falchi Bldg. Co.,* 189 Misc 2d 1.) II. For sound public policy reasons, this Court should decline to recognize a new and speculative third-party negligent spoliation tort. (*Newport v Fact Concerts, Inc.,* 453 US 247; *Millard v Alliance Laundry Sys., LLC,* 20 AD3d 866; *Simet v Coleman Co., Inc.,* 8 AD3d 1038, 4 NY3d 703; *MetLife Auto & Home v Basil Chevrolet,* 303 AD2d 30; *Wilson v Beloit Corp.,* 921 F2d 765; *Howard v Lecher,* 42 NY2d 109; *Fada Indus. v Falchi Bldg. Co.,* 189 Misc 2d 1; *Lauer v City of New York,* 95 NY2d 95; *Donohue v Copiague Union Free School Dist.,* 47 NY2d 440; *Bigelow v RKO Radio Pictures, Inc.,* 327 US 251.) III. Because plaintiffs could have pursued a design defect claim even without the car, this Court need not create a new and speculative third-party negligent spoliation tort. (*MetLife Auto & Home v Basil Chevrolet,* 303 AD2d 30; *Dayal v Coinmach Indus. Co.,* 284 AD2d 206; *Otis v Bausch & Lomb,* 143 AD2d 649; *Katz v PRO Form Fitness,* 3 AD3d 474; *Kirkland v New York City Hous. Auth.,* 236 AD2d 170; *McDermott v City of New York,* 50 NY2d 211; *Coley v Michelin Tire Corp.,* 99 AD2d 795; *Iadicicco v Duffy,* 60 AD2d 905; *Speed v Avis Rent-A-Car,* 172 AD2d 267; *Longo v Armor El. Co.,* 278 AD2d 127.) IV. Any recognition of a third-party negligent spoliation tort should originate with the Legislature. (*Murphy v American Home Prods. Corp.,* 58 NY2d 293; *Matter of Barclays Bank v Hughes,* 306 AD2d 406; *Hardwood Dimension & Mouldings v Consolidated Edison Co. of N.Y.,* 77 AD2d 644; *Matter of Department of Hous. Preserv. & Dev. of City of N.Y. v Deka Realty Corp.,* 208 AD2d 37; *Krohn v New York City Police Dept.,* 2 NY3d 329; *Mon v City of New York,* 78 NY2d 309; *MetLife Auto & Home v Basil Chevrolet,* 303 AD2d 30.) V. In any event, Supreme Court correctly dismissed Castalia Ortega's purported spoliation claim because, as a matter of law, the City of New York did not owe any preservation duty to Ortega. (*Board of Educ. of Union Free School Dist. No. 2, E. Williston, Town of N. Hempstead v New York State Div. of Human Rights [Arluck],* 44 NY2d 902; *Matter of Freudenthal v County of Nassau,* 99

NY2d 285; *Lubitz v Mehlman,* 187 AD2d 97; *Matter of Springer,* 238 App Div 305; *Mazzella v Sarvis,* 272 App Div 381; *Bingham v New York City Tr. Auth.,* 99 NY2d 355; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.,* 90 NY2d 606; *Rebollal v Payne,* 145 AD2d 617; *Espinal v Melville Snow Contrs.,* 98 NY2d 136.) VI. As Supreme Court properly held, the existence of material fact issues warranted denial of Manuel Peralta's summary judgment motion. (*Gerelli Ins. Agency, Inc. v Gerelli,* 23 AD3d 341; *Matter of Holtzman v Beatty,* 97 AD2d 79; *Glasser v City of New York,* 265 AD2d 526; *City of New York v Wilson & Co.,* 278 NY 86; *Gallo v Bay Ridge Lincoln Mercury,* 262 AD2d 450; *Mitchell v Maguire Co.,* 151 AD2d 355; *Groves v Land's End Hous. Co.,* 80 NY2d 978; *Thompson v Scocozza Studio Assoc.,* 86 AD2d 830; *Jamie v Jamie,* 19 AD3d 330.)

David L. Darwin, County Attorney, Goshen, for County of Orange and another, amici curiae. I. Recognition of an independent tort of third-party spoliation of evidence is contrary to the public policy of New York and a legislative scheme designed to limit municipal liability and protect the public fisc. (*MetLife Auto & Home v Joe Basil Chevrolet,* 1 NY3d 478; *Pelaez v Seide,* 2 NY3d 186; *Kircher v City of Jamestown,* 74 NY2d 251; *Cuffy v City of New York,* 69 NY2d 255; *O'Connor v City of New York,* 58 NY2d 184; *Amabile v City of Buffalo,* 93 NY2d 471; *Holt v County of Tioga,* 56 NY2d 414; *Barry v Niagara Frontier Tr. Sys.,* 35 NY2d 629; *Doremus v Incorporated Vil. of Lynbrook,* 18 NY2d 362; *Crair v Brookdale Hosp. Med. Ctr., Cornell Univ.,* 94 NY2d 524.) II. The creation of a new, independent tort for third-party spoliation of evidence will permanently and adversely alter the function and operation of county government, in contravention of public policy and policy of this Court to exercise judicial restraint in matters involving the allocation of municipal resources. (*Arteaga v State of New York,* 72 NY2d 212; *O'Connor v City of New York,* 58 NY2d 184; *Riss v City of New York,* 22 NY2d 579.)

J. Wade Beltramo, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. Recognizing third-party spoliation of evidence as an independent tort is against public policy because it will expose municipalities to substantial liability and litigation costs for performing governmental acts. (*MetLife Auto & Home v Joe Basil Chevrolet,* 1 NY3d 478; *Miller v State of New York,* 62 NY2d 506.) II. Adopting third-party spoliation of evidence will result in a considerable proliferation of plaintiff's attorneys seeking court orders directing local governments and the State of New York to preserve evidence, wasting both government and judicial resources. III. Adopting third-party spoliation of evidence as a cause of action against local government officials would create a disincentive for property owners to take possession of their property from local governments.

OPINION OF THE COURT

GRAFFEO, J.

In this case we address an issue left open in *MetLife Auto & Home v Joe Basil Chevrolet* (1 NY3d 478 [2004]): whether New York recognizes the tort of third-party negligent spoliation of evidence. We conclude that the tort is not cognizable in this state.

In October 2003, plaintiff Castalia Ortega purchased a 1987 Ford minivan from a private owner. She then brought the vehicle to a licensed service station for an inspection and tune-up. The day after the vehicle was serviced, while Ortega and plaintiff Manuel Peralta were traveling on Ocean Parkway in Brooklyn, Ortega smelled fumes and pulled the minivan to the side of the road. The van burst into flames, causing Ortega and Peralta to suffer severe burns.

The New York City police officers who investigated the accident contacted Ridge Transport Systems, a towing contractor, to remove the vehicle from the roadway. Ridge towed the van to its facility in Brooklyn where it remained until November 7, 2003, when it was transported to the New York City Police Department's College Point Auto Pound in Queens. Peralta's attorney attempted to inspect the vehicle while it was in Ridge's possession but was refused access because Peralta did not own the vehicle and could not produce a title document or bill of sale. Ridge explained that the van would be destroyed if not claimed by its rightful owner.

On October 31, 2003, Peralta commenced a special proceeding against Ridge and the New York City Police Department by order to show cause seeking to preclude destruction of the vehicle until it could be inspected by Peralta. Neither Ridge nor the police department opposed the application. Supreme Court issued an order on November 18, 2003 granting Peralta a period of 60 days to inspect the vehicle and precluding its alteration or destruction until completion of the inspection. The preservation order was served on Ridge and the police department. The Legal Bureau of the police department promptly forwarded a written request, along with a copy of the court order, to the property clerk at College Point Auto Pound directing preservation of the vehicle pending Peralta's inspection.

For unknown reasons, the memo and order were either not received by the property clerk or were not properly acted upon. Instead of preserving the minivan as directed by Supreme Court, the Pound followed its ordinary procedures for the disposition of unclaimed vehicles. When the vehicle had arrived at the Pound, a Department of Motor Vehicles ownership check was conducted that revealed two owners: plaintiff Castalia Ortega and the person who sold the car to Ortega. On November 19, 2003, form letters were sent to both individuals by certified mail advising that if the owner did not contact the Pound within 15 days, the vehicle would be deemed abandoned under Vehicle and Traffic Law § 1224 and would be destroyed. The Pound received a signed return receipt from the former owner. However, the letter to Ortega, which had been directed to the address supplied on the police accident report, was returned for insufficient address. Because neither person contacted the Pound within the designated time period, the vehicle was placed in a salvage auction on December 10, 2003 and crushed for scrap metal on December 30, 2003. The Legal Bureau of the police department—which had attempted to assist Peralta's attorney in his efforts to enforce the preservation order—did not learn of the van's destruction until February 2004, at which point it notified Peralta and the court of the Pound's disposition of the vehicle.

Ortega and Peralta did not pursue a personal injury action against the Ford Motor Company, as manufacturer of the vehicle, the previous owner or the service station that had inspected the van. Instead, in July 2004, plaintiffs commenced this action against the City of New York seeking compensation for the personal injuries they sustained as a result of the automotive fire. Plaintiffs asserted two theories of recovery. First, they claimed that the City should be held liable for all damages stemming from the fire because, by destroying the vehicle, the City had breached its duty to preserve evidence, thereby committing the tort of negligent spoliation of evidence. Second, they claimed that by violating the preservation order, the City was guilty of civil contempt, rendering it liable for any damages flowing from its disregard of the court order. The City answered, asserting that plaintiffs had failed to state a cause of action for which relief could be granted and further generally denied the allegations of negligence.

Plaintiffs moved for summary judgment on liability as to both the negligent spoliation of evidence and contempt causes of action. In support of the motion, plaintiffs submitted the affidavit of an accident reconstruction expert who opined that the destruction of the vehicle and resultant inability of plaintiffs to inspect it presented a fatal obstacle to determining the cause of the fire or identifying the responsible parties. As a result of the City's negligence, plaintiffs contended they were precluded from recovering damages from any of the tortfeasors who were ultimately responsible for their injuries.

The City opposed the motion, alleging that the negligent spoliation of evidence claim was inherently speculative because inspection of the vehicle might not have revealed the cause of the fire, and that destruction of the vehicle did not necessarily preclude a viable lawsuit against the true tortfeasors. The City's expert, an automotive engineer, concluded that other methods of investigation—including the review of product design, recall information, previous lawsuits, service records and the like—might have revealed circumstantial evidence regarding the cause of the fire sufficient to support a lawsuit against the vehicle manufacturer, previous owner or the service station that inspected the vehicle.

In resolving plaintiffs' application, Supreme Court addressed whether New York recognizes negligent spoliation of evidence as an independent tort. Although it acknowledged that the tort was problematic due to the speculative nature of the causation and damages elements, the court concluded that plaintiffs stated a cognizable claim. The court nonetheless dismissed plaintiff Ortega's spoliation cause of action because she had not been a party in the special proceeding that resulted in the preservation order and therefore had not established that the City breached a duty owed to her. Peralta's motion for partial summary judgment was denied because the court found that factual issues warranted a trial. Finally, the court dismissed the contempt claim, reasoning that contempt should be adjudicated by the court that issued the preservation order within the context of the special proceeding—not by the commencement of separate litigation before a different judge.[1]

On the plaintiffs' appeal, the Appellate Division agreed that Ortega's negligent spoliation of evidence cause of action was not

---

1. Plaintiffs have not challenged the dismissal of the contempt cause of action.

viable and, after searching the record, held that Peralta's claim was also not supportable, thereby modifying the order to grant the City summary judgment dismissing that claim as well. We granted plaintiffs leave to appeal and now affirm.

When parties involved in litigation engage in the destruction of evidence, a number of remedial options are provided by existing New York statutory and common law. Under CPLR 3126, if a court finds that a party destroyed evidence that ''ought to have been disclosed . . . , the court may make such orders with regard to the failure or refusal as are just.'' New York courts therefore possess broad discretion to provide proportionate relief to the party deprived of the lost evidence, such as precluding proof favorable to the spoliator to restore balance to the litigation, requiring the spoliator to pay costs to the injured party associated with the development of replacement evidence, or employing an adverse inference instruction at the trial of the action (*see e.g. Dorsa v National Amusements*, 6 AD3d 652 [2d Dept 2004]; *Ifraimov v Phoenix Indus. Gas*, 4 AD3d 332 [2d Dept 2004]; *Hulett v Niagara Mohawk Power Corp.*, 1 AD3d 999 [4th Dept 2003]). Where appropriate, a court can impose the ultimate sanction of dismissing the action or striking responsive pleadings, thereby rendering a judgment by default against the offending party (*see e.g. Standard Fire Ins. Co. v Federal Pac. Elec. Co.*, 14 AD3d 213 [1st Dept 2004]; *Puccia v Farley*, 261 AD2d 83 [3d Dept 1999]; *Kirkland v New York City Hous. Auth.*, 236 AD2d 170 [1st Dept 1997]).[2]

In light of the various remedies available to trial courts, we noted in *MetLife* that ''[o]ne traditional method of dealing with spoliation of evidence in New York has been CPLR 3126 where sanctions, including dismissal, have been imposed for a party's failure to disclose relevant evidence'' (1 NY3d at 482-483). We were asked in *MetLife* to recognize negligent spoliation of evidence as an independent tort giving rise to consequential damages but we found it unnecessary to determine whether the tort was viable because the plaintiff in that action had failed to establish a fundamental element—that the party who destroyed the evidence owed plaintiff a duty to preserve it. In this case, because Peralta demonstrated that the City had a duty arising from the preservation order to safeguard the vehicle pending

2. Discovery sanctions have also been employed against a litigant who had an opportunity to safeguard evidence but failed to do so (*see e.g. Amaris v Sharp Elecs. Corp.*, 304 AD2d 457 [1st Dept 2003], *lv denied* 1 NY3d 507 [2004]).

his inspection, we must resolve the specific issue of whether a third-party spoliation of evidence claim is cognizable in New York.

An independent tort arising from the spoliation of evidence was first recognized in 1984 by a California intermediate appellate court (*see Smith v Superior Ct.*, 151 Cal App 3d 491, 198 Cal Rptr 829 [2d Dist 1984]). Following *Smith*, several other jurisdictions embraced the tort, although there is little consensus regarding its elements. For example, some courts allow recovery only when a plaintiff in a spoliation claim can establish that the destruction of evidence was malicious or that the spoliator's actions were motivated by an intent to disrupt the underlying litigation (*see e.g. Torres v El Paso Elec. Co.*, 127 NM 729, 987 P2d 386 [1999]; *Hibbits v Sides*, 34 P3d 327 [Alaska 2001]). Other states have folded spoliation claims into their ordinary negligence rubric, requiring plaintiffs to meet typical proximate cause and actual damages standards (*see e.g. Gilleski v Community Med. Ctr.*, 336 NJ Super 646, 765 A2d 1103 [App Div 2001]; *Boyd v Travelers Ins. Co.*, 166 Ill 2d 188, 652 NE2d 267 [1995]). Plaintiffs' claim here would fail under the standards adopted by these courts as there is no indication that the City acted with malice or an intent to prevent them from obtaining recovery for their burn injuries, nor was the City's destruction of the car a proximate cause of those injuries.

Thus, plaintiffs primarily urge this Court to recognize the tort by emulating the rationale set forth in three cases: *Hannah v Heeter* (213 W Va 704, 584 SE2d 560 [2003]), *Oliver v Stimson Lbr. Co.* (297 Mont 336, 993 P2d 11 [1999]), and *Holmes v Amerex Rent-A-Car* (710 A2d 846 [DC App 1998]). These courts have endorsed the tort of third-party negligent spoliation of evidence on the theory that, for every wrong there should be a remedy, and have reasoned that traditional responses to spoliation—such as the imposition of discovery sanctions available only against parties—are inadequate in certain situations. In particular, plaintiffs ask us to adopt the elements of a negligent spoliation claim articulated by the West Virginia Supreme Court of Appeals, requiring a spoliation plaintiff to prove:

> "(1) the existence of a pending or potential civil action; (2) the alleged spoliator had actual knowledge of the pending or potential civil action; (3) a duty to preserve evidence arising from a contract, agreement, statute, administrative rule, voluntary as-

> sumption of duty, or other special circumstances; (4) spoliation of the evidence; (5) the spoliated evidence was vital to a party's ability to prevail in a pending or potential civil action; and (6) damages'' (*Hannah*, 213 W Va at 713-714, 584 SE2d at 569-570).

Plaintiffs further request that we echo West Virginia's view that, ''[o]nce the first five elements are established, there arises a rebuttable presumption that but for the fact of the spoliation of evidence, the party injured by the spoliation would have prevailed in the pending or potential litigation'' (213 W Va at 714, 584 SE2d at 570). Finally, acknowledging that Montana and the District of Columbia require discounting of damages in spoliation cases,[3] plaintiffs ask that we follow West Virginia's approach in compelling the spoliator to fully compensate the plaintiff for any damages plaintiff would have received if the civil action thwarted by the destruction of evidence had been successfully prosecuted. Under this analysis, the spoliator must compensate the plaintiff for any damages caused by the underlying tortfeasor, regardless of the nature or severity of the spoliator's misconduct.

In New York, while the desire to provide an avenue to redress wrongs is certainly an important consideration underlying our tort jurisprudence, the recognition that there has been an interference with an interest worthy of protection has been the beginning, not the end, of our analysis. ''While it may seem that there should be a remedy for every wrong, this is an ideal limited perforce by the realities of this world'' (*Trombetta v Conkling*, 82 NY2d 549, 554 [1993], quoting *Tobin v Grossman*, 24 NY2d 609, 619 [1969]).

> ''Tort liability . . . depends on balancing competing interests: the question remains who is legally bound to protect plaintiffs' right at the risk of liability. . . . To identify an interest deserving protection does not suffice to collect damages from anyone who causes injury to that interest . . . Not every deplorable act . . . is redressable in damages'' (*Madden v Creative Servs.*, 84 NY2d 738, 746 [1995] [citation, internal quotation marks and brackets omitted]).

---

3. In these jurisdictions, the trier of fact calculates the damages the plaintiff would have been awarded had it won the impaired lawsuit and then determines, in percentage form, the likelihood that the plaintiff would have prevailed in that litigation. If, for example, the jury finds that the plaintiff would have had a 50% chance of success, damages are discounted by 50% (*see Holmes*, 710 A2d at 853-854; *Oliver*, 297 Mont at 351-352, 993 P2d at 21).

New York courts therefore also weigh other judicial and social policy concerns in determining whether to recognize new tort causes of action (*see Hall v United Parcel Serv. of Am.*, 76 NY2d 27 [1990]).

In this case, there can be no doubt that the City's violation of the preservation order interfered with an interest worthy of protection. The integrity of our judicial system depends on the ability of litigants to locate and identify relevant proof without fear that the truth-seeking process will be thwarted by spoliation of evidence. Destruction of evidence by parties with a duty of preservation simply cannot be condoned, especially when that duty is imposed by court order.

But we are not convinced that existing New York remedies are inadequate to deter spoliation or appropriately compensate its victims. Based on a review of cases across the nation, it appears that destruction of evidence by an entity without ties to the underlying litigation is not a frequent occurrence. As the California Supreme Court concluded when it ended its state's 15-year experiment with the tort: ''If existing remedies appear limited, that may well be because third party spoliation has not appeared to be a significant problem in our courts'' (*Temple Community Hosp. v Superior Ct.*, 20 Cal 4th 464, 477, 976 P2d 223, 232 [1999]).

Indeed, in many of the instances where other jurisdictions have recognized an independent tort, a New York court could have provided a remedy to the spoliation victim through our traditional litigation sanctions. For example, in *Holmes* (710 A2d 846 [1998]), the spoliator was the car rental company that had rented a car to the plaintiff injured in an accident. Plaintiff initially brought a personal injury claim against the company, alleging improper maintenance of the vehicle. But after the company destroyed the vehicle, plaintiff abandoned his negligent maintenance claim in favor of a spoliation claim. In that situation, it would not be necessary in New York to use an independent tort to afford plaintiff a remedy for the destruction of evidence. Rather, plaintiff could have continued to pursue his personal injury claim against the company, which could have been appropriately sanctioned for destruction of evidence within the context of that action.

Similarly, in *Hannah* (213 W Va 704, 584 SE2d 560 [2003]), plaintiff brought a sexual harassment claim against a prospective employer, relying on an audiotape of a conversation with the defendant as her primary evidence. When defendant sought to inspect the original tape, it was discovered that plaintiff had left the tape with her ex-husband, who passed it along to plaintiff's mother who, in turn, destroyed it. Although the West Virginia Supreme Court of Appeals viewed this as a third-party spoliation claim, plaintiff could have been held accountable for failing to safeguard the original tape, providing a sanction against her in the underlying sexual harassment case (*see e.g. Amaris*, 304 AD2d 457 [2003]). One option available in New York would have been to preclude plaintiff from using her copy of the tape since the original was no longer available, leaving both parties in the same position most litigants are in—having to prove their case through testimony. Recognition of an independent spoliation tort was not necessary to afford the victim of spoliation—there a defendant—a meaningful remedy.

As the present case demonstrates, there will be unfortunate instances when third parties with a duty to preserve evidence but no connection to the underlying lawsuit will negligently breach that duty, presenting a situation where discovery sanctions are inadequate to address the spoliation victim's loss. But even in this case, plaintiffs were not left without recourse. Under our civil contempt statutory scheme, a party who suffers a loss or injury as a result of violation of a court order can seek full compensation from the contemnor (*see* Judiciary Law § 773; *State of New York v Unique Ideas*, 44 NY2d 345 [1978]). The City conceded at oral argument that, had plaintiffs pursued their contempt claim, they would—at the very least—have been entitled to monetary damages in an amount necessary to reimburse them for additional investigation, research or expert expenses incurred in attempting to prove the underlying negligence claim absent inspection of the vehicle.

Plaintiffs consider the contempt remedy deficient because they seek to recover not only the damages flowing from the City's destruction of the vehicle but also compensation for their pain and suffering, emotional distress and other damages related to the fire, which they concede was not caused by the City. At bottom, plaintiffs seek recognition of a new cause of action because they cannot meet the traditional proximate cause and actual damages standards at the foundation of our common-law tort jurisprudence. This highlights one of the primary arguments against adoption of the spoliation tort. As the Massachusetts Supreme Judicial Court recently explained:

> "we are persuaded that allowing a separate cause of

> action for spoliation would recognize a claim that, by definition, could not be proved without resort to multiple levels of speculation . . . A plaintiff pursuing a spoliation action would have to prove that the breach of the duty to preserve evidence caused damage to the plaintiff's position in the underlying case, and would have to prove the amount of those damages. To establish causation and damages, the plaintiff would have to show that the jury in the underlying action would have found differently if the original, unaltered item of evidence had been before them. Such a showing requires proof of the very thing that can no longer be proved: the precise nature of the original item. If the contents or salient characteristics of the original item can still be shown, then they can be shown in the underlying action and there is no damage from any 'spoliation.' If they cannot be shown, then the jury in the spoliation action could only surmise whether the item in its original state would in fact have been favorable to the party now claiming to have suffered a loss on account of that spoliation. And it would be the utmost of surmise and speculation for the jury to decide what persuasive effect that item, if still available in its original state, would have had on the jury in the underlying action'' (*Fletcher v Dorchester Mut. Ins. Co.*, 437 Mass 544, 551-552, 773 NE2d 420, 426-427 [2002] [citations omitted]).

In a third-party spoliation case, because the content of the lost evidence is unknown, there is no way of ascertaining to what extent the proof would have benefitted either the plaintiff or defendant in the underlying lawsuit and it is therefore impossible to identify which party, if any, was actually harmed. This led the California Supreme Court to limit the availability of the tort, in part, because ''[t]he elements of causation and damages . . . would be nearly impossible to prove, and permitting a cause of action that necessarily would be based upon speculation and conjecture could burden the courts with claims that may be peculiarly productive of arbitrary and unreliable verdicts'' (*Temple Community Hosp.*, 20 Cal 4th at 470, 976 P2d at 228). As a general rule, New York courts have been reluctant to embrace claims that rely on hypothetical theories or speculative assumptions about the nature of the harm incurred or the extent of plaintiff's damages (*see e.g. Becker v Schwartz*, 46 NY2d 401, 411-412 [1978]).

The same concerns about speculation are evident in this case. Plaintiffs contend that examination of the vehicle would have revealed either a design or manufacturing defect, improper maintenance or faulty repair services. But it is also possible that the fire caused so much damage to the van that an inspection would fail to disclose a conclusive cause. Or an inspection could have resulted in conflicting expert opinions with differing views on causation, rendering plaintiffs' success in a lawsuit dependent on which party's expert the jury found most credible. Finally, inspection of the vehicle might not have disclosed any maintenance issues, manufacturing deficiencies or design defects, thereby failing to supply a basis to hold any of those defendants liable. These are among the possibilities that the finder of fact would have to ponder were we to recognize the spoliation of evidence cause of action, with no meaningful way for the jury to reliably resolve whether the destruction of evidence was, in fact, the cause of plaintiffs' failure to obtain damages for their burn injuries from the original tortfeasors.

Plaintiffs' claims further present uncertainties with respect to recovery of damages. Plaintiffs assume that, had the van not been destroyed, they would have been able to obtain a judgment in the full amount of damages from a responsible defendant with adequate funds or insurance coverage. But even if plaintiffs prevailed in the underlying lawsuit, this outcome would not be assured. Had more than one defendant been joined in the action and multiple causes assigned to the accident, liability might have been apportioned among the tortfeasors without any one defendant bearing responsibility for the total judgment. If plaintiffs obtained a judgment against the original tortfeasor or tortfeasors, there is no guarantee they would have collected damages in full. The complexities inherent in any multiple party negligence action would be compounded in a spoliation claim since litigation emphasizing the impact of destruction of evidence would afford the jury no reasonable means of determining how liability might have been apportioned among tortfeasors in the original litigation or of assessing plaintiff's own comparative fault, if any.

The facts here reveal yet another public policy factor weighing against the new claim. Recognition of the tort has the potential to create significant liability for municipalities in New York since these entities perform a myriad of functions—including towing and warehousing vehicles involved in accidents—which could give rise to spoliation claims. We are not persuaded that it would be sound public policy to create a new tort that shifts liability from responsible tortfeasors to government entities that serve as repositories of evidence that may or may not be relevant in future civil cases. Municipalities might prove unduly attractive defendants, diverting the focus of litigation away from the tortfeasors who actually caused the injury and resultant damages.

For all of these reasons, we join the majority of jurisdictions to consider the issue (*see Fletcher*, 437 Mass at 547, 773 NE2d at 424) and decline to recognize spoliation of evidence as an independent tort claim.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[876 NE2d 1187, 845 NYS2d 771]

In the Matter of VICTOR M., a Person Alleged to be a Juvenile Delinquent, Appellant.

Argued September 6, 2007; decided October 16, 2007

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 7, 2006. The Appellate Division, with two Justices dissenting, affirmed an order of disposition of the Family Court, Bronx County (Alma Cordova, J.), which had adjudicated appellant a juvenile delinquent upon his admission that he had committed acts which, if committed by an adult, would constitute the crime of criminal possession of a controlled substance in the fifth degree.

Matter of Victor M., 35 AD3d 180, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure

Because a police officer's observation of appellant gambling in the hallway of an apartment building did not provide probable cause for appellant's arrest, the subsequent search of appellant was unreasonable as a matter of law and the drugs found on appellant's person during the course of that search should have been suppressed. Appellant's detention and subsequent search could not be justified on the ground that he had been observed committing the misdemeanors of promoting gambling in the second degree (Penal Law § 225.05) and possession of a gambling device (Penal Law § 225.30), as the evidence suggested only that appellant was a player in the game and thus neither statute was applicable. Nor could statutes prohibiting trespass (Penal Law § 140.05) and loitering (Penal Law § 240.35 [2]) be used as justification for appellant's arrest. A warrantless arrest of a juvenile is authorized only in cases where an adult could be arrested ''for a crime'' (Family Ct Act § 305.2 [2]), and neither simple trespass nor loitering is a ''crime'' as the term is defined in Penal Law § 10.00 (6). Finally, the officer's detention of appellant could not be sanctioned as a stop, since the officer testified to an ''arrest,'' and, in any event, even a temporary detention is unlawful if not reasonable under the circumstances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 39–42, 47, 49; AM JUR 2d, Gambling §§ 11, 31, 40; AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 56, 57; AM JUR 2d, Searches and Seizures §§ 116, 121–123.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in

Need of Supervision § 119A:245; CARMODY-WAIT 2d, Criminal Procedure §§ 172:10, 172:320–172:323, 172:363, 172:4265.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 3.3.

MCKINNEY'S, Family Ct Act § 305.2 (2); Penal Law § 10.00 (6); §§ 140.05, 225.05, 225.30, 240.35 (2).

NY JUR 2d, Criminal Law §§ 67–69, 131, 3516, 4063, 4903, 4975; NY JUR 2d, Domestic Relations §§ 1363, 1379.

ANNOTATION REFERENCE

See ALR Index under Arrest; Gambling; Juvenile Courts and Delinquent Children; Search and Seizure.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: juvenile /s arrest /s crime & search

POINTS OF COUNSEL

Legal Aid Society, New York City (*Lisa B. Freedman, Tamara A. Steckler, Steven Banks* and *Carolyn Kalos* of counsel), for appellant. I. The Family Court erred in denying appellant's motion to suppress where the prosecution failed to demonstrate that the arresting police officer—who saw appellant playing a dice game with three others—had probable cause to believe that appellant ''advance[d] or profit[ed]'' from ''unlawful gambling activity'' (Penal Law § 225.05) or ''possess[ed]'' a gambling device (Penal Law § 225.30), where appellant was at best merely a dice player and not a promoter of the gambling activity. (*Dunaway v New York,* 442 US 200; *People v De Bour,* 40 NY2d 210; *People v Hodge,* 44 NY2d 553; *People v Berrios,* 28 NY2d 361; *People v Dodt,* 61 NY2d 408; *People v Misuis,* 47 NY2d 979; *People v Hollman*, 79 NY2d 181; *Terry v Ohio,* 392 US 1; *People v Cantor,* 36 NY2d 106; *People v Batista,* 88 NY2d 650.) II. The Appellate Division erred in affirming the Family Court's suppression ruling on the alternative ground that the arresting police officer had probable cause to believe that appellant had committed the violations of trespass (Penal Law § 140.05) and loitering (Penal Law § 240.35 [2]). (*Matter of Curtis H.,* 216 AD2d 173; *People v Dodt,* 61 NY2d 408; *People v Johnson,* 64 NY2d 617; *People v More,* 97 NY2d 209; *People v Parris,* 83 NY2d 342; *People v Stith,* 69 NY2d 313; *People v Nieves,* 67 NY2d 125; *Parkin v Cornell Univ.,* 78 NY2d 523; *Collucci v Collucci,* 58 NY2d 834; *Matter of Richardson v Fiedler Roofing,* 67 NY2d 246.)

Michael A. Cardozo, Corporation Counsel, New York City (*Sharyn Rootenberg* and *Larry A. Sonnenshein* of counsel), for respondent. I. The presentment agency met its burden of demonstrating the legality of Officer Recio's conduct, as the undisputed facts and circumstances established reasonable suspicion to detain Victor M. and verify his identity at the station house. (*People v Berrios,* 28 NY2d 361; *People v De Bour,* 40 NY2d 210; *People v Hollman,* 79 NY2d 181; *People v Bronston,* 68 NY2d 880; *People v Howard,* 50 NY2d 583; *People v Roque,* 99 NY2d 50; *People v Martinez,* 80 NY2d 444; *People v Cantor,* 36 NY2d 106; *People v Hicks,* 68 NY2d 234; *People v Pines,* 99 NY2d 525.) II. The Appellate Division's determination is consistent with the testimony presented to the Family Court, is consistent with the parties' closing arguments to the Family Court, and is easily harmonized with the reasoning of the Family Court. Accordingly, the preservation rule does not apply. (*People v Powell,* 180 Misc 2d 627; *People v King,* 102 AD2d 710, 65 NY2d 702.)

OPINION OF THE COURT

SMITH, J.

We hold that the police search at issue in this case was unreasonable as a matter of law, and that the drugs found on Victor M. during the search must be suppressed.

Facts and Procedural History

Officer Orlando Recio, patrolling a Bronx apartment building, came upon Victor and several other people gambling with dice. The officer decided to issue Victor a summons, but Victor had no identification, and his mother, who appeared on the scene, had none either. Victor offered to get identification but, for reasons not explained in the record, the offer was not accepted. Instead, the officer handcuffed Victor and brought him to the station house, where he searched him and discovered narcotics.

In the resulting juvenile delinquency proceeding based on Victor's possession of a controlled substance, Victor moved to suppress the narcotics as being the result of an unlawful search. Family Court denied the motion, adjudicated Victor a delinquent, and placed him in the custody of the Office of Children and Family Services for a period of up to 18 months. The Appellate Division, by a 3-2 vote, affirmed the order of disposition. Victor appeals to us as of right, pursuant to CPLR 5601 (a), and we now reverse.

Discussion

The only issue on appeal is whether Officer Recio's search of Victor was lawful. Three theories have been advanced to support the search—one by Family Court, a second by the Appellate Division majority, and a third by the presentment agency in its brief to us. We reject all three theories.

Family Court held the detention and subsequent search of Victor lawful because it believed Officer Recio had seen him commit two misdemeanors, promoting gambling in the second degree (Penal Law § 225.05) and possession of a gambling device (Penal Law § 225.30). Neither of these statutes is applicable to the facts of this case. Under the first, a person is guilty ''when he knowingly advances or profits from unlawful gambling activity''—but the definitions of the terms ''advance gambling activity'' and ''profit from gambling activity'' specifically exclude actions taken ''as a player'' (Penal Law § 225.00 [4], [5]). Nothing in the record suggests that Victor was anything but a player in the dice game. The second statute, as relevant here, applies when a person possesses a gambling device ''believing that the same is to be used in the advancement of unlawful gambling activity'' (Penal Law § 225.30 [a] [2]). Whatever its precise scope, this statute cannot fairly be read to apply to every player in a dice game who touches the dice.

The Appellate Division majority agreed with Family Court that ''Recio's observation of appellant gambling in the hallway provided him with probable cause for an arrest'' (35 AD3d 180, 181 [2006]). But the Appellate Division ignored the two statutes relied on by Family Court and cited two others, those prohibiting trespass (Penal Law § 140.05) and loitering (Penal Law § 240.35 [2]). We see nothing in the record to indicate that Victor was trespassing, but he apparently did violate the loitering statute, applicable to anyone who ''[l]oiters or remains in a public place for the purpose of gambling with cards, dice or other gambling paraphernalia.'' The point is moot, however, because neither simple trespass nor loitering is a ''crime'' as the term is defined in the Penal Law (§ 10.00 [6]); each is a violation, not a misdemeanor or a felony. A warrantless arrest of a juvenile is authorized only in cases where an adult could be arrested ''for a crime'' (Family Ct Act § 305.2 [2]). Victor was 15 years old at the time of his arrest, and there is no evidence in the record that the officer either believed or had reason to believe that he was older.

Finally, the presentment agency argues before us that Officer Recio's detention of Victor was not an arrest, but only a stop based on a reasonable suspicion that Victor was trespassing or loitering (*see People v Hicks*, 68 NY2d 234, 238-239 [1986]; *People v De Bour*, 40 NY2d 210, 223 [1976]). The flaws in this argument are many. Officer Recio testified to an "arrest," not a temporary detention. Temporary detentions are authorized by statute only for felonies and misdemeanors, not violations (CPL 140.50 [1]). A temporary detention justifies only a frisk, not a full-fledged search (*De Bour*, 40 NY2d at 223). And finally, assuming that transporting a suspect to the station house in handcuffs could ever be found to be only a temporary detention under *De Bour* and *Hicks*, even a temporary detention is unlawful if it is not reasonable under the circumstances. Here, nothing in the record shows that it was reasonable for Officer Recio to take Victor to the station house, instead of going with him to his apartment to get his identification.

Accordingly, the order of the Appellate Division should be reversed, without costs, the motion to suppress granted and the petition dismissed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[876 NE2d 1197, 845 NYS2d 781]

LINDA BOYD, Respondent, v MANHATTAN & BRONX SURFACE TRANSIT OPERATING AUTHORITY et al., Appellants.

Argued September 4, 2007; decided October 18, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 26, 2006. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Edgar G. Walker, J.), entered after a jury trial, which had awarded plaintiff the principal sum of $450,000, plus interest in the amount of $665.75. The modification consisted of vacating the award of interest and remanding the matter to the Clerk of Bronx County with directions to recompute interest at the rate of 3% per annum against both defendants. The Appellate Division affirmed the judgment as modified.

Boyd v Manhattan & Bronx Surface Tr. Operating Auth., 33 AD3d 545, reversed.

HEADNOTE

Carriers — Duty of Care Owed to Passenger — Injuries Caused by Defective Equipment — Instructions to Jury — Carrier's Notice of Defect

In a negligence action against a common carrier for injuries caused by defective equipment, the court should, if requested, charge the jury that the plaintiff must show that the carrier had actual or constructive notice of the defect. A common carrier can be held liable for defects in the equipment only if it knew, or with reasonable care should have known, that the equipment was defective. In an action by plaintiff, a passenger on defendants' bus who was injured when the metal strap she had grasped to steady herself slid out of position, the jury charge stating that "a bus company is required to know, and is charged with knowing the danger of its passengers from faulty maintenance of its vehicle and equipment," was open to misinterpretation as it seemed to suggest that there was something special or unique about a common carrier's duty of care. Because of the trial court's error in refusing to give a notice charge, defendants were entitled to a new trial. Their contention that no new trial was necessary because plaintiff failed to make out a prima facie case lacked merit, since the evidence supported conflicting inferences as to whether defendants made an adequate inspection of the bus, and as to whether the defect in the strap was readily observable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Carriers §§ 866, 876, 885, 1044–1046; AM JUR

2d, Premises Liability §§ 481, 483; AM JUR 2d, Trial §§ 923, 927, 932, 933.

NY JUR 2d, Carriers §§ 424, 433, 493; NY JUR 2d, Premises Liability §§ 193, 197–200; NY JUR 2d, Trial §§ 380, 388.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:164.

PROSSER AND KEETON, TORTS (5th ed) § 34.

ANNOTATION REFERENCE

See ALR Index under Buses; Carriers; Defects and Irregularities; Instructions to Jury; Notice and Knowledge.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: common /2 carrier /p notice /3 defect /s charg! instruct!

POINTS OF COUNSEL

Lawrence Heisler, Brooklyn, and *Wallace D. Gossett* for appellants. Under *Bethel v New York City Tr. Auth.*'s (92 NY2d 348 [1998]) regime of equality, plaintiff was required to prove that the Manhattan & Bronx Surface Transit Operating Authority had notice of the defective handle. Having failed to prove such notice, plaintiff's suit should have been dismissed. At a minimum, the case should be remanded for a new trial because the trial court refused to charge that plaintiff bore the burden of proof on notice. (*Espinosa v A & S Welding & Boiler Repair,* 120 AD2d 435; *Levinstim v Parker,* 27 AD3d 698; *Imhotep v State of New York,* 298 AD2d 558; *Scialpi v Island Right Homes,* 304 AD2d 551; *Weiser v Gumowitz,* 209 AD2d 509; *DeCarlo v Village of Dobbs Ferry,* 36 AD3d 749; *Marszalkiewicz v Waterside Plaza, LLC,* 35 AD3d 176; *Figueroa v Goetz,* 5 AD3d 164; *Fetterly v Golub Corp.,* 300 AD2d 1056; *Graham v Wohl,* 283 AD2d 261.)

Law Office of Francis M. DeCaro, Bronx (*Candice A. Pluchino* of counsel), for respondent. I. Plaintiff met the prima facie burden of proving actual and constructive notice through evidence of defendant's duty to inspect. (*Schiff v State of New York,* 31 AD3d 526; *Feldmus v Ryan Food Corp.,* 29 AD3d 940; *Ames v Waldbaum, Inc.,* 34 AD3d 607; *Batton v Elghanayan,* 43 NY2d 898; *Taylor v New York City Tr. Auth.,* 48 NY2d 903; *Anthony v New York City Tr. Auth.,* 38 AD3d 484; *Brown v Linden Plaza Hous. Co., Inc.,* 36 AD3d 742.) II. The court's charge to the jury pursuant to PJI 2:164 conveyed the appropriate principles of law as to standard of care and notice. (*Bell v New York City Tr. Auth.,* 21 AD3d 299; *Bethel v New York City Tr. Auth.,* 92 NY2d 348; *Dermatossian v New York City Tr. Auth.,* 67 NY2d 219; *Kroupova v Hill,* 242 AD2d 218; *Manna v Don Diego,* 261 AD2d 590; *Clark v Rubenstein,* 96 AD2d 1071; *Koehler v Grace Line, Inc.,* 285 App Div 154.)

OPINION OF THE COURT

SMITH, J.

We hold that, in a negligence action against a common carrier for injuries caused by defective equipment, the jury should be charged that the plaintiff must show the carrier had actual or constructive notice of the defect.

Facts and Procedural History

Plaintiff, unable to find a seat in a New York City bus, grasped a metal strap to steady herself. When the bus began to move, the strap slid out of position, causing injuries to her shoulder and hand. Plaintiff sued the public authority that operated the bus and its parent, claiming that the strap was defective.

Defendants asked the court to charge the jury on actual and constructive notice. While the request was never put in writing, an extended colloquy made it clear. The court was asked to charge that, even if the strap was defective, defendants were not negligent if they did not know, and would not by the use of reasonable care have known, of the defect. The court rejected the request and charged the jury, without objection, in the language of New York Pattern Jury Instruction (PJI) 2:164:

> ''A common carrier such as a bus company is required to know, and is charged with knowing the danger of its passengers from faulty maintenance of its vehicle and equipment, and is also charged with knowing how to avoid such dangers.
>
> ''A common carrier of passengers has the duty to use reasonable care under all of the circumstances in the maintenance of vehicles and equipment for the safety of its passengers. Reasonable care means that care that a reasonably prudent bus company would use under the same circumstances in keeping with the dangers and risks known to the bus company, or which it should reasonably have foreseen.''

The jury returned a verdict for plaintiff, judgment was entered in her favor, and the Appellate Division affirmed. We granted leave to appeal and now reverse.

Discussion

In *Bethel v New York City Tr. Auth.* (92 NY2d 348, 351 [1998]), we abandoned the rule that common carriers owe a ''duty of highest care,'' and decided to ''realign the standard of care required of common carriers with the traditional, basic negligence standard of reasonable care under the circumstances.'' It follows from *Bethel* that a common carrier, like any other defendant, is not an insurer of the safety of its equipment; it can be held liable for defects in the equipment only if it knew, or with reasonable care should have known, that the equipment was defective (*see e.g. Piacquadio v Recine Realty Corp.*, 84 NY2d 967 [1994]; *Levinstim v Parker*, 27 AD3d 698 [2d Dept 2006]; *Fetterly v Golub Corp.*, 300 AD2d 1056 [4th Dept 2002]). Plaintiff does not dispute this principle, but argues that the court's charge here adequately communicated it to the jury. We disagree.

The charge the court gave was not incorrect, but the statement that ''a bus company is required to know, and is charged with knowing the danger of its passengers from faulty maintenance of its vehicle and equipment'' is open to misinterpretation. Indeed, the trial judge himself, in discussing the charge with counsel, stated the law incorrectly. He said ''once it's established that there is a defect, given the obligation of the common carrier to maintain these things without defects . . . it's then the burden of proof . . . on the defendant to show that in the exercise of due care, that they could not have discovered this defect.'' The court's charge, in the absence of the specific explanation defendants requested of actual and constructive notice, could have led the jury to the same error.

In cases like this one, courts should, if requested, give a charge on actual or constructive notice. Such a charge should inform the jury that the plaintiff must prove the defendant knew, or using reasonable care should have known, that the equipment was not in a reasonably safe condition; the charge could be quite similar to PJI 2:226, which is applicable to claims against municipalities. Also, although both sides in this case agreed to the language the court did charge, future trial courts should avoid using the first sentence of PJI 2:164, which seems to suggest, contrary to *Bethel*, that there is something special or unique about a common carrier's duty of care.

Because of the trial court's error in refusing to give a notice charge, defendants are entitled to a new trial. They argue, however, that no new trial is necessary because plaintiff failed, as a matter of law, to make a prima facie case on the issue of actual or constructive notice. We reject this argument. The evidence supports conflicting inferences as to whether defendants made an adequate inspection of the bus, and as to whether the defect in the strap was readily observable. The choice between these inferences is for the jury.

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[877 NE2d 643, 846 NYS2d 593]

In the Matter of ERIC R. DINALLO, as Superintendent of the New York State Insurance Department Liquidation Bureau, et al., Appellants, v THOMAS P. DINAPOLI, as Comptroller of the State of New York, Respondent.

Argued September 4, 2007; decided October 11, 2007

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 6, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment (denominated order) of the Supreme Court, New York County (Walter B. Tolub, J.; op 9 Misc 3d 835), which had granted petitioners' application to the extent of quashing as overly broad subpoenas served by respondent upon petitioners seeking to audit all official accounts and moneys under control of petitioners in operating insolvent insurers, denying respondent's counterclaim for an order directing petitioners to comply with the remaining portions of the subpoenas, and declaring that NY Constitution, article V, § 1, State Finance Law § 111, and Abandoned Property Law § 1412-a do not empower the Comptroller of the State of New York with authority to pre-audit and post-audit the financial management and operations of all insolvent insurers operated by the New York State Insurance Department Liquidation Bureau or to audit all property of insolvent insurers held by the Superintendent of the New York State Department of Insurance; (2) reinstated the subpoenas; and (3) declared that respondent has the power to post-audit the Liquidation Bureau's financial management and operations and to audit property of distressed insurers held by the Superintendent of Insurance.

Matter of Serio v Hevesi, 40 AD3d 72, reversed.

HEADNOTE

State — Comptroller — No Authority to Audit New York State Insurance Department Liquidation Bureau

The New York State Comptroller does not have any constitutional or statutory authority to audit the New York State Insurance Department Liquidation Bureau, a separate office of the Insurance Department which conducts the day-to-day operations of distressed insurers. As the liquidation of a distressed insurer has no impact on the state fisc, it does not implicate the Comptroller's constitutional and statutory authority to superintend the fiscal affairs of the State. Although NY Constitution, article V, § 1, and State Finance Law § 111 grant the Comptroller authority to pre-audit certain expenditures involving state money, the assets of a distressed insurer do not constitute ''money[s] of the state'' or ''money[s] under [state] control'' (NY Const, art V, § 1), or ''moneys in the possession, custody or control'' of the Superintendent of Insurance ''in his . . . representative capacity'' as an officer of the State (State Finance Law § 111). When the Superintendent acts as a court-appointed receiver on behalf of distressed insurers, as opposed to his other role as supervisor and regulator of New York's insurance industry as a whole, the Superintendent is not a state officer but rather one who acts on behalf of a private entity. Nor is the Bureau, which runs the day-to-day operations of private businesses in liquidation pursuant to Supreme Court order, a ''state agency'' subject to audit by the Comptroller pursuant to State Finance Law § 8 (2-b) (a). Thus, State Finance Law § 121 (2), which permits the Comptroller to audit certain moneys not given to or owned by the State but being held by a state officer or agency, does not apply to either the Superintendent or the Bureau. Nor does the Comptroller have authority under the Abandoned Property Law to conduct the broad audit functions he sought to implement here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 23–25; AM JUR 2d, States, Territories, and Dependencies §§ 63, 76–78.

MCKINNEY's, State Finance Law § 8 (2–b) (a); §§ 111, 121 (2); NY Const, art V, § 1.

NY JUR 2d, Insurance § 303; NY JUR 2d, State of New York §§ 20, 22, 175.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies; States.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: comptroller /s audit /s insurance /5 bureau

POINTS OF COUNSEL

Davis Polk & Wardwell, New York City (*Guy Miller Struve, Kevin C. Wallace, Joshua D. Liston* and *Shannon K. Manigault* of counsel), and *Andrew J. Lorin, General Counsel, New York Liquidation Bureau,* for appellants. I. The Liquidation Bureau is not a state agency. (*Matter of Kinney,* 257 App Div 496, 281 NY 840; *Corcoran v Hall & Co.,* 149 AD2d 165; *Corcoran v National Union Fire Ins. Co. of Pittsburgh,* 143 AD2d 309; *Matter of Ideal Mut. Ins. Co.,* 140 AD2d 62; *Matter of O'Connor v New York State Employees' Retirement Sys.,* 2 AD2d 639, 4 NY2d 795; *Matter of Bean v Stoddard,* 207 App Div 276, 238 NY 618; *Matter of Consolidated Edison Co. of N.Y. v Insurance Dept. of*

State of N.Y., 140 Misc 2d 969; *Helvering v Therrell,* 303 US 218; *Maybee v State of New York,* 4 NY3d 415; *Matter of Higby v Mahoney,* 48 NY2d 15.) II. The State Constitution and the State Finance Law do not give the Comptroller the power to audit the Liquidation Bureau. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall,* 89 NY2d 160; *Matter of Bean v Stoddard,* 207 App Div 276; *Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund,* 22 NY2d 119; *Matter of Blaikie,* 11 AD2d 196; *Law Enforcement Ins. Co., Ltd. v Corcoran,* 807 F2d 38; *G. C. Murphy Co. v Reserve Ins. Co.,* 54 NY2d 69; *Matter of Lloyd v Grella,* 83 NY2d 537; *Matter of Kolb v Holling,* 285 NY 104; *Anderson v Regan,* 53 NY2d 356; *People v Newman,* 32 NY2d 379.) III. The Comptroller's limited reviews of the payments to the Liquidation Bureau from the insurance security funds do not authorize the sweeping audit called for by the Comptroller's subpoenas. (*Alliance of Am. Insurers v Chu,* 77 NY2d 573; *Matter of Allcity Ins. Co. [Kondak],* 66 AD2d 531; *Matter of Union Indem. Ins. Co. of N.Y.,* 92 NY2d 107.) IV. The Abandoned Property Law does not authorize the sweeping audit sought by the Comptroller. (*Matter of Temporary Comm. of Investigation of State of N.Y. v French,* 68 AD2d 681.)

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Evan A. Davis* and *Michael J. Byars* of counsel), and *Luke Bierman,* Albany, *Helen M. Fanshawe, Albert Wm. Brooks, John K. Dalton* and *Michael E. Kupferman* for respondent. I. Because the Superintendent is a state officer in both his regulator and liquidator capacities, State Finance Law §§ 111 and 121 (2) give the Comptroller the power to conduct the audits in question. (*Matter of Sutka v Conners,* 73 NY2d 395; *Matter of Blaikie,* 11 AD2d 196; *Matter of Lawyers Mtge. Co.,* 293 NY 159; *Matter of Smith v Levitt,* 37 AD2d 418; *Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund,* 22 NY2d 119; *Matter of Clark v Sheldon,* 106 NY 104; *Delaware County Elec. Coop. v Power Auth. of State of N.Y.,* 96 AD2d 154, 62 NY2d 877; *Matter of People [Casualty Co. of Am.],* 244 NY 443; *Matter of Worth Constr. Co., Inc. v Hevesi,* 8 NY3d 548; *Anderson v Regan,* 53 NY2d 356.) II. Because the Liquidation Bureau is a state agency within the meaning of the Governmental Accountability, Audit and Internal Control Act, section 8 (2-b) (a) of the State Finance Law gives the Comptroller the power to conduct the audits in question. (*Sebastian v State of New York,* 93 NY2d 790; *Serio v Ardra Ins. Co.,* 304 AD2d 362.) III. The Comptroller's exercise of his power to audit the Liquidation Bureau pursuant to State Finance Law § 8 (2-b) (a) and §§ 111 and 121 (2) is constitutional. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall,* 89 NY2d 160.) IV. The Superintendent's ''parade of horribles'' does not follow from the vindication of the Comptroller's audit power. (*Anderson v Regan,* 53 NY2d 356; *Matter of Consolidated Edison Co. of N.Y. v Insurance Dept. of State of N.Y.,* 140 Misc 2d 969; *Collins v Manhattan & Bronx Surface Tr. Operating Auth.,* 62 NY2d 361; *Matter of Ideal Mut. Ins. Co.,* 140 AD2d 62; *Corcoran v National Union Fire Ins. Co. of Pittsburgh,* 143 AD2d 309; *Matter of Worth Constr. Co., Inc. v Hevesi,* 8 NY3d 548.) V. Receivership of an insurance company does not remove the obligation to make payments and reports under the Abandoned Property Law to the Comptroller.

OPINION OF THE COURT

PIGOTT, J.

The central issue on this appeal is whether the New York State Comptroller has the constitutional and/or statutory authority to audit the New York State Insurance Department Liquidation Bureau. We hold that the Comptroller does not possess such authority.

I.

The Superintendent of Insurance serves in two distinct capacities: (1) as supervisor and regulator of New York State's insurance industry as a whole (*see* Insurance Law §§ 201, 301); and (2) as a court-appointed receiver on behalf of distressed insurers (*see* Insurance Law §§ 7402, 7404). As to the latter role, the Legislature, by statutory enactment, bestowed upon the Superintendent broad fiduciary powers to manage the affairs of distressed domestic insurers and to marshal and disburse their assets (*see Corcoran v Ardra Ins. Co.*, 77 NY2d 225, 232 [1990], *cert denied* 500 US 953 [1991]; *see also* Insurance Law §§ 7401-7436). This statutory scheme was devised for the protection of creditors, policyholders and the general public by furnishing a comprehensive mechanism for collecting the assets of a distressed insurer and paying its creditors (*see Matter of Transit Cas. Co. [Digirol—Superintendent of Ins.]*, 79 NY2d 13, 19 [1992], *cert denied* 506 US 869 [1992], citing *Matter of Knickerbocker Agency [Holz]*, 4 NY2d 245 [1958]).

As a court-appointed receiver, the Superintendent is authorized to either rehabilitate or liquidate a domestic insurer that meets the definition of ''insolvency'' as defined by Insurance Law § 1309 (*see* Insurance Law § 7402 [a]; § 7404). An order of rehabilitation directs the Superintendent ''to take possession of the property of such insurer and to conduct the business thereof, and to take such steps toward the removal of the causes and conditions which have made such proceeding necessary as the court shall direct'' (Insurance Law § 7403 [a]). Should the Superintendent determine that attempts to rehabilitate a distressed insurer would be ''futile,'' he may apply to Supreme Court for an order of liquidation (Insurance Law § 7403 [c]). Such order directs the Superintendent ''to take possession of the property of such insurer,'' liquidate its business, ''deal with such property and business of such insurer,'' and ''give notice to all creditors to present their claims'' (Insurance Law § 7405 [a]). An order of liquidation terminates the distressed insurer's existence, and the Superintendent '' 'for all practical purposes takes the place of the insolvent insurer' '' (*see Matter of Knickerbocker Agency [Holz]*, 4 NY2d at 251, quoting *Bohlinger v Zanger*, 306 NY 228, 234 [1954], *rearg denied* 306 NY 851 [1954]).

Upon entry of an order of liquidation, the Superintendent is ''vested by operation of law with the title to all property, contracts and rights of action of such insurer'' (Insurance Law § 7405 [b]). He has the discretionary authority to dispose of assets and compromise claims of a distressed insurer, pursuant to statutory claim priorities and subject to the approval of Supreme Court (*see* Insurance Law §§ 7428, 7434). Supreme Court, in turn, is charged with directing ''the manner in which payments and dividends to creditors shall be made'' (*Matter of Knickerbocker Agency [Holz]*, 4 NY2d at 252 [citation omitted]).

The Superintendent enforces orders of rehabilitation and liquidation through the New York State Insurance Department Liquidation Bureau (Bureau), a separate office of the Insurance Department which conducts the day-to-day operations of the distressed insurer (*see* Gillis and Calareso, *Litigators Must Prepare for Risk that Insurers May Go Into Rehabilitation or Liquidation*, 75 NY St BJ 20 [Mar./Apr. 2003]). The Bureau routinely retains personnel from the distressed insurer to assist it in the liquidation process, a practice sanctioned by Insurance Law § 7422 (a). Such individuals are compensated ''out of the funds or assets of such insurer'' (Insurance Law § 7422 [b]) and are not employees of the State (*see e.g. Matter of Kinney*, 257 App Div 496, 499 [3d Dept 1939], *affd without op* 281 NY 840 [1939]; *see also Helvering v Therrell*, 303 US 218, 221, 225 [1938]).

II.

In January 2004, the Comptroller sought to audit the financial management and operating practices of the Bureau. The Bureau rejected the Comptroller's request, asserting that the Bureau was not a ''state agency'' subject to oversight by the Comptroller. After several months of unsuccessful negotiations concerning the scope of the audit, the Comptroller issued nine testimonial subpoenas seeking an examination of the Superintendent and eight Bureau officials. The purpose of the audit was to: (1) ''determine whether the financial management and operating practices of the Liquidation Bureau are effective in carrying out its responsibility to liquidate and settle the affairs of insolvent insurance companies''; and (2) ''establish the accuracy and completeness of the abandoned property reports the Liquidation Bureau has filed with the Comptroller under the Abandoned Property Law.'' The Comptroller's asserted authority to audit the Bureau was premised on article V, § 1 of the New York State Constitution, the State Finance Law, and the Abandoned Property Law. Specifically, the Comptroller contended that his audit authority originated from his constitutional and statutory powers to audit all official accounts, moneys under the control of state officials, and the books, records and documents of entities required to file abandoned property reports with the Comptroller.

The Comptroller also served a subpoena duces tecum seeking production of documents concerning, among other things, the financial records of distressed insurers in liquidation and records from the Bureau's abandoned property account involving open and closed rehabilitated and liquidated estates. The Comptroller's asserted authority and purpose for the production of the documents was premised on the same constitutional and statutory authority set forth in the testimonial subpoenas.

The Superintendent[1] and the eight subpoenaed Bureau employees commenced this special proceeding to quash all 10 subpoenas, asserting that the Comptroller lacked the constitutional and statutory authority to audit the Bureau. They additionally asserted that the subpoenas issued relative to the proposed audits of abandoned property were overly broad and

1. This proceeding was originally commenced by then-Superintendent of Insurance Gregory V. Serio against then-Comptroller Alan G. Hevesi. Since that time, Mr. Serio has been replaced by Eric R. Dinallo, and Mr. Hevesi has been replaced by Thomas P. DiNapoli.

burdensome. In his verified answer, the Comptroller sought a declaration that he had the authority to pre-audit all Bureau expenditures and post-audit the financial management and operations of the Bureau, and that the Comptroller's power to audit encompassed all assets held by the Superintendent, including all abandoned property and abandoned property reports of open and closed insurer estates.

Supreme Court quashed the subpoenas, holding that article V, § 1 of the New York State Constitution, State Finance Law § 111 and Abandoned Property Law § 1412-a did not permit the Comptroller to pre-audit Bureau expenditures, post-audit the financial management and operations of the Bureau, or empower him to audit the property of insolvent insurers (*see Matter of Serio v Hevesi*, 9 Misc 3d 835, 841-844 [Sup Ct, NY County 2005]). In a 3-2 decision and order, the Appellate Division reversed the judgment of Supreme Court and reinstated the subpoenas, holding that the Bureau is a ''state agency'' and that the Superintendent, when acting as a liquidator, is a ''state officer,'' and therefore the Comptroller had the constitutional and statutory authority to audit the Bureau (*see Matter of Serio v Hevesi*, 40 AD3d 72, 78-81 [1st Dept 2007]). The Appellate Division further concluded that the Comptroller's audit authority was ''not limited to examining the . . . Bureau's handling of abandoned property'' but also included the power to audit open and closed liquidation proceedings (*id.* at 82). We now reverse that order and reinstate the judgment of Supreme Court.

III.

The Comptroller asserts that his constitutional and statutory authority to pre-audit Bureau expenditures and post-audit the financial management and operational practices of the Bureau is derived from article V, § 1 and State Finance Law § 111, respectively. Both provisions relate to the Comptroller's express authority to pre-audit certain expenditures. The Comptroller's asserted authority to post-audit is derived from his ''implicit constitutional authority to post-audit payments of funds under state control and his express constitutional power to audit all official accounts.''

The Comptroller's constitutional authority to pre-audit certain enumerated expenditures originates from article V, § 1, which provides, in pertinent part, that:

> ''The comptroller shall be required: (1) to audit all

> vouchers before payment and all official accounts; (2) to audit the accrual and collection of all revenues and receipts; and (3) to prescribe such methods of accounting as are necessary for the performance of the foregoing duties. The payment of any money of the state, or of any money under its control, or the refund of any money paid to the state, except upon audit by the comptroller, shall be void, and may be restrained upon the suit of any taxpayer with the consent of the supreme court in [the] appellate division on notice to the attorney-general. In such respect the legislature shall define the powers and duties and may also assign to him or her: (1) supervision of the accounts of any political subdivision of the state . . . The legislature shall assign to him or her no administrative duties, excepting such as may be incidental to the performance of these functions, any other provision of this constitution to the contrary notwithstanding.''

The aforementioned constitutional pronouncement designates the Comptroller as the ''independent auditing official for the affairs of the State'' (*Patterson v Carey*, 41 NY2d 714, 723 [1977]). As such, all of the duties delineated in article V, § 1, ''whether required or discretionary, are in furtherance of the [Comptroller's] fundamental duty of the office, to '[s]uperintend the fiscal concerns of the state' '' (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160, 166 [1996], quoting State Finance Law § 8 [1]; 4 Rep 1938 NY St Constitutional Convention Comm, State and Local Government in New York, at 337).

In 1939, the Legislature passed what is now State Finance Law § 111, the statutory counterpart to article V, § 1, to further delineate and designate the Comptroller's pre-audit authority. That provision states that:

> ''*No moneys of the state*, including moneys collected in its behalf, and *no moneys in the possession, custody or control of any officer, agent, or agency of the state in his or its representative capacity*, and no moneys in or belonging to any fund or depositary, title to which is vested in the state, shall hereafter be paid, expended or refunded except upon audit by the comptroller'' (emphasis supplied).

Since the passage of article V, § 1 and State Finance Law § 111, the Comptroller has, on certain occasions upon the consent of the Bureau, post-audited the Bureau's financial management and operating practices. The first of such post-audits was conducted in 1976; prior to that time, the Bureau operated without any pre-audits or post-audits by the Comptroller. Indeed, this is the first time the Comptroller has sought to pre-audit Bureau expenditures, now contending that any moneys expended by the Bureau without a pre-audit are void. Our interpretation of the constitutional and statutory provisions before us does not support such an argument.

We now hold that because the liquidation of a distressed insurer has no impact on the state fisc, it does not implicate the Comptroller's constitutional and statutory authority to superintend the fiscal affairs of the State and therefore the Comptroller lacks the authority to audit the Bureau.[2] Specifically, neither article V, § 1 nor State Finance Law § 111 grant the Comptroller the power to audit the Bureau because assets of a distressed insurer constitute neither "money[s] of the state" nor "money[s] under [state] control."

We recognize that the statutory framework of the Insurance Law grants the Superintendent legal title to the assets of the insolvent insurer (*see* Insurance Law § 7405 [b]); however, equitable title remains with the distressed insurer for distribution to the creditors and policyholders (*see Matter of Kinney*, 257 App Div at 499). Any assets distributed by the Superintendent to creditors are derived from the estate of the distressed insurer, subject to direction of Supreme Court (*see* Insurance Law §§ 7428, 7434). The State has no interest in those assets and thus they do not constitute "money[s] of the state." Nor do assets of a distressed insurer constitute "money[s] under [state] control" (*see generally Matter of Smith v Levitt*, 37 AD2d 418 [3d Dept 1971], *affd* 30 NY2d 934 [1972]). Such assets are segregated from the State Treasury and are not commingled with state funds. Moreover, the assets remain under the control of the Superintendent in his capacity as liquidator of a private business, not in his public capacity as a regulator and supervisor of the insurance industry, and therefore the assets are not under state control.

2. This holding is not meant to imply that the Superintendent may not be subject to an independent audit. Although the Legislature does not have the authority under our holding in *Blue Cross & Blue Shield* to assign to the Comptroller the task of auditing the Bureau, it does have the authority to require the Bureau to retain independent auditors.

The Comptroller, citing to State Finance Law § 111, argues that the assets of a liquidated insurer constitute "moneys in the possession, custody or control" of the Superintendent "in his . . . representative capacity" as an officer of the State. We disagree. When acting as liquidator of a distressed insurer, the Superintendent operates as a statutory receiver who stands in the shoes of a private entity and "takes immediate possession and control of the assets and proceeds to a liquidation of its affairs" (*Bohlinger*, 306 NY at 234). Indeed, the Superintendent as liquidator occupies a legal status that is "separate and distinct from the Superintendent of Insurance as the public official charged with regulating the industry generally" (*Matter of Ideal Mut. Ins. Co.*, 140 AD2d 62, 67-68 [1st Dept 1988]). Thus, while the Superintendent's role as liquidator is judicial and private, his role as regulator and supervisor is administrative and public. Consequently, the Superintendent as liquidator is not a state officer but rather one who acts on behalf of a private entity.

IV.

Nor do we agree that the Bureau is a "state agency" subject to audit by the Comptroller pursuant to State Finance Law § 8 (2-b) (a). Section 8 (2-b) (a), which was enacted as part of the State Governmental Accountability, Audit and Internal Control Act, permits the Comptroller to audit the "internal controls and operations of state agencies." A "state agency" is defined as "[a]ny . . . board, bureau, division, commission, committee, council, office or other governmental entity performing a governmental or proprietary function *for the state*" (State Finance Law § 2-a [3] [emphasis supplied]). The Bureau does not perform a governmental or proprietary function "for the state," but rather runs the day-to-day operations of private businesses in liquidation pursuant to Supreme Court order. The Bureau is not part of the Insurance Department's budget, operates without the benefit of state funds, maintains its own errors and omissions coverage, and is represented by its own private counsel, not the Attorney General, as is normally the case when a state agency is sued. Thus, the Bureau is not a "state agency" within the ambit of State Finance Law § 8 (2-b) (a). To hold otherwise would be to contravene article V, § 1's prohibition against the Legislature assigning to the Comptroller administrative tasks that are not incidental to his duty to superintend the fiscal concerns of the State (*see Blue Cross & Blue Shield*, 89 NY2d at 167).

Because the Superintendent as liquidator is neither a state officer, nor the Bureau a state agency, State Finance Law § 121 (2) does not apply to either the Superintendent or the Bureau. Section 121 (2) permits the Comptroller to audit those funds governed by State Finance Law § 4 (4), which applies to ''[m]oney[s] which [have] not been given, granted, or bequeathed to the state . . . and the ownership and equitable title of which belongs to an individual or organization other than the state, but which is being held by any agency or officer of the state.''

V.

Finally, the Comptroller lacks the authority under the Abandoned Property Law to conduct the broad audit functions he seeks to implement in this case. Therefore, Supreme Court properly determined that the subpoenas issued here were overly broad.

Based on the foregoing, the Appellate Division's order should be reversed, with costs, and the judgment of Supreme Court should be reinstated.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order reversed, etc.

[877 NE2d 281, 846 NYS2d 64]

BRUCE FRIEDMAN, on Behalf of Himself and All Others Similarly Situated, Appellant, v CONNECTICUT GENERAL LIFE INSURANCE COMPANY, Respondent.

Argued September 5, 2007; decided October 18, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 29, 2006. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, New York County (Richard B. Lowe, III, J.; op 2004 NY Slip Op 30089[U]), which had granted defendant's motion for summary judgment to the extent of dismissing the first, second, third, fourth, sixth, and eighth causes of action, and granted plaintiff's cross motion for summary judgment as to the fifth and seventh causes of action. The modification consisted of denying plaintiff's cross motion in its entirety, and dismissing the fifth and seventh causes of action.

Friedman v Connecticut Gen. Life Ins. Co., 30 AD3d 349, modified.

HEADNOTES

Insurance — Disability Insurance — Location of ''Relation of Earnings to Insurance'' Clause

1. Defendant insurer's placement of a ''Relation of Earnings to Insurance'' (REI) clause within the ''General Provisions'' of the disability insurance policy it issued to plaintiff, rather than with the benefit provision to which it applied, complied with Insurance Law § 3216. Although Insurance Law § 3216 (c) (7) provides that ''if an exception or reduction specifically applies only to a particular benefit of the policy, a statement of such exception or reduction shall be included with the benefit provision to which it applies,'' and the REI clause in plaintiff's policy applied solely to the ''particular benefit'' of ''Total Disability Benefit,'' subsection (c) (7) did not control placement of the REI clause. Defendant's REI clause was identical to the REI clause set forth in section 3216 (d) (2) (F), and the exceptions and reductions of indemnity set forth in subsection (d) are not subject to the placement requirements set forth in subsection (c) (7). Rather, subsection (d) (4) sets forth its own requirements for placement and captioning of the exceptions or reductions in indemnity enumerated in subsection (d), and provides that, at the insurer's option, ''any such provision may appear as a unit in any part of the policy.''

Appeal — Court of Appeals — Reinstatement of Cause of Action

2. Where the Appellate Division modified a Supreme Court order by finding that a ''Relation of Earnings to Insurance'' (REI) clause in a disability insurance policy was enforceable against plaintiff insured, the Court of Appeals, in

affirming the Appellate Division's holding with regard to the REI clause, reinstated plaintiff's eighth cause of action which alleged that, even if the REI clause was enforceable, defendant insurer had not calculated his benefits correctly. Between Supreme Court's initial order, which was addressed solely to the pleadings, and its subsequent order, which disposed of defendant's and plaintiff's motions for summary judgment and partial summary judgment respectively, neither party submitted additional facts on the subject of the eighth cause of action. Defendant's motion for summary judgment merely reasserted the argument made in its earlier motion to dismiss; that is, that plaintiff insufficiently alleged a mistake. Plaintiff did not cross-move for summary judgment on that particular cause of action, but simply took the position that there were material issues of fact regarding defendant's misapplication of the clause, assuming it to be enforceable. The Appellate Division, in modifying the Supreme Court order, did not discuss four causes of action, including the eighth, dismissed by Supreme Court as duplicative and/or moot, but instead simply affirmed that part of Supreme Court's order. As a result, plaintiff's eighth cause of action required further adjudication.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1463–1471, 1479, 1480.
COUCH ON INSURANCE (3d ed) § 182:31.
MCKINNEY's, Insurance Law § 3216 (c) (7); (d).
NY JUR 2d, Insurance §§ 595, 2005–2013.

ANNOTATION REFERENCE

See ALR Index under Health and Accident Insurance; Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: disability /2 insurance /s relation /2 earning

POINTS OF COUNSEL

Quadrino & Schwartz, P.C., Garden City (*Richard J. Quadrino* of counsel), for appellant. I. Insurance Law § 3216 (c) (7) must be liberally construed because it was enacted for the public's benefit to suppress the evil of unfair surprise to members of the public at large. II. Expressions of public policy by the Legislature and the Insurance Commissioner mandating fair disclosure and the avoidance of surprise require that the statute be liberally construed in favor of the beneficiaries. III. The Appellate Division ignored the rule of construction regarding the use of provisos and disregarded the Legislature's intent. IV. Plaintiff's construction of the statute is in harmony with the statutory scheme and thus the Appellate Division erred in finding that plaintiff's construction rendered the provision superfluous. V. The only remedy for the statutory violation is to bar enforcement of the Relation of Earnings to Insurance clause. (*Bersani v General Acc. Fire & Life Assur. Corp.,* 36 NY2d 457; *G.E. Capital Mtge. Servs. v Daskal,* 211 AD2d 613.) VI. Even if this Court agrees with the Appellate Division as to the construction of the statute, plaintiff's other causes of action must be reinstated since they were never adjudicated and only dismissed as moot.

Rivkin Radler LLP, Uniondale (*Cheryl F. Korman, Evan H. Krinick* and *Norman L. Tolle* of counsel), and *McCarter & English, LLP,* New York City (*Andrew O. Bunn* and *Raphael M. Rosenblatt* of counsel), for respondent. I. The Relation of Earnings to Insurance provision was worded, captioned and placed in the policy in accordance with the applicable provisions of the Insurance Law. (*Ivey v State of New York,* 80 NY2d 474; *People v Santorelli,* 80 NY2d 875.) II. Plaintiff's additional arguments on appeal are without merit. (*Gillman v Chase Manhattan Bank,* 73 NY2d 1; *Bersani v General Acc. Fire & Life Assur. Corp.,* 36 NY2d 457; *G.E. Capital Mtge. Servs. v Daskal,* 211 AD2d 613, 89 NY2d 861; *Carrier v Salvation Army,* 88 NY2d 298; *Hammer v American Kennel Club,* 1 NY3d 294; *Sheehy v Big Flats Community Day,* 73 NY2d 629; *Burns Jackson Miller Summit & Spitzer v Lindner,* 59 NY2d 314; *Hudes v Vytra Health Plans Long Is.,* 295 AD2d 788, 99 NY2d 505; *Sparkes v Morrison & Foerster Long-Term Disability Ins. Plan,* 129 F Supp 2d 182; *Matter of State of New York v Avco Fin. Serv. of N.Y.,* 50 NY2d 383.)

OPINION OF THE COURT

Read, J.

We are called upon to decide whether the placement of a ''Relation of Earnings to Insurance'' (REI) clause within the ''General Provisions'' of a disability insurance policy complies with Insurance Law § 3216. For the reasons that follow, we conclude that it does.

I.

Defendant Connecticut General Life Insurance Company issued a 10-page form disability income insurance policy to plaintiff Bruce Friedman, a citizen and resident of New York, on July 19, 1983. The first section of the policy, entitled ''Policy Specifications,'' sets forth a ''Monthly Indemnity for Total Disability'' in a ''Benefit Amount'' of $2,500, and an ''Annual Premium'' of $952.50. Sections entitled ''Definitions,'' ''Benefit Provisions,'' ''Exclusions and Limitations,'' ''Premium and Reinstatement Provisions'' and ''General Provisions'' immediately follow.

In its ''Benefit Provisions,'' the policy declares plaintiff eligible for a ''Monthly Indemnity for Total Disability'' of $2,500 upon proof of his total disability while the policy is in force. The REI clause, included within the ''General Provisions,'' specifies, however, that

> ''[i]f the total amount of loss of time benefits promised for the same disability under all valid loss of time coverage upon the Insured exceeds the greater of (a) the Insured's monthly earnings at the time disability commenced or (b) the Insured's average monthly earnings for the 2-year period immediately preceding a disability for which claim is made, the Company will be liable only for a reduced amount of the benefits under the policy. Such reduced amount will be (a) such proportion of the benefits otherwise provided under the policy as the amount of such monthly earnings or average monthly earnings bear to the total amount of monthly benefits for the same disability under all valid loss of time coverage upon the Insured at the time such disability commences, plus (b) a pro rata refund of the premiums paid during such 2-year period for benefits not paid. This provision, however, will not operate to reduce the total monthly amount of benefits payable under all valid loss of time coverage upon the Insured below the lesser of: (a) the sum of $300 or (b) the sum of the monthly benefits specified in such coverages. This provision will not be effective with respect to any renewal of the policy after Age 65. 'Valid loss of time coverage' means all loss of time coverage provided by any government, or agency thereof, or any Insurance company, organization or fund.''

In June 1998, plaintiff became totally disabled within the meaning of the policy.[1] He had paid all the premiums due since the policy's issuance and had otherwise complied with its terms

1. Plaintiff's premiums for the policy were waived on June 8, 1998.

and conditions. Initially, Connecticut General tendered plaintiff a monthly benefit check in the amount of $2,500. Later, however, the company applied the policy's REI clause and reduced his monthly benefits to $543.33 (plus a pro rata refund of premiums already paid, as provided by the REI clause).[2]

In a summons and complaint dated June 18, 2001, plaintiff sued Connecticut General in Supreme Court on behalf of himself and a putative class. He alleged eight causes of action arising out of the company's use of REI clauses in its insurance policies in New York and elsewhere.

Plaintiff's first and third causes of action asserted class claims under other states' statutes proscribing deceptive acts or practices in business or trade and other states' statutes and regulations governing insurance respectively. A second cause of action alleged that Connecticut General's ''conduct in the marketing and sale of'' the policies was ''materially unfair, misleading, and constituted a deceptive act or practice in the conduct of [its] business or trade'' under General Business Law § 349. As a fourth cause of action, plaintiff alleged that Connecticut General was ''in violation of New York insurance statutes and regulations.'' Plaintiff's fifth cause of action alleged breach of contract; his sixth cause of action alleged that the policy was unconscionable because of its REI clause. As remedies for the above causes of action, plaintiff principally sought damages amounting to the difference between the amount paid and the benefit amount of $2,500, and a declaration that the REI clause was void or unenforceable.

A seventh cause of action sought the statutory penalty under Insurance Law § 4226 for alleged violation of insurance regulations: a refund of premiums paid. In his eighth and final cause of action, plaintiff alleged that even if the REI clause was enforceable, Connecticut General had still underpaid him. Plaintiff therefore sought to be awarded a sum equal to the difference between the amount he considered to be due and payable and the lesser amount that he had, in fact, received.

The thrust of the complaint was that the REI clause's location in the policy was ''unfair, deceptive, and misleading'' to plaintiff and purported class members. Specifically, plaintiff

---

2. According to plaintiff's counsel, at some point Connecticut General increased his monthly benefit from $543.33 to an amount over $1,900. According to Connecticut General's counsel, plaintiff paid about $14,000 over a 15-year period in premiums and, as of November 2003, had collected roughly $98,000 in benefits.

contended that section 3216 (c) (7) of the Insurance Law mandated putting the REI clause together with the total disability benefit to which it applied, whereas Connecticut General had instead buried the REI clause in the policy's "General Provisions."

On August 3, 2001, Connecticut General moved to dismiss the complaint on grounds that plaintiff's claims were either time-barred or failed to state a cause of action. Supreme Court denied the motion in its entirety, agreeing with plaintiff that section 3216 (c) (7) mandated placing the REI clause with the benefit provision to which it applied,

> "to wit, the Total Disability Benefit. Instead, [Connecticut General] placed it in the 'General Provisions' section of the policy along with 'general' terms such as claim forms, proof of loss, payment of claims, etc. . . . [T]he Specification Page, which is the first substantive page of the policy, describes the benefit provided by the policy as $2500 without making any mention of the prior earnings 'cap.' "

Supreme Court went on to address plaintiff's eighth cause of action, although he did not need to reach it. Relying on an out-of-state case where the REI language was written by an insurance company rather than a legislature, the court opined that "it would appear that even if the clause were enforceable, plaintiff would still be entitled to the full benefit amount of the policy, in the absence of a showing that he has another disability policy providing loss of time benefits."

On May 30, 2003, plaintiff moved by order to show cause to certify a class consisting of "[a]ll insureds, owners, and beneficiaries under disability policies of insurance underwritten and sold by [Connecticut General] that contain a Relation of Earnings to Insurance Provision." On July 29, 2003, Connecticut General moved for summary judgment to dismiss the complaint. In support of its motion, the company supplied documentation to establish that the form policy issued to plaintiff had been reviewed and approved by the New York State Insurance Department for use in New York. Further, Connecticut General emphasized that

> "[t]he purpose of the REI provision is to reduce or restrict loss of time benefits if the insured was over-insured at the time of claim. Application of the provision does not deprive the insured of benefits to

> which he was entitled. To the extent premiums were paid for a greater benefit than actually received, such premiums are returned to the policyholder.''

On behalf of himself and the putative class, plaintiff on October 6, 2003 cross-moved for partial summary judgment on certain of his causes of action.

As an initial matter, Supreme Court determined that Connecticut General's ''motion for summary judgment [was], in essence, a motion to reargue the prior motion to dismiss'' and treated the prior order as law of the case (2004 NY Slip Op 30089[U], *4).[3] Ultimately, Supreme Court dismissed plaintiff's first and second causes of action on the company's motion; granted plaintiff summary judgment on his fifth cause of action for breach of contract; declared the REI clause void from the beginning, entitling plaintiff to full disability benefits going forward and reimbursement of any amounts deducted from past payments on account of the REI clause; entered judgment for plaintiff on the seventh cause of action for payment of a statutory penalty equal to the amount of premiums paid; dismissed plaintiff's third, fourth, sixth, and eighth causes of action as duplicative and/or moot; and denied class certification.

Connecticut General appealed; plaintiff cross-appealed the denial of class certification. In addition, plaintiff contended that in the event the Appellate Division reversed the order granting him summary judgment on his fifth and seventh causes of action, it should reinstate the other claims dismissed by Supreme Court.

First, the Appellate Division faulted Supreme Court for regarding Connecticut General's motion for summary judgment as a motion to reargue the motion to dismiss, and for ''treating the prior [order] as law of the case . . . since the scope of review on the two motions differs'' (30 AD3d 349, 349 [1st Dept 2006]). The court then explained that

> ''[t]his error was compounded by the prior motion court's erroneous construction of the policy language. The breach of contract claim was based upon the insurer's enforcement of its [REI] clause, which was alleged to be unenforceable under the contract due to failure to comply with statutory requirements. Specifically, the policy allegedly failed to

3. The prior motion was decided by a different Justice, who had retired by the time Connecticut General moved for summary judgment.

> notify the insured that his monthly benefit would be less than the policy's stated monthly benefit, because the location in the policy of its REI clause did not accord with the statutory requirements'' (30 AD3d at 350).

The Appellate Division rejected Supreme Court's interpretation of section 3216, holding that ''the location of the REI clause in the policy did not violate the statute, as a matter of law'' (*id.* at 351). The court denied plaintiff's cross motion in its entirety and dismissed plaintiff's fifth and seventh causes of action, ultimately directing the clerk to enter judgment in favor of defendant and dismiss the complaint. The Appellate Division did not discuss the four causes of action dismissed by Supreme Court as duplicative and/or moot based on that court's contrary interpretation of section 3216, but instead simply affirmed this part of Supreme Court's order.

Plaintiff then moved for leave to appeal to us. We granted his motion except insofar as he sought to appeal from the portion of the Appellate Division's order denying class certification, which we dismissed on the ground of finality (*see* 8 NY3d 875 [2007]).[4] We begin our analysis by considering the causes of action dismissed for the first time by the Appellate Division—the fifth cause of action for breach of contract and the seventh cause of action for a statutory penalty under Insurance Law § 4226.

II.

Plaintiff's breach-of-contract claim is premised upon a clause in the policy entitled ''Conformity with State Statutes.'' This clause, which comes directly after the REI clause in the section captioned ''General Provisions,'' states that ''[a]ny provision of the Policy . . . in conflict with the statutes of the state in which the Insured resides . . . is hereby amended to conform to the minimum requirements of such statutes'' (*see also* Insurance Law § 3103 [a] [''in all respects in which (an insurance policy's) provisions are in violation of the requirements or prohibitions of (the Insurance Law) it shall be enforceable as if it conformed with such requirements or prohibitions'']). Consequently, if Connecticut General's REI clause does not comply with the requirements of New York's Insurance Law, the reduction of

---

4. An order denying class certification is not reviewable on appeal from a final order because it does not necessarily affect the final determination (*see* Karger, The Powers of the New York Court of Appeals § 4:6, at 61 [rev 3d ed 2005]).

plaintiff's benefits in accordance with the REI clause would constitute a breach of contract.

[1] Insurance Law § 3216 (c) (7) provides that

> ''[n]o policy of accident and health insurance shall be delivered or issued for delivery to any person in this state unless: . . .
>
> ''[t]he exceptions and reductions of indemnity are set forth in the policy and, *except those which are set forth in subsection (d) of this section*, are printed, at the insurer's option, either included with the benefit provision to which they apply, or under an appropriate caption such as 'EXCEPTIONS', or 'EXCEPTIONS AND REDUCTIONS', provided that if an exception or reduction specifically applies only to a particular benefit of the policy, a statement of such exception or reduction shall be included with the benefit provision to which it applies'' (emphasis added).

Plaintiff argues that section 3216 (c) (7)'s closing proviso—i.e., ''provided that if an exception or reduction specifically applies only to a particular benefit of the policy, a statement of such exception or reduction shall be included with the benefit provision to which it applies''—should control the placement of the REI clause, which concededly applies solely to the ''particular benefit'' of ''Total Disability Benefit.'' Governing principles of statutory construction, as applied to the language of subsections (c) (7), (d) (2), and (d) (4), however, counsel otherwise.

First, section 3216 (c) (7) begins by explicitly ''except[ing] those [exceptions and reductions of indemnity] which are set forth in subsection (d) of this section'' from its further requirements as to location of exceptions and reductions of indemnity. Subsection (d) (2), in turn, states as follows:

> ''Other provisions. No such policy delivered or issued for delivery to any person in this state shall contain provisions respecting the matters set forth below unless such provisions are in the words (not including the designation by number or letter) in which the same appear in this paragraph except that the insurer may, at its option, use in lieu of any such provision a corresponding provision of different wording approved by the superintendent [of Insurance] which is not less favorable in any respect

> to the insured or the beneficiary. Any such provision contained in the policy shall be preceded individually by the appropriate caption appearing herein or, at the option of the insurer, by such appropriate individual or group captions or subcaptions as the superintendent may approve.''

Subparagraph (F) in subsection (d) (2), captioned ''RELATION OF EARNINGS TO INSURANCE,'' recites the precise wording used by Connecticut General in the REI clause that is the subject of this litigation. Thus, Connecticut General's REI clause, as an exception or reduction in indemnity ''set forth in subsection (d)'' of section 3216, is explicitly excepted from the requirements of section 3216 (c) (7) by the plain language of that statutory provision.

Plaintiff nonetheless argues that the ''subsection (d)'' exception within subsection (c) (7) modifies only the phrase ''either included with the benefit provision to which they apply, or under an appropriate caption such as 'EXCEPTIONS', or 'EXCEPTIONS AND REDUCTIONS'.'' Thus, he contends that subsection (c) (7)'s further proviso (i.e., ''provided that if an exception or reduction specifically applies only to a particular benefit of the policy, a statement of such exception or reduction shall be included with the benefit provision to which it applies'') modifies subsection (d) exceptions or reductions in indemnity. In short, plaintiff maintains that subsection (c) (7)'s final proviso is unqualified by that subsection's earlier, explicit limitation relating to subsection (d) enumeration.

''The purpose of a proviso is to restrain the enacting clause, to except something which would otherwise have been within it, or in some measure to modify it'' (McKinney's Cons Laws of NY, Book 1, Statutes § 212). ''The operation of a proviso is usually and properly confined to *the clause or distinct portion of the enactment which immediately precedes it* and does not, in the absence of a manifestly shown intent, extend to or qualify other sections or portions of the statute'' (*id.*, Comment [emphasis added]). Thus, under traditional principles of statutory construction, the proviso so heavily relied upon by plaintiff modifies only ''the clause or distinct portion of the enactment which immediately precedes it.'' The end result is that subsection (c) (7) commands that, *where no subsection (d) exception or reduction in indemnity applies*, any other exception or reduction in indemnity that pertains only to a particular policy benefit must be included with the benefit provision to which it applies.

Thus, the statutory proviso is wholly inapplicable to the REI clause.

Further, subsection (d) sets forth its own requirements for placement and captioning of the exceptions or reductions in indemnity that it enumerates. This lends additional support to our reading of section 3216 (c) (7). Specifically, section 3216 (d) (4) provides that

> ''[t]he provisions which are the subject of paragraphs one and two of this subsection, or any corresponding provisions which are used in lieu thereof in accordance with such paragraphs, shall be printed in the consecutive order of the provisions in such paragraphs or, *at the option of the insurer, any such provision may appear as a unit in any part of the policy*, with other provisions to which it may be logically related, provided the resulting policy shall not be in whole or in part unintelligible, uncertain, ambiguous, abstruse, or likely to mislead a person to whom the policy is offered, delivered or issued'' (emphasis added).

Because of this explicit direction relating to placement of subsection (d) exceptions and reductions, interpreting subsection (c) (7)'s ending proviso to govern the REI clause would inevitably create superfluity if not a downright conflict within section 3216. A court must consider a statute as a whole, reading and construing all parts of an act together to determine legislative intent (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 97), and, where possible, should ''harmonize[ ] [all parts of a statute] with each other . . . and [give] effect and meaning . . . to the entire statute and every part and word thereof'' (*id.* § 98; *see also People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979] [''It is a well-settled principle of statutory construction that a statute or ordinance must be construed as a whole and that its various sections must be considered together and with reference to each other'']). The existence of a specific placement scheme within subsection (d) reinforces our conclusion that the final proviso of subsection (c) (7) applies only to those exceptions and reductions in indemnity that are *not* enumerated in subsection (d), while subsection (d) (4)—the independent provision on placement contained within subsection (d)—applies to those exceptions and reductions in indemnity that *are* specifically enumerated in subsection (d). Only this interpretation permits subsections (c) and (d) to fit together in complete concinnity.

Because the REI clause's placement in the policy complies with section 3216, the Appellate Division correctly dismissed plaintiff's fifth cause of action for breach of contract, as that claim hinges upon the policy provision demanding conformity with state statutes. For the same reason, the Appellate Division also properly dismissed plaintiff's seventh cause of action, a claim for statutory penalties under Insurance Law § 4226 (d). We next address plaintiff's eighth cause of action.

III.

Plaintiff alleges in his eighth cause of action that even if the REI clause is enforceable, Connecticut General has not calculated his benefits correctly. He contends that once this cause of action is no longer moot, it must be reinstated because it has never been considered on its merits by any court.

[2] The record makes clear that between Supreme Court's initial order, which was addressed solely to the pleadings, and its subsequent order, which disposed of Connecticut General's and plaintiff's motions for summary judgment and partial summary judgment respectively, neither party submitted additional facts on the subject of the eighth cause of action. Connecticut General's motion for summary judgment and its supporting memoranda, exhibits, and affirmations merely reassert the argument made in its earlier motion to dismiss; that is, that plaintiff insufficiently alleged a mistake. For his part, plaintiff did not cross-move for summary judgment on this particular cause of action. Instead, he simply took the position that there were material issues of fact regarding Connecticut General's misapplication of the REI clause, assuming it to be enforceable. As a result, plaintiff's eighth cause of action requires further adjudication. Plaintiff's arguments to support revival of his other causes of action are without merit.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, without costs, by reinstating the eighth cause of action and remitting to Supreme Court for further proceedings on that cause of action, and, as so modified, should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order, insofar as appealed from, modified, etc.

[877 NE2d 960, 847 NYS2d 156]

In the Matter of the Estate of BURTON WALLENS, Deceased. MAGGIE WALLENS, Appellant; CHARLES WALLENS, Respondent.

Argued September 6, 2007; decided October 18, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Surrogate's Court, Erie County (Barbara Howe, J.), entered October 25, 2006. The Surrogate's Court approved the account of respondent, as cotrustee of the trust established by Burton Wallens, and ordered that the $100,553.36 previously repaid to the trust by respondent be returned and paid back to respondent. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 9, 2006. The Appellate Division had modified, on the law, an order of that Surrogate's Court which granted respondent's motion to dismiss petitioner's objections to his accounting to the extent that petitioner objected to expenditures made from the trust for her college education, granted petitioner's cross motion for summary judgment to the extent of sustaining as a matter of law petitioner's objections to the use of trust funds for secondary school and health care expenses and reimbursements for her personal allowance, and directed an evidentiary hearing on those objections. The modification consisted of granting the motion in its entirety, dismissing the objections in their entirety, denying the cross motion in its entirety and remitting the matter to Surrogate's Court for further proceedings. The Appellate Division affirmed the order as modified.

Matter of Wallens, 30 AD3d 962, reversed.

HEADNOTE

Trusts — Accounting — Use of Trust Assets to Meet Trustee's Support Obligation to Beneficiary

In a proceeding seeking judicial settlement of accounts of a cotrustee, a hearing was required as to whether the cotrustee breached his fiduciary duty to his daughter, the trust beneficiary, by using trust funds for the beneficiary's private secondary school education and certain health care expenses, where the beneficiary alleged that her father was required pursuant to a judgment of divorce to personally pay those expenses. The education and medical expenditures at issue fell within the class of expenditures authorized by the trust, since the terms of the trust explicitly permitted trust funds to be used for the beneficiary's "support, education, maintenance and general welfare."

Although the cotrustee sought and obtained court approval to access the trust for the beneficiary's college expenses, he did not secure judicial approval to use trust assets to pay his obligation regarding her secondary school tuition and certain medical expenses.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trusts §§ 316, 318, 349, 350, 371.
NY JUR 2d, Trusts §§ 345–347, 351, 362, 375, 380, 480.

ANNOTATION REFERENCE

See ALR Index under Custody and Support of Children; Trusts and Trustees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: trustee /s distribut! /s education & child /2 support & fiduciary

---

POINTS OF COUNSEL

Burd & McCarthy, Buffalo (*Timothy A. McCarthy* and *Kenneth F. Joyce* of counsel), for appellant. I. The trustees breached their duty of care when they expended trust funds for the support of the beneficiary despite the clear financial ability and legal obligations of the beneficiary's father to support her out of his own separate assets. (*People v Grasso,* 13 Misc 3d 1227[A], 2006 NY Slip Op 52019[U]; *Matter of Hahn,* 62 NY2d 821; *Matter of Schlussel,* 203 Misc 749, 284 App Div 68; *Matter of Martin,* 269 NY 305; *Matter of Flyer,* 23 NY2d 579; *Suesens v Daiker,* 117 App Div 668.) II. Even if the trust funds could be expended to support the beneficiary despite the father's ability and obligation to support the beneficiary out of his own assets, the trustees breached their duty of loyalty and the father as trustee violated EPTL 10-10.1 by participating in the decision to use the trust funds for his daughter's support. (*Matter of De Planche,* 65 Misc 2d 501; *Meinhard v Salmon,* 249 NY 458; *Parker v Rogerson,* 33 AD2d 284; *City Bank Farmers Trust Co. v Cannon,* 291 NY 125; *Matter of People,* 303 NY 423; *Matter of Rothko,* 71 Misc 2d 320; *Rogers v Rogers,* 111 NY 228; *Matter of Lawler,* 215 App Div 506; *Matter of Seidman,* 58 AD2d 72; *Matter of Eberhart,* 171 Misc 2d 939.) III. Even if the trustee/father and his cotrustee were not prohibited from using trust funds to support the beneficiary under the principle set forth in points I and II, the actions of the cotrustees were invalid because they violated the trustees' duty of good faith. (*O'Hayer v de St. Aubin,* 30 AD2d 419; *Meinhard v Salmon,* 249 NY 458; *Dutton v Willner,* 52 NY 312; *Munson v Syracuse, Geneva & Corning R.R. Co.,* 103 NY 58; *Matter of Balfe,* 245 App Div 22; *Matter of Hammer,* 16 AD2d 111, 12 NY2d 893; *Industrial & Gen. Trust, Ltd. v Tod,* 180 NY 215; *Matter of Rothko,* 84 Misc 2d 830.) IV. The Fourth Department's reliance upon the holdings of the foreign authorities cited was misplaced. (*Cleveland Clinic Found. v Humphrys,* 97 F2d 849; *Matter of Friedlander,* 189 App Div 90; *Brill v Wright,* 112 NY 129; *Matter of Revson,* 86 AD2d 872; *Matter of Kummer,* 93 AD2d 135.) V. The rule of coordinate jurisdiction does not apply in this case. (*Matter of Wright v County of Monroe,* 45 AD2d 932; *Belski v New York Cent. R. R.,* 38 AD2d 882; *George W. Collins, Inc. v Olsker-McLain Indus.,* 22 AD2d 485; *Martin v City of Cohoes,* 37 NY2d 162; *Matter of McGrath v Gold,* 36 NY2d 406; *Parker v Rogerson,* 33 AD2d 284; *O'Brien v Lehigh Val. R.R. Co.,* 177 Misc 25; *Board of Mgrs. of Parkchester N. Condominium v Quiles,* 234 AD2d 130; *Sullivan v Hudson Nav. Co.,* 182 App Div 152; *Kamp v Kamp,* 59 NY 212.) VI. Judge Sconiers' August 2000 order is void for lack of subject matter jurisdiction and personal jurisdiction. (*Matter of Eberhart,* 171 Misc 2d 939; *Matter of Rothko,* 84 Misc 2d 830; *Roe v Roe,* 49 Misc 2d 1070; *Albert C. v Joan C.,* 110 AD2d 803; *Crowell v Pryor,* 248 App Div 86; *Frank v Krauss,* 69 AD2d 1017; *Sipos v Kelly,* 66 AD2d 1022; *Schilling v Malark,* 13 AD3d 1153; *Matter of Delgado v Sunderland,* 290 AD2d 440.)

Hiscock & Barclay, LLP, Buffalo (*Bruce S. Zeftel* of counsel), for respondent. I. Payments by the father from the testamentary trust excuse and offset his obligation in the divorce decree. (*Cleveland Clinic Found. v Humphrys,* 97 F2d 849; *Matter of Friedlander,* 189 App Div 90; *Matter of Stackpole v Scott,* 9 Misc 2d 922; *Matter of Alice C. v Bernard G.C.,* 193 AD2d 97; *People v Roche,* 45 NY2d 78; *Rumsey v New York & New England R.R. Co.,* 133 NY 79; *Lewis v Upton,* 90 App Div 453.) II. The testator's intent was to provide trust assets for appellant's educational, general welfare and medical expenses. (*Winter v American Parkinsons Disease Assn.,* 85 NY2d 715; *Matter of Walker,* 64 NY2d 354; *Matter of Cord,* 58 NY2d 539; *Matter of Wilhelm,* 60 AD2d 32, 46 NY2d 947; *Matter of Pepper,* 307 NY 242; *Matter of Jones,* 38 NY2d 189; *Matter of Buechner,* 226 NY 440; *Matter of Pelton,* 190 Misc 624; *Maletta v Boczkowski,* 93 AD2d 828; *Matter of Martin,* 269 NY 305.) III. Appellant has not shown any breach of trust by respondent. (*Matter of Schnare,* 191 AD2d 859; *Matter of De Planche,* 65 Misc 2d 501; *Parker v*

Rogerson, 33 AD2d 284; *Matter of Rothko,* 71 Misc 2d 320; *Matter of Eberhart,* 171 Misc 2d 939; *Matter of Howe,* 4 Misc 2d 960; *Matter of Warfield,* 90 Misc 2d 899; *Matter of Seidman,* 58 AD2d 72; *Rogers v Rogers,* 111 NY 228; *Matter of Lawler,* 215 App Div 506.) IV. Justice Howe properly refused to overturn the order of Justice Sconiers. (*Kagen v Kagen,* 21 NY2d 532; *Belski v New York Cent. R. R.,* 38 AD2d 882; *Parker v Rogerson,* 33 AD2d 284, 26 NY2d 964; *Riggle v Buffalo Gen. Hosp.,* 52 AD2d 751; *Messinger v Messinger,* 16 AD3d 562; *Buffalo Downtown Garage v Winfield Assoc.,* 42 AD2d 820; *Spahn v Griffith,* 101 AD2d 1011; *Matter of Wright v County of Monroe,* 45 AD2d 932; *Matter of Haas,* 33 AD2d 1; *Matter of McCoy,* 100 Misc 2d 301.) V. All of the distributions were made on approval of the cotrustee or pursuant to court order. VI. Respondent acted on advice of counsel. (*Matter of Joost,* 50 Misc 78, 126 App Div 932; *Bown v Ramsdell,* 139 Misc 360.)

OPINION OF THE COURT

Per Curiam.

In this proceeding seeking judicial settlement of accounts of a cotrustee, we conclude that an issue of fact exists concerning whether the cotrustee breached his fiduciary duty to the trust beneficiary. Accordingly, we direct Surrogate's Court to conduct an evidentiary hearing on this matter.

In April 1992, testator Burton Wallens executed his last will and testament that, among other things, provided for the establishment of a $200,000 testamentary trust for the benefit of his granddaughter, petitioner Maggie Wallens (Maggie), then age 10. The will designated Maggie's father, respondent Charles Wallens (father), and the testator's cousin, attorney Richard D. Yellen, as cotrustees. In relevant part, the trust stated that

> ''the Trustees may distribute to [Maggie] or apply for her sole benefit so much of the income at any time and from time to time such amount of the principal thereof per year of her Trust Estate as the Trustee shall deem advisable for her proper support, education, maintenance and general welfare or may, in the Trustee's discretion, accumulate so much of the income not so distributed or applied. Any income so accumulated may be invested or reinvested or may thereafter be distributed to aid [Maggie] or applied for her benefit.''

The trust further provided that it would terminate when Maggie turned 30 years old with any remaining principal and accumulated income being distributed to her.

In March 1995, after the execution of the testator's will, but prior to his death, Maggie's mother and father divorced. At that time, Maggie was $13\frac{1}{2}$ years old and attending a private school. A year earlier, the parents had entered into a separation agreement in which father agreed to pay mother child support and certain education and health care costs for Maggie, including the cost of the private school education. The 1995 judgment of divorce, which incorporated, but did not merge, the provisions of the separation agreement, required father to pay, among other things, (1) "all educational expenses for [Maggie] at Elmwood Franklin School, Nichols and/or any other private day school the child shall attend, and at college and/or university" and (2) "any and all uninsured medical and dental expenses for the child."

In March 1997, the testator died. The will was admitted to probate and father was appointed cotrustee of the testamentary trust, together with Richard Yellen (who later resigned in 2002). At this time, father, as cotrustee, began distributing payments out of the trust for Maggie's private school education expenses. These payments were authorized by cotrustee Yellen. After Maggie began living with her father, he petitioned for a reduction/elimination of his child support obligations. In August 2000, Supreme Court issued an order relieving father of his child support obligations and directing that "the trust established by the [testator] for the benefit of the child shall be used to pay for normal and customary college costs and expenses."

In April 2003, pursuant to a petition for an accounting filed by Maggie, Surrogate's Court directed father to judicially settle his account as cotrustee. Father filed his account and Maggie objected, as pertinent to this appeal, to father's payment of her secondary school education and certain health care expenses from the trust. In her objections, Maggie alleged that the 1995 judgment of divorce required father to personally pay for certain educational and medical expenses, rather than use trust funds that would be distributed to her on her 30th birthday.

In March 2005, Surrogate's Court directed an evidentiary hearing, but a review of the record reveals that no such hearing was held. The court nevertheless sustained Maggie's objections to the use of trust funds for her private secondary school education, health care expenses and reimbursements for her personal allowance and ordered repayment to the trust. It rejected, however, her claim that the expenditures related to her college education were improper, finding that such expenditures were authorized under the August 2000 Supreme Court order.

On appeal, the Appellate Division modified the order, dismissed the objections in their entirety, and remitted the matter to Surrogate's Court for further proceedings consistent with its decision. The Appellate Division concluded that ''[father] did not engage in self-dealing, in breach of his fiduciary obligations to [Maggie] by his use of trust funds in precisely the manner authorized by the testator in the will provision establishing the trust'' (*Matter of Wallens*, 30 AD3d 962, 965 [4th Dept 2006]). Upon remittal, Surrogate's Court approved the account. For the reasons that follow, we conclude that a remittal is, once again, necessary for Surrogate's Court to conduct a hearing as to whether father carried out his fiduciary duty as a cotrustee to act, in good faith, in his daughter's interests.

To determine whether a trustee's distribution of trust assets was proper, the settlor's intent controls (*see Matter of Chase Manhattan Bank*, 6 NY3d 456, 460 [2006]). ''[T]he trust instrument is to be construed as written and the settlor's intention determined solely from the unambiguous language of the instrument itself'' (*id.*, quoting *Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256, 267 [1990]).

It is also well settled that ''a fiduciary owes a duty of undivided and undiluted loyalty to those whose interests the fiduciary is to protect'' (*Birnbaum v Birnbaum*, 73 NY2d 461, 466 [1989], citing *Meinhard v Salmon*, 249 NY 458, 463-464 [1928] [other citation omitted]). As Chief Judge Cardozo famously stated, ''[a] trustee is held to something stricter than the morals of the market place. Not honesty alone, but the punctilio of an honor the most sensitive, is then the standard of behavior'' (*Meinhard*, 249 NY at 464). ''This is a sensitive and 'inflexible' rule of fidelity, barring not only blatant self-dealing, but also requiring avoidance of situations in which a fiduciary's personal interest possibly conflicts with the interest of those owed a fiduciary duty'' (*Birnbaum*, 73 NY2d at 466 [citation omitted]). We have recognized that a ''trustee is under a duty to the beneficiary to administer the trust solely in the interest of the beneficiary'' (*Matter of Heller*, 6 NY3d 649, 655 [2006], quoting Restatement [Second] of Trusts § 170 [1]; *see also Mercury Bay Boating Club*, 76 NY2d at 270 [''(T)he trustee must administer the trust for the benefit of the beneficiaries and cannot compete with the beneficiaries for the benefits of the trust corpus'']).

In this case, we agree with the Appellate Division that the education and medical expenditures at issue fall within the class of expenditures authorized by the trust since the terms of the trust explicitly permit trust funds to be used for Maggie's "support, education, maintenance and general welfare." But even when the trust instrument vests the trustee with broad discretion to make decisions regarding the distribution of trust funds, a trustee is still required to act reasonably and in good faith in attempting to carry out the terms of the trust (*see Matter of Bruches*, 67 AD2d 456 [2d Dept 1979]; *In re Abert's Estate*, 118 NYS2d 864 [Sur Ct, NY County 1950]). Although father sought and obtained court approval to access the trust for Maggie's college expenses, he did not secure judicial approval to use trust assets to pay his obligation regarding her secondary school tuition and certain medical expenses. Thus, we remit the matter to Surrogate's Court for a hearing to determine whether the expenditures were authorized in good faith and in furtherance of the beneficiary's interests.

Accordingly, the judgment of Surrogate's Court appealed from and order of the Appellate Division brought up for review should be reversed, without costs, and the matter remitted to Surrogate's Court for further proceedings in accordance with the opinion herein.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Judgment of Surrogate's Court appealed from and order of the Appellate Division brought up for review reversed, etc.

[878 NE2d 966, 848 NYS2d 551]

CITY OF NEW YORK, Appellant, v WELSBACH ELECTRIC CORP., Respondent, et al., Defendant.

Argued September 6, 2007; decided October 23, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 1, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Diane A. Lebedeff, J.; op 2005 NY Slip Op 30107[U]), which had denied defendant Welsbach Electric Corp.'s motion for summary judgment dismissing the complaint; (2) granted the motion; and (3) dismissed the complaint as against defendant Welsbach Electric Corp.

City of New York v Welsbach Elec. Corp., 30 AD3d 157, reversed.

HEADNOTES

Judgments — Res Judicata

1. Plaintiff City was not barred by the doctrine of res judicata from maintaining its action for indemnification or contribution against defendant, where the City had been found liable in a prior action for injuries sustained in a two-car collision at an intersection controlled by a traffic signal maintained by defendant pursuant to a contract with the City which provided that defendant ''shall be solely responsible'' for any and all liability arising from its maintenance work ''and shall hold harmless and indemnify the City from liability upon any and all claims for damages on account of such injuries.'' The doctrine of res judicata applies only when a claim *between* the parties has been previously brought to a final conclusion. Here, although the City and defendant herein were named as defendants in the prior action, the City made no claim against defendant in that action.

Judgments — Collateral Estoppel

2. Plaintiff City was not barred by the doctrine of collateral estoppel from maintaining its action for indemnification or contribution against defendant, where the City had been found liable in a prior action for injuries sustained in a two-car collision at an intersection controlled by a traffic signal maintained by defendant pursuant to a contract with the City which provided that defendant ''shall be solely responsible'' for any and all liability arising from its maintenance work ''and shall hold harmless and indemnify the City from liability upon any and all claims for damages on account of such injuries.'' In the prior action, Supreme Court had granted defendant's motion for summary judgment and dismissed the complaint and all cross claims against it, holding that defendant did not ''owe a duty in tort or contract to members of the general public to perform its duties under its contract'' with the City. Defendant's claim that it fully performed its contractual obligation was not decided in, or material to, the prior action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judgments §§ 463–465, 470, 473–475, 478, 480, 482, 487, 488, 491.

CARMODY-WAIT 2d, Judgments §§ 63:450–63:460, 63:464–63:467, 63:470, 63:471.

NY JUR 2d, Judgments §§ 328–335, 337–351.

SIEGEL, NY PRAC §§ 442, 457, 458.

ANNOTATION REFERENCE

See ALR Index under Collateral Estoppel; Contribution; Indemnity; Res Judicata.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: res /2 judicata /s indemnification /3 contribution & identity /3 parties

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Ronald E. Sternberg*, *Leonard Koerner* and *Joshua Rubin* of counsel), for appellant. The Appellate Division erred in concluding that the complaint is barred by res judicata and collateral estoppel. (*Eaves Brooks Costume Co. v Y.B.H. Realty Corp.,* 76 NY2d 220; *Ayala v Kaestner,* 224 AD2d 266; *Pizzaro v City of New York,* 188 AD2d 591; *Francois v New York City,* 161 AD2d 319; *Raquet v Braun,* 90 NY2d 177; *Parada v City of New York,* 283 AD2d 314; *Bay Ridge Air Rights v State of New York,* 44 NY2d 49; *Musco v Conte,* 22 AD2d 121; *Matter of Reilly v Reid,* 45 NY2d 24; *Triboro Fastener & Chem. Prods. Corp. v Lee,* 236 AD2d 603.)

London Fischer LLP, New York City (*Bernard London, Daniel Zemann, Jr., Anthony D. Capasso* and *Daniel W. London* of counsel), for respondent. The City of New York's action is barred by res judicata. (*O'Brien v City of Syracuse,* 54 NY2d 353; *Marinelli Assoc. v Helmsley-Noyes Co.,* 265 AD2d 1; *Matter of Reilly v Reid,* 45 NY2d 24; *Fifty CPW Tenants Corp. v Epstein,* 16 AD3d 292; *Zakshevsky v City of New York,* 149 Misc 2d 52; *Rocco v Pension Plan of N.Y. State Teamsters Conference Pension & Retirement Fund,* 5 Misc 3d 1027; *Stevens v New York City Tr. Auth.,* 19 AD3d 583; *Siler v 146 Montague Assoc.,* 228 AD2d 33; *Garrett v Holiday Inns,* 58 NY2d 253; *Galka v City of Albany,* 285 App Div 27.)

OPINION OF THE COURT

JONES, J.

The question before us is whether the Appellate Division erred in concluding that the plaintiff City of New York was barred by the doctrines of res judicata and collateral estoppel from maintaining its action for indemnification or contribution against defendant Welsbach Electric Corporation. We determine that these doctrines do not apply in this case and therefore reverse the Appellate Division's dismissal of the City's complaint.

In 1992, Welsbach contracted with the City to maintain certain traffic signals in Queens County. The contract contained an indemnity clause providing that Welsbach ''shall be solely responsible'' for any and all liability arising from its maintenance work ''and shall hold harmless and indemnify the City from liability upon any and all claims for damages on account of such injuries.''

In 1993, a two-car collision occurred at an intersection controlled by a traffic signal maintained by Welsbach. Thereafter, the driver and passenger of one car (the *Angerome* plaintiffs) commenced an action alleging, among other things, negligence by the other driver, John Malin, Welsbach and the City. As against Welsbach and the City, the *Angerome* plaintiffs alleged that their injuries resulted from the negligent repair and maintenance of the traffic control signal—specifically, that a ''green-green'' signal anomaly caused the accident. Malin cross-claimed against the City and Welsbach, among others. Welsbach, in turn, asserted a cautionary cross claim against the City and the other defendants. Relevant to the question before us, however, the City did not cross-claim against Welsbach.

Eventually, Welsbach moved for summary judgment on two grounds: first, that it owed ''no duty in tort to members of the general public'' in ''perform[ing] its contract with the CITY'' and second, that it ''timely and completely performed its contractual obligations with the CITY.''

Supreme Court granted Welsbach's motion and dismissed the complaint and all cross claims against it, holding that Welsbach did not ''owe a duty in tort or contract to members of the general public to perform its duties under its contract'' with the City. The City did not appeal from entry of judgment of dismissal against Welsbach. After a jury trial on the remaining claims, the City was found 100% liable for plaintiffs' injuries and a judgment awarding damages was entered against it.

Specifically, the jury found that each motorist had a green signal and that neither was negligent. The jury's awards were subsequently reduced by the Appellate Division (*see Angerome v City of New York*, 300 AD2d 423 [2d Dept 2002]).

Upon satisfaction of the reduced judgment in the *Angerome* action, the City commenced this action against Welsbach for indemnification or contribution, as a matter of contract or common law. The City alleged that Welsbach was negligent in failing to maintain and repair the traffic signal that caused the accident. Welsbach then moved for summary judgment dismissing the complaint on the grounds of res judicata and collateral estoppel.

Supreme Court denied the motion, holding that res judicata was not a bar because, ''[w]hile the entire *Angerome* action arose out of a motor vehicle accident, no action or cross claim existed between the City and Welsbach,'' and thus ''no transaction as between these two parties was ever raised'' (2005 NY Slip Op 30107[U], *6). Therefore, according to the court, ''the City cannot be said to be seeking a second chance to litigate against Welsbach in the present action'' (*id.*). Additionally, the court concluded that collateral estoppel did not bar the City's action because the summary judgment order in *Angerome* had not addressed Welsbach's fault or contribution, and because Welsbach's liability was never raised before the jury.

The Appellate Division disagreed and concluded that both res judicata and collateral estoppel barred the City's action because Supreme Court, in deciding the motion for summary judgment, had found that Welsbach owed no duty to the general public and that it had properly performed its contractual obligations to the City. Therefore, the court concluded, allegations of Welsbach's conduct ''have been previously litigated between the parties and resolved in Welsbach's favor'' (30 AD3d 157, 158 [2006]). Because the Appellate Division fundamentally misconstrued Supreme Court's order and the City's posture vis-à-vis Welsbach, we now reverse.

[1] One linchpin of res judicata is an identity of parties actually litigating successive actions against each other: the doctrine applies only when a claim *between* the parties has been previously ''brought to a final conclusion'' (*Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343, 347 [1999]; *see also Matter of LaRocco v Goord*, 43 AD3d 500, 500 [3d Dept 2007] [res judicata bars a party ''from bringing additional actions (against) the same part(y) on the same claims based upon the same harm'']). Here, the City made no claim against Welsbach in the *Angerome* action.

[2] For similar reasons, the City's action is not barred by collateral estoppel. This doctrine applies only ''if the issue in the second action is identical to an issue which was raised, necessarily decided and material in the first action, and the plaintiff had a full and fair opportunity to litigate the issue in the earlier action'' (*Parker*, 93 NY2d at 349; *see also Ryan v New York Tel. Co.*, 62 NY2d 494, 500 [1984]). The Appellate Division's conclusion—and Welsbach's contention—that the *Angerome* court found, in its grant of summary judgment, that Welsbach ''properly performed its contractual obligations to the City'' (30 AD3d at 158) is unsupported by the record. Although Welsbach argued the point in its motion for summary judgment, Supreme Court did not base its grant of the motion on this ground; nor could it have because, as that court concluded, ''the City raised no cross claims against Welsbach'' and, thus, the issue was never ''part of'' the *Angerome* action (2005 NY Slip Op 30107[U], *5, 6; *see O'Brien v City of Syracuse*, 54 NY2d 353, 358 [1981]; *see also Matter of Reilly v Reid*, 45 NY2d 24, 27 [1978]). Because the summary judgment court granted Welsbach's motion only with respect to a duty to the general public, Welsbach did not participate in any respect in the *Angerome* trial, and no issue regarding Welsbach's liability was presented to the jury. Indeed, we find no record statement that could animate a contrary conclusion. Therefore, Welsbach's claim that it fully performed its contractual obligation was not decided in, or material to, the first action, and the City's claim in this regard should proceed.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[878 NE2d 969, 848 NYS2d 554]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN TAYLOR, Appellant.

Argued September 10, 2007; decided October 23, 2007

SUMMARY

APPEAL, pursuant to NY Constitution, article VI, § 3 (b) and CPL 450.70 (1), from a judgment of the Supreme Court, Queens County (Stephen W. Fisher, J.; *see* 2002 NY Slip Op 50367[U]), rendered January 8, 2003. The judgment convicted defendant, upon a jury verdict, of murder in the first degree (six counts), murder in the second degree (10 counts), and attempted murder in the first degree (two counts), and sentenced defendant, upon a penalty phase jury determination, to death on three of the counts of murder in the first degree, and 25 years to life imprisonment on each of the 15 remaining counts, to run consecutively to the extent permitted by law.

HEADNOTE

Crimes — Capital Murder — Deadlock Instruction Unconstitutional under State Constitution — Vacatur of Death Sentence

Defendant's death sentence was vacated and the case remitted to Supreme Court for resentencing in accordance with CPL 470.30 (5) (c) and Penal Law §§ 60.06 and 70.00 in view of the Court of Appeals subsequent decision in *People v LaValle* (3 NY3d 88 [2004]), which declared that CPL 400.27 (10)'s deadlock jury instruction, pursuant to which a judge must tell jurors that if they fail to unanimously agree upon a sentence of either death or life without parole, the judge would sentence the defendant to life imprisonment with parole eligibility after serving a minimum term of between 20 to 25 years, violated the State Constitution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts §§ 129, 133, 140; AM JUR 2d, Criminal Law §§ 997–1000; AM JUR 2d, Trial § 1220.

CARMODY-WAIT 2d, Courts and Their Jurisdiction §§ 2:302, 2:304, 2:307, 2:309, 2:315; CARMODY-WAIT 2d, Criminal Procedure § 172:4068.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.8, 26.1.

MCKINNEY'S, CPL 400.27 (10).

NY JUR 2d, Courts and Judges §§ 207, 210, 232; NY JUR 2d, Criminal Law §§ 2190, 2194, 2687, 2690, 3170.

SIEGEL, NY PRAC § 449.

ANNOTATION REFERENCE

See ALR Index under Capital Offenses and Punishment; Fair and Impartial Trial; Hung Jury; Precedents.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: vacat! /s death & deadlock!

POINTS OF COUNSEL

Kevin M. Doyle, Capital Defender, New York City (*Susan H. Salomon* and *Barry J. Fisher* of counsel), for appellant. I. *People v LaValle* (3 NY3d 88 [2004]) requires voiding John Taylor's death sentences. (*People v Favor,* 82 NY2d 254; *People v Mitchell,* 80 NY2d 519; *People v Pepper,* 53 NY2d 213; *People v Hobson,* 39 NY2d 479; *Payne v Tennessee,* 501 US 808; *Arizona v Rumsey,* 467 US 203; *Semanchuck v Fifth Ave. & 37th St. Corp.,* 290 NY 412; *People v Bing,* 76 NY2d 331; *People v Damiano,* 87 NY2d 477; *Grace Plaza of Great Neck v Elbaum,* 82 NY2d 10.) II. Since the death penalty no longer functions in this state, John Taylor's execution would not measurably further any goals of punishment; it would therefore constitute cruel and unusual punishment and violate, as well, this State's common-law principles granting offenders the benefits of ameliorated punishment. (*People v LaValle,* 3 NY3d 88; *Pulley v Harris,* 465 US 37; *Furman v Georgia,* 408 US 238; *Gregg v Georgia,* 428 US 153; *Coker v Georgia,* 433 US 584; *Enmund v Florida,* 458 US 782; *Walton v Arizona,* 497 US 639; *McCleskey v Kemp,* 481 US 279; *Thompson v Oklahoma,* 487 US 815; *People v Hooks,* 96 AD2d 1001.) III. Under New York's Constitution, the death penalty constitutes cruel and unusual punishment and, without compelling state interest, deprives citizens of the fundamental right to life and, thereby, of due process and equal protection. (*People v P.J. Video,* 68 NY2d 296; *Gregg v Georgia,* 428 US 153; *Furman v Georgia,* 408 US 238; *People v Fitzpatrick,* 32 NY2d 499; *Woodson v North Carolina,* 428 US 280; *People v Smith,* 63 NY2d 41; *Atkins v Virginia,* 536 US 304; *People v LaValle,* 3 NY3d 88; *Roper v Simmons,* 543 US 551; *People v Isaacson,* 44 NY2d 511.) IV. Four of John Taylor's six convictions for first-degree murder—those for commanding Craig Godineaux to kill three victims and for killing Anita Smith himself—were against the weight of the evidence, and the command convictions were not even supported by legally sufficient evidence. (*People v Mateo,* 2 NY3d 383; *People v Couser,* 258 AD2d 74, 94 NY2d 631; *People v*

Rayam, 94 NY2d 557; *People v Cahill,* 2 NY3d 14; *People v Ryan,* 82 NY2d 497; *Jackson v Virginia,* 443 US 307; *People v Higgins,* 5 NY2d 607; *People v Crum,* 272 NY 348; *People v Davis,* 43 NY2d 17; *People v Blim,* 63 NY2d 718.) V. Police and prosecutors interrogated John Taylor even after his counsel in a pending robbery case informed them that her representation covered any new arrest, including the Wendy's matter, and that he should not be questioned. Because Taylor's right to counsel thereby indelibly attached and a later "waiver" of counsel was obtained outside his lawyer's presence, his subsequent confessions were wrongly admitted. (*People v Lennon,* 243 AD2d 495, 91 NY2d 942; *Moran v Burbine,* 475 US 412; *People v West,* 81 NY2d 370; *People v Donovan,* 13 NY2d 148; *People v Garofolo,* 46 NY2d 592; *People v Pinzon,* 44 NY2d 458; *People v Gunner,* 15 NY2d 226; *People v Failla,* 14 NY2d 178; *People v Schaeffer,* 56 NY2d 448; *People v Byrne,* 47 NY2d 117.) VI. Over repeated defense objections and mistrial motions, the court let a prosecution psychologist testify extensively about accomplice Craig Godineaux's difficult childhood and cognitive impairments. This evidence was irrelevant to determining John Taylor's conduct or mental state, and a back door to unconfronted hearsay from Godineaux and his relatives. But the prosecutor used it to cast Godineaux as pathetic and comparatively blameless, and to assign the culpability for the killings—including "command" responsibility—to Taylor. (*Crawford v Washington,* 541 US 36; *People v Goldstein,* 6 NY3d 119; *People v Couser,* 94 NY2d 631; *People v Cratsley,* 86 NY2d 81; *Atkins v Virginia,* 536 US 304; *People v Sandoval,* 34 NY2d 371; *People v Miller,* 39 NY2d 543; *People v Marx,* 305 AD2d 726; *People v Freshley,* 87 AD2d 104; *People v Primo,* 96 NY2d 351.) VII. After convicting Craig Godineaux of murder for intending in advance to kill all the Wendy's victims, the prosecution argued the opposite at John Taylor's trial: that Godineaux had no intent to hurt anyone until Taylor killed two victims and told him to shoot the rest. Because the prosecution employed its contradictory theory both to argue that Godineaux must have acted at Taylor's "command" and to heighten Taylor's relative culpability at the sentencing hearing, this unethical tactic violated due process, requiring reversal of the command convictions and death sentences. (*People v Edwards,* 274 AD2d 754; *People v Cabey,* 85 NY2d 417; *People v La Belle,* 18 NY2d 405; *People v Torres,* 153 AD2d 911; *People v Godineaux,* 2 AD3d 875; *People v Couser,* 94 NY2d 631; *People v Santorelli,* 95 NY2d 412; *Drake v Kemp,* 762 F2d 1449; *Smith v Groose,* 205 F3d 1045; *Thompson v Calderon,* 120 F3d 1045.)

VIII. In sentencing summation, the prosecutor falsely insinuated that John Taylor's past involved convictions for crimes of violence. The court had licensed this misconduct when it improperly refused to submit the mitigating factor that Taylor had no history of convictions involving the use of violence, relegating the defense instead to qualifying the mitigator, undeservedly, as one of no ''significant'' history. (*People ex rel. Harris v Sullivan,* 74 NY2d 305; *People v Duggins,* 3 NY3d 522; *People v Blair,* 90 NY2d 1003; *People v Carborano,* 301 NY 39.) IX. The court permitted the prosecution to impugn, as manipulative and tantamount to child abuse, John Taylor's presentation of his children as mitigation witnesses—and then compounded the harm by warning the jury that it was not to consider the pain or sadness the children might feel if Taylor were executed. (*Marshall v Hendricks,* 307 F3d 36; *Burns v Gammon,* 260 F3d 892; *Penry v Lynaugh,* 492 US 302; *Washington v Texas,* 388 US 14; *People v Manganaro,* 218 NY 9; *People v Robinson,* 260 AD2d 508; *People v Diaz,* 170 AD2d 202, 172 AD2d 341; *People v Collins,* 140 AD2d 186; *People v Calabria,* 94 NY2d 519; *People v Skinner,* 298 AD2d 625.) X. Unchecked by the court, the prosecution impermissibly cast sentencing as a contest between the victims and defendant, centered on their comparative worth and rights. (*People v Harris,* 98 NY2d 452; *People v Miller,* 6 NY2d 152; *People v Caruso,* 246 NY 437; *People v LaValle,* 3 NY3d 88; *People v Mleczko,* 298 NY 153; *People v Peller,* 291 NY 438; *People v Blair,* 90 NY2d 1003; *Payne v Tennessee,* 501 US 808; *Humphries v Ozmint,* 397 F3d 206; *People v Manganaro,* 218 NY 9.) XI. The trial court violated John Taylor's nonwaivable right to a jury of 12 when it substituted an alternate juror for a regular juror after penalty-phase opening arguments. (*People v Cosmo,* 205 NY 91; *People v Page,* 88 NY2d 1; *People v Ryan,* 19 NY2d 100; *People v Cahill,* 2 NY3d 14; *Cancemi v People,* 18 NY 128.) XII. The court wrongly refused to consider John Taylor's unchallenged claim that New York's lethal-injection procedures create a substantial risk of prolonged and torturous executions and thus constitute cruel and unusual punishment. (*Campbell v Wood,* 18 F3d 662; *Gregg v Georgia,* 428 US 153; *Oken v Sizer,* 321 F Supp 2d 658; *Beardslee v Woodford,* 395 F3d 1064; *Brown v Crawford,* 408 F3d 1027, 544 US 1046; *Morales v Hickman,* 415 F Supp 2d 1037, 438 F3d 926; *Fierro v Gomez,* 77 F3d 301; *Weems v United States,* 217 US 349.)

Richard A. Brown, District Attorney, Kew Gardens (*Gary S. Fidel, John M. Castellano* and *Donna Aldea* of counsel), and

New York Prosecutors Training Institute (*Susan L. Valle, Debra Whitson* and *Robert J. Conflitti* of counsel), for respondent. I. The deadlock instruction is neither unconstitutional on its face nor as applied to this case. (*People v LaValle,* 3 NY3d 88; *Brady v State of New York,* 80 NY2d 596; *People v Bright,* 71 NY2d 376; *People v Nebbia,* 262 NY 259; *People ex rel. Henderson v Board of Supervisors of County of Westchester,* 147 NY 1; *People v Stuart,* 100 NY2d 412; *Ulster Home Care v Vacco,* 96 NY2d 505; *People v Nelson,* 69 NY2d 302; *National Endowment for Arts v Finley,* 524 US 569; *Hoffman Estates v Flipside, Hoffman Estates, Inc.,* 455 US 489.) II. Defendant does not have standing to challenge New York's death penalty statute on grounds inapplicable to his case; but in any event, the statute must be upheld under the State and Federal Constitutions. (*People v Broadie,* 37 NY2d 100, 423 US 950; *Gregg v Georgia,* 428 US 153; *People v Hale,* 173 Misc 2d 140, *revd on other grounds sub nom. Matter of Hynes v Tomei,* 237 AD2d 52, 92 NY2d 613, 527 US 1015; *People v Kemmler,* 119 NY 580; *People v Davis,* 43 NY2d 17; *People v Scalza,* 76 NY2d 604; *People v Bright,* 71 NY2d 376; *People v Stuart,* 100 NY2d 412; *Cohen v State of New York,* 94 NY2d 1; *McGowan v Burstein,* 71 NY2d 729.) III. Defendant was properly found guilty of first-degree murder. The jury's sentencing determination was proper in light of the nature and circumstances of defendant's crimes. (*People v Cahill,* 2 NY3d 14; *People v Bleakley,* 69 NY2d 490; *People v Cabey,* 85 NY2d 417; *People v Davis,* 43 NY2d 17; *People v Crum,* 272 NY 348; *People ex rel. MacCracken v Miller,* 291 NY 55; *Tibbs v Florida,* 457 US 31; *People v Mateo,* 2 NY3d 383.) IV. The court below properly denied suppression of defendant's statements because the right to counsel did not attach as a result of the unilateral efforts of an attorney whose representation defendant spontaneously and unequivocally rejected at the first available opportunity. (*People v West,* 81 NY2d 370; *People v Bing,* 76 NY2d 331; *Faretta v California,* 422 US 806; *People v Coates,* 74 NY2d 244; *People v LaClere,* 76 NY2d 670; *People v Wilson,* 89 NY2d 754; *People v Garofolo,* 46 NY2d 592; *People v Gunner,* 15 NY2d 226; *People v Marrero,* 51 NY2d 56; *People v Lennon,* 243 AD2d 495.) V. The trial court properly admitted the testimony of Dr. Martell, and defendant waived any Confrontation Clause challenge to the out-of-court statements that were part of the basis of the expert's opinion. (*Price v New York City Hous. Auth.,* 92 NY2d 553; *People v Cronin,* 60 NY2d 430; *People v Lee,* 96 NY2d 157; *People v Wilder,* 93 NY2d 352; *People v Scarola,* 71 NY2d 769; *People v Davis,* 43 NY2d 17; *People v Yazum,* 13

NY2d 302; *People v Mateo,* 2 NY3d 383; *People v Rojas,* 97 NY2d 32; *People v Rivera,* 96 NY2d 749.) VI. The prosecutor's guilt-phase argument at defendant's trial did not contradict the codefendant's plea allocution with respect to the overall theory of the prosecution. (*People v Santos,* 86 NY2d 869; *People v Medina,* 53 NY2d 951; *People v Kelly,* 5 NY3d 116; *People v Yong Yun Lee,* 92 NY2d 987; *People v Ahmed,* 66 NY2d 307; *People v Jackson,* 196 NY 357; *People v Udzinski,* 146 AD2d 245; *Wainwright v Sykes,* 433 US 72; *People v Harris,* 98 NY2d 452; *People v Emieleta,* 238 NY 158.) VII. Defendant's four claims of guilt-phase error, pertaining to the command counts on which the jury did not sentence defendant to death, have no bearing on the death sentence. (*Blystone v Pennsylvania,* 494 US 299; *Boyde v California,* 494 US 370; *People v Harris,* 177 Misc 2d 378; *Brown v Sanders,* 546 US 212; *Stringer v Black,* 503 US 222; *Flamer v Delaware,* 68 F3d 736; *Williams v Calderon,* 52 F3d 1465; *Hamilton v Mullin,* 436 F3d 1181; *Chapman v California,* 386 US 18; *People v Crimmins,* 36 NY2d 230.) VIII. The prosecutor's penalty-phase summation and the court's penalty-phase instructions were both proper. (*People v Ashwal,* 39 NY2d 105; *People v Marks,* 6 NY2d 67; *People v Halm,* 81 NY2d 819; *People v Galloway,* 54 NY2d 396; *People v Brosnan,* 32 NY2d 254; *Darden v Wainwright,* 477 US 168; *People v Harris,* 98 NY2d 452; *People v Crimmins,* 36 NY2d 230; *People v Romero,* 7 NY3d 911.) IX. The trial court's substitution of an alternate juror, upon defendant's request, after guilt phase deliberations had been completed and prior to deliberations concerning sentencing was proper. (*People v Ahmed,* 66 NY2d 307; *People v Patterson,* 39 NY2d 288; *People v Webb,* 78 NY2d 335; *People v Carvajal,* 6 NY3d 305; *Cancemi v People,* 18 NY 128; *People v Cosmo,* 205 NY 91; *People v Tarsia,* 50 NY2d 1; *United States v Spero,* 331 F3d 57; *People v Dekle,* 56 NY2d 835; *People v Degondea,* 3 AD3d 148.) X. The trial court correctly rejected defendant's challenge to lethal injection procedures because the challenge is not ripe. Further, this Court lacks jurisdiction to consider the challenge, and defendant has not brought an essential party before the Court. (*People v Nieves,* 2 NY3d 310; *People v Stevens,* 91 NY2d 270; *Matter of Hynes v Karassik,* 47 NY2d 659; *People v Hernandez,* 93 NY2d 261; *Church of St. Paul & St. Andrew v Barwick,* 67 NY2d 510, 479 US 985; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo,* 64 NY2d 233; *Matter of Gordon v Rush,* 100 NY2d 236; *New York Pub. Interest Research Group v Carey,* 42 NY2d 527; *People v Arroyo,* 178 Misc 2d 653; *Cuomo v Long Is. Light. Co.,* 71 NY2d 349.)

Stephen Greenwald, New York City, for Association of the Bar of the City of New York, amicus curiae. I. The strict scrutiny standard applies to New York substantive due process claims involving the death penalty. (*Town of Orangetown v Magee,* 88 NY2d 41; *City of Amsterdam v Helsby,* 37 NY2d 19; *Mark G. v Sabol,* 93 NY2d 710; *People v Koertge,* 182 Misc 2d 183; *Furman v Georgia,* 408 US 238; *People v Adams,* 53 NY2d 241; *People v P.J. Video,* 68 NY2d 296; *People v Alvarez,* 70 NY2d 375; *People v Scott,* 79 NY2d 474; *Cooper v Morin,* 49 NY2d 69.) II. New York's death penalty statute does not pass the strict scrutiny test, and therefore it violates the Due Process Clause. (*People v Smith,* 63 NY2d 41; *People v Fitzpatrick,* 32 NY2d 499; *People v Davis,* 43 NY2d 17; *People v Oliver,* 1 NY2d 152; *People v Hale,* 173 Misc 2d 140; *Matter of Westchester County Med. Ctr. [O'Connor],* 72 NY2d 517; *Furman v Georgia,* 408 US 238; *Sumner v Shuman,* 483 US 66.) III. Other states, international communities and other sources show that New York's death penalty fails the least restrictive means test and violates due process. (*People v LaValle,* 3 NY3d 88.)

Theodore M. Shaw, New York City, *Jacqueline A. Berrien, Deborah Fins, Miriam Gohara* and *Christina Swarns* for NAACP Legal Defense and Educational Fund, Inc. and others, amici curiae. I. Racial bias persists. (*People v Cahill,* 2 NY3d 14; *McCleskey v Kemp,* 481 US 279; *Buckhannon Board & Care Home, Inc. v West Virginia Dept. of Health & Human Resources,* 532 US 598; *Burlington Industries, Inc. v Ellerth,* 524 US 742; *National Railroad Passenger Corporation v Morgan,* 536 US 101; *Proud v Stone,* 945 F2d 796; *Georgia v McCollum,* 505 US 42.) II. The life or death sentencing decision is especially vulnerable to the influence of racial bias. (*Walton v Arizona,* 497 US 639; *Turner v Murray,* 476 US 28; *Zant v Stephens,* 462 US 862; *People v Cahill,* 2 NY3d 14; *Wainwright v Witt,* 469 US 412; *Miller-El v Dretke,* 545 US 231; *People v Harris,* 98 NY2d 452.) III. The Court should not reinstate the death penalty, given the risk of racial bias in death sentencing and the harm it creates. (*Beck v Alabama,* 447 US 625; *People v LaValle,* 3 NY3d 88; *McCleskey v Kemp,* 481 US 279; *Swain v Alabama,* 380 US 202; *Miller-El v Dretke,* 545 US 231; *People v Harris,* 98 NY2d 452; *J. E. B. v Alabama ex rel. T. B.,* 511 US 127; *Edmonson v Leesville Concrete Co.,* 500 US 614; *Powers v Ohio,* 499 US 400.)

Catherine Abate, New York City, for New Jersey Crime Victims' Law Center, amicus curiae. The experience of New Jersey's victims leads inexorably to the conclusion that life without parole is preferable to the death penalty as the sanction for first-degree murder. (*People v LaValle,* 3 NY3d 88; *People v Cahill,* 2 NY3d 14.)

Tobin and Dempf LLP, Albany (*Michael L. Costello* of counsel), for New York Religious Leaders Against the Death Penalty and others, amici curiae. I. The views of the religious community are relevant. (*Weems v United States,* 217 US 349; *Trop v Dulles,* 356 US 86; *Atkins v Virginia,* 536 US 304; *People v Broadie,* 37 NY2d 100; *People v Smith,* 63 NY2d 41; *California v Brown,* 479 US 538; *Penry v Lynaugh,* 492 US 302; *Bowen v Kendrick,* 487 US 589; *Stanford v Kentucky,* 492 US 361; *Ford v Wainwright,* 477 US 399.) II. The death penalty constitutes cruel and unusual punishment under New York's Constitution. (*People v Barber,* 289 NY 378; *People v Alvarez,* 70 NY2d 375; *People ex rel. Arcara v Cloud Books,* 68 NY2d 553; *People v Scott,* 79 NY2d 474; *People v P.J. Video,* 68 NY2d 296.) III. Capital punishment violates human dignity and contemporary standards of decency.

Connors & Vilardo, LLP, Buffalo (*Terrence M. Connors, Vincent E. Doyle III* and *Jennifer R. Scharf* of counsel); *Harrington & Mahoney* (*James P. Harrington* and *Mark J. Mahoney* of counsel); *Hodgson Russ LLP* (*Joseph V. Sedita* of counsel); *David Gerald Jay; Personius Melber, LLP* (*Rodney O. Personius* of counsel); *Rosenthal, Siegel, Muenkel & Meyers, LLP* (*Cheryl Meyers Buth* of counsel); *J. Glenn Davis; LoTempio & Brown, P.C.* (*Patrick J. Brown* of counsel); *Daniel B. Boeck, Frank Bogulski, Wesley M. Brown,* Blasdell, *James M. Byrnes,* Rochester, *E. Carey Cantwell,* Buffalo; *Law Office of A. Joseph Catalano*, Niagara Falls (*A. Joseph Catalano* of counsel); *Law Offices of John Trigilio,* Buffalo (*Elizabeth J. Ciambrone* of counsel); *Robert N. Convissar, Paul G. Dell, Thomas C. Farley,* Derby, *Noemi Fernandez-Hiltz,* Buffalo, *Philip S. Glickman,* Rochester, *Robert M. Goldstein,* Buffalo, *Thomas N. Graziani,* Williamsville, *Sean Dennis Hill,* Buffalo, *Alan S. Hoffman, Paul V. Hurley,* East Aurora, *John Keavey,* Buffalo, *James E. Kerrigan,* Ithaca, *Karen A. Korkuk,* Buffalo, *Judith M. Kubiniec, Amy L. Lupiani, Paul D. MacAulay,* Rochester, *John C. Putney,* Mount Morris, *Center for Community Alternatives,* Syracuse (*Alan Rosenthal* of counsel); *Timothy A. Roulan,* Old Forge, *Michael J. Stachowski,* Buffalo, *Lipsitz, Green, Scime & Cambria, LLP* (*Michael P. Stuermer* of counsel); *Michael J. Tallon,* Rochester, *Donald M. Thompson, Nelson S. Torre,* Buffalo; and *Zdarsky Sawicki & Agostinelli* (*Gerald T. Walsh* of counsel), for Terrence M. Connors and others amici curiae. The police violated appellant's right to counsel under the New York State Constitution by interrogating him after an attorney who represented him on pending charges contacted the police and entered the proceeding as counsel in the matter under investigation. Under this Court's consistent precedent over four decades, appellant's purported "waiver" of the right to counsel was ineffective because it was extracted from him in the absence of his attorney. (*People v Arthur,* 22 NY2d 325; *People v Hobson,* 39 NY2d 479; *People v West,* 81 NY2d 370; *People v Lennon,* 243 AD2d 495; *People v Donovan,* 13 NY2d 148; *People v Grice,* 100 NY2d 318.)

Kent S. Scheidegger, Sacramento, California, for Criminal Justice Legal Foundation, amicus curiae. I. *People v LaValle*'s (3 NY3d 88 [2004]) conclusory, unsupported decision to throw out the entire death penalty is not entitled to preclusive effect as stare decisis. (*Lowenfield v Phelps,* 484 US 231; *Tuilaepa v California,* 512 US 967; *Jones v United States,* 527 US 373; *People v Hobson,* 39 NY2d 479; *Matter of Hynes v Tomei,* 92 NY2d 613; *Payne v Tennessee,* 501 US 808; *Dobbert v Florida,* 432 US 282; *Cupp v Naughten,* 414 US 141; *Estelle v McGuire,* 502 US 62.) II. The invalid sentence of CPL 400.27 (10) is severable. (*Marbury v Madison,* 1 Cranch [5 US] 137; *People ex rel. Alpha Portland Cement Co. v Knapp,* 230 NY 48; *Alaska Airlines, Inc. v Brock,* 480 US 678; *Bank of Hamilton v Lessee of Dudley,* 2 Pet [27 US] 492; *Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation,* 75 NY2d 88; *People v Smith,* 63 NY2d 41; *People v Davis,* 43 NY2d 17; *Roberts v Louisiana,* 431 US 633; *United States v Booker,* 543 US 220; *Matter of Hynes v Tomei,* 92 NY2d 613.) III. The New York death penalty statute is constitutional without the invalid sentence. (*People v LaValle,* 3 NY3d 88; *Matter of Hynes v Tomei,* 92 NY2d 613; *Bullington v Missouri,* 451 US 430; *Sattazahn v Pennsylvania,* 537 US 101; *Jones v United States,* 527 US 373; *People v Smith,* 63 NY2d 41; *Furman v Georgia,* 408 US 238; *Woodson v North Carolina,* 428 US 280; *United States v Harper,* 729 F2d 1216; *Morgan v Illinois,* 504 US 719.)

OPINION OF THE COURT

CIPARICK, J.

Three years ago, in *People v LaValle* (3 NY3d 88 [2004]), we held that the jury deadlock instruction under CPL 400.27 violates our State Constitution. Because a deadlock instruction is both essential to a death penalty statute and necessary to conform with principles of due process, we were compelled to invalidate the entire sentencing portion of the statute. We are now asked to decide whether an earlier attempt by a trial court to minimize the coercive effect of the flawed jury deadlock instruction warrants revisiting the issue of that instruction's constitutionality as applied to the present defendant. We hold that under the doctrine of stare decisis, defendant's death sentence must be vacated and the matter remitted to Supreme Court for resentencing.

I

In May 2000, defendant John Taylor and a coworker, Craig Godineaux, plotted to commit a robbery. Although Godineaux suggested robbing livery cabs, defendant convinced him that they should focus instead on fast-food restaurants as defendant was familiar with them, having previously worked at McDonald's and Wendy's. On the evening of Wednesday May 24, the two met near defendant's home in Queens with a plan to rob a Wendy's restaurant where defendant previously worked as an assistant manager. When the two met, defendant was carrying a roll of duct tape in a black plastic bag, a briefcase "to hold the money" and a loaded .380 semiautomatic handgun, which he had purchased on the street, in his "fanny pack" along with an extra ammunition clip.

Defendant and Godineaux arrived at Wendy's at approximately 10:55 P.M., minutes before closing time. The two ordered food and ate separately. Defendant took a moment to speak with the store manager, Jean Auguste, a former coworker. While eating, defendant "leered" at the two remaining customers. At approximately 11:15 P.M., one of the employees let those customers out of the restaurant and relocked the door. Shortly thereafter, defendant entered the employee area behind the counter and descended the stairs to the basement. Defendant entered the manager's office and pointed a gun at Auguste while demanding all of the money in the safe. Auguste took about $2,400 in bills and coins from the safe and put it in defendant's briefcase and bag, along with that evening's surveillance video. In response to Auguste's pleas, defendant assured him that he would only duct-tape the employees so he could get away. Auguste then got on the intercom and stated "tell everybody to come downstairs, we are having a meeting, it is important." Jaquoine Johnson heard the announcement and led everyone downstairs with Godineaux following. Once all of the employees had descended the stairs, Godineaux ripped a phone cord from a wall near the top of the stairs and joined the others.

Along with Johnson and Auguste, there were five other employees in the store—Anita Smith, Patricio Castro, Jeremy Mele, Ramon Nazario and Ali Ibadat. Defendant ordered them all to lie face down on the floor with their hands behind their backs. In the interim, defendant obtained the key to the restaurant's entrance from one of the employees. Meanwhile, Godineaux donned gloves, which he had brought with him, and with duct tape bound each of the employee's hands and mouth.[1] Auguste, who was having trouble breathing, managed to free his hands and remove the tape from his mouth. In response, Godineaux punched him in the face, yelled at him and retaped his hands and mouth.

Once all of the employees were bound, they were led to the nearby walk-in refrigerator and ordered to their knees. Godineaux then placed clear plastic bags, which defendant had retrieved from another room, over six of the employees' heads, and defendant placed a bag over the remaining employee's head. Johnson, who was able to see through his bag, saw defendant shoot Auguste in the head. After the shot, Smith started screaming "what happened." When another shot was fired, the screaming ceased. Defendant passed the gun to Godineaux and said "finish them." Godineaux, in turn, shot Nazario, Castro, Meli, Ibadat and Johnson—all in their heads and at close range. Following the shooting, defendant and Godineaux went upstairs, unlocked the door, exited the restaurant and relocked the door. Only Castro and Johnson survived.[2] The other five employees

---

1. Godineaux taped six of the employees and defendant taped the remaining one, Castro. In addition to taping Castro's hands and mouth, defendant also taped his eyes.

2. The testimony of Castro and Johnson differed only slightly at trial as to whether Smith was killed by the second or third shot.

Castro testified that he saw defendant in the restaurant and witnessed him go downstairs to the office. When Castro went downstairs with the others, his eyes, mouth and hands were taped. After he was brought into the refrigerator, he heard two quick shots. He then heard a woman scream which ceased upon a third shot. After hearing a fourth shot, he passed out not realizing he had been shot.

Johnson testified that he remembered everything upon regaining consciousness but that he initially claimed he had no recollection because he did not want to talk about it. He further testified that he remembered seeing defendant and Godineaux walk into the restaurant and order separately. Later, after being called to the basement, he saw defendant with a gun and was ordered to the floor. His eyes were not taped so he was able to see Auguste break free and Godineaux hit him in response. Although a bag was then placed over Johnson's head, it did not cover his right eye. He was thus able to see defen-

(n. cont'd)

all died from gunshot wounds to the head.[3] At some point after defendant and Godineaux left, Castro regained consciousness, got free and called 911 for help using the office fax machine telephone. Defendant and Godineaux eventually parted ways.

Defendant quickly became the focus of a police investigation of the shootings. He was identified, in separate photo arrays, by a person who saw him leaving Wendy's that night and by one of the customers who was present in the restaurant when defendant had arrived.[4] The police also learned that defendant was a former employee who had been fired from this Wendy's location.[5] Upon learning from news reports that the police had identified him as a suspect in the shootings, defendant went to his sister's home in Suffolk County on the morning of May 26. However, the New York City Police Department had already contacted the Suffolk County police, who had agreed to arrange for surveillance of the home.

At around 4:00 P.M. that day, a 911 operator received a call from someone at the sister's house stating that a child was injured while riding a bicycle. The officers, responding to that call, were intercepted and shown a picture of defendant. When the responding officers arrived, they arrested defendant while the medics were treating the child. The police found the loaded .380 handgun that defendant used at Wendy's along with an extra clip in the ''fanny pack'' he was wearing. Inside his sister's home, the police also found defendant's suitcase which contained some of the clothing he wore during the shootings, the surveillance tape, approximately $1,500 in cash and one live .380 round.

Thereafter, three New York City police officers drove defendant to a detective squad in Queens. As defendant was placed in the car, he said ''please get Craig. He's at SC&R right now. He's security just like me at 165th and Jamaica Avenue, you know, the coliseum.'' The officers tried to calm defendant, but he

---

dant shoot Auguste, hear Smith scream and hear another shot followed by silence. He then witnessed defendant pass the gun to Godineaux.

3. Mele also had a gunshot wound to his torso—the only person with two gunshot wounds. Thus the total number of wounds—seven head wounds plus one torso wound—corresponds with the eight discharged .380 shells that were found at the scene.

4. Defendant, with counsel present, was also later identified in a lineup at the precinct by two witnesses—the customer who identified his photo and Castro.

5. Additionally, at some point on May 26, a fingerprint found on the box of plastic bags in the storage room was linked to defendant.

continued to blurt out comments about how his life was in jeopardy because he was the only one who saw Craig shoot everyone at Wendy's. Defendant was then advised of his *Miranda* rights but he continued ''rambling on'' about Craig.[6] The police continued to assure defendant that he would be heard in full when they arrived at the precinct, and after about 10 minutes he stopped talking.[7]

At the precinct, defendant was again read his *Miranda* rights in the interview room and at 6:15 P.M., then-Detective Elizabeth Curcio began to interview him. The interview lasted just over one hour. During this time defendant made an oral statement and agreed to execute a written statement if Curcio drafted it for him. Curcio drafted an 11-page statement over the course of the next three hours. The statement was signed by Curcio and defendant. According to defendant's statements, Godineaux did not see the gun until he saw defendant with it in the basement. At that point, Godineaux grabbed the gun from defendant and shot Auguste while saying ''[n]o witnesses'' and screaming to defendant to give him the other clip. Defendant stated that he walked away and heard about nine shots.

At around midnight, defendant agreed to make a videotaped statement. While several assistant district attorneys questioned defendant during his video statement—which essentially mirrored his statements to Curcio—various detectives investigated the inconsistencies and gaps in defendant's confession. Most glaring was defendant's claim that Godineaux knew that there was an extra magazine with ammunition despite the fact that there was no indication that defendant ever mentioned it to him. In response to the questioning regarding this discrepancy, defendant admitted orally, and later in writing, that he shot Auguste and then gave Godineaux the gun and told him to ''finish them.''

---

6. Defendant and Godineaux had only known each other for about a month before the shootings and defendant only knew his first name, Craig.

Godineaux was arrested at work shortly after defendant. Due to Godineaux's mental retardation, the District Attorney's Office did not file a death notice against him and he was subsequently allowed to enter a plea in which he would be sentenced to life without parole for his role in the murders.

7. The police were contacted by an attorney claiming she represented defendant in a prior matter. Defendant disavowed that he wanted her representation in the instant matter and the investigation ensued after he signed a waiver of counsel. At defendant's request, his claim that his right to counsel was violated is being abandoned.

Defendant was tried by a jury and convicted of 20 counts—six for first-degree murder under various theories including intentional felony murder, multiple-victim murder and command murder.[8] After a sentencing phase trial during which defendant proffered his mitigating evidence, the jury returned a verdict in favor of death on three first-degree murder counts—count eight—as part of the same criminal transaction, defendant caused the deaths of more than one person (*see* Penal Law § 125.27 [1] [a] [viii]); count fourteen—in the course of a robbery, defendant killed Jean Auguste (*see* Penal Law § 125.27 [1] [a] [vii]); and count fifteen—in the course of a robbery, defendant killed Anita Smith (*see* Penal Law § 125.27 [1] [a] [vii]).[9] Defendant now appeals his conviction and sentence as of right under CPL 450.70 (1).

II

On March 20, 2002, prior to jury selection, defendant moved for an order declaring the deadlock jury instruction under CPL 400.27 (10) unconstitutional and nonseverable. Defendant argued that the provision ''injects arbitrariness into the sentencing proceeding and unconstitutionally coerces jurors into giving up their conscientiously held sentencing determinations in order to return a verdict and avoid the possibility of parole after as few as twenty years.'' Supreme Court, denying the motion in all respects, found that defendant was unable to surmount the statute's strong presumption of constitutionality.

After Supreme Court determined that the deadlock provision was constitutional, defense counsel asked for a jury instruction that defendant would never be released from jail. At the end of the penalty phase, the defense again requested that the judge tell the jury that he was ''going to give [defendant] 175 years

8. Defendant was originally indicted on June 27, 2000, under Queens County indictment No. 1845/2000, for numerous crimes including 21 counts of first-degree murder based on theories of intentional felony murder and multiple-victim murder. On April 10, 2001, a second indictment was filed, under indictment No. 1012/2001, charging defendant with intentional felony murders under a command theory as well as attempted intentional felony murder of the two surviving victims. The indictments were consolidated by court order dated March 27, 2002.

9. The jury was not unanimous in seeking death or life without parole on counts sixteen through eighteen, which convicted defendant of first-degree felony murder for commanding the killing of Nazario, Ibadat and Mele in the course of a robbery. He later received consecutive sentences of 25 years to life on each of those counts.

and there is no practical[ ] possibility of getting out of jail.'' The judge responded:

> ''And, therefore, they might as well, if they can't agree on death, give him life without parole.
>
> ''The statute, the statute requires me not to, does not require me to say what I'm going to say. It requires only for me to tell them 20 to 25 years to life as to sentence. That is all it requires. What I am doing is something more. . . .
>
> ''I decline to assure them and give them a guarantee today of what I will do in the future and you have your objection.''

On November 25, 2002, the court charged the jury, in part:

> ''Now, any decision by you to impose a sentence, whether of death or of life imprisonment without parole, would have to be unanimous. In other words, each juror would have to agree to it.
>
> ''I am required to tell you that the law provides that in the event the jury fails to reach unanimous agreement with respect to the sentence, then I must sentence the defendant myself.
>
> ''And the law provides that if I sentence the defendant, I must sentence him to life imprisonment, but I must also fix a point at which the defendant will become eligible for parole.
>
> ''Under the law I must fix that point between twenty and twenty-five years for each count. In other words, on each count I would sentence the defendant to life imprisonment and order that he not become eligible for parole until he has served the minimum term that I fix, a term of between twenty and twenty-five years for each count.
>
> ''I think it is fair to tell you, however, that the six [count]s of first degree murder, and the two counts of first degree attempted murder on which you have convicted the defendant, are precisely the type of crimes that almost always induce a judge to give the maximum sentence permissible.
>
> ''In this case I would have the authority to sentence

> the defendant, not only to the maximum on each count, but also to make those sentences run consecutively. So, the maximum sentence I could give and would almost certainly impose in this case, would be a sentence of 175 years to life, which means that the defendant would become eligible for parole, but only after he had served 175 years in jail.''

Defendant now argues, in light of this Court's declaration in *People v LaValle* (3 NY3d 88 [2004]) that CPL 400.27 (10)'s deadlock jury instruction is unconstitutional, his death sentence must be vacated. We agree that *LaValle* is controlling and mandates defendant's resentencing.

III

The deadlock jury instruction of our death penalty statute, CPL 400.27 (10), provides in relevant part:

> ''In its charge, the court must instruct the jury that with respect to each count of murder in the first degree the jury should consider whether or not a sentence of death should be imposed and whether or not a sentence of life imprisonment without parole should be imposed, and that the jury must be unanimous with respect to either sentence. The court must also instruct the jury that in the event the jury fails to reach unanimous agreement with respect to the sentence, the court will sentence the defendant to a term of imprisonment with a minimum term of between twenty and twenty-five years and a maximum term of life.''

New York's death penalty statute, in its present form, was enacted in 1995 (*see* L 1995, ch 1). The coerciveness and constitutionality of its anticipatory deadlock jury instruction was questioned from its inception. Supreme Court in *People v Harris* ruled that CPL 400.27 (10) was unconstitutional and refused to charge it at the sentencing trial (*see* 177 Misc 2d 160, 164 [Sup Ct, Kings County 1998]). On appeal to this Court, defendant argued that Supreme Court had erred by severing the unconstitutional part of the statute. He further argued that the court compounded that error by simply responding ''No'' to a question by the jury that asked: ''If the jury does not come to a unanimous verdict . . . does the penalty become life imprisonment without the possibility of parole?'' However, we did not reach the issue in *Harris* as *Matter of Hynes v Tomei* (92 NY2d

613 [1998], *cert denied* 527 US 1015 [1999]) required vacating defendant's death sentence (*see People v Harris*, 98 NY2d 452, 496 [2002]).

The jury deadlock instruction was again challenged in *People v Cahill* (2 NY3d 14 [2003]), where the defendant argued that the instruction coerced jurors to vote for death because that was more palatable than the possibility that he would be paroled if they could not come to a unanimous agreement and had to leave sentencing in the hands of the judge. The defendant further argued that CPL 400.27 (10) could not be excised from the death penalty statute, because that would result in a sentencing scheme that was not foreseen by the Legislature—in essence, an impermissible form of judicial legislation. The majority did not reach the constitutional challenge because Cahill's two first-degree murder convictions were against the weight of the evidence and legally insufficient to support a conviction, respectively. Thus, death should not have been an option.

Two Judges of the Court in a concurring opinion in *Cahill* opined that, because of the gravity of the argument and the Court's constitutional obligation to review capital cases, we were required to address the coerciveness of CPL 400.27 (10)'s jury instruction and the impact it had on reliable sentencing (*see Cahill*, 2 NY3d at 76-77 [G.B. Smith, J., concurring]). Upon consideration of the deadlock issue, the concurring opinion ultimately concluded that the statute failed because "[i]t introduces a measure of uncertainty and unreliability into the deliberative process. Thus, there is a substantial risk that the jury verdict may not reflect the true conscience of the jury. As a constitutional matter, such a result cannot be countenanced in a capital case" (2 NY3d at 83 [G.B. Smith, J., concurring]).

Months later, the issue again came before the Court in *LaValle* where we were faced with an otherwise valid death-eligible conviction. Defendant in that case challenged CPL 400.27 (10), "both on its face and as applied," on federal and state constitutional grounds (*LaValle*, 3 NY3d at 116). The majority opinion analyzed the deadlock jury instruction's constitutional flaws. We first acknowledged that New York's jury deadlock instruction was unique in that "[n]o other death penalty scheme in the country requires judges to instruct jurors that if they cannot unanimously agree between two choices, the judge will sentence defendant to a third, more lenient, choice" (*id.* at 117). We then explored the inherent coerciveness of placing the jury in that position. We looked to various studies, including a South

Carolina study of jurors who served in capital cases, which " 'confirm[ed] that jurors' deliberations emphasize dangerousness and that misguided fears of early release generate death sentences' " (*id.*, quoting Eisenberg and Wells, *Deadly Confusion: Juror Instructions in Capital Cases*, 79 Cornell L Rev 1, 4 [Nov. 1993]). We further noted that whether or not the unseemly jury instruction tended to sway a juror to vote for life without parole rather than death, the "truth is that the deadlock provision is unconstitutional because of the risk that it might coerce jurors into giving up their conscientious beliefs in order to reach a verdict. This risk deprives defendants of the well-established right to a fair trial under our case law and the State Constitution" (*LaValle*, 3 NY3d at 120 n 15).

> "By interjecting future dangerousness, the deadlock instruction gives rise to an unconstitutionally palpable risk that one or more jurors who cannot bear the thought that a defendant may walk the streets again . . . will join jurors favoring death in order to avoid the deadlock sentence . . . The choice of death results not through 'a comparison of views, and by arguments among the jurors themselves,' but through fear and coercion." (*Id.* at 118.)

Thus, based on our own precedent, "a coerced verdict 'ought not be allowed to stand in any case, and least of all, in one involving a human life' " (*id.* at 124, quoting *People v Sheldon*, 156 NY 268, 285 [1898]).

Nor were we convinced that the United States Supreme Court's reasoning in *Jones v United States* (527 US 373 [1999]) mandated a different result. Although the *Jones* Court held that "the Eighth Amendment does not require that the jurors be instructed as to the consequences of their failure to agree" (527 US at 381), we held that our State Due Process Clause's greater protection could not be reconciled with *Jones* as "death is qualitatively different and thus subject to a heightened standard of reliability" (*LaValle*, 3 NY3d at 127).[10] This heightened standard could not be satisfied if there is a plausible possibility

---

10. As it has routinely been observed:

"The historical differences between the Federal and State due process clauses make clear that they were adopted to combat entirely different evils . . . The Fourteenth Amendment was a watershed—an attempt to extend and catalogue a series of national privileges and immunities, thereby furnishing minimum standards designed to guarantee the individual protection against

(n. cont'd)

that jurors would base their life or death determination upon the fear that the defendant would be eventually released from prison (*see* 3 NY3d at 128). Thus, because our Due Process Clause requires that an anticipatory deadlock instruction be given to the jury and because the existing instruction provided by the Legislature was coercive, we struck the death penalty sentencing statute (*see id.* at 128-131).

Furthermore, we were not persuaded that the jury deadlock provision could be severed as our Due Process Clause requires that jurors be informed of the consequences of their actions (*see LaValle*, 3 NY3d at 130). This is because the penalty of death is entirely too severe to allow a jury to vote on the imposition of such a sentence without knowledge of what would occur if it failed to reach unanimity (*see id.*). Finally, we explicitly stated that:

> ''We cannot, however, ourselves craft a new instruction, because to do so would usurp legislative prerogative. We have the power to eliminate an unconstitutional sentencing procedure, but we do not have the power to fill the void with a different procedure, particularly one that potentially imposes a greater sentence than the possible deadlock sentence that has been prescribed . . . We thus conclude that *under the present statute, the death penalty may not be imposed*. Cases in which death notices have been filed may go forward as noncapital first degree murder prosecutions'' (*id.* at 131 [emphasis added]).[11]

IV

LaValle made perfectly clear that the death penalty sentencing statute crafted by the Legislature was unconstitutional. That judgment stemmed from *LaValle*'s core holdings that our Due Process Clause requires an anticipatory deadlock instruction be given and that the existing provision was unconstitution-

the potential abuses of a monolithic government . . . In contrast, State Constitutions in general, and the New York Constitution in particular, have long safeguarded any threat to individual liberties, irrespective of from what quarter that peril arose'' (*Sharrock v Dell Buick-Cadillac*, 45 NY2d 152, 160 [1978] [citations omitted]).

11. In apparent reliance on *LaValle*, no District Attorney has since filed a death notice in our state. Thus, the holding has not engendered uncertainty, or proven unworkable in application (*see People v Bing*, 76 NY2d 331, 347-348 [1990]).

ally coercive (*see* 3 NY3d at 120, 130). Since we could not craft a new instruction, we were constrained to say: ''under the present statute, the death penalty may not be imposed'' (*id.* at 131). Defendant, here, was thus sentenced to death under a facially unconstitutional statute.[12]

Our decision here is guided, first and foremost, by the principle of stare decisis.[13] It is well settled that ''*[s]tare decisis* is the preferred course because it promotes the evenhanded, predictable, and consistent development of legal principles, fosters reliance on judicial decisions, and contributes to the actual and perceived integrity of the judicial process'' (*Payne v Tennessee*, 501 US 808, 827 [1991]). ''The doctrine also rests upon the principle that a court is an institution, not merely a collection of individuals, and that governing rules of law do not change merely because the personnel of the court changes'' (*People v Bing*, 76 NY2d 331, 338 [1990]).

> ''Distinctions in the application and withholding of *stare decisis* require a nice delicacy and judicial self-restraint. At the root of the techniques must be a humbling assumption, often true, that no particular court as it is then constituted possesses a wisdom surpassing that of its predecessors. Without this assumption there is jurisprudential anarchy'' (*see People v Hobson*, 39 NY2d 479, 488 [1976]).

Hence, both the legitimacy and the ability of the judiciary to function dictate that legal issues that have been addressed by a jurisdiction should not be revisited every time they arise.

Stare decisis is deeply rooted in the precept that we are bound by a rule of law—not the personalities that interpret the law. Thus, the closeness of a vote bears no weight as to a holding's precedential value as a ''controversy settled by a decision in which a majority concur should not be renewed without sound reasons'' (*Semanchuck v Fifth Ave. & 37th St. Corp.*, 290 NY 412, 420 [1943]). ''[O]rdinarily the rule so established will be

---

12. We recognize that the sentencing phase below took place before our decision in *LaValle* and that the trial judge diligently tried to balance the weighty constitutional quandaries in crafting the jury instruction. However, as the statute was ultimately held facially unconstitutional, there is no room for a judicial reformulation of the deadlock provision, nor is there any basis to review whether the instruction here was in fact coercive.

13. ''Stare decisis et non quieta movere'' is a Latin phrase that means ''[t]o stand by things decided, and not to disturb settled points'' (Black's Law Dictionary 1443 [8th ed 2004]).

adopted in all subsequent cases to which it is applicable, without any reconsideration of its correctness in point of law'' (Henry Campbell Black, Law of Judicial Precedents, at 182 [1912]). The fact that reasonable minds may differ as to the result does not diminish the majority opinion's legal force.

Stare decisis, of course, also recognizes that the lessons of time may lead to a different result. Thus, the strong presumption that the law is settled by a particular ruling may be rebutted, but only in exceptional cases. For instance, a holding that leads to an unworkable rule, or that creates more questions than it resolves, may ultimately be better served by a new rule (*see e.g. Bing*, 76 NY2d at 347 [''Inasmuch as these appeals fall squarely within (our precedent) and exceptions cannot be recognized, the question remains whether the rule has become so unworkable that it should be abandoned'']).[14] However, our holding in *LaValle*—barely three years old—does not present such a rule. Instead, it spells out that death penalty cases can only go forward ''as noncapital first degree murder prosecutions'' until the Legislature enacts a noncoercive sentencing statute that properly informs the jury of the consequences of its actions (3 NY3d at 131).

Furthermore, although it is oft-stated that a court should ''not . . . apply stare decisis as rigidly in constitutional as in nonconstitutional cases'' (*Glidden Co. v Zdanok*, 370 US 530, 543 [1962]), such considerations are not warranted here. The rationale underlying the judiciary being more susceptible to revisiting precedent on constitutional issues is that the Legislature cannot change the constitution to correct an error found by a court. This is in stark contrast to the power the Legislature has to correct a statute and make its meaning clear, if it believes a court's interpretation was wrong. We are not presented with such a situation here as our constitutional ruling on CPL 400.27 (10) does not render the statute immune from legislative correction. Indeed, the needed correction may be as simple as enacting a sentencing statute that provides for life without parole if the jury cannot unanimously agree on death.

14. In *Bing*, after nearly a decade, we overruled *People v Bartolomeo* (53 NY2d 225 [1981]), a case that stood for the proposition that when a suspect was arrested, the police were charged with the knowledge of whether the suspect was previously represented by counsel in prior matters, preventing the suspect from waiving his or her right to counsel without the prior counsel present. The *Bartolomeo* rule, which rested on a ''fictional attorney-client relationship,'' was shrouded in uncertainty and detrimental to effective law enforcement (*Bing*, 76 NY2d at 349, 347-351).

Thus, as we did in *LaValle*, we will continue to respect the Legislature's province.

V

Perhaps mindful of the burden it faces in overturning such recent precedent, the People tweak their argument by conceding that *LaValle* was correctly decided as an as-applied constitutional challenge but that anything further was either plain error or dictum.[15] In support of this position, the People and the dissent misinterpret our constitutional jurisprudence by invoking *People v Stuart* (100 NY2d 412 [2003]) in an attempt to undermine *LaValle*'s holding. As *Stuart* has no application here, we reject that argument.[16]

In addressing an as-applied and facial challenge to an anti-stalking statute on void-for-vagueness grounds, we explained in *Stuart* that:

> ''Because facial challenges to statutes are generally disfavored and legislative enactments carry a strong presumption of constitutionality, a court's task when presented with both a facial and as-applied argument is first to decide whether the assailed statute is impermissibly vague as applied to the defendant. If it is not and the statute provides the defendant with adequate notice and the police with clear criteria, that is the end of the matter . . .
>
> ''It follows, therefore, that if a defendant makes an as-applied vagueness challenge and the court repudiates it, the facial validity of the statute is confirmed'' (100 NY2d at 422 [citations omitted]).

In support of this principle, we cited to several void-for-vagueness cases that shared this analysis (*see Ulster Home Care v Vacco*, 96 NY2d 505, 510 [2001] [''Plaintiffs should have been required to show that the regulation was unconstitutional as applied to them. When a person's conduct falls within the proscriptions of a regulation, 'a vagueness challenge must be addressed to the facts before the court' '' (citations omitted)];

---

15. The People's argument here is contrary to the position that was taken by the People in *LaValle*. The People in *LaValle* urged the Court *only* to consider the facial challenge as they believed the as-applied challenge was unpreserved.

16. Notably, there is not a single reference to *Stuart* in any of the three opinions issued in *LaValle*. Indeed, even Judge Rosenblatt, who authored *Stuart* and wrote separately in *LaValle*, did not mention that case.

People v Nelson, 69 NY2d 302, 308 [1987] [''It has often been said, however, that, except in rare circumstances not relevant here, a vagueness challenge must be addressed to the facts before the court . . . Thus, if the actions of the defendants are plainly within the ambit of the statute, the court will not strain to imagine marginal situations in which the application of the statute is not so clear'']; *Hoffman Estates v Flipside, Hoffman Estates, Inc.*, 455 US 489, 495 [1982] [''A plaintiff who engages in some conduct that is clearly proscribed cannot complain of the vagueness of the law as applied to the conduct of others. A court should therefore examine the complainant's conduct before analyzing other hypothetical applications of the law'']).

Here, however, we are faced neither with a void-for-vagueness challenge nor with a constitutional challenge that is subject to the same confluence of concerns. When reviewing a void-for-vagueness challenge of a statute, a court must weigh the need for adequate notice against society's need for order and effective law enforcement (*see generally Stuart*, 100 NY2d at 420-421; *People v Shack*, 86 NY2d 529, 538-539 [1995]). Thus, when a person of ordinary intelligence should know that the conduct at issue is prohibited by a statute, and there are reasonable standards for enforcement, that person should not benefit from any superfluous discrepancy that is not applicable in that instance. This is in stark contrast with *LaValle*, where we were faced with a completely different set of concerns addressed to a defendant's right to a fair trial and the critical task of safeguarding fairness in death sentencing.

The concerns in *LaValle* focused on whether defendant was deprived of due process and his right to a fair trial in a capital proceeding by the coercive forces that were found to be masked in the language of CPL 400.27 (10). We deemed it necessary, regardless of a showing of actual prejudice, ''to strike down the deadlock instruction in CPL 400.27 (10) because it creates the substantial risk of coercing jurors into sentencing a defendant to death in violation of our Due Process Clause'' (*LaValle*, 3 NY3d at 128; *see also id.* at 120 n 15 [''(T)he deadlock provision is unconstitutional because of the risk that it might coerce jurors into giving up their conscientious beliefs in order to reach a verdict. This risk deprives defendants of the well-established right to a fair trial under our case law and the State Constitution'']).[17]

We find fault in the dissent's view that *United States v Salerno* (481 US 739 [1987]) dictated a different result in *LaValle*—a contention never even raised in that case. *Salerno*'s proposition that to be successful ''[a] facial challenge . . . must establish that no set of circumstances exists under which the Act would be valid'' does not sit well with our state due process protections afforded to capital proceedings under these circumstances (*Salerno*, 481 US at 745).[18] In a capital appeal, the unacceptability of error and the need to protect liberties become glaringly apparent and call for heightened review (*see Harris*, 98 NY2d at 474 [''By its very nature a capital case requires the most meticulous and thoughtful attention. A mistake discovered years later may not be correctable'']). As such, neither *Salerno* nor *Stuart* adequately addresses a challenge that the capital sentencing procedure is inherently coercive and undermines proper consideration of mitigating and aggravating factors.[19] Thus, it was not error for us to review the facial challenge of CPL 400.27 (10) in *LaValle*. Nor is there any sound reason in law for us to now rewrite history and recategorize our holding as dictum, as the People and dissent urge.[20]

---

17. The People in *LaValle* cited to the trial court's ruling in *this* case as an indication of the constitutionality of CPL 400.27 (10)—an argument that was implicitly rejected by *LaValle*'s holding.

18. We also find perplexing the dissent's position that our analysis here should be the same as that employed in tax cases (*see* dissenting op at 167, citing *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003]).

19. Furthermore, even if we were to agree with the People that *Stuart* applies here, certainly the lofty concerns surrounding capital appeals would place this as an exception to the general rule of performing as-applied challenges first (*see Stuart*, 100 NY2d at 424 n 10 [''we cannot agree that the Court's approach forecloses the possibility of successful facial challenges in the future'']). After all,

> ''the penalty of death is qualitatively different from a sentence of imprisonment, however long. Death, in its finality, differs more from life imprisonment than a 100-year prison term differs from one of only a year or two. Because of that qualitative difference, there is a corresponding difference in the need for reliability in the determination that death is the appropriate punishment in a specific case'' (*Woodson v North Carolina*, 428 US 280, 305 [1976]).

20. The dissent's academic assessment of *LaValle*'s core holdings as dicta glosses over its bases which are that CPL 400.27 (10) is unconstitutionally coercive, that a deadlock jury instruction is constitutionally necessary under state due process standards and that we are obligated to review capital cases

(n. cont'd)

Moreover, we cannot agree with the dissent that, under the guise of dictum, ''self-correction'' is mandated or even warranted (*see* dissenting op at 165), because doing so would condone a trial court's remaking of an unconstitutional statute into a new statute not subject to the legislative process. Surely, it was within our role to otherwise prevent the enforcement of an unconstitutional death penalty statute, as we did in *LaValle*, until the Legislature chooses to respond. To deem the courts bereft of such a power would undermine our system of checks and balances between our two coequal branches of government.

The People argue, further, that we erred in *LaValle* by not severing or repairing the flawed statute. As previously discussed, the idea of a jury instruction that fails to properly inform the jury of the consequences of its actions is offensive to our notion of due process (*see LaValle*, 3 NY3d at 128 [''the absence of an instruction would lead to death sentences that are based on speculation, as the Legislature apparently feared when it decided to prescribe the instruction'']). Thus, given our holding and our responsibility of safeguarding those rights afforded under our State Constitution, we were duty-bound to invalidate the sentencing statute (*id.* at 130 [''(R)ecognizing the gravity of capital punishment and the concomitant need for greater certainty in the outcome of capital jury sentences, we hold that providing no deadlock instruction in the course of capital sentencing violates our Due Process Clause. Our conclusion is buttressed by the clear legislative intent that there be a jury instruction on the consequences of a deadlock'']). Conscious of our limited role, we refused to ''usurp legislative prerogative'' and craft a new statute (*id.* at 131 [''We have the power to eliminate an unconstitutional sentencing procedure, but we do not have the power to fill the void with a different procedure, particularly one that potentially imposes a greater sentence than the possible deadlock sentence that has been prescribed'']).

Furthermore, comparing *LaValle* with *Matter of Hynes*, where severability was proper, offers an insightful contrast. In *Matter of Hynes* we severed an unconstitutional portion of the death penalty statute that penalized those who exercised their right to trial (*see* 92 NY2d at 628-629). Under the existing statute, a

---

with heightened scrutiny. Furthermore, the dissent places far too much emphasis on *LaValle*'s failure to accentuate the word ''facial'' in its holding. ''The careful reader'' (dissenting op at 175) can easily discern that *LaValle* was a facial ruling—to be certain, it is utmost apparent in its analysis, holding and decretal paragraph.

death-noticed defendant was permitted to plead guilty to first-degree murder and avoid the possibility of a death sentence. Thus, death could only be imposed on those who insisted on their innocence (*see id.* at 620). We determined that the offending part of the statute could be severed as it did not affect the conduct during the trial or penalty phase and that it still permitted plea bargaining (*see id.* at 628, 630 [''Thus, while a defendant may not plead guilty to first degree murder while a notice of intent to seek the death penalty is pending, plea bargaining to lesser offenses even when a notice of intent is pending, or to first degree murder in the absence of a notice of intent, remains unaffected'']).[21] In *LaValle*, on the other hand, the invalid portion of the statute was inextricably interwoven with the sentencing procedure and necessary to effectuate the Legislature's intent. As correctly recognized in the concurring opinion, any attempt to sever the offending portion of the statute would result in a ''misshapen fragment of the original'' drafted by a court's impermissible use of a legislative pen (concurring op at 158).

Finally, we reject the People's invitation to rewrite the deadlock instruction. This is because, under the proposed scheme, we would be obliged to materially rework the death penalty statute in a manner contrary to our role. In order to function, as proposed by the People and the dissent, a trial court would be required to inform the jury in advance the sentence it would likely impose in the event of a deadlock.[22] To do so under the present statute would require the court to act without the benefit of a presentencing report in violation of CPL 380.30 and 390.20. Additionally, the new framework would be repugnant to the Legislature's intent as the court would have to conduct some sort of actuarial analysis and health assessment to determine a defendant's expected longevity as well

---

21. However, we did ultimately vacate all death sentences resulting from trials that occurred while the offending plea provision was still in effect (*see Harris*, 98 NY2d at 496; *People v Mateo*, 2 NY3d 383, 399 [2004], *cert denied* 542 US 946 [2004]; *People v Shulman*, 6 NY3d 1, 17 [2005]).

22. The charge actually given here injects new concerns of non-neutrality by permitting the trial court to give its opinion as to the weight of the mitigating evidence. The trial court's declaration that these were ''precisely the type of crimes that almost always induce a judge to give the maximum sentence permissible'' and that the court ''would almost certainly impose'' a sentence of 175 years to life could be interpreted by a juror to mean that just as the judge sees no reason for leniency nor should the jury give weight to the mitigating factors and that it too should give the maximum sentence permissible—death.

as a thorough examination of the existence of convictions that may require consecutive sentencing.[23] We would ultimately be left with capital punishment only for the aged, frail and those convicted of crimes eligible for consecutive sentencing—an entirely new capital punishment statute (*cf. McMinn v Town of Oyster Bay*, 66 NY2d 544, 552-553 [1985, Kaye, J., concurring] [''(A) party may challenge the validity of a statute on its face by asserting the rights of others if individual applications cannot be meaningfully separated from one another'' (citation omitted)]; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39 [1992] [An unconstitutional statute should not be severed if its only application would be for a small subset of the original class]).[24]

VI

Like *LaValle*, our holding here is grounded in the irrevokable nature of capital punishment as well as ''the concomitant need for greater certainty in the outcome of capital jury sentences'' (3 NY3d at 130). We do not agree that the Court erred in *LaValle*, or that our holdings were dicta, and thus we are ultimately left exactly where we were three years ago: the death penalty sentencing statute is unconstitutional on its face and it is not within our power to save the statute. *LaValle* is thus entitled to full precedential value. The Legislature, mindful of our State's due process protections, may reenact a sentencing statute that is free of coercion and cognizant of a jury's need to know the consequences of its choice.

Accordingly, the judgment of Supreme Court should be modified by vacating the sentence of death and remitting to that

23. To be clear, the repugnant notion is not that of a court being confronted with actuarial data (*see* dissenting op at 173-174). Rather it is placing the court in a position in which it must in each case determine if a defendant is close enough to the end of life before the jury can be instructed on capital sentencing. Not a scintilla of legislative history supports such a paradigm.

24. The dissent contends that the statute would only ''appl[y] to a core group of defendants [those subject to consecutive sentencing] charged with the worst crimes,'' a notion unoffensive to legislative intent (dissenting op at 171). This is simply false as the statute's application would also encompass aberrational groups of defendants like the aged and terminally ill. Further, the dissent wrongly assumes that those subject to consecutive sentencing are always the ones who commit the ''worst of the worst'' crimes (dissenting op at 169) as various multiple murders are not subject to consecutive sentencing (*see e.g. People v Rosas*, 8 NY3d 493, 498 [2007] [consecutive sentences not appropriate for double murder during the same transaction]; Penal Law § 125.27 [1] [a] [xi] [the serial killer provision is considered a single crime despite involving multiple murders]).

court for resentencing in accordance with CPL 470.30 (5) (c) and Penal Law §§ 60.06 and 70.00 and, as so modified, affirmed.[25]

SMITH, J. (concurring). I concur in the result, on constraint of *People v LaValle* (3 NY3d 88 [2004]).

I

The two central holdings of *LaValle* are that the anticipatory deadlock instruction required in capital trials by CPL 400.27 (10) is unconstitutional, and that a different anticipatory deadlock instruction, which only the Legislature can provide, is constitutionally required. Judge Graffeo, Judge Read and I dissented from both holdings. In this case, no party or amicus asks us to overrule the first holding, but amicus Criminal Justice Legal Foundation, with the tepid endorsement of the People, asks us to overrule the second. The Court is unanimous in rejecting the invitation—indeed, all six of my colleagues simply ignore it. I will explain briefly why I think the second holding of *LaValle* should not be overruled.

The policies underlying the doctrine of stare decisis, which include stability, predictability, respect for our predecessors and the preservation of public confidence in the courts, are at their strongest where, as here, a court is asked to change its mind although nothing else of significance has changed. No one suggests that any development in the last three years, either in the law or the law's effect on the community, has changed the context in which *LaValle* was decided. Indeed, we are asked to revive the very same statute held invalid in *LaValle*—not a theoretically impossible step, but a radical one. So far as I can tell, we have never done such a thing, and the occasions on which other courts have done it are rare (*see generally* Treanor and Sperling, *Prospective Overruling and The Revival of ''Unconstitutional'' Statutes*, 93 Colum L Rev 1902 [1993]).

It is true that stare decisis generally has less force when applied to a precedent that interprets a constitution (*People v Bing*, 76 NY2d 331, 338 [1990]). This is because an error in constitutional interpretation, if not corrected by the courts, cannot be corrected at all except through the difficult process of constitutional amendment. But here, as the plurality opinion

25. Defendant has requested without objection from the People that other issues not be reviewed if the Court vacates his death sentence based on *LaValle*.

points out (plurality op at 149-150), the Legislature can undo most, though not all, of *LaValle*'s effect by passing a simple statute. *LaValle* reads the Constitution to require an anticipatory deadlock instruction telling the jurors, in substance, that the consequence of a hung jury will be life without parole. To enact such an instruction would be to redesign a relatively minor feature of the death penalty statute, and it is easy to do if the Legislature wants to do it. I thought, and still think, that *LaValle* was wrong in holding the redesign to be required, but the harm done by the error does not justify casting stare decisis aside.

II

LaValle also held, or at least said, ''that under the present statute, the death penalty may not be imposed'' (3 NY2d at 131)—i.e., that the statute was invalid not just as applied to LaValle, but in all of its applications. The dissent, of which I was the author, said nothing about this feature of the *LaValle* decision. In my case, at least, that silence was not an oversight; I was silent because I thought then, as I think now, that any attempt to save a remnant of the death penalty statute through an exercise in ''application severability'' would be a mistake. Perhaps, as today's dissent suggests (dissenting op at 164), the *LaValle* majority should have explained why application severability would not work; I will offer an explanation now.

I agree with much that is said in the dissent. Certainly, there was nothing coercive about the charge the trial judge gave in this case, and the statute did not prohibit him from giving it. Thus, there are cases, of which this is one, in which the 1995 death penalty statute could, under the reasoning of *LaValle*, be constitutionally applied. The question of application severability is whether a statute governing only those cases would be consistent with the intent of the Legislature that enacted the broader statute (*see Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39, 47-48 [1992]).

The dissent says yes, arguing, in effect, that the 1995 Legislature was so eager to enact a death penalty that it would have accepted almost anything that would survive a court test (*see* dissenting op at 171). There is no doubt some historical truth to this, but I approach the issue differently. I ask whether the death penalty statute, after being altered to comply with *LaValle*, is one a sensible Legislature that anticipated the *LaValle* decision might have enacted, and whether it bears a reasonable resemblance to the statute the Legislature did enact. I answer both of these questions no. The statute that would remain after the dissent's proposed rescue operation would be a misshapen fragment of the original—and to achieve even that result would require a rewriting of the statute that would make it less the creation of the Legislature than of this Court.

In an effort to remove the *LaValle* problem from the statute, the dissent would rewrite it to provide that, before the death penalty can be considered, the trial judge must (or, perhaps, may) decide whether he or she will impose consecutive or concurrent sentences in the event of a jury deadlock. If the decision is for concurrent sentences, death is off the table, but a judge who chooses consecutive sentences may, if those sentences add up to more than the defendant's life expectancy, announce that decision to the jury, and then let the jury choose between death and life. This describes what Justice Fisher did here—but he did it before *LaValle* was decided, and therefore defendant made no objection to the procedure. (Indeed, defendant asked for an even stronger instruction than the one Justice Fisher gave.) In the post-*LaValle* world the dissent envisions—where a procedure like this is an indispensable prerequisite to a death penalty—no defendant will consent to it. Defendants will argue that it is unprecedented, unauthorized by statute, and unfair for a judge to make an advance promise to a jury about what a sentence will be. The argument has some merit: Is not a defendant entitled to be sentenced by a judge unconstrained by any previous commitment?

I recognize that this problem may be more theoretical than practical. Most capital cases, like this one, involve horrible crimes that seem to cry aloud for the longest possible prison sentence as the only acceptable alternative to the death penalty. But the principle that the sentencer should keep an open mind until he or she actually pronounces sentence is still an important one.

Perhaps the Legislature could validly set that principle aside in some situations, and could create some procedures to make the sentencing promise more defensible; it might, for example, adopt a "scheduling" change of the kind suggested by the dissent, designed to make sure that the presentencing report precedes the judge's charge at the punishment trial (dissenting op at 173-174). But the Legislature has not done this. The whole new way of handling death cases suggested by the dissent is one that judges have thought up. It is one thing to say that a decision by the Legislature to adopt this peculiar procedure would be valid; it is another for a court to surmise that the 1995 Legislature would have adopted it, with no more basis for the surmise than that Legislature's favorable view of capital punishment (*cf. Reno v American Civil Liberties Union*, 521 US 844, 884 [1997] [declining to ''impose a limiting construction'' on a statute that ''provides no guidance what ever for limiting its coverage'']; *Randall v Sorrell*, 548 US 557, —, 126 S Ct 2479, 2500 [2006] [rejecting severability where it would have required writing words into the statute or guessing at legislative intent]).

The substantive problems with the dissent's reconstructed statute are even more serious than the procedural ones. The dissent suggests that the *LaValle* problem can be solved by reducing the class of defendants eligible for execution to those whose sentence in the event of deadlock would be ''so lengthy in relation to life expectancy'' that they would certainly die before being paroled (dissenting op at 174). But neither our Legislature nor any legislature anywhere, so far as I know, has adopted a ''life expectancy'' test for death eligibility—perhaps because such a test is so plainly a bad idea. Life expectancy depends on age and state of health, and neither of those should be a basis for deciding whom to execute.

The dissent recognizes this problem, but underestimates its seriousness. No doubt there will be few 70-year-old first degree murderers (*see* dissenting op at 172), but what about 36 year olds? John Taylor was 36 at the time of the Wendy's murders. If he had killed only two people instead of five, he might, in the event of a jury deadlock, have faced a maximum sentence of 50 years. Would that, under the dissent's proposed rule, be enough to make him eligible for the death penalty? What if he were 42? Certainly, on some hypothetical but plausible scenario, Taylor could be executed while, under *LaValle*, a 20 year old who committed the exact same crimes could not be. This does not make sense.

Perhaps, by doing even more surgery on the statute than the dissent proposes, we could solve this problem. The statute might be rewritten to make age and health irrelevant, by limiting the death sentence to defendants facing at least, say, 75 years in consecutive sentencing; the dissent may be obliquely suggesting such an arbitrary cutoff, in its remark that ''a defendant-specific 'actuarial analysis' is not required'' (dissenting op at 174). But the dissent does not embrace a simple minimum-years rule, perhaps recognizing that to do so would be to travel too far from the statute the Legislature actually enacted.

I conclude that the *LaValle* majority was right to say that its holdings rendered the death penalty statute wholly invalid. I wish it were otherwise. Like the dissenters, I would prefer to save something of the statute, not because I want to help either side of the argument over the death penalty, but because I believe that on this issue, as on most other controversial issues of public policy, courts should defer to what legislatures decide (*cf. Hernandez v Robles*, 7 NY3d 338 [2006]). I continue to think *LaValle* was an unjustified interference with legislative authority. But, as I pointed out above, *LaValle* did not render the Legislature powerless. The Legislature can, if it has the will, repair the death penalty statute or repeal it. In doing either, it would bring the capital punishment issue back into the realm of democratic decision-making, where it belongs.

READ, J. (dissenting). In *People v LaValle* (3 NY3d 88 [2004]), the death sentence was vacated because the trial judge gave a coercive deadlock instruction to the jury. But no such coercive instruction was given in this case. Here, defendant John Taylor's death sentence is vacated on the basis of a *non*-coercive deadlock instruction. Fair-minded citizens might well be forgiven for wondering whether the Court of Appeals is simply unwilling ever to uphold a death sentence, no matter how the law is written (or may be rewritten), no matter how carefully the trial judge and the jury carry out their responsibilities. I respectfully dissent.

I.

The Court's Decision in *LaValle*

The deadlock instruction is set forth in CPL 400.27 (10), which deals with summations and the charge to the jury in the separate sentencing proceeding that follows a defendant's conviction of capital murder. This provision states in its entirety as follows:

> "At the conclusion of all the evidence, the people and the defendant may present argument in summation for or against the sentence sought by the people. The people may deliver the first summation and the defendant may then deliver the last sum-

> mation. Thereafter, *the court shall deliver a charge to the jury on any matters appropriate in the circumstances*. In its charge, the court must instruct the jury that with respect to each count of murder in the first degree the jury should consider whether or not a sentence of death should be imposed and whether or not a sentence of life imprisonment without parole should be imposed, and that the jury must be unanimous with respect to either sentence. *The court must also instruct the jury that in the event the jury fails to reach unanimous agreement with respect to the sentence, the court will sentence the defendant to a term of imprisonment with a minimum term of between twenty and twenty-five years and a maximum term of life*. Following the court's charge, the jury shall retire to consider the sentence to be imposed. Unless inconsistent with the provisions of this section, the provisions of sections 310.10 ['Jury deliberation; requirement of; where conducted'], 310.20 ['Jury deliberation; use of exhibits and other material'] and 310.30 ['Jury deliberation; request for information'] shall govern the deliberations of the jury'' (emphasis added).

In *LaValle*, the jury found the defendant guilty of first-degree murder in the course of and in furtherance of first-degree rape (Penal Law § 125.27 [1] [a] [vii]). The trial judge delivered a short, unembellished instruction to the jury on the subject of potential deadlock, advising simply that ''in the event that you fail to reach unanimous agreement [on death or life without parole], then I will sentence the defendant to life imprisonment with a minimum term of between 20 and 25 years for Murder, 1st Degree.'' On appeal, we ''address[ed] the constitutionality of [this] 'deadlock instruction' '' (3 NY3d at 116).

We started our analysis by surveying several empirical studies on juror behavior regarding capital sentencing, which concluded that ''jurors tend to grossly underestimate how long capital murderers not sentenced to death usually stay in prison''; and that ''the sooner jurors think a defendant will be released from prison, the more likely they are to vote for death and the more likely they are to see the defendant as dangerous'' (*id.* at 117 [internal quotation marks and citations omitted]). As a result, we reasoned that the deadlock instruction was objectionable on two related grounds. First, the instruction suggested that the defendant might be paroled in as few as 20 years if the jurors proved unable to achieve unanimity, thus introducing into their deliberations a consideration that was not a statutory aggravator—the defendant's future dangerousness. Second, ''[b]y interjecting future dangerousness, the deadlock instruction [gave] rise to an unconstitutionally palpable risk that one or more jurors who [could not] bear the thought that a defendant [might] walk the streets again after serving 20 to 25 years [would] join jurors favoring death in order to avoid the deadlock sentence'' (*id.* at 118). At the conclusion of this discussion, we stated that ''[w]e hold today that the deadlock instruction required by CPL 400.27 (10) is unconstitutional under the State Constitution *because of the unacceptable risk that it may result in a coercive, and thus arbitrary and unreliable, sentence*'' (*id.* at 120 [emphasis added]).

We buttressed this holding with discussions of the legislative debate on the deadlock instruction; federal precedent, most prominently the United States Supreme Court's decision in *Jones v United States* (527 US 373 [1999]); and New York precedent on coerced verdicts. We stated that we regarded *Jones* ''as unfaithful to the often repeated principle that death is qualitatively different and thus subject to a heightened standard of reliability'' (*id.* at 127), which our State Constitution mandated. Accordingly, we concluded that it was

> ''necessarily our responsibility to strike down the deadlock instruction in CPL 400.27 (10) *because it creates the substantial risk of coercing jurors into sentencing a defendant to death in violation of our Due Process Clause*. The deadlock instruction is invalid under our own case law condemning coercive instructions, and the State Constitution's Due Process Clause, providing greater protection than its federal counterpart. Consequently, defendant's death sentence must be set aside'' (*id.* at 128 [emphasis added]).

Next, we ''conclude[d] that the absence of any instruction [was] no better than the current instruction under our constitutional analysis,'' and so again ''decline[d] to adopt *Jones*'' (*id.*). We reasoned that without an instruction as to the consequences of a deadlock, jurors might speculate, ''as the Legislature apparently feared when it decided to prescribe the [deadlock] instruction'' (*id.*). We again pointed to empirical studies to support the view that ''jurors might fear that the failure to reach a unanimous verdict would lead to a defendant's release, retrial or sentence to an even lesser term than the one currently prescribed in the deadlock scenario [a minimum of 20 to 25 years to life]''; and that ''[i]ndeed, a key motivation for jurors to vote for the death penalty is undoubtedly their fear that a defendant will otherwise pose a danger on the streets'' (*id.*).

In this section of the opinion, we articulated our holding in two related ways. First, we stated that ''[w]e hold that in this case the Due Process Clause of the New York Constitution requires a higher standard of fairness than the Federal Constitution as interpreted by the *Jones* majority'' (*id.* at 129).[1] Second, ''we [held] that providing no deadlock instruction in the course of capital sentencing violates our Due Process Clause'' (*id.* at 130). As further support for these holdings, we called attention to ''the clear legislative intent that there be a jury instruction on the consequences of a deadlock,'' and court rules and legislative enactments to this effect in eight states (*id.*).

At the end of the discussion of the deadlock instruction, we determined that ''[w]e cannot . . . ourselves craft a new instruction, because to do so would usurp legislative prerogative'' (*id.* at 131). We then made the following pronouncements, which lie at the heart of our quarrel with the majority on this appeal: ''We thus conclude that under the present statute, the death penalty may not be imposed. Cases in which death notices have been filed may go forward as noncapital first degree murder prosecutions'' (*id.*).

In sum, *LaValle* held that the deadlock instruction delivered by the trial judge in that case violated the Due Process Clause of our State Constitution by creating a substantial risk that a juror favoring life without parole would be coerced into voting for the death sentence so as to prevent the defendant's eventual release on parole. In addition, *LaValle* held that the Due Process Clause of our State Constitution mandates that our death penalty statute include a deadlock instruction, which only the Legislature may devise.

I continue to believe that *LaValle* was wrongly decided for the reasons articulated by Judge R.S. Smith in his dissent, which I joined. Nonetheless, I accept the foregoing holdings as binding

1. As the *LaValle* dissent noted, although *Jones* was a 5-4 decision, not one of the nine Justices endorsed the idea that the Federal Constitution mandates an anticipatory instruction in a capital case on the consequences of deadlock (*see* 3 NY3d at 146-147).

precedent for reasons of stare decisis. The majority has now, however, chosen to convert the spare closing comment in *LaValle* that "under the present statute, the death penalty may not be imposed" into our "holding" in that case that "the death penalty sentencing statute is unconstitutional on its face" (plurality op at 155).

There was no discussion in *LaValle* of the deadlock instruction's facial constitutionality; the opinion is devoid of any legal reasoning to support a holding that the deadlock instruction in CPL 400.27 (10) is facially unconstitutional. While "both the legitimacy and the ability of the judiciary to function dictate that legal issues that have been addressed by a jurisdiction should not be revisited every time they arise" (plurality op at 148), this maxim presupposes that the legal issue in question has, in fact, been analyzed and decided by a court. To the extent that any judicial utterance in *LaValle* may be read as purporting to hold the deadlock instruction facially unconstitutional, it does not meet this test and is dictum. ("A judge's power to bind is limited to the issue that is before him; he cannot transmute dictum into decision by waving a wand and uttering the word 'hold' " [*United States v Rubin*, 609 F2d 51, 69 n 2 (2d Cir 1979, Friendly, J., concurring)].)

In the New York University School of Law's annual James Madison Lecture in 2005, Judge Pierre N. Leval of the United States Court of Appeals for the Second Circuit discussed the hazards inherent in the failure of courts to distinguish between dictum and holding (*see* Leval, Madison Lecture: *Judging Under the Constitution: Dicta about Dicta*, 81 NYU L Rev 1249 [2006]). Two of his observations are particularly telling in the context of this appeal.

First, Judge Leval set out a handy test to separate dictum from holding:

> "To identify dictum, it is useful to turn the questioned proposition around to assert its opposite, or to assert whatever alternative proposition the court rejected in its favor. If the insertion of the rejected proposition into the court's reasoning, in place of the one adopted, would not require a change in either the court's judgment or the reasoning that supports it, then the proposition is dictum. It is superfluous. It had no functional role in compelling the judgment" (*id.* at 1257).

Here, the ''questioned proposition'' is that the deadlock instruction is facially unconstitutional, and ''its opposite'' is that the deadlock instruction is, in fact, facially constitutional. If we applied this analysis to *LaValle*, our judgment in the defendant's favor would not have changed because the deadlock instruction delivered by the trial judge created a substantial risk of a coerced verdict of death. Any assertion in *LaValle* about whether the deadlock instruction was facially unconstitutional was ''superfluous'' to this reasoning and ''had no functional role in compelling'' the judgment.

Second, Judge Leval observed that ''[h]owever grievous the errors a court commits when it writes dictum disguised as holding, those errors would be neutralized if the next court would *recognize the prior dictum as nonbinding and go on to grapple with and decide the issue*'' (*id.* at 1268-1269 [emphasis added]). The way the majority now treats the *LaValle* dictum as precedent is a cautionary tale in this regard. Wrapping itself in a false mantle of stare decisis, the majority ignores the legal issues presented by this case. If ever so politely, the majority even chides the People for having the temerity to prosecute an appeal in a case where ''we are ultimately left exactly where we were three years ago'' (plurality op at 155).[2]

Rather than shrinking defensively from the least suggestion of error or inadvertence, the plurality should have taken the path of self-correction advised by Judge Leval. The plurality should have squarely confronted and decided the legal issues raised by this appeal: whether the deadlock instruction was constitutional as applied to the defendant in this case, and whether, even if it was, his conviction must nonetheless be vacated because the deadlock instruction in CPL 400.27 (10) is facially unconstitutional. I now turn to those issues.

II.

The Deadlock Instruction in This Case

In keeping with CPL 400.27 (10), the trial judge informed the jury that in the event of deadlock he would sentence defendant

2. Unaccountably, the plurality also spills a great deal of ink defending our decision in *LaValle* that the deadlock instruction is not severable from an attack that the People do not mount (plurality op at 153-154). The People took the position on this appeal that, while they agreed on the merits with the *LaValle* dissent, they ''operate[d] under the *LaValle* Court's reasoning, accepting . . . as *stare decisis*'' its rulings that the deadlock instruction was unconstitutionally coercive as applied in that case, and was not severable from the remainder of the statute.

himself; that the law required him to "sentence [defendant] to life imprisonment," but also to "fix a point at which the defendant [would] become eligible for parole"; and that the law further required him to "fix that point between twenty and twenty-five years for each count." He then provided further clarification to the jury, advising that "[i]n other words, on each count I would sentence the defendant to life imprisonment and order that he not become eligible for parole until he had served the minimum term that I fix, a term of between twenty and twenty-five years for each count."

The judge next placed what he had just said in the context of the case before the jury. He informed the jurors that he thought it "fair to tell" them

> "that the six [count]s of first degree murder, and the two counts of first degree attempted murder on which you have convicted the defendant, are precisely the type of crimes that almost always induce a judge to give the maximum sentence permissible.
>
> "In this case I would have the authority to sentence the defendant, not only to the maximum on each count, but also to make those sentences run consecutively. So, the maximum sentence I could give and would almost certainly impose in this case, would be a sentence of 175 years to life, which means that the defendant would become eligible for parole, but only after he had served 175 years in jail."

No rational juror listening to this charge could have harbored any reasonable fear that a deadlock might lead to defendant's eventual release back into the community. Thus, the deadlock instruction delivered in this case simply did not pose the risk of a coerced and unreliable verdict of death that caused us to vacate the death sentence in *LaValle*.

Moreover, the trial judge was clearly empowered to give the charge that he gave. Section 400.27 (10) mandates that "the court *shall deliver* a charge to the jury on *any matters appropriate in the circumstances*" (emphasis added). Here, the trial judge thought it "fair" to communicate truthful and accurate information to the jury as to the "almost certain[ ]" practical consequences of a deadlock in the circumstances of this case. There was nothing wrong with this; in fact, it is exactly what the trial judge should have done to protect the constitutional rights of a defendant on trial for his life (*see Gregg v Georgia*, 428 US 153, 192-193 [1976]; *see also California v Ramos*, 463 US 992, 1009 [1983]).

Defendant contends, however, that the charge amounted to ''judicial rewriting'' of the deadlock instruction in contravention of CPL 400.27 (10) and our decision in *LaValle*. This is incorrect. The trial judge gave the deadlock instruction required by the statute, and then explained its implications to the jury. Nothing in section 400.27 (10) forbids this, and, in this pre-*LaValle* case, it is commendable that the judge took the extra step to extinguish any possibility of a coercive instruction. If the Legislature had wanted to prevent a trial judge from expanding on the deadlock instruction, it surely could have and would have done so (*compare* CPL 400.27 [10], *with* CPL 300.10 [3] [setting out within quotation marks the exact words that a trial judge must charge ''without elaboration'' where a defendant has raised the affirmative defense of lack of criminal responsibility by reason of mental disease or defect]). As for our decision in *LaValle*, we merely stated there that the Court of Appeals could not craft a new generic deadlock instruction to replace the existing one in CPL 400.27 (10). It perhaps bears repeating that the trial judge here did, in fact, deliver the statutorily required deadlock instruction. I therefore conclude that the deadlock instruction given in this case was not unconstitutionally coercive under the analysis in *LaValle*. The deadlock instruction was constitutionally applied to defendant.

III.

Facial Constitutionality of the Deadlock Instruction

Our precedent is well-established: ''A party mounting a facial constitutional challenge bears the substantial burden of demonstrating that in any degree and in every conceivable application, the law suffers wholesale constitutional impairment. In other words, the challenger must establish that no set of circumstances exists under which the Act would be valid'' (*Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003, Ciparick, J.] [internal quotation marks and citations omitted], quoting *Cohen v State of New York*, 94 NY2d 1, 8 [1999] and *United States v Salerno*, 481 US 739, 745 [1987]; *see also People v Stuart*, 100 NY2d 412, 421 [2003] [''A successful facial challenge means that the law is invalid *in toto*—and therefore incapable of any valid application'' (internal quotation marks and citations omitted)]). The general approach taken by the courts is to ''limit the solution to the problem'' and ''enjoin only the unconstitutional applications of a statute while leaving other applications in force, or to sever its problematic portions while leaving the remainder intact'' (*Ayotte v Planned Parenthood of N. New England*, 546 US 320, 328, 329 [2006] [citations omitted]).[3]

We decided in *LaValle* that the deadlock instruction is not severable from the other statutory provisions authorizing the death penalty. The question therefore becomes whether the constitutional and unconstitutional *applications* of the deadlock instruction are severable. If they are not, defendant's death sentence must be vacated even though the deadlock instruction was constitutionally applied to him. Defendant, while conceding that in certain circumstances the statute may be constitutionally applied, offers three reasons why the Court should take this extraordinary step, which is highly disfavored by long-standing state and federal precedent: (1) the remaining constitutional applications are too few and create a ''freakish'' regime contrary to legislative intent; (2) relatedly, the death penalty could not be constitutionally applied to the elderly or the terminally ill; and (3) there are administrative problems.

(1) The Remaining Applications

Both the federal and state constitutions require that the states ''genuinely narrow the class of persons eligible for the death penalty'' and ''reasonably justify the imposition of a more severe sentence'' on those made death-eligible ''compared to others found guilty of murder'' (*Zant v Stephens*, 462 US 862, 877 [1983]; *see also People v Harris*, 98 NY2d 452, 476-477 [2002]; *Matter of Hynes v Tomei*, 92 NY2d 613, 628 [1998]). Accordingly, the Legislature in Penal Law § 125.27 limited death-eligible, first-degree murder to those who kill intentionally, and whose conduct includes at least one of 13 separately listed aggravating factors (Penal Law § 125.27 [1] [a] [i]-[xiii]).

As a result of our decision in *LaValle*, however, only a subcategory of death-eligible defendants—those who will never be released from prison even if the jury deadlocks on the sentence of death or life without parole—would be at risk of the

3. There is a recognized exception to the general rule where the facial challenge is based on constitutional free-speech grounds. The ''overbreadth'' doctrine may render a statute invalid in all of its applications (i.e., facially invalid) if invalid in any of them so as not to forestall or ''chill'' constitutionally protected expression (*see Broadrick v Oklahoma*, 413 US 601, 610-613 [1973]; *see also People v Barton*, 8 NY3d 70, 75-76 [2006] [discussing test for First Amendment overbreadth review]). This is not an overbreadth case.

death penalty. This is because only these first-degree murderers would be immune to the coercive effect of the deadlock instruction. This subcategory, however, embraces the ''worst of the worst''; specifically, first-degree murderers who have killed multiple victims and/or have committed other separate and distinct crimes such that they are eligible for consecutive sentences so lengthy in total as to be the functional equivalent of life without parole (the case here); and first-degree murderers whose separate and distinct additional crimes are so severe that the Legislature has prescribed an automatic sentence of life without parole.

For example, a person serving a life sentence who kills a correction officer will have no possibility of parole, regardless of whether the jury deadlocks, for two reasons: he is already serving life without parole on the prior conviction, and the killing of a correction officer constitutes not only first-degree murder but also ''aggravated murder'' (Penal Law § 125.26 [1] [a] [iii]), which automatically results in a sentence of life without parole (Penal Law § 70.00 [3] [a] [i]; §§ 60.06, 70.00 [5]).[4] The killing of a police officer or a peace officer is also aggravated murder (Penal Law § 125.26 [1] [a] [i], [ii]). Additionally, the Legislature has mandated a sentence of life without parole for someone, 18 years of age or older, who intentionally murders a child under the age of 14 during the course of certain sex crimes (*see* L 2004, ch 459 [''Joan's Law'']; *see also* Penal Law § 125.25 [5]; §§ 60.06, 70.00 [5]); and the crimes of terrorism where the underlying offense is a class A-I felony, or when there is possession of a chemical or biological weapon in the first degree, or use of a chemical or biological weapon in the first degree (*see* L 2004, ch 1 [creating the State Office of Homeland Security and enacting various anti-terrorism measures]; *see also* Penal Law § 490.25 [1], [2] [c], [d]; §§ 490.45, 490.55, 60.06, 70.00 [5]).

In the case of a mandatory life-without-parole crime, the trial judge would inform the jury that he was required to sentence the defendant to life without parole notwithstanding any deadlock on a count of first-degree murder. We specifically stated in *LaValle* that ''[i]f the deadlock sentence had been life without parole, then jurors would have no reason to fear that a deadlock would result in the eventual release of the defendant. In that

4. The ''Crimes Against Police Act'' established the new crime of aggravated murder (*see* L 2005, ch 765; *see also* Senate Mem in Support, 2005 McKinney's Session Laws of NY, at 2575).

instance jurors committed to life without parole would not be coerced into giving up their conscientious belief in order to reach a verdict'' (3 NY3d at 126 n 19).

Further, the Legislature first amended sections 60.06 and 70.00 (5) of the Penal Law in relation to sentencing for mandatory life-without-parole crimes in July 2004, about a month *after* our decision in *LaValle*. The Legislature included within these provisions the admonition that ''nothing in this section'' (Penal Law § 60.06) or ''subdivision'' (Penal Law § 70.00 [5]) respectively ''shall preclude or prevent a sentence of death when the defendant is also convicted of murder in the first degree as defined in section 125.27 of this chapter.'' Sections 60.06 and 70.00 (5) have been amended twice since to add new crimes.

Defendant argues that the deadlock instruction is nonetheless facially unconstitutional because its constitutional applications post-*LaValle* are too few. This is, of course, a curious position to take since the federal and state constitutions affirmatively *require* limiting death eligibility. As a result, the key consideration is not how many constitutional applications of the death penalty remain after our decision in *LaValle*, but whether those remaining applications are rational. A death penalty applicable to first-degree murderers who kill multiple victims and/or commit multiple crimes; or whose crimes include killing a police officer, peace officer or correction officer; or killing a child during a sex crime; or killing in the course of terrorist-related activities surely meets the test of rationality. Certainly, if the Legislature had purposely confined the death penalty to these applications when it adopted the statute in 1995, its decision would not have been amenable to judicial second-guessing on the basis that too few crimes or murderers were covered (*see Harris*, 98 NY2d at 476-477).

Defendant also contends, though, that the deadlock instruction is facially unconstitutional precisely because it allows for far fewer constitutional applications than originally envisioned by the Legislature. Defendant surmises that the Legislature would have preferred no death penalty at all to the ''freakish'' regime left after *LaValle*. Similarly, the concurrence opines that ''any attempt to save a remnant of the death penalty statute through an exercise in 'application severability' would be a mistake'' (concurring op at 157).

The death penalty statute was adopted by the Legislature in 1995 after almost two decades of public debate and political re-action (*see* Sack, *Political Budget Gap is Widening*, New York Times, Mar. 9, 1995; Dao, *New York Leaders Offer Limited Bill on Death Penalty*, New York Times, Mar. 4, 1995). The death penalty was then, as now, controversial. Every aspect of this new legislation was clearly going to be litigated, with unpredictable results. The deadlock instruction itself is a perfect example. As the legislative debate set out in *LaValle* illustrates, at least one apparent motivation for including an anticipatory instruction on the consequences of deadlock was to avoid a potential ''constitutional problem'' (*LaValle*, 3 NY3d at 121). The United States Supreme Court did not decide *Jones* until four years later, in 1999; we did not decide *LaValle* until 2004. And, as previously discussed, the judicial outcomes differed.

In light of its past difficulties in enacting a death penalty and the uncertainties going forward, the Legislature included a severability provision in the statute (*see* L 1995, ch 1, § 37). By so doing, the Legislature told us in the clearest way possible that it preferred a judicially redesigned or ''rewritten'' statute with fewer applications to a nonexistent one. Allowing the death penalty to be applied to a core group of defendants charged with the worst crimes does not undermine legislative intent; it preserves the legislative will by restricting the death penalty's application in a rational and constitutional manner.

The concurrence protests, however, that ''a sensible Legislature'' anticipating the *LaValle* decision would not have enacted a statute this limited, which does not ''bear[ ] a reasonable resemblance to the statute the Legislature did enact'' (concurring op at 158). This amounts to pure judicial guesswork, as it finds no support whatsoever in the statute's text, structure, purpose or history—and the concurrence does not bother to claim otherwise. Professions of deference to the Legislature and judicial modesty ring hollow if a reviewing court is unwilling to uphold as much of a statute as possible, especially where the conventional sources for statutory interpretation (here, text and legislative history) clearly signal in this direction.[5] Of course, the Legislature may always amend the death penalty statute in

5. Our decision in *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York* (79 NY2d 39 [1992]) does not support the proposition that application severability is unavailable in the circumstances presented in this case (plurality op at 155; concurring op at 157). In *Surrogates*, the Legislature adopted a statute intended to offset anticipated state budgetary shortfalls for fiscal year 1991-1992 by imposing a five-day lag payroll upon both represented and unrepresented employees of the Unified Court System. We concluded that this legislation unconstitutionally impaired the

(n. cont'd)

any number of ways, as the concurrence observes. The whole point of severability doctrine, however, is to salvage as much of the Legislature's handiwork as possible, and to free the Legislature from the burden of reenacting that which has already once successfully run the lawmaking gauntlet. There can be no doubt that the Legislature intended to make the death penalty enforceable against someone like defendant, who has been convicted of multiple counts of first-degree murder.

(2) The Elderly and the Terminally Ill

Defendant hypothesizes a 70-year-old or terminally ill defendant who is convicted of only one count of capital murder. A minimum sentence of 20 to 25 years to life would exceed this defendant's life expectancy, but state and federal proscriptions against cruel and unusual punishment would bar imposition of the death penalty. Accordingly, defendant argues that the deadlock instruction, even if not unconstitutionally coercive in some applications, is still facially unconstitutional because it violates the Eighth Amendment.

Of course, senior citizens do not swell the ranks of first-degree murderers in New York. According to defendant, out of 560 first-degree murder prosecutions in New York from September 5, 1995 through November 14, 2005, only one involved a 70 year old. There are no comparable figures for the terminally ill, but it is probably safe to surmise that few of these 560 prosecutions involved defendants known to be near death. Assuming a prosecutor in the future is foolhardy enough to seek the death penalty against an elderly or terminally ill defendant on one count of capital murder, and assuming that a jury imposes the death sentence, after hearing mitigating evidence that would presumably dwell on the defendant's age and health, the death

represented employees' employment contracts. We noted that application severance would preserve the statute's purpose—which was to generate a specified level of budgetary savings—"[i]n a general way" because unrepresented employees, who made up 10% of the employees covered by the statute, would remain subject to it (79 NY2d at 48). We decided, however, that application severability was not available for two reasons. First, we stated that "[s]ignificantly" there was no severability clause in the statute (*id.*). Then we turned to legislative history, noting that the Legislature had "enacted lag payrolls on two prior occasions in the recent past and in neither of them did it apply the legislation to only a limited segment of the employee pool, or provide for severability if the statute was invalid as to some of those affected" (*id.*). In sum, in *Surrogates* we looked first to see whether there was any suggestion in the text that the Legislature preferred severability; finding none, we examined other indicia of legislative intent. The difference between this case and *Surrogates* is that, applying the same rules, the facts point in opposite directions.

sentence would never survive Eighth Amendment review, or examination for proportionality under CPL 470.30 (3) (b) (Court of Appeals mandated to determine ''whether the sentence of death is excessive or disproportionate to the penalty imposed in similar cases considering both the crime and the defendant''). In short, the notion that the deadlock instruction infringes the constitutional rights of the elderly and the terminally ill is beyond farfetched; it is a chimera. Even in First Amendment overbreadth review, where the party mounting a facial challenge need not demonstrate ''wholesale constitutional impairment,'' the courts look at whether the hypothesized constitutional infirmity is something more than insubstantial (*see Barton*, 8 NY3d at 75-76 [''The test for determining overbreadth is whether the law on its face prohibits a real and substantial amount of constitutionally protected conduct. (T)he mere fact that one can conceive of some impermissible applications of a statute is not sufficient to render it susceptible to an overbreadth challenge'' (internal quotation marks and citations omitted)]; *see also People v Broadie*, 37 NY2d 100, 119 [1975] [upholding Rockefeller Drug Laws, which were challenged on Eighth Amendment grounds, as facially constitutional although ''in some rare case on its particular facts'' it may be found ''that the statutes have been unconstitutionally applied'']).

(3) Administrative Problems

Defendant also catalogs a ''host of difficult questions of administration'' that would supposedly cripple enforcement of the death penalty in those cases where the deadlock instruction could be constitutionally applied. These range from the fanciful (the prospect of genetic testing to assess whether a defendant suffered, or was at risk, for a terminal illness) to mundane questions of timing. In its sole comment on the merits in this appeal, the plurality echoes this complaint, worrying that the trial court would be compelled to act without the benefit of a presentencing report in violation of CPL 380.30 and 390.20; and that the ''new framework'' would be ''repugnant to the Legislature's intent as the court would have to conduct some sort of actuarial analysis and health assessment to determine defendant's expected longevity as well as a thorough examination of the existence of convictions that may require consecutive sentencing'' (plurality op at 154-155).

As the People point out, these concerns do not pose insurmountable practical problems; they are largely matters of scheduling. For example, a presentencing report may be ordered immediately after the jury hands down a guilty verdict and before the penalty-phase trial even begins; a trial judge should thoroughly examine the existence of convictions that may require consecutive sentencing in every case (*see* Penal Law § 70.25).

Further, a defendant-specific ''actuarial analysis'' is not required—the trial court did not need to conduct one in this case. The issue boils down to whether a defendant is subject to consecutive sentences so lengthy in relation to life expectancy in the United States that no rational juror could harbor a reasonable belief that the defendant would ever be released from prison even if the jury deadlocked on the sentence of death or life without parole;[6] or an actual sentence of life without parole is otherwise mandated.

The former standard was easily met in three of the six capital appeals considered by the Court, where the defendant was eligible for consecutive sentencing totaling in excess of 100 years.[7] It eliminates the theoretical risk that an aged or frail defendant could be executed while ''a 20 year old who committed the exact same crimes could not be'' (concurring op at 159). The concurrence evidently does not consider such an approach to be a satisfactory or permissible limiting principle for constraining the statute. I disagree for reasons already explained. But even if I were to agree, the concurrence nowhere explains why the deadlock instruction is facially unconstitutional even though it

---

6. Life expectancy tables, sourced from the National Center for Health Statistics, are so commonly used in the courts that they are included in the Pattern Jury Instructions (*see* 1B NY PJI3d Appendix A [2007]). The most recent edition of the PJI includes life tables for the United States based on age-specific death rates in 1997, which were published in 1999. These tables project life expectancy for males born in 1997 at 73.6 years, and life expectancy for females born in 1997 at 79.4 years (*see id.* at 1632, 1635). A defendant would necessarily be at least 18 years old and born earlier than whatever birth year is specified in the life expectancy tables in the PJI, because they are updated periodically. Accordingly, the deadlock charge is unquestionably (and comfortably) noncoercive whenever a defendant, regardless of youth or age or health status, is eligible for consecutive sentences exceeding these widely accepted life expectancy numbers for males and females.

7. The three are the defendants in this case, *People v Mateo* (2 NY3d 383 [2004]) and *Harris*. In addition, because the defendant in *People v Shulman* (6 NY3d 1 [2005]) was a serial killer, the People might have charged his crimes differently to run up the potential consecutive sentencing had they known this to be necessary to insure a noncoercive deadlock instruction. The defendants in *LaValle* and *People v Cahill* (2 NY3d 14 [2003]) were single-victim first-degree murderers. A noncoercive deadlock charge was not possible in these two cases in light of the *LaValle* analysis.

may be constitutionally applied to a first-degree murderer who also stands convicted of a mandatory life-without-parole crime. Neither does the plurality. This aspect of today's decision contradicts and frustrates the Legislature's manifest intention when it amended sections 60.06 and 70.00 (5) of the Penal Law post-*LaValle*.

IV.

Conclusion

The crime in this case was horrific: apparently to eliminate the witnesses to a robbery, seven human beings were shot in the head at point-blank range; five of them died. After a textbook trial, defendant was convicted of six counts of capital murder and sentenced to death by the jury. Yet, a majority of the Court vacates the sentence of death. Why? Not because the deadlock instruction delivered by the trial judge was coercive—it was not, as the concurrence concedes and the plurality does not dispute. Instead, John Taylor's death sentence is vacated because the deadlock instruction delivered in the capital trial of Stephen LaValle was coercive.

It is, to say the least, highly unusual for us to declare a statute facially unconstitutional so that its constitutional applications fall by the wayside along with its unconstitutional ones. It is unheard of for us to do such a thing without explanation. The plurality points to our ''holding'' in *LaValle* that ''the death penalty sentencing statute is unconstitutional on its face'' (plurality op at 155). The careful reader, however, will not discover those words among the *LaValle* opinion's several self-styled ''holdings''; the careful reader will not encounter any discussion of facial constitutionality or explanation why the deadlock instruction's constitutional and unconstitutional applications are not severable. Certainly, ''death is qualitatively different and thus subject to a heightened standard of reliability'' (*LaValle*, 3 NY3d at 127). But this does not mean that ''because of the unique severity and finality of a sentence of death, a defendant must be given every possible opportunity to escape from it'' (*id.* at 148-149 [R.S. Smith, J., dissenting]). It does not release an appellate court from the fundamental obligation to furnish the parties and the public with a reasoned explanation for its decision. I respectfully dissent.

Chief Judge KAYE and Judge JONES concur with Judge CIPARICK; Judge SMITH concurs in result in a separate opinion; Judge READ dissents in another opinion in which Judges GRAFFEO and PIGOTT concur.

Judgment modified, etc.

[877 NE2d 1288, 847 NYS2d 511]

JOHN E. SIMONE et al., Appellants, v JAY J. HEIDELBERG et al., Respondents.

Argued October 9, 2007; decided November 15, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 21, 2006. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Richmond County (Eric N. Vitaliano, J.), which had (a) granted plaintiffs' motion for summary judgment; (b) denied defendants' cross motion for summary judgment; (c) declared that plaintiffs are the lawful owners of their premises, duly vested with absolute and unencumbered title to their entire property, free and clear of the easement in question; (d) declared that the easement was cancelled of record; (e) enjoined defendants from using or attempting to use any part of plaintiffs' property; (f) declared that defendants have no claim or right over plaintiffs' premises; and (g) directed defendants to cancel any notice of pendency filed; (2) denied plaintiffs' motion; (3) granted defendants' cross motion; and (4) declared that the easement is valid and enforceable by defendants.

Simone v Heidelberg, 27 AD3d 639, reversed.

HEADNOTES

Easements — Extinguishing of Easement — Re-creation of Easement

1. The purported driveway easement running over plaintiffs' property that was created many years ago so as to allow a previous owner of defendants' property to access a garage structure located thereon was extinguished when the estates came under common ownership, and was not re-created when the estates were separated and eventually sold to the parties, as there was no language evincing the encumbrance in a deed recorded in the servient estate's chain of title. The fact that the encumbrance was recorded in the dominant estate's chain of title and that plaintiffs, the owners of the servient estate, had actual notice of the encumbrance was insufficient to re-create the easement. In order for an extinguished easement to be re-created in a subsequent conveyance the encumbrance must be recorded in the servient chain of title so as to impose notice on subsequent purchasers of the servient land.

Easements — Easement by Necessity — Easement Not Necessary at Time Estates Were Severed

2. The purported driveway easement running over plaintiffs' property that was created many years ago so as to allow a previous owner of defendants' property to access a garage structure located thereon was not an easement by

necessity and was extinguished when the estates came under common ownership before being separated and eventually sold to the parties. In order to establish an easement by necessity, there must be a unity and subsequent separation of title, and the easement must have been a necessity and not a mere convenience at the time of severance. Here, there was a unity and subsequent separation of the estates, but the easement was not absolutely necessary at the time the estates were severed. The need to utilize the easement did not arise until some 21 years after the estates were severed, when defendants felled the tree that blocked automobile access to the garage. Defendants' ''need'' to access off-street parking was nothing more than a mere convenience.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Easements and Licenses in Real Property §§ 15, 19, 20, 22–25, 30–37, 100.

NY JUR 2d, Easements and Licenses in Real Property §§ 13, 14, 43, 87–92, 169.

NEW YORK REAL PROPERTY SERVICE §§ 3:30, 3:43, 3:49, 3:56, 3:104.

ANNOTATION REFERENCE

See ALR Index under Easements.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: easement /4 driveway & extinguish! /s common & necessity

---

POINTS OF COUNSEL

Daniel D. Leddy, Jr., Staten Island, for appellants. I. The easement extinguished by merger was not re-created de novo. (*Castle Assoc. v Schwartz,* 63 AD2d 481; *Riccio v De Marco,* 188 AD2d 847; *Seebaugh v Borruso,* 220 AD2d 573; *Witter v Taggart,* 78 NY2d 234; *Puchalski v Wedemeyer,* 185 AD2d 563; *Parsons v Johnson,* 68 NY 62; *Buffalo Academy of Sacred Heart v Boehm Bros.,* 267 NY 242.) II. The easement was abandoned as a matter of law. (*De Jong v Abphill Assoc.,* 121 AD2d 678; *Gerbig v Zumpano,* 7 NY2d 327; *Atlantic Mills of R.I. v New York Cent. R.R. Co.,* 221 App Div 386; *DeCesare v Feldmeier,* 184 AD2d 220.)

John Z. Marangos, Staten Island, for respondents. I. The easement was re-created de novo. (*Castle Assoc. v Schwartz,* 63 AD2d 481; *Witter v Taggart,* 78 NY2d 234; *Puchalski v Wedemeyer,* 185 AD2d 563; *Parsons v Johnson,* 68 NY 62; *Fischer v*

Anger, 283 AD2d 865; *Will v Gates,* 89 NY2d 778; *Henricksen v Trails End Co.,* 303 AD2d 458; *328 Owners Corp. v 330 W. 86 Oaks Corp.,* 8 NY3d 372; *Riccio v De Marco,* 188 AD2d 847.) II. Plaintiffs-appellants are not innocent, bona fide purchasers. (*Farrell v Sitaras,* 22 AD3d 518; *Andy Assoc. v Bankers Trust Co.,* 49 NY2d 13; *Fairmont Funding v Stefansky,* 301 AD2d 562; *Tibby v Fletcher,* 13 AD3d 877; *Millbrook Hunt v Smith,* 249 AD2d 281; *Bridger v Pierson,* 45 NY 601; *Strnad v Brudnicki,* 200 AD2d 735; *Baker v Bliss,* 39 NY 70; *Hudson Val. Cablevision Corp. v 202 Devs.,* 185 AD2d 917; *Witter v Taggart,* 78 NY2d 234.) III. The easement is necessary to the beneficial use and enjoyment of defendants-respondents' property. (*Minogue v Monette,* 158 AD2d 843; *Resk v City of New York,* 293 AD2d 661; *Asche v Land & Bldg. Known as 64-29 232nd St.,* 12 AD3d 386; *Town of Pound Ridge v Golenbock,* 264 AD2d 773; *Silvercrest v St. Christopher-Ottile,* 194 AD2d 720; *231 Ctr. St. Assoc. v Post Bros. Serv. Stas.,* 252 AD2d 406; *Riccio v De Marco,* 188 AD2d 847; *Fritz v Tompkins,* 168 NY 524.) IV. The evidence presented by plaintiffs-appellants does not show unequivocal acts showing a clear intention to permanently abandon the easement. (*Consolidated Rail Corp. v MASP Equip. Corp.,* 67 NY2d 35; *Conabeer v New York Cent. & Hudson Riv. R.R. Co.,* 156 NY 474; *Rentar Dev. Corp. v City of New York,* 160 AD2d 860; *Castle Assoc. v Schwartz,* 63 AD2d 481; *Welsh v Taylor,* 134 NY 450; *De Jong v Abphill Assoc.,* 121 AD2d 678; *Gerbig v Zumpano,* 7 NY2d 327.)

OPINION OF THE COURT

CIPARICK, J.

In 1933, the then-individual owners of adjacent properties, located at 157-159 Driggs Street and 163-165 Driggs Street on Staten Island, entered into an agreement creating a reciprocal easement, in which a portion of each other's property was to be used solely as a driveway. The easement was apparently created so that the owner of 157-159 Driggs, the dominant estate, could access a garage structure located thereon. In 1978, both parcels were acquired by common owners, the Accardos. Four years later, in 1982, the Accardos subdivided 163-165 Driggs into separate estates. The deed transferring the purported servient estate, now 163 Driggs, to the Webers made no reference to a driveway easement. In 1984, the Accardos then conveyed what had been the dominant estate, 157-159 Driggs, under a deed to the Corrados that referenced the driveway easement, which by its terms burdened the neighboring property—163 Driggs.

In 1993, plaintiffs purchased 163 Driggs from the Webers under a deed that again made no mention of a driveway easement. Three years later, in 1996, defendants purchased 157-159 Driggs from the Corrados, which deed contained language identical to the driveway easement language found in their immediate predecessor's deed. All deeds in both parcels' chains of title were duly recorded in the Richmond County Clerk's Office.

Although plaintiffs had knowledge that there had once existed an easement—they had seen it depicted in a survey and had conversations with the prior owners—by 2003, a 50-foot tree had grown on defendants' property, blocking access to the garage. Over the years, the garage had been used as a tool shed and to store a motorcycle. There was also a fence around the rear yard of the property preventing automobile access to the garage. Plaintiffs' property—163 Driggs—also had a permanent deck constructed by the Webers in 1986 that covered a portion of the purported easement area.

In December 2003, defendants had the tree and fencing removed to permit access to the garage via the purported driveway easement. Shortly thereafter, plaintiffs commenced this action for a declaration that the easement was no longer in force or effect and restraining defendants from using any part of plaintiffs' property. Defendants counterclaimed, seeking, among other things, a declaration that the easement remains in full force and effect and that, in any event, the easement survived by necessity.

Both parties moved for summary judgment. Supreme Court granted plaintiffs' motion, opining that the easement was extinguished when it came under common ownership, and that it was not re-created because the deed conveying 163 Driggs—the purported servient estate—did not reference the easement. The Appellate Division reversed, agreeing initially with Supreme Court that "[t]he easement was extinguished by merger when the subject properties came under common ownership" (27 AD3d 639, 640 [2006]). However, the Appellate Division disagreed with Supreme Court in concluding that "[t]he easement was recreated de novo when the properties were separately sold and the easement was clearly noted in each deed conveying the dominant estate . . . while the owners of the servient estate had actual knowledge of its existence" (*id.*). We granted leave to appeal, and now reverse.

[1] It is undisputed that the easement was extinguished when the parcels came under common ownership (*see Will v Gates*, 89

NY2d 778, 784 [1997]). The parties, however, dispute the circumstances under which an extinguished easement may be re-created. Plaintiffs contend that an easement may be re-created in a subsequent conveyance only if there is language evincing the encumbrance in a deed recorded in the servient estate's chain of title. Defendants contend that an easement may be re-created when the encumbrance is recorded in the dominant estate's chain of title and the owners of the servient estate have actual notice of the encumbrance. We agree with plaintiffs.

The Appellate Division and defendants rely on *Witter v Taggart* (78 NY2d 234 [1991]) for the proposition that the owner of a servient estate needs only actual notice of an extinguished easement for it to be re-created, when the easement is recorded in the dominant estate's chain of title. In *Witter*, the common owner conveyed the dominant estate in a deed that contained an encumbrance that burdened the servient estate, which the common owner retained. The servient estate was subsequently conveyed without reference to the encumbrance. We noted that

> ''[a] grantor may effectively extinguish or terminate [an encumbrance] when . . . the grantor conveys retained servient land to a bona fide purchaser who takes title without actual or constructive notice of the covenant because the grantor and dominant owner failed to record the covenant in the servient land's chain of title'' (*Witter* at 239).

We held that an encumbrance must be ''record[ed] in the servient chain [of title] . . . so as to impose notice on subsequent purchasers of the servient land'' (*id.* at 240). We did not hold that a subsequent purchaser's notice of an extinguished encumbrance, that once burdened the servient estate, was sufficient to re-create that encumbrance.

Here, the easement was extinguished when the common owners, the Accardos, acquired title to both parcels. The Accardos subsequently conveyed the purported servient estate to the Webers, plaintiffs' predecessor in title, unencumbered by any mention of the extinguished driveway easement. Neither did the Accardos in conveying the parcel to the Webers reserve for themselves the right to utilize the easement. Thus, when the Accardos subsequently conveyed the purported dominant estate to the Corrados, the right to burden the previously conveyed parcel no longer existed. They thus lacked the authority to re-create the driveway easement over the servient estate at the time they transferred the dominant estate. It is well settled that ''an easement can be created only by one who has title to, or an estate in, the servient tenement'' (5-40 Warren's Weed, New York Real Property § 40.10 [2007]; *see also Matter of Estate of Thomson v Wade*, 69 NY2d 570, 573-574 [1987]). It is irrelevant that plaintiffs may have had notice of an earlier easement, since the easement was not in existence at the time they purchased their property and the Accardos had not re-created the easement upon sale to plaintiffs' predecessor in title—the first sale from the common owner. Thus, the references to the easement in the 1984 and 1996 deeds are ineffective to burden the neighboring property.

In further support of their purported easement, defendants seek to portray it as an easement by necessity, which was not extinguished when the estates came under common ownership (*see e.g. Stilbell Realty Corp. v Cullen*, 43 AD2d 966 [2d Dept 1974]). The party asserting an easement by necessity bears the burden of establishing by clear and convincing evidence (*see Huggins v Castle Estates*, 36 NY2d 427, 430 [1975]) ''that there was a unity and subsequent separation of title, and [ ] that at the time of severance an easement over [the servient estate's] property was *absolutely necessary*'' (*Stock v Ostrander*, 233 AD2d 816, 817 [3d Dept 1996] [emphasis added]). Significantly, ''the necessity must exist in fact and not as a mere convenience'' (*Heyman v Biggs*, 223 NY 118, 126 [1918]) and must be indispensable to the reasonable use for the adjacent property.

[2] Here, it is undisputed that there was a unity and subsequent separation of the estates. At the time the estates were severed, however, the easement was not absolutely necessary. The need to utilize the easement arose only when defendants felled the tree that blocked automobile access to the garage—some 21 years after the estates were severed. An example of an easement that was absolutely necessary is that found in *Stock*. There, when the estates were severed, the dominant estate ''became landlocked by other properties with no access to a public highway . . . [t]hus, the easement was absolutely necessary'' (233 AD2d at 818), because there was no other access to the property. This is clearly not the situation here. Defendants' sole claimed ''necessity'' for the easement is the ''need'' to access off-street parking. That purported need is nothing more than a mere convenience. No easement by necessity is present here.

Because we hold that the easement was not re-created, it is unnecessary to consider plaintiffs' claim that the easement was abandoned by defendants. Plaintiffs' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[878 NE2d 589, 848 NYS2d 7]

ERNO NUSSENZWEIG, Appellant, v PHILIP-LORCA DICORCIA et al., Respondents.

Argued October 10, 2007; decided November 15, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 20, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Judith J. Gische, J.; op 11 Misc 3d 1051[A], 2006 NY Slip Op 50171[U]) insofar as it had granted defendants' motions for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: ''Was the order of Supreme Court, as affirmed by this Court, properly made?''

Nussenzweig v diCorcia, 38 AD3d 339, affirmed.

HEADNOTE

Limitation of Actions — One-Year Statute of Limitations — Commercial Use of Photograph

An action alleging that defendants violated plaintiff's statutory right of privacy by taking plaintiff's photograph, displaying it in an exhibition at an art gallery and publishing it for sale to the public, was time-barred since it was commenced more than one year after the initial display of the photograph. Pursuant to CPLR 215 (3), an action to recover damages for libel, slander or a violation of the right of privacy under Civil Rights Law § 51 must be brought within one year. Under the single publication rule plaintiff's cause of action accrued on the date the offending material was first published, not when the plaintiff first discovered the publication.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Privacy §§ 68–71, 177, 178.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:60, 13:181, 13:264.

MCKINNEY'S, CPLR 215 (3); Civil Rights Law § 51.

NY JUR 2d, Defamation and Privacy § 342.

PROSSER AND KEETON, TORTS (5th ed) § 117.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

Limitation of actions: invasion of right of privacy. 33 ALR4th 479.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: photograph /p right /3 privacy & limitation /2 statute /p accru!

POINTS OF COUNSEL

Jay Goldberg, P.C., New York City (*Jay Goldberg, Jared M. Lefkowitz* and *Elizabeth Hill* of counsel), for appellant. I. The Appellate Division rule that the statute of limitations runs from the time of first use is erroneous. (*Surace v Danna,* 248 NY 18; *Lahiri v Daily Mirror, Inc.,* 162 Misc 776; *Flores v Mosler Safe Co.,* 7 NY2d 276; *Sporn v MCA Records,* 58 NY2d 482; *Gregoire v Putnam's Sons,* 298 NY 119; *Roberson v Rochester Folding Box Co.,* 171 NY 538; *Rothstein v Tennessee Gas Pipeline Co.,* 204 AD2d 39, 87 NY2d 90; *Rinaldi v Viking Penguin,* 52 NY2d 422; *Simcuski v Saeli,* 44 NY2d 442; *Ross v Louise Wise Servs., Inc.,* 8 NY3d 478.) II. Summary judgment was improvidently granted. (*Mastrovincenzo v City of New York,* 435 F3d 78; *Titan Sports, Inc. v Comics World Corp.,* 870 F2d 85; *Davis v High Socy. Mag.,* 90 AD2d 374; *Quezada v Daily News,* 125 Misc 2d 302; *Stephano v News Group Publs.,* 64 NY2d 174; *Zacchini v Scripps-Howard Broadcasting Co.,* 433 US 562.) III. Appellant is entitled to the protection of sections 50 and 51 of the Civil Rights Law. (*Pittsburgh Press Co. v Pittsburgh Comm'n on Human Relations,* 413 US 376; *Irish Lesbian & Gay Org. v Giuliani,* 918 F Supp 732; *Schenck v United States,* 249 US 47; *Chaplinsky v New Hampshire,* 315 US 568; *Murphy v Ramsey,* 114 US 15; *Flores v Mosler Safe Co.,* 7 NY2d 276; *Sperry & Hutchinson Co. v Rhodes,* 220 US 502; *Time, Inc. v Hill,* 385 US 374; *Hobbs v County of Westchester,* 397 F3d 133; *Joseph Burstyn, Inc. v Wilson,* 343 US 495.)

Munger, Tolles & Olson LLP (*Lawrence C. Barth*, of the California bar, admitted pro hac vice, of counsel), *Bingham McCutchen LLP,* New York City (*Kenneth I. Schacter* of counsel), and *Georges G. Lederman* for respondents. I. The Appellate Division's conclusion that appellant's claims were time-barred was correct. (*McCoy v Feinman,* 99 NY2d 295; *State of New York v Seventh Regiment Fund,* 98 NY2d 249; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.,* 87 NY2d 36; *Gregoire v Putnam's Sons,* 298 NY 119; *Rinaldi v Viking Penguin,* 52 NY2d 422; *Firth v State of New York,* 98 NY2d 365; *Keeton v Hustler Magazine, Inc.,* 465 US 770; *Castel v Sherlock Corp.,* 159 AD2d 233; *Costanza v Seinfeld,* 279 AD2d 255; *Wal-*

den v F.W. Woolworth Co., 138 AD2d 261.) II. However this Court decides the limitations issue, it should proceed to address Supreme Court's alternative ground for dismissal. (*People v Carvajal,* 6 NY3d 305; *Matter of Gold v Lomenzo,* 29 NY2d 468; *Matter of Concord Realty Co. v City of New York,* 30 NY2d 308; *Matter of Friends of Pine Bush v Planning Bd. of City of Albany,* 86 AD2d 246; *National Bank of N. Am. v International Bhd. of Elec. Workers Local No. 3, Pension & Vacation Funds,* 69 AD2d 679; *Brown v Board of Educ., Whitesboro Cent. School Dist.,* 88 AD2d 184; *East Meadow Community Concerts Assn. v Board of Educ. of Union Free School Dist No. 3,* 18 NY2d 129.) III. The uses of the photograph did not violate sections 50 and 51 of the Civil Rights Law. (*Roberson v Rochester Folding Box Co.,* 171 NY 538; *Time, Inc. v Hill,* 385 US 374; *Arrington v New York Times Co.,* 55 NY2d 433, 459 US 1146; *Cohen v Hallmark Cards,* 45 NY2d 493; *Howell v New York Post Co.,* 81 NY2d 115; *Namath v Sports Illustrated,* 80 Misc 2d 531; *Stephano v News Group Publs.,* 64 NY2d 174; *Pagan v New York Herald Tribune,* 32 AD2d 341, 26 NY2d 941; *Messenger v Gruner + Jahr Print. & Publ.,* 94 NY2d 436; *Spahn v Julian Messner, Inc.,* 18 NY2d 324, 387 US 239.) IV. Dismissal of this action would have been required on constitutional grounds, even if sections 50 and 51 of the Civil Rights Law did not provide an exception for artistic expression. (*Simeonov v Tiegs,* 159 Misc 2d 54; *Time, Inc. v Hill,* 385 US 374; *Hoepker v Kruger,* 200 F Supp 2d 340; *Central Hudson Gas & Elec. Corp. v Public Serv. Comm'n of N. Y.,* 447 US 557; *Nordyke v Santa Clara County,* 110 F3d 707; *Board of Trustees of State Univ. of N. Y. v Fox,* 492 US 469; *Bery v City of New York,* 97 F3d 689, 520 US 1251; *Riley v National Federation of Blind of N. C., Inc.,* 487 US 781; *Joseph Burstyn, Inc. v Wilson,* 343 US 495; *Texas v Johnson,* 491 US 397.) V. The viability of Erno Nussenzweig's claims was appropriate for summary adjudication. (*Lewis v Safety Disposal Sys. of Pa., Inc.,* 12 AD3d 324; *Alvarez v Prospect Hosp.,* 68 NY2d 320; *Daliendo v Johnson,* 147 AD2d 312; *Gilbert Frank Corp. v Federal Ins. Co.,* 70 NY2d 966; *Zuckerman v City of New York,* 49 NY2d 557; *Gala Trading v Adrienne, Inc.,* 174 AD2d 478; *Time, Inc. v Hill,* 385 US 374; *Stephano v News Group Publs.,* 64 NY2d 174; *Altbach v Kulon,* 302 AD2d 655; *Simeonov v Tiegs,* 159 Misc 2d 54.)

Proskauer Rose LLP, New York City (*Charles S. Sims* and *Matthew J. Morris* of counsel), for the New York Times Company and others, amici curiae. I. ''Advertising purposes'' and ''purposes of trade'' exclude First Amendment expression. (*Rob-*

erson v Rochester Folding Box Co., 171 NY 538; *Messenger v Gruner + Jahr Print. & Publ.,* 94 NY2d 436; *Finger v Omni Publs. Intl.,* 77 NY2d 138; *Howell v New York Post Co.,* 81 NY2d 115; *Stephano v News Group Publs.,* 64 NY2d 174; *Arrington v New York Times Co.,* 55 NY2d 433; *Bytner v Capital Newspapers, Div. of Hearst Corp.,* 67 NY2d 914; *Freihofer v Hearst Corp.,* 65 NY2d 135; *Murray v New York Mag. Co.,* 27 NY2d 406; *Pagan v New York Herald Tribune,* 32 AD2d 341, 26 NY2d 941.) II. Plaintiff's constitutional arguments are without merit, and if the statutes were applicable here they would violate the First Amendment. (*Bartnicki v Vopper,* 532 US 514; *Florida Star v B. J. F.,* 491 US 524; *Smith v Daily Mail Publishing Co.,* 443 US 97; *Mastrovincenzo v City of New York,* 435 F3d 78; *Hobbs v County of Westchester,* 397 F3d 133; *Arrington v New York Times Co.,* 55 NY2d 433.)

OPINION OF THE COURT

PIGOTT, J.

Between 1999 and 2001, defendant Philip-Lorca diCorcia, an artist and photographer, took candid photographs of individuals walking through Times Square. None of those photographed were aware that diCorcia had taken their picture.

In the fall of 2001, diCorcia exhibited certain of the photographs at an art gallery owned by defendant Pace/MacGill, Inc. In conjunction with that event, Pace/MacGill published and sold a catalogue containing images on display at the exhibition. Moreover, 10 limited edition prints of each photograph were created for sale to the public.

One of the images was that of plaintiff Erno Nussenzweig. However, it was not until nearly four years later, in March of 2005, that plaintiff first learned that his photograph had been taken, used as part of the exhibition and sold to the public. Shortly thereafter, plaintiff commenced this action asserting that defendants had violated his statutory right of privacy as set forth in Civil Rights Law §§ 50 and 51.

Defendants moved for summary judgment dismissing the complaint on the ground that any claim of a Civil Rights Law §§ 50-51 violation had to have been commenced within one year of the initial display of the photograph, not one year from plaintiff's discovery of the display as he argued. Supreme Court granted defendants' motions for summary judgment and the Appellate Division affirmed, but granted plaintiff leave to appeal to this Court to answer the certified question ''Was the order of Supreme Court, as affirmed by this Court, properly made?''

Pursuant to CPLR 215 (3), ''an action to recover damages for . . . libel, slander . . . or a violation of the right of privacy under section fifty-one of the civil rights law'' must be brought within one year. In *Gregoire v Putnam's Sons*, this Court formulated the single publication rule, which states that a cause of action for defamation accrues on the date the offending material is first published (298 NY 119, 125-126 [1948]). Our holding in *Gregoire* was premised on the underlying policy that statutes of limitations are ''designed 'to spare the courts from litigation of stale claims, and the citizen from being put to his defense after memories have faded, witnesses have died or disappeared, and evidence has been lost' '' (*id*. at 125, quoting *Chase Securities Corp. v Donaldson*, 325 US 304, 314 [1945]).

Since our decision in *Gregoire*, New York appellate courts addressing the timeliness of statutory right of privacy claims have generally applied the single publication rule (*see E.B. v Liberation Publs.*, 7 AD3d 566, 567 [2d Dept 2004], citing *Castel v Sherlock Corp.*, 159 AD2d 233 [1st Dept 1990]; *see also Costanza v Seinfeld*, 279 AD2d 255, 255-256 [1st Dept 2001]; *but see Russo v Huntington Town House*, 184 AD2d 627, 628 [2d Dept 1992] [holding that the statute of limitations on Civil Rights Law §§ 50 and 51 claims runs from the date of the most recent violations of the statute]). The policy underlying the adoption of that rule is likewise implicated here and we therefore hold that the single publication rule applies to claims brought pursuant to Civil Rights Law §§ 50 and 51. Because the publishing event giving rise to plaintiff's right of privacy claims first occurred no later than the fall of 2001, more than one year before he commenced suit, plaintiff's claims are time-barred.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge KAYE taking no part.

Order affirmed, etc.

[879 NE2d 152, 849 NYS2d 13]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY HILL, Appellant.

Argued October 16, 2007; decided November 15, 2007

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 30, 2007. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Bruce Allen, J.), which had convicted defendant, upon his plea of guilty, of rape in the first degree, and, as amended, sentenced him to a term of imprisonment of 12½ years with 2½ years of postrelease supervision, and (2) an order of that court, which had denied defendant's CPL 440.40 motion to vacate the judgment and modified the sentence from a term of 15 years to a term of 12½ years with 2½ years of postrelease supervision.

People v Hill, 39 AD3d 1, reversed.

HEADNOTE

Crimes — Plea of Guilty — Failure to Advise Defendant of Postrelease Supervision — Vacatur of Sentence Required

Because defendant was not informed at the time he pleaded guilty to rape in the first degree that a period of postrelease supervision would follow his 15-year term of incarceration, he was entitled to vacatur of his guilty plea. A defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily, and intelligently choose among alternative courses of action, and the failure of a court to advise of postrelease supervision requires reversal of the conviction. In that the constitutional defect lies in the plea itself and not in the resulting sentence, vacatur of the plea is the remedy for such an error. It does not matter that here the trial court ultimately resentenced defendant to a total period of incarceration (12½ years) plus postrelease supervision (2½ years) equal to his originally promised sentence of incarceration, as harmless error analysis is inapplicable to this type of error.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 679, 741–744, 747.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1600, 172:1603, 172:1608.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4, 21.5.

NY Jur 2d, Criminal Law §§ 1396, 1398, 1403.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea; Harmless and Prejudicial Error.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: vacat! /3 plea /s post-release /2 supervision & harmless

---

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant. The lower court could not remedy the *Catu* error by modifying appellant's sentence in lieu of plea vacatur. (*People v Van Deusen,* 7 NY3d 744; *People v Catu,* 4 NY3d 242; *People v Harris,* 61 NY2d 9; *Boykin v Alabama,* 395 US 238; *North Carolina v Alford,* 400 US 25; *People v Ford,* 86 NY2d 397; *People v Louree,* 8 NY3d 541; *People v Damiano,* 87 NY2d 477; *People v Selikoff,* 35 NY2d 227; *People v Richardson,* 100 NY2d 847.)

Robert M. Morgenthau, District Attorney, New York City (*David M. Cohn* and *Alan Gadlin* of counsel), for respondent. Defendant's guilty plea should not be disturbed, because he received the full benefit of his bargain. (*People v Keizer,* 100 NY2d 114; *People v Alexander,* 97 NY2d 482; *People v Hansen,* 95 NY2d 227; *People v Frederick,* 45 NY2d 520; *People v Miller,* 42 NY2d 946; *People v Fiumefreddo,* 82 NY2d 536; *People v Catu,* 4 NY3d 242; *People v Ford,* 86 NY2d 397; *People v Moissett,* 76 NY2d 909; *People v Torres,* 45 NY2d 751.)

OPINION OF THE COURT

Chief Judge Kaye.

In April 2002, defendant pleaded guilty to rape in the first degree in full satisfaction of the indictment. The court sentenced him to a determinate 15-year imprisonment term. No mention was made, either during the plea or during the sentencing that followed one month later, of an additional five-year term of post-release supervision, which defendant allegedly learned of from a fellow inmate. Defendant now claims that he would not have agreed to the plea had he known of the postrelease supervision, and he seeks vacatur of the plea.

As has been well established in our law, when a criminal defendant waives the fundamental right to trial by jury and pleads guilty, due process requires that the waiver be knowing, voluntary and intelligent (*see* NY Const, art I, § 6; *People v Ford*, 86 NY2d 397, 403 [1995]; *see also McCarthy v United States*, 394 US 459, 466 [1969] [''if a defendant's guilty plea is not equally voluntary and knowing, it has been obtained in violation of due process and is therefore void'']). Prior to accepting a guilty plea, therefore, a defendant must be informed of the direct consequences of the plea. When a court fails to so advise the defendant, the plea cannot be deemed knowing, voluntary and intelligent, and defendant may withdraw the plea and be returned to his or her uncertain status before the negotiated bargain (*see People v Harris*, 61 NY2d 9, 17 [1983]; *People v Gina M. M.*, 40 NY2d 595 [1976]).

Among the direct consequences of pleading guilty is the period of postrelease supervision that follows a determinate sentence of incarceration. As we explained in *People v Catu* (4 NY3d 242, 245 [2005]), ''[b]ecause a defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action, the failure of a court to advise of postrelease supervision requires reversal of the conviction.'' In that the constitutional defect lies in the plea itself and not in the resulting sentence, vacatur of the plea is the remedy for a *Catu* error since it returns a defendant to his or her status before the constitutional infirmity occurred.[1]

In *People v Van Deusen* (7 NY3d 744 [2006]), defendant pleaded guilty, and the trial court promised a determinate sentencing range of between 5 to 15 years of incarceration with no mention of the postrelease supervision term. On the eve of sentencing, defendant moved to withdraw her guilty plea based on the trial court's failure to inform her of postrelease supervi-

1. *People v Selikoff* (35 NY2d 227 [1974]) does not warrant a different result (dissenting op at 194). There, the court, at sentencing, refused to fulfill the promised sentence because the court had learned, between the plea and the sentencing date, that defendant was the principal and not merely a pawn in a fraudulent scheme. Defendant never challenged the voluntariness of his plea and refused to withdraw it. When, at the time of a plea, a defendant possesses the requisite information to make an informed choice, the defendant's guilty plea is voluntary, so either the plea's vacatur or specific performance of the promise is appropriate. A *Catu* error, by contrast, affects the voluntariness of defendant's guilty plea, and thus makes vacatur the appropriate remedy.

sion. The court denied her motion and sentenced defendant to a determinate term of eight years of imprisonment with five years of postrelease supervision. This Court rejected the Appellate Division's rationale that vacatur of a guilty plea was not required when the sentencing court gave the defendant the benefit of her plea bargain, exposing her to a shorter total period of punishment. We held that:

> ''At the time defendant pleaded guilty, she did not possess all the information necessary for an informed choice among different possible courses of action because she was not told that she would be subject to mandatory postrelease supervision as a consequence of her guilty plea. Accordingly, defendant's decision to plead guilty cannot be said to have been knowing, voluntary and intelligent'' (*id.* at 746).

In effect, the Court rejected harmless error analysis by requiring vacatur of defendant's guilty plea (*see also People v Goss*, 286 AD2d 180, 184 [3d Dept 2001] [''as defendant never knowingly agreed to the five-year postrelease period of supervision to follow his 12-year determinate sentence, we reject the People's argument that the error in not disclosing this portion of the sentence to defendant is harmless'']).

Similarly, in *People v Louree* (8 NY3d 541, 545 [2007]), we held it ''irrelevant that the prison sentence added to postrelease supervision is within the range of prison time promised at the allocution.'' Harmless error doctrine is inapposite when analyzing remedies for *Catu* errors (*see People v Coles*, 62 NY2d 908, 910 [1984] [''harmless error rules were designed to review trial verdicts and are difficult to apply to guilty pleas'']).

Here, at the time of his plea, defendant was not informed that a period of postrelease supervision would follow his term of incarceration. Thus, defendant did not possess the requisite information knowingly to waive his rights and must be permitted to withdraw his plea. That the trial court ultimately resentenced defendant to a total period of incarceration (12½ years) plus postrelease supervision (2½ years) equal to his originally promised sentence of incarceration does not change this conclusion.[2]

---

2. Defendant urges that, despite the mathematics, the sentence—because it adds postrelease supervision to incarceration—is not in any event equiva-

(n. cont'd)

The dissent incorrectly believes that *Catu* and *Van Deusen* turned on the question whether "the defendant got the full benefit of her plea bargain" (dissenting op at 194); thus, the dissent attempts to undo the prejudice of defendant's involuntary guilty plea. Rather, *Catu*, *Van Deusen* and *Louree* made clear that the courts violated the defendant's due process rights—not the defendant's sentencing expectations. Therefore, we vacated the defendants' involuntary guilty pleas to remedy the constitutional violations. Here, we are constrained to give the same relief, exposing defendant to the full penalty of at least a 25-year prison term.

Accordingly, the order of the Appellate Division should be reversed, defendant's plea vacated and the case remitted to Supreme Court for further proceedings on the indictment.

PIGOTT, J. (dissenting). I respectfully dissent and would affirm the order of the Appellate Division. A grand jury charged defendant in a 32-count indictment with raping, sodomizing, and sexually abusing his daughter. A jury trial commenced on April 22, 2002, at which defendant's daughter, then 16, was the first to testify. She recounted for the jury in detail over several hours how defendant raped and abused her over a six-year period, beginning in 1994, when she was nine years old. Following the daughter's direct-examination testimony, defendant informed the court that he wished to plead guilty to the top count of the indictment, first-degree rape, in full satisfaction of the charges. Defendant admitted that his daughter's direct-examination testimony was true, and specifically, that he had forced her to have sex with him since she was nine years old. The court accepted defendant's plea and informed him that he would serve a prison sentence of 15 years. It is undisputed that no mention was made of any mandatory postrelease supervision. At sentencing, the court imposed the negotiated 15-year prison sentence.

In March 2004, approximately two years later, defendant challenged his judgment of conviction, arguing that his plea was involuntary because he had not been informed that his prison sentence carried a five-year period of postrelease supervision.

---

lent to the promised sentence. Moreover, he could, in fact, face more incarceration under the new sentence than under the agreed-to sentence. If he violated the postrelease supervision conditions within six months of the postrelease supervision term's end, he could receive an additional six months' incarceration beyond the term of postrelease supervision (*see* Penal Law § 70.45 [5]).

Following proceedings before Supreme Court, defendant's sentence was modified to a term of $12^1/_2$ years in prison and $2^1/_2$ years of postrelease supervision. The Appellate Division, with two Justices dissenting, affirmed defendant's modified sentence.

This Court has consistently held that a court's "failure or inability to fulfill a [sentencing] promise requires either that the plea of guilty be vacated or the promise fulfilled, but there is no indicated preference for one course over the other. The choice rests in the discretion of the sentencing court" (*People v Selikoff*, 35 NY2d 227, 239 [1974], *cert denied* 419 US 1122 [1975]). Indeed, a trial court may have good reason to choose specific performance over a defendant's request to withdraw his plea. For instance, when years have passed since the original plea, making it difficult for the People to proceed to trial, allowing vacatur of the plea would afford the defendant "more than he [is] entitled" (*id.* at 240). For that reason, "the State can hold a defendant to an agreed sentence rather than allow vacat[ur] of the plea when it would otherwise be prejudiced" (*People v McConnell*, 49 NY2d 340, 349 [1980]; *see People v Esposito*, 32 NY2d 921, 923 [1973]).

Contrary to the majority's position, I find nothing in our prior precedent that requires a vacatur of defendant's plea as the only possible remedy for the *Catu* error. In *People v Catu* (4 NY3d 242 [2005]) and *People v Van Deusen* (7 NY3d 744 [2006]), specific performance was not a viable option, so this Court had no occasion to address the issue. In that regard, in *Catu*, defendant pleaded guilty in exchange for the statutory minimum sentence (4 NY3d at 244). Because defendant had already received the minimum sentence, vacatur of the defendant's plea was the only possible remedy for the error. In *Van Deusen*, the defendant was misinformed about the possible sentencing range; she believed that the range was not less than five years or no more than 15 years in prison (7 NY3d at 745). The court modified the sentence to eight years' imprisonment and five years of postrelease supervision, but that sentence was more than the least amount of incarceration time she could have hoped to get at the time of her plea (*id.*). Thus, it could not be said with assurance in *Van Deusen* that the defendant got the full benefit of her plea bargain. Similarly, in *People v Louree* (8 NY3d 541 [2007]), the sole issue before this Court was whether the defendant was required to preserve for appellate review his complaint of the *Catu* error.

Here, the trial court chose the remedy of specific performance, which in my view, it had the authority to do. At the time of his plea, defendant was promised a sentence of 15 years in prison. After the trial court's modification, defendant received the full benefit of his bargain, plus a windfall. Thus, unlike in *Catu* and *Van Deusen*, the modified sentence comported with the understanding and expectations of defendant at the time of his guilty plea. Finally, the trial court here had good reason to choose the remedy of specific performance over vacatur of the plea. Specifically, the People would be severely prejudiced if defendant's daughter was subjected to testifying once again at a new trial after several years have passed.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge KAYE; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judges READ and SMITH concur.

Order reversed, etc.

[878 NE2d 583, 848 NYS2d 1]

NICHOLAS RAFFELLINI, Respondent, v STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY, Appellant.

Argued October 9, 2007; decided November 15, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered October 24, 2006. The Appellate Division affirmed an order of the Supreme Court, Kings County (David I. Schmidt, J.; op 8 Misc 3d 1023[A], 2005 NY Slip Op 51253[U]), which had granted a cross motion by plaintiff to strike the fifth affirmative defense from defendant's answer. The following question, as amended, was certified by the Appellate Division: ''Was the opinion and order of this court dated October 24, 2006, properly made?''

Raffellini v State Farm Mut. Auto. Ins. Co., 36 AD3d 92, reversed.

HEADNOTE

Insurance — Automobile Insurance — Underinsured Motorist Endorsement — ''Serious Injury'' Threshold Requirement

In a breach of contract action brought by plaintiff against his insurance carrier after the carrier denied his demand for pain and suffering damages under the supplementary uninsured/underinsured motorist (SUM) endorsement to his automobile liability policy, defendant was entitled to assert plaintiff's alleged lack of a serious injury as an affirmative defense, as the ''serious injury'' exclusion in the endorsement was enforceable. Although Insurance Law § 3420 (f) (2), which addresses SUM benefits, is silent as to whether an insured must prove serious injury in order to receive supplementary benefits, it must be read in tandem with Insurance Law § 3420 (f) (1), which contains a serious injury requirement for mandatory uninsured motorist benefits. SUM benefits are designed to give insureds the same level of protection that would have been available to others under the policy if the insureds were the tortfeasors who caused personal injuries. To distinguish between mandatory and SUM benefits by restricting the serious injury exclusion to mandatory benefits would be inconsistent with the policy underlying SUM benefits. Moreover, Insurance Department Regulation 35-D, codified at 11 NYCRR subpart 60-2, which the Superintendent of Insurance was authorized to promulgate and which is not inconsistent with section 3420 (f) (2), requires that SUM recovery be conditioned on a finding of serious injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 460, 600.

COUCH ON INSURANCE (3d ed) §§ 171:2, 171:13.
MCKINNEY'S, Insurance Law § 3420 (f) (1), (2).
11 NYCRR subpart 60–2.
NY JUR 2d, Insurance §§ 1709, 1739, 1740.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; Uninsured Motorists.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: serious /2 injury /s exclusion /s uninsured

POINTS OF COUNSEL

Rivkin Radler LLP, Uniondale (*Harris J. Zakarin* and *Evan H. Krinick* of counsel), and *Picciano & Scahill* for appellant. I. The plain and unambiguous language of Insurance Law § 3420 (f) (1) and (2) requires an insured to establish the existence of a "serious injury" before payment will be made for either uninsured motorist benefits or supplementary uninsured motorist benefits. (*Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Leader v Maroney, Ponzini & Spencer,* 97 NY2d 95; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo,* 6 NY3d 578; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington,* 97 NY2d 86; *Matter of Notre Dame Leasing v Rosario,* 2 NY3d 459; *People v Mobil Oil Corp.,* 48 NY2d 192; *Matter of State Farm Mut. Auto. Ins. Co. v Amato,* 72 NY2d 288; *Matter of Allstate Ins. Co. v Shaw,* 52 NY2d 818; *Cohen v Lord, Day & Lord,* 75 NY2d 95; *Criscione v City of New York,* 97 NY2d 152.) II. The legislative history, Insurance Department regulation and case law all support the interpretation of the statute that requires an insured to demonstrate a "serious injury" before payment will be made for either uninsured motorist benefits or supplementary uninsured motorist benefits. (*Matter of Federal Ins. Co. v Watnick,* 80 NY2d 539; *Rowell v Utica Mut. Ins. Co.,* 77 NY2d 636; *Matter of Country-Wide Ins. Co. v Wagoner,* 45 NY2d 581; *Matter of Allstate Ins. Co. v Shaw,* 52 NY2d 818; *Fox v Atlantic Mut. Ins. Co.,* 132 AD2d 17; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Reichel v Government Empls. Ins. Co.,* 66 NY2d 1000; *Matter of Utica Mut. Ins. Co. [Hurd],* 221 AD2d 903; *Matter of Prudential Prop. & Cas. Co. v Szeli,* 83 NY2d 681; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211.)

Michael A. Forzano, Brooklyn, for respondent. I. By the plain and unambiguous language of Insurance Law § 3420 (f) (2), an insured need not establish a ‘‘serious injury’’ as a prerequisite to obtaining benefits under his supplementary uninsured motorist coverage. II. The legislative history, intent, and purpose behind the no-fault legislation, as well as the existing case law, is in no way affected or contravened by the Appellate Division decision, and it is consistent therewith. (*Matter of Country-Wide Ins. Co. v Wagoner,* 45 NY2d 581; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Murray v Hartford,* 23 AD3d 629; *Brathwaite v New York Cent. Mut. Fire Ins. Co.,* 13 AD3d 405; *Matter of Allstate Ins. Co. v Torre,* 264 AD2d 477; *Matter of Gravenese v Allstate Ins. Co.,* 245 AD2d 507; *Bilodeau-Redeye v Preferred Mut. Ins. Co.,* 38 AD3d 1277; *Matter of New York Cent. Mut. Fire Ins. Co. [Guarino],* 11 AD3d 909; *Brown v Travelers Ins. Co.,* 4 AD3d 835.) III. To the extent that Insurance Department Regulation 35-D requires an insured to establish a ‘‘serious injury’’ as a prerequisite to coverage under the supplementary uninsured motorist provision of the policy, it runs counter to the clear wording of the statute and should not be followed. (*Hae Sup Kim v General Acc. Fire & Life Ins. Co.,* 171 AD2d 404; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451.)

Pollack, Pollack, Isaac & DeCicco, New York City (*Brian J. Isaac* of counsel), for New York State Trial Lawyers’ Association, amicus curiae. The serious injury threshold defense may not be raised in a case seeking supplementary uninsured motorist benefits. (*Montgomery v Daniels,* 38 NY2d 41; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211; *Matter of Lloyd [Motor Veh. Acc. Indem. Corp.],* 23 NY2d 478; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Reichel v Government Empls. Ins. Co.,* 66 NY2d 1000; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451.)

Pastel & Rosen, LLP, Albany (*Robert S. Pastel* of counsel), for New York Insurance Association, Inc., amicus curiae. Serious injury is required to recover supplementary uninsured motorist benefits. (*Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Matter of O’Neill [Patriot Gen. Ins. Co.],* 202 AD2d 178; *Brown v Travelers Ins. Co.,* 4 AD3d 835; *Murphy v New York Cent. Mut. Fire Ins. Co.,* 307 AD2d 689; *Murray v Hartford,* 23 AD3d 629; *Brathwaite v New York Cent. Mut. Fire Ins. Co.,* 13 AD3d 405; *Matter of Allstate Ins. Co. v Torre,* 264 AD2d 477; *Pommells v Perez,* 4 NY3d 566.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this case is whether a "serious injury" exclusion in a supplementary uninsured/underinsured motorist endorsement to an automobile liability policy is enforceable. We conclude that it is.

In April 1998, plaintiff Nicholas Raffellini suffered back injuries when his vehicle was struck by a car that had driven through a red traffic light. Plaintiff's medical expenses and other basic economic loss damages were paid through no-fault insurance. He then pursued recovery for his pain and suffering from the driver of the car that caused the accident. The driver's insurance carrier agreed to pay plaintiff a settlement of $25,000—the limit of coverage under that policy. Plaintiff's own insurer, defendant State Farm Mutual Automobile Insurance Company, did not object to the settlement.

After he received the $25,000 settlement payment, plaintiff demanded that State Farm pay him $75,000 in pain and suffering damages under the supplementary uninsured/underinsured motorist (SUM) endorsement, a component of plaintiff's policy that provided up to $100,000 in coverage. When State Farm refused the demand, plaintiff commenced this breach of contract action. State Farm answered the complaint and asserted, among other defenses, that plaintiff could not recover under the SUM endorsement because he "did not sustain serious injury" and his exclusive remedy was, therefore, the receipt of no-fault benefits.

Plaintiff moved to strike the serious injury defense from State Farm's answer, claiming that Insurance Law § 3420 (f) (2), which addresses SUM benefits, does not impose serious injury as a condition precedent to recovery. State Farm countered that Insurance Law § 3420 (f) (2) must be read in tandem with Insurance Law § 3420 (f) (1), which contains a serious injury requirement for uninsured motorist benefits. The insurer further submitted that an Insurance Department regulation, Regulation 35-D, requires that SUM recovery be conditioned on a finding of serious injury.

Supreme Court granted plaintiff's motion to strike State Farm's serious injury defense on the basis that Insurance Law § 3420 (f) (2) does not reference a serious injury exclusion and Regulation 35-D is inconsistent with the statute. The Appellate Division affirmed and granted State Farm's motion for leave to appeal to this Court, certifying the question: ''Was the opinion and order of this court dated October 24, 2006, properly made?'' We answer this question in the negative and reverse the order of the Appellate Division, thereby reinstating State Farm's serious injury defense.

The controversy concerning application of a serious injury requirement in these circumstances stems from the statutory framework. Insurance Law § 3420 (f) (1) mandates that insurers provide uninsured motorist coverage in every New York motor vehicle liability policy. The payment of mandatory uninsured motorist benefits is conditioned on a finding that the insured suffered a serious injury as defined in Insurance Law § 5102 (d). Section 3420 (f) (1) states: ''No payment for non-economic loss shall be made under such policy provision to a covered person unless such person has incurred a serious injury, as such terms are defined in'' the No-Fault Law.

Insurance Law § 3420 (f) (2) (A) addresses additional, optional personal injury coverage that can be purchased by a policyholder: ''Any such policy shall, at the option of the insured, also provide supplementary uninsured/underinsured motorists insurance for bodily injury, in an amount up to the bodily injury liability insurance limits of coverage provided under such policy . . . .'' Under this statute, the coverage is not triggered unless ''the limits of liability of all bodily injury liability bonds or insurance policies applicable at the time of the accident shall be exhausted by payment of judgments or settlements'' (Insurance Law § 3420 [f] [2] [A]). Unlike subsection (f) (1), subsection (f) (2) is silent as to whether an insured must prove serious injury in order to receive supplementary benefits. Plaintiff contends that, by referencing serious injury in subsection (f) (1) and not subsection (f) (2), the Legislature permitted insurers to condition recovery of mandatory uninsured motorist benefits on the existence of a serious injury but intended to preclude them from conditioning recovery of supplementary benefits on such a finding.

Plaintiff's argument runs contrary to the interpretation of the Superintendent of Insurance expressed in Regulation 35-D, codified at 11 NYCRR subpart 60-2. Regulation 35-D was promulgated in 1992 ''to interpret section 3420 (f) (2) of the Insurance Law, in light of ensuing judicial rulings and experience, by establishing a standard form for SUM coverage, in order to eliminate ambiguity, minimize confusion and maximize its utility'' (11 NYCRR 60-2.0 [c]). The regulation requires that ‘‘[e]very SUM endorsement issued shall be the Supplementary Uninsured/Underinsured Motorists Endorsement prescribed by subdivision (f) of this section’’ (11 NYCRR 60-2.3 [c]). Subdivision (f) sets forth the precise language insurers are to use in the endorsement, including an ‘‘EXCLUSIONS’’ section which reads: ‘‘This SUM coverage does not apply . . . for non-economic loss, resulting from bodily injury to an insured and arising from an accident in New York State, unless the insured has sustained serious injury as defined in Section 5102 (d) of the New York Insurance Law’’ (11 NYCRR 60-2.3 [f] [EXCLUSIONS] [3]). State Farm asserts that it incorporated the form language in the SUM endorsement it issued to plaintiff, as it was required to do.

It is well settled that the Legislature may authorize an administrative agency ‘‘to fill in the interstices in the legislative product by prescribing rules and regulations consistent with the enabling legislation’’ (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 865 [2003], quoting *Matter of Nicholas v Kahn*, 47 NY2d 24, 31 [1979]). ‘‘In so doing, an agency can adopt regulations that go beyond the text of that legislation, provided they are not inconsistent with the statutory language or its underlying purposes’’ (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004]). A duly promulgated regulation that meets these criteria has the force of law.

We have previously recognized that the Legislature has vested the Superintendent of Insurance with ‘‘broad power to interpret, clarify, and implement the legislative policy’’ by promulgating regulations (*Medical Socy.*, 100 NY2d at 863-864, quoting *Ostrer v Schenck*, 41 NY2d 782, 785 [1977]) and has directed the Superintendent to ‘‘prescribe forms’’ (*see* Insurance Law § 301 [b]). Thus, in *Medical Society*, where the Superintendent’s power to adopt regulations imposing strict time requirements on the filing of no-fault claims was challenged, this Court found the regulations valid, even though the No-Fault Law itself is silent on the question of time periods. We noted that the time frames, intended to combat an escalating fraud problem, were consistent with the policy underlying the No-Fault Law—to provide prompt compensation to legitimate claimants. In other contexts, we have relied on the Superintendent’s interpretation of New York insurance law, expressed in Regulation 35-D, as ‘‘persuasive authority’’ (*see Matter of Allstate Ins. Co. [Stolarz—*

New Jersey Mfrs. Ins. Co.], 81 NY2d 219, 224 [1993]) and we have specifically cited Regulation 35-D when identifying the exclusions authorized for uninsured/underinsured motorist benefits (*see Matter of Liberty Mut. Ins. Co. [Hogan]*, 82 NY2d 57, 60 [1993]).

Plaintiff argues that, insofar as Regulation 35-D imposes a serious injury requirement on the recovery of supplementary benefits, it is inconsistent with Insurance Law § 3420 (f) (2) and is therefore unenforceable. There is no question that ''if [a] regulation runs counter to the clear wording of a statutory provision, it should not be accorded any weight'' (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980] [citation omitted]). But in this case, the relevant statutory provision and the regulation are not contradictory. Insurance Law § 3420 (f) (2) is silent on the issue of whether an insured can recover SUM benefits absent a serious injury and that silence does not, in this case, imply that the Legislature intended to permit such recovery.

The legislative history of the relevant provisions refutes the argument that, by placing the serious injury exclusion in the mandatory benefits provision but not the supplementary benefits provision, the Legislature intended to preclude the Superintendent from authorizing application of a serious injury exclusion for supplementary benefits. Before uninsured motorist coverage was developed almost 50 years ago, it was not uncommon for a person injured in a motor vehicle accident by an uninsured tortfeasor to be unable to recover any damages. To redress this problem, in 1958 the Legislature created the Motor Vehicle Accident Indemnification Corporation to provide compensation for individuals injured by uninsured motorists, whether or not the injured individuals possessed automobile insurance themselves (L 1958, ch 759; *see Matter of Lloyd [Motor Veh. Acc. Indem. Corp.]*, 23 NY2d 478 [1969]). At the same time, legislation was passed requiring the inclusion of mandatory uninsured motorist coverage in every automobile liability policy issued in New York (L 1958, ch 759, § 4). ''The primary objective of this legislation was to afford the innocent victims of uninsured motorists the same protection available to victims of insured motorists with respect to their relative ability to obtain compensation for losses sustained in an automobile accident'' (*Fox v Atlantic Mut. Ins. Co.*, 132 AD2d 17, 21 [2d Dept 1987]). The Legislature's mandatory uninsured motorist coverage provision—the predecessor to Insurance Law § 3420 (f) (1)—was codified at Insurance Law § 167 (2-a).

Mandatory uninsured motorist coverage therefore significantly predated the No-Fault Law, which was not enacted until 1973 (L 1973, ch 13). The No-Fault Law changed the legal landscape by imposing a distinction between basic economic loss (primarily medical expenses and lost wages up to $50,000), which would be covered regardless of fault in an accident, and noneconomic loss (pain and suffering), recoverable only through a personal injury claim against a tortfeasor responsible for the injuries (Insurance Law § 5102 [a], [b], [c]). As to the latter, the No-Fault Law required that injured parties be precluded from pursuing personal injury claims unless they suffered a ''serious injury'' (Insurance Law § 5104 [a]).*

In 1977, the Legislature amended the mandatory uninsured motorist benefits statute—Insurance Law § 167 (2-a)—to clarify that the recovery available under this coverage was not to be diminished by an insurer's payment of no-fault benefits (L 1977, ch 892, § 3). At the same time, the Legislature added a new paragraph to section 167 (2-a) establishing supplementary uninsured/underinsured motorist coverage. This new paragraph—the predecessor to Insurance Law § 3420 (f) (2)—gave an insured the option of purchasing additional uninsured motorist coverage beyond the mandatory minimum as well as ''underinsurance'' coverage to guard against the possibility of injury by a tortfeasor who was insured but in an amount insufficient to fully compensate the injured party. The newly-added second paragraph read as a continuation of the first, providing that ''[a]ny such policy shall, at the option of the insured, *also* provide supplementary uninsured motorists insurance . . . .'' (L 1977, ch 892, § 3 [emphasis added].) As is the case with mandatory benefits,

* '' 'Serious injury' means a personal injury which results in death; dismemberment; significant disfigurement; a fracture; loss of a fetus; permanent loss of use of a body organ, member, function or system; permanent consequential limitation of use of a body organ or member; significant limitation of use of a body function or system; or a medically determined injury or impairment of a non-permanent nature which prevents the injured person from performing substantially all of the material acts which constitute such person's usual and customary daily activities for not less than ninety days during the one hundred eighty days immediately following the occurrence of the injury or impairment'' (Insurance Law § 5102 [d]).

the purpose of supplementary benefits was ''to provide the insured with the same level of protection he or she would provide to others were the insured a tortfeasor in a bodily injury accident'' (*Matter of Prudential Prop. & Cas. Co. v Szeli*, 83 NY2d 681, 687 [1994]). Rather than characterizing supplementary benefits as a distinct type of coverage, our Court has viewed underinsured motorist coverage as an extension of uninsured motorist coverage:

> ''The statutory allowance for supplementary uninsured motorists insurance coverage expands the 'uninsured motorist' category to include one who, while maintaining proof of financial responsibility as required by law, and thus being an 'insured motorist', nevertheless may be considered an 'uninsured motorist' because he is 'underinsured' when compared to the coverage of an insured who has exercised the option to purchase supplementary insurance'' (*Reichel v Government Empls. Ins. Co.*, 66 NY2d 1000, 1003 [1985]).

The serious injury exclusion at the heart of this dispute was added to the statutory scheme in 1981 (L 1981, ch 435) when mandatory and supplementary benefits were still addressed in adjoining paragraphs of the same subdivision—Insurance Law § 167 (2-a). The Legislature inserted the serious injury language in the first paragraph—the mandatory coverage portion—of that subdivision. But there is no indication in the legislative history of the amendment that the Legislature decided to apply a serious injury exclusion solely to mandatory coverage and not to supplementary benefits. Because both paragraphs of section 167 (2-a) related to uninsured motorist benefits and supplementary coverage was framed as an extension of the mandatory coverage outlined in the first paragraph, the exclusion can reasonably be viewed as having been intended to apply to both categories of benefits. Based on the structure of section 167 (2-a), we cannot say that the Legislature's failure to restate the serious injury provision in the second paragraph evinced an intent to preclude application of such an exclusion to supplementary benefits.

It was not until 1984, when the Insurance Law was recodified and renumbered in its entirety (L 1984, ch 367), that the two paragraphs were separated into two subsections, resulting in the placement of the serious injury exclusion in Insurance Law § 3420 (f) (1) and not in Insurance Law § 3420 (f) (2). This recodification was not meant to effect a substantive change in the law—certainly, there is no reason to conclude that the Legislature split the two paragraphs into separate subsections to create a distinction between the two types of coverages that did not already exist. Given this legislative evolution, we are unpersuaded that the placement of the serious injury exclusion in Insurance Law § 3420 (f) (1) but not section 3420 (f) (2) reflects a legislative determination to restrict the serious injury exclusion to mandatory benefits.

Indeed, as the Superintendent apparently concluded, such a distinction would not be consistent with the policy underlying supplementary benefits, which are designed to give insureds the same level of protection that would have been available to others under the policy if the insureds were the tortfeasors who caused personal injuries. When an insured injures someone in a motor vehicle accident, the injured party is subject to the serious injury requirement in the No-Fault Law and cannot sue for noneconomic loss unless the serious injury threshold is met (*see* Insurance Law § 5104 [a]). Since the purpose of supplementary coverage is to extend to the insured the same level of coverage provided to an injured third party under the policy, the insured must also meet the serious injury requirement before entitlement to supplementary benefits. If this were not the case, the insured would receive coverage more comprehensive than that available to a third party injured by the insured.

It is evident from the facts of this case that the application of the serious injury exclusion is consistent with the policy supporting supplementary benefits. Here, plaintiff received payment for his basic economic loss through no-fault benefits. When he sued the negligent party who caused the collision, he was seeking recovery for noneconomic loss. Having obtained the $25,000 limit of coverage from the negligent driver's insurer, he then sought additional noneconomic loss damages under the SUM endorsement to his State Farm insurance policy. Since a third party injured as a result of plaintiff's negligence would have had to demonstrate serious injury to obtain noneconomic loss damages under plaintiff's policy, it follows that plaintiff himself must prove serious injury to recover under his SUM endorsement—as Regulation 35-D requires. State Farm is therefore entitled to pursue its serious injury defense.

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiff's motion to strike defendant's fifth affirmative defense denied, and the certified question answered in the negative.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[879 NE2d 140, 849 NYS2d 1]

OWEN F. BURNS III et al., Appellants, v JAMES R. VARRIALE JR., Defendant, and ST. PAUL/TRAVELERS INSURANCE COMPANY, Respondent. (And a Related Proceeding.)

Argued September 4, 2007; decided October 11, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 31, 2006. The Appellate Division modified, on the law, an order of the Supreme Court, Albany County (Joseph C. Teresi, J.), insofar as it had directed St. Paul/Travelers Insurance Company to pay $18,960.92 in ''fresh money'' to plaintiffs. The modification consisted of reversing so much of the order as directed St. Paul/Travelers Insurance Company to pay $18,960.92 in ''fresh money'' to plaintiffs, and directing plaintiffs to pay $30,323.86 to St. Paul/Travelers Insurance Company. The Appellate Division affirmed the order as modified.

Burns v Varriale, 34 AD3d 59, affirmed.

HEADNOTE

Workers' Compensation — Third-Party Action — Apportionment of Litigation Costs — Future Compensation Benefits

Because the value of future workers' compensation benefits for a claimant with a nonschedule permanent partial disability was speculative, and the present value of those benefits could not be ascertained at the time claimant recovered damages in a third-party action, claimant was not entitled to an apportionment of attorney's fees based on such future benefits (*see* Workers' Compensation Law § 29). However, the workers' compensation carrier should be required to periodically pay its equitable share of attorney's fees and costs incurred by claimant in securing any continuous compensation benefits. The trial court, in the exercise of its discretion, can fashion a means of apportioning litigation costs as they accrue and monitoring how the carrier's payments to the claimant are made and, thereby, the court can ensure that the payment of attorney's fees by the carrier is based on an actual, nonspeculative benefit.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 663–665.
MCKINNEY's, Workers' Compensation Law § 29.
NY JUR 2d, Workers' Compensation § 139.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Workers' Compensation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation & future /4 benefit /p attorney /3 fee

---

POINTS OF COUNSEL

O'Connell and Aronowitz, Albany (*Cornelius D. Murray* and *Robyn B. Nicoll* of counsel), for appellants. I. The Appellate Division applied an erroneous standard of law in reversing the trial court's exercise of discretion in equitably apportioning attorneys' fees pursuant to Workers' Compensation Law § 29. (*Becker v Huss Co.,* 43 NY2d 527; *Smith v Spinoccia,* 119 AD2d 660; *Matter of Wolfe v Sibley, Lindsay & Curr Co.,* 36 NY2d 505; *Matter of Heitz v Ruppert,* 218 NY 148; *Matter of Illaqua v Barr-Llewellyn Buick Co.,* 81 AD2d 708; *Matter of Kelly v State Ins. Fund,* 60 NY2d 131; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.,* 121 AD2d 810; *Matter of McKee v Sithe Independence Power Partners,* 281 AD2d 891; *Matter of Leeber v LILCO,* 29 AD3d 1198; *Matter of Tipping v National Surface Cleaning Mgt., Inc.,* 29 AD3d 1200.) II. The Appellate Division usurped its authority by, in effect, rewriting the statute so as to empower the Workers' Compensation Board, rather than the court, to apportion legal fees. (*Matter of Hunter,* 4 NY3d 260.)

Sullivan Cunningham Keenan Mraz Oliver & Violando, LLP, Albany (*Michael D. Violando* of counsel), for James R. Varriale, Jr., and another, defendant and respondent. I. The Appellate Division's decision finding it too speculative to determine the value of future benefits in this case where the claimant has a nonschedule permanent partial disability was in all respects proper, supported by case law and should not be disturbed. (*Matter of Kelly v State Ins. Fund,* 60 NY2d 131; *Becker v Huss Co.,* 43 NY2d 527; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.,* 121 AD2d 810; *O'Connor v Lee Hy Paving Corp.,* 480 F Supp 716; *Castleberry v Hudson Val. Asphalt Corp.,* 70 AD2d 228; *Wood v Firestone Tire & Rubber Co.,* 123 Misc 2d 812; *Matter of Di Meglio v Hartford Ins. Co.,* 116 Misc 2d 191; *Matter of McKee v Sithe Independence Power Partners,* 281 AD2d 891; *Matter of Meisner v United Parcel Serv.,* 243 AD2d 128, 93 NY2d 848, 94 NY2d 757; *Matter of Rothe v United Med. Assoc.,* 18 AD3d 1093.) II. The Appellate Division's dicta did not illegally transfer powers of the court to the Workers' Compensation Board. (*Matter of Kelly v State Ins. Fund,* 60 NY2d 131.)

Melissa A. Day, New York City, and *Steven M. Licht* for Special

Funds Conservation Committee, respondent. I. When the Workers' Compensation Board has classified an injured worker as having a permanent partial disability, the present day value of the future benefit to the carriers cannot be calculated without speculation as the rate and the duration of the benefits are susceptible to change. (*Matter of Curtin v City of New York,* 287 NY 338; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.,* 121 AD2d 810; *Matter of Kelly v State Ins. Fund,* 60 NY2d 131; *Matter of McKee v Sithe Independence Power Partners,* 281 AD2d 891; *Matter of Thompson v Saucke Bros. Constr. Co.,* 2 AD3d 993; *Matter of Coneys v New York City Dept. of Mental Health,* 299 AD2d 602.) II. The most equitable method for having a carrier pay its costs associated with its total benefit as required by *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]) is through payment of the costs associated with the benefit as it is realized. (*Matter of Andersen v New York Hosp.,* 5 AD2d 730.) III. This case is a perfect example of why it is futile to speculate about the present day value of the carriers' future obligation when the claimant has been classified as having a permanent partial disability.

Grey & Grey, LLP, Farmingdale (*Robert E. Grey* of counsel), for Injured Workers' Bar Association, amicus curiae. I. The decision of the Appellate Division, Third Department is contrary to settled law regarding the applicability of the Court of Appeals decision in *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]). (*Becker v Huss Co.,* 43 NY2d 527; *Smith v Spinoccia,* 119 AD2d 660; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.,* 121 AD2d 810; *Matter of Theresa M.C. v Utilities Mut. Ins. Co.,* 207 AD2d 481; *Matter of McKee v Sithe Independence Power Partners,* 281 AD2d 891; *McComber v Lehrer McGovern Bovis, Inc.,* 28 AD3d 402; *Martin v Agway Petroleum Corp.,* 161 AD2d 1129.) II. The Third Department's reliance on "voluntary withdrawal" cases in finding permanent partial disability awards too speculative to support the application of *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]) is incorrect as a matter of law. (*Matter of Dudlo v Polytherm Plastics,* 125 AD2d 792; *Matter of Topf v American Character Doll & Toy Co.,* 62 AD2d 1111; *Matter of Regulbuto v Carrier Corp.,* 158 AD2d 817; *Matter of O'Connell v New York State Workmen's Compensation Bd.,* 14 AD2d 945; *Matter of Gugino v New York State Workmen's Compensation Bd.,* 31 AD2d 698; *Matter of Mazziotto v Brookfield Constr. Co.,* 40 AD2d 245; *Matter of Roberts v General Elec. Co.,* 6 AD2d 43; *Matter of Elwood v K-Mart Corp.,* 289 AD2d 794; *Matter of Camarda v New York Tel.,* 262 AD2d 816; *Matter* *of Landi v Carrier Corp.,* 125 AD2d 789.) III. The decision of the Appellate Division, Third Department improperly and unnecessarily transfers the burden of adjudication from the courts to the Workers' Compensation Board. (*Matter of Kelly v State Ins. Fund,* 60 NY2d 131; *Becker v Huss Co.,* 43 NY2d 527.)

OPINION OF THE COURT

JONES, J.

In this proceeding to extinguish a lien asserted pursuant to Workers' Compensation Law § 29, we conclude, as did the Appellate Division, that the value of future workers' compensation benefits for a claimant with a nonschedule permanent partial disability is speculative, that the present value of these benefits cannot be ascertained at the time claimant recovers damages in a third-party action, and that claimant is not entitled to an apportionment of attorney's fees based on such future benefits.

Facts and Procedural History

In January 2000, claimant Owen Burns, then an 18-year veteran of the Town of Colonie Police Department, was employed as a traffic safety investigator earning an average weekly wage of $1,330, or $69,160 annually. On January 13, 2000, claimant, while on duty driving to an accident scene, was involved in a motor vehicle accident with James Varriale. As a result, claimant sustained a number of permanent injuries. On September 2, 2001, after a number of attempts to resume his duties, claimant, then 45 years old, was forced to retire. Although claimant has worked since his retirement, his earnings have decreased significantly.

Subsequently, the Workers' Compensation Board classified claimant as permanently partially disabled and ordered St. Paul/Travelers Insurance Company (the Town of Colonie's workers' compensation carrier) to pay claimant an ongoing maximum benefit of $400 per week. This benefit was based on claimant's average weekly wage before the accident.

In June 2001, claimant (and his wife, derivatively) (plaintiffs) commenced a personal injury action against Varriale. After the completion of discovery and the filing of plaintiffs' note of issue, a trial date was scheduled. Prior to trial, Varriale's insurance company offered the full amount of his policy ($300,000) to settle the lawsuit. Travelers, which had asserted a lien against any recovery plaintiffs received, was required, under Workers' Compensation Law § 29 (5), to consent to the proposed settlement before it could be finalized.

In November 2004, plaintiffs petitioned Supreme Court for an order (1) compelling Travelers to consent to the third-party settlement, (2) extinguishing Travelers' lien because under *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]), Travelers' equitable share of the attorney's fees expended by plaintiffs in bringing the action and securing the settlement exceeded the amount of the lien by approximately $19,000 and (3) directing Travelers to pay plaintiffs this excess amount (referred to as ''fresh money'').

In its opposition and cross motion to add the Special Funds Conservation Committee to the motion,[1] Travelers consented to the third-party settlement, but reserved its right, under Workers' Compensation Law § 29 (4), to take a credit against plaintiffs' net recovery (i.e., the money received from settling the third-party action after deduction of the lien). Accordingly, Travelers would be relieved from paying future benefits until the credit is exhausted (i.e., during a ''holiday'' period). Travelers also asked Supreme Court to apply a portion of the settlement proceeds against its existing lien after the deduction of its pro rata share (34.82%), which represents the percentage of litigation costs and disbursements plaintiffs incurred in bringing the action compared to plaintiffs' total recovery. At the time of the settlement, Travelers' lien totaled $46,523.26.[2] Further, Travelers sought an order (1) determining that the present value of estimated future compensation benefits cannot be reasonably ascertained because the value of any future benefits is necessarily speculative and (2) directing claimant to pay it $30,323.86, representing the value of its lien reduced by its equitable share of the costs plaintiffs incurred in legal fees and disbursements ($46,523.26 [value of lien] less $16,199.40 [34.82% of $46,523.26] = $30,323.86). In the alternative, Travelers argued that if the present value of estimated future compensation benefits could be ascertained, the Special Funds Conservation Committee should be directed to pay its pro rata share as it is responsible for the majority of litigation costs and disbursements.

Rejecting Travelers' arguments, Supreme Court granted the relief plaintiffs requested. Specifically, the court extinguished

---

1. The Special Funds Conservation Committee maintains and defends the Special Disability Fund (*see* Workers' Compensation Law § 15 [8]).

2. This figure is derived from Travelers' total payments to claimant ($96,523.26 [$76,960 for indemnity benefits plus $19,563.26 for medical benefits]) less $50,000 it paid in lieu of first-party no-fault benefits.

Travelers' lien and ordered Travelers to pay $18,960.92 in ''fresh money'' to plaintiffs, stating that

> ''[w]ith [claimant's] limited employment and currently assessed future benefits, it is not speculative to calculate future benefits. Once weekly benefits can be ascertained, the worker's compensation carrier . . . is assessed an equitable apportionment of legal fees. This is so because the carrier benefits in two ways: by recouping past compensation and by [being relieved of] its future obligations to pay the weekly benefits.'' (Citation omitted.)

The Appellate Division modified Supreme Court's order by (1) reversing so much thereof as directed Travelers to pay plaintiffs $18,960.92 in ''fresh money'' and (2) directing plaintiffs to pay $30,323.86 to Travelers to represent the value of its lien reduced by its equitable share of the litigation costs, but otherwise affirmed the order. The court held that a claimant who receives a compensation award based on a permanent partial disability is not entitled to an immediate apportionment of attorney's fees based on both the carrier's recoupment of its lien and its relief from future compensation payments because, in this situation, the present value of future compensation benefits is speculative. In support of its holding, the court stated that ''[w]hen a claimant has a permanent partial disability . . . neither the duration nor the amount of an award is readily predictable because the award may or may not continue for the rest of the claimant's life and the weekly benefit of an award can change based upon the claimant's actual earnings'' (34 AD3d 59, 63 [2006]). The court further stated that a claimant is only entitled to an apportionment of attorney's fees based upon the present value of future compensation benefits where the benefits are readily ascertainable, such as in cases involving death, permanent total disability or a schedule loss of use.

Finally, the court noted that claimant may periodically apply to the Board for further compensation benefits and, if claimant is entitled to a benefits award, the Board may direct further reimbursement of attorney's fees; i.e., if the Board awards further compensation benefits to claimant during the carrier's holiday, ''the carrier will be required at that point to pay its equitable share of the cost of obtaining those benefits, which can no longer be deemed hypothetical or speculative, as those benefits accrue'' (*id*. at 65). On plaintiffs' appeal, we now affirm.[3]

Discussion

It is well settled that ''[Workers' Compensation Law § 29] governs the rights and obligations of employees, their dependents, and compensation carriers with respect to actions arising out of injuries caused by third-party tort-feasors'' (*Matter of Kelly*, 60 NY2d at 136; *see Becker v Huss Co.*, 43 NY2d 527, 537 [1978]). Section 29 (1) provides, in part, that:

> ''If an employee entitled to compensation under this chapter be injured or killed by the negligence or wrong of another not in the same employ, such injured employee . . . may take such compensation and medical benefits and . . . pursue his remedy against such other [party] . . . . In such case, the . . . insurance carrier liable for the payment of such compensation . . . shall[—in order to prevent the employee from enjoying a double recovery—]have a lien on the proceeds of any recovery from such other [party] . . . after the deduction of the reasonable and necessary expenditures, including attorney's fees, incurred in effecting such recovery, to the extent of the total amount of compensation awarded under or provided or estimated by this chapter . . . . Should the employee . . . secure a recovery from such other [party] . . . such employee . . . may apply on notice to such lienor to the court in which the third party action was instituted . . . for an order apportioning the reasonable and necessary expenditures, including [attorney's] fees, incurred in effecting such recovery. Such expenditures shall be equitably apportioned by the court between the employee . . . and the lienor.''

The purpose of this provision is to

> ''stem the inequity to the claimant[ ], arising when a carrier benefits from an employee's recovery while

3. By decision filed April 5, 2007, an Administrative Law Judge determined that for the period of November 3, 2004 to March 15, 2007, claimant had no legally compensable lost time or entitlement to benefit awards. In support of this determination, the Board found that ''claimant has failed to demonstrate a sufficient attachment to the labor market to [warrant] further benefits.'' An administrative appeal is pending.

> assuming none of the costs incurred in obtaining the recovery, and to ensure that the claimant receives a full measure of the recovery proceeds in excess of the amount of statutory benefits otherwise due the claimant'' (*Matter of Kelly*, 60 NY2d at 138).

Moreover, equitable apportionment by the court ''was purposely adopted to avoid 'rigid statutory formulas' and to implement a 'practical and flexible' approach towards ensuring that a compensation carrier assumes its fair share of the costs of litigation'' (*id.* [citations omitted]).

Workers' Compensation Law § 29 (4) provides that the carrier is responsible for any deficiency between a claimant's actual recovery, i.e., the amount actually collected, and the amount of the compensation provided or estimated under the Workers' Compensation Law.

> ''[Section 29 (4)] has been construed to mean that in a deficiency case the amount 'actually collected' by the employee is the recovery proceeds remaining after deduction for litigation costs . . . . Therefore, the carrier assumes the *entire* cost of obtaining the recovery, as its responsibility to make payments is reduced only by the amount 'actually collected' by claimant'' (*Matter of Kelly*, 60 NY2d at 138-139 [citation omitted]).

''The ultimate determination of the equitable apportionment of legal expenses . . . resides in the courts vested with the powers of fact finding and the exercise of a sound discretion'' (*Becker*, 43 NY2d at 544). Whether, under the circumstances presented here, the value of future compensation benefits can be ascertained is a question of law subject to this Court's review (*see id.*).

In *Matter of Kelly*, petitioner was awarded death benefits under Workers' Compensation Law § 16 after her husband was killed in the course of his employment. After petitioner brought a wrongful death action and recovered $315,000, she applied to the Surrogate's Court for an equitable distribution of the recovery proceeds between her and the compensation carrier. We held that a carrier's equitable share of the litigation costs and disbursements incurred by a claimant must be apportioned based on the total benefit the carrier receives (*see Matter of Kelly*, 60 NY2d at 135, 140). Regarding the carrier's total benefit, we noted that when a claimant recovers damages in a third-party action, a carrier benefits in two ways—i.e., the carrier recoups its lien (past benefits paid out to the claimant) and is relieved of its future obligation to make benefit payments to the claimant (due to its section 29 [4] credit) (*id.* at 135).[4] In recognizing that the carrier's future benefit must be taken into account, we stated that it "is not so speculative that it would be improper to estimate and to assess litigation costs against this benefit to the carrier" (*Matter of Kelly*, 60 NY2d at 139). From this statement it follows that if the carrier's future benefit is speculative (i.e., it cannot be quantified or reliably predicted), it would not be appropriate for a court to apportion attorney's fees based on such benefit.

Following the lead of *Matter of Kelly*, a number of courts, apportioning attorney's fees based on a carrier's future benefit, have held that if the value of such benefit cannot be quantified by actuarial or other reliable means, apportionment of fees based on that benefit is impermissible (*see Matter of Briggs v Kansas City Fire & Mar. Ins. Co.*, 121 AD2d 810, 812 [3d Dept 1986]; *Matter of McKee v Sithe Independence Power Partners*, 281 AD2d 891 [4th Dept 2001]).[5] Moreover, the Third and Fourth Departments have held that if a claimant does not receive benefits for death, *total* disability or schedule loss of use, the carrier's future benefit cannot be quantified by actuarial or other reliable means (*id.*). We agree.

When an employee dies in the course of employment, the dependent spouse may be awarded weekly death benefits for life—payable at a rate that does not change—unless the spouse remarries (*see* Workers' Compensation Law § 16). Further, the Board can determine the present value of future death benefits by using actuarial tables that take into account the dependent spouse's life expectancy and the probability of remarriage. When an employee is classified as having a permanent *total* disability, there is no expectation that he or she will rejoin the work force.

4. Under *Matter of Kelly*, the carrier's equitable share is calculated by (1) adding (a) the carrier's lien and (b) the future payments the carrier is relieved from making during the holiday period, and (2) multiplying the sum of those two figures by the percentage of litigation expenses claimant incurred compared to claimant's total recovery. If the carrier's equitable share is greater than its lien, it must pay the excess to claimant.

5. Although *Matter of Briggs* and *Matter of McKee* are factually distinguishable from the case at bar, the distinction is insignificant because these cases focus on (1) the character of the particular classification (i.e., whether the rate and duration of an award based on that classification can be quantified or predicted), and (2) whether, in light of the classification, the present value of future benefits can be accurately ascertained. Accordingly, these cases are helpful in resolving the case at bar.

Accordingly, the compensation benefits awarded to such employee do not fluctuate and continue for the duration of the employee's life, which can be reliably predicted using life expectancy tables (*see* Workers' Compensation Law § 15 [1]). Finally, compensation awards for schedule loss of use, which pay an employee for lost earnings associated with the loss of use of a specific body part, are easily ascertainable because such awards are paid out over a specific number of weeks at a set rate (or in a lump sum) (*see* Workers' Compensation Law § 15 [3]). Although there is a measure of uncertainty in all forecasts, a forecast of the future course of, and compensation payments resulting from, a permanent partial disability is substantially more uncertain than a comparable forecast in the cases discussed above.

If the Board determines that a workers' compensation claimant has a permanent *partial* disability and that the claimant retired from his or her job due to that disability, an inference that his or her reduced future earnings resulted from the disability may be drawn. Claimant must demonstrate that his or her reduced earning capacity is due to the disability, not ''age, general economic conditions or other factors unrelated to the disability'' (*Matter of Meisner v United Parcel Serv.*, 243 AD2d 128, 130 [3d Dept 1998]). The carrier can overcome the inference by offering proof that something other than the disability—e.g., voluntary withdrawal from the labor market—is the sole cause of claimant's reduced earning capacity (*see Matter of Leeber v LILCO*, 29 AD3d 1198, 1199 [3d Dept 2006]; *Matter of Tipping v National Surface Cleaning Mgt., Inc.*, 29 AD3d 1200, 1200-1201 [3d Dept 2006]; *Matter of Rothe v United Med. Assoc.*, 18 AD3d 1093, 1094 [3d Dept 2005]). Thus, in a permanent partial disability case, whether a claimant has maintained a sufficient attachment to the labor market must be resolved by the Board in determining his or her reduced earning capacity and whether benefits should be awarded.

A claimant who demonstrates that his or her reduced earnings are related to the partial disability may receive a reduced earnings award (*see* Workers' Compensation Law § 15 [3] [w]). The weekly rate for such award equals $66^2/_3$% of the difference between claimant's average weekly wage prior to the disability and ''his or her wage-earning capacity thereafter'' (*id.*). ''The wage earning capacity of an injured employee in cases of partial disability shall be determined by his [or her] actual earnings'' during the period of the disability (Workers' Compensation Law § 15 [5-a]; *see also Matter of Matise v Munro Waterproofing Co.*, 293 NY 496, 500 [1944] [''where actual earnings during the period of the disability are established, wage earning capacity must be determined exclusively by the actual earnings of the injured employee without evidence of capacity to earn more or less during such disability period'']). Therefore, in addition to establishing a sufficient attachment to the labor market, a permanent partially disabled claimant who alleges that he or she works must provide the Board with proof of actual earnings after the work for a given period is performed.

Here, the Board's determination that claimant has a permanent partial disability did not entitle him to weekly compensation benefits at a specific rate over his life or over a set period. Claimant has an ongoing obligation to demonstrate his continued attachment to the labor market and how much he actually earns. However, as these variables cannot be reliably predicted, the rate and duration of benefits awarded by the Board may change from one period to the next. Thus, at the time a permanently partially disabled claimant recovers damages in a third-party action, the value of future compensation benefits is speculative.

Even if the present value of the future benefits cannot be ascertained at the time of claimant's recovery in a third-party action, the carrier should be required to periodically pay its equitable share of attorney's fees and costs incurred by claimant in securing any continuous compensation benefits. We note that because the present value of future benefits in a permanent partial disability case is not ascertainable, the court cannot use these benefits for purposes of calculating the carrier's equitable share of the claimant's attorney's fees and costs. This does not mean that the claimant must wait indefinitely for the carrier to pay its equitable share. The trial court, in the exercise of its discretion, can fashion a means of apportioning litigation costs as they accrue and monitoring (e.g., by court order or stipulation of the parties) how the carrier's payments to the claimant are made. Thereby, the court can ensure that the payment of attorney's fees by the carrier is based on an actual, nonspeculative benefit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, with costs.

[881 NE2d 172, 851 NYS2d 76]

In the Matter of RIVERKEEPER, INC., Respondent, v PLANNING BOARD OF TOWN OF SOUTHEAST et al., Appellants.

In the Matter of RICHARD FEUERMAN et al., Respondents, v PLANNING BOARD OF TOWN OF SOUTHEAST et al., Appellants.

In the Matter of CROTON WATERSHED CLEAN WATER COALITION, INC., et al., Respondents, v PLANNING BOARD OF TOWN OF SOUTHEAST et al., Appellants.

In the Matter of CHERIE INGRAHAM et al., Respondents, v PLANNING BOARD OF TOWN OF SOUTHEAST et al., Appellants.

Argued October 18, 2007; decided November 19, 2007

SUMMARY

APPEAL, in the first three above-entitled proceedings, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 8, 2006. The Appellate Division (1) reversed, on the law, three judgments (one as to each proceeding) of the Supreme Court, Westchester County (Francis A. Nicolai, J.; op 2003 NY Slip Op 50776[U] [*Riverkeeper, Inc. v Planning Bd. of Town of Southeast*]; 5 Misc 3d 1010[A], 2004 NY Slip Op 51312[U] [*Matter of Croton Watershed Clean Water Coalition, Inc. v Planning Bd. of Town of Southeast*]), entered in three proceedings pursuant to CPLR article 78, which had dismissed the respective petitions; (2) granted the petitions; (3) annulled the determination of respondent Planning Board of the Town of Southeast that the preparation of a supplemental environmental impact statement in connection with the subdivision application of respondent Glickenhaus Brewster Development, Inc. in the Town of Southeast for a project known as ''The Meadows at Deans Corners'' was not required; and (4) remitted the matters to the Planning Board for the preparation and circulation of a supplemental environmental impact statement.

APPEAL, in the fourth above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 30, 2007. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Westchester County (Francis A. Nicolai, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition and

dismissed the proceeding; (2) granted the petition; and (3) annulled the determination of respondent Planning Board of the Town of Southeast which had conditionally granted the application of Glickenhaus Brewster Development, Inc. for approval of a final subdivision plat.

Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast, 32 AD3d 431, reversed.

Matter of Ingraham v Planning Bd. of Town of Southeast, 36 AD3d 911, reversed.

HEADNOTE

Environmental Conservation — Environmental Impact Statement — Supplemental Environmental Impact Statement

In connection with an application seeking subdivision approval for a residential development, respondent Planning Board, as lead agency under the State Environmental Quality Review Act (SEQRA), took the requisite hard look at project and regulatory changes that arose after the filing of a SEQRA findings statement, and made a reasoned elaboration that the changes did not present significant adverse environmental impacts and thus did not require the preparation of a second supplemental environmental impact statement (SEIS). A lead agency's determination whether to require a SEIS—or in this case a second SEIS—is discretionary (6 NYCRR 617.9 [a] [7] [i]). Here, the Board relied on the material already in its file, including the draft environmental impact statement, final environmental impact statement and initial SEIS, supplemental reports by the Town's wetlands consultant and the developer's engineering consultant, as well as its own environmental and planning consultant. The Board did not improperly defer its SEQRA responsibilities by making the SEIS determination prior to the completion of various permitting processes. The Board, having access to the relevant permit applications and making independent decisions, was not required to wait for agency permitting decisions before determining whether to require a second SEIS. Finally, the Board did not have an affirmative obligation to notify or solicit comments from other agencies when determining that a second SEIS was not required. The Board's involvement in the project spanned almost 15 years at the time of the SEIS determination. With an extensive understanding of the project, the Board properly applied its own discretion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pollution Control §§ 146, 147; AM JUR 2d, Zoning and Planning § 475.

6 NYCRR 617.9 (a) (7) (i).

NY JUR 2d, Environmental Rights and Remedies §§ 80–86, 92, 94.

NEW YORK REAL PROPERTY SERVICE §§ 42:19, 46:22.

ANNOTATION REFERENCE

See ALR Index under Environmental Law; Subdivisions; Zoning.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: subdivision /2 approval & lead /2 agency /s hard /2 look & eis

---

POINTS OF COUNSEL

Willis H. Stephens, Jr., Town Attorney, Brewster, for Planning Board of the Town of Southeast, appellant in the first three above-entitled proceedings. I. The Appellate Division erred when it found that the Planning Board of the Town of Southeast's initial final environmental impact statement and supplemental environmental impact statement were inadequate. (*Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.,* 72 NY2d 674; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.,* 253 AD2d 342; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608.) II. The court below erred by determining that the passage of time warrants preparation of a supplemental environmental impact statement. (*Matter of C/S 12th Ave. LLC v City of New York,* 32 AD3d 1; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Vermont Yankee Nuclear Power Corp. v Natural Resources Defense Council, Inc.,* 435 US 519; *Matter of Village of Pelham v City of Mount Vernon Indus. Dev. Agency,* 302 AD2d 399, 100 NY2d 505; *Matter of Town of Pleasant Val. v Town of Poughkeepsie Planning Bd.,* 289 AD2d 583, 98 NY2d 602; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.,* 291 AD2d 40, 97 NY2d 613; *Matter of Town of Charleston v Montgomery, Otsego, Schoharie Solid Waste Mgt. Auth.,* 235 AD2d 608, 89 NY2d 812; *Matter of Hallenbeck v Onondaga County Resource Recovery Agency,* 225 AD2d 1036; *Matter of Morse v Town of Gardiner Planning Bd.,* 164 AD2d 336; *Matter of Orange Envt. v Jorling,* 161 AD2d 1069.) III. The Appellate Division erred in determining that a lead agency must await determinations from other agencies before deciding whether a supplemental environmental impact statement is necessary. (*Matter of Steele v Town of Salem Planning Bd.,* 200 AD2d 870, 83 NY2d 757.) IV. The Planning Board of the Town of Southeast's decision not to require a supplemental environmental impact statement was supported by substantial evidence in the record.

Keane & Beane, P.C., White Plains (*Richard L. O'Rourke, Judson K. Siebert* and *Edward J. Phillips* of counsel), and *Chadbourne & Parke LLP,* New York City (*Alan I. Raylesberg* and

Thomas E. Butler of counsel), for Glickenhaus Brewster Development, Inc., appellant in the first three above-entitled proceedings. I. The Appellate Division did not apply the correct standard of review to the determination made by the Planning Board of the Town of Southeast. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Chinese Staff & Workers Assn. v City of New York,* 68 NY2d 359; *Matter of Merson v McNally,* 90 NY2d 742; *Matter of Chemical Specialties Mfrs. Assn. v Jorling,* 85 NY2d 382; *Akpan v Koch,* 75 NY2d 561; *Matter of Neville v Koch,* 79 NY2d 416; *Matter of Ifrah v Utschig,* 98 NY2d 304; *Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead,* 98 NY2d 190; *Matter of P.M.S. Assets v Zoning Bd. of Appeals of Vil. of Pleasantville,* 98 NY2d 683.) II. The Appellate Division improperly second-guessed a reasonable, well-supported, State Environmental Quality Review Act determination made by the Planning Board of the Town of Southeast. (*Matter of Seven Acre Wood St. Assoc. v Town of Bedford,* 302 AD2d 532.) III. The Appellate Division incorrectly concluded that the Planning Board of the Town of Southeast improperly deferred its review of environmental issues to other agencies. (*Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.*, 72 NY2d 674; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.,* 253 AD2d 342; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven,* 78 NY2d 608.) IV. The Appellate Division otherwise misconstrued the State Environmental Quality Review Act by imposing requirements not found in the statute. (*Matter of Steele v Town of Salem Planning Bd.,* 200 AD2d 870, 83 NY2d 757.)

James L. Simpson, White Plains, for Riverkeeper, Inc., respondent in the first above-entitled proceeding. I. The Appellate Division applied the appropriate standard of review. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Town of Red Hook v Dutchess County Resource Recovery Agency,* 146 Misc 2d 723.) II. The Appellate Division properly held that the Planning Board of the Town of Southeast utterly failed to take the requisite ‘‘hard look’’ or provide a ‘‘reasoned elaboration’’ for its determination. (*Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Glen Head-Glenwood Landing Civic Council v Town of Oyster Bay*, 88 AD2d 484; *Matter of Merson v McNally,* 90 NY2d 742; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.,* 253 AD2d 342; *Kana-*

ley v Brennan, 119 Misc 2d 1003, 120 AD2d 974; *Matter of Farrington Close Condominium Bd. of Mgrs. v Incorporated Vil. of Southampton,* 205 AD2d 623; *Matter of Iorio v Town of Mount Pleasant,* 131 Misc 2d 395; *Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.,* 72 NY2d 674; *Matter of Kahn v Pasnik,* 90 NY2d 569.) III. The Appellate Division appropriately found that significant changes in circumstances and project design require preparation of a supplemental environmental impact statement. (*Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Bryn Mawr Props. v Fries,* 160 AD2d 1004; *Glen Head-Glenwood Landing Civic Council v Town of Oyster Bay,* 88 AD2d 484; *Matter of Farrington Close Condominium Bd. of Mgrs. v Incorporated Vil. of Southampton,* 205 AD2d 623.) IV. The State Environmental Quality Review Act requires action and assessment, not mere disclosure of environmental impacts. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Merson v McNally,* 90 NY2d 742.) V. There is heightened importance of a supplemental environmental impact statement where unfiltered public drinking water sources are at stake. (*Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Matter of Bryn Mawr Props. v Fries,* 160 AD2d 1004.) VI. Appellants' arguments attempt to circumvent a well-reasoned judicial opinion. (*Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Town of Red Hook v Dutchess County Resource Recovery Agency,* 146 Misc 2d 723; *Matter of Carpenter v City of Ithaca Planning Bd.,* 190 AD2d 934; *Matter of Merson v McNally,* 90 NY2d 742; *Glen Head-Glenwood Landing Civic Council v Town of Oyster Bay,* 88 AD2d 484.)

McMillan, Constabile, Maker & Perone, LLP, Larchmont (*William Maker, Jr.,* of counsel), for Richard Feuerman and others, respondents in the second above-entitled proceeding. I. The Planning Board of the Town of Southeast made virtually no effort to review the areas of environmental concern identified by Justice Nicolai. (*Matter of Hunter,* 4 NY3d 260.) II. The facts bear out the correctness of the Appellate Division's decision and order. (*Matter of Kahn v Pasnik,* 90 NY2d 569; *Matter of C/S 12th Ave. LLC v City of New York,* 32 AD3d 1; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390.) III. The post-2003 reviews by other agencies do not absolve the Planning Board of the Town of Southeast for its improper State Environmental Quality Review Act review. (*Matter of Merson v McNally,* 90 NY2d 742; *Matter of New York City Coalition to End Lead Poisoning v Vallone,* 100 NY2d 337; *Matter of King v Saratoga County Bd. of Supervisors,* 89 NY2d 341; *Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie,* 3 NY3d 508.) IV. The environmental review of the Meadows at Deans Corners was not as thorough as the respondents-appellants would have this Court believe. V. *Riverkeeper II* does not require a supplemental environmental impact statement whenever a State Environmental Quality Review Act process has become lengthy or changes have occurred. VI. Faulting the Planning Board of the Town of Southeast for not seeking comments from other involved agencies before deciding not to require a supplemental environmental impact statement is a logical extrapolation of the State Environmental Quality Review Act regulations. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Spitzer v Farrell,* 100 NY2d 186; *Matter of Kahn v Pasnik,* 90 NY2d 569.) VII. Ordering the preparation of a supplemental environmental impact statement was the proper remedy. (*Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.,* 72 NY2d 674; *Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie,* 3 NY3d 508; *Matter of Kahn v Pasnik,* 90 NY2d 569; *Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury,* 55 NY2d 41.)

James Bacon, New Paltz, for Croton Watershed Clean Water Coalition, Inc. and others, respondents in the third above-entitled proceeding. I. The appellate court applied the correct standard of review. (*H.O.M.E.S. v New York State Urban Dev. Corp.,* 69 AD2d 222; *Matter of Save the Pine Bush v Planning Bd. of City of Albany,* 96 AD2d 986; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Natural Resources Defense Council, Inc. v Muszynski,* 268 F3d 91; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.,* 253 AD2d 342.) II. The Planning Board of the Town of Southeast failed to take a ''hard look'' at the project's potentially significant adverse environmental impacts. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.,* 72 NY2d 674; *Mobil Oil Corp. v City of Syracuse Indus. Dev. Agency,* 224 AD2d 15, 89 NY2d 811; *Matter of Chemical Specialties Mfrs. Assn. v Jorling,* 85 NY2d 382; *Glen Head-Glenwood Landing Civic Council v Town of Oyster Bay,* 88 AD2d 484; *Matter of Coalition Against Lincoln W., Inc. v Weinshall,* 21 AD3d 215; *Mat-*

ter of Doremus v Town of Oyster Bay, 274 AD2d 390; *Chinese Staff & Workers Assn. v City of New York,* 68 NY2d 359; *Matter of Fleck v Town of Colden,* 16 AD3d 1052; *Matter of Yellow Lantern Kampground v Town of Cortlandville,* 279 AD2d 6.) III. The appellate court ruling is consistent with the State Environmental Quality Review Act and existing case law. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.,* 72 NY2d 674; *Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Matter of Price v Common Council of City of Buffalo,* 3 Misc 3d 625; *Town of Red Hook v Dutchess County Resource Recovery Agency,* 146 Misc 2d 723; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.,* 291 AD2d 40; *Sun Co. v City of Syracuse Indus. Dev. Agency,* 209 AD2d 34; *Matter of Schodack Concerned Citizens v Town Bd. of Town of Schodack,* 148 AD2d 130; *Matter of Town of Henrietta v Department of Envtl. Conservation of State of N.Y.,* 76 AD2d 215.)

Andrew M. Cuomo, Attorney General, Albany (*Barbara D. Underwood, Benjamin N. Gutman, Katherine Kennedy* and *Philip M. Bein* of counsel), for State of New York, amicus curiae in the first three above-entitled proceedings. The Town of Southeast Planning Board should have required a supplemental environmental impact statement to address the development project's effects on the Muscoot Reservoir's water quality. (*Glen Head-Glenwood Landing Civic Council v Town of Oyster Bay,* 88 AD2d 484; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.,* 291 AD2d 40; *Matter of Committee for Environmentally Sound Dev. v City of New York,* 190 Misc 2d 359; *Matter of Kahn v Pasnik,* 90 NY2d 569; *Matter of Doremus v Town of Oyster Bay,* 274 AD2d 390; *Matter of Bryn Mawr Props. v Fries,* 160 AD2d 1004; *Dubois v United States Dept. of Agric.,* 102 F3d 1273; *Sierra Club v Flowers,* 423 F Supp 2d 1273; *Natural Resources Defense Council, Inc. v United States Army Corps of Engrs.,* 399 F Supp 2d 386; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.,* 253 AD2d 342.)

Michael E. Kenneally, Jr., Albany, and *Riele J. Morgiewicz* for Association of Towns of State of New York and another, amici curiae in the first three above-entitled proceedings. I. Judicial deference to a reasonably elaborated State Environmental Quality Review Act determination, made in accordance with lawful procedures, enables local governments to move forward with essential land use proceedings. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Akpan v Koch,* 75 NY2d 561; *Matter of Cowan v Kern,* 41 NY2d 591.) II. Strict compliance with State Environmental Quality Review Act (SEQRA) procedural provisions requires that judicial review of procedures be limited to those procedures contained in the SEQRA regulations. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400.)

Shamberg Marwell Davis & Hollis, P.C., Mount Kisco (*John S. Marwell, Diana Bunin* and *Carrie E. Hilpert* of counsel), for Building and Realty Institute of Westchester & the Mid-Hudson Region, amicus curiae in the first three above-entitled proceedings. I. This Court should reverse the Appellate Division's decision and order, which hinders development of all housing, including affordable housing, further erodes private property rights, and will result in an array of litigation, rather than the array of housing, as required by this Court. (*Akpan v Koch,* 75 NY2d 561; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Halperin v City of New Rochelle,* 24 AD3d 768; *Berenson v Town of New Castle,* 38 NY2d 102; *Blitz v Town of New Castle,* 94 AD2d 92; *Continental Bldg. Co. v Town of N. Salem,* 211 AD2d 88; *Land Master Montg I, LLC v Town of Montgomery,* 13 Misc 3d 870; *Town of Orangetown v Magee,* 88 NY2d 41.) II. This Court should reverse the Appellate Division's decision and order, which imposes additional nonexistent State Environmental Quality Review Act requirements, as proscribed judicial legislation. (*Clark v Cuomo,* 66 NY2d 185; *Matter of Anonymous,* 40 NY2d 96; *Bright Homes v Wright,* 8 NY2d 157; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Lawrence Constr. Corp. v State of New York,* 293 NY 634; *Kucher v DaimlerChrysler Corp.,* 9 Misc 3d 45.)

Sive, Paget & Riesel, PC, New York City (*Mark A. Chertok* and *Elizabeth Knauer* of counsel), and *Fried, Frank, Harris, Shriver & Jacobson LLP* (*Richard G. Leland* and *Susanna J. Gray* of counsel) for Real Estate Board of New York, Inc., amicus curiae in the first three above-entitled proceedings. I. A supplemental environmental impact statement is not required every time a project or circumstances change. (*Matter of Schodack Concerned Citizens v Town Bd. of Town of Schodack,* 148 AD2d 130; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400; *Matter of Village of Tarrytown v Planning Bd. of Vil. of Sleepy Hollow,* 292 AD2d 617; *Matter of C/S 12th Ave.*

LLC v City of New York, 32 AD3d 1; *New York Pub. Interest Research Group v Williams,* 127 AD2d 512; *Matter of Howard v Wyman,* 28 NY2d 434; *Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie,* 3 NY3d 508; *Incorporated Vil. of Atl. Beach v Gavalas,* 81 NY2d 322; *Matter of Taxpayers Opposed to Floodmart v City of Hornell Indus. Dev. Agency,* 212 AD2d 958; *Matter of Halperin v City of New Rochelle,* 24 AD3d 768.) II. A lead agency is not required to wait for the completion of permit processes undertaken by involved agencies before making State Environmental Quality Review Act determinations. (*Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400.) III. Requiring a lead agency to solicit comments from involved agencies is inconsistent with State Environmental Quality Review Act procedures and would cause administrative project delays. (*Matter of Gordon v Rush,* 100 NY2d 236.)

Willis H. Stephens, Jr., Town Attorney, Brewster, for Planning Board of the Town of Southeast, appellant in the fourth above-entitled proceeding. This Court should reverse the decision and order upon a reversal in *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast* (32 AD3d 431 [2006]).

Keane & Beane, P.C., White Plains (*Richard L. O'Rourke, Judson K. Siebert* and *Edward J. Phillips* of counsel), and *Chadbourne & Parke LLP,* New York City (*Alan I. Raylesberg* and *Thomas E. Butler* of counsel), for Glickenhaus Brewster Development, Inc., appellant in the fourth above-entitled proceeding. I. This Court should reverse the decision and order upon a reversal in *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast* (32 AD3d 431 [2006]). II. Petitioners-respondents' claims in their CPLR article 78 petition were properly denied. (*Matter of Gernatt Asphalt Prods. v Town of Sardinia,* 87 NY2d 668; *Matter of Brighton Residents Against Violence to Children v MW Props.,* 304 AD2d 53, 100 NY2d 514; *Matter of Rediker v Zoning Bd. of Appeals of Town of Philipstown,* 280 AD2d 548, 96 NY2d 716; *Matter of Kemp v Zoning Bd. of Appeals of Vil. of Wappingers Falls,* 216 AD2d 466; *Matter of M & M Partnership v Sweenor,* 210 AD2d 575; *Thomas v Brookins,* 175 AD2d 619; *Kessler v Town of Shelter Is. Planning Bd.,* 40 AD2d 1005; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.,* 91 NY2d 413; *Matter of North Country Citizens for Responsible Growth, Inc. v Town of Potsdam Planning Bd.,* 39 AD3d 1098; *Matter of Hauser v Town of Webb,* 34 AD3d 1353.) III. If supplemental environmental review is required for the Meadows at Deans Corners, it should proceed on a postapproval basis. (*Golden v Metropolitan Transp. Auth.,* 126 AD2d 128; *Chatham Green v Bloomberg,* 1 Misc 3d 434; *Matter of Jackson v New York State Urban Dev. Corp.,* 67 NY2d 400.)

McMillan, Constabile, Maker & Perone, LLP, Larchmont (*William Maker, Jr.,* and *Gary Kyme* of counsel), for respondents in the fourth above-entitled proceeding. I. *Matter of Ingraham v Planning Bd. of Town of Southeast* (36 AD3d 911 [2007]) is the legitimate offspring of *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast* (32 AD3d 431 [2006]). (*Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury,* 55 NY2d 41; *Chinese Staff & Workers Assn. v City of New York,* 68 NY2d 359; *Matter of New York City Coalition to End Lead Poisoning v Vallone,* 100 NY2d 337; *Matter of King v Saratoga County Bd. of Supervisors,* 89 NY2d 341.) II. Respondents-appellants have no one but themselves to blame for what has occurred. (*Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast,* 32 AD3d 431.) III. The Planning Board of the Town of Southeast improperly waived the mandated public hearing. (*Matter of City of Saratoga Springs v Zoning Bd. of Appeals of Town of Wilton,* 279 AD2d 756.) IV. As an administrative body, the Planning Board of the Town of Southeast could not improvise; it had to apply the subdivision regulations as written. (*Marx v Zoning Bd. of Appeals of Vil. of Mill Neck,* 137 AD2d 333; *Purchase Envtl. Protective Assn. v Strati,* 163 AD2d 596.) V. The Planning Board of the Town of Southeast cannot create ''boulevards'' to bypass the subdivision regulations. (*Matter of North White Auto v Clem,* 229 AD2d 393; *Matter of Tallini v Rose,* 208 AD2d 546; *Matter of New York SMSA Ltd. Partnership v Town of Islip Planning Bd.,* 300 AD2d 307; *Buechel v Bain,* 97 NY2d 295.)

OPINION OF THE COURT

Chief Judge KAYE.

At the heart of the two appeals before us is the impact of environmental and regulatory change on a residential development that has been in the planning and review stages for nearly 20 years. The particular question presented is whether the Planning Board of the Town of Southeast, lead agency under the State Environmental Quality Review Act (SEQRA), both took the requisite hard look at project and regulatory changes that arose after the filing of a SEQRA findings statement, and made a reasoned elaboration that a second supplemental environmental impact statement (SEIS) was not necessary to address those changes. We conclude that the Board did both, and that its determination was not arbitrary or capricious.

Background

In 1988 Glickenhaus Brewster Development, Inc. submitted an application to the Board seeking subdivision approval for a residential development called the Meadows at Deans Corners. The site spans approximately 309 acres and, in its final form, proposes a cluster development of 104 homes.

After declaring itself lead agency, the Board issued a positive declaration, which determined that the project would likely have a significant impact on the environment, and required the preparation of a draft environmental impact statement (DEIS). Between 1988 and 1991, Glickenhaus submitted a DEIS, final EIS (FEIS), draft SEIS (DSEIS) and final SEIS (FSEIS), which were reviewed by the Board and subject to public comment. On February 25, 1991, the Board issued a SEQRA findings statement determining that SEQRA's requirements had been met and that the project ''minimized or avoid[ed] adverse environmental effects to the maximum extent practicable.''

These early processes unearthed concern that the development would degrade the quality of the Croton Watershed because Holly Stream, which runs through the site, is a tributary of the Muscoot Reservoir. Additionally, the Town of Southeast lies within the Croton Watershed, which supplies New York City with ten percent of its drinking water. The New York City Department of Environmental Protection (NYCDEP) opposed the initial sewage treatment plan and Glickenhaus substituted a more advanced plan with a subsurface disposal system. The Board's findings acknowledged that treated effluent from the development would flow into Holly Stream and be discharged into the Muscoot Reservoir. The findings also documented Glickenhaus's obligation to develop the advanced treatment plant in conjunction with NYCDEP. The Board granted preliminary subdivision approval on August 10, 1998, and conditional final approval on June 10, 2002.

Petitioners challenged the conditional final approval in a CPLR article 78 proceeding. On February 3, 2003, Supreme Court Justice Francis A. Nicolai annulled the conditional final approval because of the Board's failure to take a hard look at certain areas of environmental concern. Judge Nicolai remitted the matter to the Board to determine whether a second SEIS was necessary in light of subsequent developments, namely the United States Army Corps of Engineers' (USACE) expansion of the delineated wetlands acreage on the site; the tightened phosphorous regulations for the Muscoot Reservoir; Governor Pataki's designation of the Croton Watershed as a ''Critical Resource Water''; the flagging of additional watercourses by NYCDEP not previously shown on the site plan; the realignment of various roadways; the increase of stormwater basins from 9 to 20; the additional traffic development near the site; and the flooding caused by Hurricane Floyd.

After remittal, the chairman of the Board reexamined Meadows' file, which had been supplemented with the local wetlands permit application before the Town of Southeast Conservation Commission and the Town Board; the application for a State Pollutant Discharge Elimination System (SPDES) permit before the New York State Department of Environmental Conservation (NYSDEC); the application for a wetlands activities permit before USACE; and the application for approval of the Stormwater Pollution Prevention Plan (SPPP) before NYCDEP. The Board then reviewed two reports from the Town Conservation Commission's independent wetlands consultant, Stephen Coleman, and another report from Glickenhaus's engineering consultant. Finally, the Board's own environmental and planning consultant examined the file and circulated a draft resolution for Board review. On April 14, 2003, the Board adopted a resolution that a second SEIS was not necessary because ''any modifications to the project and any changes [to the regulations] . . . [were] not significant and will not result in any significant adverse environmental impacts . . . .'' Conditional final approval was granted, for a second time, on February 23, 2004.

In May 2003 petitioners commenced *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*—the first of the two appeals before us—challenging the Board's determination that a second SEIS was not required. In a comprehensive opinion dismissing the petitions, Judge Nicolai concluded that the Board had taken the requisite hard look at the areas of concern and made a reasoned elaboration of its decision not to require a second SEIS. The Appellate Division reversed. Without reflecting the proper standard of review, a divided Appellate Division determined that the Board ''could not have met its obligation under SEQRA without requiring a SEIS to analyze the current subdivision plat in light of the change in circumstances since 1991'' (32 AD3d 431, 435 [2d Dept 2006]).

The second appeal before us—*Matter of Ingraham v Planning Bd. of Town of Southeast*—commenced in March 2004, challenged the February 2004 conditional final approval on the ground that it violated various subdivision regulations of the Code of the Town of Southeast. Petitioners alleged that the final plat improperly utilized dead-end streets, the application was not ''complete'' because it did not include all of the required permits and the Board improperly waived a public hearing for final approval. Judge Nicolai found no violation of the Town's subdivision regulations. Although agreeing that no violation of the subdivision regulations had been shown, the Appellate Division annulled the February 2004 conditional final approval based on its August 2006 decision that a second SEIS was required (36 AD3d 911, 912 [2d Dept 2007]). We now reverse the Appellate Division orders and dismiss the petitions.

Analysis

A lead agency's determination whether to require a SEIS—or in this case a *second* SEIS—is discretionary. The relevant SEQRA regulations provide that:

> ''[t]he lead agency *may* require a supplemental EIS, limited to the specific significant adverse environmental impacts not addressed or inadequately addressed in the EIS that arise from: (*a*) changes proposed for the project; (*b*) newly discovered information; or (*c*) a change in circumstances related to the project'' (6 NYCRR 617.9 [a] [7] [i] [emphasis added]).

The decision to prepare a SEIS as a result of newly discovered information ''must be based upon . . . (*a*) the importance and relevance of the information; and (*b*) the present state of the information in the EIS'' (6 NYCRR 617.9 [a] [7] [ii]). In making this fact-intensive determination, the lead agency has the discretion to weigh and evaluate the credibility of the reports and comments submitted to it and must assess environmental concerns in conjunction with other economic and social planning goals (*see* 6 NYCRR 617.1 [d]). The discretion to require a SEIS is distinguished from regulations regarding the preparation of a DEIS or FEIS, which a lead agency must itself prepare or require the applicant to prepare (*see* 6 NYCRR 617.9 [a] [1], [5]).

Judicial review of an agency determination under SEQRA is limited to ''whether the agency identified the relevant areas of environmental concern, took a 'hard look' at them, and made a 'reasoned elaboration' of the basis for its determination'' (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 417 [1986] [citations omitted]). This standard of review applies to a lead agency's determination regarding the necessity for a SEIS. It is not the province of the courts to second-guess thoughtful agency decisionmaking and, accordingly, an agency decision should be annulled only if it is arbitrary, capricious or unsupported by the evidence. The lead agency, after all, has the responsibility to comb through reports, analyses and other documents before making a determination; it is not for a reviewing court to duplicate these efforts. As we have repeatedly stated, ''[w]hile judicial review must be meaningful, the courts may not substitute their judgment for that of the agency for it is not their role to 'weigh the desirability of any action or [to] choose among alternatives' '' (*Akpan v Koch*, 75 NY2d 561, 570 [1990], quoting *Jackson*, 67 NY2d at 416; *see also Matter of Merson v McNally*, 90 NY2d 742, 752 [1997]).

Most of the changes to the proposed plan and the regulations since the Board's issuance of the 1991 SEQRA findings statement concerned the maintenance of the water quality of the Muscoot Reservoir, which lies just south of the Town of Southeast. The Board's requirement of a technologically advanced sewage treatment facility in its 1991 findings statement actually anticipated the regulatory changes that occurred years later. In 1998, the Army Corps of Engineers determined that the actual wetlands acreage impacted by the project was 79.59 acres, instead of the 71.8 acres documented in the findings statement. Then, in 2000, NYSDEC and NYCDEP issued Phase II water quality standards to limit the total maximum daily load (TMDL) of phosphorous into the New York City Water Supply Watershed, which includes the Muscoot Reservoir. The Phase II report indicated that even after applying upstream loading reductions, the designated phosphorous load would be exceeded in the Muscoot Reservoir; therefore, nonpoint source programs would be necessary to achieve the desired reductions. Finally, in 2001, Governor Pataki designated the East of Hudson portion of the New York City Watershed as a Critical Resource Water, thus subjecting the Meadows site to the Army Corps of Engineers' Nationwide Permit Program.

Beginning in 2000, Glickenhaus corresponded with NYCDEP to formulate a suitable Stormwater Pollution Prevention Plan that would comply with NYCDEP's regulations. The Town's wetlands consultant concluded that the final system proposed by Glickenhaus, including an additional 11 water quality basins, is an advanced system that is designed to comply with the pertinent regulations. The wetlands consultant also concluded that the sewage treatment plant and its treatment system "will eliminate a significant source of non-point pollution sources." Accordingly, the Board determined in its April 2003 resolution that the modifications to the SPPP would result in greater protection of water quality than originally determined in the DEIS, FEIS and initial SEIS, and that neither the modifications to the project nor the new regulations presented a significant adverse impact necessitating a second SEIS.

Other changes made to the project also sought to minimize wetlands impact and comply with existing regulations. Although the USACE determined the amount of wetlands on the Meadows site was approximately 7.79 acres greater than that indicated in the 1991 SEQRA findings statement, the reports concluded that there was a decrease in the wetlands acreage actually impacted by the project. Moreover, the road realignments and culvert system mitigated wetlands impact and were designed to accommodate a 100-year flood event. These changes thereby supported the Board's conclusion that there were no new significant adverse impacts imposed by the increased wetlands acreage, road realignments and flooding caused by Hurricane Floyd.

Lastly, the Board reasonably concluded that the additional developments surrounding the Meadows would not pose significant adverse traffic impacts based on a 1998 traffic impact study with projected results to 2003.

We thus conclude that the Board took a hard look at the areas of environmental concern and made a reasoned elaboration of the basis for its conclusion that a second SEIS was not necessary.[1] The Board relied on the material already in its file, including the DEIS, FEIS and initial SEIS, supplemental reports by

---

1. The Attorney General directs our attention particularly to a Ninth Circuit opinion issued last month determining that the EPA violated the Clean Water Act by failing to abide by the regulations for issuing a National Pollutant Discharge Elimination System (NPDES) permit (*Friends of Pinto Cr. v United States Envtl. Protection Agency*, 504 F3d 1007 [9th Cir 2007]). Similar to this appeal, the EPA issued TMDLs for a pollutant after public comment on the FEIS and subsequently revised the NPDES permit (504 F3d 1010). The court determined that the supplemental environmental assessment issued by the EPA should have addressed the revised permit and that the EPA Appeals Board should have considered petitioners'

(n. cont'd)

the Town's wetlands consultant and the developer's engineering consultant, as well as its own environmental and planning consultant. The Board's determination that the changes did not present significant adverse environmental impacts and did not require the preparation of a second SEIS was not arbitrary or capricious and is supported by the evidence.

We also reject petitioners' assertion that the Board improperly deferred its SEQRA responsibilities by making the SEIS determination prior to the completion of various permitting processes. A lead agency improperly defers its duties when it abdicates its SEQRA responsibilities to another agency or insulates itself from environmental decisionmaking (*see Akpan*, 75 NY2d at 575; *Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.*, 72 NY2d 674, 682-683 [1988]). While a lead agency is encouraged to consider the opinions of experts and other agencies, it must exercise its own judgment in determining whether a particular circumstance adversely impacts the environment. Though the SEQRA process and individual agency permitting processes are intertwined, they are two distinct avenues of environmental review. Provided that a lead agency sufficiently considers the environmental concerns addressed by particular permits, the lead agency need not await another agency's permitting decision before exercising its independent judgment on that issue.[2]

Here, the Board's file included the permit applications for wetlands activities, the State Pollutant Discharge Elimination System and the Stormwater Pollution Prevention Plan. These are the very areas of environmental concern upon which the Board allegedly deferred its independent judgment. In addition, the Board reviewed a report by the Town's wetlands consultant that concluded (after reviewing the developer's wetlands permit applications) that the Meadows plan complied with NYCDEP

---

argument that the EPA failed to take a ''hard look'' (504 F3d 1017). In the case before us, however, the Southeast Planning Board—unlike the EPA—considered all of the regulatory and planning changes when it determined that a second SEIS was not required.

2. Petitioners' reliance on *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.* (253 AD2d 342 [4th Dept 1999]) is misplaced. The Penfield Planning Board insulated itself from the hazardous waste remediation plan and failed to exercise its judgment on the issue (*id.* at 344, 349-350). Here, as shown, the Board considered the environmental issues requiring permits and made an independent judgment that they would not create significant environmental impact.

regulations. The Board's April 2003 resolution indicates a familiarity with the required permits and its mere acknowledgment that the developer would be required to seek approval from the USACE pursuant to the Clean Water Act for wetlands disturbance does not rise to the level of improper deferral. On these facts, the Board, having access to the relevant permit applications and making independent decisions as documented in the April 2003 resolution, was not required to wait for agency permitting decisions before determining whether to require a second SEIS.

Finally, the Board did not have an affirmative obligation to notify or solicit comments from other agencies when determining that a second SEIS was not required (*see* 6 NYCRR 617.9 [a] [7] [iii]). True, SEQRA encourages the open exchange of information between a lead agency and other involved agencies (*see* 6 NYCRR 617.3 [d]-[e]; 617.14 [c])—and for good reason. A lead agency often is not expert in a given area of environmental concern and can benefit from the responses of specialized agencies. However, a lead agency's discretion to solicit comments at this late stage in the SEQRA process must be balanced against SEQRA's mandate that the regulations be implemented ''with minimum procedural and administrative delay . . . [and] in the interest of prompt review'' (6 NYCRR 617.3 [h]).

While a lead agency's failure to solicit comments before determining that a SEIS is not required may at times evidence the lack of a ''hard look,'' that is not the case here. The Board's involvement in the Meadows project spanned almost 15 years at the time of the SEIS determination. The Board opened public comment periods when it reviewed the DEIS, FEIS and initial SEIS. In addition, the Board took into account expert reports finding that the changes in the project and the regulations posed no significant adverse environmental impact. That the Board did not solicit comments for a second SEIS does not mean that it failed to take a hard look. With an extensive understanding of the Meadows project, the Board properly applied its own discretion.

Finally, in light of our decision in *Matter of Riverkeeper*, we hold that the Appellate Division's decision in *Matter of Ingraham* should be reversed. We agree with the determination of Supreme Court and the Appellate Division that the Town Code's subdivision regulations were not violated when the Board granted conditional final approval in February 2004. Petitioners' remaining arguments have been rendered academic by this opinion.

Accordingly, the orders of the Appellate Division should be reversed, with costs, and the petitions dismissed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast:* Order reversed, etc.

In *Matter of Ingraham v Planning Bd. of Town of Southeast:* Order reversed, with costs, and petition dismissed.

[878 NE2d 1004, 848 NYS2d 588]

PROPERTY CLERK OF THE POLICE DEPARTMENT OF THE CITY OF NEW YORK et al., Respondents, v MERV HARRIS et al., Respondents, and DELORES NEWTON HARRIS, Appellant.

Argued October 11, 2007; decided November 19, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 2, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Martin Shulman, J.; op 7 Misc 3d 1032[A], 2005 NY Slip Op 50848[U]), entered in a proceeding pursuant to CPLR article 78, which had denied a petition to annul a determination of respondent New York City Office of Administrative Trials and Hearings which, after a postseizure vehicle retention hearing, directed petitioners to release to respondent Delores Newton Harris a vehicle seized from the titled owners, respondent Merv Harris and respondent Delores Newton Harris, as an instrumentality of a crime and which was being held for forfeiture; (2) granted the petition; and (3) annulled and vacated the determination.

Property Clerk of Police Dept. of City of N.Y. v Harris, 34 AD3d 215, affirmed.

HEADNOTES

Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Right of Innocent Co-Owner to Seized Property — Burden of Proof

1. Due process requires that an innocent co-owner of a vehicle seized pursuant to Administrative Code of the City of New York § 14-140 (b) as the instrumentality of a crime and retained during the pendency of a civil forfeiture proceeding be given notice and the opportunity to be heard at a *Krimstock* hearing (*see generally Krimstock v Kelly*, 2005 US Dist LEXIS 43845 [SD NY 2005]). Although the City has the burden at the hearing of establishing its right to continued impoundment by a preponderance of the evidence, it is not required to prove that the co-owner of a seized vehicle is not an ''innocent owner.'' Rather, the innocent co-owner has the burden of proving that his or her present possessory interest outweighs the City's need to impound the vehicle to deter future criminal conduct, and to safeguard its right to future auction proceeds by preventing theft, sale, destruction or loss. An innocent co-owner may be entitled to release of the vehicle upon demonstrating by a preponderance of the evidence that he or she is a registered and/or titled co-owner; was not a ''participant or accomplice'' in the underlying offense and did not ''permit[ ]'' or ''suffer[ ]'' the vehicle to be ''used as a means of com-

mitting crime or employed in aid or furtherance of crime'' (*see* Administrative Code of City of NY § 14-140 [b], [e] [1]); and that continued deprivation would substantially interfere with his or her ability to obtain critical life necessities, such as earning a livelihood, obtaining an education or receiving necessary medical care.

Forfeitures and Penalties — Forfeiture of Proceeds or Instrumentality of Crime — Right of Innocent Co-Owner to Seized Property

2. Respondent, an innocent co-owner of a vehicle seized pursuant to Administrative Code of the City of New York § 14-140 (b) as the instrumentality of a crime after her husband, the other owner of the vehicle, was arrested and charged with criminal sale and possession of a controlled substance in the third degree, was not entitled to have the vehicle released to her. An innocent co-owner may be entitled to release of a vehicle seized as the instrumentality of a crime upon demonstrating by a preponderance of the evidence that he or she is a registered and/or titled co-owner; was not a ''participant or accomplice'' in the underlying offense and did not ''permit[ ]'' or ''suffer[ ]'' the vehicle to be ''used as a means of committing crime or employed in aid or furtherance of crime'' (*see* Administrative Code of City of NY § 14-140 [b], [e] [1]); and that continued deprivation would substantially interfere with his or her ability to obtain critical life necessities, such as earning a livelihood, obtaining an education or receiving necessary medical care. Although respondent established both her co-ownership in the vehicle and that she was not complicit in the narcotics transaction, she failed to show that her access to critical life necessities would suffer substantially as a result of continued impoundment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Forfeitures and Penalties §§ 14, 23, 36, 37.
CARMODY-WAIT 2d, Action for a Penalty or Forfeiture or on a Recognizance §§ 135:110–135:112.
NY JUR 2d, Forfeitures and Penalties §§ 92, 97–99, 102, 103.

ANNOTATION REFERENCE

See ALR Index under Fines, Penalties, and Forfeitures.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: forfeit! /s instrumentality & co-owner /3 vehicle automobile

---

POINTS OF COUNSEL

Legal Aid Society, New York City (*Steven B. Wasserman* and *Summer C. Smith* of counsel), for appellant. The innocent co-owner of a vehicle in forfeiture proceedings has a due process right to contest the need for its impoundment, and its release to the innocent co-owner would not invariably impair or destroy a forfeiture action against the offending owner's share. (*County of Nassau v Canavan,* 1 NY3d 134; *Krimstock v Kelly,* 306 F3d 40; *Mathews v Eldridge,* 424 US 319; *Morgenthau v Citisource, Inc.,* 68 NY2d 211; *Property Clerk of N.Y. City Police Dept. v Molomo,* 179 AD2d 210, 81 NY2d 936; *Property Clerk, N.Y. City Police Dept. v Small,* 153 Misc 2d 673; *Pacheco v Serendensky,* 393 F3d 348; *Republic Nat. Bank of Miami v United States,* 506 US 80; *United States v James Daniel Good Real Property,* 510 US 43.)

Michael A. Cardozo, Corporation Counsel, New York City (*Julie Steiner, Leonard Koerner* and *Gabriel Taussig* of counsel), for respondents. The Appellate Division correctly held that once petitioners demonstrated, in accordance with both Second Circuit Court of Appeals' and this Court's precedents, their entitlement to retain the vehicle pending forfeiture as against the co-owner charged with using the vehicle illegally, they cannot be required to release the vehicle based on the purported innocence of the other co-owner. Such a requirement would be in direct contravention of the plain language of the Administrative Code of the City of New York, would make forfeiture virtually impossible and would dangerously allow an instrumentality of crime to continue to be used as such. (*Matter of Property Clerk of N.Y. City Police Dept. v Ferris,* 77 NY2d 428; *Pacheco v Serendensky,* 393 F3d 348; *Krimstock v Kelly,* 306 F3d 40; *County of Nassau v Canavan,* 1 NY3d 134.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal we are asked to determine whether the Property Clerk of the Police Department of the City of New York, in order to establish the right to impound a vehicle during the pendency of a civil forfeiture proceeding, is required to prove, at a postseizure retention hearing, that the co-owner of a seized vehicle is not an "innocent owner." We conclude that the City does not bear that burden, but building upon the holdings of *County of Nassau v Canavan* (1 NY3d 134 [2003]) and *Krimstock v Kelly* (306 F3d 40 [2d Cir 2002]) we also conclude that due process requires that an innocent co-owner[1] be given an opportunity to demonstrate that his or her present possessory

1. As used throughout this opinion, the term "innocent co-owner" is taken from the definition of "lawful claimant" in section 14-140 (e) (1) of the Administrative Code of the City of New York and denotes an individual who has not—or purports to have not—"permitted or suffered" a seized vehicle to

(n. cont'd)

interest in a seized vehicle outweighs the City's interest in continuing impoundment.

I.

Along with her husband, Merv Harris, respondent, Delores Newton Harris, is the co-owner of a 2002 Mitsubishi Montero. The Harrises acquired the Montero in March 2002 and registered it in Virginia. Since that time, the couple has made monthly payments of $600 drawn from a joint checking account to discharge their remaining debt on the vehicle. At the time these proceedings were initiated in December 2004, the Montero had a fair market value of $16,000.

On the evening of October 20, 2004, an individual working in concert with undercover New York City Police Department (NYPD) officers allegedly called Mr. Harris and asked him to deliver cocaine to 94th Street and Columbus Avenue in Manhattan. A short time later, Mr. Harris arrived in the Montero. The man approached the Montero with $40 in prerecorded buy money, gave that money to Mr. Harris, and returned to the undercover officer with a quantity of cocaine. Mr. Harris drove off but was stopped by other NYPD officers who recovered four bags of cocaine from his pants pocket and the $40 in buy money. The police arrested him, charged him with criminal sale and possession of a controlled substance in the third degree, seized the Montero and impounded it.[2]

As permitted under section 14-140 (b) of the Administrative Code of the City of New York, the NYPD's Property Clerk has retained the seized Montero as ''property . . . suspected of having been used as a means of committing crime or employed in aid or furtherance [thereof].'' The Property Clerk has also instituted a civil forfeiture proceeding seeking to confiscate the Montero in order to sell it at an auction (*see* 38 RCNY 12-36). As required under *Krimstock*, the City informed Mr. Harris of its intent to impound the Montero throughout the forfeiture proceeding (*see* 306 F3d at 68). Mr. Harris then made a timely demand for a ''*Krimstock*'' hearing,[3] where it is the City's burden to establish its right to continued impoundment by a

be used in the commission of a crime and who was not—or purports to have not been—a ''participant or accomplice'' in such crime.

2. All charges against Mr. Harris have been dismissed for failure to prosecute.

3. In *Krimstock*, the Second Circuit held that after a vehicle is seized, the Due Process Clause requires the City to provide ''claimants'' with a ''prompt

(n. cont'd)

preponderance of the evidence (*see Krimstock v Kelly*, 2005 US Dist LEXIS 43845, *4).[4]

On December 21, 2004, both Harrises appeared at the *Krimstock* hearing before an administrative law judge of the City's Office of Administrative Trials and Hearings (OATH).[5] In addition to evidence regarding the alleged October 20 cocaine transaction, the City presented evidence that, over a span of 15 years, ending in 1997, Mr. Harris had been arrested 10 times and served two prison terms for drug-related offenses. After offering evidence regarding Mr. Harris's culpability, the City called respondent to testify in anticipation of her husband's claim that the vehicle should be returned to his wife because of her status as an innocent co-owner.

During her direct testimony, respondent stated that she married Mr. Harris in 2002 and was aware both that her husband was involved in at least one ''drug case'' and imprisoned for a drug offense prior to their marriage. She further testified that Mr. Harris had been arrested on ''drug charges'' during their marriage and that she posted bond in connection with those charges.[6] Turning to her use of the Montero, she testified that she drove the vehicle ''[e]very so often,'' usually on a ''weekly

---

retention hearing'' to ''test the probable validity of continued deprivation of their vehicles'' (306 F3d at 69). But the court declined to ''dictate a specific form'' for that hearing (*id.*).

On remand, the United States District Court for the Southern District of New York set forth the procedure governing ''*Krimstock*'' hearings (*see generally Krimstock v Kelly*, 2005 US Dist LEXIS 43845 [SD NY 2005]). As relevant here, either a person in lawful possession of the vehicle when it is seized or the vehicle's registered and/or title owner may appear at a retention hearing that considers three issues:

> ''whether probable cause existed for the arrest of the vehicle operator; whether it is likely that the City will prevail in an action to forfeit the vehicle[;] and whether it is necessary that the vehicle remain impounded in order to ensure its availability for a judgment of forfeiture'' (*id.* at *4).

4. The Southern District order operative in this case was issued January 22, 2004. Currently, however, *Krimstock* hearings are governed by that court's November 29, 2005 ''Second Amended Order and Judgment'' (*id.* at *1). With respect to the procedures relevant here, the orders are not substantively different. Accordingly, we cite herein only to the currently operative order.

5. Ms. Harris was not represented by counsel during the *Krimstock* hearing. Prior to the hearing, counsel for Mr. Harris offered to represent her. But at the hearing he declined to do so because of a purported ''conflict of interest'' between respondent and her husband.

6. It appears that in responding to this question, respondent was referring to the October 20, 2004 drug charge. Mr. Harris's criminal history report—rap sheet—shows no arrests between August 17, 1997 and that date.

basis.'' She also offered testimony regarding the schedule of payments for the Montero and stated that she and her husband had made timely $600 monthly payments, drawn from their joint checking account.

Following the hearing, OATH ordered the Montero released to respondent even though it found that the City had established each of the three prongs of the *Krimstock* analysis against Mr. Harris.[7] But that showing was immaterial, OATH held, because the City failed to discharge its additional ''burden of proof that [respondent] was not an innocent owner.'' According to OATH, release was appropriate because the City offered no evidence that she ''knew or should have known that her husband was going to use the vehicle to sell narcotics.''[8] The City then commenced a CPLR article 78 proceeding in Supreme Court seeking to annul OATH's determination as ''arbitrary, capricious, and contrary to law.''

Supreme Court upheld OATH's ruling, finding that *Krimstock* ''made it crystal clear that the [City] has to anticipate and test the merits of a potential innocent owner defense'' at a retention hearing (7 Misc 3d 1032[A], 2005 NY Slip Op 50848[U], *4). Accordingly, Supreme Court denied the City's article 78 petition, lifted a stay enjoining release of the vehicle to respondent and dismissed the proceeding. The Appellate Division reversed. It concluded that the City was entitled to retain the vehicle during the pendency of the forfeiture proceeding de-

---

7. Specifically, OATH found that:

> ''[t]he unrebutted evidence established that the police had probable cause for Mr. Harris's arrest . . . the Department presented sufficient evidence to show that there was a likelihood of success in a forfeiture action and a need to retain the vehicle [and that] [t]he preponderance of the evidence demonstrated that Mr. Harris committed a felony and the vehicle was an instrumentality of that crime.''

8. OATH explained that the City failed to meet its burden of proof on the issue of innocent ownership because:

> ''There was no allegation that Ms. Harris was present during the sale . . . There was no evidence that Ms. Harris was aware of any ongoing narcotics use or sale by her husband. Nor was there any evidence that Ms. Harris had ever been involved in any narcotics activity. There was no evidence that Ms. Harris had ever been arrested or convicted of any crime. Nor did the Department inquire about the Harrises' income. The Department did not even ask Ms. Harris what she or her husband did for a living [and] [t]here was no evidence about their other expenses . . .
>
> ''Moreover there was no evidence that, prior to the instant offense, [Mr. Harris] had ever used a car to commit a crime.''

spite respondent's claims of innocent ownership because it ''made the requisite showing against Mr. Harris'' (34 AD3d 215, 217 [1st Dept 2006]).

Further, the Appellate Division reasoned that if the City were required to release vehicles to innocent co-owners, its right to a share of future proceeds from an auction of seized vehicles ''would, as a practical matter, be destroyed'' (34 AD3d at 217). Thus, the court concluded that ''[r]egardless of Ms. Harris's innocence . . . the City is entitled to the protection of its potential right to forfeiture of Mr. Harris's interest in the vehicle'' through continued impoundment (*id.*). A contrary conclusion, the court stated, would make forfeiture ''virtually impossible'' and was unnecessary because innocent co-owners, like respondent, are entitled to a share of auction proceeds corresponding to their interest in the vehicle (*id.* at 218). We granted leave to appeal and now affirm, for different reasons.

II.

Relying upon our decision in *Canavan* and the Second Circuit's decision in *Krimstock*, respondent argues that due process requires that OATH balance the hardship that would befall an innocent co-owner due to the loss of a present possessory interest in using an impounded vehicle against the City's need to retain that vehicle. Petitioner contends, however, that the only process due innocent co-owners is that established in *Canavan* and *Krimstock*, namely a prompt retention hearing wherein the City must establish that ''probable cause existed for the defendant's initial warrantless arrest, that it is likely to succeed on the merits of the forfeiture action, and that retention is necessary to preserve the vehicle from destruction or sale during the pendency of the [forfeiture] proceeding'' (*Canavan*, 1 NY3d at 144-145, citing *Krimstock*, 306 F3d at 67; *see also Krimstock*, 2005 US Dist LEXIS 43845, *4). Petitioner claims that once these findings are made against a ''criminal co-owner,'' innocent co-ownership ''makes no difference.''

[1] Because we agree with respondent that an innocent co-owner's present possessory interest in an impounded vehicle may, in particular circumstances, be constitutionally significant, we conclude that such co-owners are also entitled to notice and the opportunity to be heard at a *Krimstock* hearing.[9] But we hold that an innocent co-owner has the burden of proving that a present possessory interest outweighs the City's need to impound the vehicle to (i) deter future criminal conduct, and to (ii) safeguard its right to future auction proceeds by preventing theft, sale, destruction or loss. Respondent did not carry that burden here.

The City has broad authority to retain property following seizure (*see* Administrative Code of City of NY § 14-140 [b]). It is entitled to retain ''all property . . . suspected of having been used as a means of committing crime or employed in aid or furtherance of crime'' (*id.*). Section 14-140 (b) ''applies to all levels of crime, not just felonies, and to all types of crimes'' (*Krimstock*, 306 F3d at 44). Although the City is required to institute a civil forfeiture proceeding within 25 days after a ''claimant''[10] makes a formal demand for return of seized property, that proceeding is commonly stayed until the conclusion of the underlying criminal action (*see* 38 RCNY 12-36 [a] [i]-[ii] [stay may be requested even if forfeiture proceeding was initiated ''before . . . criminal proceedings'']). Thus, seized vehicles may be impounded for many months (*see e.g. Krimstock*, 306 F3d at 46 [citing examples in which cars remained impounded between 2½ and 11 months during forfeiture proceeding]).

In *Canavan*, we struck down a county's civil forfeiture statute on due process grounds because it ''contain[ed] no limitation of

9. Our holding here is predicated upon the significant interests of innocent co-owners that were previously recognized in *Canavan* and *Krimstock* (*see* at 244-245, *infra*). But we note that the U.S. Supreme Court's decision in *Bennis v Michigan* (516 US 442 [1996]), which considered a due process challenge brought by a ''joint owner'' whose vehicle was forfeited because her husband used it to solicit a prostitute, does not mandate a different result (*see id.* at 443). As the Second Circuit explained in *Krimstock*, *Bennis*'s holding that a Michigan forfeiture statute did not violate the Federal Due Process Clause was based, in part, upon the Michigan court's '' 'remedial discretion' to consider whether forfeiture of a vehicle would leave its owner or owners without transportation'' (*Krimstock*, 306 F3d at 56 n 15; *see also Bennis*, 516 US at 453 [reasoning that the force of petitioner's argument that the statute unfairly relieved prosecutors of ''the burden of separating co-owners who are complicit in the wrongful use of property from innocent co-owners . . . is reduced . . . by the Michigan Supreme Court's confirmation of the trial court's remedial discretion'']). Our holding today provides OATH with a similar ''remedial discretion.''

10. The Rules of the City of New York define ''claimant'' as ''the person from whose person or possession property, other than contraband, was taken or obtained'' (38 RCNY 12-31) or the claimant's ''representative authorized by a notarized writing to claim th[at] property'' (38 RCNY 12-32 [e] [ii]).

forfeiture liability for innocent owners'' (*Canavan*, 1 NY3d at 143, quoting *Krimstock*, 306 F3d at 57). In addition, we held that due process required that ''defendants'' be afforded a prompt postseizure retention hearing. Although our holding referred only to ''defendants[']'' rights, it was predicated largely upon the potentially ''significant'' interest that innocent owners, and household members, have in impounded vehicles subject to lengthy impoundments (*Canavan*, 1 NY3d at 142-143 [''(T)he private interest affected by the deprivation of an automobile may be significant. When cars are owned by others or shared among household members . . . seizure may affect not only a culpable defendant, but also other innocent parties'']; *see also id.* at 144 [reasoning that ''a hearing (is) required to ensure that . . . innocent owners are not deprived for months or years of cars ultimately proved not to be subject to forfeiture'']).

Our concern for the interest of innocent owners echoed that of the Second Circuit in *Krimstock*. In ruling that due process required a prompt postseizure retention hearing, the Second Circuit emphasized the ''plight of innocent owners'' and explained that the risk of erroneous deprivation is heightened because section 14-140 (b) permits the City to retain seized vehicles without giving such owners the opportunity to prove that they did not ''permit'' or ''suffer'' the criminal use of their vehicles (*see Krimstock*, 306 F3d at 48, 56-58, 63).

Canavan and *Krimstock* do not refer specifically to the due process rights of innocent co-owners, the issue with which we are confronted here. Instead, *Canavan* held that ''defendants''—who presumably could be sole owners, co-owners, or merely in lawful possession of a seized vehicle—had a due process right to a hearing (1 NY3d at 144). And *Krimstock* refers to the due process right of ''claimants'' (*e.g.* 306 F3d at 68, 69) who are defined in the order currently governing *Krimstock* hearings as ''either the person from whom the vehicle was seized . . . or [its] owner'' (2005 US Dist LEXIS 43845, at *7).

Nonetheless, both of these cases strongly suggest that innocent co-owners' interests must be fully considered at a *Krimstock* hearing. For example, the *Krimstock* court defined the term ''innocent owner'' as ''a person who has an *ownership interest* in property threatened with civil forfeiture but who neither participated in nor permitted or suffered the alleged illegal use of the property'' (306 F3d at 48 n 9 [emphasis added]). Similarly, we noted the potentially significant interest at stake when impounded vehicles ''are owned by others'' (*Canavan*, 1 NY3d at 142). Despite these strong indications, however, to determine what process is due an innocent co-owner of an impounded vehicle, we must consider ''(1) the private interest affected; (2) the risk of erroneous deprivation through the procedures used and the probable value of other procedural safeguards; and (3) the government's interest'' (*Canavan*, 1 NY3d at 142, citing *Mathews v Eldridge*, 424 US 319, 335 [1976]). Each of these factors militates in favor of permitting innocent co-owners to contest impoundment.

III.

As to the first consideration, an innocent co-owner's present possessory interest in a vehicle ''may be significant'' (*see Canavan*, 1 NY3d at 142). ''[A]utomobiles are often an essential form of transportation and, in some cases, critical to life necessities, earning a livelihood and obtaining education'' (*id.* at 143). This interest is not diminished by the fact that title to the vehicle is held jointly (*see id.* at 142-143 [noting that ''(w)hen cars are owned by others or shared among household members . . . seizure may affect not only a culpable defendant, but also other innocent parties'']; *Fuentes v Shevin*, 407 US 67, 86 [1972] [due process protection extends to ''*any significant property interest*'' (emphasis added)]; *Bennis v Michigan*, 516 US 442, 473 [1996, Kennedy, J., dissenting] [concluding that ''the automobile . . . is a practical necessity in modern life for so many people'' and that ''nothing supports the suggestion that the value of . . . co-ownership is so insignificant as to be beneath the law's protection'']). Indeed, the Second Circuit recently held that a lienholder's contingent possessory interest in a seized vehicle is ''considerable'' and that lienholders have a due process right to be heard in forfeiture proceedings brought under 38 RCNY 12-36 (*Ford Motor Credit Co. v NYC Police Dept.*, 503 F3d 186, 194 [2d Cir 2007]). That conclusion only underscores the potential importance of the present possessory interest of innocent co-owners.

Contrary to the Appellate Division's view, the prospect of a proportional payment of future forfeiture proceeds does not, in most cases, sufficiently protect innocent co-owners. That payment may not compensate for an innocent co-owner's ''interest in continued possession and use'' of the vehicle during impoundment (*Fuentes*, 407 US at 86; *see also Krimstock*, 306 F3d at 64 [''(A)n owner cannot recover the lost use of a vehicle by prevailing in a forfeiture proceeding'']; *cf. Ford Motor Credit*, 503 F3d at 191 [rejecting City's contention that lienholder's only cognizable interest was that of ''sale proceeds'' because lienholders ''ha(ve) a property interest in the present value of a seized vehicle'']).

As a second consideration, if an innocent co-owner is not permitted to contest impoundment, there is a substantial risk that erroneous deprivation of a present possessory interest in a vehicle will occur. A postseizure retention hearing is meant not only to determine whether probable cause exists for the initial seizure of the vehicle, but also ''whether other measures, short of continued impoundment, would satisfy the legitimate interests of the City in protecting . . . vehicles from sale or destruction'' (*Krimstock*, 306 F3d at 68). The answer to the second inquiry depends, in part, upon whether ''less drastic measures than deprivation *pendente lite* are available and appropriate'' (*see id.* at 44).

Innocent co-owners possess highly relevant evidence—unknown to the City—as to that inquiry. For example, impoundment may be inappropriate if an innocent co-owner relies upon continued use of the impounded vehicle to perform essential daily activities—such as earning a livelihood, obtaining an education, or receiving necessary medical care (*cf. Canavan*, 1 NY3d at 143; *see also Krimstock*, 306 F3d at 49 [''the City might succeed in showing . . . probable cause for seizing the vehicle . . . yet be unable to establish the probable validity of continued deprivation . . . in the face of proof of innocent ownership'']). Innocent co-owners are entitled to present and OATH is required to consider such highly relevant evidence to ''protect against an erroneous deprivation of a claimant's possessory interest'' (*Krimstock*, 306 F3d at 62; *see also United States v James Daniel Good Real Property*, 510 US 43, 55 [1993] [''No better instrument has been devised for arriving at truth than to give a person in jeopardy of serious loss notice of the case . . . and opportunity to meet it'']). This is especially true here, because, as we noted in *Canavan*, ''greater procedural safeguards are of particular importance where . . . the [g]overnment has a direct pecuniary interest in the outcome of the proceeding'' (1 NY3d at 143 [internal quotation marks omitted]).

Turning to the third consideration, we acknowledge that the government's interests in preventing an impounded vehicle's future use as the instrumentality of a crime and preventing against loss, theft, sale, or destruction are significant. But these interests will not always trump an innocent co-owner's present possessory interest. Instead, OATH must balance both sets of interests to determine whether continued retention to prevent future criminality is ''justifiable'' and whether means other than retention such as posting a bond or a temporary restraining order prohibiting the sale or destruction of the vehicle would adequately protect the government's interest in future forfeiture proceeds (*see Canavan*, 1 NY3d at 144).

In concluding that innocent co-owners have a due process right to contest impoundment of their vehicles, we reject the Appellate Division's claim that recognizing such a right would ''as a practical matter . . . destroy[ ]'' the City's interest in seized vehicles and make forfeiture ''virtually impossible'' (34 AD3d at 217, 218). Due process requires a balancing of interests. Just as the City's interests must be considered, so too must an innocent co-owner's. Exclusion of either would threaten ''[t]he purpose of an adversary hearing[, which] is to ensure the requisite neutrality that must inform all governmental decisionmaking'' (*James Daniel Good*, 510 US at 55).

Thus, we hold that an innocent co-owner may be entitled to release of an impounded vehicle if such a co-owner can demonstrate by a preponderance of the evidence that he or she: (i) is a registered and/or titled co-owner; (ii) was not a ''participant or accomplice'' in the underlying offense and did not ''permit[ ]'' or ''suffer[ ]'' the vehicle to be ''used as a means of committing crime or employed in aid or furtherance of crime'' (*see* Administrative Code of City of NY § 14-140 [b], [e] [1]); and that (iii) continued deprivation would substantially interfere with his or her ability to obtain critical life necessities, such as earning a livelihood, obtaining an education, or receiving necessary medical care.

Although we acknowledge that application of this test is inherently fact-intensive, some general guideposts are useful. With respect to the second inquiry, regarding complicity, we have explained in a different context that ''[s]ufferance . . . implies knowledge or the opportunity through reasonable diligence to acquire knowledge'' (*People ex rel. Price v Sheffield Farms-Slawson-Decker Co.*, 225 NY 25, 30 [1918, Cardozo, J.]). As regards continued deprivation, a showing of undue prejudice is required. Thus, OATH must determine whether an innocent co-owner has adequate access to other means of transportation in order to accurately determine whether continued impoundment will substantially interfere with critical life necessities.

Our decision here is a narrow one, concerned only with due process protection of innocent co-owners' present possessory interest in the use of impounded vehicles to obtain critical life necessities. We are not being called upon to consider the practice at forfeiture proceedings, where—as both parties acknowledge—an innocent co-owner may prove an entitlement to a share of auction proceeds, but be unable to obtain release of a seized vehicle. The authority of the government to confiscate property even if that property is owned in whole or part by an innocent owner is well settled and we do not seek to cast doubt upon it here.

IV.

[2] Applying the standard announced above to the present case, we conclude that the City established a prima facie case for impoundment by showing probable cause for the Montero's seizure, a likelihood of success in the forfeiture proceeding and the necessity for continued impoundment. Having made this showing as against Mr. Harris, it does not bear the burden of proving that respondent was not an innocent co-owner. Rather, the burden of proof shifted to respondent and it was incumbent upon her to prove by a preponderance of the evidence that she was an innocent co-owner who would suffer a substantial hardship due to continued impoundment. This she failed to do.

Here, the evidence was sufficient to establish respondent's co-ownership. In addition, the evidence supported the conclusion that respondent was not complicit in the narcotics transaction because there was no proof that she knew or reasonably should have known that the Montero was being used to distribute cocaine in 2004, more than seven years after Mr. Harris's last drug-related arrest. But respondent failed to show that her access to critical life necessities would suffer substantially as a result of continued impoundment. When asked to describe her use of the Montero, respondent testified that ''[i]t vari[ed]'' and that she used the car ''[e]very so often . . . [m]aybe [on] a weekly basis.'' Thus, respondent failed to show that she depended on the Montero as an ''essential form of transportation . . . critical to life necessities'' (*Canavan*, 1 NY3d at 143). Accordingly, in this case, the City's interest in deterrence of future criminal conduct involving the Montero and in preserving it for sale at a later auction outweighed Ms. Harris's present possessory interest. Therefore, the Appellate Division was correct to hold that release is not warranted here.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (concurring). The question here is not what we think is the best possible way to accommodate the conflicting interests of the City of New York and Ms. Harris. The question is the constitutionality of a provision of the New York City Administrative Code that, as interpreted by both parties, allows the City to keep the car during the pendency of proceedings to forfeit Mr. Harris's interest in it. The majority, in substance, upholds the Code provision as applied to Ms. Harris but says it cannot be validly applied to innocent co-owners who make a stronger showing of hardship than Ms. Harris has. Since I do not believe this Code provision is unconstitutional as applied to any innocent co-owners, I concur only in the result.

New York City Administrative Code § 14-140 (b) says that ''all property or money suspected of having been used as a means of committing crime or employed in aid or furtherance of crime'' shall be given to and kept by the City's Property Clerk. Section 14-140 (e) (1) says that any such property ''that shall remain in the custody of the property clerk for a period of three months without a lawful claimant entitled thereto shall . . . be sold at public auction,'' and the proceeds paid to the City. A person who ''permitted or suffered'' the criminal use of the property, or who was a participant or accomplice in it, ''shall not be deemed to be the lawful claimant entitled'' to the property.

The Administrative Code does not specifically address the rights of a person who is a ''lawful claimant entitled'' to *part* ownership of the property, and the application of the provision to that situation is not self-evident. But the City has interpreted it to mean that, in such a case, the property may be held by the Property Clerk and sold, and that after the sale the co-owner should receive her share of the proceeds. This reading of the legislation seems plausible, and Ms. Harris does not dispute it. She argues only that the retention of the property pending sale violates her due process rights. The question presented, then, is whether a state may constitutionally retain and sell an instrumentality of crime that is owned partly by an innocent person and partly by a guilty one.

The answer to that question under the United States Constitution is not in doubt. It follows a fortiori from the Supreme Court's decision in *Bennis v Michigan* (516 US 442 [1996]). There, the Court reached the conclusion—shocking at first glance—that, when a car is used to commit a crime, a state may sell it and keep all the proceeds, even though the owner of the car is completely innocent. The Court said that ''a long and unbroken line of cases holds that an owner's interest in property may be forfeited by reason of the use to which the property is put even though the owner did not know that it was to be put to such use'' (516 US at 446). Certainly, if a state may permanently deprive an innocent owner of her property, it may temporarily deprive an innocent co-owner like Ms. Harris—and that is all that New York City's Administrative Code provision would do.

I find the majority's attempt to distinguish *Bennis* as limited to cases where a trial court has ''remedial discretion'' to consider hardship (majority op at 244 n 9) completely unconvincing; the holding of *Bennis* is very clear. The majority might more persuasively argue that we should reject *Bennis* and adopt a contrary interpretation of the Due Process Clause of the New York Constitution (art I, § 6) (*see People v P.J. Video*, 68 NY2d 296 [1986]). Indeed, the Court in *Bennis* itself expressed discomfort with its holding, saying that the innocent owner's ''argument, in the abstract, has considerable appeal'' (516 US at 453). *Bennis* was based on history and precedent; the Court concluded ''that the cases authorizing actions of the kind at issue are 'too firmly fixed in the punitive and remedial jurisprudence of the country to be now displaced' '' (*id.* at 453, quoting *J. W. Goldsmith, Jr.-Grant Co. v United States*, 254 US 505, 511 [1921]).

Like the majority of the Supreme Court in *Bennis*, I dislike the result, but think it is correct. The rule that the instrumentality of a crime may be forfeited to the state, regardless of the innocence of its owner, has existed in Anglo-American law longer than the Due Process Clause. There are excellent reasons to change it, but it should be changed by legislation, not by novel judicial interpretations of the Constitution. I would adhere to *Bennis* as a matter of state constitutional law, saying of our State Constitution what Justice Thomas, concurring in *Bennis*, said of the federal one: ''[T]he . . . Constitution does not prohibit everything that is intensely undesirable'' (516 US at 454).

But we do not need to go as far as *Bennis* went to uphold the validity of the legislation in this case. This legislation has removed much of the unfairness from the ancient law of forfeiture. It gives no rights to the City against an innocent *sole* owner of property; Ms. Harris would face no problem recovering her car, had she not chosen to share ownership with a man who turned out to be a drug dealer. And even co-owners suffer only a temporary loss of their property; Ms. Harris will ultimately get her share of the sale proceeds. The injury to an innocent co-owner from being denied the use of the car pending sale is real, but it can be justified where—as will usually be true—it is necessary to protect the City's interest in the property; surely, few automobiles released to co-owners are likely to be voluntarily returned for a forfeiture sale. Thus, even if I were prepared to depart from *Bennis* as a matter of state constitutional law, I would find that this City Administrative Code provision, as applied to innocent co-owners of vehicles, is not unconstitutional.

In saying that it is unconstitutional—not as applied to Ms. Harris, but as applied to a hypothetical co-owner who could make a stronger showing of hardship—the majority relies on *Krimstock v Kelly* (306 F3d 40 [2d Cir 2002]) and *County of Nassau v Canavan* (1 NY3d 134 [2003]). Neither of these cases, in my view, establishes an innocent co-owner's substantive right to possession of a car—indeed, *Krimstock* obviously could not do so, for the *Krimstock* court was interpreting the federal Due Process Clause and was thus bound by *Bennis*'s holding. *Krimstock* and *Canavan* involved procedural, not substantive, rights; their central holding is that the owner of an automobile alleged to be the instrumentality of a crime has a right to a prompt hearing on whether the allegation is likely to be proved true. Neither case decides that, even if the allegation of criminality is true, the car must be returned to a co-owner not connected with the criminal conduct.

I would therefore hold that, where the City proves at a *Krimstock* hearing, as it did here, the likelihood that a car was used by one of its owners to commit a crime, the City is not constitutionally required to release the car to an innocent co-owner, and I would affirm the Appellate Division's order on that ground.

Chief Judge KAYE and Judges GRAFFEO, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH concurs in result in a separate opinion in which Judge READ concurs.

Order affirmed, with costs.

[878 NE2d 1001, 848 NYS2d 585]

GREGORY G. STIVER et al., Appellants, v GOOD & FAIR CARTING & MOVING, INC., Respondent.

Argued October 11, 2007; decided November 19, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 22, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (John M. Curran, J.) which had denied defendant's motion for summary judgment dismissing the complaint; (2) granted the motion; and (3) dismissed the complaint.

Stiver v Good & Fair Carting & Moving, Inc., 32 AD3d 1209, affirmed.

HEADNOTE

Negligence — Duty

Defendant, which had performed the required annual New York State motor vehicle inspection of the subject vehicle some two months before it was involved in an accident with plaintiffs' vehicle, owed no duty of care to plaintiffs and was not liable for injuries sustained in the accident, which occurred when the subject vehicle abruptly stopped in the middle of the highway, allegedly due to a malfunction in the transmission components. Recovery for negligent performance of a contractual duty is limited to an action for breach of contract, and a party to a contract is not liable in tort to noncontracting third parties. Defendant's allegedly negligent inspection did not come within any of the exceptions to this general rule. Defendant could not be said to have launched an instrument of harm, nor was there detrimental reliance by plaintiffs. As a matter of public policy, inspection stations should not be forced to insure against risks the amount of which they may not know and cannot control, and as to which contractual limitations of liability might be ineffective.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 562, 827; AM JUR 2d, Contracts §§ 618, 712.

NY JUR 2d, Automobiles and Other Vehicles §§ 267, 274; NY JUR 2d, Contracts §§ 305, 420, 428.

ANNOTATION REFERENCE

Liability for negligence in carrying out governmentally required inspection of motor vehicle. 70 ALR3d 123.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: vehicle /4 inspection /s liab! /s fail!

POINTS OF COUNSEL

Edward C. Cosgrove, Buffalo, for appellants. Defendant had a duty of care to third parties endangered by the negligent performance of motor vehicle inspections. (*Church v Callanan Indus.,* 99 NY2d 104; *Hamilton v Beretta U.S.A. Corp.,* 96 NY2d 222; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Lauer v City of New York,* 95 NY2d 95; *Steitz v City of Beacon,* 295 NY 51; *Strauss v Belle Realty Co.,* 65 NY2d 399; *Koch v Otis El. Co.,* 10 AD2d 464; *Wisner v Harmas Holding Corp.,* 1 AD2d 957, 2 NY2d 855; *Kahner v Otis El. Co.,* 96 App Div 169, 183 NY 512; *MacPherson v Buick Motor Co.,* 217 NY 382.)

Thorn Gershon Tymann and Bonanni, LLP, Albany (*Erin Mead* of counsel), for respondent. I. Defendant owed no common-law duty of care to plaintiff. (*Eaves Brooks Costume Co. v Y.B.H. Realty Corp.,* 76 NY2d 220; *Espinal v Melville Snow Contrs.,* 98 NY2d 136; *Moch Co. v Rensselaer Water Co.,* 247 NY 160; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Church v Callanan Indus.,* 99 NY2d 104; *Pulka v Edelman,* 40 NY2d 781; *Eiseman v State of New York,* 70 NY2d 175; *World Trade Knitting Mills v Lido Knitting Mills,* 154 AD2d 99; *Northbrook Prop. & Cas. Ins. Co. v D.J.L. Warehouse Corp.,* 146 AD2d 574; *Nallan v Helmsley-Spear, Inc.,* 50 NY2d 507.) II. No private right of action can be implied from the statutory scheme governing the conduct of State-mandated motor vehicle inspections. (*Sheehy v Big Flats Community Day,* 73 NY2d 629; *CPC Intl. v McKesson Corp.,* 70 NY2d 268; *Carrier v Salvation Army,* 88 NY2d 298; *Hammer v American Kennel Club,* 1 NY3d 294; *Mark G. v Sabol,* 93 NY2d 710; *Pelaez v Seide,* 2 NY3d 186; *Gain v Eastern Reinforcing Serv.,* 193 AD2d 255; *Eaves Brooks Costume Co. v Y.B.H. Realty Corp.,* 76 NY2d 220; *Miller v Higgins,* 57 AD2d 1010; *Wood v Neff,* 250 AD2d 225.) III. Public policy precludes the imposition of liability in this case. (*Eaves Brooks Costume Co. v Y.B.H. Realty Corp.,* 76 NY2d 220; *Strauss v Belle Realty Co.,* 65 NY2d 399; *Tobin v Grossman,* 24 NY2d 609.) IV. Defendant breached no duty to plaintiff as the governing regulations did not require an inspection of the part which broke. (*Rutherford v Signode Corp.,* 11 AD3d 922; *Baehre v Sagamore Resort Hotel,* 4 AD3d 810; *Van Ostberg v Crane,* 273 AD2d 895.)

Fiedelman & McGaw, Jericho (*Andrew Zajac* and *Dawn C. DeSimone* of counsel), *Martin F. Hayes, Rona L. Platt* and *Brendan T. Fitzpatrick* for Defense Association of New York, Inc., amicus curiae. Good & Fair Carting & Moving, Inc. was entitled to the dismissal of plaintiff's claims because it owed no duty of care. (*Pulka v Edelman,* 40 NY2d 781; *Eiseman v State of New York,* 70 NY2d 175; *Espinal v Melville Snow Contrs.,* 98 NY2d 136; *Darby v Compagnie Natl. Air France,* 96 NY2d 343; *532 Madison Ave. Gourmet Foods v Finlandia Ctr.,* 96 NY2d 280; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Palsgraf v Long Is. R.R. Co.,* 248 NY 339; *Turcotte v Fell,* 68 NY2d 432; *Oathout v Johnson,* 88 AD2d 1010; *Binghamton Masonic Temple v City of Binghamton,* 213 AD2d 742.)

OPINION OF THE COURT

READ, J.

In the dusk of the evening of August 8, 2001, plaintiff Gregory G. Stiver was driving his automobile in the eastbound center lane of a divided highway in Tonawanda. The weather was fine; traffic was moderately heavy. Without warning, the vehicle immediately ahead of him shifted abruptly into the righthand lane. When plaintiff "looked to see what [this driver] was swerving to miss and started to apply the brakes," he saw a car stopped in the center lane, dead ahead of him. Unable to slow down or pull over into another lane in time to avoid a collision, plaintiff rear-ended the disabled car, which was owned and driven by Stephen Corbett. Plaintiff was wearing a seat belt and his automobile's airbag deployed upon impact. Nonetheless, his head struck the steering wheel with sufficient force to impair his right eye permanently.

On June 27, 2002, plaintiff, with his wife suing derivatively, commenced a lawsuit against Corbett for damages caused by the automobile accident, alleging that he had suffered a serious injury within the meaning of the No-Fault Law (*see* Insurance Law § 5102 [d]). During the course of discovery, Corbett testified at an examination before trial that, just before his car slid to a standstill, he heard a rumbling noise and experienced difficulty steering; he observed pieces of the vehicle's transmission rolling down the road. When he inspected his car just after the accident, he saw that the front right wheel was "sideways with the inside of it facing forward," and a half shaft, the driveshaft linking this wheel to the transmission, was disconnected and dangling from the vehicle's undercarriage.

Plaintiffs subsequently learned that on June 13, 2001, about two months before the accident, a mechanic employed by defendant Good & Fair Carting & Moving, Inc., had performed the required annual New York State motor vehicle inspection of Corbett's car, and had issued the certificate denoting that the car was in proper and safe working condition. On June 10, 2004, plaintiffs commenced this action against Good & Fair, alleging that the collision was caused by its negligent inspection of the Corbett vehicle.

On August 2, 2005, Good & Fair moved for summary judgment to dismiss the complaint on the ground that it owed no contractual or common-law duty to plaintiffs or, alternatively, breached no such duty. Plaintiffs opposed the motion. While acknowledging that Good & Fair would ordinarily owe no duty to third parties lacking contractual privity with Corbett, they claimed that this case was an exception to the general rule because Good & Fair launched an instrument of harm, and they detrimentally and reasonably relied on Good & Fair's inspection.

On November 10, 2005, Supreme Court denied Good & Fair's motion, citing the Appellate Division's decision in *Wood v Neff* (250 AD2d 225 [3d Dept 1998]) as controlling authority for the proposition that "an inspector's duties under the Vehicle and Traffic Law . . . extend to third parties as it is reasonably foreseeable that someone other than [the] owner may be injured in an accident because of a defect in a motor vehicle." Importantly, however, *Wood* was handed down before our decisions in *Espinal v Melville Snow Contrs.* (98 NY2d 136 [2002]) and *Church v Callanan Indus.* (99 NY2d 104 [2002]). Nonetheless, the trial court opined that it "ha[d] no alternative but to apply [*Wood*] . . . and conclude that there is a duty under the law, the breach of which may be the basis for a finding of negligence against" Good & Fair.

On September 22, 2006, the Appellate Division unanimously reversed Supreme Court's order on the law, granted the motion for summary judgment and dismissed the complaint. Citing several of our cases, most notably *Espinal* and *Church*, the court found no basis for deviating from the general rule that "recovery for negligent performance of a contractual duty is limited to an action for breach of contract, and a party to a contract is not liable in tort to noncontracting third parties" (*Stiver v Good & Fair Carting & Moving, Inc.*, 32 AD3d 1209, 1210 [4th Dept 2006]). We granted plaintiffs' motion for leave to appeal, and now affirm.

"[A] contractual obligation, standing alone, will generally not give rise to tort liability in favor of a third party" (*Espinal*, 98 NY2d at 138; *see also Church*, 99 NY2d at 111 ["(O)rdinarily, breach of a contractual obligation will not be sufficient in and of itself to impose tort liability to noncontracting third parties upon the promisor"]). We have identified only three exceptions to this general rule, which we summarized in *Espinal*. These are

> "(1) where the contracting party, in failing to exercise reasonable care in the performance of his duties, 'launche[s] a force or instrument of harm' [quoting *Moch Co. v Rensselaer Water Co.*, 247 NY 160, 168 (1928)]; (2) where the plaintiff detrimentally relies on the continued performance of the contracting party's duties [citing *Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220, 226 (1990)] and (3) where the contracting party has entirely displaced the other party's duty to maintain the premises safely [citing *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579, 589 (1994)]" (*Espinal*, 98 NY2d at 140; *see also Church*, 99 NY2d at 112-113).

Good & Fair's allegedly negligent inspection does not match any of these exceptions.

First, Good & Fair cannot be said to have launched an instrument of harm since there is no reason to believe that the inspection made Corbett's vehicle less safe than it was beforehand (*see Church*, 99 NY2d at 112). Inspecting the car did not create or exacerbate a dangerous condition (*see Espinal*, 98 NY2d at 142-143). Second, there was no detrimental reliance. The plaintiff driver did not know whether or when the Corbett vehicle had been inspected. He had never seen the vehicle before the accident, and had no relationship to its owner. Moreover, as Good & Fair observes, there are vehicles on the road, including many vehicles registered in other states, which have not passed a New York State motor vehicle safety inspection. As for the third exception, we cannot reach it in this case. The Appellate Division correctly determined that it was unpreserved for review.

Finally, as a matter of public policy, we are unwilling to force inspection stations to insure against risks "the amount of which they may not know and cannot control, and as to which contractual limitations of liability [might] be ineffective" (*Eaves Brooks*, 76 NY2d at 227). If New York State motor vehicle inspection stations become subject to liability for failure to detect safety-related problems in inspected cars, they would be turned into insurers. This transformation would increase their liability insurance premiums, and the modest cost of a State-mandated safety and emission inspection ($12 at the time of the inspection in this case) would inevitably increase.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH and JONES concur; Judge PIGOTT taking no part.

Order affirmed, with costs.

[878 NE2d 1016, 848 NYS2d 600]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MATTHEW JONES, Appellant.

Argued October 17, 2007; decided November 20, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered October 23, 2006. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Abraham Clott, J.), which had convicted defendant, upon his plea of guilty, of disorderly conduct.

People v Jones, 13 Misc 3d 94, reversed.

HEADNOTE

Crimes — Information — Sufficiency — Disorderly Conduct

An information charging defendant with disorderly conduct in violation of Penal Law § 240.20 (5) and alleging that defendant, along with other individuals, was observed ''standing around'' on a public sidewalk, ''not moving,'' causing ''numerous pedestrians in the area . . . to walk around defendant,'' was jurisdictionally insufficient (*see* CPL 100.15 [3]; 100.40 [1]) for failure to set forth a prima facie case and should have been dismissed. To meet the jurisdictional requisite to prosecute defendant for disorderly conduct under Penal Law § 240.20 (5), the People were obliged to set forth a prima facie case that defendant ''with intent to cause public inconvenience, annoyance or alarm, or recklessly creating a risk thereof . . . obstruct[ed] vehicular or pedestrian traffic.'' Here, there was no indication that defendant had the intent to or recklessly created a risk of causing ''public inconvenience, annoyance or alarm.'' Something more than a mere inconvenience of pedestrians was required to support the charge.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indictments and Informations §§ 84, 85, 93, 101.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:827, 172:834, 172:836, 172:837.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 19.3.

MCKINNEY'S, CPL 100.15 (3); 100.40 (1); Penal Law § 240.20 (5).

NY JUR 2d, Criminal Law §§ 893, 894, 4967.

ANNOTATION REFERENCE

See ALR Index under Breach of Peace and Disorderly Conduct; Indictments and Informations; Sidewalks.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: information /s disorderly & sidewalk & obstruct! /s pedestrian

---

POINTS OF COUNSEL

Nancy E. Little, New York City, and *Steven Banks* for appellant. The information was jurisdictionally defective as its allegations—that appellant and other individuals were standing on the sidewalk at Seventh Avenue and 42nd Street at 2:00 A.M., causing pedestrians to walk around them—were facially insufficient to establish disorderly conduct under Penal Law § 240.20 (5) and, consequently, to establish a lawful arrest underlying the resisting arrest charge under Penal Law § 205.30. (*People v Carcel,* 3 NY2d 327; *People v Casey,* 95 NY2d 354; *People v Alejandro,* 70 NY2d 133; *Matter of Jahron S.,* 79 NY2d 632; *People v Potwora,* 44 AD2d 207; *People v Chesnick,* 302 NY 58; *People v Munafo,* 50 NY2d 326; *People v Most,* 171 NY 423; *People v Nixon,* 248 NY 182; *People v Pearl*, 66 Misc 2d 502.)

Robert M. Morgenthau, District Attorney, New York City (*Paula-Rose Stark* and *David M. Cohn* of counsel), for respondent. The criminal court information was jurisdictionally proper. (*People v Alexander,* 97 NY2d 482; *People v Taylor,* 65 NY2d 1; *People v Hansen,* 95 NY2d 227; *People v Keizer,* 100 NY2d 114; *People v Casey,* 95 NY2d 354; *People v Miles,* 64 NY2d 731; *People v Allen,* 92 NY2d 378; *People v Henderson,* 92 NY2d 677; *People v Alejandro,* 70 NY2d 133; *People v Konieczny,* 2 NY3d 569.)

OPINION OF THE COURT

CIPARICK, J.

This appeal tests the jurisdictional sufficiency of an information charging disorderly conduct. Because the factual allegations in the accusatory instrument failed to establish a prima facie case, the conviction should be vacated and the information dismissed.

Defendant was charged, by information, with disorderly conduct in Manhattan (Penal Law § 240.20 [5]).[1] The information, tracking the statutory language, states, in part, that on June 12, 2004, at approximately 2:01 A.M., on 42nd Street and Seventh Avenue "defendant, with intent to cause public incon-

---

1. He was also charged with a violation of Penal Law § 205.30 (resisting arrest) which was dismissed upon his plea to disorderly conduct.

venience, annoyance and alarm and recklessly creating a risk thereof, obstructed vehicular and pedestrian traffic.'' The information further provides a statement by a police officer that:

> ''he observed defendant along with a number of other individuals standing around at the above location, to wit a public sidewalk, not moving, and that as a result of defendants' [*sic*] behavior, numerous pedestrians in the area had to walk around defendants [*sic*] . . .
>
> ''[D]eponent directed defendant to move and defendant refused and as deponent attempted to stop defendant, defendant did run.''

The next day, June 13, defendant appeared in court with counsel and sought dismissal of the information, contending that it was facially insufficient. The court denied the motion. Defendant then agreed to plead guilty to one count of disorderly conduct in satisfaction of all charges and was sentenced to time served. The Appellate Term later affirmed, with one Justice dissenting. A Judge of this Court granted leave to appeal and we now reverse, vacate the conviction and dismiss the information as facially insufficient.

The factual portion of an information ''must contain a statement of the complainant alleging facts of an evidentiary character supporting or tending to support the charges'' (CPL 100.15 [3]). Under CPL 100.40 (1) an information is sufficient on its face when:

> ''(a) It substantially conforms to the requirements prescribed in section 100.15; and
>
> ''(b) The allegations of the factual part of the information, together with those of any supporting depositions which may accompany it, provide reasonable cause to believe that the defendant committed the offense charged in the accusatory part of the information; and
>
> ''(c) Non-hearsay allegations of the factual part of the information and/or of any supporting depositions establish, if true, every element of the offense charged and the defendant's commission thereof.''

Paragraphs (b) and (c) of CPL 100.40 (1), read in conjunction, place the burden on the People to make out their prima facie case for the offense charged in the text of the information. Unlike misdemeanor or felony complaints, which do not require such a showing in an accusatory instrument, the prima facie requirement is specific to informations (*compare* CPL 100.40 [4]).

"The reason for requiring the additional showing of a prima facie case for an information lies in the unique function that an information serves under the statutory scheme established by the Criminal Procedure Law" (*People v Alejandro*, 70 NY2d 133, 137 [1987]). A defendant charged by information does not have the same safeguards as a defendant charged by a complaint (*see id.* at 138). For instance, a felony complaint will generally be followed by a grand jury proceeding where the People must present evidence demonstrating a prima facie case in order to obtain an indictment (*see* CPL art 190). Likewise, a misdemeanor complaint must be followed by a supporting deposition (*see* CPL 100.40 [4] [b]). Here, the prosecution used an information to bring the case to trial, and thus this instrument must set forth nonhearsay allegations that, if proven to be true, make out every element of the offense charged (*see* CPL 100.40 [1] [c]; 100.15 [3]).

Failure to assert sufficient nonhearsay factual allegations is a jurisdictional defect (*see People v Alejandro*, 70 NY2d at 134-135). To meet the jurisdictional requisite to prosecute defendant for disorderly conduct under Penal Law § 240.20 (5), the People were obliged to set forth a prima facie case that defendant "with intent to cause public inconvenience, annoyance or alarm, or recklessly creating a risk thereof . . . obstruct[ed] vehicular or pedestrian traffic."

The allegations in the information do not meet this burden. Nothing in the information indicates how defendant, when he stood in the middle of a sidewalk at 2:01 A.M., had the intent to or recklessly created a risk of causing "public inconvenience, annoyance or alarm." The conduct sought to be deterred under the statute is "considerably more serious than the apparently innocent" conduct of defendant here (*People v Carcel*, 3 NY2d 327, 331 [1957]). Something more than a mere inconvenience of pedestrians is required to support the charge (*id.* at 332). Otherwise, any person who happens to stop on a sidewalk—whether to greet another, to seek directions or simply to regain one's bearings—would be subject to prosecution under this statute (*see People v Nixon*, 248 NY 182, 185 [1928] [Those congregating on the street display "atrociously bad manners" by "discommod(ing) some other persons" but such conduct alone does not necessarily give rise to disorderly conduct]).[2]

Thus, as the information fails to set forth a prima facie case of disorderly conduct under Penal Law § 240.20 (5), the accusatory instrument is jurisdictionally defective and must be dismissed. Likewise, the People's request that the resisting arrest charge be reinstated must be denied. Penal Law § 205.30 provides that "[a] person is guilty of resisting arrest when he intentionally prevents or attempts to prevent a police officer or peace officer from effecting *an authorized arrest* of himself or another person" (emphasis added). As the information failed to allege sufficient facts to support the underlying disorderly conduct charge, those facts could not be deemed sufficient to allege that the arrest was "authorized" as required under Penal Law § 205.30.

Accordingly, the order of the Appellate Term should be reversed and the information dismissed.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

---

2. Both *Carcel* and *Nixon* involved Penal Law § 722, the predecessor statute to Penal Law § 240.20, which provided in part that "any person who, with intent to provoke a breach of the peace, or whereby a breach of the peace may be occasioned . . . [c]ongregates with others on a public street and refuses to move on when ordered by the police" is guilty of disorderly conduct.

[878 NE2d 1019, 848 NYS2d 603]

JAMES J. WHITE, JR., M.D., Appellant, v CONTINENTAL CASUALTY COMPANY, Defendant, and LIFE INSURANCE COMPANY OF BOSTON & NEW YORK, Respondent.

Argued October 18, 2007; decided November 27, 2007

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 16, 2007. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Erie County (Rose H. Sconiers, J.), which, insofar as appealed from, had granted the motion of defendant Life Insurance Company of Boston & New York for summary judgment dismissing the complaint against it and denied that part of plaintiff's motion for summary judgment against that defendant.

White v Continental Cas. Co., 38 AD3d 1157, affirmed.

HEADNOTE

Insurance — Disability Insurance

Plaintiff, who alleged that he was unable to pursue his occupation as an orthopedic surgeon due to a hip condition, was not entitled to benefits for total disability under a disability income policy transferred to defendant. In order to receive such benefits, plaintiff was required to establish that he was ''unable to perform the substantial and material duties'' of an orthopedic surgeon and was not ''performing the duties of any gainful occupation for which [he was] reasonably fitted by education, training, or experience.'' The definition of total disability was unambiguous, because it was reasonably susceptible of only one meaning. Further, plaintiff failed to present any evidence demonstrating the existence of a triable issue of fact concerning whether he was totally disabled under the policy. Although plaintiff stopped performing orthopedic surgeries due to medical problems prior to filing a claim under the policy, he rendered second medical opinions on spinal surgery, performed independent medical examinations and served as an expert medical witness. Therefore, as a matter of law, plaintiff was ''performing the duties of [a] gainful occupation for which [he was] reasonably fitted by [his] education, training, or experience,'' and, thus, he was not totally disabled within the meaning of the policy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1465–1467, 1470, 1471.
COUCH ON INSURANCE (3d ed) §§ 147:103–147:108, 147:117.
NY JUR 2d, Insurance §§ 2005–2007, 2010.

ANNOTATION REFERENCE

Insurance: ''total disability'' or the like as referring to work in usual occupation or in other occupations. 21 ALR3d 1155.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: total /2 disability /5 definition /p ambiguous

POINTS OF COUNSEL

Bender, Crawford & Bender, LLP, Buffalo (*Joanneke K.M. Brentjens* of counsel), for appellant. I. The Life Insurance Company of Boston & New York's policy definition of total disability renders the policy illusory. (*Allstate Ins. Co. v Zuk,* 78 NY2d 41; *Slayko v Security Mut. Ins. Co.,* 285 AD2d 875; *Matter of Nationwide Mut. Ins. Co. v Davis,* 195 AD2d 561; *Cross Props. v Home Indem. Co.,* 41 Misc 2d 822; *Niccoli v Monarch Life Ins. Co.,* 70 Misc 2d 147, 45 AD2d 737, 36 NY2d 892; *Dixon v Pacific Mut. Life Ins. Co.,* 268 F2d 812, 361 US 948; *Blasbalg v Massachusetts Cas. Ins. Co.,* 962 F Supp 362; *Monarch Life Ins. Co. v Brown,* 125 AD2d 75; *Dawes v First Unum Life Ins. Co.,* 851 F Supp 118; *Primavera v Rose & Kiernan,* 248 AD2d 842.) II. The lower court erred in granting Life Insurance Company of Boston & New York's motion for summary judgment. (*Dix v Pines Hotel,* 188 AD2d 1007; *Rodriguez v Wilson,* 176 AD2d 1202; *Dal Constr. Corp. v City of New York,* 108 AD2d 892; *Pontello v County of Onondaga,* 94 AD2d 427; *Rotuba Extruders v Ceppos,* 46 NY2d 223; *Dougherty v Kinard,* 215 AD2d 521; *Blasbalg v Massachusetts Cas. Ins. Co.,* 962 F Supp 362; *Godesky v First Unum Life Ins. Co.,* 239 AD2d 547; *Shapiro v Berkshire Life Ins. Co.,* 212 F3d 121; *Primavera v Rose & Kiernan,* 248 AD2d 842.)

Rupp Baase Pfalzgraf Cunningham & Coppola LLC, Buffalo (*James M. Appler III* of counsel), for respondent. I. The clear and unambiguous terms of the Life Insurance Company of Boston & New York's policy entitle defendant to summary judgment as a matter of law. (*Keith v Houck,* 88 AD2d 763; *Pepper v Allstate Ins. Co.,* 20 AD3d 633; *Johnson v Travelers Ins. Co.,* 269 NY 401; *Bretton v Mutual of Omaha Ins. Co.,* 110 AD2d 46.) II. Plaintiff is not ''totally disabled'' within the meaning of the Life Insurance Company of Boston & New York's policy. III. The terms of the Life Insurance Company of Boston & New York's policy are clear and unambiguous. (*Michelson v Massachusetts Cas. Ins. Co.,* 102 AD2d 1003; *Jones v St. Paul Fire & Mar. Ins. Co.,* 295 AD2d 569; *Physicians' Reciprocal Insurers* *v Abraham,* 303 AD2d 734; *Canfield v Peerless Ins. Co.,* 262 AD2d 934; *Salimbene v Merchants Mut. Ins. Co.,* 217 AD2d 991; *Gates v Prudential Ins. Co. of Am.,* 240 App Div 444.) IV. Plaintiff is bound by the coverage afforded under the Life Insurance Company of Boston & New York's policy despite his contention that the coverage did not comport with his understanding. (*Madhvani v Sheehan,* 234 AD2d 652; *Noroian v Cohen,* 7 AD3d 288; *Nicholas J. Masterpol, Inc. v Travelers Ins. Cos.,* 273 AD2d 817.) V. Coverage under the Life Insurance Company of Boston & New York's policy is not illusory. (*Ciesinski v Town of Aurora,* 202 AD2d 984; *Lawton v Lawton,* 239 AD2d 866; *Schwartz v State Farm Mut. Auto. Ins. Co.,* 174 F3d 875; *Allstate Ins. Co. v Zuk,* 78 NY2d 41; *Matter of Nationwide Mut. Ins. Co. v Davis,* 195 AD2d 561; *Slayko v Security Mut. Ins. Co.,* 285 AD2d 875; *Centennial Life Ins. Co. v Scherrer,* 191 AD2d 298; *Taterka v Nationwide Mut. Ins. Co.,* 91 AD2d 568, 59 NY2d 743; *Niccoli v Monarch Life Ins. Co.,* 70 Misc 2d 147, 45 AD2d 737, 36 NY2d 892; *Dawes v First Unum Life Ins. Co.,* 851 F Supp 118.) VI. Public policy does not mandate a finding of coverage. (*Slayko v Security Mut. Ins. Co.,* 98 NY2d 289.)

OPINION OF THE COURT

PIGOTT, J.

The principal issue presented in this appeal is whether the definition of ''total disability'' in a disability income policy is ambiguous and, if not, whether plaintiff satisfies the requirements of that definition. We conclude that the definition is not ambiguous and plaintiff failed to establish his entitlement to benefits under the policy as a matter of law.

In 1992, plaintiff James J. White, Jr., a physician who specialized in orthopedic spinal surgery, purchased a disability income policy from First UNUM Life Insurance Company. In 1996, the policy was transferred to defendant Continental Casualty Company (CNA), and again, in 2001, to defendant Life Insurance Company of Boston & New York (LICOBNY). Prior to the 2001 transfer, the policy provided that plaintiff would be considered totally disabled if he was ''unable to perform the substantial and material duties of [his] occupation due to an Injury or Sickness.'' After the policy transfer, the definition of total disability was changed by adding a second provision which required that plaintiff not be able to ''[perform] the duties of any gainful occupation for which [he is] reasonably fitted by education, training, or experience.'' Plaintiff does not dispute that he was notified of the change in the language of the policy.

In December 2001, plaintiff informed defendant LICOBNY (defendant*) that he was unable to pursue his occupation as an orthopedic surgeon due to a hip condition and sought disability benefits under the policy. After defendant denied the claim, plaintiff commenced this breach of contract action. Supreme Court granted defendant's motion for summary judgment dismissing the complaint and the Appellate Division, with two Justices dissenting, affirmed, holding that plaintiff failed, as a matter of law, to meet the policy definition of total disability. Plaintiff appealed to this Court as of right, based on the two-justice dissent on a question of law, arguing that the definition of total disability, particularly the definition's second provision, is ambiguous and renders coverage illusory. Plaintiff argues that, absent the second provision, he satisfied the definition of total disability as a matter of law. In the alternative, plaintiff contends that a triable question of fact exists on this issue. We conclude that these arguments lack merit and therefore affirm the order of the Appellate Division.

As with any contract, unambiguous provisions of an insurance contract must be given their plain and ordinary meaning (*see Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514, 520 [1996]), and the interpretation of such provisions is a question of law for the court (*see Bailey v Fish & Neave*, 8 NY3d 523, 528 [2007]; *Chimart Assoc. v Paul*, 66 NY2d 570, 572-573 [1986]). It is well settled that "[a] contract is unambiguous if the language it uses has 'a definite and precise meaning, unattended by danger of misconception in the purport of the [agreement] itself, and concerning which there is no reasonable basis for a difference of opinion' " (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002] [brackets in original], quoting *Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978], *rearg denied* 46 NY2d 940 [1979]). "Thus, if the agreement on its face is reasonably susceptible of only one meaning, a court is not free to alter the contract to reflect its personal notions of fairness and equity" (*Greenfield*, 98 NY2d at 569-570 [citations omitted]). If the terms of a policy are ambiguous, however, any ambiguity must be construed in favor of the insured and against the insurer (*see United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229, 232 [1986]).

Here, in order to receive disability income benefits under the policy, plaintiff is required to establish that he is "unable to

---

* Defendant CNA was granted summary judgment dismissing the complaint against it and is not a party to this appeal.

perform the substantial and material duties'' of an orthopedic surgeon and not be ''performing the duties of any gainful occupation for which [he is] reasonably fitted by education, training, or experience.'' Contrary to plaintiff's assertion, this definition is ''reasonably susceptible of only one meaning,'' and thus, is clear and unambiguous (*Greenfield*, 98 NY2d at 570; *see Michelson v Massachusetts Cas. Ins. Co.*, 102 AD2d 1003, 1004 [3d Dept 1984] [holding that similar policy language defining total disability was ''clear and unambiguous'']).

In addition, although the question of whether a policyholder's condition falls within the policy's definition of total disability is typically one for a jury (*see McGrail v Equitable Life Assur. Socy. of U. S.*, 292 NY 419, 425 [1944]), here, plaintiff failed to present any evidence demonstrating the existence of a triable issue of fact concerning whether he is totally disabled under the policy. Clearly, plaintiff satisfied the first provision of the definition inasmuch as he stopped performing orthopedic surgeries due to medical problems prior to filing a claim under the policy. However, as to the second provision, the evidence in the record demonstrates that plaintiff renders second medical opinions on spinal surgery, performs independent medical examinations and serves as an expert medical witness. Therefore, the courts below correctly determined that, as a matter of law, plaintiff is ''performing the duties of [a] gainful occupation for which [he is] reasonably fitted by [his] education, training, or experience,'' and thus, he is not totally disabled within the meaning of the policy.

Plaintiff's remaining contentions lack merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

[879 NE2d 728, 849 NYS2d 189]

In the Matter of Sinclair Haberman et al., Appellants, v Zoning Board of Appeals of City of Long Beach et al., Respondents.

Argued October 16, 2007; decided November 19, 2007

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 5, 2006. The Appellate Division order, upon reargument and insofar as appealed from, (1) reversed, on the law, that part of an order of the Supreme Court, Nassau County (Kenneth A. Davis, J.; op 4 Misc 3d 1018[A], 2004 NY Slip Op 50928[U]), which had denied motions by respondent Zoning Board of Appeals of City of Long Beach and respondent Xander Corp. to dismiss the petition and had granted the petition to the extent of annulling the Board's determination revoking a building permit and remanding to the Board for further proceedings; (2) denied the petition; (3) dismissed the proceeding on the merits; (4) dismissed the complaint, except for the fourth cause of action insofar as asserted against respondent City of Long Beach; (5) confirmed the determination of the Board; (6) remitted the matter to Supreme Court, Nassau County, for the entry of a judgment declaring that the petitioners are not entitled to the building permit issued on August 12, 2003; and (7) dismissed the appeal by petitioners as academic in light of the determination on respondents' cross appeal.

Matter of Haberman v Zoning Bd. of Appeals of City of Long Beach, 35 AD3d 465, reversed.

HEADNOTE

Municipal Corporations — Zoning — Variance — Zoning Board of Appeals is Bound by Its Lawyer's Agreement to Extend Variance

Respondent zoning board of appeals (ZBA), having previously voted to grant variances allowing petitioner to build a four-tower residential condominium complex, was bound by its lawyer's agreement to extend petitioner's time to apply for the required building permits. Although the grant of a variance requires ZBA action, once a variance has been issued, the same formality is not required to extend the variance's duration. Neither a new notice and hearing, nor a ZBA vote, is required for an extension. Here, the agreement to extend petitioner's time to apply for building permits, which was approved by the court, had been entered into in writing after negotiations between counsel, and respondent's attorney had at least apparent, if not actual, authority to act on respondent's behalf.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 642–644, 749.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1445, 145:1451.
NY JUR 2d, Buildings, Zoning, and Land Controls §§ 43, 44, 47, 55–58, 61, 352, 360, 362, 366.
NEW YORK REAL PROPERTY SERVICE §§ 48:10, 48:52.

ANNOTATION REFERENCE

See ALR Index under Building Permit; Variances; Zoning.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: zoning /2 board /s variance & exten! /s counsel attorney

POINTS OF COUNSEL

Davis Wright Tremain LLP, New York City (*Victor A. Kovner* and *Lacy H. Koonce, III,* of counsel), and *Duane Morris LLP (Thomas R. Newman* of counsel), for appellants. I. The Appellate Division erroneously ruled that counsel for a zoning board cannot legally bind the board by entering into an agreement with a developer, ultimately "so ordered" and approved by the Supreme Court, for a reciprocal extension of time in connection with an existing variance. (*Collard v Incorporated Vil. of Flower Hill,* 52 NY2d 594; *Asian Ams. for Equality v Koch,* 72 NY2d 121; *Matter of Commco, Inc. v Amelkin,* 62 NY2d 260; *Matter of Jayne Estates v Raynor,* 22 NY2d 417; *Matter of Tohr Indus. Corp. v Zoning Bd. of Appeals of City of Long Beach,* 74 NY2d 575; *Matter of Dil-Hill Realty Corp. v Schultz,* 53 AD2d 263; *Matter of American Red Cross v Board of Zoning Appeals of City of Ithaca,* 161 AD2d 878; *Matter of New York Life Ins. Co. v Galvin,* 35 NY2d 52; *Matter of Center Sq. Assn., Inc. v City of Albany Bd. of Zoning Appeals,* 19 AD3d 968; *Matter of Karmel v Delfino,* 293 AD2d 473.) II. The Appellate Division erroneously concluded that a municipal party to a court-ordered settlement stipulation can abandon that stipulation with impunity. (*McCoy v Feinman,* 99 NY2d 295; *Gage v Jay Bee Photographers,* 222 AD2d 648; *Mitchell v New York Hosp.,* 61 NY2d 208; *Matter of Janet L.,* 287 AD2d 865; *Hallock v State of New York,* 64 NY2d 224; *Christian v Christian,* 42 NY2d 63; *Kihl v Pfeffer,* 94 NY2d 118.) III. The Appellate Division erroneously concluded that the

1992 extension letter and modification order required formal ratification. (*Matter of New York Life Ins. Co. v Galvin,* 35 NY2d 52; *Matter of Commco, Inc. v Amelkin,* 62 NY2d 260; *Matter of Dil-Hill Realty Corp. v Schultz,* 53 AD2d 263; *Matter of Tohr Indus. Corp. v Zoning Bd. of Appeals of City of Long Beach,* 74 NY2d 575; *Town of Smithtown v Haynes,* 278 AD2d 312; *Carbone v Town of Bedford,* 144 AD2d 420.)

Corey E. Klein, Corporation Counsel, Long Beach, for Zoning Board of Appeals of City of Long Beach and others, respondents. I. The Zoning Board of Appeals of the City of Long Beach has sole and exclusive jurisdiction over an application for a variance. (*Matter of Commco, Inc. v Amelkin,* 62 NY2d 260; *Matter of Real Holding Corp. v Lehigh,* 2 NY3d 297; *Matter of Emmett v Town of Edmeston,* 3 AD3d 816, 2 NY3d 817; *Matter of Buckley v Town of Wappinger,* 12 AD3d 597; *Matter of Jayne Estates v Raynor,* 22 NY2d 417; *Jaffe v Burns,* 64 AD2d 692; *Matter of Vergata v Town Bd. of Town of Oyster Bay,* 209 AD2d 527, 85 NY2d 802; *Carbone v Town of Bedford,* 144 AD2d 420; *Town of Smithtown v Haynes,* 278 AD2d 312; *Matter of New York Life Ins. Co. v Galvin,* 35 NY2d 52.) II. The Corporation Counsel had no authority to bind the Zoning Board of Appeals of the City of Long Beach. (*Hallock v State of New York,* 64 NY2d 224; *City of New York v Watkins,* 757 F Supp 72, 956 F2d 1175; *Seif v City of Long Beach,* 286 NY 382; *City of New York v New York Tel. Co.,* 108 AD2d 372; *Matter of Crennan v Brennan,* 265 App Div 1013; *Matter of Par Bldrs. v Assessor of Town of Orangetown,* 234 AD2d 374; *Barry v Town of Glenville,* 8 NY2d 1153; *Walentas v New York City Dept. of Ports,* 167 AD2d 211; *B.T. Skating Corp. v County of Nassau,* 204 AD2d 586; *Town of Oneonta v City of Oneonta,* 191 AD2d 891.)

Davidoff Malito & Hutcher, LLP, Garden City (*Michael Zapson* of counsel), for Xander Corp., respondent. I. Pursuant to CPLR 7804 (f), the builder's petition was properly dismissed. (*Matter of Hop-Wah v Coughlin,* 118 AD2d 275, 69 NY2d 791; *Matter of 230 Tenants Corp. v Board of Stds. & Appeals of City of N.Y.,* 101 AD2d 53.) II. The Zoning Board of Appeals of the City of Long Beach may put time limitations in the variance. (*Gina Petroleum v Zoning Bd. of Appeals of Town of Wappinger,* 127 AD2d 560; *Matter of Dil-Hill Realty Corp. v Schultz,* 53 AD2d 263; *Matter of New York Life Ins. Co. v Murdock,* 8 AD2d 191; *Matter of Houghwot v Town of Kiantone,* 69 AD2d 1011; *Matter of New York Life Ins. Co. v Foley,* 13 AD2d 768; *Matter of Douglaston Civic Assn., Inc. v Board of Stds. & Appeals of City* *of N.Y.,* 278 App Div 659, 302 NY 920; *Matter of Sima v Board of Stds. & Appeals of City of N.Y.,* 278 App Div 785.) III. The Corporation Counsel cannot modify the conditions of the zoning variance. (*Town of Smithtown v Haynes,* 278 AD2d 312; *Matter of Dayho Motel v Assessor of Town of Orangetown,* 229 AD2d 435; *Bubeck v Main Urology Assoc.,* 275 AD2d 909; *Walentas v New York City Dept. of Ports,* 167 AD2d 211; *Matter of Blum v Board of Zoning & Appeals, Town of N. Hempstead,* 1 Misc 2d 668; *Matter of Commco, Inc. v Amelkin,* 62 NY2d 260; *Matter of Buckley v Town of Wappinger,* 12 AD3d 597; *City of New York v Watkins,* 757 F Supp 72, 956 F2d 1175; *Matter of New York Life Ins. Co. v Murdock,* 8 AD2d 191; *Carbone v Town of Bedford,* 144 AD2d 420.)

Whiteman Osterman & Hanna LLP, Albany (*Howard A. Levine* and *William S. Nolan* of counsel), for New York State Builders Association, Inc., amicus curiae. I. The Appellate Division erred in upholding the Zoning Board of Appeals of the City of Long Beach's (ZBA) legally erroneous and arbitrary determination that the 1992 stipulation extending the time limits in the existing variance required formal ratification by the ZBA after notice and a hearing. (*Matter of New York Life Ins. Co. v Galvin,* 35 NY2d 52; *420 Tenants Corp. v EBM Long Beach, LLC,* 41 AD3d 641; *Matter of Halperin v Board of Appeals on Zoning of City of New Rochelle,* 24 AD3d 767; *Matter of Center Sq. Assn., Inc. v City of Albany Bd. of Zoning Appeals,* 19 AD3d 968; *Matter of Karmel v Delfino,* 293 AD2d 473; *Matter of Buckley v Town of Wappinger,* 12 AD3d 597; *Town of Smithtown v Haynes,* 278 AD2d 312; *Carbone v Town of Bedford,* 144 AD2d 420; *Matter of Commco, Inc. v Amelkin,* 62 NY2d 260; *City of New York v Watkins,* 757 F Supp 72, 956 F2d 1175.) II. The Appellate Division erred by applying a deferential standard of judicial review of the Zoning Board of Appeals of the City of Long Beach's pure errors of law. (*Matter of Faith For Today v Murdock,* 11 AD2d 718, 9 NY2d 761; *Matter of St. Onge v Donovan,* 71 NY2d 507; *Cornell Univ. v Bagnardi,* 68 NY2d 583; *Matter of Jayne Estates v Raynor,* 22 NY2d 417; *Matter of Diocese of Rochester v Planning Bd. of Town of Brighton,* 1 NY2d 508; *Matter of Clark v Board of Zoning Appeals of Town of Hempstead,* 301 NY 86; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills,* 4 NY3d 51; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.,* 91 NY2d 413; *Valentin v New York City Police Pension Fund,* 16 AD3d 145; *Matter of Heimbach v Metropolitan Transp. Auth.,* 75 NY2d 387.) III. Because no formal ratification hearing was required to extend the time to satisfy the conditions of the variance, the stipulation is binding on the Zoning Board of Appeals of the City of Long Beach. (*Matter of New York Life Ins. Co. v Galvin,* 35 NY2d 52; *Matter of Zaidins v Hashmall,* 288 AD2d 316; *Sokoloff v Harriman Estates Dev. Corp.,* 96 NY2d 409; *Matter of 10 E. Realty, LLC v Incorporated Vil. of Val. Stream,* 17 AD3d 472; *Festinger v Edrich,* 32 AD3d 412; *Matter of Martin v C. A. Prods. Co.,* 8 NY2d 226; *Donovan Leisure Newton & Irvine v Zion,* 168 AD2d 373; *Federal Deposit Ins. Corp. v J & D Einbinder Assoc.,* 224 AD2d 655; *Danciger v Baal Milchamot Realty Corp.,* 272 AD2d 208; *Manhattan Ave. Dev. Corp. v Meit,* 224 AD2d 191.)

OPINION OF THE COURT

SMITH, J.

We hold that, where a zoning board of appeals has voted to grant a variance, the board's lawyer, acting with actual or apparent authority, may agree to extend the time to build the improvements permitted by the variance. A second board meeting and vote are not required.

Facts and Procedural History

Sinclair Haberman sought a variance from the City of Long Beach Zoning Board of Appeals (ZBA) to build a four-tower residential condominium complex. The ZBA granted the variance, but after one of the towers was built a dispute arose about the other three. Haberman brought a lawsuit against the City, the ZBA and the City's building commissioner, which was settled by a stipulation in 1989.

Paragraph 4 of the stipulation said that Haberman would apply for new variances to permit construction of the remaining three buildings. These variances were to be subject to certain conditions, including time limits in which Haberman must apply for building permits: within five years of the grant of the variance for building 2, 6½ years for building 3 and seven years for building 4. In paragraph 5 of the stipulation, Haberman agreed to pay $200,000 to the City to fund public improvements for the benefit of his project, including the installation of underground utility lines; and the City agreed to begin construction of the improvements not later than two years after receiving the $200,000.

Haberman did apply for the new variances, and the ZBA granted them on August 4, 1989. Haberman paid the $200,000 to the City in December 1989, so that, under paragraph 5 of the stipulation, the City was required to install the underground utility lines not later than December 1991. That deadline was not met, and the City asked Haberman for an extension of time. Haberman agreed to grant it, on condition that the paragraph 4 time limits, governing his time to apply for building permits, were also extended.

These terms were reflected in a letter dated April 7, 1992 from Haberman to the City's Corporation Counsel, who represented all the defendants—including the ZBA—in Haberman's lawsuit. The letter said, in relevant part:

> ''The undersigned Plaintiff-Petitioner in the above entitled action does hereby agree to extend the time of The City of Long Beach ('The City'), to comply with paragraph '5' of the Stipulation of Settlement of the above entitled action, dated March 8, 1989 ('Stipulation'), without time limitation.
>
> ''In consideration for this extension, it is agreed by the parties that the time limitations contained and set forth in paragraph '4' of the Stipulation shall be tolled and shall not run against the Plaintiff-Petitioner until such time as The City has complied with the terms of paragraph '5' of the Stipulation. . . .
>
> ''Please indicate all of the defendants' consent to the foregoing by signing and returning the enclosed copy of this letter.''

The Corporation Counsel signed an acknowledgment that he ''consented and agreed to'' the April 1992 letter as attorney for all of the defendants, including the ZBA. The letter agreement was then attached to a new stipulation, providing that the 1989 stipulation ''be, and hereby is, modified in accordance with the letter dated April 7th, 1992.'' The new stipulation was signed by counsel for all parties and ''so ordered'' by Supreme Court.

For the next decade, it seems, nothing of significance happened. The City did not install the underground utility lines, and Haberman did not apply for a building permit. Finally, in 2002, Haberman's construction company applied for a permit to begin work on building 2, and in 2003 the City's Building Department issued the permit. The cooperative corporation that had acquired building 1 back in the 1980s opposed the new construction, and asked the ZBA to revoke the permit; the ZBA did so, relying on Haberman's failure to meet the schedule contained in the 1989 stipulation. The ZBA rejected the argument that Haberman's time had been extended by the April 1992 letter agreement, saying that "[s]uch a major change . . . required a ratification by the ZBA after a public hearing."

Haberman brought this litigation to annul the ZBA's revocation and reinstate his building permit. Supreme Court annulled the ZBA's action, but the Appellate Division reversed, holding that the ZBA "had a rational basis for finding that the stipulation purporting to extend the prior variance was unenforceable" (35 AD3d 465, 467 [2006]). We granted leave to appeal, and now reverse the Appellate Division's order.

Discussion

The only question before us is whether the ZBA is bound by the Corporation Counsel's agreement, as its attorney, to the April 1992 letter extending Haberman's time to apply for building permits. Ordinarily, of course, parties to litigation are bound by their lawyers' agreements on their behalf (*see Hallock v State of New York*, 64 NY2d 224 [1984]), but the ZBA claims this rule does not apply here, because Haberman's time could be extended only by a vote of the ZBA itself. We reject the ZBA's argument.

It is true that, as Haberman concedes, the grant of a variance requires ZBA action (*see Matter of Commco, Inc. v Amelkin*, 62 NY2d 260 [1984]; *Carbone v Town of Bedford*, 144 AD2d 420 [2d Dept 1988]). That is, presumably, why the parties' original stipulation, in 1989, provided for the issuance of new variances by the ZBA. We have held, however, that once a variance has been issued, the same formality is not required to extend the variance's duration: "It is not required that . . . an application [for an extension] be treated as a new application for which public notice and a hearing are mandatory" (*Matter of New York Life Ins. Co. v Galvin*, 35 NY2d 52, 59 [1974]). The ZBA concedes that, under *Galvin*, a new notice and hearing were not necessary, but says that an extension should still require a ZBA vote. It cites no authority for this rule, and we see no good reason to adopt it.

The agreement to extend Haberman's time was entered into in writing, after negotiations between counsel, and was approved by the court. It was a benefit given to Haberman in exchange for a benefit received by the City—an extension of the City's time to install underground utility lines. It is admitted that the Corporation Counsel was the ZBA's attorney in the litigation Haberman brought. The ZBA does not claim that, in signing the April 1992 letter agreement and the stipulation adopting it, its lawyer was violating the ZBA's instructions, or concealing his actions from his client—and clearly no such problem, if it existed, was known to Haberman. In other words, the Corporation Counsel had at least apparent, if not actual, authority to act on the ZBA's behalf. It would be unfair to hold, many years after the event, that the lawyer's agreement was a nullity because the parties did not follow a procedure that no statute and no precedent required.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the matter remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that court.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[879 NE2d 1280, 849 NYS2d 461]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TEMEL GREENE, Appellant.

Argued October 18, 2007; decided November 20, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 9, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Troy K. Webber, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the second degree.

People v Greene, 36 AD3d 219, affirmed.

HEADNOTE

Crimes — Evidence — Exclusionary Rule — Evidence Obtained in Violation of Physician-Patient Relationship Need Not be Suppressed

Evidence obtained in violation of the statutory physician-patient privilege (*see* CPLR 4504 [a]) need not be suppressed at a criminal trial. The violation of a statute does not justify suppressing the evidence to which that violation leads, unless the principal purpose of the statute is to protect a constitutional right. There is no constitutional right to privacy, however, in physician-patient communications, and there are several statutory exceptions to the physician-patient privilege. The privilege does not serve primarily to protect individuals against government conduct, but rather it regulates a private relationship. As the primary obligation to comply with CPLR 4504 is the physician's, suppression of evidence resulting from a violation of the statute would be to punish the State for a physician's misconduct, a punishment that would be unlikely to deter physicians.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery § 27; AM JUR 2d, Evidence §§ 589, 648, 654; AM JUR 2d, Witnesses § 431.

CARMODY-WAIT 2d, Disclosure § 42:116; CARMODY-WAIT 2d, Criminal Procedure §§ 172:2629, 172:2630, 172:2655, 172:3509–172:3511.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

MCKINNEY'S, CPLR 4504 (a).

NY JUR 2d, Criminal Law §§ 2016–2020; NY JUR 2d, Disclosure § 80.

SIEGEL, NY PRAC § 346.

ANNOTATION REFERENCE

Applicability in criminal proceedings of privilege as to communications between physician and patient. 7 ALR3d 1458.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: physician-patient /2 privilege /p criminal /p suppress!

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Rosemary Herbert, Richard M. Greenberg* and *Jonathan Marvinny* of counsel), for appellant. I. Detective Elliott obtained information about Temel Greene in violation of Mr. Greene's physician-patient privilege, and where that privilege implicates a constitutionally-protected right, both the information obtained through the initial violation and the fruits of that violation must be suppressed. (*People v Figueroa,* 173 AD2d 156; *People v Petro,* 122 AD2d 309; *People v Sinski,* 88 NY2d 487; *Matter of Grand Jury Investigation of Onondaga County,* 59 NY2d 130; *Matter of Grand Jury Investigation in N.Y. County,* 98 NY2d 525; *Dillenbeck v Hess,* 73 NY2d 278; *People v Strawbridge,* 299 AD2d 584; *People v Patterson,* 78 NY2d 711; *People v Taylor,* 73 NY2d 683; *People v Gallina,* 66 NY2d 52.) II. The second photo array, the lineup and the identifying witness's in-court identification of Temel Greene must be suppressed where the second photo array was unduly suggestive, and where it therefore irreparably tainted the lineup and in-court identification. (*People v Chipp,* 75 NY2d 327; *People v Gilbert,* 295 AD2d 275; *Simmons v United States,* 390 US 377; *People v Malphurs,* 111 AD2d 266; *People v Hall,* 81 AD2d 644; *People v Tindal,* 69 AD2d 58.) III. The Appellate Division correctly concluded that the trial court's *Sandoval* ruling was erroneous where that ruling permitted inquiry into the locations and dates of Temel Greene's prior arrests; contrary to the Appellate Division's ruling, however, that error was not harmless. (*People v Sandoval,* 34 NY2d 371; *People v Coe,* 95 AD2d 685; *People v Arnold,* 298 AD2d 895; *People v Moore,* 238 AD2d 228; *People v Walston,* 99 AD2d 847; *People v Rivera,* 216 AD2d 221; *People v Grant,* 7 NY3d 421.)

Robert T. Johnson, District Attorney, Bronx (*Peter D. Coddington* and *Jessica Carmela Darpino* of counsel), for respondent. I.

Appellant's guilt was proven beyond a reasonable doubt by overwhelming evidence. II. The information obtained from Lincoln Hospital was not privileged and not subject to suppression because the physician-patient privilege is not of constitutional dimension. (*Wong Sun v United States,* 371 US 471; *People v Taylor,* 73 NY2d 683; *People v Patterson,* 78 NY2d 711; *Matter of Grand Jury Investigation in N.Y. County,* 98 NY2d 525; *Dillenbeck v Hess,* 73 NY2d 278; *Williams v Roosevelt Hosp.,* 66 NY2d 391; *Klein v Prudential Ins. Co. of Am.,* 221 NY 449; *People v Giordano,* 274 AD2d 748; *Goldin v Mejia,* 294 AD2d 231; *People v Hedges,* 98 AD2d 950.) III. Because the second photo array was not unduly suggestive, it did not taint Tony Coston's lineup or in-court identification. (*People v Jones,* 2 NY3d 235; *People v Gee,* 99 NY2d 158; *People v Rodriguez,* 64 NY2d 738; *People v Gilbert,* 295 AD2d 275; *People v Dunlap,* 9 AD3d 434; *People v Quinones,* 228 AD2d 796; *People v Daniels,* 202 AD2d 987; *People v Hall,* 81 AD2d 644; *People v Tindal,* 69 AD2d 58; *People v Malphurs,* 111 AD2d 266.) IV. The Appellate Division properly found that any *Sandoval* error that occurred at trial was harmless. (*People v Grant,* 7 NY3d 421.)

OPINION OF THE COURT

SMITH, J.

We hold that evidence obtained as a result of a violation of the physician-patient privilege need not be suppressed at a criminal trial.

Facts and Procedural History

Anthony Berrios was shot to death on October 16, 2001. Detective Michael Elliott was assigned to investigate the homicide. Elliott learned from the victim's aunt that, according to talk on the street, the shooting was the result of a fight on October 13 in which a man had been slashed in the face.

Elliott went to a nearby hospital and asked an administrator "if anyone came in for a slashing to the face on that date." The administrator gave him defendant's name and address. With the help of a police computer, Elliott obtained defendant's arrest record and a photograph of him. A witness to the shooting identified the photograph; the trail thus begun led to more evidence against defendant, and eventually to his conviction for second degree manslaughter.

The main ground for defendant's appeal is the denial of his motion to suppress all evidence obtained as a result of the hospital's disclosure of defendant's name and address to Elliott. Supreme Court held that evidence obtained in violation of the physician-patient privilege need not be suppressed. The Appellate Division affirmed on two alternative grounds: that there was no breach of the privilege, and that even if there was suppression was not required. A Judge of this Court granted leave to appeal, and we now affirm on the second of those two grounds.

Discussion

CPLR 4504 (a) says: ''Unless the patient waives the privilege, a person authorized to practice medicine . . . shall not be allowed to disclose any information which he acquired in attending a patient in a professional capacity, and which was necessary to enable him to act in that capacity.'' We have held that the privilege does not apply to ''such ordinary incidents and facts as are plain to the observation of any one without expert or professional knowledge'' (*Klein v Prudential Ins. Co. of Am.*, 221 NY 449, 453 [1917]). The People argue that the rule of *Klein* controls this case, because defendant's wound was visible to anyone who looked at him. Defendant argues that, while his wound may have been obvious, the cause of it was not; he says that laypeople cannot tell whether a wound is caused by a ''slash'' or some other kind of injury (*cf. Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525, 531 [2002] [the privilege may turn on ''whether particular injuries and their causes would have been obvious to a layperson'']).

We need not decide this issue, because we agree with both courts below that, even if there was a violation of the physician-patient privilege, the suppression of the evidence found as a result is not required. The physician-patient privilege is based on statute, not the State or Federal Constitution (*Klein*, 221 NY at 453). Our decisions make clear that a violation of a statute does not, without more, justify suppressing the evidence to which that violation leads (*People v Patterson*, 78 NY2d 711, 716-717 [1991]).

We have made an exception to this rule only when the principal purpose of a statute is to protect a constitutional right (*People v Taylor*, 73 NY2d 683, 690-691 [1989]; *People v Gallina*, 66 NY2d 52, 59 [1985]). The statute at issue in *Taylor* governed the procedure to be followed on an application by police officers for a search warrant; the statute in *Gallina* governed court-authorized wiretapping. In each case, while a violation of the statute was not necessarily a violation of a constitutional right, the statutes existed to safeguard rights protected by the Fourth Amendment. In those cases, we held that when the statutes were violated, the evidence obtained as a result should be suppressed.

This case is nothing like *Taylor* or *Gallina*. There is no constitutional right to privacy in physician-patient communications. The Legislature has created, by statute, several exceptions to the physician-patient privilege (*see e.g.* Penal Law § 265.25 [doctors must report gunshot wounds and life-threatening knife wounds to the police]; Family Ct Act § 1046 [a] [vii] [physician-patient privilege inapplicable at hearings in child protective proceedings]). It could, if it chose, make another exception for the disclosure in this case.

Indeed, the argument for suppression here is weaker than the argument we rejected in *Patterson*, for the statute at issue in *Patterson*, which required return to a criminal defendant of his photograph after charges against him were dismissed, had at least some relation to a constitutionally protected right: the presumption of innocence (*see* 78 NY2d at 716). The physician-patient privilege, by contrast, does not serve primarily to protect individuals against government conduct; it regulates a private relationship. The primary obligation to comply with CPLR 4504 is the doctor's—or, in this case, the hospital's. To suppress evidence resulting from a violation of section 4504 would be to punish the State for a doctor's or hospital's misconduct—a punishment unlikely to deter doctors and hospitals, who have little interest in whether criminal prosecutions succeed or not.

Defendant's other arguments lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed.

[879 NE2d 1282, 849 NYS2d 463]

In the Matter of CONGREGATION YETEV LEV D'SATMAR, INC., et al., Appellants, v JACOB (JENO) (YAAKOV) KAHANA et al., Respondents.

CONGREGATION YETEV LEV D'SATMAR, INC., et al., Appellants, v 26 ADAR N.B. CORP. et al., Respondents.

Argued October 16, 2007; decided November 20, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 11, 2006. The Appellate Division affirmed so much of an order and judgment of the Supreme Court, Kings County (Melvin S. Barasch, J.; op 5 Misc 3d 1023[A], 2004 NY Slip Op 51515[U]), as had dismissed the petition in a proceeding pursuant to Not-For-Profit Corporation Law § 618 to determine the validity of the election of officers of Congregation Yetev Lev D'Satmar, Inc. The following question was certified by the Appellate Division: ''Was the decision and order of this court dated July 11, 2006, properly made?''

Matter of Congregation Yetev Lev D'Satmar, Inc. v Kahana, 31 AD3d 541, affirmed.

HEADNOTE

Religious Corporations and Associations — Elections — Validity — Justiciability

Resolution of an election controversy between two rival factions of a religious congregation could not be achieved through the application of neutral principles of law without judicial intrusion into matters of religious doctrine. The First Amendment forbids civil courts from interfering in or determining religious disputes, because there is substantial danger that the state will become entangled in essentially religious controversies or intervene on behalf of groups espousing particular doctrines or beliefs. Judicial involvement is permitted when the case can be decided solely upon the application of neutral principles of law, without reference to any religious principle. Resolution of the parties' dispute herein would necessarily involve impermissible inquiries into religious doctrine and the Congregation's membership requirements. Such membership issues are an ecclesiastical matter and cannot be determined by the courts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Religious Societies §§ 32, 33.

NY JUR 2d, Religious Organizations §§ 7, 46–48.
US Const 1st Amend.

ANNOTATION REFERENCE

See ALR Index under Religion and Religious Societies; Separation of Church and State.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: election /s religious /s controversy

POINTS OF COUNSEL

Kirkpatrick & Lockhart Preston Gates Ellis LLP, New York City (*Gerald A. Novack* and *Walter P. Loughlin* of counsel), *Smith, Buss & Jacobs, LLP,* Yonkers (*Jeffrey D. Buss* of counsel), and *Thacher Proffitt & Wood LLP,* White Plains (*Kevin J. Plunkett* of counsel), for appellants. I. Respondents' election is a nullity because it was held in violation of the governing bylaw provisions. (*Kuehne & Nagel v Baiden,* 36 NY2d 539; *Sealey v American Socy. of Hypertension, Inc.,* 10 Misc 3d 572; *Ehrlich v American Moninger Greenhouse Mfg. Corp.,* 26 NY2d 255; *Matter of Venigalla v Alagappan,* 307 AD2d 1041; *Matter of Sousa v New York State Council Knights of Columbus Found.,* 10 NY2d 68.) II. There is no First Amendment bar to nullifying respondents' election. (*Watson v Jones,* 13 Wall [80 US] 679; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church,* 393 US 440; *Jones v Wolf,* 443 US 595; *Morris v Scribner,* 69 NY2d 418; *Park Slope Jewish Ctr. v Congregation B'nai Jacob,* 90 NY2d 517; *Matter of Kaminsky,* 251 App Div 132; *Karageorgious v Laoudis,* 271 AD2d 653; *Matter of Venigalla v Alagappan,* 307 AD2d 1041; *Sillah v Tanvir,* 18 AD3d 223; *Trustees of Diocese of Albany v Trinity Episcopal Church of Gloversville,* 250 AD2d 282.) III. A holding of nonjusticiability would require the entry of a judgment recognizing the authority of the board elected in the first election. (*Matter of Empire State Supreme Lodge of Degree of Honor,* 118 App Div 616.)

Herrick, Feinstein LLP, New York City (*Scott E. Mollen* and *Paul Rubin* of counsel), for respondents. I. The First Amendment to the United States Constitution requires a civil court to refrain from resolving Congregation Yetev Lev D'Satmar, Inc.'s election controversy. (*Serbian Eastern Orthodox Diocese for United States & Canada v Milivojevich,* 426 US 696; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North*

America, 344 US 94; *Kreshik v Saint Nicholas Cathedral of Russian Orthodox Church of North America,* 363 US 190; *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church,* 393 US 440; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.,* 62 NY2d 110; *Waller v Howell,* 20 Misc 236; *Jones v Wolf,* 443 US 595; *Avitzur v Avitzur,* 58 NY2d 108, 464 US 817; *Park Slope Jewish Ctr. v Congregation B'nai Jacob,* 90 NY2d 517; *Matter of George v Holstein-Friesian Assn. of Am.,* 238 NY 513.) II. The Religious Corporations Law requires the trustees to respect the stated objectives of Congregation Yetev Lev D'Satmar, Inc. and the religious disciplinary rulings of its ecclesiastical leadership. (*Kroth v Congregation Chebra Ukadisha Bnai Israel Mikalwarie,* 105 Misc 2d 904; *Walker Mem. Baptist Church, Inc. v Saunders,* 285 NY 462; *Serbian Eastern Orthodox Diocese for United States & Canada v Milivojevich,* 426 US 696; *Waller v Howell,* 20 Misc 236; *Wall v Mount Calvary Baptist Church, Inc.,* 188 Misc 350.) III. Appellants are judicially estopped from claiming that this dispute should be decided by a civil court. (*Nestor v Britt,* 270 AD2d 192; *Atlas Drywall Corp. v District Council of N.Y. City & Vicinity of United Bhd. of Carpenters & Joiners of Am., Carpenters Local Union 531,* 207 AD2d 762.)

OPINION OF THE COURT

PIGOTT, J.

The central issue in this appeal is whether resolution of an election controversy between two rival factions of a religious congregation can be achieved through the application of neutral principles of law without judicial intrusion into matters of religious doctrine. Like the trial court and Appellate Division, we conclude that it cannot.

Congregation Yetev Lev D'Satmar, Inc. is a community of Orthodox Judaism known as Satmar Hasidism located in Brooklyn. The Congregation was founded in 1948 by Grand Rabbi (also referred to as Rebbe) Joel Teitelbaum and formally incorporated in New York. In 1952, bylaws were promulgated setting forth the purpose of the Congregation, the functions of the Grand Rabbi, as well as issues involving membership in the community. The bylaws provided for a board of directors and officers to preside over the Congregation and, among other things, assure compliance with the rules of the Congregation.

In 1974, the Grand Rabbi expanded the Satmar community by establishing a new congregation in Monroe, New York. In

1981, that congregation, named for him, was incorporated in New York as Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc.

In 1979, the Grand Rabbi died and was succeeded by his nephew, Moses Teitelbaum. Moses Teitelbaum, now deceased, appointed his elder son, Aaron Teitelbaum, Chief Rabbi of the Monroe Congregation and his younger son, Zalman Leib Teitelbaum, Chief Rabbi of the Brooklyn Congregation. Some time thereafter, a bitter feud erupted between Rabbi Aaron's supporters and Rabbi Zalman's supporters pertaining to who should succeed as Grand Rabbi.[1] As a result, the Brooklyn Congregation split into two rival factions.

Each faction conducted a separate election of the board of directors and officers for the Brooklyn Congregation. The first election, which took place on May 12-13, 2001, resulted in the election of petitioners, with Berl Friedman as president. The second, which took place the same day and is claimed to have been certified by the Grand Rabbi Moses Teitelbaum himself on May 24, 2001, resulted in the election of respondents, with Jacob (Jeno, Jenoe) Kahan as president.

Petitioners brought the instant proceeding pursuant to Not-For-Profit Corporation Law § 618 seeking an order declaring that the respondents' election is null and void and directing that Congregation property be transferred to Berl Friedman. Petitioners claimed that their election resulted in certain members of the Congregation becoming duly elected officers, including Berl Friedman; that respondents illegally attempted to "remove" these duly elected officers and expel Berl Friedman from membership; and that respondents' election violated the bylaws and/or the Religious Corporations Law. Respondents challenged the jurisdiction of Supreme Court, arguing that it should refrain from interfering in the internal affairs of the Congregation; and further contended that their election was proper, legal and in accordance with the Congregation's prior practice and bylaws. Respondents disputed petitioners' election, arguing it was a sham election for several reasons, including that Berl Friedman had been expelled from the Congregation by the Grand Rabbi.

Supreme Court declined to make a determination as to the validity of respondents' election, holding that it could not decide

---

1. Respondents contend that Moses Teitelbaum designated his younger son, Rabbi Zalman, to be his successor as Grand Rabbi upon his death.

the election dispute through the application of neutral principles of law because the resolution of the issues would require it to apply ecclesiastical doctrine in violation of the First Amendment. The Appellate Division, with one Justice dissenting, agreed with Supreme Court that ''resolution of the parties' dispute would necessarily involve impermissible inquiries into religious doctrine and the Congregation's membership requirements'' (31 AD3d 541, 543 [2d Dept 2006]). The Appellate Division subsequently granted leave and certified the following question to us: ''Was the decision and order of this court dated July 11, 2006, properly made?'' We now affirm.

The First Amendment forbids civil courts from interfering in or determining religious disputes, because there is substantial danger that the state will become entangled in essentially religious controversies or intervene on behalf of groups espousing particular doctrines or beliefs (*see Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696 [1976]). Civil disputes involving religious parties or institutions may be adjudicated without offending the First Amendment as long as neutral principles of law are the basis for their resolution (*see First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110 [1984]; *Park Slope Jewish Ctr. v Congregation B'nai Jacob*, 90 NY2d 517, 521 [1997], citing *Jones v Wolf*, 443 US 595 [1979]). The ''neutral principles of law'' approach requires the court to apply objective, well-established principles of secular law to the issues (*First Presbyt. Church*, 62 NY2d at 119-120). In doing so, courts may rely upon internal documents, such as a congregation's bylaws, but only if those documents do not require interpretation of ecclesiastical doctrine. Thus, judicial involvement is permitted when the case can be ''decided solely upon the application of neutral principles of . . . law, without reference to any religious principle'' (*Avitzur v Avitzur*, 58 NY2d 108, 115 [1983]).

Petitioners argue that this case involves nothing more than notice, quorum or other technical challenges to the respondents' election. At first blush, the arguments raised by the petitioners in their appellate brief to this Court,[2] do not appear to implicate ecclesiastical issues. Indeed, courts have properly adjudicated

2. Notably, petitioners' initial complaints found in their petition and considered by Supreme Court regarding the inadequacies of respondents' election were different from those now raised to this Court. Specifically, petitioners argued that the proxies and mail-in ballots were wrongly counted, members

(n. cont'd)

disputes involving religious elections on neutral principles of law. For example, in *Rector, Churchwardens & Vestrymen of Church of Holy Trinity v Melish* (3 NY2d 476 [1957]), after determining that the quorum rules of the Religious Corporations Law, by their terms, did not apply to an Episcopalian church's election of a rector, we held that two meetings held by the church complied with applicable quorum requirements of a church canon. The Appellate Divisions have resolved similar disputes (*see Matter of Kaminsky*, 251 App Div 132 [4th Dept 1937], *affd* 277 NY 524 [1938]; *Sillah v Tanvir*, 18 AD3d 223 [1st Dept 2005], *lv denied* 5 NY3d 711 [2005]; *but see Mays v Burrell*, 124 AD2d 714 [2d Dept 1986]). These cases were resolved under neutral principles of law pursuant to the court's power to adjudicate under the Religious Corporations Law and/or the Not-For-Profit Corporation Law (*see e.g.* N-PCL 618, 706). In each of those cases, the courts resolved the election dispute by applying those laws as well as the bylaws or rules of the religious organization.

Here, however, as both Supreme Court and the Appellate Division recognized, the dispute between the two factions involves issues beyond mere notice and quorum challenges, such as whether Berl Friedman had been removed or expelled from the Congregation. Respondents claim that Jacob (Jeno, Jenoe) Kahan succeeded Berl Friedman as president and thus Jacob (Jeno, Jenoe) Kahan had the authority to conduct respondents' election. Specifically, respondents claim that Grand Rabbi Moses Teitelbaum denounced Berl Friedman and another member of his faction for rebelling against the authority of the Grand Rabbi and the Grand Rabbi's son, resulting in their expulsion from the Congregation. Berl Friedman denies being removed from the Congregation and further argues that an elected corporate officer cannot be removed by a spiritual authority such as the Grand Rabbi, which respondents refute.

It is well settled that membership issues such as those that are at the core of this case are an ecclesiastical matter (*Park Slope Jewish Ctr. v Stern*, 128 AD2d 847 [2d Dept 1987], *appeal*

of the Congregation Kiryas Joel, Monsey and Spring Valley were "disenfranchised" from voting in the election, members were wrongly prohibited from casting write-in votes, and the election was "packed" by new "members" and others unqualified to vote. Petitioners on appeal to this Court attempt to recast the issues, focusing on challenges concerning notice, quorum and resolution requirements found in the Religious Corporations Law in a futile attempt to make this case justiciable.

dismissed 70 NY2d 746 [1987]; *Matter of Kissel v Russian Orthodox Greek Catholic Holy Trinity Church of Yonkers*, 103 AD2d 830 [2d Dept 1984]). A decision as to whether or not a member is in good standing is binding on the courts when examining the standards of membership requires intrusion into constitutionally protected ecclesiastical matters. Although courts generally have jurisdiction to determine whether a congregation has adhered to its own bylaws in making determinations as to the membership status of individual congregants, here, the Congregation's bylaws condition membership on religious criteria, including whether a congregant follows the "ways of the Torah." Whether Berl Friedman was expelled from membership of the Congregation inevitably calls into question religious issues beyond any membership criteria found in the Congregation's bylaws (*Park Slope Jewish Ctr.*, 128 AD2d 847 [1987]; *Kissel*, 103 AD2d 830 [1984]).

Contrary to petitioners' position, Berl Friedman's religious standing within the Congregation is essential to resolution of this election dispute. Petitioners ask this Court not only to determine the validity of the respondents' election but also to recognize that petitioners, including Berl Friedman, are elected officers and the authorized governing body of the Congregation. With such membership issues at the center of this election dispute, matters of an ecclesiastical nature are clearly at issue. These particular issues must be resolved by the members of the Congregation, and cannot be determined by this Court.

Accordingly, the Appellate Division order should be affirmed with costs and the certified question not answered upon the ground that it is unnecessary.

SMITH, J. (dissenting). The majority is of course correct in saying that courts of our state, like other state and federal courts, are forbidden from deciding religious questions. This rule, as applied to disputes over ecclesiastical property, is usually a rule of deference: Civil courts defer to the decisions of religious tribunals, unless the case can be decided on the basis of neutral (i.e., nonreligious) principles. But in cases like this one, there is no religious tribunal to defer to, and the rule becomes one of justiciability; the majority here does not accept the decision of a religious tribunal as binding, but simply refuses to decide the case at all. Such a refusal is a drastic measure, because when a case is nonjusticiable it means the wrong committed, if there is one, cannot be remedied anywhere.

Whichever side happens to be the defendant in the case will win.

I believe that courts should hold disputes between religious factions to be nonjusticiable only as a last resort, where it is absolutely clear that no neutral principle can decide the case. I do not think that is true here, and I therefore dissent from the majority's finding of nonjusticiability and would reach the merits. On the merits, I would reject the claim that Berl Friedman and his allies are the duly elected officers of the Brooklyn Congregation, and would remit the case for Supreme Court to decide whether Jacob (Jeno, Jenoe) Kahan and his allies were validly elected, or whether there must be a new election.

I

The rule that civil courts may not decide ecclesiastical questions has its origin in *Watson v Jones* (13 Wall [80 US] 679 [1872]), in which the United States Supreme Court decided that the right to use property claimed by contesting factions of a local Presbyterian church must be resolved not by the courts, but by the highest decision-making authority of the Presbyterian Church in the United States. Though the decision was not based on the Constitution, it was based on fundamental principles of religious freedom and state neutrality toward religion:

> ''In this country the full and free right to entertain any religious belief, to practice any religious principle, and to teach any religious doctrine which does not violate the laws of morality and property, and which does not infringe personal rights, is conceded to all. The law knows no heresy, and is committed to the support of no dogma, the establishment of no sect.'' (*Id.* at 728.)

Watson made clear that its holding applied only to hierarchical organizations like the Presbyterian Church—''large and influential bodies,'' each having ''a body of constitutional and ecclesiastical law of its own'' (*id.* at 729). The Court said:

> ''[W]henever the questions of discipline, or of faith, or ecclesiastical rule, custom, or law have been decided by the highest of these church judicatories to which the matter has been carried, the legal tribunals must accept such decisions as final, and as binding on them, in their application to the case before them.'' (*Id.* at 727.)

The *Watson* Court distinguished the case of a hierarchical church from the case of "a church of a strictly congregational or independent organization, governed solely within itself" (*id.* at 724). For congregational churches, *Watson* did not pronounce a rule of deference, but said: "where there is a schism which leads to a separation into distinct and conflicting bodies, the rights of such bodies to the use of the property must be determined by the ordinary principles which govern voluntary associations" (*id.* at 725). In applying to congregational churches the rules governing voluntary associations, there could be "no inquiry into the existing religious opinions of those who comprise the legal or regular organization" (*id.* at 725).

The rule of *Watson* was recognized in the twentieth century as having a constitutional basis, and was followed in a series of Supreme Court cases, among them *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America* (344 US 94 [1952]); *Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church* (393 US 440 [1969]); and *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich* (426 US 696 [1976]). These cases seemed to stand for the proposition that a civil court must always defer to the authoritative decision-making bodies of hierarchical churches, but in *Jones v Wolf* (443 US 595 [1979]), the Court held that states could decide religious property disputes in civil courts if they did so according to "neutral principles of law" (*id.* at 602-603). The Court in *Jones v Wolf* restated the constitutional rule established by several of its earlier cases: "[T]he First Amendment prohibits civil courts from resolving church property disputes on the basis of religious doctrine and practice" (*id.* at 602).

In *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.* (62 NY2d 110, 121 [1984]), we adopted the "neutral principles" approach, describing it as "preferable to deference." We also held in *First Presbyterian*, however, that we were "constitutionally foreclosed" from resolving doctrinal issues, including issues of church government (*id.* at 124).

All the cases cited so far in this opinion involved hierarchical churches. They established that civil courts may decide church property disputes based on "neutral principles" where they can, but must defer to ecclesiastical authorities when neutral principles will not resolve the case. The problem of how to deal with disputes within congregational religious bodies is harder, and has received less attention. Deference often is not possible, for there is no tribunal of the church hierarchy to defer to. Neutral principles seem the only available option—but what if, as sometimes happens, neutral principles cannot resolve the case? The Supreme Court has said that there are cases in which adjudicating a property dispute ''would require the civil court to resolve a religious controversy'' (*Jones v Wolf*, 443 US at 604)—but it said in the same case that civil courts may not do so.

When the dilemma is insoluble, the only remedy is the one the majority adopts here—to dismiss the case as nonjusticiable. This is not the first case in which it has been done (*see e.g. Congregation Beth Yitzhok v Briskman*, 566 F Supp 555, 557-558 [ED NY 1983]), though I think it is the first in which we have done it, and there is no case in which the United States Supreme Court has endorsed that remedy. It is a remedy that should if possible be avoided.

Nonjusticiability implies that the party having the burden of proof loses; thus it is ordinarily a ''defendant wins'' rule. It will inevitably produce arbitrary and inconsistent, and sometimes perverse or unjust, results. Here, for example, the Kahan faction is the defendant, and therefore wins, because the status quo is in its favor—it is in de facto control of the Brooklyn Congregation. But if members of the Friedman faction had somehow succeeded in occupying the Congregation's offices, and the Kahan faction sued to evict them, presumably the majority would say the case is still nonjusticiable and the Friedman faction, being the defendant, would win. Or suppose both factions claimed the corporation's bank account and the bank, not knowing whose checks to honor, brought an interpleader action. Would the majority say that the interpleader action is nonjusticiable—leaving the bank account frozen indefinitely?

It is to avoid problems like these, I think, that courts try hard to find, and usually succeed in finding, neutral principles to resolve disputes where deference is not an option. In *Park Slope Jewish Ctr. v Congregation B'nai Jacob* (90 NY2d 517 [1997]), we held that a dispute arising from a schism within a congregation could be resolved by neutral principles, reversing a ruling that it was nonjusticiable. Lower New York courts have removed the management of religious bodies, and ordered new elections under court supervision, without deciding any religious issue (*see e.g. St. Matthew Church of Christ, Disciples of Christ v Creech*, 196 Misc 2d 843 [Sup Ct 2003]). And in a copyright infringement dispute involving a prayer book, where the defendant argued that the court lacked jurisdiction because the case turned on the validity of a rabbinical court ruling, the Court of Appeals for the Second Circuit concluded that, while defendant's argument had ''some force,'' it must be rejected because of the harm that would flow from a holding of nonjusticiability: ''we cannot decline jurisdiction on this basis; to do so would permit any party to contend that religious doctrine that it deems authoritative undermines the authority of its adversary's position'' (*Merkos L'Inyonei Chinuch, Inc. v Otsar Sifrei Lubavitch, Inc.*, 312 F3d 94, 100 [2d Cir 2002]).

For similar reasons, I approach this case with a strong reluctance to decline jurisdiction, and I conclude that the case can be decided on neutral principles.

II

Before turning to neutral principles, however, I consider the possibility that deference *is* an option in this case—that the approach of *Watson v Jones* and later cases involving hierarchical religious bodies can be applied here. It can be argued—indeed, the Kahan faction seems to argue, and Supreme Court may have found—that the Brooklyn Congregation, however unlike the Catholic or Presbyterian church in its structure, is hierarchical in the relevant sense, because there is a single decision-making body whose authority all adherents have agreed to accept: the Grand Rabbi. The Kahan faction submits a document, which it says was signed by the Grand Rabbi, certifying that the Kahan faction nominees were validly elected. This, the Kahan faction says, ends the matter. I do not think the case can be resolved so easily.

First, as I read the parties' contentions, the Friedman faction disputes the authenticity of the document and of the Grand Rabbi's signature on it. But putting that aside, the Friedman faction disputes the Grand Rabbi's authority to decide the validity of a congregational election; it acknowledges the Grand Rabbi's supreme authority in spiritual matters, but claims that he has ''no secular authority,'' and that the validity of the election is a secular question. Central to this argument is article 8 of the bylaws, which speaks of the first Grand Rabbi, Joel Teitelbaum, in terms that the parties agree apply to his successor, Moses Teitelbaum:

> ''The most revered teacher, Rabbi Yoel Teitelbaum, may he live long and be well, is our local rabbi, may it be for many years to come. Nobody can perform

> his functions without his consent. He is the only authority in all spiritual matters. No rabbi, ritual slaughterer or teacher can be chosen without his consent. His decision is binding on every member.''

This may mean that all of the Grand Rabbi's decisions bind every member, or only that they bind every member ''in all spiritual matters.'' The language seems ambiguous to me, and I do not think the ambiguity can be resolved without deciding a religious question—the scope of a religious leader's authority over his followers. Indeed, it is one of the ironies of this case that Supreme Court based its finding of nonjusticiability on its interpretation of this bylaw; I think the issue of what the bylaw means is itself nonjusticiable.

III

The Friedman faction makes essentially two claims: that its candidates are the validly elected leaders of the Brooklyn Congregation, and that the candidates of the Kahan faction are not. I conclude, applying neutral principles, that we can readily resolve the first of these claims: The Friedman faction has wholly failed to establish that its candidates were validly elected. The question as to whether the election of the Kahan faction's candidates was valid, I conclude, raises issues of fact that should be resolved by Supreme Court.

A

The basis for the Friedman faction's claim to control the Brooklyn Congregation is an election held in early May 2001, pursuant to a resolution passed at what the Friedman faction says was a meeting of the Congregation's board of trustees on January 14, 2001. The Kahan faction says that the Friedman faction's election was irregular in many ways, and the Friedman faction makes no specific response. Indeed, the Friedman faction does not explain its basis for asserting that the people who met on January 14 were members of the Congregation's board, and there is considerable reason to doubt the validity of that board meeting. Friedman asserted in an affirmation submitted to Supreme Court that the meeting was attended by ''83 board members''—but Religious Corporations Law § 207 provides for a maximum of 72 trustees, and various versions of the Congregation's bylaws provide for varying numbers, none more than 52.

Without defending the lawfulness of its candidates' election, the Friedman faction says they must be installed in office because no timely challenge to that election was brought. This argument fails; that is not the way the Not-For-Profit Corporation Law works.

Section 618 of the Not-For-Profit Corporation Law provides for a proceeding by "any member aggrieved by an election," but the failure to bring such a proceeding does not mean that any activity called an "election" by its participants becomes binding. Section 618 provides a means of removing from power people who may not have been lawfully elected—not a means of installing claimants who say they have been. On the Friedman faction's theory, any group of people could hold what they called an "election" for officers of any not-for-profit corporation; wait four months for the statute of limitations to run (*see* CPLR 217); and, if no section 618 proceeding was brought, march in and take over the corporation. This is an absurd result, and the Friedman faction cites no authority supporting it. No examination of religious doctrine is needed to reject this aspect of the Friedman faction's case.

B

The Friedman faction's challenge to the validity of the election on which the Kahan faction relies, an election allegedly authorized at a board meeting held January 18, 2001, presents a harder issue. The Friedman faction says this election is invalid on several grounds. One is that it was called by a board from which Berl Friedman had, allegedly improperly, been excluded. The Kahan faction claims that Friedman was removed by the Grand Rabbi. I have already said that I regard the extent of the Grand Rabbi's authority as a religious question, and I therefore agree with the majority that, if the Grand Rabbi did in fact remove Friedman, a challenge to the election based on his lack of authority to do so would not be justiciable. The Friedman faction, however, challenges not only the Grand Rabbi's authority to remove Friedman, but the factual claim that he did so. I agree with Justice Spolzino, dissenting below, that it "requires no inquiry into religious doctrine to ascertain whether the Grand Rebbe said and did what he is purported to have said and done" (31 AD3d 541, 546 [2d Dept 2006]). This issue, at least, can be resolved on neutral principles.

There are other issues that can be so resolved. The Friedman faction's challenge to the election is not based on Friedman's exclusion alone. The Friedman faction disputes whether the January 18 board meeting ever occurred, whether it was called on proper notice and whether a quorum was present. It questions whether the resolution calling the election was actually passed. It claims that procedures in the election violated the Religious Corporations Law and the Congregation's bylaws, specifying alleged flaws relating to proxies, mail-in ballots and write-in votes. It claims that some members were excluded from voting, and some nonmembers permitted to vote.

All these issues, except perhaps the ones relating to membership, can be resolved without examination of any religious issues. The majority points out that some issues relating to membership may be religious, and therefore nonjusticiable. I agree that a civil court may not examine any assertion that a potential voter in the election did or did not follow the ''ways of the Torah.'' But it does not appear to me from the record that the Friedman faction makes any such assertion. It does raise other issues, including the important one of whether members of the Satmar congregation at Kiryas Joel are also members of the Brooklyn Congregation, a question that should be answerable on neutral principles.

In short, while some nonjusticiable issues may come up in the course of the case, it is not impossible for a civil court to decide the case as a whole, and because it is not impossible I think it should be done. I recognize that, if we were to reach the result I favor, we would be imposing a significant burden on the Kings County Supreme Court, where Justice Barasch and his colleagues have already struggled mightily with this dispute, showing remarkable patience and devotion to duty. This is an enormously difficult case, involving as it does a bitter battle between two factions whose differences are extremely hard for outsiders to understand. It has produced, as Justice Barasch tells us in an epilogue to his opinion, attempts by people claiming allegiance to one faction or the other ''to discredit, intimidate and improperly influence'' the Supreme Court, with the result ''that there are judges who would prefer to decline any assignment involving members of this group of litigants'' (5 Misc 3d 1023[A], 2004 NY Slip Op 51515[U], *13, *14). I join Justice Barasch—as, I am sure, do all my colleagues—in saying that this behavior is intolerable, and in expressing the hope that the proper authorities will deal with it.

Despite all this, I would ask Supreme Court to take up this case again, and decide the merits. This would, perhaps, illustrate the rule that no good deed goes unpunished, but I think it would serve a more valuable purpose also. Courts are sometimes most necessary when the parties to a dispute are at their most passionate and irrational. In such cases, the prospect of the parties resolving their differences in court may be unattractive, but the thought of their resolving them elsewhere may be less attractive still. I therefore think that courts should, where they possibly can do so, accept jurisdiction in cases like this, and I dissent from the majority's decision to decline jurisdiction here.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion; Judge JONES taking no part.

Order affirmed, etc.

[879 NE2d 731, 849 NYS2d 192]

CONGREGATION YETEV LEV D'SATMAR OF KIRYAS JOEL, INC., et al., Respondents-Appellants, v CONGREGATION YETEV LEV D'SATMAR, INC., by BERL FRIEDMAN, President, Appellant-Respondent, and CONGREGATION YETEV LEV D'SATMAR, INC., et al., Respondents, et al., Defendants.

Argued October 16, 2007; decided November 20, 2007

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 11, 2006. The Appellate Division (1) reversed, insofar as appealed from, on the law and as a matter of discretion, so much of an order of the Supreme Court, Orange County (Stewart A. Rosenwasser, J.; op 11 Misc 3d 1055[A], 2006 NY Slip Op 50214[U]), as had awarded plaintiffs summary judgment, and conferred nunc pro tunc approval of a deed dated January 19, 2001, purporting to transfer one half of the ownership interest of defendant Congregation Yetev Lev D'Satmar, Inc., in real property used as a cemetery and located within the Town of Monroe, Orange County, to plaintiff Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc.; (2) denied plaintiffs summary judgment; (3) upon searching the record, awarded summary judgment to defendants Congregation Yetev Lev D'Satmar, Inc., Jacob (Jeno, Jenoe) Kahan, Sol Perlstein, Jacob Schoenfeld and Solomon Sander dismissing the complaint insofar as asserted against them; (4) dismissed as academic the counterclaims asserted by those defendants; and (5) directed the Clerk of Orange County to cancel of record the deed from Congregation Yetev Lev D'Satmar, Inc., to Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc., dated January 19, 2001, purporting to convey a one-half interest in the subject real property, recorded at Liber 5525 of deeds, pages 245 to 255. The following question was certified by the Appellate Division: ''Was the decision and order of this court dated July 11, 2006, properly made?''

Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc. v Congregation Yetev Lev D'Satmar, Inc., 31 AD3d 480, affirmed.

HEADNOTE

Religious Corporations and Associations — Judicial Approval of Sale of Property

In an action arising out of a dispute between two factions of defendant religious congregation, since the transfer for nominal consideration by persons purporting to represent defendant congregation to plaintiff congregation of an undivided one-half interest in the cemetery property at issue was not in the best interests of defendant congregation, plaintiffs were not entitled to retroactive judicial approval of the transfer (Religious Corporations Law § 12 [1], [9]). The transfer was at least in part plainly designed to advance one side of the factional dispute within defendant congregation. Thus, plaintiffs were not able to show that ''religious and charitable objects generally'' would be conserved by the conveyance of the property (Religious Corporations Law § 12 [8]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Religious Societies §§ 41, 43, 49–51.
MCKINNEY's, Religious Corporations Law § 12 (1), (8), (9).
NY JUR 2d, Religious Organizations §§ 81, 84, 87, 91.

ANNOTATION REFERENCE

See ALR Index under Religion and Religious Societies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: judicial /2 approval /s transfer /p religious

POINTS OF COUNSEL

Kirkpatrick & Lockhart Preston Gates Ellis LLP, New York City (*Gerald A. Novack, Walter P. Loughlin* and *Justin H. Roeber* of counsel), *Smith, Buss & Jacobs, LLP,* Yonkers (*Jeffrey D. Buss* of counsel), and *Thacher Proffitt & Wood LLP,* White Plains (*Kevin J. Plunkett* of counsel), for appellant-respondent. I. The declaration of Jeno (Jacob, Jenoe) Kahan, Sol Perlstein, Jacob Schoenfeld and Solomon Sander was null and void. II. Berl Friedman was authorized to execute the deed irrespective of his membership status. III. In any event, Berl Friedman was not removed or expelled and therefore was authorized to sign. IV. Nunc pro tunc approval should be reinstated. (*Church of God of Prospect Plaza v Fourth Church of Christ, Scientist, of Brooklyn,* 76 AD2d 712, 54 NY2d 42; *Morris v Scribner,* 69 NY2d 418.)

Tarshis, Catania, Liberth, Mahon & Milligram, PLLC, Newburgh (*Richard M. Mahon, II,* of counsel), for respondents-appellants. The transfer was properly approved by Justice Rosenwasser.

Herrick, Feinstein LLP, New York City (*Scott E. Mollen* and *Paul Rubin* of counsel), for Congregation Yetev Lev D'Satmar, Inc. and others, respondents. I. The Appellate Division properly voided Justice Rosenwasser's nunc pro tunc approval of the 2001 deed because plaintiffs failed to satisfy the applicable statutory requirements. (*Wilson v Ebenezer Baptist Church,* 17 Misc 2d 607; *Matter of Margolin v Mount Zion Pentecostal Holy Church,* 16 Misc 2d 961; *Soho Ctr. for Arts & Educ. v Church of St. Anthony of Padua,* 146 AD2d 407; *Matter of Barusek [Beth Jacob School of W. Bronx],* 1 Misc 2d 950; *Associate Presbyt. Congregation of Hebron v Hanna,* 113 App Div 12.) II. By respecting First Amendment considerations, the Appellate Division properly reversed the trial court's findings. (*Nunn v Black,* 506 F Supp 444, 661 F2d 925; *Burgess v Rock Cr. Baptist Church,* 734 F Supp 30.) III. Appellants' defiance of the Appellate Division's rulings from which they appeal highlights the need for clarity.

Herzfeld & Rubin, P.C., New York City (*David B. Hamm, Herbert Rubin* and *Linda M. Brown* of counsel), for Jenoe (Jacob, Jeno) Kahan, respondent. I. This Court should dismiss the appeal, as the order appealed from involved the exercise of the lower court's discretion. (*Wilson v Ebenezer Baptist Church,* 17 Misc 2d 607; *Matter of Margolin v Mount Zion Pentecostal Holy Church,* 16 Misc 2d 961; *Rosemont Enters. v Irving,* 41 NY2d 829; *Amrod v Briarwood Props.,* 55 NY2d 742; *24 Rock Corp. v Tomasello Bros.,* 21 NY2d 876.) II. This Court should disregard the brief submitted by purported defendant-appellant Congregation Yetev Lev D'Satmar, Inc., by Berl Friedman, president, for lack of aggrievement under CPLR 5511. (*Matter of Schwartz v Morgenthau,* 7 NY3d 427; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Matter of Times-Union of Capital Newspapers Div. of Hearst Corp. v Harris,* 50 NY2d 842; *Matter of Wittenberg,* 27 NY2d 910.) III. The Appellate Division was correct in invalidating Supreme Court's nunc pro tunc approval of Berl Friedman's unauthorized transfer of a one-half interest in the cemetery property to Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc. (*Church of God of Prospect Plaza v Fourth Church of Christ, Scientist, of Brooklyn,* 76 AD2d 712, 54 NY2d 742; *Salesian Socy. v Nutmeg Partners,* 271 AD2d 671; *Matter of Agudist Council of Greater N.Y. v Imperial Sales Co.,* 158 AD2d 683; *Associate Presbyt. Congregation of Hebron v Hanna,* 113 App Div 12; *Levovitz v Yeshiva Beth Henoch,* 120 AD2d 289; *Kroth v Congregation Chebra Ukadisha Bnai Israel Mikalwarie,* 105 Misc 2d 904; *Matter of Beth Israel of Brownsville,* 114 Misc 582; *Slater v Gallman,* 38 NY2d 1; *Flagg v Nichols,* 307 NY 96; *Maloney v Hearst Hotels Corp.,* 274 NY 106.) IV. This Court has no jurisdiction to consider appellants' attack upon the validity of defendants' declaration dated January 18, 2001. V. The Friedman dissidents' challenge to the authority of the Kahan leadership is nonjusticiable, as it presents ecclesiastical issues which are not the proper subject of judicial review. In any event, the Friedman dissidents' arguments lack merit.

OPINION OF THE COURT

PIGOTT, J.

This action involves a dispute over the ownership of a cemetery located in the Town of Monroe, New York, for members of the Satmar community, a distinct sect of Orthodox Judaism. The cemetery was originally acquired by plaintiff Congregation Yetev Lev D'Satmar of Kiryas Joel, Inc. (Monroe Congregation) in 1981. It contains the grave of the Grand Rabbi Joel Teitelbaum, founder of the Satmar movement. As such, the property holds significant religious import for all Satmar followers. The cemetery was conveyed to defendant Congregation Yetev Lev D'Satmar, Inc. (Brooklyn Congregation) in 1988, and thereafter jointly operated by the two congregations.

Some time thereafter, the Brooklyn Congregation split into two rival factions over matters concerning leadership of the Satmar community. The feud resulted in each faction conducting separate elections of the board of directors and officers for the Brooklyn Congregation. On January 14, 2001, Berl Friedman, purporting to act as president of the Brooklyn Congregation, convened a board meeting at which he authorized the transfer of an undivided one-half interest in the cemetery property to the Monroe Congregation. A deed, executed by Berl Friedman on January 19, 2001 and conveying the one-half interest in the cemetery property for nominal consideration, was later recorded in the Orange County Clerk's Office.

At approximately the same time, Jacob (Jeno, Jenoe) Kahan and other members of the rival faction held a meeting at which they designated themselves the true officers of the Brooklyn Congregation. They sought to restrict the use of the cemetery property by filing a so-called ''declaration'' with the Orange County Clerk providing that only those designated officers could mortgage, sell or otherwise encumber the property.

In 2005, plaintiffs commenced this action against defendants seeking, among other things, a declaration that the transfer of the one-half interest in the property was lawful under the Religious Corporations Law or, in the alternative, to obtain nunc pro tunc approval of that transfer pursuant to Religious Corporations Law § 12. Defendants answered and asserted counterclaims against plaintiffs alleging, among other things, that Berl Friedman was not authorized to execute the 2001 deed because he had been expelled from the Brooklyn Congregation.

Supreme Court awarded summary judgment to plaintiffs, upholding the validity of the transfer executed by Berl Friedman and vacating the declaration. The Appellate Division reversed, in part, finding that questions of fact existed concerning the conveyance, and that those questions ''involve ecclesiastical issues that are beyond the competence of the courts'' (31 AD3d 480, 482 [2d Dept 2006]). Upon searching the record, the court voided the conveyance pursuant to the Religious Corporations Law, finding that plaintiffs failed to establish that the transfer promoted the interests of the grantor by furthering a religious or charitable object generally (*id.* at 483). The Appellate Division subsequently granted leave and certified the following question to us: ''Was the decision and order of this court dated July 11, 2006, properly made?'' We now affirm.

We conclude that support in the record exists for the Appellate Division's finding that the transfer was not in the best interests of the Brooklyn Congregation. Thus, plaintiffs were not entitled to retroactive judicial approval of the transfer. A religious corporation may ''not sell . . . its real property without applying for and obtaining leave of the court'' (Religious Corporations Law § 12 [1]). When a religious corporation fails to obtain the necessary judicial approval before transferring the real property, the corporation may seek retroactive judicial approval in order to validate the transaction (*see* Religious Corporations Law § 12 [9]). Where, as here, a religious corporation seeks to ''convey the whole or any part of its real property to another religious corporation'' for nominal consideration, the corporation must show that ''religious or charitable objects generally'' would be conserved by the conveyance of the property (Religious Corporations Law § 12 [8]). Here, where the transfer was at least in part plainly designed to advance one side of the factional dispute, the Appellate Division justifiably found that no such showing was made. We need reach no other issue.

Accordingly, the Appellate Division order should be affirmed with costs and the certified question not answered upon the ground that it is unnecessary.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and SMITH concur; Judge JONES taking no part.

Order affirmed, etc.

[879 NE2d 148, 849 NYS2d 9]

DONALD J. O'MARA III et al., Respondents, v TOWN OF WAPPINGER, Appellant.

Argued October 16, 2007; decided November 15, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''Is an open space restriction imposed by a subdivision plat under New York Town Law § 276 enforceable against a subsequent purchaser, and under what circumstances?''

HEADNOTE

Municipal Corporations — Planning — Subdivision Plat — Open Space Restriction — Enforceability against Subsequent Purchaser

An open space restriction placed on a final plat pursuant to Town Law § 276, when filed in the Office of the County Clerk pursuant to Real Property Law § 334, was enforceable against a subsequent purchaser. By virtue of its filing requirement, the statutory scheme afforded notice to the public. There was no requirement that the restriction be recorded under Real Property Law § 291, which mandates that conveyances of real property be recorded. Defendant Town never ''acquired'' an open space interest pursuant to General Municipal Law § 247 (2). Nor was there any evidence of a ''conveyance'' of real property within the meaning of Real Property Law § 290 (3). A search of the records filed in the Office of the County Clerk would have disclosed the subject plat with its open space restriction. Moreover, towns have the authority to regulate land use within their borders (*see* Town Law § 261). The ability to impose reasonable conditions on the use of land through the zoning process would be meaningless without the ability to enforce those conditions, even against a subsequent purchaser.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Records and Recording Laws § 46; AM JUR 2d, Zoning and Planning §§ 429, 478, 481, 482, 979.

MCKINNEY'S, General Municipal Law § 247 (2); Real Property Law § 290 (3); §§ 291, 334; Town Law §§ 261, 276.

NY JUR 2d, Acknowledgments, Affidavits, Oaths, Notaries, and Commissioners § 3; NY JUR 2d, Buildings, Zoning, and Land Controls §§ 96, 99, 103; NY JUR 2d, Counties, Towns, and Municipal Corporations § 1464; NY JUR 2d, Dedication § 2; NY JUR 2d, Records and Recording §§ 87–89.

NEW YORK REAL PROPERTY SERVICE §§ 23:2, 23:4, 23:6, 23:11, 46:33, 48:25.

ANNOTATION REFERENCE

See ALR Index under Maps and Plats; Sale and Transfer of Property; Zoning.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: plat /5 filed /p open /2 space

POINTS OF COUNSEL

Vergilis, Stenger, Roberts & Davis, LLP, Wappingers Falls (*Kenneth M. Stenger* of counsel), for appellant. I. There is a distinction between land use control imposed by police power and private agreement. (*Matter of Friends of Shawangunks v Knowlton,* 64 NY2d 387.) II. The 1963 resolution of subdivision approval was an exercise of police power under Town Law § 276. (*Asian Am. for Equality v Koch,* 129 Misc 2d 67, 128 AD2d 99, 72 NY2d 121; *Matter of Kamhi v Planning Bd. of Town of Yorktown,* 59 NY2d 385; *Matter of Golden v Planning Bd. of Town of Ramapo,* 30 NY2d 359; *Matter of Brous v Smith,* 304 NY 164; *Delaware Midland Corp. v Incorporated Vil. of Westhampton Beach,* 79 Misc 2d 438, 48 AD2d 681, 39 NY2d 1029.) III. The creation of the buffer areas was a legitimate exercise of police power. (*Matter of International Innovative Tech. Group Corp. v Planning Bd. of Town of Woodbury, N.Y.,* 20 AD3d 531; *Matter of Koncelik v Planning Bd. of Town of E. Hampton,* 188 AD2d 469.) IV. The "open space" notation on the filed map provides an additional level of notice. (*Eltman v Harvey,* 93 Misc 2d 634.) V. The subdivision condition creating parcels B and E as a buffer applies to the land and is enforceable under the provisions of Town Law § 268 irrespective of ownership. (*Matter of Weinrib v Weisler,* 33 AD2d 923; *FGL & L Prop. Corp. v City of Rye,* 66 NY2d 111; *Matter of Golden v Planning Bd. of Town of Ramapo,* 30 NY2d 359; *Nehrbas v Incorporated Vil. of Lloyd Harbor,* 1 AD2d 1034, 2 NY2d 190; *Matter of St. Onge v Donovan,* 71 NY2d 507; *Matter of Conte v Town of Norfolk Zoning Bd. of Appeals,* 261 AD2d 734; *Matter of Dexter v Town Bd. of Town of Gates,* 36 NY2d 102; *Matter of Marx v Planning Bd. of Vil. of

Mill Neck, 185 AD2d 348; *Bringslimark v Town of Clarkstown,* 128 AD2d 663; *Delaware Midland Corp. v Incorporated Vil. of Westhampton Beach,* 79 Misc 2d 438.) VI. The subdivision condition is stated plainly and unambiguously. (*Holmes v Planning Bd. of Town of New Castle,* 78 AD2d 1.) VII. The Town of Wappinger is not estopped from exercising its police power under Town Law § 268 (2). (*Matter of Parkview Assoc. v City of New York,* 71 NY2d 274; *Town of Putnam Val. v Sacramone,* 16 AD3d 669.)

Bleakley Platt & Schmidt, LLP, White Plains (*James W. Glatthaar* and *Kenneth C. Brown* of counsel), for respondents. I. The Town of Wappinger's enforcement of the Planning Board's open space restriction is void as an ultra vires act because it exceeded its police power by enforcing the restriction without complying with the ''open space'' provision of General Municipal Law § 247. (*Matter of Long v Adirondack Park Agency,* 76 NY2d 416; *Ryder v City of New York,* 32 AD3d 836; *Matter of DeTroia v Schweitzer,* 87 NY2d 338; *Cole v Mandell Food Stores,* 93 NY2d 34; *Matter of Raritan Dev. Corp. v Silva,* 91 NY2d 98; *Matter of Dutchess County Dept. of Social Servs. v Day,* 96 NY2d 149; *Gray v Delpho,* 97 Misc 37; *Mutual Life Ins. Co. of N.Y. v Dake,* 87 NY 257; *Yen-Te Hsueh Chen v Geranium Dev. Corp.,* 243 AD2d 708; *Andy Assoc. v Bankers Trust Co.,* 49 NY2d 13.) II. The open space restriction is not a ''zoning regulation'' of the Town Board, as the Second Circuit inaccurately referred to it. Thus, the O'Maras are not presumed to have constructive knowledge of the restriction. (*Matter of Real Holding Corp. v Lehigh,* 2 NY3d 297; *Matter of Society of N.Y. Hosp. v Del Vecchio,* 70 NY2d 634; *North Bay Assoc. v Hope,* 116 AD2d 704; *Envirogas, Inc. v Town of Westfield,* 82 AD2d 117; *B & J Invs. Corp. v Town Bd. of Town of Clinton,* 56 AD2d 882; *Matter of Weisman v Zoning Bd. of Appeals of Vil. of Kensington,* 260 AD2d 487; *Matter of Marx v Planning Bd. of Vil. of Mill Neck,* 185 AD2d 348; *Bringslimark v Town of Clarkstown,* 128 AD2d 663.) III. The unrecorded open space restriction is not in the O'Maras' chain of title and, thus, is not enforceable against them under Real Property Law § 291 and General Municipal Law § 247. (*Matter of Ioannou v Southold Town Planning Bd.,* 304 AD2d 578; *Witter v Taggart,* 78 NY2d 234; *Eltman v Harvey,* 93 Misc 2d 634; *Goldstein v Gold,* 66 NY2d 624; *Ebling Brewing v Gennaro,* 189 App Div 782; *Covey v Niagara, Lockport & Ontario Power Co.,* 286 App Div 341; *Pallone v New York Tel. Co.,* 30 NY2d 865; *Webster v Ragona,* 7 AD3d 850; *Russell v Perrone,* 301 AD2d 835.)

Michael E. Kenneally, Jr., Albany, for Association of Towns of the State of New York, amicus curiae. I. A planning board may impose an open space restriction as a condition of approval of a subdivision. (*Matter of International Innovative Tech. Group Corp. v Planning Bd. of Town of Woodbury, N.Y.,* 20 AD3d 531; *Matter of Pearson Kent Corp. v Bear,* 28 NY2d 396; *Matter of Koncelik v Planning Bd. of Town of E. Hampton,* 188 AD2d 469.) II. Upon filing with the County Clerk, the contents of a subdivision plat are binding and enforceable as against all purchasers of the lots, blocks, parcels or sites created thereby. (*Matter of Koncelik v Planning Bd. of Town of E. Hampton,* 188 AD2d 469; *Vernon Park Realty, Inc. v City of Mount Vernon,* 307 NY 493.)

OPINION OF THE COURT

JONES, J.

In 1962 two developers, David Alexander and Fred Lafko, purchased property in the town of Wappinger, Dutchess County, with plans to develop a condominium project to be known as Wildwood Manor. The Planning Board tentatively approved a preliminary layout of the project and conditioned approval, in part, on the creation of a permanent open space on a preliminary plat.[1] At a January 23, 1963 meeting, the Board approved the final plat (1963 Plat), which divided the property into seven parcels, including parcels B and E, which were designated the buffer area where open space would be located.[2] The words "Open Space" were written on parcels B and E of the plat. The

---

1. Generally, a plat is a map describing a piece of land and its features, such as boundaries, lots, roads, and easements (*see* Black's Law Dictionary 1188-1189 [8th ed 2004]). Under Town Law § 276 (4) (b), a "preliminary plat" is

> "a drawing prepared in a manner prescribed by local regulation showing the layout of a proposed subdivision including, but not restricted to, road and lot layout and approximate dimensions, key plan, topography and drainage, all proposed facilities unsized, including preliminary plans and profiles, at suitable scale and in such detail as local regulation may require."

2. Under Town Law § 276 (4) (d), the "final plat" is

> "a drawing prepared in a manner prescribed by local regulation, that shows a proposed subdivision, containing in such additional detail as shall be provided by local regulation all information required to be shown on a preliminary plat and the modifications, if any, required by the planning board at the time of approval of the preliminary plat if such preliminary plat has been so approved."

Further, Town Law § 276 (4) (f) provides as follows:

(n. cont'd)

Board minutes for the January 23 meeting indicated that the plat was accepted subject to eight conditions, among them that no building permits would be issued for parcels B and E, as indicated on the 1963 Plat. The 1963 Plat and Board minutes were filed with the Town. The 1963 Plat was also filed with the Dutchess County Clerk's Office. Wildwood Manor was ultimately constructed and continues to be occupied.

Parcels B and E remained undeveloped for nearly 40 years until the circumstances that prompted this litigation arose.[3] Plaintiff Absolute Property Management, a corporation owned by brothers Donald and Patrick O'Mara, acquired parcels B and E. On October 18, 2000, Absolute purchased the parcels for $29,500 at an in rem tax sale with the intent to construct 10 single family houses on the property. It took title subject to any existing right-of-way, easement, any and all existing restrictions, conditions and covenants of record. Prior to closing, Patrick O'Mara ordered a title report and obtained title insurance. Attached to the policy was Schedule B. Neither Schedule B nor the title policy made reference to an ''Open Space'' restriction.

In 2002, the O'Maras, taking steps towards building on the property, retained a licensed land surveyor (Gerald Lynn) who prepared a survey of parcels B and E. Lynn based the survey, in part, on an examination of the 1963 Plat. Lynn observed the ''Open Space'' notation on parcels B and E, but ignored it and never included the notation on the survey submitted to the Town Building Department.[4] The first house was to be built on parcel B and was to serve as a residence for Donald O'Mara and his family. The Town issued a building permit, a temporary certificate of occupancy and approved both an interim survey for the lot on which the house was to be built and a site plan.

> '' 'Final plat approval' means the signing of a plat in final form by a duly authorized officer of a planning board pursuant to a planning board resolution granting final approval to the plat or after conditions specified in a resolution granting conditional approval of the plat are completed. Such final approval qualifies the plat for recording in the office of the county clerk or register in the county in which such plat is located.''

3. Notwithstanding the Board's restrictions, at some point, the Wappinger Tax Assessor increased the assessment on the property from $7,500 to $47,500 noting on his records, ''No Reason For this very low value. Good Buildable Land.'' Thereafter, Fred Lafko's estate ceased making tax payments on the two parcels.

4. Had Lynn included the notation on the survey, the Building Inspector would have been alerted to the restriction.

In July 2003, Ronald Lafko, the son of Fred Lafko (one of the original developers of the land), approached a town councilman to express his concern that the development violated the 1963 Plat. In November 2003, the newly-appointed Town Building Inspector issued a stop work order based on the open space restriction noted on Map 3107. Donald O'Mara protested the issuance of the order and attempted to resolve the matter with the Town. The O'Maras were not aware of the ''open space'' restrictions on parcels B and E until after the Town issued the order—three years after they purchased the property. The Town permitted Donald O'Mara to complete exterior work but did not vacate the stop work order. On December 2, 2003 an attorney for the Town made a written settlement proposal to the O'Maras' counsel in which the Town offered to grant a certificate of occupancy for the house provided the rest of parcels B and E were dedicated to the Town. In response, the O'Maras filed an action in the United States District Court for the Southern District of New York.

The O'Maras' original complaint alleged claims under 42 USC § 1983 and under the Takings Clause of the Federal Constitution, the latter being dismissed on the eve of trial. The complaint was amended to add a claim for a judgment declaring that the O'Maras owned parcels B and E free and clear of the open space restriction. Essentially, the O'Maras argued that the open space restriction had to be recorded under Real Property Law § 291 to be enforceable against them. In further support of that argument, plaintiffs urged that the Town acquired an interest in the property pursuant to General Municipal Law § 247 and upon acquisition of the property by the Town, the recording requirement was triggered. The amended complaint also contained claims for fraud and negligent misrepresentation.

The District Court dismissed the fraud and negligence claims. As to the section 1983 claim, the court held that because the O'Maras had a legitimate claim of entitlement to a certificate of occupancy and the Town's basis for withholding the certificate was illegal, the Town had violated the O'Maras' constitutional right to substantive due process, thus entitling them to damages for the loss of use and occupancy of the house. Finally, the court held that the open space restriction was unenforceable against the O'Maras, who were bona fide purchasers for value without notice. The court, citing Real Property Law § 291, determined that the restriction was not properly recorded within Dutchess County. Further, the court, relying on *Matter of*

Ioannou v Southold Town Planning Bd. (304 AD2d 578 [2d Dept 2003]), held that the failure to record any restriction on the use of property precludes enforcement of the restriction.[5]

Upon the Town's appeal, the United States Court of Appeals for the Second Circuit reversed in part by dismissing the section 1983 claim. Additionally, the court held that "[w]hile . . . the process of approving and filing the 1963 Plat complied with both [Town Law § 276 and Real Property Law § 334], neither section addresses whether a subdivision plat is enforceable against subsequent purchasers" (*id.* at 699). In light of the foregoing, and given the absence of controlling precedent from this Court, the Second Circuit certified the following question to this Court: "Is an open space restriction imposed by a subdivision plat under New York Town Law § 276 enforceable against a subsequent purchaser, and under what circumstances?" (*Id.*) Under the circumstances of this case, we answer the certified question in the affirmative. An open space restriction placed on a final plat pursuant to Town Law § 276, when filed in the Office of the County Clerk pursuant to Real Property Law § 334, is enforceable against a subsequent purchaser.

Discussion

Real Property Law § 334, the law applicable to the filing of the 1963 Plat (and applicable today), provides that no real property subdivided into separate lots can be offered for sale to the public without the filing of a map in the Office of the County Clerk or Register of Deeds where the property is located. Additionally, no plat of a subdivision may be recorded (i.e., filed) with the County Clerk or Register until it is approved by a planning board and such approval is endorsed in writing on the plat in the manner designated by the planning board (*see* Town Law § 278 [now renumbered Town Law § 279 (1)]; § 276 [3]). Thus, the statutory scheme in effect in 1963 provided that (1) no subdivision could be approved except by the planning board, (2) no plat could be filed with the County Clerk unless it had the endorsement of the planning board and (3) the subdivision

5. The Second Circuit in its decision, *O'Mara v Town of Wappinger* (485 F3d 693 [2d Cir 2007]), held that *Ioannou* was inapposite because it addressed the enforceability of "[r]estrictive covenants" and not zoning restrictions "imposed by the Planning Board through its zoning powers" (*id.* at 697 n 6). Furthermore, the agreement was neither noted on the filed subdivision plat nor recorded in the Office of the County Clerk pursuant to Real Property Law § 291.

plat had to be filed in the Office of the County Clerk within 90 days of its approval. Accordingly, no lot subdivided from a larger piece could be sold without planning board approval. By virtue of its filing requirement, this statutory scheme afforded notice to the public.

Plaintiffs argue that the Board cannot enforce the open space restriction on their property unless the restriction is recorded under Real Property Law § 291, which requires that conveyances of real property be recorded.[6] In furtherance of this argument, plaintiffs posit that the Town, in reserving to itself the right to prevent anyone from building anything on these parcels, ''acquired'' an open space interest pursuant to General Municipal Law § 247 (2) and that this acquisition amounts to a ''conveyance'' of real property. Plaintiffs submit that because the prior owners (David Alexander and Fred Lafko) had been stripped of all rights to use parcels B and E, except the right to be taxed, the effect was that the property was acquired by the Town through its pervasive and restrictive control of the property. This Court disagrees and finds no evidence that the Town acquired parcels B and E by ''purchase, gift, grant, bequest, devise, lease or otherwise'' (General Municipal Law § 247 [2]). Further, there is no evidence that there was a ''conveyance'' within the meaning of Real Property Law § 290 (3). Accordingly, Real Property Law § 291 is inapposite to the case at bar. Moreover, there is no statutory requirement to record a plat in the chain of title.

The system of filing subdivision plats exists throughout New York State. In the instant case, a search of the records filed in the Office of the Dutchess County Clerk would have disclosed the 1963 Plat. When Absolute acquired title at the tax sale, a description of the property was limited to its tax grid number. The tax map only showed two boundaries for the lot conveyed. In order to determine the boundaries of its holdings, Absolute should have searched the County Clerk's property records until it found the subdivision plat that created its parcel. Had Absolute examined the plat, it would have discovered the open space restriction.

In conclusion, we note that towns are separately bestowed with the authority to regulate land use within their borders (*see*

---

6. Under Real Property Law § 290 (3), the ''term 'conveyance' includes every *written instrument*, by which any estate or interest in real property is created, transferred, mortgaged or assigned, or by which the title to any real property may be affected'' (emphasis added).

Town Law § 261). This grant of authority is broad and encompasses a town's ability to impose reasonable conditions in the course of approving a subdivision (*see* Town Law § 276; *see also Matter of Koncelik v Planning Bd. of Town of E. Hampton*, 188 AD2d 469, 471 [2d Dept 1992]). The ability to impose such conditions on the use of land through the zoning process is meaningless without the ability to enforce those conditions, even against a subsequent purchaser.

Accordingly, under the circumstances of this case, the certified question should be answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered under the circumstances of this case in the affirmative.

[879 NE2d 1291, 849 NYS2d 473]

HOSPITAL FOR JOINT DISEASES, as Assignee of JODI FRIEDMAN and Another, Plaintiff, and NEW YORK AND PRESBYTERIAN HOSPITAL, as Assignee of WILLIAM BROWNE, Respondent, v TRAVELERS PROPERTY CASUALTY INSURANCE COMPANY et al., Appellants.

Argued October 11, 2007; decided November 20, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 14, 2006. The Appellate Division affirmed an order of the Supreme Court, Nassau County (Burton S. Joseph, J.; op 2005 NY Slip Op 30129[U]), which had granted a motion by plaintiff New York and Presbyterian Hospital for summary judgment on the third cause of action, denied defendants' cross motion for summary judgment dismissing that cause of action, and directed the Nassau County Clerk to enter judgment in favor of plaintiff New York and Presbyterian Hospital in the principal sum of $24,344.96 plus statutory no-fault interest from November 20, 2004 to date and attorney fees pursuant to 11 NYCRR 65-4.6 (e).

Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co., 34 AD3d 532, affirmed.

HEADNOTE

Insurance — No-Fault Automobile Insurance — Action to Recover Assigned No-Fault Benefits — Failure to Timely Request Verification of Assignment Precludes Challenge to Validity of Assignment

In an action by plaintiff hospital to recover no-fault insurance benefits for services rendered to a patient injured in a motor vehicle accident, defendant insurer's failure to timely request verification of the patient's assignment of benefits to plaintiff precluded defendant from contesting the validity of the assignment. An insurer that fails to deny a claim for no-fault benefits within 30 days is generally precluded from asserting a defense against payment of the claim. Although there is a narrow exception to that preclusion remedy for situations where an insurer raises a defense of lack of coverage, here it was undisputed that plaintiff rendered medical services to the patient for injuries arising out of a motor vehicle accident, that the patient's policy with defendant was in effect at the time of the accident and that the policy covered the accident. Thus, any defect or deficiency in the assignment between the patient and plaintiff did not implicate a lack of coverage warranting exemption from the preclusion rule. Moreover, even if an assignment of benefits was a necessary component of plaintiff's prima facie case for recovery of no-fault benefits, the assignment form stating that the patient's signature was "on file" satisfied that burden where defendant did not timely take action to verify the existence of a valid assignment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 508, 510.
COUCH ON INSURANCE (3d ed) §§ 171:57, 171:62.
NY JUR 2d, Insurance §§ 1787, 1800, 1893, 1894, 1901.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No–Fault Insurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: no-fault & verification /5 assignment /s request!

POINTS OF COUNSEL

McDonnell & Adels, P.C., Garden City (*Martha S. Henley* and *Zara G. Friedman* of counsel), for appellants. I. Plaintiff has failed to demonstrate that it has standing to sue. (*Lacks v Lacks,* 41 NY2d 71; *City of New York v State of New York,* 86 NY2d 286; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo,* 64 NY2d 233; *Robinson v Oceanic Steam Nav. Co.,* 112 NY 315; *Matter of Rougeron,* 17 NY2d 264; *Editorial Photocolor Archives v Granger Collection,* 61 NY2d 517; *Matter of Dairylea Coop. v Walkley,* 38 NY2d 6; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Cuomo v Long Is. Light. Co.,* 71 NY2d 349; *Community Bd. 7 of Borough of Manhattan v Schaffer,* 84 NY2d 148.) II. The Appellate Division's holding impermissibly awards benefits to plaintiff, finding coverage by waiver. (*Albert J. Schiff Assoc. v Flack*, 51 NY2d 692; *Powers Chemco v Federal Ins. Co.,* 122 AD2d 203; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195.) III. Preclusion does not advance the goals of no-fault legislation. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Nyack Hosp. v Metropolitan Prop. & Cas. Ins. Co.,* 16 AD3d 564, 5 NY3d 713; *New York Hosp. Med. Ctr. of Queens v AIU Ins. Co.*, 8 AD3d 456; *Mount Sinai Hosp. v Triboro Coach*, 263 AD2d 11; *New York & Presbyt. Hosp. v New York Cent. Mut. Fire Ins. Co.,* 31 AD3d 403; *ABC Med. Mgt. v GEICO Gen. Ins. Co.,* 3 Misc 3d 181; *Vladimir Zlatnick, M.D.,* *P.C. v Government Empls. Ins. Co.,* 2 Misc 3d 347; *Universal Acupuncture Pain Servs. v Lumbermens Mut. Cas. Co.,* 195 Misc 2d 352.) IV. Applying preclusion due to defendant's failure to request verification of an assignment is inconsistent with the strict construction afforded the No-Fault Law. (*Maxwell v State Farm Mut. Auto. Ins. Co.,* 92 AD2d 1049; *Morris v Snappy Car Rental,* 84 NY2d 21; *Allstate Ins. Co. v Gross,* 27 NY2d 263; *Pommells v Perez,* 4 NY3d 566; *State Farm Mut. Auto. Ins. Co. v Mallela,* 4 NY3d 313; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Matter of Notre Dame Leasing v Rosario,* 2 NY3d 459; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.,* 3 NY3d 200; *Rockaway Blvd. Med. P.C. v Progressive Ins.,* 9 Misc 3d 52; *A.B. Med. Servs. PLLC v Liberty Mut. Ins. Co.,* 9 Misc 3d 36.)

Joseph Henig, P.C., Bellmore (*Gregory Henig* and *Joseph Henig* of counsel), for respondents. I. Defendant's failure to object to the lack of a signature on the assignment portion of the hospital facility form constituted a waiver. (*Hospital for Joint Diseases v Allstate Ins. Co.,* 21 AD3d 348; *Nyack Hosp. v Metropolitan Prop. & Cas. Ins. Co.,* 16 AD3d 564; *New York Hosp. Med. Ctr. of Queens v AIU Ins. Co.,* 8 AD3d 456; *New York & Presbyt. Hosp. v American Tr. Ins. Co.,* 287 AD2d 699; *Mount Sinai Hosp. v Triboro Coach*, 263 AD2d 11; *Presbyterian Hosp. in City of N.Y. v Aetna Cas. & Sur. Co.*, 233 AD2d 433; *Fabian v Motor Veh. Acc. Indem. Corp.,* 111 AD2d 366; *Matter of Fireman's Fund Ins. Co. v Freda,* 156 AD2d 364; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *St. Clare's Hosp. v Allcity Ins. Co.,* 201 AD2d 718.) II. Defendant's failure to request further verification of the assignment or to request the original assignment barred defendant from contending that plaintiff had ''no standing to sue.'' (*Hospital for Joint Diseases v Allstate Ins. Co.,* 21 AD3d 348.) III. Plaintiff's NYS Form NF-5 remained unpaid and gave plaintiff ''standing to sue'' pursuant to article 51 of the Insurance Law and the insurance regulations. IV. Plaintiff's motion was deemed admitted as there was no affidavit of merit in opposition to the motion and defendant had no standing to challenge the assignment on appeal. (*Mary Immaculate Hosp. v Allstate Ins. Co.,* 5 AD3d 742; *Reddy v Coca-Cola Bottling Co. of N.Y.,* 278 AD2d 295; *Zuckerman v City of New York,* 49 NY2d 557; *Chiarini v County of Ulster,* 9 AD3d 769; *Moonstone Judge, LLC v Shainwald,* 38 AD3d 215; *Penny v Pembrook Mgt.,* 280 AD2d 590.) V. Defendant failed to issue a denial of claim form and was precluded from interposing a defense to the action. (*Presbyterian Hosp. in*

City of N.Y. v Maryland Cas. Co., 90 NY2d 274; *Mount Sinai Hosp. v Triboro Coach,* 263 AD2d 11.) VI. Defendant raises argument for the first time on appeal that is dehors the record on appeal and should not be considered by the honorable Court. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Dinneny v Allstate Ins. Co.,* 295 AD2d 797; *Matter of Seelig v Koehler,* 76 NY2d 87.)

Short & Billy, P.C., New York City (*Skip Short* and *Amanda Jehle* of counsel), for Property Casualty Insurers Association of America and others, amici curiae. I. A valid assignment is a condition of coverage of a health provider's claim. (*Zappone v Home Ins. Co.,* 55 NY2d 131; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Central Gen. Hosp. v Chubb Group of Ins. Cos.,* 90 NY2d 195.) II. The rule of preclusion should be abandoned in no-fault claims. (*Central Gen. Hosp. v Chubb Group of Ins. Cos.,* 90 NY2d 195; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Nyack Hosp. v Encompass Ins. Co.,* 23 AD3d 535; *State Farm Mut. Auto. Ins. Co. v Mallela,* 4 NY3d 313; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Zappone v Home Ins. Co.,* 55 NY2d 131; *Matter of Liberty Mut. Ins. Co. [Hogan],* 82 NY2d 57; *Allstate Ins. Co. v Gross,* 27 NY2d 263; *Pommells v Perez,* 4 NY3d 566; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211.) III. The applicant has the burden of proof of medical necessity in a claim brought under Insurance Law article 51. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Central Gen. Hosp. v Chubb Group of Ins. Cos.,* 90 NY2d 195; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Pommells v Perez,* 4 NY3d 566; *Mount Sinai Hosp. v Triboro Coach,* 263 AD2d 11; *Amaze Med. Supply v Eagle Ins. Co.,* 2 Misc 3d 128[A], 2003 NY Slip Op 51701[U]; *Mary Immaculate Hosp. v Allstate Ins. Co.,* 5 AD3d 742; *A.B. Med. Servs. PLLC v Lumbermens Mut. Cas. Co.,* 4 Misc 3d 86; *Clemens v Apple,* 65 NY2d 746; *Oquendo v New York City Tr. Auth.,* 246 AD2d 635.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick, Barry I. Levy, Cheryl F. Korman* and *Stuart M. Bodoff* of counsel), for New York Insurance Association, Inc., amicus curiae. The fundamental defense of lack of standing survives preclusion even if an insurer did not pay or deny a claim for reimbursement of no-fault benefits on that ground within 30 days of the receipt of that claim. (*Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *City of New York v State of New York,* 86 NY2d 286; *Presbyterian Hosp. in City of N.Y. v Maryland Cas.*

Co., 90 NY2d 274; *Matter of Worcester Ins. Co. v Bettenhauser,* 95 NY2d 185; *Zappone v Home Ins. Co.,* 55 NY2d 131; *Markevics v Liberty Mut. Ins. Co.,* 97 NY2d 646; *Handelsman v Sea Ins. Co.,* 85 NY2d 96; *Matter of Allstate Ins. Co. v Massre,* 14 AD3d 610; *State Farm Mut. Auto. Ins. Co. v Laguerre,* 305 AD2d 490; *State Farm Mut. Auto. Ins. Co. v Mallela,* 4 NY3d 313.)

OPINION OF THE COURT

GRAFFEO, J.

In this action, a hospital seeks to recover no-fault insurance benefits for services rendered to a patient injured in a motor vehicle accident. We conclude that the insurance company's failure to timely request verification of the patient's assignment of benefits to the hospital precludes the carrier from now contesting the validity of the assignment. We therefore affirm the order of the Appellate Division so holding.

Plaintiff New York and Presbyterian Hospital treated patient Browne in 2004 for injuries he sustained as a result of an automobile accident. At the time of the accident, Browne had an automobile insurance policy with defendant Travelers Property Casualty Insurance Company affording him first-party no-fault coverage. In October 2004, the hospital, through its contract billing agent—Hospital Receivables Systems, Inc.—sought payment of $24,344.96 from Travelers for services provided to Browne. The billing agent sent Travelers a hospital facility form (NYS Form NF-5), a UB-92 form and an assignment of benefits form (NYS Form NF-AOB). The assignment portion of the NYS Form NF-5 and the assignment of benefits form both indicated that Browne's signature was ''on file,'' but neither form displayed his actual signature.

Travelers did not reject the forms or request verification of the assignment. After Travelers failed to pay or deny the claim within 30 days of its receipt, the hospital commenced this action against Travelers and Farmington Casualty Company (an affiliated carrier) for payment of its bill as well as statutory interest and attorneys' fees under Insurance Law § 5106 (a).[1] In its answer, Travelers raised as an affirmative defense the lack of a valid assignment between Browne and the hospital.

Both parties moved for summary judgment and Supreme Court granted the hospital's motion and directed entry of judg-

1. Originally, plaintiff Hospital for Joint Diseases, as the assignee of two other patients, jointly sued Travelers and Farmington for nonpayment of no-fault benefits. Those claims were subsequently withdrawn.

ment against Travelers in the amount of $24,344.96 plus statutory interest and attorneys' fees. The court held that Travelers' failure to timely contest any deficiency in the assignment documents precluded the carrier from raising the issue in this proceeding. The Appellate Division affirmed and we granted Travelers leave to appeal.

New York's no-fault automobile insurance system is designed "to ensure prompt compensation for losses incurred by accident victims without regard to fault or negligence, to reduce the burden on the courts and to provide substantial premium savings to New York motorists" (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 860 [2003]). In furtherance of these goals, the Superintendent of Insurance has adopted regulations implementing the No-Fault Law (Insurance Law art 51), including circumscribed time frames for claim procedures.

These regulations require an accident victim to submit a notice of claim to the insurer as soon as practicable and no later than 30 days after an accident (*see* 11 NYCRR 65-1.1, 65-2.4 [b]). Next, the injured party or the assignee (typically a hospital, as in the case here) must submit proof of claim for medical treatment no later than 45 days after services are rendered (*see* 11 NYCRR 65-1.1, 65-2.4 [c]).[2] Upon receipt of one or more of the prescribed verification forms used to establish proof of claim, such as the NYS Form NF-5, an insurer has 15 business days within which to request "any additional verification required by the insurer to establish proof of claim" (11 NYCRR 65-3.5 [b]).[3] An insurer may also request "the original assignment or authorization to pay benefits form to establish proof of claim" within this time frame (11 NYCRR 65-3.11 [c]). Significantly, an insurance company must pay or deny the claim within 30 calendar days after receipt of the proof of claim (*see* Insurance Law § 5106 [a]; 11 NYCRR 65-3.8 [c]). If an insurer seeks additional verification, however, the 30-day window is tolled until it receives the relevant information requested (*see* 11 NYCRR 65-3.8 [a] [1]).

An insurer's failure to pay or deny a claim within 30 days carries substantial consequences. By statute, overdue payments

2. A hospital may request payment from the insurer by submitting a properly executed authorization to pay benefits or properly executed assignment on one of the prescribed verification forms or an assignment of benefits form (*see* 11 NYCRR 65-3.11 [b]).

3. Where a claimant submits an application for no-fault benefits (NYS Form NF-2) without verification forms, the insurer has 10 business days to forward the "prescribed verification forms it will require prior to payment of the initial claim" (11 NYCRR 65-3.5 [a]).

earn monthly interest at a rate of two percent and entitle a claimant to reasonable attorneys' fees incurred in securing payment of a valid claim (*see* Insurance Law § 5106 [a]). More importantly, a carrier that fails to deny a claim within the 30-day period is generally precluded from asserting a defense against payment of the claim (*see Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274, 282 [1997], *rearg denied* 90 NY2d 937 [1997]). This Court has recognized a narrow exception to this preclusion remedy for situations where an insurance company raises a defense of lack of coverage (*see Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195, 199 [1997]). In such cases, an insurer who fails to issue a timely disclaimer is not prohibited from later raising the defense because "the insurance policy does not contemplate coverage in the first instance, and requiring payment of a claim upon failure to timely disclaim would create coverage where it never existed" (*Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185, 188 [2000]).

As a corollary to the *Presbyterian* preclusion rule, Appellate Division case law consistently holds that a carrier's failure to seek verification or object to the adequacy of claim forms pursuant to 11 NYCRR 65-3.5 precludes it from interposing any defenses based on such deficiencies (*see e.g. Westchester Med. Ctr. v Safeco Ins. Co. of Am.*, 40 AD3d 984 [2d Dept 2007]; *LMK Psychological Servs., P.C. v Liberty Mut. Ins. Co.*, 30 AD3d 727, 728-729 [3d Dept 2006]). We concur and note that an insurer that requests additional verification after the 10- or 15-business-day periods but before the 30-day claim denial window has expired is entitled to verification. In these instances, the 30-day time frame to pay or deny the claim is correspondingly reduced (*see* 11 NYCRR 65-3.8 [j]; *Nyack Hosp. v General Motors Acceptance Corp.*, 8 NY3d 294, 300 [2007]).

Here, after Travelers obtained the NYS Form NF-5 and the assignment of benefits form—both of which plainly stated that the patient's signature was "on file"—it did not ask for further verification or request the original assignment, as permitted by the regulations. Travelers also failed to pay or deny the claim within 30 calendar days of receipt of the hospital's proof of claim. Nevertheless, Travelers argues that its neglect in demanding verification or timely denying coverage is irrelevant because the hospital's failure to proffer a validly executed assignment equates to a lack of coverage, a defense that is not subject to preclusion under *Chubb*. We disagree.

In *Chubb*, the insurer asserted as a defense that the claimant's injuries arose out of a prior work-related accident rather than a car accident. Alternatively, the carrier refused payment on the ground that the patient's treatment was excessive. We held that the insurer was not barred from arguing that the injuries were unrelated to the accident because, if true, the treatment would not have been covered by the automobile liability policy in the first instance. On the other hand, we indicated that an excessive treatment defense ordinarily does not implicate a coverage issue, in which situation the preclusion rule applies (90 NY2d at 199).[4]

Here, there is no dispute that the hospital rendered medical services to Browne in the amount of $24,344.96 for injuries arising out of a motor vehicle accident, that Browne's policy with Travelers was in effect at the time of the accident and that the policy covered the accident. In our view, any defect or deficiency in the assignment between Browne and the hospital simply does not implicate a lack of coverage warranting exemption from the preclusion rule. We therefore determine that the failure by Travelers to seek verification of the assignment in a timely manner prevents the carrier from litigating the issue now.[5]

To conclude otherwise, as proposed by the dissent, frustrates a core objective of the no-fault regime—"to provide a tightly timed process of claim, disputation and payment" (*Presbyterian*, 90 NY2d at 281). Upon receipt of a no-fault claim, the regulations shift the burden to the carrier to obtain further verification or deny or pay the claim. When, as here, an insurer does

4. As another example, courts have held that an insurance company is not prevented from later denying a claim where the injured party deliberately caused the collision as part of a fraudulent scheme, holding that an intentional crash is not an "accident" covered by the policy (*see Matter of Allstate Ins. Co. v Massre*, 14 AD3d 610 [2d Dept 2005]; *State Farm Mut. Auto. Ins. Co. v Laguerre*, 305 AD2d 490 [2d Dept 2003]).

5. We note that this conclusion is consistent with Appellate Division precedents that have considered similar circumstances (*see Westchester Med. Ctr. v Safeco Ins. Co. of Am.*, 40 AD3d 984 [2d Dept 2007]; *LMK Psychological Servs., P.C. v Liberty Mut. Ins. Co.*, 30 AD3d 727 [3d Dept 2006]; *Nyack Hosp. v Encompass Ins. Co.*, 23 AD3d 535 [2d Dept 2005], *appeal dismissed* 8 NY3d 895 [2007]; *Hospital for Joint Diseases v Allstate Ins. Co.*, 21 AD3d 348 [2d Dept 2005]; *Nyack Hosp. v Metropolitan Prop. & Cas. Ins. Co.*, 16 AD3d 564 [2d Dept 2005], *lv denied* 5 NY3d 713 [2005]; *New York Hosp. Med. Ctr. of Queens v New York Cent. Mut. Fire Ins. Co.*, 8 AD3d 640 [2d Dept 2004], *lv denied* 3 NY3d 609 [2004]; *Presbyterian Hosp. in City of N.Y. v Aetna Cas. & Sur. Co.*, 233 AD2d 433 [2d Dept 1996], *lv dismissed* 89 NY2d 1030 [1997]).

neither, but instead waits to be sued for nonpayment, the carrier should bear the consequences of its nonaction. To allow an insurance company to later challenge a hospital's standing as an assignee merely encourages the carrier to ignore the prescribed statutory scheme. As we observed in *Presbyterian*:

> "No-fault reform was enacted to provide prompt uncontested, first-party insurance benefits. That is part of the price paid to eliminate the common-law contested lawsuits . . . The tradeoff of the no-fault reform still allows carriers to contest ill-founded, illegitimate and fraudulent claims, but within a strict, short-leashed contestable period and process designed to avoid prejudice and red-tape dilatory practices" (*id.* at 285 [citation omitted]).

Finally, Travelers contends that an assignment of benefits is a necessary component of the hospital's prima facie case for recovery of no-fault benefits. Even assuming that this is true, we conclude that an assignment form stating that the patient's signature is "on file" satisfies that burden where the carrier does not timely take action to verify the existence of a valid assignment (*see Hospital for Joint Diseases v Allstate Ins. Co.*, 21 AD3d 348 [2d Dept 2005]). Since Travelers does not otherwise contest the hospital's entitlement to no-fault payments, the courts below appropriately awarded summary judgment to the hospital. We have considered Travelers' remaining contentions and find them without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I respectfully dissent. In my view, Travelers should not be precluded from asserting the affirmative defense that plaintiff Hospital lacked standing to sue—i.e., that it did not obtain a valid assignment from the recipient of medical services—even though Travelers did not obtain additional verification or deny the claim within the prescribed time periods set forth in the no-fault insurance regulations.*

As explained by the majority, Travelers failed to request ad-

* As a side note, at least one commentary has noted that the Civil Court of the City of New York and District Courts in Nassau and Suffolk Counties have been inundated with lawsuits filed by medical providers seeking reimbursement of first-party benefits for services rendered to injured claimants. It attributes this "litigation explosion" to two factors: (1) the perception of the medical providers that the American Arbitration Association forum, where medical providers have traditionally filed claims, is biased in favor of the insurer; and

(n. cont'd)

ditional verification after receiving the Hospital's claim and assignment of benefits forms, nor did it deny or pay the claim within the required 30-day time period. Nevertheless, after the Hospital commenced this action against Travelers for payment, Travelers asserted an affirmative defense that the Hospital lacked standing to bring the suit on the grounds that it did not obtain a valid assignment of benefits from the patient.

Of course, a plaintiff must have standing in order to bring an action in the courts of this State. ''Whether a person seeking relief is a proper party to request an adjudication is an aspect of justiciability which, when challenged, must be considered at the outset of any litigation'' (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 769 [1991], citing *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6, 9 [1975]). ''Standing is a threshold determination, resting in part on policy considerations, that a person should be allowed access to the courts to adjudicate the merits of a particular dispute that satisfies the other justiciability criteria'' (*Society of Plastics Indus.*, 77 NY2d at 769). This Court has also recognized that ''questions of . . . standing of parties may be characterized as raising questions of subject matter jurisdiction'' (*Lacks v Lacks*, 41 NY2d 71, 74 [1976]; *see also City of New York v State of New York*, 86 NY2d 286, 292 [1995] [''The issue of lack of capacity to sue does not go to the jurisdiction of the court, as is the case when the plaintiffs lack standing'']).

Only where there is a properly executed assignment does an assignee become the ''real party in interest'' and acquire standing to enforce the rights of an assignor (*James McKinney & Son v Lake Placid 1980 Olympic Games*, 61 NY2d 836, 838 [1984]). ''[T]o effect an assignment . . . there [must] be a perfected transaction between the assignor and assignee, intended by those parties to vest in the assignee a present right in the things [or rights] assigned'' (*Leon v Martinez*, 84 NY2d 83, 88 [1994], citing 4 Corbin, Contracts § 879, at 528 [1951]). Without an assignment from the patient, a medical services provider clearly lacks standing to sue a no-fault insurance carrier to directly collect payment for services it rendered to the patient (*see* 11 NYCRR 65-3.11 [b] [1], [2] [''(i)n order for a health care provider (or) hospital to receive direct payment from the insurer, the

(2) decisions of the courts over the past six or seven years which have been favorable to the medical providers (*see* Lustig and Schatz, Outside Counsel, *The End of Litigation Explosion in New York No-Fault*, NYLJ, June 21, 2007, at 4, col 4).

health care provider or hospital must submit to the insurer . . . a properly executed Authorization to Pay Benefits'' or ''a properly executed assignment'' from the injured party]).

As discussed by the majority, in *Central Gen. Hosp. v Chubb Group of Ins. Cos.* (90 NY2d 195 [1997]), we held that a no-fault insurer was not precluded from raising a defense of lack of coverage despite an untimely disclaimer. In so holding, the Court stated that ''[t]he denial of liability based upon lack of coverage within the insurance agreement . . . is distinguishable from disclaimer attempts based on a breach of a policy condition'' (*id.* at 199). The majority here further explains that a carrier is not precluded from asserting a noncoverage defense because ''the insurance policy does not contemplate coverage in the first instance, and requiring payment of a claim upon failure to timely disclaim would create coverage where it never existed'' (majority op at 318, quoting *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185, 188 [2000]). In my view, a carrier's defense based on the lack of a valid assignment equates to a defense implicating ''lack of coverage within the insurance agreement'' (*Chubb*, 90 NY2d at 199), and thus, should similarly not be precluded. Although there is no dispute that the assignor-patient was covered by the insurance policy with Travelers and received medical treatment at the Hospital, similar to our concerns in *Chubb*, the policy here does not contemplate payment to the Hospital in the first instance. Indeed, the Hospital has no legal right to collect payment if and until a valid assignment is obtained from the patient. Thus, in my view, Travelers' defense challenging the validity of the assignment is akin to a defense premised upon lack of coverage.

Further, contrary to the majority's position, in my view, standing cannot be artificially created by a carrier's failure to object within the time periods set forth in the no-fault insurance regulations. Put another way, a medical services provider cannot establish standing by merely relying upon a carrier's prelitigation inaction. By allowing a plaintiff to do so, the majority, in essence, creates a rule whereby a plaintiff can establish its standing by estoppel, as a result not only of a defendant's inaction, but by its simple neglect, oversight or clerical error.

I must take issue with the majority's view that this position would encourage noncompliance with the no-fault statutory and regulatory scheme. If an insurer fails to timely pay a valid claim, it is subject to the payment of interest at 2% per month plus attorneys' fees (*see* Insurance Law § 5106 [a]; 11 NYCRR 65-3.9, 65-3.10), which is why these matters are better resolved in an arbitration setting rather than through the courts as has occurred here. Our decision today, in my view, encourages the use of the courts by eliminating an essential element of most lawsuits—standing—and runs the risk of encouraging this type of litigation at the carrier's peril.

Thus, here, the Hospital should be required to affirmatively prove standing, upon Travelers' objection, as part of its prima facie case (*see TPZ Corp. v Dabbs*, 25 AD3d 787, 789 [2d Dept 2006] [holding that the plaintiff was not entitled to summary judgment in an action to collect on a promissory note because "it failed to present competent proof of its standing as an assignee of the note" and defendant challenged "(t)he validity of the assignment of the note to the plaintiff, and the plaintiff's standing to prosecute (the) action" in its answer]; *Rockland Lease Funding Corp. v Waste Mgt. of N.Y.*, 245 AD2d 779 [3d Dept 1997] [holding that the plaintiff lacked standing to bring the action where there was no record evidence supporting its contention that it obtained an assignment]). The Hospital could have done so simply by producing proper documentary evidence of the assignment vesting it with the right to collect payment. Because the Hospital failed to do so, it did not establish its entitlement to judgment as a matter of law.

Accordingly, I would reverse the Appellate Division order and deny plaintiff's motion for summary judgment.

Chief Judge Kaye and Judges Ciparick, Read, Smith and Jones concur with Judge Graffeo; Judge Pigott dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[880 NE2d 416, 849 NYS2d 872]

JOAN HAYMON, Individually and as Mother and Natural Guardian of L.H., an Infant, Appellant, v DONALD J. PETTIT et al., Defendants, and AUBURN COMMUNITY NON-PROFIT BASEBALL ASSOCIATION, INC., Respondent.

Argued October 18, 2007; decided November 20, 2007

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 2, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, so much of an order of the Supreme Court, Cayuga County (Mark H. Fandrich, J.), as had denied a motion by defendant Auburn Community Non-Profit Baseball Association, Inc. for summary judgment dismissing the complaint and all cross claims against it; (2) granted the motion; and (3) dismissed the complaint and all cross claims against that defendant.

Haymon v Pettit, 37 AD3d 1194, affirmed.

HEADNOTE

Sporting Events — Injuries to Spectators — No Duty to Warn or Protect Nonpatron Spectators Injured Chasing Foul Balls Outside Stadium

Defendant baseball park operator did not owe a duty to warn or protect plaintiff, a nonpatron spectator outside the stadium who was injured when he was struck by a car as he chased a foul ball into traffic. Plaintiff, who was 14 years old at the time of his accident, had been wearing headphones and failed to look both ways before crossing the street. A baseball field owner/operator's duty is limited to providing screening for errant baseballs around the area behind home plate, as absolute protection around the entire stadium would be impractical. Although here defendant ran a ''foul ball return for tickets'' promotion, the dangers of crossing the street in pursuit of a foul ball, which are multiplied when doing so indiscriminately, existed independent of defendant's promotion. The promotion did not contribute to a dangerous condition, as it only rewarded the retrieval of foul balls, and it can be assumed that adults, and children of plaintiff's age, would act prudently in doing so. Moreover, even if mere encouragement of retrieving foul balls sufficed to create or contribute to a dangerous condition, a finding of duty would still be inappropriate, as foul balls can land on virtually any square foot of property surrounding a stadium, and imposition of a duty to warn or protect under such circumstances would be neither fair nor practical.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Entertainment and Sports Law §§ 54–56, 60, 80, 96, 100.

NY JUR 2d, Negligence §§ 16–18, 133; NY JUR 2d, Premises Liability §§ 106, 107, 221, 222, 229.

PROSSER AND KEETON, TORTS (5th ed) §§ 57, 61.

ANNOTATION REFERENCE

See ALR Index under Auditoriums and Stadiums; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: ball-park stadium /s duty /s spectator & foul /2 ball

POINTS OF COUNSEL

Damon & Morey LLP, Buffalo (*Michael J. Willett* and *Steven M. Zweig* of counsel), for appellant. I. Auburn Community Non-Profit Baseball Association, Inc. owed a duty to the infant plaintiff to protect him from the dangerous condition it created by the manner in which it operated the stadium. (*Weitzmann v Barber Asphalt Co.,* 190 NY 452; *Gayden v City of Rochester,* 148 AD2d 975; *Dunbar v NMM Glens Falls Assoc.,* 263 AD2d 865; *Leone v City of Utica,* 66 AD2d 463, 49 NY2d 811; *Vestal v County of Suffolk,* 7 AD3d 613; *Jones v Kane & Roach, Inc.,* 182 Misc 37; *Gellman v Seawane Golf & Country Club, Inc.,* 24 AD3d 415; *Varga v Parker,* 136 AD2d 932; *Boehm v Barnaba,* 7 AD3d 911; *Clifford v Woodlawn Volunteer Fire Co., Inc.,* 31 AD3d 1102.) II. Auburn Community Non-Profit Baseball Association, Inc. had a duty to provide an adequate degree of supervision over its promotion. (*Caldwell v Village of Is. Park,* 304 NY 268; *Noeller v County of Erie,* 145 AD2d 919; *Curcio v City of New York,* 275 NY 20; *Genrich v Guary,* 298 AD2d 919; *Morbillo v Board of Educ. of Mt. Sinai School Dist.,* 269 AD2d 506; *Joslyn v Village of Sylvan Beach,* 256 AD2d 1166; *Collentine v City of New York,* 279 NY 119; *Fritz v City of Buffalo,* 277 NY 710; *Nunez v Recreation Rooms & Settlement,* 229 AD2d 359; *Bongiorno v Wechter Fuel Oil Co.,* 30 AD2d 858, 26 NY2d 950.) III. Auburn Community Non-Profit Baseball Association, Inc. failed to meet its burden of establishing that its conduct was not a proximate cause of the accident. (*Mason v U.E.S.S. Leasing Corp.,* 96 NY2d 875; *Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Rotz v City of New York,* 143 AD2d 301; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308; *Fuller v Marcello,* 17 AD3d 1017; *Townsley v State of New York,* 6 Misc 2d 557; *Cruz v City of New York,* 218 AD2d 546; *Williams v Tennien,* 294 AD2d 841;

McMorrow v Trimper, 149 AD2d 971, 74 NY2d 830; *Alami v Volkswagen of Am.,* 97 NY2d 281.)

Roemer Wallens & Mineaux, LLP, Albany (*Matthew J. Kelly* and *Amanda Davis Twinam* of counsel), for respondent. I. Auburn Community Non-Profit Baseball Association, Inc. did not owe plaintiff infant a duty of care. (*Hamilton v Beretta U.S.A. Corp.,* 96 NY2d 222; *Lauer v City of New York,* 95 NY2d 95; *Pulka v Edelman,* 40 NY2d 781; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Tobin v Grossman,* 24 NY2d 609; *Johnson v Jamaica Hosp.,* 62 NY2d 523; *Maheshwari v City of New York,* 2 NY3d 288; *Akins v Glens Falls City School Dist.,* 53 NY2d 325; *D'Amico v Christie,* 71 NY2d 76; *Purdy v Public Adm'r of County of Westchester,* 72 NY2d 1.) II. Auburn Community Non-Profit Baseball Association, Inc.'s alleged negligence was not a proximate cause of plaintiff infant's injuries. (*Maheshwari v City of New York,* 2 NY3d 288; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308; *Katz v Klagsbrun,* 299 AD2d 317; *Santodonato v Clear Channel Broadcasting, Inc.,* 26 AD3d 543; *Di Ponzio v Riordan,* 89 NY2d 578; *Campbell v Central N.Y. Regional Transp. Auth.,* 7 NY3d 819; *Boltax v Joy Day Camp,* 67 NY2d 617; *Creamer v Snediker,* 274 AD2d 492; *Miecznikowski v Robida,* 278 AD2d 793; *Alami v Volkswagen of Am.,* 97 NY2d 281.)

OPINION OF THE COURT

JONES, J.

In this appeal we are asked to decide whether a baseball park operator owes a duty to warn or protect nonpatron spectators who are injured while chasing foul balls that are hit out of the stadium. Under the circumstances presented, we conclude that no duty exists.

Plaintiff's then 14-year-old son, L.H., was injured when he was struck by an automobile driven by defendant, Donald Pettit. Specifically, L.H. chased a foul ball into traffic. The record indicates that he was wearing headphones while chasing the ball and failed to look both ways before crossing the street. L.H. apparently neither saw nor heard the oncoming vehicle. Pettit was operating his vehicle with a blood alcohol level of .11%. At the time, L.H. had congregated with friends outside of Falcon Park, a baseball stadium owned by the City of Auburn and operated by defendant Auburn Community Non-Profit Baseball Association, Inc. (Ball Club). Adjoining the stadium on the third base side is a two-way public street across from which is a parking lot owned by the City of Auburn and utilized by fans during games. At the time of the incident, the Ball Club offered free baseball tickets to nonpatrons outside of the park who retrieved foul balls and returned them to the ticket window. Further, the record indicates that L.H. visited the stadium regularly to retrieve and collect foul balls hit out of the stadium.*

L.H.'s mother commenced this negligence action individually and on L.H.'s behalf against defendants Ball Club, Donald Pettit and the City of Auburn, among others. The Ball Club moved for summary judgment dismissing the complaint on the ground that it owed no duty to plaintiff's son. Supreme Court denied the motion, finding that the Ball Club owed a duty to its fans outside the stadium "to prevent them from chasing foul balls into the nearby public street, a foreseeably dangerous condition it took part in creating." The Appellate Division reversed and dismissed the complaint as to the Ball Club. The court determined that the Ball Club, "as an adjoining landowner [of a public street], owed no legal duty to plaintiff's son under the circumstances" despite the foreseeability that someone might run into the street to chase a foul ball (*Haymon v Pettit*, 37 AD3d 1194, 1195 [4th Dept 2007]). Two Justices dissented and voted to affirm on the ground that a duty existed due to the Ball Club's foul ball promotion, which "played a significant role in creating the danger" (*id.*).

Plaintiff argues that the Ball Club's foul ball promotion gave rise to a duty to warn or protect its participants. Specifically, plaintiff posits that a duty arose under these circumstances because the Ball Club provided an incentive to fans outside of the stadium to retrieve errant foul balls—namely, the prospect of free tickets. In short, plaintiff argues that the foreseeability of children chasing balls into the street, coupled with defendant's incentive for them to do so, required the Ball Club to provide some measure of protection or warning. We disagree.

---

* There is scant evidence in the record on this motion for summary judgment indicating whether or not L.H. even engaged in this activity for the purpose of receiving free tickets pursuant to the Ball Club's promotion. L.H.'s sister testified that he left the house to go to the stadium, that he had money but "didn't want to spend it," and that he did not have a ticket but that "he had his glove with him" to try "to catch [a foul] ball." The sister added that L.H. "saved baseballs." Even viewing the evidence in a light most favorable to the nonmoving party and giving the nonmoving party the benefit of all reasonable inferences which can be drawn from the evidence (*see Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96 [2006]), it is unclear whether plaintiff has succeeded in raising an issue of fact. Nevertheless, this becomes academic in light of our holding.

An owner or occupier of land generally owes no duty to warn or protect others from a dangerous condition on adjacent property unless the owner created or contributed to such a condition (*see Galindo v Town of Clarkstown*, 2 NY3d 633, 636 [2004]). ''The reason for such a rule is obvious—a person who lacks ownership or control of property cannot fairly be held accountable for injuries resulting from a hazard'' on neighboring property (*id.*). Thus, in fixing the duty point, our analysis is tempered by considerations such as ''the reasonable expectations of parties and society generally, the proliferation of claims, the likelihood of unlimited or insurer-like liability, disproportionate risk and reparation allocation'' (*Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222, 232 [2001]; *see also Darby v Compagnie Natl. Air France*, 96 NY2d 343, 347 [2001] [duty must ''comport with what is socially, culturally and economically acceptable'']).

In *Akins v Glens Falls City School Dist.* (53 NY2d 325 [1981]) we limited the duty of a baseball field owner/operator to provide screening for errant baseballs around ''the most dangerous section of the field—the area behind home plate—and the screening that is provided must be sufficient for those spectators who may be reasonably anticipated to desire protected seats on an ordinary occasion'' (*id.* at 330; *see also Davidoff v Metropolitan Baseball Club*, 61 NY2d 996, 997-998 [1984]). Although in *Akins* the injury occurred inside the baseball park, it is instructive nonetheless. *Akins* is premised on ''the practical realities'' (*id.* at 331) of the game—namely, that errant balls of any sort are an inherent part of the sport and that a baseball stadium owner/operator ''is not an insurer of the safety of its spectators'' and can only be held to exercise reasonable care under the circumstances (*id.* at 329). Even inside the park, screening of the area behind home plate offers the most protection spectators could reasonably expect. The nature of the game—and the spectators' involvement in it—is such that absolute protection around the entire stadium would be impractical. Any other formulation would defy a reasonable point at which duty can be fixed (*see Darby*, 96 NY2d at 349-350; *Pulka v Edelman*, 40 NY2d 781, 786 [1976]).

The same considerations govern this case. Here, plaintiff's theory rests upon defendant's ''foul ball return for tickets'' promotion. Plaintiff insists that this incentive foreseeably exposed fans—mostly children—to the hazard of chasing foul balls into the street. This argument, however, is one of foreseeability presupposing that a duty exists (*see Hamilton*, 96 NY2d at 232).

The dangers of crossing the street—and individuals electing to cross it in pursuit of foul balls—exist independent of the Ball Club's promotion. This, coupled with the fact that the Ball Club could control neither the public street nor third persons who use it, strongly militates against a finding of duty.

Darby is also instructive. In that case, an individual drowned while swimming on a public beach in Brazil. He was a guest at a hotel which was separated from the beach by a four-lane public highway. The hotel actively encouraged guests to use the beach, and even provided them with umbrellas, towels and a security escort service. The hotel did not, however, warn beachgoers about dangerous surf conditions. Plaintiff sued the hotel on behalf of decedent alleging that it was negligent in failing to warn beachgoers of dangerous surf conditions. Concluding that no duty existed, we were unpersuaded by the fact that the hotel *encouraged and facilitated* use of the beach by providing certain related services, and we held that merely ''[p]roviding these services . . . does not make the hotel the insurer of its guests' safety at a locale over which it ha[d] no control'' (*Darby*, 96 NY2d at 349). Here, the Ball Club's promotion did no more to contribute to an inherent risk than did the Meridien Copacabana Hotel in *Darby*.

The Court is mindful that, in this case—unlike *Darby*—the Ball Club rewarded participants of its promotion with tickets. Important to our resolution, however, is that under the circumstances of this case, like *Darby*, there are inherent risks associated with crossing the street. Those risks are multiplied when doing so indiscriminately. Moreover, we do not view the Ball Club's promotion as contributing to a dangerous condition, for it only rewarded the *retrieval* of foul balls. We must assume that adults, and children of L.H.'s age, will act prudently in doing so.

Even assuming that mere encouragement of retrieving foul balls suffices, under the circumstances, to create—or contribute to—a dangerous condition (*cf. Griffin v 19-20 Indus. City Assoc., LLC*, 37 AD3d 412 [2d Dept 2007]), a finding of duty would still be inappropriate. As in *Akins*, ''the practical realities'' of the game are not lost on the fact that players hit balls outside of the park. Foul balls can land on virtually any square foot of property surrounding a stadium, and imposition of a duty to warn or protect under such circumstances is neither fair nor practical (*see Akins*, 53 NY2d at 330; *see also Starke v Town of Smithtown*, 155 AD2d 526, 527 [2d Dept 1989]; *Clark v Goshen Sunday Morning Softball League*, 122 AD2d 769, 770 [2d Dept

1986]). Injury may befall someone—as in this case—as a result of conduct of a third person on a public road, or a group of fans in a struggle for the ball. The possibilities for injury—and consequently, for liability—are limitless, and the expectation that the stadium control the conduct of third persons is unrealistic (*see Pulka*, 40 NY2d at 785 [unreasonable to impose duty to protect from the negligent conduct of another "where the realities of every day experience show us that, regardless of the measures taken, there is little expectation that the one made responsible could prevent the negligent conduct"]).

Under these circumstances, it is difficult to imagine what steps the stadium operator could have taken that would have sufficed to meet a duty. Thus, we are constrained from imposing a requirement that the stadium exercise control over nonpatron, third persons outside its premises over whom it has no actual authority to do so.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, with costs.

[879 NE2d 733, 849 NYS2d 194]

In the Matter of NICHOLAS SCHREIBER, Respondent-Appellant, v K-SEA TRANSPORTATION CORP. et al., Appellants-Respondents.

Argued October 10, 2007; decided November 27, 2007

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 25, 2006. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Jane S. Solomon, J.; op 2004 NY Slip Op 30151[U]), which had granted the petition, permanently stayed arbitration, and denied respondents' cross motion to compel arbitration, to the extent of vacating the permanent stay and preliminarily enjoining arbitration, and (2) remanded the matter to Supreme Court for a hearing as to whether the arbitration agreement was enforceable. The following question was certified by the Appellate Division: ''Was the order of this Court, which reversed the order of Supreme Court, properly made?''

Matter of Schreiber v K-Sea Transp. Corp., 30 AD3d 101, affirmed.

HEADNOTES

Seamen — Recovery for Injury to or Death of Seamen — Enforcement of Post-Injury Arbitration Agreement Waiving Right to Jury Trial under Jones Act — Agreement Not Prohibited by Federal Arbitration Act

1. Petitioner seaman's agreement to arbitrate his Jones Act (46 USC § 30104) claim against respondent employer, made after petitioner was injured, was not prohibited by the Federal Arbitration Act (FAA), but a hearing was required in order to determine whether the arbitration agreement was enforceable. Section 2 of the FAA (9 USC § 2) reflects a federal policy favoring the arbitration of disputes, and the policy is applicable even to claims arising under protective statutes like the Jones Act. Although section 1 of the FAA (9 USC § 1) excludes from the scope of the FAA ''contracts of employment of seamen,'' the agreement here was not excluded. It was not a contract of employment, but rather a separate agreement, made after respondent had employed petitioner, at a time when the occasion for arbitration already existed.

Seamen — Recovery for Injury to or Death of Seamen — Enforcement of Post-Injury Arbitration Agreement Waiving Right to Jury Trial under Jones Act — Agreement Not Prohibited by Federal Employers' Liability Act

2. Petitioner seaman's agreement to arbitrate his Jones Act (46 USC § 30104) claim against respondent employer, made after petitioner was injured,

was not prohibited by the Federal Employers' Liability Act (FELA), but a hearing was required in order to determine whether the arbitration agreement was enforceable. The FELA is applicable to a Jones Act claim (*see* 46 USC § 30104 [a]), and section 5 of the FELA provides that if the purpose of a contract is to enable a ''common carrier to exempt itself from any liability'' created by the FELA, it ''shall to that extent be void'' (45 USC § 55). The agreement here did not purport to exempt respondent from liability, but only to require that petitioner's claim be arbitrated. Although the agreement did limit litigation to a particular forum, it was consistent with the federal policy favoring arbitration.

Seamen — Recovery for Injury to or Death of Seamen — Enforcement of Post-Injury Arbitration Agreement Waiving Right to Jury Trial under Jones Act — Agreement Not Prohibited by ''Ward of the Admiralty'' Doctrine

3. Petitioner seaman's agreement to arbitrate his Jones Act (46 USC § 30104) claim against respondent employer, made after petitioner was injured, was not prohibited by the ''ward of the admiralty'' doctrine, but a hearing was required in order to determine whether the arbitration agreement was enforceable. Pursuant to the ward of the admiralty doctrine, a contract between a seaman and his or her employer is to be treated in the same way as a contract between a fiduciary and a beneficiary, with the burden of proving its validity on the fiduciary. That doctrine, however, does not outweigh the policy favoring arbitration. The party challenging the enforceability of an arbitration agreement has the burden of showing ''grounds'' for its ''revocation'' (9 USC § 2), and that burden is not shifted simply because the objecting party is a seaman.

Seamen — Recovery for Injury to or Death of Seamen — Enforcement of Post-Injury Arbitration Agreement Waiving Right to Jury Trial under Jones Act — Burden of Proof

4. Petitioner seaman was entitled to a hearing, at which he bore the burden of proof, to determine whether the agreement to arbitrate his Jones Act (46 USC § 30104) claim against respondent employer, made after petitioner was injured, was enforceable. The agreement provided that respondent would advance any filing fee ''up to $750.00,'' but the fee actually demanded by the arbitrator was $10,000. A hearing was necessary to determine whether respondent acted in good faith, or intentionally misled petitioner to believe that the fee would be around $750 or less.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Admiralty §§ 108, 111–113; Am Jur 2d, Alternative Dispute Resolution §§ 29, 46–50, 91; Am Jur 2d, Federal Employers' Liability and Compensation Acts §§ 5, 8, 9, 14, 20, 29–33, 35–37, 39, 48.

Carmody-Wait 2d, Arbitration §§ 141:9–141:11, 141:47, 141:69, 141:74.

NY Jur 2d, Arbitration and Award §§ 52, 63; NY Jur 2d, Boats, Ships, and Shipping §§ 16, 204, 213.

Siegel, NY Prac §§ 588, 607.

9 USCA §§ 1, 2; 45 USCA § 55; 46 USCA § 30104.

ANNOTATION REFERENCE

See ALR Index under Admiralty; Arbitration and Award; Federal Employers' Liability Act; Jones Act.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: jones /2 act /s arbitrat! /p agreement

POINTS OF COUNSEL

Freehill, Hogan & Mahar, New York City (*Thomas M. Canevari* and *Michael C. Elliott* of counsel), for appellants-respondents. The arbitration agreement between Nicholas Schreiber and K-Sea Transportation Corp. was valid under the Federal Arbitration Act, thus the burden to avoid arbitration rests with the party challenging arbitration. (*State of New York v Oneida Indian Nation of N.Y.,* 90 F3d 58; *Joseph Muller Corp. Zurich v Commonwealth Petrochemicals, Inc.,* 334 F Supp 1013; *Shearson/American Express Inc. v McMahon,* 482 US 220; *Terrebonne v K-Sea Transp. Corp.,* 477 F3d 271; *Green Tree Financial Corp.-Ala. v Randolph,* 531 US 79; *National Iranian Oil Co. v Ashland Oil, Inc.,* 817 F2d 326; *DeGraziano v Verizon Communications, Inc.,* 325 F Supp 2d 238; *Genesco, Inc. v T. Kakiuchi & Co., Ltd.,* 815 F2d 840; *Gilmer v Interstate/Johnson Lane Corp.,* 500 US 20.)

Law Offices of Sanford F. Young, P.C., New York City (*Sanford F. Young* of counsel), and *Law Office of Steven Thaler, P.C.* (*Steven Thaler* of counsel) for respondent-appellant. I. The claims arbitration agreement is unenforceable as a matter of law. (*Chandris, Inc. v Latsis,* 515 US 347; *American Dredging Co. v Miller,* 510 US 443; *O'Hara v Weeks Mar., Inc.,* 294 F3d 55; *Fitzgerald v United States Lines Co.,* 374 US 16; *Circuit City Stores, Inc. v Adams,* 532 US 105; *Jacob v City of New York,* 315 US 752; *Fisher v Nichols,* 81 F3d 319; *Aguilar v Standard Oil Co. of N. J.,* 318 US 724; *Nasser v CSX Lines, LLC,* 191 F Supp 2d 307; *Brinson v Linda Rose Joint Venture,* 53 F3d 1044.) II. The Supreme Court correctly found that Nicholas Schreiber unknowingly assumed ''a financial burden disproportionate to his ability to pay.'' (*Ball v SFX Broadcasting, Inc.,* 165 F Supp 2d 230; *Res v Masterworks Dev. Corp.,* 5 Misc 3d 1003[A], 2004 NY Slip Op 51169[U]; *Parilla v IAP Worldwide Servs., VI, Inc.,* 368 F3d 269; *Shankle v B-G Maintenance Mgt. of Colo., Inc.,* 163 F3d 1230; *Phillips v Associates Home Equity Servs., Inc.,* 179 F Supp 2d 840; *Perez v Hospitality Ventures-Denver LLC,* 245 F

Supp 2d 1172; *Torrance v Aames Funding Corp.,* 242 F Supp 2d 862; *Cooper v MRM Inv. Co.,* 199 F Supp 2d 771; *Green Tree Financial Corp.-Ala. v Randolph,* 531 US 79; *Garrett v Moore-McCormack Co.,* 317 US 239.) III. The Supreme Court's decision should be reinstated or, alternatively, the matter remanded per the Appellate Division's decision.

Friedman & James LLP, New York City (*John P. James* of counsel), *James P. Jacobsen,* Seattle, Washington, *Kathleen Flynn Peterson,* Minneapolis, Minnesota, and *Ross Diamond,* Mobile, Alabama, for American Association for Justice, amicus curiae. I. The Federal Employers' Liability Act applies to this case. (*American Dredging Co. v Miller,* 510 US 443; *Cox v Roth,* 348 US 207; *Kernan v American Dredging Co.,* 355 US 426; *Garrett v Moore-McCormack Co.,* 317 US 239.) II. The arbitration agreement is a ''devise'' intended to eliminate the seaman's statutory rights to file his case in state or federal court and is therefore void. (*Engel v Davenport,* 271 US 33; *Second Employers' Liability Cases,* 223 US 1; *Burnett v New York Central R. Co.,* 380 US 424; *Philadelphia, B. & W. R. Co. v Schubert,* 224 US 603; *Duncan v Thompson*, 315 US 1; *Boyd v Grand Trunk Western R. Co.,* 338 US 263.) III. The Alaska Supreme Court has recently correctly applied *Boyd v Grand Trunk Western R. Co.* (338 US 263 [1949]). (*Brooks v Maersk Line, Ltd.,* 396 F Supp 2d 711.) IV. The United States Court of Appeals case relied upon by the employer was wrongly decided and is not binding upon this Court. (*Terrebonne v K-Sea Transp. Corp.,* 477 F3d 271; *Boyd v Grand Trunk Western R. Co.,* 338 US 263; *Miles v Illinois Cent. R. Co.,* 315 US 698; *Bainbridge v Merchants & Miners Transp. Co.,* 287 US 278; *Akerly v New York Cent. R.R. Co.,* 168 F2d 812; *Brooklyn Savings Bank v O'Neil,* 324 US 697.)

OPINION OF THE COURT

SMITH, J.

The issue is the validity of a seaman's agreement to arbitrate his Jones Act claim against his employer, where the agreement was made after the seaman was injured. We hold, as did the Appellate Division, that post-injury arbitration agreements are not prohibited, but that a hearing should be held to decide whether this arbitration agreement is enforceable. We disagree with the Appellate Division as to the burden of proof at the hearing; the burden should be on the party trying to invalidate the arbitration agreement.

Facts and Procedural History

Nicholas Schreiber was injured while working aboard the tug *Tasman Sea*, owned by K-Sea Transportation Corp. Under admiralty law, Schreiber was entitled to ''maintenance'' from K-Sea (payments sufficient to provide him with food and lodging) while his injury prevented him from working. He was also entitled to sue K-Sea under the Jones Act (46 USC § 30104) if K-Sea's negligence caused his injury. K-Sea, pursuant to its interpretation of its collective bargaining agreement with Schreiber's union, began making maintenance payments to him of $15 per day.

Several weeks after the accident, K-Sea's claims manager, Alton Peralta, called Schreiber and made a proposal: K-Sea would increase its payments to two thirds of Schreiber's regular wage, as an advance against settlement of any claims by Schreiber based on his injury, if Schreiber would agree to arbitrate those claims. Schreiber agreed, and Peralta sent him a written agreement with a short cover letter. The cover letter explained: ''arbitration is a private process, and the outcome will be decided by one or more arbitrators, not by a jury.'' The cover letter also told Schreiber, in bold letters: ''You are not obligated to sign the Agreement. You will continue to receive $15/day as maintenance, and medical cure at the Company's expense until you are fit for duty and/or reach maximum medical improvement, whether you sign the Agreement or not.''

Schreiber signed the agreement. It provided that he and K-Sea agreed to arbitrate all claims arising out of his injury under the rules of the American Arbitration Association (AAA). The agreement also provided: ''Any filing fee, up to $750.00 and any deposit for compensation of the arbitrators shall be advanced by K-Sea, subject to subsequent allocation.''

At the time of the agreement, Schreiber apparently expected to recover well from his injury. But the injury worsened, leaving him confined to a walking boot and unlikely ever to return to working at sea. Some 17 months after the injury, Schreiber sued K-Sea in Supreme Court, asserting Jones Act and other claims. K-Sea filed a demand for arbitration with the AAA, and sent the AAA a check for $750 ''as K-Sea's portion of the filing fee.'' Its letter told the AAA that ''the remainder of the filing fee is to be provided by Mr. Schreiber.'' The AAA responded by telling the parties that, since the amount of the claim was not stated in the demand, the minimum filing fee would be $10,000.

Schreiber petitioned Supreme Court to stay arbitration, and K-Sea cross-moved to compel arbitration. Supreme Court granted Schreiber's petition. It rejected Schreiber's claim that the Federal Arbitration Act (FAA) rendered the agreement unenforceable, but held that K-Sea had failed to prove "that there was no deception or coercion on its part, and that Schreiber understood his obligations under the agreement" (2004 NY Slip Op 30151[U], *8). The Appellate Division, one Justice dissenting in part, reversed and directed a hearing on whether the agreement was enforceable. The Appellate Division majority concluded, as had Supreme Court, that K-Sea had an "obligation to show that the arbitration agreement is equitable," but found the issue could not be resolved without a hearing (30 AD3d 101, 110 [2006]). Justice Andrias, dissenting, said the burden should be on Schreiber to demonstrate the invalidity of the arbitration agreement and concluded that, since he had not met that burden, arbitration should be compelled, though Schreiber should not be required to pay the $9,250 balance of the filing fee. The Appellate Division granted both parties leave to appeal.

The three opinions below reached three different conclusions, and we reach a fourth: There should be a hearing, at which the burden should be on Schreiber to show that the arbitration agreement is unenforceable. Though the Appellate Division erred in allocating the burden of proof, its order simply remands the case for a hearing, and we therefore affirm that order.

Discussion

Schreiber argues that the FAA forbids enforcement of the arbitration agreement; that the Federal Employers' Liability Act (FELA) also forbids it; and that, even if enforcement of the arbitration agreement is not barred by statute, it is barred by his status as a "ward of the admiralty." We reject all three arguments, but decide that the facts of this case warrant ordering a hearing on the agreement's enforceability.

I

Section 2 of the FAA (9 USC § 2) provides:

> "A written provision in any maritime transaction or a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, or

> the refusal to perform the whole or any part thereof, or an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.''

This section reflects a federal policy favoring the arbitration of disputes (*Moses H. Cone Memorial Hospital v Mercury Constr. Corp.*, 460 US 1, 24-25 [1983]). The policy is applicable even to claims arising under protective statutes like the Jones Act (*see Gilmer v Interstate/Johnson Lane Corp.*, 500 US 20, 26 [1991] [''statutory claims may be the subject of an arbitration agreement, enforceable pursuant to the FAA . . . (because by) agreeing to arbitrate a statutory claim, a party does not forgo the substantive rights afforded by the statute; it only submits to their resolution in an arbitral, rather than a judicial, forum'' (internal quotation marks and citation omitted)]; *Fletcher v Kidder, Peabody & Co.*, 81 NY2d 623, 635 [1993]). Section 1 of the FAA (9 USC § 1), however, excludes from the scope of the FAA ''contracts of employment of seamen.'' Schreiber argues that the arbitration agreement between him and K-Sea is part of his contract of employment and is therefore excluded from the FAA's coverage. He also argues that the exclusion implies a prohibition—i.e., that an arbitration agreement excluded from the FAA's coverage is unenforceable, even if it would otherwise be enforceable under state law.

[1] We need not decide whether Schreiber is right about the enforceability of agreements excluded from the FAA by section 1 (*see O'Dean v Tropicana Cruises Intl. Inc.*, 1999 WL 335381, *1-2, 1999 US Dist LEXIS 7751, *3-4 [SD NY 1999] [holding an excluded agreement not inherently unenforceable]) because the agreement at issue here is not excluded from the FAA. It is not a ''contract of employment''; it is a separate agreement, made after K-Sea had employed Schreiber, at a time when the occasion for arbitration—Schreiber's injury—already existed. We agree with all other courts to consider the question that an agreement like this is within the coverage of the FAA (*see Terrebonne v K-Sea Transp. Corp.*, 477 F3d 271, 278-280 [5th Cir 2007]; *Nunez v Weeks Mar., Inc.*, 2007 WL 496855, *1-5, 2007 US Dist LEXIS 10807, *4-19 [ED La 2007]; *Barbieri v K-Sea Transp. Corp.*, 2006 WL 3751215, *7-8, 2006 US Dist LEXIS 91565, *21-26 [ED NY 2006]; *Endriss v Eklof Mar. Corp.*, 1998

WL 1085911, *4, 1998 US Dist LEXIS 23231, *12-16 [SD NY 1998]).

II

The FELA is relevant here because the Jones Act says that ''[l]aws of the United States regulating recovery for personal injury to . . . a railway employee apply'' to a Jones Act claim (46 USC § 30104 [a]). Section 5 of the FELA says that ''[a]ny contract . . . the purpose or intent of which shall be to enable any common carrier to exempt itself from any liability created by this chapter, shall to that extent be void'' (45 USC § 55). On its face, this statute seems to pose no problem here, because K-Sea's contract with Schreiber does not purport to ''exempt'' K-Sea from ''liability,'' but only to require that Schreiber's claim be arbitrated. In *Boyd v Grand Trunk Western R. Co.* (338 US 263 [1949]), however, the Supreme Court gave a broad reading to section 5 of the FELA, holding that an agreement limiting an employee's choice of forum to a state or federal court in Michigan was void, on the theory that being subject to suit in a court of the employee's choice was part of the ''liability created.'' Schreiber argues that the arbitration clause here is similar to the venue-selection clause in *Boyd*, since both clauses limit litigation to a particular forum.

[2] We reject the analogy because there is a factor here not present in *Boyd*: the federal policy favoring arbitration. To hold, as Schreiber urges, that any agreement to arbitrate a Jones Act claim is void would contradict that policy. We therefore conclude that an arbitration agreement is not a forbidden exemption from Jones Act liability. Again, the other courts to consider this question have reached the same conclusion (*Terrebonne*, 477 F3d at 280-286; *Nunez*, 2007 WL 496855, *5-6, 2007 US Dist LEXIS 10807, *20-22).

III

As an alternative to his argument that federal statutes render the arbitration agreement void, Schreiber suggests that, because seamen are ''wards of the admiralty,'' a contract between a seaman and his employer should be treated in the same way as, for example, a contract between a beneficiary and a trustee—i.e., that such a contract is invalid unless it is shown to be fair to the seaman and untainted by deception, duress or any other factor that might bar its enforcement in equity. The ''ward of the admiralty'' doctrine was stated by Justice Story in *Harden v Gordon* (11 F Cas 480, 485 [D Me 1823]) in this way:

> "[Seamen] are emphatically the wards of the admiralty; and though not technically incapable of entering into a valid contract, they are treated in the same manner, as courts of equity are accustomed to treat young heirs, dealing with their expectancies, wards with their guardians, and cestuis que trust with their trustees. They are considered as placed under the dominion and influence of men, who have naturally acquired a mastery over them; and as they have little of the foresight and caution belonging to persons trained in other pursuits of life, the most rigid scrutiny is instituted into the terms of every contract, in which they engage. If there is any undue inequality in the terms, any disproportion in the bargain, any sacrifice of rights on one side which are not compensated by extraordinary benefits on the other, the judicial interpretation of the transaction, is that the bargain is unjust and unreasonable, that advantage has been taken of the situation of the weaker party, and that pro tanto the bargain ought to be set aside as inequitable. . . . And on every occasion the court expects to be satisfied, that the compensation for every material alteration is entirely adequate to the diminution of right or privilege on the part of the seamen."

In *Garrett v Moore-McCormack Co.* (317 US 239, 247 [1942]), Justice Black quoted some of the above words of Justice Story, and added:

> "The analogy . . . between seamen's contracts and those of fiduciaries and beneficiaries remains, under the prevailing rule treating seamen as wards of admiralty, a close one. Whether the transaction under consideration is a contract, sale, or gift between guardian and ward or between trustee and cestui, the burden of proving its validity is on the fiduciary. He must affirmatively show that no advantage has been taken; and his burden is particularly heavy where there has been inadequacy of consideration."

K-Sea argues, in substance, that Justice Story's words of 1823, and even Justice Black's of 1942, are out of date. And indeed, there is something antiquated in the idea that seamen are less capable than other people of making contracts for themselves.

Surely most seamen today are as intelligent and responsible as most others; the record shows that Schreiber himself writes lucid English, uses a computer, and has been involved in some business ventures. The federal courts have not, however, abandoned the ''ward of the admiralty'' doctrine, though it has shown some signs of erosion (*see Brinson v Linda Rose Joint Venture*, 53 F3d 1044, 1048 [9th Cir 1995]).

[3] The issue here is not the vitality of the ''ward of the admiralty'' doctrine in general, but whether it outweighs the policy favoring arbitration. We hold that it does not. Section 2 of the FAA says that an agreement to arbitrate ''shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract'' (9 USC § 2). The implication is that the party challenging the enforceability of an arbitration agreement has the burden of showing ''grounds'' for its ''revocation.'' That burden is not shifted simply because the objecting party is a seaman. Schreiber is bound by his agreement with K-Sea unless he can show that fraud, unconscionability or some other defect justifies invalidating it.

IV

[4] Though we agree with Justice Andrias, the dissenter in the Appellate Division, that the agreement here is, like other arbitration agreements, presumptively valid, we do not agree with Justice Andrias's conclusion that the result should be to compel arbitration without an evidentiary hearing. While Schreiber must bear the burden of proving the agreement invalid, the record does not conclusively show that he cannot do so.

There is no evidence that Peralta misled or intimidated Schreiber in their telephone conversation, and the cover letter he sent to Schreiber with the proposed agreement clearly explains the choice Schreiber had to make—including his choice, if he signed the agreement, to give up his right to a jury trial. There is, however, one troubling aspect of the agreement itself: the statement that K-Sea would advance any filing fee ''up to $750.00.'' Anyone reading this statement in context would infer that the fee was likely to be around $750 or less—but the fee actually demanded by the AAA was $10,000. If K-Sea expected the fee to be so far in excess of the one mentioned in the agreement—and so far in excess of what most seamen can afford—a factfinder might conclude that K-Sea deceived Schreiber into signing. If Supreme Court finds that K-Sea intentionally misled

Schreiber, and that if correctly informed he would not have agreed to arbitration, the arbitration agreement should be set aside. We imply no prejudgment of the issue: a hearing may well show that K-Sea acted in complete good faith. But there should be a hearing, at which the question is answered one way or the other (*see Barbieri*, 2006 WL 3751215, *9, 2006 US Dist LEXIS 91565, *29-32 [reaching a similar conclusion on almost identical facts]).

If Schreiber fails to show at the hearing that K-Sea obtained his agreement by intentionally deceiving him, Supreme Court should compel arbitration. Even in that event, however, Schreiber should not be compelled to bear costs which would effectively preclude him from pursuing his claim (*see Green Tree Financial Corp.-Ala. v Randolph*, 531 US 79, 92 [2000]). Thus, any order compelling arbitration should be conditioned on K-Sea's agreement to bear any costs not waived by the AAA, subject later to reallocation of those costs by the arbitrator.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed, etc.

[880 NE2d 1, 849 NYS2d 480]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KHALIL DANIELSON, Also Known as KHALI DANIELSON, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALEXANDER PASLEY, Appellant.

Argued November 14, 2007; decided December 13, 2007

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 27, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John S. Moore, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

APPEAL, in the second above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 27, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Joan C. Sudolnik, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Danielson, 40 AD3d 174, affirmed.

People v Pasley, 38 AD3d 427, reversed.

HEADNOTES

Crimes — Appeal — Standard of Review — Weight of Evidence — Element-Based Review Required When Legal Sufficiency Challenge Unpreserved

1. A court conducting a weight of the evidence review of a defendant's conviction must consider the elements of the crime even if the defendant failed to preserve a challenge to the legal sufficiency of his or her conviction. The court must first determine whether an acquittal would not have been unreasonable, and, if so, the court must weigh conflicting testimony, review any rational inferences that may be drawn from the evidence, and evaluate the strength of such conclusions. Based on the weight of the credible evidence, the court then decides whether the jury was justified in finding the defendant guilty beyond a reasonable doubt. In conducting its review the court must necessarily consider the elements of the crime, for even if the prosecution's witnesses were credible their testimony must prove the elements of the crime beyond a reasonable doubt. Sitting as the thirteenth juror, moreover, the reviewing court must weigh the evidence in light of the elements of the crime as charged to the other jurors, even when the law has changed between the time of trial and the time of appeal.

Crimes — Appeal — Standard of Review — Weight of Evidence — Element-Based Review Required When Legal Sufficiency Challenge Unpreserved

2. The Appellate Division, in conducting its weight of the evidence review of defendant's conviction for depraved indifference murder, was required to consider the elements of the crime of depraved indifference murder even though defendant failed to preserve his legal sufficiency claim. Although the Appellate Division incorrectly concluded that it was unnecessary to conduct element-based review, it did alternatively consider the credible evidence, conflicting testimony, and inferences that could have been drawn from the evidence. Viewing that evidence in light of the elements as charged at trial, the majority concluded that the jury correctly weighed the evidence when it convicted defendant of depraved indifference murder. Thus, the order of the Appellate Division affirming defendant's conviction was affirmed, as the Court of Appeals was without authority to review the Appellate Division's weight of the evidence determination.

Crimes — Appeal — Standard of Review — Weight of Evidence — Element-Based Review Required When Legal Sufficiency Challenge Unpreserved

3. The Appellate Division, in conducting its weight of the evidence review of defendant's conviction for depraved indifference murder, was required to consider the elements of the crime of depraved indifference murder even though defendant failed to preserve his legal sufficiency claim. The Appellate Division incorrectly concluded that it was unnecessary to conduct element-based review, limited its review to credibility issues, and failed to weigh the conflicting testimony and conflicting inferences in light of the elements as charged at trial. Thus, the order of the Appellate Division affirming defendant's conviction was reversed and the case was remitted to the Appellate Division for further proceedings.

Crimes — Right to Counsel — Effective Representation — Failure to Raise Legal Sufficiency Argument against Depraved Indifference Murder Verdict

4. Defense counsel's failure to raise a legal sufficiency argument regarding defendant's depraved indifference murder verdict did not constitute ineffective assistance of counsel. Under the law at the time of trial, circumstantial evidence of intent would still have supported a depraved indifference murder verdict.

Crimes — Right to Counsel — Effective Representation — Failure to Raise Legal Sufficiency Argument against Depraved Indifference Murder Verdict

5. Defense counsel's failure to raise a legal sufficiency argument regarding defendant's depraved indifference murder verdict did not constitute ineffective assistance of counsel. The jury could have inferred that defendant did not intend to kill his victim when he indiscriminately swung a box cutter at the group of men surrounding him.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575–577, 618, 619, 629;
AM JUR 2d, Criminal Law §§ 1223–1227.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1832–172:1835, 172:1925, 172:1926, 172:1956, 172:4342, 172:4358, 172:4455, 172:4456, 172:4493.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10, 27.5.

NY JUR 2d, Criminal Law §§ 812, 815, 816, 853, 3121, 3125, 3126, 3141, 3244, 3254–3256, 3286.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorney or Assistance of Attorney.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: appeal /s weight /4 evidence /3 review /p element

POINTS OF COUNSEL

James E. Neuman, New York City, for appellant in the first above-entitled action. I. Because the Appellate Division incorrectly assumed that its "weight of the evidence" review power was limited to a review of the credibility of the witnesses, the matter should be remanded. (*People v Romero,* 7 NY3d 633; *People v Crum,* 272 NY 348; *People v Bleakley,* 69 NY2d 490; *People v Mateo,* 2 NY3d 383; *People v Gray,* 86 NY2d 10; *People v Acosta,* 80 NY2d 665; *People v Cahill,* 2 NY3d 14; *People v Noble,* 86 NY2d 814; *People v Cooper,* 88 NY2d 1056; *People v Foster,* 64 NY2d 1144.) II. The Appellate Division incorrectly evaluated the weight of the evidence according to the law at the time of the trial, rather than the law at the time of the appeal, and in doing so, gave undue deference to the jury's determination of the mens rea element of depraved indifference murder. (*People v Register,* 60 NY2d 270; *People v Favor,* 82 NY2d 254; *People v Morales,* 37 NY2d 262; *People v Kramer,* 267 AD2d 328; *Policano v Herbert,* 7 NY3d 588; *People v Sanchez,* 98 NY2d 373; *People v Feingold,* 7 NY3d 288; *People v Flack,* 125 NY 324; *People v Hafeez,* 100 NY2d 253; *People v Payne,* 3 NY3d 266.) III. Defendant was deprived of his state and federally guaranteed rights to effective assistance of counsel when his trial lawyer, while moving to dismiss for legal insufficiency, failed to specify an argument that would have prevailed on appeal. (*United States v Cronic,* 466 US 648; *People v Claudio,* 83 NY2d 76; *People v DeFreitas,* 213 AD2d 96; *Strickland v Washington,* 466 US 668; *Kimmelman v Morrison,* 477 US 365; *United States v Tarricone,* 21 F3d 474; *Quartararo v Fogg,* 679 F Supp 212; *Fos-*

ter v Lockhart, 9 F3d 722; *People v Baldi,* 54 NY2d 137; *People v Hobot,* 84 NY2d 1021.)

Robert T. Johnson, District Attorney, Bronx (*T. Charles Won, Joseph N. Ferdenzi* and *Nancy D. Killian* of counsel), for respondent in the first above-entitled action. I. The Appellate Division applied correct legal principles in deciding that the weight of the evidence supported the guilty verdict. (*People v Suarez,* 6 NY3d 202; *People v Romero,* 7 NY3d 633; *People v Bleakley,* 69 NY2d 490; *People v Cahill,* 2 NY3d 14; *People v Crum,* 272 NY 348; *People v Carthrens,* 182 AD2d 460; *People v Roberts,* 165 AD2d 598; *People v Al-Sullami,* 162 AD2d 691; *People v Gonzalez,* 1 NY3d 464; *People v Cooper,* 88 NY2d 1056.) II. Defendant received meaningful representation. (*People v Brown,* 45 NY2d 852; *People v Baldi,* 54 NY2d 137; *People v Benevento,* 91 NY2d 708; *People v Rivera,* 71 NY2d 705; *People v Caban,* 5 NY3d 143; *People v Stultz,* 2 NY3d 277; *Strickland v Washington,* 466 US 668; *Lockhart v Fretwell,* 506 US 364; *People v Register,* 60 NY2d 270; *Policano v Herbert,* 7 NY3d 588.)

Center for Appellate Litigation, New York City (*Abigail Everett* and *Robert S. Dean* of counsel), for appellant in the second above-entitled action. The appeal should be remanded to the Appellate Division for further consideration because (a) the Appellate Division failed to exercise the ''full'' scope of its constitutionally-mandated ''weight-of-the-evidence review'' (NY Const, art VI, § 4; CPL 470.15 [5]) and (b) to the extent that the Appellate Division did weigh the evidence, it should have followed the court's charge according to current law, particularly since the court told the jury that ''depraved indifference to human life'' was the required ''mental state.'' (*People v Gray,* 86 NY2d 10; *People v Patterson,* 38 AD3d 431; *People v Pollenz,* 67 NY2d 264; *People v Noble,* 86 NY2d 814; *People v Suarez,* 6 NY3d 202; *People v Gonzalez,* 1 NY3d 464; *People v Hafeez,* 100 NY2d 253; *People v Feingold,* 7 NY3d 288; *People v Register,* 60 NY2d 270; *People v Bleakley,* 69 NY2d 490.)

Robert M. Morgenthau, District Attorney, New York City (*Vincent Rivellese* and *Mark Dwyer* of counsel), for respondent in the second above-entitled action. The Appellate Division's express finding that the verdict was not against the weight of the evidence should not be disturbed. (*People v Register,* 60 NY2d 270; *People v Sanchez,* 98 NY2d 373; *People v Gallagher,* 69 NY2d 525; *Policano v Herbert,* 7 NY3d 588; *People v Hafeez,* 100 NY2d 253; *People v Gonzalez,* 1 NY3d 464; *People v Payne,* 3

NY3d 266; *People v Suarez,* 6 NY3d 202; *People v Feingold,* 7 NY3d 288; *People v Danielson*, 40 AD3d 174.)

OPINION OF THE COURT

Chief Judge KAYE.

These two appeals call upon us to determine the scope of weight of the evidence review when a defendant has failed to preserve a challenge to the legal sufficiency of his conviction. In particular, we are asked whether weight of the evidence review requires assessment of the elements of the crime for which defendant is convicted, or whether such review would simply be tantamount to back-door sufficiency review.

Facts

In the first of the two appeals, *People v Danielson*, the People presented evidence at trial that defendant, together with fellow gang members Gerard Miller and Omari Green, plotted to kill Kenneth Andrews for ''false flagging''—wearing a rival gang's bandana. The three arranged to take Andrews to a secluded area in Seton Falls Park in the Bronx to murder him.

The next day in the park, the group (including other residents of the group home in which they all lived) drank alcohol and smoked cigarettes and marijuana. Later, defendant, Miller and Green argued with Andrews about his false flagging, and the three shot Andrews. One of the group members not involved in the shooting testified that defendant was the first to draw his pistol and shoot Andrews eight times from about two feet away; that Miller next drew his handgun and shot the victim; and that Miller passed his firearm to Green, who shot Andrews once in the head. Green, also a prosecution witness, testified that Miller drew his weapon first and fired the eight shots; that defendant drew his pistol and shot Andrews four times; and that Miller passed Green his handgun, and Green shot Andrews in the head as Andrews lay on the ground. A medical examiner testified the cause of death was a shot either to Andrews' head or to his abdomen.

A grand jury indicted defendant, Miller and Green for acting in concert to commit two counts of murder in the second degree (intentional and depraved indifference) and additional charges. At defendant's trial, defense counsel never claimed that the evidence proved only an intentional killing. The trial court, without objection, charged the jury on both intentional and depraved indifference murder as defined by *People v Register* (60 NY2d

270 [1983]). The jury acquitted defendant of intentional murder but convicted him of depraved indifference murder.

The Appellate Division affirmed defendant's conviction, one Justice dissenting. Although all five Justices recognized that defendant had not preserved a legal sufficiency claim, they disagreed on how to perform the weight of the evidence review. The majority noted that, on appeal, defendant had argued only that the evidence did not support the verdict because of inconsistencies in the testimony; he did not claim that the weight of the evidence proved only intentional murder. Thus, limiting its consideration to defendant's appellate argument, the court confined its weight review to credibility issues and concluded that, though the witnesses recalled defendant's actions during the crime differently, the evidence nonetheless supported the jury's verdict. In dissent, Justice Mazzarelli urged that a reviewing court must weigh the evidence in light of the elements of the crime and that the evidence here could support only intentional murder. Justice Mazzarelli granted leave to appeal to this Court.

In the second appeal, *People v Pasley*, the People presented evidence that a group of friends, after taking the subway from Brooklyn to Manhattan's Times Square, encountered defendant coming up the staircase at the 42nd Street subway station. After pushing between the victim, Michael Bishop, and another member of the group, defendant demanded Bishop's chain, reached for it and then with his other hand made a quick slashing motion across Bishop's neck. Defendant fled. When the police caught defendant, they recovered the chain from his pocket, and later discovered a bloody box cutter in the back of the patrol car in which he had been taken to the precinct. Bishop bled to death.

Defendant testified that, while on the subway ride from Brooklyn to Manhattan, he had an argument with one of the group members. Fearing for his safety, defendant, at the 42nd Street station, waited for the group by the token booth. As the men in the group surrounded him, defendant put his hand in his pocket. Defendant thought he saw something silver in Bishop's hand, so he preemptively started swinging his box cutter at the group. Defendant denied that he intended to rob anyone but could not explain how Bishop's chain wound up in his pocket. A grand jury indicted defendant for, among other charges, murder in the first degree (intentional felony murder) and three counts of murder in the second degree (intentional, depraved indifference and felony murder). At trial, defense counsel did not argue that the evidence proved only an intentional homicide. The trial court, in accordance with *Register*, charged the jury that depraved indifference murder required a reckless mens rea with objective circumstances showing ''a depraved indifference to human life.''

The jury acquitted defendant of first-degree and second-degree intentional murder but convicted him of depraved indifference murder. Prior to sentencing, defendant filed a CPL 330.30 motion claiming that the evidence supported only an intentional murder theory, and that the evidence was legally insufficient to support depraved indifference murder, for the first time citing *People v Hafeez* (100 NY2d 253 [2003]). The trial court denied the motion. On appeal, defendant argued that the evidence supported only a theory of intentional murder or at most reckless, not depraved indifference, murder. The Appellate Division affirmed defendant's conviction. The majority refused to conduct an element-based weight of the evidence review since defendant failed to preserve his legal sufficiency claim. Instead, it weighed witness credibility and determined that the conviction was not against the weight of the evidence. Justice Mazzarelli concurred, concluding that even using an element-based weight review, defendant's conviction was proper, and she granted leave to appeal to this Court.

Analysis

Upon defendant's request, the Appellate Division must conduct a weight of the evidence review (CPL 470.15 [5]; *People v Romero*, 7 NY3d 633, 636 [2006]; *see* Karger, Powers of the New York Court of Appeals § 13:7, at 473 [3d ed rev]). Thus, a defendant will be given one appellate review of adverse factual findings.

As we recently made clear in *Romero*, weight of the evidence review requires a court first to determine whether an acquittal would not have been unreasonable. If so, the court must weigh conflicting testimony, review any rational inferences that may be drawn from the evidence and evaluate the strength of such conclusions. Based on the weight of the credible evidence, the court then decides whether the jury was justified in finding the defendant guilty beyond a reasonable doubt (*People v Crum*, 272 NY 348 [1936]).

[1] Essentially, the court sits as a thirteenth juror and decides which facts were proven at trial (*see Tibbs v Florida*, 457 US 31, 42 [1982]). Necessarily, in conducting its weight of the evidence review, a court must consider the elements of the crime, for even if the prosecution's witnesses were credible their testimony must prove the elements of the crime beyond a reasonable doubt. Sitting as the thirteenth juror, moreover, the reviewing court must weigh the evidence in light of the elements of the crime as charged to the other jurors, even when the law has changed between the time of trial and the time of appeal (*People v Noble*, 86 NY2d 814, 815 [1995]).

A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, "there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Acosta*, 80 NY2d 665, 672 [1993], quoting *People v Steinberg*, 79 NY2d 673, 681-682 [1992]). A sufficiency inquiry requires a court to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof.

A legally sufficient verdict can be against the weight of the evidence (*see e.g. People v Cahill*, 2 NY3d 14, 62 [2003] [a capital case where we concluded that the witness-elimination murder charge was legally sufficient but against the weight of the evidence]). In noncapital cases, this Court is without authority to review the Appellate Division's weight of the evidence determination (Karger, Powers of the New York Court of Appeals § 21:6, at 754). When the Appellate Division has not properly conducted that review, we reverse and remit to that court (*People v Bleakley*, 69 NY2d 490, 496 [1987]).

Applying the foregoing principles, we now affirm the order of the Appellate Division in *Danielson*, and reverse and remit in *Pasley*.

[2, 3] In *Danielson*, although the Appellate Division majority incorrectly concluded that it was unnecessary to conduct element-based review, it did alternatively consider the credible evidence, conflicting testimony and inferences that could be drawn from the evidence. Viewing that evidence in light of the elements as charged at trial, the majority concluded that the jury correctly weighed the evidence when it convicted defendant of depraved indifference murder. Because the majority conducted a weight of the evidence review, we affirm. We cannot reach that same conclusion in *Pasley*. A fair reading of the decision indicates that the court limited its weight of the evidence review to credibility issues and failed to weigh the conflicting testimony and conflicting inferences in light of the elements as charged at trial. We must, therefore, reverse defendant's conviction and remit to that court for a weight of the evidence review.

[4, 5] Finally, in both cases we reject defendants' claimed ineffective assistance of counsel for failure to raise a legal sufficiency argument. In *Danielson*, under the law at the time of trial, circumstantial evidence of intent would still have supported a depraved indifference murder verdict. Similarly in *Pasley*, the jury could have inferred that defendant did not intend to kill Bishop when he indiscriminately swung the box cutter at the group.

Accordingly, in *People v Danielson*, the order of the Appellate Division should be affirmed. In *People v Pasley*, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In *People v Danielson*: Order affirmed.

In *People v Pasley*: Order reversed, etc.

[880 NE2d 845, 850 NYS2d 359]

BRENT F. FUNG et al., Appellants, v JAPAN AIRLINES COMPANY, LTD., et al., Defendants, and JAPAN AIRLINES MANAGEMENT CORP., Respondent. (And Third-Party Actions.)

BRENT F. FUNG et al., Appellants, v AERO SNOW REMOVAL CORP., Respondent.

Argued November 14, 2007; decided December 13, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 25, 2006. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Queens County (Arnold N. Price, J.; op 2005 NY Slip Op 30132[U]), as had denied that branch of the motion by Japan Airlines Management Corp., the defendant and third-party plaintiff in Action No. 1, which was for summary judgment dismissing the complaint and all cross claims asserted against it in Action No. 1, and had denied the motions by Aero Snow Removal Corp., the third-party defendant in Action No. 1 and the defendant in Action No. 2, for summary judgment dismissing the third-party complaint in Action No. 1 and the complaint in Action No. 2; (2) granted that branch of Japan Airlines Management Corp.'s motion which was for summary judgment dismissing the complaint and all cross claims asserted against it in Action No. 1; (3) granted the motions by Aero Snow Removal Corp. for summary judgment dismissing the third-party complaint in Action No. 1 and the complaint in Action No. 2; (4) dismissed the complaint in Action No. 1 as against Japan Airlines Management Corp.; (5) severed Action No. 1 against the remaining defendants; (6) dismissed the third-party complaint in Action No. 1; and (7) dismissed the complaint in Action No. 2.

Fung v Japan Airlines Co., Ltd., 31 AD3d 707, modified.

HEADNOTES

Workers' Compensation — Exclusiveness of Remedy — Applicability of Exclusive Remedy Doctrine to Employer's Agent

1. In an action to recover damages for injuries plaintiff sustained when he slipped and fell on a patch of ice in a parking lot owned by his employer and leased to defendant, the employer's putative managing agent, defendant was not entitled to the exclusive remedy defense of Workers' Compensation Law §§ 11 and 29 (6). The exclusive remedy doctrine has been extended to persons or entities other than the injured plaintiff's direct employer where there was a

working relationship with the injured plaintiff sufficient in kind and degree so that the third party, or the third party's employer, might be deemed plaintiff's employer. In such circumstances, it is not the title of the purported ''employer''—in this case, a putative managing agent—that controls, but rather the actual working relationship between that party and the purported ''employee.'' Here, there was no evidence that defendant had any contact with plaintiff at all, let alone a working relationship with plaintiff or plaintiff's employer sufficient to be deemed plaintiff's special employer. Rather, it was plaintiff's employer which directed, supervised and controlled all aspects of plaintiff's employment. Plaintiff's employer and defendant were separate legal entities with separate day-to-day control over their respective employees' work.

Negligence — Duty — Snow Removal Contractor — No Duty to Third Party

2. Plaintiff could not maintain an action against defendant snow removal contractor to recover damages for injuries plaintiff sustained when he slipped and fell on a patch of ice in a parking lot defendant had plowed pursuant to its contract with the company leasing the parking lot, as defendant owed no duty of care to plaintiff. The contract to provide snow removal services did not, standing alone, trigger a duty of care running to plaintiff, a noncontracting third party. By merely plowing the snow, as required by the contract, defendant's actions could not be said to have created or exacerbated a dangerous condition. Moreover, there was neither any term in the contract that required defendant to salt or sand the parking lot absent the tenant's request to do so, nor evidence that such a request was made.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Negligence §§ 73–79, 113–115; AM JUR 2d, Workers' Compensation §§ 84, 85.

MCKINNEY's, Workers' Compensation Law §§ 11, 29 (6).

NY JUR 2d, Negligence §§ 16–20, 25, 26; NY JUR 2d, Premises Liability § 338; NY JUR 2d, Workers' Compensation §§ 87, 88.

PROSSER AND KEETON, TORTS (5th ed) § 30.

ANNOTATION REFERENCE

See ALR Index under Degree and Standard of Care; Parking Lots and Parking Garages; Snow, Ice, Sleet, or Frost; Workers' Compensation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation /s exclusive /2 remedy & managing /3 agent

---

POINTS OF COUNSEL

Pollack, Pollack, Isaac & DeCicco, New York City (*Brian J. Isaac* of counsel), and *Edelman, Krasin & Jaye, PLLC* (*Paul*

Edelman and *Lawrence Krasin* of counsel), for appellants. I. The action against Japan Airlines Management Corp. is not barred by the Workers' Compensation Law. (*Andre v Pomeroy,* 35 NY2d 361; *Cahill v Triborough Bridge & Tunnel Auth.,* 4 NY3d 35; *Giuffrida v Citibank Corp.,* 100 NY2d 72; *Alvarez v Prospect Hosp.,* 68 NY2d 320; *Winegrad v New York Univ. Med. Ctr.,* 64 NY2d 851; *Zuckerman v City of New York,* 49 NY2d 557; *Sillman v Twentieth Century-Fox Film Corp.,* 3 NY2d 395; *Olan v Farrell Lines,* 64 NY2d 1092; *Merritt Hill Vineyards v Windy Hgts. Vineyard,* 61 NY2d 106; *Springsteen v Samson,* 32 NY 703.) II. There was evidence that Aero Snow Removal Corp. salted and sanded the parking lot and thereby made it more dangerous than it would otherwise have been. (*Hamilton v Beretta U.S.A. Corp.,* 96 NY2d 222; *Martin v Herzog,* 228 NY 164; *Eiseman v State of New York,* 70 NY2d 175; *Turcotte v Fell,* 68 NY2d 432; *Akins v Glens Falls City School Dist.,* 53 NY2d 325; *Palsgraf v Long Is. R.R. Co.,* 248 NY 339; *De Angelis v Lutheran Med. Ctr.,* 58 NY2d 1053; *Waters v New York City Hous. Auth.,* 69 NY2d 225; *Pulka v Edelman,* 40 NY2d 781; *Tobin v Grossman,* 24 NY2d 609.)

Brown Gavalas & Fromm LLP, New York City (*David H. Fromm, Robert J. Brown* and *Fred G. Wexler* of counsel), for Aero Snow Removal Corp., respondent. Aero Snow Removal Corp. owed no legal duty to plaintiffs. (*Smelley v Ahmed,* 3 AD3d 559; *Castro v Maple Run Condominium Assn.,* 41 AD3d 412; *Zuckerman v City of New York,* 49 NY2d 557; *Nicholas v EPO-Harvey Apts., Ltd. Partnership,* 31 AD3d 1174; *Rector v City of New York,* 259 AD2d 319; *Pinn v Baker's Variety,* 32 AD3d 463; *Yaeger v UCC Constructors,* 281 AD2d 990; *Forester v Golub Corp.,* 267 AD2d 526; *Otonoga v City of New York,* 234 AD2d 592; *Bugiada v Iko,* 274 AD2d 368.)

Polin, Prisco & Villafane, Glen Cove (*Andrew D. Polin* of counsel), for Japan Airlines Management Corp., respondent. I. The Appellate Division correctly determined that since Japan Airlines Management Corp. was serving as the Port Authority's agent when the accident occurred, plaintiffs' claims against it are barred by the exclusivity provisions of the Workers' Compensation Law. (*Martin v Peyton,* 246 NY 213; *South Rd. Assoc., LLC v International Bus. Machs. Corp.,* 3 NY3d 689; *Matter of Cromwell Towers Redevelopment Co. v City of Yonkers,* 41 NY2d 1; *Corhill Corp. v S.D. Plants, Inc.,* 9 NY2d 595; *Muzak Corp. v Hotel Taft Corp.,* 1 NY2d 42; *Fleischman v Furgueson,* 223 NY 235; *Shah v Lokhandwala,* 265 AD2d 396; *Matter of*

Gallagher v Houlihan Lawrence Real Estate, 259 AD2d 853; *Matter of G. Fried Westbury, Inc. [Sweeney],* 239 AD2d 677; *Seudath v Mott,* 202 AD2d 658.) II. The order appealed from should be affirmed because Japan Airlines Management Corp. did not have actual knowledge of the ice patch alleged by plaintiffs and there is no basis on which to impute to it constructive notice of that condition. (*Putnam v Stout,* 38 NY2d 607; *Gordon v American Museum of Natural History,* 67 NY2d 836; *Doherty v Great Atl. & Pac. Tea Co.,* 265 AD2d 447; *Simmons v Metropolitan Life Ins. Co.,* 84 NY2d 972; *Golonka v Saratoga Teen & Recreation of Saratoga Springs,* 249 AD2d 854; *Robinson v Trade Link Am.,* 39 AD3d 616; *Stoddard v G.E. Plastics Corp.,* 11 AD3d 862; *Arcuri v Vitolo,* 196 AD2d 519; *Sellet v United Artists Theaters,* 251 AD2d 488; *Gordon v American Museum of Natural History,* 67 NY2d 836.) III. There is no merit to plaintiffs' claim against Japan Airlines Management Corp. regarding improper illumination of the Port Authority's parking area. (*Orr v Spring,* 288 AD2d 663; *Bernstein v Starrett City*, 303 AD2d 530.)

OPINION OF THE COURT

JONES, J.

In this consolidated negligence action, we are required to consider the relationship between the exclusive remedy provisions of Workers' Compensation Law §§ 11 and 29 (6), and principles of agency. Specifically, we are asked whether Japan Airlines Management Corp. (JAMC), as the Port Authority of New York and New Jersey's (Port Authority) putative managing agent, may benefit from the exclusive remedy defense in an action by plaintiff Brent Fung, a Port Authority employee, against JAMC. In a related action, Fung seeks to recover damages against Aero Snow Removal Corp. arising out of the same alleged injuries.

I. Facts and Procedural History

Plaintiff Brent Fung is employed by the Port Authority as an electrician. Plaintiff claims that at approximately 6:00 A.M. on January 22, 2001, he slipped and fell on a patch of ice shortly after arriving in the parking lot of Building 14 at John F. Kennedy International Airport and that he sustained back injuries requiring surgery, for which he began collecting workers' compensation payments a year later. The Port Authority owned the Building 14 premises, which it leased to JAMC. JAMC simultaneously subleased 70% of the premises—which encompasses the subject parking lot—back to the Port Authority. The lease/sublease declared that ''[t]his Agreement does not constitute [JAMC] as the agent or representative of the Port Authority for any purpose whatsoever,'' and that ''[n]either a partnership nor any joint [ ]venture'' is created. This statement of the parties' relationship is repeated elsewhere in the lease.

The lease obligated JAMC to contract with other entities for snow removal and electrical lighting work for the entire premises, among other maintenance responsibilities. Pursuant to the lease, JAMC contracted with Aero to commence ''push and pile'' snow removal operations when one inch of snow accumulated. Further, Aero would provide ''ice/snow control'' services—such as salting or sanding—at JAMC's request. Finally, the contract provided that JAMC was to release Aero upon the satisfactory completion of the snow removal. The Port Authority and JAMC share maintenance expenses on a 70%/30% basis.

In 2002, Fung, and his wife suing derivatively (plaintiffs), commenced a negligence action against JAMC, among others (Action No. 1). JAMC subsequently commenced a third-party action against Aero and a fourth-party action against the Port Authority, each for common-law and contractual indemnification. Plaintiffs thereafter commenced a separate negligence action against Aero (Action No. 2). At his examination before trial, Fung testified that he did not notice any snow on top of or near the ice patch after he fell, nor did he know for how long the ice patch existed. Moreover, Fung testified that he had complained to his supervisor about poor or inadequate lighting in the parking lot.

JAMC's representatives also testified. Rudolph Auslander, JAMC's president, indicated that he signed the snow removal contract with Aero on behalf of JAMC as ''the agent for [the] Port Authority.'' JAMC's signature line on its contract with Aero says that JAMC acted ''As Agents [*sic*] for the Port Authority.'' Sameer Sikander, a facilities manager at JAMC, testified as to the snowstorm that occurred during the two days preceding Fung's accident, January 20 and 21, 2001. Relying on his ''snow logs'' created during the storm, Sikander testified that salting of the Building 14 parking lot occurred between 10:30 P.M. on January 20 and 1:30 A.M. on January 21, but that subsequent salting may have taken place. He further testified that heavy snow fell in the early morning hours of January 21 and that snow clearing operations began around 3:00 A.M. and continued into the afternoon. Further, Aero's operations manager, Joseph

Boccio, testified that the JAMC/Aero contract did not require Aero to affirmatively salt or sand any area; that, based on Aero's records, all of Aero's work concerning the snow storm in question occurred on January 21, between 12:30 A.M. and 3:15 P.M., a day before Fung's accident; and that Aero did not sand or salt the parking lot on January 21.

Following discovery, JAMC moved for summary judgment dismissing the complaint and all cross claims asserted against it. JAMC argued that, as the Port Authority's agent responsible for maintenance of the parking lot and lighting fixtures, it was immune from liability under the exclusive remedy provisions of the Workers' Compensation Law. Additionally, JAMC argued that, in any event, it did not have actual or constructive notice of the alleged ice patch or of the parking lot's allegedly poor lighting.

Aero subsequently moved for summary judgment dismissing JAMC's third-party complaint against it in Action No. 1 and separately moved for summary judgment dismissing plaintiffs' complaint in Action No. 2. Further, the Port Authority moved for summary judgment dismissing JAMC's fourth-party complaint against it in Action No. 1, and JAMC cross-moved for the same relief on the second and third causes of action for contractual indemnification, apparently abandoning its common-law indemnification claim.

Supreme Court denied JAMC's and Aero's motions to dismiss plaintiffs' claims, and Aero's motion to dismiss JAMC's third-party complaint. Further, the court granted the Port Authority's motion to the extent of dismissing JAMC's common-law indemnification claim in the fourth-party complaint in Action No. 1, but denied its motion, and JAMC's cross motion, as to the contractual indemnification claim, noting that questions of fact existed as to JAMC's liability in the underlying personal injury action. The court rejected JAMC's exclusive remedy defense because JAMC and Fung's employer, the Port Authority, "are separate legal entities" with "separate income tax returns, separate budgets, and separate day-to day control" even though they may have "some financial interrelation" (2005 NY Slip Op 30132[U], *4).

JAMC appealed from so much of Supreme Court's order as denied its motion for summary judgment dismissing the complaint in Action No. 1 and denied its cross motion for summary judgment on the contractual indemnification claim in its fourth-party complaint against the Port Authority. Aero cross-appealed from so much of Supreme Court's order as denied its motions for summary judgment dismissing JAMC's and plaintiffs' complaints against it.

The Appellate Division reversed Supreme Court's order, insofar as appealed from, granted JAMC's motion and dismissed the complaint and all cross claims asserted against it in Action No. 1, granted Aero's motion and dismissed the third-party complaint in Action No. 1 and the complaint in Action No. 2, and "severed" Action No. 1 "against the remaining defendants"* (*Fung v Japan Airlines Co., Ltd.*, 31 AD3d 707, 707-708 [2d Dept 2006]). As to the injured plaintiff's underlying action against JAMC, the court relied on *Seudath v Mott* (202 AD2d 658 [2d Dept 1994], *lv dismissed* 85 NY2d 890 [1995]) and determined that because JAMC "was serving as the Port Authority's managing agent when the accident occurred, the plaintiffs' claims against [JAMC] are barred pursuant to the exclusivity provisions of Workers' Compensation Law § 29" (*id.* at 708).

As to Aero in Action No. 2, the court concluded that plaintiffs failed to raise a triable issue of fact in response to Aero's demonstrated entitlement to judgment as a matter of law. The court determined that the parties' remaining contentions were either rendered academic or were without merit. This Court granted plaintiffs' motion for leave to appeal.

II. Discussion

A. Action No. 1: Fung v Japan Airlines Company, Ltd., et al.

Workers' Compensation Law §§ 11 and 29 (6) restrict an employee from suing his or her employer or coemployee for an accidental injury sustained in the course of employment. However, the workers' compensation remedy is generally not exclusive if the employee is injured by a third person (*see* Minkowitz, Practice Commentaries, McKinney's Cons Laws of NY, Book 64, Workers' Compensation Law § 29, at 196). Central to the issue

* In dismissing plaintiffs' claims against JAMC in Action No. 1, the Appellate Division neither considered on the merits, nor expressly dismissed, JAMC's fourth-party contractual indemnification claims against the Port Authority. Accordingly, on remittal the Appellate Division must consider JAMC's action against the Port Authority in light of our holding. Although in its purported severance the Appellate Division order suggests that actions against defendants other than the Port Authority remained pending, the actions against all other defendants originally named in plaintiffs' complaint had been dismissed in earlier proceedings at Supreme Court.

before us is whether JAMC was Fung's employer entitled to claim exclusivity.

Plaintiffs argue that in finding that JAMC acted as the Port Authority's managing agent, the Appellate Division disregarded the clear statement of intent in the JAMC/Port Authority lease; that, in any event, the court misapplied the exclusivity defense to bar their action against JAMC because even if JAMC may be considered the Port Authority's agent, JAMC was neither "in the same employ" as Fung, a Port Authority employee (*see* § 29 [6]), nor Fung's employer within the meaning of Workers' Compensation Law § 11. JAMC, in turn, contends that it was effectively the Port Authority's agent, noting that the JAMC/Aero contract states that JAMC "represents that all charges under this Agreement are incurred by [JAMC] *as agent* for the Port Authority" and that it signed the contract "*As Agents* for the Port Authority" (emphasis added).

[1] Initially, we note that whether or not JAMC actually served as the Port Authority's managing agent, on this record its defense must fail as a matter of law (*see Thompson v Grumman Aerospace Corp.*, 78 NY2d 553, 557 [1991]). The Appellate Division here relied on its decision in *Seudath*, concluding that JAMC is entitled to the exclusive remedy defense simply because it is the Port Authority's managing agent. We do not read *Seudath* as supporting this conclusion and, in any event, the purported managing agency status in the present case does not establish a relationship between JAMC and Fung that would allow JAMC to assert the Workers' Compensation Law defense. In *Seudath*, plaintiff was the superintendent of a building co-owned by a married couple. Plaintiff received workers' compensation payments and then sued the building's co-owner, a managing agent and a company that "manage[d] the premises" (202 AD2d at 658). Critically, the defendants were deemed to have " 'operated', 'maintained', and 'controlled' the premises" and were thus held to be either plaintiff's "coemployees or special employers" (*id.* at 659). This conclusion necessarily implies that the defendants had some cognizable working relationship with the plaintiff or his employer that rendered them either the plaintiff's employer or coemployee for Workers' Compensation Law purposes.

The exclusive remedy doctrine has been previously extended to persons or entities other than the injured plaintiff's direct employer (*see e.g. Thompson*, 78 NY2d 553 [1991] [special employers]; *Ugijanin v 2 W. 45th St. Joint Venture*, 43 AD3d

911 [2d Dept 2007] [same]; *Alvarez v Cunningham Assoc., L.P.*, 21 AD3d 517 [2d Dept 2005] [same]; *Kramps v Goldbetter*, 292 AD2d 571 [2d Dept 2002] [employer in alter ego context]; *Gonzalez v Lovett Assoc.*, 228 AD2d 342 [1st Dept 1996] [special employer in managing agency context]; *Reynoso v Kensington Mgt. Servs.*, 181 AD2d 415, 415 [1st Dept 1992] [same]; *Felder v Old Falls Sanitation Co.*, 47 AD2d 977 [3d Dept 1975], *affd* 39 NY2d 855 [1976] [employer in joint venture context]; *Fallone v Misericordia Hosp.*, 23 AD2d 222 [1st Dept 1965], *affd* 17 NY2d 648 [1966] [same]) or coemployee (*see e.g. Hanford v Plaza Packaging Corp.*, 2 NY3d 348, 350 [2004]; *Macchirole v Giamboi*, 97 NY2d 147 [2001]; *Sojka v Romeo*, 293 AD2d 522 [2d Dept 2002]).

Essential to all of these decisions is a working relationship with the injured plaintiff sufficient in kind and degree so that the third party, or the third party's employer, may be deemed plaintiff's employer. In *Thompson*, for example, we reaffirmed the principle that an employee "of one employer may also be in the special employ of another" when certain factors exist (78 NY2d at 557). A special employee is "one who is transferred for a limited time of whatever duration to the service of another," and limited liability inures to the benefit of both the general and special employer (*id.*; *see also Schramm v Cold Spring Harbor Lab.*, 17 AD3d 661, 662 [2d Dept 2005]). Although no one factor is determinative, a "significant" and "weighty feature" in deciding whether a special employment relationship exists is "who controls and directs the manner, details and ultimate result of the employee's work"—in other words, who determines "all essential, locational and commonly recognizable components of the [employee's] work relationship" (78 NY2d at 558; *see also Ugijanin*, 43 AD3d at 913 [discussing "(p)rincipal factors in determining the existence of a special employment relationship," including control, direction and supervision, payment of wages and furnishing of equipment, hiring and discharging, among others]). Thus, we have always looked to the underlying facts of the parties' relationship, and the same considerations govern a section 11 claim to immunity in other contexts, regardless of title.

Similarly, in *Macchirole*, we reiterated the basic principles for assessing an immunity defense under section 29 (6). "Parties are coemployees in 'all matters arising from and connected with their employment' " (97 NY2d at 150, quoting *Heritage v Van Patten*, 59 NY2d 1017, 1019 [1983]). Among other limitations not relevant here, the parties must have been ‘‘acting within the scope of their employment, as coemployees, at the time of injury’’ (*id.*; *see also Hanford*, 2 NY3d at 350).

Thus, it is not the title of the purported ‘‘employer’’—in this case, a putative managing agent—that controls, but rather the actual working relationship between that party and the purported ‘‘employee.’’ Here, JAMC argues agency but stops conspicuously short of explaining its working relationship with Fung or his employer. The title alone, however, does not suffice (*see Thompson*, 78 NY2d at 557; *Bynog v Cipriani Group*, 1 NY3d 193, 200 [2003]; *Macchirole*, 97 NY2d at 150; *see also Smith v Delta Intl. Mach. Corp.*, 2007 WL 1540958, *5, 2007 US Dist LEXIS 38373, *16 [ED NY 2007] [‘‘regardless of the (managing agency) title, the entity must demonstrate that it controlled and directed the manner, details and ultimate result of the employee’s work’’]; *Dashnau v Coulston Found.*, 1997 WL 305255, *3, 1997 US Dist LEXIS 7602, *8 [SD NY 1997] [noting that managing agency status ‘‘begs the question of the actual ‘degree of control exercised over the employee’ and, more importantly, whether the (agent) enjoyed ‘exclusive daily control over the direction and manner’ of (the employee’s) work’’]).

If, on the other hand, JAMC argues by implication, as it appears to do, that it had a working relationship with Fung or the Port Authority sufficient to be deemed his special employer, no record evidence exists to support that conclusion. Instead, the record reflects that the Port Authority directed, supervised and controlled all aspects of Fung’s employment as an electrician. As plaintiffs argued, ‘‘there has been no evidence that [JAMC] had any contact with plaintiff at all.’’ Moreover, JAMC does not seriously argue that it is Fung’s coemployee (*see* Workers’ Compensation Law § 29 [6]). We thus conclude, as did Supreme Court, that the Port Authority and JAMC are separate legal entities with separate day-to-day control over their respective employees’ work. Accordingly, neither section 11 nor section 29 (6) serves to bar plaintiffs’ action against JAMC.

B. Action No. 2: Fung v Aero Snow Removal Corp.

In their direct action against Aero, plaintiffs concede that the JAMC/Aero contract to provide snow removal services does not, standing alone, trigger a duty of care running to them. They argue, nevertheless, that Aero’s failure to salt or sand the area of snow it plowed left open the possibility that the mounds of snow may have melted and refrozen, or that its plowing left a thin sheet of snow, thus creating or exacerbating a dangerous condition. This argument is without merit.

[2] We have recognized three exceptions to the general rule that a "breach of a contractual obligation will not be sufficient in and of itself to impose tort liability to noncontracting third parties upon the promisor" (*Church v Callanan Indus.*, 99 NY2d 104, 111 [2002]). While plaintiffs urge the exception based on negligent performance of a service required under a contract, we have previously rejected a similar argument in *Espinal v Melville Snow Contrs.* (98 NY2d 136 [2002]). As we noted in *Espinal*, by merely plowing the snow, as required by the contract, defendant's actions could not be said "to have created or exacerbated a dangerous condition" (*id.* at 142). Here, as in *Espinal*, plaintiffs point to no term of the JAMC/Aero contract that required Aero to salt or sand the parking lot absent JAMC's request to do so, nor to record evidence that such a request was made. Therefore, because Aero owed no duty of care to Fung, plaintiffs' claim against Aero must fail.

Accordingly, the Appellate Division order should be modified, with costs to plaintiffs against Japan Airlines Management Corp., by remitting to the Second Department for consideration of issues raised but not determined on the appeal to that court that pertain to plaintiffs and Japan Airlines Management Corp. and, as so modified, affirmed, with costs to Aero Snow Removal Corp. against plaintiffs.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order modified, etc.

[880 NE2d 861, 850 NYS2d 375]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM CUADRADO, Appellant.

Argued November 13, 2007; decided December 18, 2007

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 13, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (William A. Wetzel, J.; op 8 Misc 3d 1011[A], 2005 NY Slip Op 51023[U]), which had granted defendant's motion pursuant to CPL 440.10 and vacated a judgment convicting him of assault in the first degree, upon his plea of guilty, and imposing sentence; (2) denied the motion; and (3) reinstated the judgment of conviction and sentence.

People v Cuadrado, 37 AD3d 218, affirmed.

HEADNOTE

Crimes — Indictment — Waiver of Indictment

Defendant, who waived indictment and pleaded guilty to a charge contained in a superior court information, and then appealed from the conviction without complaining that the waiver and plea were invalid, was barred from raising the issue later, in a motion to vacate his conviction under CPL 440.10. Defendant's motion was barred by CPL 440.10 (2) (c), which mandated denial of a motion to vacate a judgment where the ground or issue raised upon the motion could have been reviewed upon appeal from the judgment but was not reviewed because of the defendant's unjustifiable failure to raise such ground or issue upon appeal. Although a defendant could raise the contention that the court did not have jurisdiction of the action or of the person of the defendant (CPL 440.10 [1] [a]), denial of defendant's motion herein was required due to the existence of circumstances described in CPL 440.10 (2) (c).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 205, 208; AM JUR 2d, Criminal Law §§ 647, 721, 753–755; AM JUR 2d, Indictments and Informations §§ 14, 16.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1148, 172:1150, 172:1151, 172:4184, 172:4185, 172:4201–172:4204, 172:4209.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.5, 27.2, 27.5.

MCKINNEY'S, CPL 440.10 (1) (a); (2) (c).

NY JUR 2d, Criminal Law §§ 1171–1174, 3054, 3064, 3072.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Guilty Plea; Indictments and Informations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: waiv! /2 indictment /p invalid /s conviction

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Margaret E. Knight, Richard M. Greenberg* and *Daniel A. Warshawsky* of counsel), for appellant. The trial court properly granted William Cuadrado's motion to vacate his conviction of assault in the first degree where Mr. Cuadrado's conviction was the product of his guilty plea to a superior court information entered though he was not being held for grand jury action; his conviction thus suffered from a fundamental jurisdictional defect, and his challenge to that defect could not be waived and was not procedurally barred. (*People v Boston,* 75 NY2d 585; *People v Iannone,* 45 NY2d 589; *People v Casdia,* 163 AD2d 604, 78 NY2d 1024; *People v Trueluck,* 88 NY2d 546; *People v Young,* 241 AD2d 690; *People v Davis,* 171 AD2d 957; *People v Robbins,* 283 AD2d 152; *People v Libby,* 246 AD2d 669; *People v Keizer,* 100 NY2d 114; *People ex rel. Battista v Christian,* 249 NY 314.)

Robert M. Morgenthau, District Attorney, New York City (*Michael S. Morgan* and *Eleanor J. Ostrow* of counsel), for respondent. The Appellate Division correctly held that defendant's motion to vacate his judgment of conviction was subject to the mandatory procedural bar imposed by CPL 440.10 (2) (c). (*People v Farrar,* 52 NY2d 302; *People v Cameron,* 83 NY2d 838; *People v Escobar,* 61 NY2d 431; *People v Cooks,* 67 NY2d 100; *People v Mower,* 97 NY2d 239; *People ex rel. Gibbs v Vincent,* 39 NY2d 918; *People v Sadness,* 300 NY 69; *People v Howard,* 12 NY2d 65; *People v Smith,* 79 NY2d 309; *People v Boston,* 75 NY2d 585.)

OPINION OF THE COURT

SMITH, J.

Defendant waived indictment and pleaded guilty to a charge contained in a superior court information. It is now conceded that the waiver and plea were invalid, but defendant appealed from his conviction without complaining of that defect. We hold that defendant is barred from raising the issue later, in a motion to vacate his conviction under CPL 440.10.

Facts and Procedural History

In 1991, defendant was one of a group of men who tried to rob a delicatessen. Two people were shot, and one of them died. Defendant was indicted for murder, attempted robbery, and criminal possession of a weapon. He was not indicted on any assault charge, but in 1992 he agreed to plead guilty to assault in the first degree, among other crimes; to implement this agreement, he signed a waiver of indictment and pleaded guilty to a superior court information alleging first-degree assault. He received a sentence of 4 to 12 years for that crime, to run consecutively to other sentences imposed on him.

The People now concede that the waiver of indictment was invalid (*see* NY Const, art I, § 6 [permitting waiver of indictment for an ''infamous crime'' only by ''a person held for the action of a grand jury'' on a charge ''other than one punishable by death or life imprisonment'']; *People v Boston*, 75 NY2d 585 [1990]; *People v Trueluck*, 88 NY2d 546 [1996]). As *Boston* and *Trueluck* illustrate, this was a defect that defendant could have challenged on direct appeal. However, defendant appealed his conviction to the Appellate Division without raising this issue, or any other except the claimed excessiveness of his sentence.

In 2004, 12 years after pleading guilty, defendant moved under CPL 440.10 to vacate his assault conviction, relying on the invalid waiver of indictment. Supreme Court granted the motion, but the Appellate Division reversed, with one Justice dissenting (*People v Cuadrado*, 37 AD3d 218 [1st Dept 2007]). An Appellate Division Justice granted leave to appeal, and we now affirm the order of the Appellate Division.

Discussion

Defendant's motion to vacate his conviction is barred by CPL 440.10 (2) (c), which says:

> ''[T]he court must deny a motion to vacate a judgment when: . . .
>
> ''(c) Although sufficient facts appear on the record of the proceedings underlying the judgment to have permitted, upon appeal from such judgment, ade-

> quate review of the ground or issue raised upon the motion, no such appellate review or determination occurred owing to the defendant's . . . unjustifiable failure to raise such ground or issue upon an appeal actually perfected by him.''

CPL 440.10 (1) lists, among the grounds it permits a defendant to raise, a contention that ''[t]he court did not have jurisdiction of the action or of the person of the defendant'' (CPL 440.10 [1] [a]). A motion on this ground, as on all the other grounds listed in the statute, must be denied when the circumstances described in CPL 440.10 (2) (c) exist.

Defendant does not dispute that those circumstances exist here: he has omitted an issue that he could have raised on appeal, and then raised the same issue in a CPL article 440 motion. He argues, however, that the statutory bar may not be applied in this case, because the defect he complains of is a ''fundamental jurisdictional'' one. We reject the argument. Whether or not a defect is properly described by the adjectives ''fundamental'' and ''jurisdictional,'' it is within the power of the Legislature to make reasonable rules governing when those defects may be complained of. As long as those rules give a defendant a fair opportunity to vindicate his rights, they should be enforced. CPL 440.10 (2) (c) is such a rule.

Defendant contends that he has a constitutional right to attack his conviction collaterally, despite his failure to do so on direct appeal. He relies on *People ex rel. Battista v Christian* (249 NY 314 [1928]), in which habeas corpus was granted to a defendant who had pleaded guilty to an invalidly-filed information. But *Battista* was decided before CPL article 440 was enacted. Neither it nor any other case holds that the Legislature cannot regulate the manner in which a jurisdictional defect in a conviction may be raised.

There are obvious good reasons for the Legislature's choice to require that jurisdictional, as well as other, defects that can be raised on direct appeal be raised in that way or not at all. As this case shows, a less restrictive rule would be an invitation to abuse. There is no indication in this record that defendant was dissatisfied with his plea when he entered it, or even when he chose to appeal the resulting conviction on no ground except the excessiveness of the sentence. He delayed for 12 years in raising the issue he now raises. It would be at best difficult and at worst impossible for the People to revive the case against him now, and there is no good reason to require them to do so.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed.

[880 NE2d 6, 849 NYS2d 485]

In the Matter of JENNIFER AMOROSI, Appellant, v SOUTH COLONIE INDEPENDENT CENTRAL SCHOOL DISTRICT et al., Respondents.

Argued November 13, 2007; decided December 18, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 22, 2006. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Albany County (Leslie E. Stein, J.), which had granted petitioner's application pursuant to General Municipal Law § 50-e (5) for leave to serve a late notice of claim; and (2) denied the application.

Matter of Amorosi v South Colonie Ind. Cent. School Dist., 34 AD3d 1073, affirmed.

HEADNOTE

Limitation of Actions — What Statute Governs — Claim against School District for Illegal Workplace Discrimination

The one-year statute of limitations contained in Education Law § 3813 (2-b) is applicable to a damages claim for illegal workplace discrimination brought under Executive Law § 296 against a school district. The plain language of Education Law § 3813 (2-b) provides for a one-year statute of limitations for all non-tort claims against a school district, including actions to redress discriminatory practices. The Legislature's intent is discernible from the unequivocal language of subdivision (2-b). Grafting the three-year statute of limitations of CPLR 214 (2) onto Education Law § 3813 to create an exception would render the statute's unambiguous language superfluous.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Job Discrimination §§ 1898, 1901; AM JUR 2d, Limitation of Actions §§ 142, 145.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:38, 13:176.

MCKINNEY'S, CPLR 214 (2); Education Law § 3813 (2–b); Executive Law § 296.

NY JUR 2d, Government Tort Liability § 347; NY JUR 2d, Limitations and Laches §§ 59, 234; NY JUR 2d, Schools, Universities, and Colleges § 855.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

See ALR Index under Civil Rights and Discrimination; Limitation of Actions; Schools and Education.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: limitation /p discriminat! /s school /2 district

POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), and *Harris & Conway, PLLC* for appellant. I. The three-year statute of limitations contained in CPLR 214 (2) that governs civil actions to recover damages pursuant to the Human Rights Law for unlawful discrimination by private and public employers is equally applicable to an unlawful discrimination action against a school district and its officials. (*City of Schenectady v State Div. of Human Rights,* 37 NY2d 421; *Board of Educ. of Union Free School Dist. No. 2, E. Williston, Town of N. Hempstead v New York State Div. of Human Rights,* 42 AD2d 49, 35 NY2d 673; *Mills v County of Monroe,* 89 AD2d 776, 59 NY2d 307; *Stoetzel v Wappingers Cent. School Dist.,* 166 AD2d 643; *Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539; *Board of Educ. of Union Free School Dist. No. 2, E. Williston, Town of N. Hempstead v New York State Div. of Human Rights [Arluck],* 44 NY2d 902; *Lane-Weber v Plainedge Union Free School Dist.,* 213 AD2d 515, 87 NY2d 968; *Pierson v City of New York,* 56 NY2d 950; *Matter of Stevens v Board of Educ. of McGraw Cent. School Dist.,* 261 AD2d 698; *Murphy v American Home Prods. Corp.,* 58 NY2d 293.) II. Petitioner's application to file a late notice of claim is not untimely as it was made 20 months after the accrual of petitioner's discrimination claim, well within the three-year statute of limitations governing her claim. III. This matter must be remanded to the Appellate Division so that the Court can determine and review whether Supreme Court abused its discretion in granting petitioner's application.

Ryan & Smallacombe, PLLC, Albany (*John F. Moore* of counsel), for respondents. The one-year statute of limitations contained in Education Law § 3813 (2-b) is applicable to all New York State actions or proceedings, including discrimination claims. (*Mills v County of Monroe,* 59 NY2d 307; *Pierson v City of New York,* 56 NY2d 950; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *Matter of Raritan Dev. Corp. v Silva,* 91 NY2d 98; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo,* 6 NY3d 578; *Matter of M.B.,* 6 NY3d 437; *State of New York v Patricia II.,* 6 NY3d 160; *Matter of Tall Trees*

Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington, 97 NY2d 86; *Matter of Brown v Wing,* 93 NY2d 517.)

James R. Sandner, Latham, and *Kevin H. Harren* for New York State United Teachers, amicus curiae. The appropriate statute of limitations for challenging unlawful discrimination by a school district is the three-year statute set forth in CPLR 214 (2). (*Murphy v American Home Prods. Corp.,* 58 NY2d 293; *Koerner v State of N.Y., Pilgrim Psychiatric Ctr.,* 62 NY2d 442.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal we are asked to determine the statute of limitations applicable to a damages claim for illegal workplace discrimination brought under Executive Law § 296 against a school district. We conclude that the clear and unambiguous language of Education Law § 3813 (2-b) provides that the statute of limitations on such a claim is one year.

Petitioner Jennifer Amorosi was hired by respondent school district in July 1999 as a temporary part-time guidance counselor. In January 2001, she became a full-time counselor and began a three-year probationary period, at the end of which the district would decide whether to grant her tenure. In January 2002, petitioner commenced a maternity leave, returning to work in September 2002. In June 2003, petitioner and the district agreed to extend her probationary period until June 2004. In the first three school years of petitioner's employment, she received favorable reviews, indicating that she was progressing toward tenure. Petitioner's July 2003 review, however, stated that her prospects for tenure depended upon addressing certain performance-related recommendations. Three months later, in October 2003, petitioner sought a second maternity leave. After returning from her second leave in December 2003, petitioner alleges that she received the ''poorest'' review rating to date and was asked to resign. Petitioner resigned in January, effective June 2004. Petitioner alleges that in early 2005 she became aware of the school district's alleged pattern of discriminatory practices toward pregnant teachers from a local newspaper and from conversations with other female employees who were denied tenure.

On September 7, 2005, petitioner commenced this proceeding against the district and several of its employees. In accordance with Education Law § 3813 (2-a), she sought leave to serve a late notice of claim. In her claim, petitioner alleges that she was discriminated against in violation of Executive Law § 296 because she took maternity leave.

Relying on *Lane-Weber v Plainedge Union Free School Dist.* (213 AD2d 515, 516 [2d Dept 1995], *lv dismissed* 87 NY2d 968 [1996]) and *Stoetzel v Wappingers Cent. School Dist.* (166 AD2d 643, 643 [2d Dept 1990]), Supreme Court granted petitioner's application for leave to serve a late notice of claim, holding that CPLR 214 (2) provides a three-year statute of limitations for an Executive Law § 296 claim brought against a school district. The Appellate Division reversed, rejected the reasoning of the Second Department cases relied upon by Supreme Court and concluded that the clear language of Education Law § 3813 (2-b) provides for a one-year statute of limitations. Further, the Appellate Division held that Supreme Court lacked the discretion to grant "petitioner's application for leave to serve a late notice of claim since petitioner commenced this proceeding more than one year after her cause of action arose" (34 AD3d 1073, 1074 [2006]). We granted leave to appeal, and now affirm.

Education Law § 3813 governs the presentation of claims against a governing body of a school district. Subdivision (1) provides, in relevant part, that:

> "No action or special proceeding, for any cause whatever, . . . shall be prosecuted or maintained against any school district . . . unless . . . a written verified claim upon which such action or special proceeding is founded was presented to the governing body of said district or school within three months after the accrual of such claim."

Tort claims against a school district are excepted from the statute's notice requirements, and must comply with the notice requirements found in General Municipal Law § 50-e (*see* Education Law § 3813 [2]). However, a claimant who fails to timely notify the governing body within the three months, pursuant to Education Law § 3813 (1), may apply for an extension. Education Law § 3813 (2-a) provides that "[u]pon application, the court, in its discretion, may extend the time to serve a notice of claim. The extension shall not exceed the time limited for the commencement of an action by the claimant against any district or any such school." The time limited for commencement of such action is provided for in Education Law § 3813 (2-b), which states that:

> "Except as provided in subdivision two of this sec-

> tion and, notwithstanding any other provision of law providing a longer period of time in which to commence an action or special proceeding, no action or special proceeding shall be commenced against any entity specified in subdivision one of this section more than one year after the cause of action arose.''

Thus, according to the statute, a late notice of claim must be filed no later than one year after a cause of action accrues. The question for us to determine is whether this one-year statute of limitations applies to an Executive Law § 296 cause of action.

In *Koerner v State of N.Y., Pilgrim Psychiatric Ctr.* (62 NY2d 442, 446 [1984]) and *Murphy v American Home Prods. Corp.* (58 NY2d 293, 307 [1983]), we concluded that the history of the Human Rights Law (Executive Law § 290 *et seq.*) compelled the conclusion that the statute of limitations for a discrimination claim is three years. Petitioner argues that this three-year statute of limitations should likewise apply to claims brought against a school district notwithstanding the language of Education Law § 3813 (2-b). She urges that the statute's legislative history evinces the intent to have that provision's one-year statute of limitations refer only to contract disputes against school districts, and that applying a one-year statute of limitations to a single class of employees—school district employees—runs counter to the goals of New York's Human Rights Law. Respondents, on the other hand, maintain that the plain language of Education Law § 3813 (2-b) provides for a one-year statute of limitations for all non-tort claims, including actions to redress discriminatory practices, and that the cases relied upon by petitioner are inapposite. We agree with respondents.

Petitioner's reliance on *Koerner* and *Murphy* is misplaced. The defendant in *Koerner* was Pilgrim State Psychiatric Center, a facility operated under the jurisdiction of the New York State Department of Mental Hygiene, and in *Murphy* the defendant was American Home Products Corporation, a private employer. Neither involved application of the Education Law with its shortened statute of limitations. To be sure, we opined in those cases that the applicable statute of limitations for the subject Executive Law § 296 discrimination claims was three years, but those conclusions were not based on application of Education Law § 3813.

Petitioner's reliance on *Lane-Weber* and *Stoetzel* is equally misplaced, even though the defendants in those matters were indeed school districts. In *Lane-Weber*, the Appellate Division, citing to *Koerner*, stated that the statute of limitations for an Executive Law § 296 claim is three years. The issue in that case, however, was whether an action under Executive Law § 296 is subject to the notice of claim provisions in either Education Law § 3813 (2) or General Municipal Law § 50-e. The court held that the Executive Law § 296 claim is not subject to either notice of claim provision because a discrimination action is not a tort claim.

In *Stoetzel*, the Appellate Division, citing to *Koerner* and *Murphy*, likewise opined that the statute of limitations for an Executive Law § 296 claim is three years. The issue there, however, was whether the plaintiff complied with the notice of claim requirement or sought leave to serve a late notice of claim within that three-year statute of limitations. The court concluded that the plaintiff had failed on both counts, and that the plaintiff's motion for leave to serve a late notice of claim was properly denied.

Thus, neither decision involved the specific application of Education Law § 3813 (2-b) to an Executive Law § 296 claim, as is the case here.

Petitioner urges us to consider the legislative history of the Human Rights Law and Education Law § 3813 to determine what statute of limitations the Legislature intended to apply to an Executive Law § 296 claim against a school district. We have previously opined that:

> ''[I]t is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature, but we have correspondingly and consistently emphasized that where the statutory language is clear and unambiguous, the court should construe it so as to give effect to the plain meaning of the words used . . . .
>
> ''We have provided further clear teaching and guidance that absent ambiguity the courts may not resort to rules of construction to broaden the scope and application of a statute, because no rule of construction gives the court discretion to declare the intent of the law when the words are unequivocal. Lastly, the courts are not free to legislate and if any unsought consequences result, the Legislature is best suited to evaluate and resolve them'' (*Matter*

of Raritan Dev. Corp. v Silva, 91 NY2d 98, 106-107 [1997] [internal quotation marks, citations, emphasis and brackets omitted]).

We are hard-pressed to find any ambiguity in the language of section 3813 (2-b). Petitioner has not identified any, and in fact concedes that the language is clear but asks us to give way to legislative intent, claiming that this one-year statute of limitations was created solely as relates to claims by contractors and further that a one-year statute of limitations is contrary to the intent underlying the legislative creation of civil remedies to redress Human Rights Law violations.

Despite any provision for a longer statute of limitations, such as the three-year statute of limitations in CPLR 214 (2), as urged by petitioner, the one-year limitation prescribed in Education Law § 3813 (2-b) should govern discrimination claims against a school district. This is because the Legislature's intent is discernible from the unequivocal language of subdivision (2-b); we need not resort to rules of construction or consider the legislative history of either the Human Rights Law or Education Law § 3813 here. Moreover, grafting the three-year statute of limitations of CPLR 214 (2) onto Education Law § 3813, to create an exception, would render the statute's unambiguous language superfluous. As we have stated previously, such a construction should be avoided (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 587 [1998]).

Furthermore, ''[t]he Legislature is presumed to be aware of the law in existence at the time of an enactment'' (*B & F Bldg. Corp. v Liebig*, 76 NY2d 689, 693 [1990]). The Human Rights Law was enacted in 1968, and Education Law § 3813 (2-b) was enacted in 1981. Had the Legislature wanted a longer statute of limitations for illegal workplace discrimination claims against school districts, it could have excepted those claims from the language of Education Law § 3813 (2-b), just as it did for tort claims in Education Law § 3813 (2). It did not do so.

We conclude that the latest that petitioner's claim against the district could have accrued was January 2004, when she resigned. Petitioner's September 2005 application for leave to file a late notice of claim, filed more than a year and eight months after her resignation, was thus untimely. Although the result is in apparent contradiction with the policy of eliminating employment discrimination in the public sector, Education Law § 3813 (2-b) left Supreme Court without discretion to grant petitioner's application to serve a late notice of claim.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[880 NE2d 22, 849 NYS2d 501]

GABRIEL FISCHBARG, Respondent, v SUZANNE DOUCET, Also Known as SUZANNE BELL-DOUCET, et al., Appellants.

Argued November 15, 2007; decided December 20, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 13, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 2005 NY Slip Op 30141[U]), which had denied defendants' motion to dismiss the complaint for lack of personal jurisdiction. The following question was certified by the Appellate Division: ''Was the order of this Court, which affirmed the order of the Supreme Court, properly made?''

Fischbarg v Doucet, 38 AD3d 270, affirmed.

HEADNOTE

Courts — Jurisdiction — Long-Arm Jurisdiction

Supreme Court properly exercised personal jurisdiction over defendants, an individual and corporation, both residents of California, who retained a New York attorney to represent the corporation in an action brought in an Oregon federal court. Defendants' retention and subsequent communications with plaintiff in New York established a continuing attorney-client relationship in this state and thereby constituted the transaction of business under CPLR 302 (a) (1). The fact that defendants were not physically present in New York was immaterial. Moreover, the present action for breach of contract and unjust enrichment arose out of defendants' transaction of business in New York. There was a substantial relationship between plaintiff's action for fees accrued during his representation of the corporate defendant in the Oregon action, defendants' solicitation of plaintiff in New York to represent the corporation in that action and defendants' communications with plaintiff in this state with respect to the Oregon matter. Finally, requiring defendants to defend the present suit accorded with due process. Defendants purposefully availed themselves of New York's legal services market by establishing a continuing attorney-client relationship with defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts §§ 72, 99; AM JUR 2d, Foreign Corporations §§ 294, 296, 451; AM JUR 2d, Process §§ 159, 165.

CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem §§ 25:23, 25:24, 25:31, 25:33, 25:39; CARMODY-WAIT 2d, Actions and Proceedings By and Against Corporations, Their Officers, Directors, and Shareholders §§ 121:92, 121:103, 121:114.

McKinney's, CPLR 302 (a) (1).

NY Jur 2d, Business Relationships §§ 1132–1134; NY Jur 2d, Courts and Judges §§ 610–612, 623, 629.

Siegel, NY Prac §§ 84–86.

ANNOTATION REFERENCE

See ALR Index under Foreign Corporations; Long Arm Statutes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: long-arm /2 jurisdiction & retain! /5 attorney

POINTS OF COUNSEL

Samuel E. Kramer, New York City, for appellants. I. The decision and order should be reversed and the complaint should be dismissed for the reasons set forth in the Appellate Division dissent. (*McKee Elec. Co. v Rauland-Borg Corp.,* 20 NY2d 377; *Warck-Meister v Diana Lowenstein Fine Arts,* 7 AD3d 351; *Jones v Munroe,* 2 Misc 3d 24; *Liberatore v Calvino,* 293 AD2d 217; *Libra Global Tech. Servs. [UK] v Telemedia Intl.,* 279 AD2d 326; *Granat v Bochner,* 268 AD2d 365; *Kreutter v McFadden Oil Corp.,* 71 NY2d 460; *Haar v Armendaris Corp.,* 40 AD2d 769; *Johnson v Ward,* 4 NY3d 516; *Kazlow & Kazlow v Goodman & Co.,* 92 Misc 2d 1084.) II. It appears that a number of conclusions reached in the decision and order are not congruent with the record. (*Rocha Toussier y Asociados v Rivero,* 91 AD2d 137; *Peterson v Spartan Indus.,* 33 NY2d 463; *Ying Jun Chen v Lei Shi,* 19 AD3d 407; *Cliffstar Corp. v California Foods Corp.,* 254 AD2d 760; *Granat v Bochner,* 268 AD2d 365; *Ziperman v Frontier Hotel of Las Vegas,* 50 AD2d 581.) III. Neither the decision and order nor the motion court order holds respondent to his burden of proving jurisdiction. (*Teplin v Manafort,* 81 AD2d 531; *Roldan v Dexter Folder Co.,* 178 AD2d 589; *Spectra Prods. v Indian Riv. Citrus Specialties,* 144 AD2d 832; *Brandt v Toraby,* 273 AD2d 429; *Boser v Burdick,* 62 AD2d 1134; *O'Brien v Hackensack Univ. Med. Ctr.,* 305 AD2d 199.)

Gabriel Fischbarg, New York City, respondent pro se. I. The trial court and Appellate Division did not err in finding personal jurisdiction over appellants. (*Kaczorowski v Black & Adams,* 293 AD2d 358; *Colucci & Umans v 1 Mark,* 224 AD2d 243; *Ot-*

terbourg, Steindler, Houston & Rosen v Shreve City Apts., 147 AD2d 327; *Elman v Belson,* 32 AD2d 422.) II. The conclusions reached in the decision are entirely consistent with the record. III. Appellants' argument that the complaint fails to identify the basis for long-arm jurisdiction should not be considered because it is being raised for the first time on appeal. (*Devlin v Video Servs. Acquisition,* 188 AD2d 370; *Chiulli v Cross Westchester Dev. Corp.,* 130 AD2d 616; *Habenicht v Nassau County Dept. of Social Servs.,* 123 AD2d 667; *Ford v Martino,* 281 AD2d 587; *Gonfiantini v Zino,* 184 AD2d 368; *Antonetti v City of Syracuse,* 52 AD2d 742.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine whether Supreme Court properly exercised personal jurisdiction over defendants, an individual and corporation, both residents of California, who retained a New York attorney to represent the corporation in an action brought in an Oregon federal court. Because we conclude that defendants' retention and subsequent communications with plaintiff in New York established a continuing attorney-client relationship in this state and thereby constitute the transaction of business under CPLR 302 (a) (1), we hold that the exercise of jurisdiction was proper.

I.

In February 2001, defendant Suzanne Bell-Doucet, a California resident and president of defendant Only New Age Music, Inc. (ONAM), a California corporation, placed a telephone call to plaintiff, attorney Gabriel Fischbarg, a member of the New York bar, at his New York office. During the ensuing conversation, the parties discussed plaintiff's potential representation of ONAM in a lawsuit alleging breach of contract, fraud and copyright infringement claims against Allegro Corp., a nonparty Oregon corporation. On February 23, Ms. Bell-Doucet sent a letter to plaintiff's New York office to confirm that he "offered to take this case on [a one-third] contingency" and that she would pay him a $2,000 deposit "against expenses." Enclosed with the February 23 letter were "contracts, copyrighted material, [an] outline of events, and copies of correspondence" for plaintiff's review. According to plaintiff, after receiving these materials, he entered into a retainer agreement with defendants by telephone from his New York office.

On May 30, 2001, Allegro filed suit against ONAM in the United States District Court for the District of Oregon. Although plaintiff was admitted to that court pro hac vice, during the course of the Oregon action, he was never physically present in Oregon. Nor did he ever meet with plaintiffs in California. Instead, plaintiff conducted his work pertaining to the Oregon action—allegedly 238.4 hours worth—from New York. He appeared at depositions and court conferences, and argued a motion for summary judgment via telephone from New York.

In addition, defendants repeatedly communicated with plaintiff in New York. According to plaintiff, over the course of approximately nine months (May 2001 through January 2002) during his representation of ONAM in the Oregon action, he spoke with defendants by telephone at least twice per week regarding their case.[1] Plaintiff's time records also show that on at least 31 occasions defendants sent e-mails regarding the Oregon case to plaintiff, that on three occasions they faxed materials to him, and that defendants sent plaintiff documents, by either mail or e-mail,[2] seven times.[3]

On January 15, 2002, a dispute regarding the terms of plaintiff's retainer agreement arose. That same day, defendants accepted plaintiff's e-mailed resignation as their attorney.[4] While the Oregon action was still pending, plaintiff moved the Oregon court for an order awarding him $57,906.05 for services rendered prior to his resignation. The court denied plaintiff's motion, concluding that it lacked personal and subject matter jurisdiction over the fee dispute. But the Oregon court held that a series of e-mails between plaintiff and defendant Bell-Doucet prior to his resignation established his contractual right to ''a fair legal fee'' at the conclusion of the Oregon action.

---

1. Before this Court, defendants have disputed the frequency of their telephonic conversations with plaintiff. But the record reflects no such discrepancy. Instead, in an affidavit, defendant Bell-Doucet admitted to engaging in some unspecified ''limited number'' of phone calls with plaintiff. Plaintiff does admit, however, that the time records he submitted do not catalog each and every telephone call between the parties. Those records only reflect eight such calls.

2. Plaintiff has annotated his time records to indicate when he received mail or e-mail from defendants. Seven of his entries, however, do not make clear which of these media defendants used to communicate with him.

3. These calculations do not take into account communications that occurred following the fee dispute that forms the basis of this action.

4. Prior to his resignation, defendants made two payments to plaintiff, totaling $2,000. The record is silent regarding where these payments were tendered.

On January 10, 2005, defendants entered into a settlement agreement that terminated the Oregon action. On January 31, plaintiff initiated the present lawsuit seeking damages for breach of contract and unjust enrichment. His complaint recited no specific statutory basis for personal jurisdiction over defendants. It simply alleged that defendant Bell-Doucet ''is an individual residing in Los Angeles, California'' and that defendant ONAM ''is a California corporation doing business in this State.'' Defendants responded with a motion to dismiss for lack of personal jurisdiction under CPLR 3211 (a) (8).

Supreme Court denied the motion. It held that it could properly exercise personal jurisdiction over defendants pursuant to CPLR 302 (a) (1) because their ''activities in retaining plaintiff, . . . a New York attorney[,] situated in New York, to represent them in the Oregon Action w[ere] purposeful and a sufficient nexus exists between that retention . . . and the instant claim regarding allegedly unpaid legal fees'' (2005 NY Slip Op 30141[U], *6). The Appellate Division, in a 3-2 decision, agreed.

The majority reasoned that by seeking out plaintiff's representation in New York and ''[b]y working with plaintiff on a consistent basis . . . defendants 'transacted business' in New York sufficient to subject themselves to this State's jurisdiction'' (38 AD3d 270, 274 [2007]). But two Justices dissented, finding the defendants' contacts with this state ''insufficient'' to confer CPLR 302 (a) (1) jurisdiction (*id.* at 276). The dissenters supported their reasoning with our decision in *Haar v Armendaris Corp.* (31 NY2d 1040 [1973]), which they interpreted as precluding plaintiff from relying upon his ''own activities in New York . . . to establish jurisdiction'' (38 AD3d at 278).

Thereafter, the Appellate Division granted defendants leave to appeal to this Court and certified to us the question whether its ''order . . . which affirmed the order of the Supreme Court [was] properly made?'' We answer that question in the affirmative.

II.

Defendants argue that they have transacted no business in New York because they have not purposefully availed themselves of the privileges and protections of our state's laws. According to them, their retention of plaintiff and their communications—by telephone, facsimile and e-mail—with him are, as a matter of law, insufficient predicates for long-arm jurisdiction.

Further, defendants contend that the courts below erroneously relied upon plaintiff's unilateral New York activities to uphold jurisdiction. Plaintiff argues to the contrary. We agree with plaintiff.

CPLR 302 (a) (1) jurisdiction is proper "even though the defendant never enters New York, so long as the defendant's activities here were purposeful and there is a substantial relationship between the transaction and the claim asserted" (*Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65, 71 [2006], quoting *Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 467 [1988]). Purposeful activities are those with which a defendant, through volitional acts, "avails itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws" (*McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377, 382 [1967]; *see also Ford v Unity Hosp.*, 32 NY2d 464, 471 [1973] [holding that third-party defendant did not engage in "purposeful( ) avail(ment)" because it "purposefully avoided any contacts with New York, limiting its agency agreement . . . to certain States, excluding New York"]).

Not all purposeful activity, however, constitutes a "transaction of business" within the meaning of CPLR 302 (a) (1). Thus, we have held that "merely telephon[ing] a single order" to New York requesting a shipment of goods to another state (*see Parke-Bernet Galleries v Franklyn*, 26 NY2d 13, 17 [1970], citing *M. Katz & Son Billiard Prods. v Correale & Sons*, 20 NY2d 903 [1967]), the transitory presence of a corporate official here (*see McKee*, 20 NY2d at 382), and communications and shipments sent here by an out-of-state doctor serving as a "consultant" to plaintiff's New York physician (*see Etra v Matta*, 61 NY2d 455, 458-459 [1984]) do not support CPLR 302 (a) (1) jurisdiction. Here, however, we are not presented with such limited contacts. Instead, the case before us concerns defendants' purposeful attempt to establish an attorney-client relationship here and their direct participation in that relationship via calls, faxes and e-mails that they projected into this state over many months. Although it is impossible to precisely fix those acts that constitute a transaction of business, our precedents establish that it is the quality of the defendants' New York contacts that is the primary consideration (*see* Siegel, NY Prac § 86 [4th ed], citing *Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443 [1965]).

The quality of defendants' contacts here establishes a transaction of business in New York. Defendants sought out plaintiff in New York and established an ongoing attorney-client relationship with him. Plaintiff's time records and affidavit demonstrate that during the course of the representation, defendants communicated regularly with him in this state.[5] These facts are similar to those in *George Reiner & Co. v Schwartz* (41 NY2d 648 [1977]). There, the defendant, a resident of Massachusetts, traveled to New York in response to an advertisement, published in the Boston Globe, seeking salesmen (*see id.* at 649). While here, he entered into an agreement to work on defendant's behalf in "the New England area," which was defined to exclude New York (*see id.*). In concluding that CPLR 302 (a) (1) jurisdiction over the defendant was proper in a breach of contract suit brought in this state, we emphasized that the defendant's New York contacts comprised "the purposeful creation of a continuing relationship with a New York corporation" (*id.* at 653; *see also id.* at 654 [distinguishing *McKee* because of the "nature and quality" of the New York contact]). A continuing relationship was also contemplated and created here, as evidenced by defendants' retention letter and the many communications cited in plaintiff's affidavit and time records, even though defendants never entered New York.[6]

The fact that the defendant in *Reiner* was physically present in New York, whereas defendants here were not, is immaterial.

---

5. Defendants claim that plaintiff's complaint is subject to dismissal because it failed to allege a basis for personal jurisdiction. Defendants are wrong (*see* Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C302:5 ["Nowhere in the CPLR's rules of pleading is there any requirement of an allegation of the court's jurisdiction"]). Rather, "[i]f the defendant moves to dismiss due to the absence of a basis of personal jurisdiction, the plaintiff must come forward with sufficient evidence, through affidavits and relevant documents, to prove the existence of jurisdiction" (*id.*). This is precisely what occurred here.

6. Defendants fail to account for the significance of this continuing relationship. This is evidenced by their reliance upon trial court decisions rejecting CPLR 302 (a) (1) jurisdiction where a New York real estate agent "traveled to Florida" and executed an agreement in that state to market properties in Florida, Maryland, Washington, D.C., and Virginia with a Florida corporation (*see Kimco Exch. Place Corp. v Thomas Benz, Inc.*, 9 Misc 3d 1125[A], 2005 NY Slip Op 51791[U], *3 [Sup Ct, Nassau County 2005]) and where a California corporation purchased a quantity of yarn on one occasion from a New York manufacturer (*see Southern Indus. of Clover, Ltd. v Tex-Cellence, Inc.*, 7 Misc 3d 1007[A], 2005 NY Slip Op 50480[U] [Sup Ct, Bronx County 2005]). Although these cases state the general proposition that telephone calls, e-mails and faxes are not, in and of themselves, sufficient long-arm predicates, they offer little guidance in deciding the present case, which concerns the solicitation of and participation in an ongoing attorney-client relationship with a New York lawyer.

It is well settled that ''one need not be physically present [here] . . . to be subject to the jurisdiction of our courts under CPLR 302'' (*Parke-Bernet*, 26 NY2d at 17). Indeed, we reaffirmed this principle just last year in upholding long-arm jurisdiction over a ''sophisticated institutional trader'' who communicated with a New York securities broker using an ''instant messaging service'' akin to e-mail (*Deutsche Bank*, 7 NY3d at 69, 71 [reasoning that ''technological advances in communication( ) enable a party to transact enormous volumes of business within a state without physically entering it'']). Thus, even when physical presence is lacking, jurisdiction may still be proper if the defendant ''on his [or her] own initiative . . . project[s] himself [or herself]'' into this state to engage in a ''sustained and substantial transaction of business'' (*see Parke-Bernet*, 26 NY2d at 18). Accordingly, in *Parke-Bernet* we held that exercising long-arm jurisdiction over the defendant, who actively participated in a New York auction by means of an open telephone line, was proper (*see id.* at 19 [holding that ''(t)he mere fact that the defendant was able to arrange to conduct his extensive and purposeful activity in New York without having to physically come here does not enable him to avoid the jurisdiction of our courts'']).

Like the defendant in *Parke-Bernet*, defendants here have also engaged in sustained and substantial transaction of business in New York. They contacted plaintiff here to retain him and thereby projected themselves into our state's legal services market (*see Parke-Bernet*, 26 NY2d at 18). Thereafter, on their own volition, they continued their communications with plaintiff here, utilizing his services and thus '' 'invok[ing] the benefits and protections of [our] laws' relating to'' the attorney-client relationship (*see id.* [telephonic communication invoked New York's auction laws]; *see also Mayes v Leipziger*, 674 F2d 178, 184 [2d Cir 1982] [''(I)n Parke-Bernet Galleries, the defendant had projected itself by means of letters and calls into market activity that was ongoing in New York, and hence had purposely availed itself of the privilege of conducting such activities within the state'']).[7] It is the nature and quality of these contacts, through which defendants established a substantial ongoing

7. Defendants maintain that they derived no benefit from our state's laws through their establishment of an attorney-client relationship with plaintiff. That is false (*see e.g.* 22 NYCRR 1210.1 [setting forth New York's ''Client Bill of Rights,'' which provides, among other things, that clients, such as defendants, are ''entitled to be charged a reasonable fee'']).

professional commitment between themselves and plaintiff, governed by the laws of our state, which support long-arm jurisdiction.

Contrary to defendants' argument, this is not a case in which plaintiff is attempting to establish long-arm jurisdiction on the basis of his unilateral conduct in New York. We have previously held that an agent may not rely upon his or her own New York contacts on behalf of a principal to establish long-arm jurisdiction (*see e.g. Glassman v Hyder*, 23 NY2d 354, 362 [1968] [''The acts of the independent broker within New York should not, however, be attributed to the owners so as to become acts of the owners in New York'']; *Parke-Bernet*, 26 NY2d at 19 n 2 [explaining result in *Glassman* and similar cases]). But this is not such a case. Here, it is defendants' solicitation of plaintiff in New York and their frequent communications with him in this state that form the basis of jurisdiction.

Haar v Armendaris Corp. (31 NY2d 1040 [1973] [adopting dissenting memorandum at 40 AD2d 769, 769-770 (1972)]) is not to the contrary. There, the defendant, a Delaware corporation, wrote to an attorney located in Massachusetts, but admitted to the New York bar, and requested that he negotiate with a New York corporation, on its behalf (40 AD2d 769, 769 [1972]). The attorney traveled to New York to carry out this task and sued for his legal fees here, serving the defendant in Missouri (*see id.* at 770 [Capozzoli, J., dissenting]). Adopting the dissent, we reversed the Appellate Division's finding of CPLR 302 (a) (1) jurisdiction because the only support for such jurisdiction was an affidavit indicating, ''in [a] conclusory fashion,'' that ''plaintiff had negotiated in New York City . . . and had visited the Welfare Island site here'' (40 AD2d at 770). As we noted in *Parke-Bernet*, such an affidavit was insufficient because a plaintiff may not ''rely[ ] on his own activities within the State, rather than on defendant's *independent* activities'' to invoke long-arm jurisdiction (*see id.*, citing *Parke-Bernet*, 26 NY2d at 19 n 2).

Unlike the plaintiff in *Haar*, plaintiff here has set forth facts establishing that defendants did engage in activities in New York. His affidavit and time records show that defendants solicited plaintiff here by telephone and mail and regularly communicated with him in New York during the course of an attorney-client relationship (*compare e.g. Etra*, 61 NY2d at 458 [rejecting long-arm jurisdiction where defendant doctor was solicited in Massachusetts, served as ''consultant'' to plaintiff's

New York doctor through written and telephonic communications, and sent an experimental drug into New York]; *Ehrenfeld v Bin Mahfouz*, 9 NY3d 501, 511 [2007] [decided today] [no long-arm jurisdiction where plaintiff relied upon her ''unilateral activities'' in New York and a judgment issued by an English court to establish a transaction of business in this state]). These are proper predicates for CPLR 302 (a) (1) jurisdiction. In contrast, the defendant in *Haar* had no New York contacts in connection with the plaintiff's representation of it. Its contacts were with its attorney in Massachusetts. Thus, *Haar* is fully consistent with our decision here (*cf. Mayes*, 674 F2d at 185 [''So far as we are aware, no court has extended § 302 (a) (1) to reach a nondomiciliary who never entered New York, who was solicited outside of New York to perform services outside of New York, who performed outside of New York such services as were performed, and who is alleged to have neglected to perform other services outside of New York'']).[8]

III.

The courts below also properly concluded that the present action arises out of defendants' transaction of business in New York. There is a substantial relationship between plaintiff's action for fees accrued during his representation of defendant ONAM in the Oregon action, defendants' solicitation of plaintiff in New York to represent ONAM in that action and defendants' communications with plaintiff in this state with respect to the Oregon matter (*see Johnson v Ward*, 4 NY3d 516, 519 [2005]). These are not ''merely coincidental'' occurrences that have a tangential relationship to the present case (*see id.* at 520). They form the basis of this action and, indeed, plaintiff's claims for legal fees are directly dependent upon them.

Furthermore, our decision accords with due process. As we have explained, the United States Supreme Court's due process precedents provide that: ''So long as a party avails itself of the benefits of the forum, has sufficient minimum contacts with it, and should reasonably expect to defend its actions there, due process is not offended if that party is subjected to jurisdiction

---

8. Defendants' reliance upon our decision in *Ferrante Equip. Co. v Lasker-Goldman Corp.* (26 NY2d 280 [1970]) is similarly misplaced. There it was established that ''[t]he only activities conducted by respondent which are related to appellant's cause of action were the negotiation and execution of the indemnity agreement in New Jersey'' (*see id.* at 284). Here, by contrast, there are substantial and sustained New York contacts initiated by defendants.

even if not 'present' in that State'' (*Kreutter*, 71 NY2d at 466). Defendants here purposefully availed themselves of New York's legal services market by establishing a continuing attorney-client relationship with plaintiff. Their contacts here were sufficient, consisting of solicitation of plaintiff's services here and frequent communications with him. Given these facts, they should have reasonably expected to defend against a suit based on their relationship with plaintiff in New York (*see e.g. Reiner*, 41 NY2d at 653 [New York contacts that ''contemplated and resulted in a continuing relationship . . . certainly are of the nature and quality to be deemed sufficient to render (defendants) liable to suit here'']).

IV.

In conclusion, when defendants projected themselves into New York via telephone to solicit plaintiff's legal services, they necessarily contemplated establishing a continuing attorney-client relationship with him. Having established such a relationship and repeatedly projecting themselves into New York—via telephone, mail, e-mail and facsimile—to advance their legal position in the Oregon action through communications with plaintiff here, defendants purposefully availed themselves of the benefits and protections of New York's laws governing lawyers. This lawsuit arises out of defendants' contacts here. Requiring them to defend the present suit properly comports with traditional notions of fair play and substantial justice.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges GRAFFEO, READ, PIGOTT and JONES concur; Judge SMITH taking no part.

Order affirmed, etc.

[880 NE2d 18, 849 NYS2d 497]

In the Matter of DEREK JOSEY, Appellant, v GLENN S. GOORD, as Commissioner of Correctional Services, Respondent.

Argued November 15, 2007; decided December 20, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 14, 2006. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Thomas J. Spargo, J.), which, in a proceeding pursuant to CPLR article 78 to review a determination of respondent finding petitioner guilty of violating a prison disciplinary rule, had denied the petition and dismissed the proceeding.

Matter of Josey v Goord, 35 AD3d 993, affirmed.

HEADNOTE

Prisons and Prisoners — Discipline of Inmates — Res Judicata

The doctrine of res judicata did not preclude the Department of Correctional Services (DOCS) from disciplining an inmate for being convicted of a Penal Law offense (7 NYCRR 270.2 [A]) even though the inmate was previously disciplined by DOCS for violations of other inmate rules in connection with the incident underlying the criminal conviction. Res judicata should give conclusive effect to agency determinations only if such application is consistent with the nature of the particular administrative adjudication. Here, application of the doctrine would impede DOCS's ability to promote prison safety and have the perverse effect of encouraging DOCS hearing officers to impose more stringent disciplinary penalties initially, before any criminal investigation and proceedings are concluded.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judgments §§ 473, 474, 478–480, 482; AM JUR 2d, Penal and Correctional Institutions §§ 138, 139, 152.

CARMODY-WAIT 2d, Judgments §§ 63:464–63:468.

NY JUR 2d, Judgments §§ 328–334; NY JUR 2d, Penal and Correctional Institutions §§ 148, 150.

SIEGEL, NY PRAC §§ 442, 456.

ANNOTATION REFERENCE

See ALR Index under Prisons and Prisoners; Res Judicata.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: judicata & correction /p disciplin!

POINTS OF COUNSEL

Prisoners' Legal Services of New York, Albany (*Dianna Goodwin, Susan Johnson* and *Karen Murtagh-Monks* of counsel), for appellant. I. New York's transactional analysis approach to res judicata barred respondent from holding a third disciplinary hearing against appellant. (*Schuylkill Fuel Corp. v Nieberg Realty Corp.,* 250 NY 304; *Matter of Hernandez v Selsky,* 5 AD3d 882; *Matter of Burgess v Goord,* 285 AD2d 753; *O'Brien v City of Syracuse,* 54 NY2d 353; *Ryan v New York Tel. Co.,* 62 NY2d 494; *Marinelli Assoc. v Helmsley-Noyes Co.,* 265 AD2d 1; *Smith v Russell Sage Coll.,* 54 NY2d 185; *Matter of Reilly v Reid,* 45 NY2d 24; *Thomas v City of New York,* 239 AD2d 180; *Matter of Doherty v Cuomo,* 76 AD2d 14.) II. Appellant's criminal conviction does not fall within the newly discovered material evidence exception to the doctrine of res judicata. (*Matter of Hernandez v Selsky,* 5 AD3d 882; *Matter of Evans v Monaghan,* 306 NY 312; *Matter of Burgess v Goord,* 285 AD2d 753; *Gonzalez v Chalpin,* 233 AD2d 367; *Olwine, Connelly, Chase, O'Donnell & Weyher v Valsan, Inc.,* 226 AD2d 102; *Matter of Hartje v Coughlin,* 70 NY2d 866; *Matter of Doherty v Cuomo,* 76 AD2d 14; *People ex rel. Leonard HH. v Nixon,* 148 AD2d 75; *Porter v Coughlin,* 421 F3d 141; *Matter of Howard v Coughlin,* 212 AD2d 852.) III. Respondent should not be permitted to use the administrative Penal Law offense rule to overcome the well-established legal doctrine of res judicata. (*Matter of Campagna v Shaffer,* 73 NY2d 237; *Boreali v Axelrod,* 71 NY2d 1; *Matter of Encarnacion v Goord,* 286 AD2d 828; *Matter of Soto-Rodriguez v Goord,* 252 AD2d 782; *Matter of Caroselli v Goord,* 23 AD3d 712; *Matter of Garcia v Coombe,* 233 AD2d 328; *Matter of Griffen v Goord,* 277 AD2d 612; *Matter of Hart v Coombe,* 229 AD2d 754; *Matter of Reilly v Reid,* 45 NY2d 24.)

Andrew M. Cuomo, Attorney General, Albany (*Martin A. Hotvet, Barbara D. Underwood* and *Andrew D. Bing* of counsel), for respondent. Res judicata did not foreclose the prison disciplinary determination at issue here. (*Ryan v New York Tel. Co.,* 62 NY2d 494; *O'Brien v City of Syracuse,* 54 NY2d 353; *Matter of Evans v Monaghan,* 306 NY 312; *Matter of Hodes v Axelrod,* 70 NY2d 364; *Matter of Meegan S. v Donald T.,* 64 NY2d 751; *Matter of John P. v Whalen,* 54 NY2d 89; *People ex rel. Williams v Rodriguez,* 108 AD2d 1007; *People ex rel. Mosery v Superintendent of Nassau County Correctional Facility,* 8 AD3d

593; *People ex rel. McEneny v New York State Div. of Parole,* 268 AD2d 250; *People v Vasquez,* 89 NY2d 521.)

OPINION OF THE COURT

GRAFFEO, J.

Petitioner, an inmate in the custody of the New York State Department of Correctional Services (DOCS), brings this CPLR article 78 proceeding claiming that the doctrine of res judicata precludes the imposition of a prison disciplinary penalty based on his second-degree manslaughter conviction because he was previously disciplined in connection with the incident underlying his criminal conviction. Like the courts below, we conclude that res judicata does not apply under these circumstances.

On July 17, 2003, petitioner Derek Josey and another inmate, Richard Rodriguez, engaged in a physical altercation witnessed by over 300 other prisoners. During the fight, petitioner stabbed Rodriguez in the chest. He died later that day. Three days later, DOCS charged petitioner in a misbehavior report with breaching inmate rules prohibiting assault, fighting, possession of a weapon and refusal to obey a direct order.[1] The report stated that three correction officers observed ''two combatants lunging back and forth at each other, with what appeared to be weapons in hand.'' Following the completion of a tier III disciplinary hearing on July 30, 2003, a hearing officer found petitioner guilty of the assault, fighting and weapon charges, and imposed a penalty of 24 months in the Special Housing Unit (SHU) with a corresponding loss of packages, commissary and telephone privileges. For reasons that are unexplained in the record, neither the misbehavior report nor the hearing officer's written determination indicated Rodriguez's death.

A second DOCS misbehavior report premised on the same incident was served on petitioner in September 2003, charging him with violating the disciplinary rules proscribing assault, possession of a weapon, refusal to obey a direct order and violent conduct. This report added that Rodriguez had died and that confidential informants stated that petitioner had stabbed Rodriguez with a metal shank, which was hidden with the help of other inmates. According to the report, State Police retrieved the weapon. After this tier III hearing, petitioner was found guilty of assault, possession of a weapon and violent conduct, and assessed a penalty of 120 months in the SHU with a loss of

1. No disciplinary rule specifically prohibits homicide.

privileges. On administrative review, the penalty was reduced to 60 months in the SHU. Petitioner brought an article 78 proceeding in Supreme Court to annul the determination, arguing that it was barred by res judicata. While that court proceeding was pending, DOCS reversed its determination, reasoning that the incident had already been considered at the July 2003 hearing. As a result, petitioner withdrew his article 78 petition.

In August 2004, petitioner appeared in Dutchess County Court and pleaded guilty to second-degree manslaughter (Penal Law § 125.15 [1]) in connection with the July 17, 2003 incident, and was sentenced as a second felony offender to a consecutive term of $6^1/_2$ to 13 years.[2] DOCS later issued a third misbehavior report, charging petitioner with violating disciplinary rule 1.00 (7 NYCRR 270.2 [A]), which authorizes DOCS to discipline an inmate convicted of violating the Penal Law. Following a third tier III hearing, the hearing officer found petitioner guilty and imposed an additional 72 months in the SHU, together with a loss of privileges and 156 months loss of good time. The determination was affirmed on administrative appeal.

Petitioner commenced this article 78 proceeding, asserting that the doctrine of res judicata prohibited DOCS from holding the third tier III hearing. Supreme Court denied the petition and dismissed the proceeding, finding res judicata inapplicable. The Appellate Division affirmed and we granted petitioner leave to appeal.

Petitioner argues that the third tier III determination must be annulled on res judicata grounds because the Penal Law conviction, upon which the determination was based, arose out of the same July 17, 2003 incident for which he was already assessed a penalty following the first tier III determination. DOCS counters that application of res judicata under the circumstances of this case would be inconsistent with the purpose of prison disciplinary proceedings and unduly hamper its ability to regulate the security and safety of the prison environment.

The doctrine of res judicata precludes a party from litigating "a claim where a judgment on the merits exists from a prior action between the same parties involving the same subject matter" (*Matter of Hunter*, 4 NY3d 260, 269 [2005]). Under New York's transactional approach to the rule, "once a claim is brought to a final conclusion, all other claims arising out of the

2. Petitioner was originally indicted for murder, but pleaded guilty to manslaughter in full satisfaction of the indictment.

same transaction or series of transactions are barred, even if based upon different theories or if seeking a different remedy'' (*O'Brien v City of Syracuse*, 54 NY2d 353, 357 [1981]). Additionally, res judicata is generally applicable to quasi-judicial administrative determinations that are ''rendered pursuant to the adjudicatory authority of an agency to decide cases brought before its tribunals employing procedures substantially similar to those used in a court of law'' (*Ryan v New York Tel. Co.*, 62 NY2d 494, 499 [1984]).

Before we will apply res judicata to an administrative decision, however, ''it is necessary to determine whether to do so would be consistent with the function of the administrative agency involved, the peculiar necessities of the particular case, and the nature of the precise power being exercised'' (*Matter of Venes v Community School Bd. of Dist. 26*, 43 NY2d 520, 524 [1978] [internal quotation marks and citation omitted]). Consequently, the rule should give conclusive effect to agency determinations ''only if such application is consistent with the nature of the particular administrative adjudication'' (*id.*; *see also* Borchers and Markell, New York State Administrative Procedure and Practice § 3.23, at 76 [2d ed] [observing that ''preclusion must make sense within the over-all context of the agency's procedures'' (internal quotation marks and footnote omitted)]).

Here, DOCS promptly issued petitioner a misbehavior report after the fight and held a tier III hearing, ultimately finding petitioner guilty of violating a number of inmate rules and imposing a penalty. In this regard, DOCS urges that immediate disciplinary action is essential to maintain order in correctional facilities and discourage violent behavior by inmates. Since it was not until over a year later that petitioner pleaded guilty to second-degree manslaughter, DOCS contends that it must be able to conduct another tier III hearing pursuant to disciplinary rule 1.00, which permits the imposition of departmental sanctions based on a criminal conviction and specifically provides that it ''does not preclude an inmate from being disciplined at any time for any violation of the following rules of conduct based upon the same incident'' (7 NYCRR 270.2 [A] [note]). Although petitioner correctly asserts that both determinations arose out of the same July 17, 2003 transaction, we conclude that res judicata does not foreclose DOCS from disciplining petitioner for his subsequent criminal conviction. Application of the doctrine in this context would be inconsistent with the necessities of the case and the nature of DOCS's functions.

We have recognized that DOCS "has legitimate penological interests in seeing that disciplinary determinations are made quickly, both for security and rehabilitative reasons" (*People ex rel. Vega v Smith*, 66 NY2d 130, 142 [1985]). "Prison disciplinary proceedings take place in a highly charged atmosphere, and prison administrators must often act swiftly on the basis of evidence that might be insufficient in less exigent circumstances" (*Superintendent, Mass. Correctional Institution at Walpole v Hill*, 472 US 445, 456 [1985]). Furthermore, when an inmate is confined pending a disciplinary hearing, departmental regulations provide circumscribed time frames for the adjudicatory process (*see* 7 NYCRR 251-5.1). Generally, DOCS is directed to commence the hearing within seven days of confinement and complete it within 14 days following the issuance of a misbehavior report (*see* 7 NYCRR 251-5.1 [a], [b]).

DOCS therefore has both a need and general obligation to act swiftly to separate and discipline inmates who commit violent acts in prison, often before it can perform a comprehensive investigation. Indeed, prison disciplinary determinations need only be supported by substantial evidence (*see Matter of Lahey v Kelly*, 71 NY2d 135, 140 [1987]). In contrast, where a criminal investigation results in a subsequent conviction, issues such as mens rea and self-defense are necessarily resolved beyond a reasonable doubt, and this distinction is not obviated by an inmate who acknowledges his guilt by entering a plea, as was the case here.[3] In the prison setting, DOCS has a strong penological interest in having the ability not only to conduct a disciplinary proceeding and impose a penalty for the violation of disciplinary rules, but also to modify that penalty in light of a subsequent criminal conviction premised on the same act—as expressly contemplated by disciplinary rule 1.00. For example, where two inmates are promptly disciplined for fighting, but one is later criminally convicted of attempted murder for initiating the confrontation, DOCS should have the discretion to modify that inmate's penalty in the interest of prison security. As we have stated, the goal of prison disciplinary action is not "to vindicate public justice, but rather to further the separate and important

---

3. Additionally, a consecutive sentence is generally required for inmates who are convicted of committing a felony while incarcerated for a prior felony conviction, resulting in a lengthier prison term under DOCS's supervision (*see* Penal Law § 70.25 [2-a], [5]). But when DOCS disciplines an inmate before a conviction, DOCS is unable at that time to consider the effect of such increased incarceration on prison safety and security when rendering the penalty.

public interest in maintaining prison order and safety'' (*People v Vasquez*, 89 NY2d 521, 529 [1997], *cert denied sub nom. Cordero v Lalor*, 522 US 846 [1997] [internal quotation marks omitted]).

We therefore determine that res judicata does not preclude DOCS from disciplining an inmate for being convicted of a Penal Law offense even though DOCS previously assessed a penalty for the inmate's violation of disciplinary rules stemming from the same conduct. To conclude otherwise would impede DOCS's ability to promote prison safety and have the perverse effect of encouraging DOCS hearing officers to impose more stringent disciplinary penalties initially, before any criminal investigation and proceedings are concluded.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, without costs.

[880 NE2d 831, 850 NYS2d 345]

MANUEL ARONS, Individually and as Executor of PHYLLIS ARONS, Deceased, Respondent, v ROBERT JUTKOWITZ et al., Appellants, et al., Defendant.

TANYA WEBB, Respondent, v NEW YORK METHODIST HOSPITAL et al., Appellants.

ANNETTE J. KISH, as Administrator De Bonis Non of the Estate of JAMES J. JERGE, Deceased, Respondent, v DAVID H. GRAHAM, M.D., et al., Appellants.

Argued October 17, 2007; decided November 27, 2007

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 5, 2006. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Richmond County (Thomas P. Aliotta, J.; op 2005 NY Slip Op 30130[U]), as had granted the motion of defendant Robert Fulop, as joined in by the other defendants, for an order directing plaintiff to provide authorizations permitting defense counsel to speak with certain physicians who rendered care to Phyllis Arons relating to claims being made in this action, to the extent that the authorizations contain certain information, and that, within 72 hours after the interview, defendants provide plaintiff with all written statements, materials, notations and documents obtained from the health care provider, as well as copies of any memoranda, notes and audio or video recordings of any oral statements, and (2) denied the motion, with leave to move pursuant to 22 NYCRR 202.21 (d) for permission to conduct additional pretrial discovery relating to Phyllis Arons's treating physicians as limited by CPLR article 31. The following question was certified by the Appellate Division: ''Was the opinion and order of this court dated December 5, 2006, properly made?''

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 5, 2006. The Appellate Division (1) reversed, on the law, (a) so much of an order of the Supreme Court, Kings County (Gerard H. Rosenberg, J.), as had granted defendants' motion to compel plaintiff to execute authorizations pursuant to the

Health Insurance Portability and Accountability Act of 1996 allowing defendants to conduct post-note of issue ex parte interviews of certain physicians, and (b) so much of a subsequent order of that court as had granted defendants' motion for an order pursuant to CPLR 3216 striking the complaint unless plaintiff provided the authorizations within 15 days, and (2) denied the motions without prejudice to making a motion in the Supreme Court, Kings County, pursuant to 22 NYCRR 202.21 (d), for permission to conduct additional pretrial discovery as limited by CPLR article 31 relating to the treatment of plaintiff by certain physicians. The following question was certified by the Appellate Division: "Was the decision and order of this court dated December 5, 2006, properly made?"

APPEAL, in the third above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered March 16, 2007. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Allegany County (Thomas P. Brown, J.), which had granted defendants' motion to compel plaintiff to comply with their demand to provide certain medical authorizations, subject to certain conditions, and (2) denied the motion. The following question was certified by the Appellate Division: "Was the order of this Court, entered March 16, 2007, properly made?"

Arons v Jutkowitz, 37 AD3d 94, reversed.

Webb v New York Methodist Hosp., 35 AD3d 457, reversed.

Kish v Graham, 40 AD3d 118, reversed.

HEADNOTES

Disclosure — Medical Records and Reports — Federal Health Insurance Portability and Accountability Act — Authorization Permitting Counsel to Privately Interview Adverse Party's Treating Physician

1. An attorney may interview an adverse party's treating physician privately when the adverse party has affirmatively placed his or her medical condition in controversy, although the Health Insurance Portability and Accountability Act of 1996 (HIPAA) (Pub L 104-191, 110 US Stat 1936 [1996] [codified as amended in scattered sections of titles 18, 26, 29 and 42 of the United States Code]), through its Privacy Rule (45 CFR parts 160, 164), imposes procedural prerequisites unique to the informal discovery of health care professionals. Although CPLR article 31 and Uniform Rules for the New York State Trial Courts part 202 do not identify informal interviews of treating physicians as a disclosure tool, there are no statutes and no rules either expressly authorizing, or forbidding, ex parte discussions with any nonparty. Attorneys have always sought to talk with nonparties who are potential witnesses as part of

their trial preparation, and article 31 does not close off those avenues of informal discovery and relegate litigants to the costlier and more cumbersome formal discovery devices. The risk of improper disclosure can be adequately addressed if the attorney who approaches a nonparty treating physician reveals the client's identity and interest, and makes clear that any discussion with counsel is entirely voluntary and limited in scope to the particular medical condition at issue in the litigation. In order to comply with HIPAA, however, the attorney must first obtain a valid HIPAA authorization or a court or administrative order, or must issue a subpoena, discovery request, or other lawful process with satisfactory assurances relating to either notification or a qualified protective order.

Disclosure — Medical Records and Reports — Federal Health Insurance Portability and Accountability Act — Authorization Permitting Counsel to Privately Interview Adverse Party's Treating Physician — Imposition of Conditions Improper

2. Although defendants were entitled to court orders requiring that plaintiffs provide them with the Health Insurance Portability and Accountability Act of 1996 (Pub L 104-191, 110 US Stat 1936 [1996]) authorizations allowing defense counsel to speak privately with plaintiffs' treating physicians, it was improper for the trial courts to require defense counsel to hand over to plaintiffs copies of all written statements and notations obtained from the physicians during the private interviews, any audio or video recordings or transcripts, and interview memoranda or notes with the attorneys' observations, impressions or analyses redacted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 27, 30, 158; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 144, 145, 147.

CARMODY-WAIT 2d, Disclosure §§ 42:116–42:118, 42:127.

MCKINNEY'S, CPLR art 31.

22 NYCRR part 202.

NY JUR 2d, Disclosure §§ 80, 82; NY JUR 2d, Physicians, Surgeons, and Other Healers § 197.

SIEGEL, NY PRAC §§ 344, 346.

ANNOTATION REFERENCE

Commencing action involving physical condition of plaintiff or decedent as waiving physician–patient privilege as to discovery proceedings. 21 ALR3d 912.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: hipaa /p attorney /s interview /s physician

POINTS OF COUNSEL

Amabile & Erman, P.C., Staten Island (*Flutra Limani* of counsel), for Robert Jutkowitz, appellant in the first above-entitled action. I. Defendant is entitled to interview plaintiff's decedent's treating physicians ex parte in preparation for trial after discovery is completed. (*Koump v Smith,* 25 NY2d 287; *Zimmerman v Jamaica Hosp.,* 143 AD2d 86; *Levande v Dines,* 153 AD2d 671; *Luce v State of New York,* 266 AD2d 877; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Tiborsky v Martorella,* 188 AD2d 795.) II. If plaintiff's decedent's treating physicians require an authorization prior to an ex parte interview with defense counsel due to HIPAA concerns, plaintiff should be compelled to provide defense counsel with an authorization permitting defense counsel to interview plaintiff's decedent's treating physician ex parte regarding any relevant information. (*Zimmerman v Jamaica Hosp.,* 143 AD2d 86; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Tiborsky v Martorella,* 188 AD2d 795; *Levande v Dines,* 153 AD2d 671; *Webb v New York Methodist Hosp.,* 35 AD3d 457; *Northwestern Mem. Hosp. v Ashcroft,* 362 F3d 923; *Anker v Brodnitz,* 98 Misc 2d 148; *Keshecki v St. Vincent's Med. Ctr.,* 5 Misc 3d 539; *Valli v Viviani,* 7 Misc 3d 1002[A], 2005 NY Slip Op 50409[U].) III. The trial court improperly directed defense counsel to provide plaintiff with all written statements and materials within 72 hours after the postdiscovery interview with treating physicians. (*Keshecki v St. Vincent's Med. Ctr.,* 5 Misc 3d 539; *Smith v Rafalin,* 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Corcoran v Peat, Marwick, Mitchell & Co.,* 151 AD2d 443; *Manning v Sikorskyj,* 204 AD2d 976.)

Mauro Goldberg & Lilling LLP, Great Neck (*Barbara DeCrow Goldberg* of counsel), and *Vaslas Lepowsky Hauss Danke LLP* for Robert Fulop, appellant in the first above-entitled action. I. Once the physician-patient privilege has been waived, all parties have a right of equal access to evidence and witnesses concerning the condition at issue. (*Anker v Brodnitz,* 73 AD2d 589; *Zimmerman v Jamaica Hosp.,* 143 AD2d 86; *Levande v Dines,* 153 AD2d 671; *Tiborsky v Martorella,* 188 AD2d 795; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Luce v State of New York,* 266 AD2d 877; *Williams v Roosevelt Hosp.,* 66 NY2d 391; *Dillenbeck v Hess,* 73 NY2d 278; *Koump v Smith,* 25 NY2d 287; *Prink v Rockefeller Ctr.,* 48 NY2d 309.) II. A court has the inherent power to direct a plaintiff to provide HIPAA-compliant authorizations permitting ex parte interviews. (*Kish v Graham,* 40 AD3d 118; *Northwestern Mem. Hosp. v Ashcroft,* 362 F3d 923; *Law v Zuckerman,* 307 F Supp 2d 705; *Steele v Clifton Springs Hosp. & Clinic,* 6 Misc 3d 953; *Constantino v Cooper,* 12 Misc 3d 1174[A], 2006 NY Slip Op 51215[U]; *Hitchcock v Sud-

daby, 7 Misc 3d 1026[A], 2005 NY Slip Op 50762[U]; *Smith v Rafalin,* 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Kriger v Holland Furnace Co.,* 12 AD2d 44; *Luce v State of New York,* 266 AD2d 877; *Brandes v North Shore Univ. Hosp.,* 22 AD3d 777.) III. The Court should hold that defendants are entitled to unrestricted authorizations because HIPAA does not require the conditions imposed by the trial court. (*Zimmerman v Jamaica Hosp.,* 143 AD2d 86; *Levande v Dines,* 153 AD2d 671; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Siemens Solar Indus. v Atlantic Richfield Co.,* 246 AD2d 476; *ACWOO Intl. Steel Corp. v Frenkel & Co.,* 165 AD2d 752; *Manning v Sikorskyj,* 204 AD2d 976; *Corcoran v Peat, Marwick, Mitchell & Co.,* 151 AD2d 443; *Hickman v Taylor,* 329 US 495.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, New York City (*Michael J. Gudzy, Timothy J. Sheehan* and *Richard E. Lerner* of counsel), for William Gael and others, appellants in the first above-entitled action. I. Just as any other fact witness may be interviewed, so too may a nonparty physician be interviewed. No party has a proprietary right to a witness. (*Hoenig v Westphal,* 52 NY2d 605; *Reisch v J & L Holding Corp.,* 111 Misc 2d 72; *Williams v Roosevelt Hosp.,* 66 NY2d 391; *People v Greene,* 36 AD3d 219; *Koump v Smith,* 25 NY2d 287; *Prink v Rockefeller Ctr.,* 48 NY2d 309; *Niesig v Team I,* 76 NY2d 363; *Muriel Siebert & Co., Inc. v Intuit Inc.,* 32 AD3d 284, 8 NY3d 506; *Nordhauser v New York City Health & Hosps. Corp.,* 176 AD2d 787; *Asare v Ramirez,* 5 AD3d 193.) II. Permissible methods of discovery are not limited to those specifically listed in CPLR article 31. (*Hoenig v Westphal,* 52 NY2d 605; *Kavanagh v Ogden Allied Maintenance Corp.,* 92 NY2d 952.) III. HIPAA does not preempt New York law on discovery and the waiver of physician-patient privilege. (*United States v Meagher,* 531 F2d 752, 429 US 853; *Northwestern Mem. Hosp. v Ashcroft,* 362 F3d 923; *Bayne v Provost,* 359 F Supp 2d 234; *Middlesex County Ethics Comm. v Garden State Bar Assn.,* 457 US 423.) IV. Fair play principles mandate that interviews be conducted freely and privately by all parties. Concerns about inappropriate conduct can be addressed in a protective order. (*Patterson v St. Francis Ctr. at Knolls,* 249 AD2d 457; *D'Ambrosio v 85 Crystal Run Co.,* 37 AD3d 756; *Anderson v Kamalian,* 231 AD2d 659; *Kish v Graham,* 40 AD3d 118; *Overeem v Neuhoff,* 254 AD2d 398; *Plummer v Macy & Co.,* 69 AD2d 765; *Yasnogordsky v City of New York,* 281 AD2d 541; *Davila v Environmental Prods. & Servs.,* 270 AD2d 224; *Smith v Rafalin,* 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Niesig v Team I,* 76 NY2d 363.)

Philip J. Dinhofer, LLC, Rockville Centre (*Philip J. Dinhofer* of counsel), for respondent in the first above-entitled action. I. The Supreme Court has no statutory or regulatory authority to compel plaintiff to facilitate defendants-appellants' ability to engage in a post-note of issue unsupervised extrajudicial ex parte private interrogation of plaintiff's decedent's treating physicians. (*Allen v Crowell-Collier Publ. Co.,* 21 NY2d 403.) II. Because the waiver of the physician-patient privilege is a limited one, defendants-appellants should not be permitted to conduct an unsupervised post-note of issue ex parte interview of plaintiff's decedent's treating physicians. (*Koump v Smith,* 25 NY2d 287; *Kish v Graham,* 40 AD3d 118; *Dillenbeck v Hess,* 73 NY2d 278; *Browne v Horbar,* 6 Misc 3d 780.) III. Because plaintiff's ability to prove a prima facie case of medical malpractice is materially prejudiced by defendant Robert Fulop's admitted spoliation of his records, these circumstances warrant any or all of the alternative sanctions of either striking his answer, precluding him from offering evidence at trial, and/or a destruction of evidence jury instruction.

Michael A. Cardozo, Corporation Counsel, New York City (*John Hogrogian, Diane Conyers* and *Suzanne K. Colt* of counsel), for New York City Health and Hospitals Corporation, amicus curiae in the first above-entitled action. The Appellate Division erred in holding that the trial court lacked authority under the CPLR or HIPAA regulations to direct plaintiff to permit pretrial ex parte interviews with plaintiff's nonparty physicians where plaintiff had waived the physician-patient privilege. (*Koump v Smith,* 25 NY2d 287; *Dillenbeck v Hess,* 73 NY2d 278; *Williams v Roosevelt Hosp.,* 66 NY2d 391; *Prink v Rockefeller Ctr.,* 48 NY2d 309; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Tiborsky v Martorella,* 188 AD2d 795; *Levande v Dines,* 153 AD2d 671; *Zimmerman v Jamaica Hosp.,* 143 AD2d 86; *Niesig v Team I,* 76 NY2d 363; *Muriel Siebert & Co., Inc. v Intuit Inc.,* 8 NY3d 506.)

Aaronson, Rappaport, Feinstein & Deutsch, LLP, New York City (*Steven C. Mandell* of counsel), for appellants in the second above-entitled action. I. Upon the commencement of a personal injury action a plaintiff waives the physician-patient privilege of confidentiality and no longer possesses relevant protected health information. (*Anker v Brodnitz,* 98 Misc 2d 148, 73 AD2d 589, 51 NY2d 703, 743; *Koump v Smith,* 25 NY2d 287; *Dillenbeck v Hess,* 73 NY2d 278; *People v Edney,* 39 NY2d 620; *People v Al-Kanani,* 33 NY2d 260; *Capron v Douglass,* 193 NY 11; *People v*

Bloom, 193 NY 1; *Strader v Collins,* 280 App Div 582; *Luce v State of New York,* 266 AD2d 877; *Tiborsky v Martorella,* 188 AD2d 795.) II. The ex parte interview of *any* nonparty fact witness—medical or not—conducted subsequent to the institution of a personal injury lawsuit—constitutes trial preparation which is both the obligation and right of every trial attorney. (*Hickman v Taylor,* 329 US 495; *International Bus. Machs. Corp. v Edelstein,* 526 F2d 37; *Niesig v Team I,* 76 NY2d 363.) III. Even assuming ex parte interviews of nonparty medical fact witnesses constitute discovery, the lack of a specific statute compelling a personal injury plaintiff to execute a proper authorization neither prohibits such a procedure nor prevents the courts of this state from providing such relief. (*Allen v Crowell-Collier Publ. Co.,* 21 NY2d 403; *Hoenig v Westphal,* 52 NY2d 605; *DiMichel v South Buffalo Ry. Co.,* 80 NY2d 184; *Kavanagh v Ogden Allied Maintenance Corp.,* 92 NY2d 952; *Cwick v City of Rochester,* 54 AD2d 1078; *Stoller v Moo Young Jun,* 118 AD2d 637; *Smith v Rafalin,* 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Doe v Karpf,* 36 AD3d 652; *Dioguardi v St. John's Riverside Hosp.,* 144 AD2d 333; *In re Union Carbide Corp. Gas Plant Disaster at Bhopal, India in Dec., 1984,* 809 F2d 195.) IV. In the circumstances, either equity or the inherent powers doctrine invests the Supreme Court with the power to order that a plaintiff execute a proper authorization permitting the ex parte interview of nonparty subsequent treating physicians. (*Ray v Marine Midland Grace Trust Co.,* 35 NY2d 147; *Gabrelian v Gabrelian,* 108 AD2d 445, 66 NY2d 741; *Matter of A.G. Ship Maintenance Corp. v Lezak,* 69 NY2d 1.)

Oshman & Mirisola, LLP, New York City (*David L. Kremen* of counsel), for respondent in the second above-entitled action. I. New York law has not and should not authorize post-note of issue ex parte interviews of treating physicians. (*Anker v Brodnitz,* 98 Misc 2d 148, 73 AD2d 589, 51 NY2d 703; *Tiborsky v Martorella,* 188 AD2d 795; *Levande v Dines,* 153 AD2d 671; *Fraylich v Maimonides Hosp.,* 251 AD2d 251; *Kish v Graham,* 40 AD3d 118; *Browne v Horbar,* 6 Misc 3d 780; *Koump v Smith,* 25 NY2d 287; *Dillenbeck v Hess,* 73 NY2d 278; *Josephs v Oliver,* 48 AD2d 688.) II. HIPAA does not authorize ex parte interviews. (*Bayne v Provost,* 359 F Supp 2d 234; *Law v Zuckerman,* 307 F Supp 2d 705; *Niesig v Team I,* 76 NY2d 363; *Valli v Viviani,* 7 Misc 3d 1002[A], 2005 NY Slip Op 50409[U]; *Hickman v Taylor,* 329 US 495; *International Bus. Machs. Corp. v Edelstein,* 526 F2d 37.) III. The equitable powers doctrine and the court's inherent power are an improper basis for ordering a plaintiff to provide an authorization permitting a defendant to conduct post-note of issue ex parte interviews. (*Hoenig v Westphal,* 52 NY2d 605; *Tower v Chemical Bank,* 140 AD2d 514; *DiMichel v South Buffalo Ry. Co.,* 80 NY2d 184; *Kavanagh v Ogden Allied Maintenance Corp.,* 92 NY2d 952; *Holzle v Healthcare Servs. Group, Inc.,* 7 Misc 3d 1027[A], 2005 NY Slip Op 50770[U]; *Browne v Horbar,* 6 Misc 3d 780; *Schroder v Consolidated Edison Co. of N.Y.,* 249 AD2d 69; *Ray v Marine Midland Grace Trust Co.,* 35 NY2d 147; *Gabrelian v Gabrelian,* 108 AD2d 445, 66 NY2d 741; *Matter of A.G. Ship Maintenance Corp. v Lezak,* 69 NY2d 1.) IV. Even if the Court holds that authorizations for post-note of issue interviews may properly be sought, defendants failed to show unusual or unanticipated circumstances developed subsequent to the filing requiring such additional pretrial proceedings. (*Scocozza v Tolia,* 254 AD2d 475; *Rosenberg v Scaringi,* 279 AD2d 389.)

Mauro Goldberg & Lilling LLP, Great Neck (*Barbara DeCrow Goldberg* of counsel), and *Damon & Morey LLP* for appellants in the third above-entitled action. I. Since all parties have a right of equal access to evidence and witnesses, defense counsel may properly interview a plaintiff's subsequent treating physicians once the physician-patient privilege has been waived. (*Williams v Roosevelt Hosp.,* 66 NY2d 391; *Dillenbeck v Hess,* 73 NY2d 278; *Koump v Smith,* 25 NY2d 287; *Prink v Rockefeller Ctr.,* 48 NY2d 309; *Kavanagh v Ogden Allied Maintenance Corp.,* 92 NY2d 952; *In re Union Carbide Corp. Gas Plant Disaster at Bhopal, India in Dec., 1984,* 809 F2d 195; *Matter of John JJ.,* 298 AD2d 634; *Tiborsky v Martorella,* 188 AD2d 795; *Smith v Rafalin,* 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Steele v Clifton Springs Hosp. & Clinic,* 6 Misc 3d 953.) II. A court has the power to direct a plaintiff to provide HIPAA-compliant authorizations permitting defense counsel to interview subsequent treating physicians, even though such interviews are not specifically authorized by the CPLR or the Uniform Rules for Trial Courts. (*Northwestern Mem. Hosp. v Ashcroft,* 362 F3d 923; *Law v Zuckerman,* 307 F Supp 2d 705; *Steele v Clifton Springs Hosp. & Clinic,* 6 Misc 3d 953; *Constantino v Cooper,* 12 Misc 3d 1174[A], 2006 NY Slip Op 51215[U]; *Hitchcock v Suddaby,* 7 Misc 3d 1026[A], 2005 NY Slip Op 50762[U]; *Smith v Rafalin,* 6 Misc 3d 1041[A], 2005 NY Slip Op 50385[U]; *Arons v Jutkowitz,* 37 AD3d 94; *Zimmerman v Jamaica Hosp.,* 143 AD2d 86; *Levande v Dines,* 153 AD2d 671; *Kriger v Holland Furnace Co.,* 12 AD2d 44.)

Hamsher & Valentine, Buffalo (*Richard P. Valentine* of counsel), and *Hancock & Estabrook, LLP,* Syracuse (*Alan J. Pierce* of counsel), for respondent in the third above-entitled action. Defendants are not entitled to an order compelling plaintiff to execute a HIPAA-compliant authorization allowing defendants to conduct ex parte interviews with decedent's treating physicians or an order allowing such interviews. (*Dillenbeck v Hess,* 73 NY2d 278; *Koump v Smith,* 25 NY2d 287; *Arons v Jutkowitz,* 37 AD3d 94; *Northwestern Mem. Hosp. v Ashcroft,* 362 F3d 923; *Law v Zuckerman,* 307 F Supp 2d 705; *Cwick v City of Rochester,* 54 AD2d 1078; *Anker v Brodnitz,* 98 Misc 2d 148, 73 AD2d 589, 51 NY2d 743; *People v Rojas,* 97 NY2d 32; *Reich v Manhattan Boiler & Equip. Corp.,* 91 NY2d 772; *Fraylich v Maimonides Hosp.,* 251 AD2d 251.)

Kramer, Dillof, Livingston & Moore, New York City (*Matthew Gaier* and *Brian Isaac* of counsel), for New York State Trial Lawyers' Association, amicus curiae in the first, second and third above-entitled actions. I. There is no authority for compelling plaintiff to assist the defense in obtaining ex parte communications with plaintiff's decedent's treating doctors by requiring plaintiff to expressly authorize them. (*Stoller v Moo Young Jun,* 118 AD2d 637; *Brevetti v Roth,* 114 AD2d 877; *Feretich v Parsons Hosp.,* 88 AD2d 903; *Breen v Leonard Hosp.,* 82 AD2d 1000; *Reid v Health Ins. Plan of Greater N.Y.,* 80 AD2d 830; *Vogel v Jewish Hosp. & Med. Ctr. of Brooklyn,* 73 AD2d 601; *Cwick v City of Rochester,* 54 AD2d 1078; *Anker v Brodnitz,* 98 Misc 2d 148, 73 AD2d 589, 51 NY2d 703; *Koump v Smith,* 25 NY2d 287; *Dillenbeck v Hess,* 73 NY2d 278.) II. The Appellate Division, Fourth Department correctly determined in *Kish v Graham* (40 AD3d 118 [2007]) that defendants should be prohibited from having ex parte communications with a plaintiff's treating doctors. (*McDermott v Manhattan Eye, Ear & Throat Hosp.,* 15 NY2d 20; *DeAngelis v New York Univ. Med. Ctr.,* 15 AD3d 185; *Iorizzo v Dyker Emergency Physicians,* 278 AD2d 280; *Major v Community Gen. Hosp.,* 199 AD2d 678; *Anders v Segall,* 124 AD2d 1029; *Kupfer v Dalton,* 169 AD2d 819; *Aufrichtig v Lowell,* 85 NY2d 540; *Andrew v Hurh,* 34 AD3d 1331; *Krinsky v Rachleff,* 276 AD2d 748; *Casey v Tan,* 255 AD2d 900.)

OPINION OF THE COURT

READ, J.

These appeals call upon us to decide whether an attorney may interview an adverse party's treating physician privately when the adverse party has affirmatively placed his or her medical condition in controversy. We conclude that an attorney may do so, although the Health Insurance Portability and Accountability Act of 1996 (HIPAA) (Pub L 104-191, 110 US Stat 1936 [1996] [codified as amended in scattered sections of titles 18, 26, 29 and 42 of the United States Code]) through its Privacy Rule (45 CFR parts 160, 164) imposes procedural prerequisites unique to the informal discovery of health care professionals.

I.

A. *Arons v Jutkowitz*

In *Arons*, plaintiff husband, individually and as executor of his late wife's estate, brought a medical malpractice and wrongful death action against several physicians, other medical professionals and two hospitals. He alleged that two of the physician defendants failed to tell decedent that her MRI revealed hydrocephalus, thus delaying proper medical care for 14 months as her health deteriorated. Decedent, who was hospitalized repeatedly for unavailing treatments in the roughly six months after her diagnosis, lapsed into a coma and died some weeks later.

Once plaintiff filed a note of issue, one of the physician defendants requested HIPAA-compliant authorizations so that his attorneys might seek to interview decedent's treating physician. Plaintiff refused, prompting defendants to ask Supreme Court for an order pursuant to HIPAA regulations (45 CFR 164.512 [e] [1] [i]; 164.508) ''directing plaintiff to provide authorizations permitting defense counsel to speak with certain physicians who rendered care to . . . plaintiff related to claims being made in [the] action, if the physicians voluntarily agree to such interviews.''

Supreme Court granted the motion. The court reasoned that by commencing the medical malpractice action, plaintiff put his late wife's medical condition into play, thus waiving her physician-patient privilege; that defendants were permitted to interview a plaintiff's treating physicians, ''but only after the note of issue [had] been filed''; and, citing several lower court decisions, that ''HIPAA regulations require authorizations from the plaintiff in order for the defendants to conduct post-discovery interviews with treating physicians'' (2005 NY Slip Op 30130[U], *3). Consequently, Supreme Court directed plaintiff to provide authorizations to defense counsel within seven days, subject to several conditions; specifically,

> "the authorization[s] must, on [their] face state in **BOLD** letters that the purpose of the interview is to assist the defendants in defense of a lawsuit and it is not at the request of the plaintiff. The authorization[s] must contain the name and address of the person to whom the health care provider may give an interview if he or she wishes and must identify the persons or entities the interviewer is representing and must conform in all respects to 45 C.F.R. § 164.508 (c). The authorizations may **not** be combined with a subpoena and there must be a separate authorization for each interview.
>
> "Within 72 hours after the interview, the defendant must provide the plaintiff with any and all written statements, materials or notations and any document obtained from the interviewed health care provider, as well as copies of any memoranda, notes, audio or video recordings of any oral statements made by the health care provider. The defendant's counsel need not disclose their conclusions, impressions or analysis of any of the statements." (*Id.*)

Plaintiff appealed, and the Appellate Division, Second Department, reversed. The court opined that although plaintiff had waived the physician-patient privilege by bringing the lawsuit, defendants were entitled only to disclosure via the discovery devices enumerated in CPLR article 31 and the Uniform Rules for the New York State Trial Courts, which do not mention ex parte interviews, or mandate that a plaintiff execute authorizations permitting them. Further, "[i]n the absence of" explicit authority in article 31 or the Uniform Rules or plaintiff's consent, defense counsel had long been prohibited from privately interviewing a plaintiff's treating physicians during discovery, a "limit[ ] on disclosure . . . imposed not because of the physician-patient privilege, which is generally waived by bringing a malpractice action, but by the very design of the specific disclosure devices available in CPLR article 31" (*Arons v Jutkowitz*, 37 AD3d 94, 97 [2d Dept 2006] [internal quotation marks omitted]).

Next, the court conceded that while it had previously decided that a treating physician's testimony could not be precluded at trial on the basis of ex parte interviews conducted after the filing of the note of issue, those decisions neither "declare[d] that defense counsel [had] a right to such informal, post-note of issue interviews,'' nor ''require[d] plaintiffs to consent to them'' (*id.*). Further, although HIPAA did not alter state law regarding these private interviews, it had created a ''practical dilemma'' for defense counsel seeking to conduct them because physicians refused to talk with them absent a HIPAA-compliant authorization or court order (*id.* at 99).

Finally, the court remarked that after the filing of a note of issue, an order for additional pretrial discovery called for the requesting party to demonstrate ''unusual or unanticipated circumstances'' (*id.* at 100, quoting 22 NYCRR 202.21 [d]); and that, in this case, the note of issue had been filed before HIPAA's privacy regulations became effective. ''[I]n light of the unsettled nature of the law prior to [its] decision,'' the Appellate Division therefore modified Supreme Court's order by ''deny[ing] . . . defendants' motion with leave to move pursuant to 22 NYCRR 202.21 (d) for permission to conduct additional pretrial discovery relating to . . . decedent's treating physicians *as limited by article 31*'' (*id.* at 101 [emphasis added]). The Appellate Division subsequently granted defendants' motion for leave to appeal, asking us whether its opinion and order were properly made.

B. *Webb v New York Methodist Hospital*

In this medical malpractice action, plaintiff alleged that she suffered constant nausea, intractable vomiting and malnutrition as a result of a botched gastric stapling operation. Plaintiff, who weighed 450 pounds at the time of her surgery, lost 200 pounds afterwards.

Once the note of issue was filed, defendant physician and defendant hospital sought HIPAA-compliant authorizations for ex parte interviews with the gastroenterologist who treated plaintiff after her weight-loss operation, and the surgeon who operated on her to reverse the procedure. When plaintiff refused to supply authorizations, defendants moved to compel her to do so.

Supreme Court granted the motion and directed plaintiff to furnish authorizations for the interviews, subject to conditions that he had worked out in earlier litigation where the same issue had arisen. As was the case in *Arons*, these conditions included a direction for defense counsel to hand over to his adversary copies of all written statements and notations obtained from the physicians during the private interviews, as well as any audio or video recordings or transcripts, and interview memoranda or notes (excluding the attorneys' observations, impressions or analyses).

The Appellate Division, Second Department, reversed Supreme Court's order for the reasons stated in *Arons*, and denied defendants' motions "without prejudice to making a motion in Supreme Court . . . pursuant to 22 NYCRR 202.21 (d) for permission to conduct additional pretrial discovery relating to" plaintiff's treatment by the treating physicians (*Webb v New York Methodist Hosp.*, 35 AD3d 457, 457-458 [2d Dept 2006]). The Appellate Division subsequently granted defendants' motion for leave to appeal, asking us whether its decision and order were properly made.

C. *Kish v Graham*

In *Kish*, plaintiff, as administrator of decedent's estate, alleged that defendant physicians did not properly diagnose and treat decedent for perineal necrotizing fasciitis, resulting in his death. After discovery was complete, defendants served plaintiff with a demand for HIPAA-compliant authorizations permitting defense counsel to interview decedent's treating physicians. When plaintiff refused to sign the authorizations, defendants moved to compel her to do so or, alternatively, to prohibit her from offering these physicians' records at trial, or speaking with them before trial.

Supreme Court granted the motion and directed plaintiff to provide the authorizations, subject to the following conditions:

> "(a) With respect to any of the subsequent treating physicians which defense counsel seeks to interview in private, defense counsel shall serve a trial subpoena upon such physician prior to, or contemporaneously with, defense counsel's delivery to the physician of the executed HIPAA-compliant authorization by plaintiff . . . ;
>
> "(b) Such authorization shall be limited by the same temporal and subject matter limitations, if any, as on the plaintiff's pre-note of issue authorization providing the defendants with access to records of the subsequent treating physician, it being the intention of the Court not to require or allow such physician to provide defense counsel with additional records;
>
> "(c) The authorization shall be accompanied by a

> cover letter from defense counsel to the subsequent treating physician stating:
>
> ''(1) While the subpoena requires such physician's testimony at trial, the physician is not obligated to speak with defense counsel prior to trial;
>
> ''(2) The purpose of the requested interview with the physician is solely to assist defense counsel at trial;
>
> ''(3) If the physician grants the requested interview with defense counsel, a copy of such physician's records, if any, previously provided to defense counsel will be available to assist the physician during the interview;
>
> ''(4) The physician is not required to provide defense counsel with any written material or records prior to trial; and
>
> ''(d) Provided that defense counsel complies with the conditions prescribed in this Order, no notice of the date or time of the interview need be given to plaintiff's counsel.''

The Appellate Division, Fourth Department, reversed on the basis of *Arons*, with two Justices dissenting. The court subsequently granted defendants' motion for leave to appeal, asking us whether its order was properly made.

II.

A. <u>Informal Discovery of Nonparty Treating Physicians</u>

We have written before about the importance of informal discovery practices in litigation—in particular, private interviews of fact witnesses. In *Niesig v Team I* (76 NY2d 363 [1990]), the plaintiff in a personal injury action under Labor Law § 240 moved for permission for his counsel to conduct ex parte interviews of the corporate defendant's employees who were on the job site at the time of his accident. The particular question put to us was whether these employees were considered ''parties'' under Code of Professional Responsibility DR 7-104 (a) (1) (22 NYCRR 1200.35 [a] [1]), which prohibits an attorney from communicating directly with a ''party'' known to have counsel in the matter.

The trial court denied the plaintiff's request; the Appellate Division modified by limiting the ban on ex parte interviews to the corporation's current employees, concluding that they were ''presumptively within the scope of the representation afforded'' by the corporation's attorneys in the litigation (*Niesig v Team I*, 149 AD2d 94, 95 [2d Dept 1989]). The Appellate Division further observed that ''it [had] not been suggested, much less proved, that the witnesses sought to be interviewed ex parte could not be compelled to testify at regular pretrial depositions'' (*id.* at 106). Further, the court commented that it was ''obvious that the plaintiff's personal interests in achieving a financial and a tactical advantage in the litigation [were] the real policies which would be advanced by acceptance of his argument'' (*id.* at 107).

We pointed out that the Appellate Division's blanket ban was undesirable because it would

> ''close[ ] off avenues of informal discovery of information that [might] serve both the litigants and the entire justice system by uncovering relevant facts, thus promoting the expeditious resolution of disputes. Foreclosing all direct, informal interviews of employees of the corporate party unnecessarily sacrifices the long-recognized potential value of such sessions. . . . Costly formal depositions that may deter litigants with limited resources, or even somewhat less formal and costly interviews attended by adversary counsel, are no substitute for such off-the-record private efforts to learn and assemble, rather than perpetuate, information'' (76 NY2d at 372).

While the Appellate Division's blanket ban was easy to understand and apply, we concluded that the many benefits of informal discovery ''require[d] that an effort be made'' to create a workable, narrower test (*id.* at 373). Accordingly, we restricted the ban on private interviews to those ''corporate employees whose acts or omissions in the matter under inquiry are binding on the corporation . . . or imputed to the corporation for purposes of its liability, or employees implementing the advice of counsel'' (*Niesig*, 76 NY2d at 374). In response to defendants' ''assertions that ex parte interviews should not be permitted because of the dangers of overreaching,'' we added the ''cautionary note'' that ''it is of course assumed that attorneys would make their identity and interest known to interviewees and comport themselves ethically'' (*id.* at 376).

Earlier this year, we had occasion to revisit *Niesig* when we decided *Muriel Siebert & Co., Inc. v Intuit Inc.* (8 NY3d 506

[2007]). Siebert, a discount brokerage firm, commenced an action against Intuit for breach of contract and fiduciary duty. Unbeknownst to Siebert, Intuit's lawyers arranged a private interview with a former executive who had been an important participant in the events contested in the litigation as well as a member of Siebert's ''litigation team.'' The lawyers quizzed the executive about the underlying facts of the case in advance of his previously scheduled deposition.

Before commencing the interview, Intuit's lawyers cautioned the executive not to reveal privileged or confidential matter, specifically including any conversations with Siebert's attorneys, or information about Siebert's litigation strategy. He was further advised that if he was asked a question that might threaten such disclosures, he should decline to answer for that reason. The executive stated that he understood the admonitions; the record did not indicate that any privileged information had, in fact, been disclosed.

Upon learning about the interview, Siebert moved to disqualify Intuit's attorneys from the case, enjoin them from using any information provided by the executive, and stay his deposition. Supreme Court granted the motion, holding that the disqualification was warranted regardless of whether Intuit actually received any privileged information. Recognizing that DR 7-104 (a) (1) could not apply to a former corporate employee, the trial court grounded its decision on the '' 'appearance of impropriety' based upon the possibility that privileged information had been disclosed during the interview'' (*id.* at 510). Citing *Niesig*, the Appellate Division reversed, and subsequently granted Siebert's motion for leave to appeal, asking us whether its order was properly made.

First, we noted that in *Niesig* we had ''made clear'' that there was no across-the-board ban on ex parte communications with an adversary's current employees (*id.* at 511). As a result, opposing counsel were afforded ''the opportunity to unearth relevant facts through informal discovery devices, like ex parte interviews, that have the potential to streamline discovery and foster the prompt resolution of claims'' (*id.*). For the same ''policy reasons articulated in *Niesig* concerning the importance of informal discovery,'' we held that ''so long as measures are taken to steer clear of privileged or confidential information, adversary counsel may conduct ex parte interviews of an opposing party's former employee'' (*id.*). Since the record indicated that protective steps had been taken and adhered to, we affirmed the

Appellate Division and answered the certified question in the affirmative.

[1] We see no reason why a nonparty treating physician should be less available for an off-the-record interview than the corporate employees in *Niesig* or the former corporate executive in *Siebert*. As an initial matter, a litigant is ''deemed to have waived the [physician-patient] privilege when, in bringing or defending a personal injury action, that person has affirmatively placed his or her mental or physical condition in issue'' (*Dillenbeck v Hess*, 73 NY2d 278, 287 [1989], citing *Koump v Smith*, 25 NY2d 287, 294 [1969]; *see also Hoenig v Westphal*, 52 NY2d 605 [1981] [physician-patient privilege waived by commencement of personal injury lawsuit]). This waiver is called for as a matter of basic fairness: ''[A] party should not be permitted to affirmatively assert a medical condition in seeking damages or in defending against liability while simultaneously relying on the confidential physician-patient relationship as a sword to thwart the opposition in its efforts to uncover facts critical to disputing the party's claim'' (*Dillenbeck* at 287).

Plaintiffs counter that informal interviews of treating physicians are nonetheless impermissible because article 31 of the CPLR and part 202 of the Uniform Rules do not identify them as a disclosure tool. But there are no statutes and no rules expressly authorizing—or forbidding—ex parte discussions with *any* nonparty, including the corporate employees in *Niesig* and the former corporate executive in *Siebert*.[1] Attorneys have always sought to talk with nonparties who are potential witnesses as part of their trial preparation. Article 31 does not ''close[ ] off'' these ''avenues of informal discovery,'' and relegate litigants to the costlier and more cumbersome formal discovery devices (*Niesig*, 76 NY2d at 372). As the dissenting Justices pointed out in *Kish*, choking off informal contacts between attorneys and treating physicians invites the further unwelcome consequence of ''significantly interfering with the practice of medicine'': ''[i]nstead of communicating with an attorney during a 10-minute telephone call, a physician could be required to attend a four-hour deposition or to provide a time-consuming response to detailed and lengthy interrogatories'' (*Kish v Graham*, 40 AD3d 118, 129 [4th Dept 2007, Pine, J., dissenting]).

1. The dissent's emphasis on the Legislature's silence with respect to authorizations of informal ex parte interviews (dissenting op at 417-418) is, thus, unavailing. Our decisions plainly permit informal discovery, and the Legislature has not directed to the contrary. Absent such legislative direction, we decline to limit the scope of such discovery here.

Plaintiffs also complain that in a more casual setting and without opposing counsel present, a physician might unwittingly divulge medical information as to which the privilege had not been waived, or might be gulled into making an improper disclosure. This is the same ''danger[ ] of overreaching'' that we rejected explicitly in *Niesig* and implicitly in *Siebert*, finding it to afford no basis for relinquishing the considerable advantages of informal discovery.

Again, we ''assume[ ] that attorneys would make their identity and interest known to interviewees and comport themselves ethically'' (*Niesig*, 76 NY2d at 376). In *Siebert*, where the executive was privy to information for which the attorney-client privilege had not been waived, we considered the risk of improper disclosure adequately addressed where the attorney conducting the interview prefaced his questioning with admonitions designed to prevent this from happening, and there was no reason to believe that privileged information had, in fact, been disclosed. Here, the danger that the questioning might encroach upon privileged matter is surely no greater than was the case in *Siebert* since the subject matter of the interview or discussion—a patient's contested medical condition—will be readily definable and understood by a physician or other health care professional. In sum, an attorney who approaches a nonparty treating physician (or other health care professional) must simply reveal the client's identity and interest, and make clear that any discussion with counsel is entirely voluntary and limited in scope to the particular medical condition at issue in the litigation.

Finally, we understand that, in fact, for many years trial attorneys in New York have engaged in the practice of interviewing an adverse party's treating physicians ex parte, particularly in malpractice actions, although only after a note of issue was filed (*see Anker v Brodnitz*, 98 Misc 2d 148 [1979], *affd on op below* 73 AD2d 589 [2d Dept 1979], *lv dismissed* 51 NY2d 703, 743 [1980]; *see also Vogel v Jewish Hosp. & Med. Ctr. of Brooklyn*, 73 AD2d 601 [2d Dept 1979]; *Brevetti v Roth*, 114 AD2d 877 [2d Dept 1985]; *Stoller v Moo Young Jun*, 118 AD2d 637 [2d Dept 1986]; *Reid v Health Ins. Plan of Greater N.Y.*, 80 AD2d 830 [2d Dept 1981]; *Breen v Leonard Hosp.*, 82 AD2d 1000 [3d Dept 1981]; *Feretich v Parsons Hosp.*, 88 AD2d 903 [2d Dept 1982]; *Zimmerman v Jamaica Hosp.*, 143 AD2d 86 [2d Dept 1988]; *Levande v Dines*, 153 AD2d 671 [2d Dept 1989]; *Tiborsky v Martorella*, 188 AD2d 795 [3d Dept 1992]; *Fraylich v*

Maimonides Hosp., 251 AD2d 251 [1st Dept 1998]; *Luce v State of New York*, 266 AD2d 877 [4th Dept 1999]; Klapper, Outside Counsel, *Chipping Away at ''Anker'' Doctrine*, NYLJ, Sept. 18, 1996, at 1, col 1 [discussing cases]; Connors, New York Practice, *Appellate Division is Confronted with HIPAA*, NYLJ, Jan. 17, 2007, at 3, col 1 [same]). As described by practitioners, ''defense counsel would usually serve the doctor with a trial subpoena or an authorization for medical records, attempt to speak with the doctor, and hope that the doctor would cooperate,'' although ''treating doctors have generally been disinclined to cooperate with attorneys for either side in malpractice actions'' (Moore and Gaier, Medical Malpractice, *Recent Cases on Ex Parte Interviews with Treating Physicians*, NYLJ, Oct. 4, 2005, at 3, col 1). The effort was seen as worth making because pretrial interviews are ''essential in procuring the doctors' assistance at trial'' (Moore and Gaier, Medical Malpractice, *Liability for Breach of Confidentiality—Part 2*, NYLJ, Dec. 5, 2006, at 3, col 1).

We mention this long-standing practice for several reasons. First, the prohibition of interviews in lieu of article 31 discovery devices originated in the trial court's decision in *Anker*, a medical malpractice action handed down before—and at decided odds with our reasoning in—*Dillenbeck*, *Hoenig*, *Niesig* and *Siebert*. Second, it bears emphasizing that the filing of a note of issue denotes the completion of discovery, not the occasion to launch another phase of it. While interviews may still take place post-note of issue, at that juncture in the litigation there is no longer any basis for judicial intervention to allow further pretrial proceedings absent ''unusual or unanticipated circumstances'' and ''substantial prejudice'' (22 NYCRR 202.21 [d]). As a result, if a treating physician refuses to talk with an attorney and the note of issue has already been filed, it would normally be too late to seek the physician's deposition or interrogatories as an alternative. Finally, as one commentator put it and as these appeals illustrate, the prevailing ''state of affairs'' in New York was thrown into considerable confusion ''when the 800-pound gorilla, also known as HIPAA . . . entered the arena'' (Connors, *supra*). We now turn our attention to this statute.

B. <u>The Impact of HIPAA on Informal Discovery of Health Care Professionals</u>

Congress enacted HIPAA principally to increase the portability and continuity of health insurance and to simplify administrative procedures so as to reduce health care costs (*see*

HIPAA, Pub L 104-191, 110 US Stat 1936 [1996]). The "cornerstone" of HIPAA's "administrative simplification" provisions (Pub L 104-191 §§ 261-264) was the electronic record, "believed in the 1990s to be the future key to the efficient delivery of health care" (*see* Kutzko, Boyer, Thoman and Scott, *HIPAA in Real Time: Practical Implications of the Federal Privacy Rule*, 51 Drake L Rev 403, 407 [2002-2003]). Thus, HIPAA mandated national standards for electronic medical data management. At the same time, this shift away from paper-based to systematized electronic records was perceived to threaten the confidentiality of sensitive patient information. As a result, HIPAA also authorized the Secretary of the United States Department of Health and Human Services (HHS) to promulgate standards governing disclosure of patient health information in the event Congress did not pass privacy legislation within three years of HIPAA's enactment.

When Congress did not meet its self-imposed deadline, HHS proposed and subsequently adopted a Privacy Rule (*see* 45 CFR parts 160, 164; *see also South Carolina Med. Assn. v Thompson*, 327 F3d 346 [4th Cir 2003] [discussing HIPAA and rejecting claims that Congress impermissibly delegated its legislative function to HHS]). When devising the Privacy Rule, HHS sought to "strike[ ] a balance that permits important uses of information, while protecting the privacy of people who seek care and healing"; and to fashion a scheme sufficiently "flexible and comprehensive to cover the variety of uses and disclosures that need to be addressed" (United States Department of Health and Human Services, Office for Civil Rights, *Summary of the HIPAA Privacy Rule*, at 1, available at http://www.hhs.gov/ocr/privacysummary.pdf [last revised May 2003]).[2] In most instances, compliance with the Rule was required by April 14, 2003 (45 CFR 164.534).

The Privacy Rule forbids an organization subject to its requirements (a "covered entity") from using or disclosing an individual's health information ("protected health information") except as mandated or permitted by its provisions (45

2. HHS issued its proposed Privacy Rule in November 1999 (*see* 64 Fed Reg 59918 [Nov. 3, 1999]), and the final Privacy Rule in December 2000 (*see* 65 Fed Reg 82462 [Dec. 28, 2000]). The proposed rule and its explanatory text fill over 150 pages of the Federal Register; in just under 350 pages, HHS in the final rule reviewed the changes made to its original proposal, which provoked an astounding 52,000 public comments (*see* 67 Fed Reg 53182 [Aug. 14, 2002]). While the Privacy Rule was modified in 2002, none of the revisions are relevant to these appeals.

CFR 164.502 [a]). ''Covered entities'' generally include health plans, health care clearinghouses and health care providers such as physicians, hospitals and HMOs (45 CFR 160.103, 164.104 [a]). ''Protected health information'' encompasses any individually identifiable health information held or transmitted by a covered entity in any form or medium, whether electronic, paper or oral (45 CFR 160.103).

The Privacy Rule mandates disclosure in only two situations: when an individual asks a covered entity for his or her own health information, or when the Secretary of HHS asks a covered entity for access to such information in order to enforce HIPAA (45 CFR 164.502 [a] [2]).[3] The Rule, however, *permits* uses and disclosures in numerous circumstances as regulated by its provisions (45 CFR 164.502 [a] [1]). Uses and disclosures qualifying as permissive under the Privacy Rule are just that—for purposes of compliance with HIPAA, the covered entity is permitted, but not required, to use the information or make the disclosure (*see* 65 Fed Reg 82462, 82657 [''(N)othing in the rule requires covered entities to act on authorizations that they receive, even if those authorizations are valid. A covered entity presented with an authorization is permitted to make the disclosure authorized, but is not required to do so'']). Stated another way, a covered entity, such as a physician, who releases a patient's protected health information in a way permitted by the Privacy Rule does not violate HIPAA; however, neither the statute nor the Rule *requires* the physician to release this information.[4] The permitted uses and disclosures relevant to these appeals are those made pursuant to authorization (45 CFR 164.502 [a] [1] [iv]; 164.508) and the so-called litigation exception (45 CFR 164.502 [a] [1] [vi]; 164.512 [e]).

The Privacy Rule generally provides that a covered entity may not use or disclose an individual's protected health information to third parties without a valid authorization, except as otherwise permitted or mandated under the Rule (45 CFR 164.508 [a]). An authorization must be written in

---

3. HHS's Office for Civil Rights (OCR) is responsible for enforcing the Privacy Rule. OCR carries out this responsibility by investigating complaints against covered entities, conducting compliance reviews and performing education and outreach to foster compliance (*see generally* 45 CFR part 160, subparts C, D, E).

4. Of course, the physician is not entirely free in this regard because some other law might compel the information's release.

plain language (45 CFR 164.508 [c] [3]); and it must contain specific ''core elements and requirements,'' including a ''specific and meaningful'' description of the protected health information to be used or disclosed, the identity of those persons or classes of persons authorized to make and receive the requested use or disclosure, an expiration date or event, the individual's signature, and a statement notifying the signatory of the right to revoke the authorization in writing (45 CFR 164.508 [c] [1], [2]).

The Privacy Rule also permits covered entities to use or disclose protected health information without authorization pursuant to a court or administrative order so long as only the protected health information covered by the order is disclosed (45 CFR 164.512 [e] [1] [i]); or in response to a subpoena, discovery request or other lawful process if the entity has received satisfactory assurances that the party seeking the disclosure has made reasonable efforts to ensure that the individual has been given notice of the request, or has made reasonable efforts to secure a qualified protective order from a court or administrative tribunal (45 CFR 164.512 [e] [1] [ii]). While this litigation exception may appear to be tailored for those situations in which the protected health information is not being sought from a party to the proceedings, HHS has declared that ''[t]he provisions in [section 164.512 (e)] are not intended to disrupt current practice whereby an individual who is a party to a proceeding and has put his or her medical condition at issue will not prevail without consenting to the production of his or her protected health information'' (65 Fed Reg 82462, 82530).

Next, the Privacy Rule sets out a floor of federal privacy protections whereby state laws that are ''contrary'' to the Privacy Rule are preempted unless a specific exception applies. A state law is ''contrary'' to the Privacy Rule, however, only if it would be impossible for a covered entity to comply with both the state requirement and the Rule, or the former is an obstacle to accomplishing the full purposes and objectives of HIPAA's ''administrative simplification'' provisions (45 CFR 160.202). Moreover, if a state law mandates a disclosure, the Privacy Rule permits the disclosure under its ''required by law'' exception, which generally allows a covered entity to disclose protected health information without authorization where disclosure is compelled by another law (45 CFR 164.512 [a]). As one commentator has explained, the upshot of all this is to limit the potential for preemption to those situations where state law prohibits or restricts a disclosure that the Privacy Rule mandates (Cohen, *Reconciling the HIPAA Privacy Rule with State Laws Regulating Ex Parte Interviews of Plaintiffs' Treating Physicians: A Guide to Performing HIPAA Preemption Analysis*, 43 Hous L Rev 1091, 1123-1134 [2006]).

In addition, HHS has pointedly advised that where "there is a State provision and no comparable or analogous federal provision, or the converse is the case," there is no possibility of preemption because in the absence of anything to compare "there cannot be . . . a 'contrary' requirement" and so "the stand-alone requirement—be it State or federal—is effective" (64 Fed Reg 59918, 59995). As a result, there can be no conflict between New York law and HIPAA on the subject of ex parte interviews of treating physicians because HIPAA does not address this subject. Accordingly, the Privacy Rule does not prevent this informal discovery from going forward, it merely superimposes procedural prerequisites. As a practical matter, this means that the attorney who wishes to contact an adverse party's treating physician must first obtain a valid HIPAA authorization or a court or administrative order; or must issue a subpoena, discovery request or other lawful process with satisfactory assurances relating to either notification or a qualified protective order.

In the appeals now before us, defendants forwarded to plaintiffs HIPAA-compliant authorizations permitting their treating physicians to discuss the medical condition at issue in the litigation with defense counsel. After plaintiffs declined to sign these authorizations, defendants asked the trial courts for orders compelling them to do so, and the courts granted these requests. This was entirely proper. Plaintiffs waived the physician-patient privilege as to this information when they brought suit, so there was no basis for their refusal to furnish the requested HIPAA-compliant authorizations.[5] The waiver does not depend on the form or medium in which relevant medical information is kept or may be found: informa-

5. The dissent reasons that defendants' requests for court orders compelling plaintiffs to execute HIPAA-compliant authorizations "take[ ] the matter out of the realm of informal discovery" (dissenting op at 418). But this concern is tempered by the fact that plaintiffs now know that they cannot legitimately refuse to sign these HIPAA-compliant authorizations. Accordingly, there should be no need for future judicial intervention to require them to do so.

tion does not fall outside the waiver merely because it is captured in the treating physician's memory rather than on paper (*see generally* 65 Fed Reg 82462, 82620 [explaining rationale for treating verbal communications the same as paper and electronically based information]). Of course, it bears repeating that the treating physicians remain entirely free to decide whether or not to cooperate with defense counsel. HIPAA-compliant authorizations and HIPAA court orders cannot force a health care professional to communicate with anyone; they merely signal compliance with HIPAA and the Privacy Rule as is required before any use or disclosure of protected health information may take place.

[2] Finally, the trial court orders in *Arons* and *Webb* included stipulations not required by HIPAA and inconsistent with *Niesig* and *Siebert*—specifically, a direction for defense counsel to hand over to his adversary copies of all written statements and notations obtained from the physician during the private interviews, any audio or video recordings or transcripts, and interview memoranda or notes (excluding the attorneys' observations, impressions or analyses). Imposition of these conditions was improper.[6]

Accordingly, the orders of the Appellate Division should be reversed, with costs, and defendants' motions to compel plaintiffs to provide the subject authorizations granted in accordance with this opinion. The certified questions should be answered in the negative.

PIGOTT, J. (dissenting). Our holding today grants defense counsel the unprecedented ability to compel a plaintiff, who has placed his or her mental or physical condition in controversy, to execute authorizations allowing defense counsel to speak to his or her treating physicians outside the formal discovery process and without the plaintiff being present. As one commentator has noted, however, it is ''beyond cavil'' that ''neither the machinery in CPLR Article 31 nor the applicable Uniform Rules [for New York State Trial Courts] provide for disclosure of this nature'' (Connors, New York Practice, *Appellate Division Is*

6. We take no issue with those portions of the *Arons* and *Kish* orders that required defense counsel to identify themselves and their interest, to limit their inquiries to the condition at issue, and to advise physicians that they need not comply with the request for an interview (*see supra* at 410). We believe that the execution of a valid authorization and the fact that the physician, under HIPAA, is permitted, but not required, to grant the interview will address these concerns in the future.

Confronted With HIPAA, NYLJ, Jan. 17, 2007, at 3, col 1). Because this issue is one that, in my view, requires legislative action and cannot be adequately addressed by judicial decree, I respectfully dissent.

Article 31 of the CPLR and section 202.17 of the Uniform Rules (22 NYCRR) furnish a comprehensive statutory and regulatory framework governing the disclosure, in all actions, of the medical information of a party who has placed his or her mental or physical condition in controversy (*see* CPLR 3121 [entitled ''Physical or mental examination'']; 22 NYCRR 202.17 [entitled ''Exchange of medical reports in personal injury and wrongful death actions'']). This scheme ensures that all parties, including the litigant whose mental or physical condition is in controversy, are fully cognizant of the medical information in the possession of the other parties. For instance, under the Uniform Rules, a party conducting a physical examination of the litigant must provide a copy of the report setting forth the examining physician's findings and conclusions to every other party to the action (22 NYCRR 202.17 [c]). Moreover, a party obtaining a copy of medical records through the use of written authorizations supplied by the litigant must ''deliver a duplicate of such copy'' to the party who executed the authorization (CPLR 3121 [a]). In addition, a party may be granted an order to conduct the deposition of an adverse party's treating physician ''upon notice stating the circumstances or reasons such disclosure is sought or required'' (*see* CPLR 3101 [a] [4]).

Our holding today substantially modifies this carefully crafted scheme by allowing one party to unilaterally obtain, in a manner not authorized by article 31, information about an adverse party's medical condition. CPLR 3102, entitled ''Method of obtaining disclosure,'' clearly limits the scope of disclosure devices that may be used by a litigant to ''depositions upon oral questions or without the state upon written questions, interrogatories, demands for addresses, discovery and inspection of documents or property, physical and mental examinations of persons, and requests for admission'' (CPLR 3102 [a]). Upon a litigant's failure ''to respond to or comply with any request, notice, interrogatory, demand, question or order *under [Article 31]* . . . the party seeking disclosure may move to compel compliance or a response'' (CPLR 3124 [emphasis supplied]). Although a litigant whose mental or physical condition is in controversy may be compelled to provide authorizations entitling the opposing party to obtain medical records (CPLR 3124; 22 NYCRR 202.17 [j]), there is simply no statutory authority "under [Article 31]" for off-the-record interviews of treating physicians. Applying the basic principle of statutory construction "expressio unius est exclusio alterius" ("the expression of one thing is the exclusion of another") (Black's Law Dictionary 581 [6th ed 1990]), it is evident that the Legislature has limited the forms of authorizations to which defendants are entitled, namely, authorizations permitting defendants to obtain only copies of plaintiffs' medical records.

Pointing to our holdings in *Niesig v Team I* (76 NY2d 363 [1990]) and *Muriel Siebert & Co., Inc. v Intuit Inc.* (8 NY3d 506 [2007]), the majority rejects plaintiffs' argument that defendants are not entitled to the authorizations they seek because "there are no statutes and no rules expressly authorizing—or forbidding—ex parte discussions with *any* nonparty" (majority op at 409). The majority's reliance on those cases is, in my view, misplaced. Our holdings in *Niesig* and *Siebert* focused primarily on the definition of a party for purposes of discovery. *Niesig* involved the narrow issue of whether counsel could, without running afoul of Code of Professional Responsibility DR 7-104 (a) (1) (22 NYCRR 1200.35 [a] [1]), conduct informal, ex parte interviews of nonmanagerial, noncontrolling employees of an opposing party who witnessed an accident (*see Niesig*, 76 NY2d at 369, 374-375); *Siebert* addressed the narrow issue of whether counsel could conduct an informal, ex parte interview of a former employee of an opposing party (*see Siebert*, 8 NY3d at 511-512). Neither *Niesig* nor *Siebert* involved a party's invocation of article 31 to obtain the informal interviews, nor did the parties in those cases need the assistance of the opposing party. In neither instance was the protection of medical records and information implicated.

In contrast, defendants here seek court intervention compelling plaintiffs to execute HIPAA-compliant authorizations which, in my view, takes the matter out of the realm of informal discovery and into the realm of formal disclosure, which is supervised by the trial courts (*see* CPLR 3104). Because trial courts are constrained to limit their supervision of disclosure to those devices delineated in article 31, it likewise follows that article 31 must provide some basis for the relief. Given the fact that the Legislature has narrowly limited a litigant's obligation to execute authorizations to those situations where an adverse party is seeking copies of medical records, and nothing more, it is my view that defendants here are not entitled to authorizations to conduct informal, ex parte interviews with the treating physicians during pretrial discovery.

In addition to permitting such interviews *during* pretrial discovery, our holding impermissibly allows those interviews to take place *after* the note of issue and certificate of readiness have been filed. Of course, the filing of those documents signifies the end of discovery and, barring a timely motion to vacate, constitutes certification by the parties that ''[d]iscovery proceedings now known to be necessary [have been] completed'' (22 NYCRR 202.21 [b]). Under our holding today, however, defense counsel would be permitted to obtain court-ordered, HIPAA-compliant authorizations at any time and use them at any time both prior to and after the filing of a note of issue and certificate of readiness. Although defendants refer to such informal interviews as ''trial preparation,'' they are really nothing more than post-note of issue discovery, which is expressly prohibited by the Uniform Rules unless the party seeking the discovery can demonstrate ''unusual or unanticipated circumstances develop[ed] subsequent to the filing of [the] note of issue and certificate of readiness which require additional pretrial proceedings to prevent substantial prejudice'' (22 NYCRR 202.21 [d]). By the time a case has been certified as ready for trial, the defendant should have a firm grasp of the plaintiff's medical condition after deposing the plaintiff, perusing the plaintiff's medical information and defense counsel's own medical examination of plaintiff and conferring with its own expert. Therefore, such interviews as contemplated here are neither necessary nor warranted, and our holding permits circumvention of the ''unusual and unanticipated circumstances'' requirement of 22 NYCRR 202.21 (d).

There is no doubt that the enactment of HIPAA uncovered a practice whereby physicians who may have at one time spoken informally with defense counsel are no longer able to do so without a signed HIPAA authorization. Nonetheless, that does not mean that this Court should sanction that conduct and afford defense counsel a disclosure device that is not authorized by either article 31 or the Uniform Rules.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, SMITH and JONES concur with Judge READ; Judge PIGOTT dissents in a separate opinion.

In *Arons v Jutkowitz*: Order reversed, with costs, motion to compel plaintiff to provide the subject authorizations granted in accordance with the opinion herein and certified question answered in the negative.

In *Webb v New York Methodist Hosp.* and *Kish v Graham*: Order reversed, with costs, defendants' motion to compel plaintiff to provide the subject authorizations granted in accordance with the opinion herein and certified question answered in the negative.

[881 NE2d 193, 851 NYS2d 97]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JAMES ZIMMERMAN, Respondent.

Argued October 9, 2007; decided December 13, 2007

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 24, 2006. The Appellate Division affirmed an order of the Supreme Court, New York County (James A. Yates, J.), which had granted defendant's motion to dismiss the indictment on the ground of lack of geographical jurisdiction.

People v Zimmerman, 32 AD3d 345, affirmed.

HEADNOTE

Crimes — Jurisdiction of Offenses — Particular Effect Jurisdiction

New York County did not have ''particular effect'' jurisdiction under CPL 20.40 (2) (c) over the indictment charging defendant, the chairman and chief executive officer of a large corporation under investigation for antitrust violations, with committing perjury when he was examined under oath by the New York State Attorney General at the corporation's headquarters in Ohio. Although New York State had jurisdiction pursuant to CPL 20.20 (2) (b), there was no evidence before the grand jury that could have reasonably lead to the conclusion that when defendant allegedly testified falsely in Ohio, he did so with the intent or knowledge that his actions would have a material and harmful effect on New York County's judicial processes (*see* CPL 20.10 [4]). The subpoena for his testimony had not issued from a New York County grand jury, but rather from the Attorney General's office itself, pursuant to its subpoena powers. Defendant's alleged perjury, designed to mislead the Attorney General and frustrate his investigation, could have caused a concrete and identifiable injury to New York State generally, but there was no evidence it would have injured any particular county. This gap in the ''particular effect'' venue statutory scheme could only be filled by the Legislature.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 480, 481, 487, 490, 500.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:16, 172:17, 172:22, 172:26, 172:33.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 16.2.
MCKINNEY'S, CPL 20.10 (4); 20.20 (2) (b); 20.40 (2) (c).
NY JUR 2d, Criminal Law §§ 16–18, 24, 28.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Jurisdiction; Perjury.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: jurisdiction /3 particular /2 effect & perjury

POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, New York City (*Roseann B. MacKechnie* and *Barbara D. Underwood* of counsel), for appellant. The evidence before the grand jury established venue in New York County because, at the time defendant made his perjurious statements in Ohio, he knew those statements were likely to have a materially harmful impact on governmental processes in New York County. (*People v McLaughlin,* 80 NY2d 466; *Matter of Murtagh v Leibowitz,* 303 NY 311; *People v Greenberg,* 89 NY2d 553; *People v Fea,* 47 NY2d 70; *People v Licenziata,* 199 App Div 106; *Matter of Taub v Altman,* 3 NY3d 30; *Matter of Steingut v Gold,* 42 NY2d 311; *People v Moore,* 46 NY2d 1; *People v Jensen,* 86 NY2d 248; *People v Jennings,* 69 NY2d 103.)

Steven R. Kartagener, New York City, and *Thomas Fitzpatrick* for respondent. The courts below correctly ruled that the New York County grand jury lacked the power to indict respondent for perjury allegedly committed in Cincinnati, Ohio, under the so-called ''particular effect'' theory of geographical jurisdiction (venue), since the proof before the grand jury could not and did not establish that respondent's alleged conduct ''had, or was likely to have, a particular effect upon such county,'' or that respondent committed perjury with ''the intent that it would, or with knowledge that it was likely to, have such particular effect'' on New York County. (*Matter of Taub v Altman,* 3 NY3d 30; *People v Fea,* 47 NY2d 70; *Matter of Steingut v Gold,* 42 NY2d 311; *People v Sandy,* 236 AD2d 104, 91 NY2d 977; *People v Rodriguez y Paz,* 58 NY2d 327; *People v Greenberg,* 89 NY2d 553; *People v Moore,* 46 NY2d 1; *Matter of Murtagh v Leibowitz,* 303 NY 311; *People v Hetenyi,* 277 App Div 310, 301 NY 757; *People v Culhane,* 33 NY2d 90.)

OPINION OF THE COURT

CIPARICK, J.

This appeal asks us to determine whether defendant is subject to ''particular effect'' jurisdiction, or venue, as set forth in CPL article 20, in New York County. We conclude that he is not.

In 2002, the New York Attorney General's office began an antitrust investigation into suspected unlawful conduct by

Federated Department Stores and May Department Stores. The Attorney General sought to determine whether Federated and May conspired with Waterford Wedgwood USA and Lenox, Inc.—manufacturers of fine crystal and china—to restrain the sale of such products by Bed, Bath and Beyond, a competitor of Federated and May. During the investigation, the Attorney General subpoenaed documents from the companies and testimony from their current and former employees.

Prior to Federated's compliance with the subpoena duces tecum, the Attorney General and Federated entered into a confidentiality agreement, which provided that any dispute regarding the disclosure or classification of documents would be brought in New York County Supreme Court. The agreement was sent to and signed by Federated's attorney in Washington, D.C.

Defendant, James Zimmerman, who was the chairman and chief executive officer of Federated from 1998 until his retirement in February 2004, was among the witnesses examined under oath as a part of the investigation. The Attorney General sought to examine defendant at the Antitrust Bureau's New York County office, but as an accommodation to him, the Attorney General agreed to conduct the examination at Federated's corporate headquarters in Cincinnati, Ohio.

The examination was held on April 9, 2004. At that time, an oath was administered by the court reporter, who was also an Ohio notary public. Defendant was represented at the examination by his Washington, D.C. attorney, who signed the confidentiality agreement. During the examination, the Attorney General extensively questioned defendant regarding an alleged conversation he had with Waterford's chairman of the board on June 11, 2001.

A couple of months later, the Attorney General's office notified Federated, May, Waterford and Lenox that it was prepared to commence a lawsuit against them, alleging violations of the Donnelly Act and Executive Law § 63 (12). But before the action was commenced, the Attorney General resumed settlement negotiations that resulted in the four companies each entering into settlement agreements with the Attorney General.

Meanwhile, following defendant's examination, the Attorney General commenced a grand jury investigation in New York County into defendant's alleged perjury during his examination. As part of the charge to the grand jury, the Attorney General read the statutory provisions that govern ''particular effect'' jurisdiction and venue as set forth in CPL 20.20 (2) (b)[1] (state jurisdiction), 20.10 (4)[2] (definition of ''particular effect'') and 20.40 (2) (c)[3] (county jurisdiction). In January 2005, the grand jury indicted defendant for perjury in the first degree (Penal Law § 210.15), charging him with six instances of testifying falsely. The indictment also alleged ''that the crime of Perjury in the First Degree was designed to prevent a particular effect in the County and State of New York and . . . that the defendant's conduct . . . was performed with intent that it would, and knowledge that it would be likely to, have such an effect herein.''

Defendant, in an omnibus motion, moved to dismiss the indictment, arguing that ''particular effect'' venue, pursuant to CPL 20.40 (2) (c), did not lie in New York County. Defendant conceded that New York State had jurisdiction pursuant to CPL 20.20 (2) (b). Citing *Matter of Taub v Altman* (3 NY3d 30 [2004]), however, defendant argued that his alleged perjury had no perceptible impact on the governmental processes of that county and that there was no evidence that he actually intended or was aware that his alleged perjury would have a deleterious

---

1. CPL 20.20 (2) (b) provides that

> ''a person may be convicted in the criminal courts of this state of an offense . . . when: . . .
>
> ''[e]ven though none of the conduct constituting such offense may have occurred within this state . . .
>
> ''[t]he statute defining the offense is designed to prevent the occurrence of a particular effect in this state and the conduct constituting the offense committed was performed with intent that it would have such effect herein.''

2. CPL 20.10 (4) defines ''[p]articular effect of an offense'' as ''[w]hen conduct constituting an offense produces consequences which, though not necessarily amounting to a result or element of such offense, have a materially harmful impact upon the governmental processes or community welfare of a particular jurisdiction, or result in the defrauding of persons in such jurisdiction.''

3. CPL 20.40 (2) (c) provides that

> ''[a] person may be convicted in an appropriate criminal court of a particular county, of an offense of which the criminal courts of this state have jurisdiction pursuant to section 20.20 . . . when: . . .
>
> ''[e]ven though none of the conduct constituting such offense may have occurred within such county . . .
>
> ''[s]uch conduct had, or was likely to have, a particular effect upon such county or a political subdivision or part thereof, and was performed with intent that it would, or with knowledge that it was likely to, have such particular effect therein.''

effect on the governmental or judicial processes of New York County. The People opposed the motion and argued that the evidence presented to the grand jury established that defendant acted with either the intent or knowledge that his actions would affect the antitrust investigation being conducted in New York County.

Supreme Court granted defendant's motion, dismissed the indictment and held that defendant's acts had no "particular effect" upon New York County. The Appellate Division affirmed and noted that "[c]riminal conduct constituting an offense has a 'particular effect' upon a county when it 'produces consequences which . . . have a materially harmful impact upon the governmental processes or community welfare of [the] particular [county], or result in the defrauding of persons in such [county]' " (32 AD3d 345, 346 [2006], quoting CPL 20.10 [4]). The Appellate Division found that

> "the evidence did not establish that, at the time *defendant* made his allegedly false statement, *he* was aware of the facts relied upon by appellant for this claim. Instead, all that can be reasonably inferred from the facts is that at the time he made his statements in Ohio, defendant knew his conduct would have a deleterious effect on the governmental or judicial processes of the State of New York, but not on any particular county" (*id.*, citing *Taub*).

A Judge of this Court granted leave to appeal, and we now affirm.

In *Taub*, we opined that

> "in order for prosecutorial jurisdiction to lie in New York County, it is that county . . . that must suffer a particular effect as a result of defendants' alleged conduct. The statutory requirement that the conduct have a materially harmful impact may thus be satisfied only by a 'concrete and identifiable injury' to either the county's governmental processes (that is, the executive, legislative or judicial branch of government) or the welfare of the county's community. Moreover, to be materially harmful, the impact must be more than minor or incidental, and the conduct must harm 'the well being of the community as a whole,' not merely a particular individual" (*Taub*, 3 NY3d at 33-34 [citations omitted]).

Further, ''because the jurisdiction of the county seeking to prosecute must be established before the grand jury, the type of injury or offense contemplated by the particular effect statute must 'be perceptible and of the character and type which can be demonstrated by proof before a [g]rand [j]ury' '' (*Taub* at 34, quoting *Matter of Steingut v Gold*, 42 NY2d 311, 317 [1977]).

The question presented here, as in *Taub*, is whether the evidence before the grand jury established a concrete and identifiable injury suffered specifically by New York County. The People rely upon instances of defendant's conduct that purportedly affected New York County's judicial processes. The People also contend that certain statements evince a concrete and identifiable injury suffered by New York County and that at the time defendant made the alleged perjurious statements in Ohio, he knew that they were likely to have a materially harmful impact on judicial processes in New York County. That is, he must have known that the Attorney General's antitrust investigation might lead to civil litigation or criminal charges, proceedings that would necessarily be brought in New York County.

Defendant, on the other hand, argues that a New York County grand jury was without authority to indict him for perjury under the particular effect theory of geographical jurisdiction. Defendant contends that the proof that was presented to the grand jury failed to establish that his alleged conduct had or was likely to have a materially harmful impact on New York County or that he had the intent or knowledge that it would have such particular effect on the County.

Defendant's argument should prevail because there was no evidence before the grand jury that could reasonably lead to the conclusion that when defendant allegedly testified falsely in Ohio, he did so with the intent or knowledge that his actions would have a material and harmful effect on New York County's judicial processes. The subpoena for his testimony had not issued from a New York County grand jury, but rather from the Attorney General's office itself, pursuant to its subpoena powers.

At common law and under the State Constitution, a defendant has the right to be tried in the county where the crime was committed unless the Legislature has provided otherwise (*see People v Moore*, 46 NY2d 1, 6 [1978], citing NY Const, art I, § 2, and *People v Goldswer*, 39 NY2d 656, 659-661 [1976]).[4] "So stringently was that rule applied, at common law, that where the alleged act was performed in part in one county and in part in another or others, venue was in neither county, and prosecution could not be had at all" (*Matter of Murtagh v Leibowitz*, 303 NY 311, 316 [1951]).[5] The Legislature sought to correct that situation by enacting venue statutes that permit the prosecution of certain actions in other counties under certain very specific conditions (*see id.*; *see also People v Nicoll*, 3 AD2d 64, 70-71 [4th Dept 1956] [reciting early history of multiple county jurisdiction]). Thus, "[a]bsent [a] statutory exception, . . . the territorial unit for criminal prosecutions is [a] county" (*People v Fea*, 47 NY2d 70, 75 [1979]).

Our previous cases illustrate the limits of county jurisdiction. In *Fea*, the People sought to prosecute the defendant in Bronx County for allegedly assaulting an individual in Rockland County. The assaults were intended to compel usurious loan payments in Bronx County. The People argued that defendant's assaults had a materially harmful impact upon the community welfare of Bronx County. We reversed the conviction and dismissed the indictment, holding that "[e]xtraterritorial jurisdiction is to be applied only in those limited circumstances where the out-of-jurisdiction conduct is violative of a statute intended to protect the integrity of the governmental processes or is harmful to the community as a whole" (*Fea*, 47 NY2d at 76-77).

In *Steingut* (42 NY2d 311 [1977]), the petitioners were indicted in Kings County for the corrupt use of position or authority, in violation of Election Law § 448, for promising to assist in obtaining appointment to a position on the Civilian Complaint Review Board of the New York City Police Department in exchange for fund-raising services. The alleged promise occurred while the petitioners were at a luncheon meeting in New York County. The Kings County prosecutor asserted "par-

---

4. The Legislature has created other statutory exceptions to strict territorial principles of geographical jurisdiction, such as Judiciary Law § 177-a, which authorized "special narcotics parts in the supreme court . . . to hear and determine narcotic cases from within counties wholly contained" by New York City. That statute effectively "removed the 'traditional jurisdictional boundaries' and combined all five counties of New York City into a single unit for purposes of prosecuting narcotics indictments" (*People v Rodriguez y Paz*, 58 NY2d 327, 333 [1983]).

5. *Matter of Murtagh* concerned section 134 of the Code of Criminal Procedure, the predecessor statute to CPL 20.40.

ticular effect'' venue based on the fact that the fund-raising was to support an election that was to take place in Kings County. We concluded that where the election was to take place was an amorphous fact that the Legislature clearly did not intend to be dispositive in determining venue (*see Steingut*, 42 NY2d at 317).

We further noted in *Steingut* that the application of the statute was best illustrated by an example in a practice commentary ''in which the culprit maliciously blows up a dam in Putnam County near the Westchester County line, thus flooding some Westchester territory—a result which he either intends or knows is likely to occur. In such case, jurisdiction of the crime lies in Westchester as well as in Putnam'' (*Steingut* at 317 [citation omitted]). We held that ''[i]n the case before us there was no perceptible material harmful impact such as the physical intrusion noted in the commentary or other types of impact'' (*id.* at 318).

The difficulty in applying CPL 20.40 (2) (c) to the situation here is that it defines ''jurisdiction of counties,'' or venue, in the same terms used by CPL 20.20 (2) (b) to define the jurisdiction of the State. Under section 20.20 (2) (b), the State has jurisdiction if the statute defining the offense is designed to prevent a ''particular effect in this state'' and defendant's criminal conduct ''was performed with intent that it would have such effect herein.'' CPL 20.10 (4) defines ''particular effect,'' as relevant here, to mean ''consequences which . . . have a materially harmful impact upon the governmental processes or community welfare of a particular jurisdiction.''

Section 20.40 (2) (c) tracks section 20.20 (2) (b), with some variation; it says that a county has jurisdiction if the defendant's ''conduct had, or was likely to have, a particular effect upon such county or a political subdivision or part thereof, and was performed with intent that it would, or with knowledge that it was likely to, have such particular effect therein.'' The parallelism between the approach of the state jurisdiction and county jurisdiction statutes appears, in hindsight, to be unworkable. The ''jurisdiction'' of the State and the ''jurisdiction'' of a county are fundamentally different from each other.

The State is a sovereign, and its power is limited by its boundaries. It can punish people for conduct committed outside those boundaries only in limited circumstances, as defined by section 20.20. But counties are not sovereigns; they are subdivisions of the State. If the State has jurisdiction of a case it may, as a general rule, assign the trial of that case to any county it chooses. Thus, in enacting CPL 20.40 to regulate the ''jurisdiction'' of counties, the authors of the Criminal Procedure Law did not need to be concerned with limitations on sovereign power. More specifically, they did not need to require, as a precondition to venue, a ''particular effect'' upon a single ''county or a political subdivision or part thereof''; nor did they need to require that the defendant intend such an effect or know that it is likely to occur. But they did impose those requirements, apparently overlooking at least two possibilities: (1) a defendant's conduct might affect, or be intended or be likely to affect, the State of New York as a whole, rather than a county or some smaller unit of government; and (2) a defendant might intend an effect within the state without knowing in which county or counties the effect will occur. In these two situations, the statute leaves a gap; the State has jurisdiction, but no county does.

Here, the first of the possibilities overlooked by the Legislature is involved. Defendant's perjury, if the charge against him is true, was obviously designed to mislead the New York State Attorney General and frustrate his investigation. Thus defendant's act was performed with the intent that it would have a ''particular effect'' on the State—''a materially harmful impact upon'' the State's ''governmental processes.'' But there was no evidence presented to the grand jury indicating that defendant's conduct was intended to have or, as far as defendant knew, was likely to have any ''materially harmful impact'' on the ''governmental processes or community welfare'' of any ''county or a political subdivision or part thereof.''

Specifically, the confidentiality agreement, which named New York County as the venue for any dispute arising from the classification and disclosure of confidential information, was sent to, and signed by, Federated's attorney in Washington, D.C. No grand jury testimony, however, indicates that defendant knew of the venue provision in the confidentiality agreement. Further, an Assistant Attorney General's grand jury testimony relating to defendant's examination focuses on defendant's alleged perjurious statements, not on his state of mind. The testimony does indicate that defendant was aware that the Attorney General was investigating certain meetings that had taken place at Federated Department Stores' offices in New York City, and that defendant was initially issued a subpoena to appear at the Attorney General's offices in Manhattan to be examined. But awareness of a New York City-centered investigation is not evidence that defendant acted with knowledge that his conduct would impact New York County's governmental and judicial processes, nor can such an inference reasonably be drawn.

In conclusion, because evidence presented to the grand jury did not establish that defendant intended or knew that his alleged perjurious statements would have a concrete and identifiable injury to either New York County's governmental processes or the welfare of the County's community, ''particular effect'' jurisdiction, or venue, is not sustainable. Certainly, this result reflects a ''Catch-22'' situation. And it is lamentable that, although defendant's acts admittedly could have caused a ''concrete and identifiable'' injury to New York State generally, there is not a single county in the state where this prosecution could be brought given the current statutory scheme. Again, the gap in the ''particular effect'' venue statutory scheme that we identified in *Taub* cannot be filled by this Court. The Legislature, however, may do so.

Accordingly, the order of the Appellate Division should be affirmed.

READ, J. (dissenting). At common law, a criminal defendant could only be tried in the county where a crime was actually committed. Over a century ago, however, the Legislature relaxed this standard statutorily so as to prevent ''miscarriage of justice.'' Almost 90 years later, a comprehensive new Criminal Procedure Law expanded upon the then existing remedial statute, with the CPL's drafters noting that ''[i]n general, . . . multiple county jurisdiction is bestowed *more liberally* than state jurisdiction'' (Commn Staff Notes, reprinted following CPL 20.40 in NY CLS, Book 7, at 109 [emphasis added]). Yet today a majority of the Court concludes that there is no geographical jurisdiction over this criminal defendant in any New York county even though geographical jurisdiction was concededly proper in New York State. Neither the CPL's text nor our past decisions mandate such an irrational result. I respectfully dissent.

Statutory Text and Legislative History

The specific question posed by this appeal is whether the evidence presented to the grand jury satisfies jurisdiction in New York County within the meaning of CPL 20.40 (2) (c). In order to answer this question, we must construe CPL 20.40 (2) (c), which grants so-called ''particular effect'' jurisdiction to New

York counties. Because ''[i]t is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature'' (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [internal quotation marks and citations omitted]), our goal should be to apply CPL 20.40 (2) (c) to this case *as the Legislature would have intended it to apply*. Since ''the clearest indicator of legislative intent is the statutory text'' (*Majewski*, 91 NY2d at 583), our starting point in construing CPL 20.40 must be the provision's language.

CPL 20.40 states that ''[a] person may be convicted in an appropriate criminal court of a particular county, of an offense of which the criminal courts of this state have jurisdiction pursuant to section 20.20 . . . when'' any one of 19 statutory subsections is fulfilled. Subdivision (2) (c) vests geographical jurisdiction in a county ''[e]ven though none of the conduct constituting such offense may have occurred within such county'' if ''[s]uch conduct had, or was likely to have, a particular effect upon such county or a political subdivision or part thereof, and was performed with intent that it would, or with knowledge that it was likely to, have such particular effect therein.'' Relatedly, CPL 20.10 (4) defines a ''particular effect'' as a ''materially harmful impact upon the governmental processes or community welfare of'' the county seeking to assert jurisdiction.

Where ''the natural signification of the words employed'' in a statute leaves ''no room for construction . . . courts have no right to add to or take away from that meaning'' and the task of judicial interpretation is finished (*Majewski*, 91 NY2d at 583 [internal quotation marks and citations omitted]). Here, the CPL's text does not define ''materially harmful impact,'' ''governmental processes,'' or ''community welfare''; nor does the text explain whether ''particular'' modifies ''county'' in addition to ''effect.'' Because the text of CPL 20.40 (2) (c) is not ''too clear for construction'' (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 76), we need to examine its legislative history—in particular, its general and specific derivation—in order to glean and ''effectuate the intent of the Legislature.''

The drafting history of CPL 20.40 (2) establishes certain points critical to this appeal. First, CPL 20.40 (2) is a remedial statute, intended by the Legislature to remedy gaps in county jurisdiction created by the strict common-law rule of vicinage. Under the common law, a crime could only be prosecuted in a county in which all elements were performed; as a result, there was a jurisdictional ''gap'' for crimes that crossed county lines (for example, death is a result element of murder; if a defendant stabbed a victim in Nassau County, and the victim staggered into Queens County before dying, common-law vicinage would allow for jurisdiction in neither county).

As far back as 1881, however, the Legislature saw fit to remedy this deficiency in county jurisdiction, passing section 134 of the Code of Criminal Procedure (CCrP), a statute providing that ''[w]hen a crime is committed, partly in one county and partly in another . . . the jurisdiction is in either county.'' New York courts interpreting CCrP § 134 recognized the statute as remedial and therefore refused attempts to adopt ''construction[s of the statute] that w[ere] never intended and which, to say the least, would be extremely technical'' (*People v Licenziata*, 199 App Div 106, 110 [2d Dept 1921]).

In the 1960s, New York overhauled its criminal law and its law of criminal procedure, appointing a Temporary Commission on Revision of the Penal Law and Criminal Code. The Commission's efforts led to the 1970 Criminal Procedure Law (*see* L 1970, ch 996), a ''complete reconstruction from the ground up'' in which ''[t]he changes in substance w[ere] numerous and frequently of a fundamental nature'' (6th Interim Rep of Temp Commn on Rev of Penal Law and Crim Code, 1967 NY Legis Doc No. 6, at 7). That said, many CPL provisions had some counterpart in the predecessor CCrP, and the CPL itself contains a derivation table indicating any CPL sections that were ''specifically or generally derived'' from coordinate provisions of the CCrP. As relevant here, this table shows that section 20.40 (2) traces its general origins to CCrP § 134 (*see* L 1970, ch 996, at 3387).

While CPL 20.40 (2), like its general predecessor CCrP § 134, was a legislative remedy to strict common-law vicinage, the CPL did more than merely recodify the preexisting law of county jurisdiction, which the Commission described as ''meager and shallow'' (Staff Comment of Temp St Commn on Rev of Penal Law and Crim Code, 1967 Proposed NY CPL 10.40, at 45). Explaining section 10.40 (the forerunner of CPL 20.40), the Commission Staff wrote,

> ''The rules governing the jurisdiction of this state over offenses which may also be within the jurisdiction of another state are quite comparable to those governing the jurisdiction of a county over offenses which may also be within the jurisdiction of another

> county. *In general, however, multiple county jurisdiction is bestowed more liberally than state jurisdiction, and there are several kinds of situations in which a county acquires jurisdiction of an offense pursuant to this section where the state, in an analogous inter-state situation, would not acquire jurisdiction under section 10.20*'' (*id.* at 45 [emphasis added]).

Thus, in addition to citing CPL 20.40 (2)'s remedial predecessor, the drafters of the CPL explained that while state and county geographical jurisdiction are similar, county geographical jurisdiction under CPL 20.40 is less strict (''bestowed more liberally'') than state geographical jurisdiction under CPL 20.20.

In sum, the Legislature intended the provisions of CPL 20.40 (2) to ''prevent a miscarriage of justice'' owing to county jurisdictional ''limits prescribed by the common law'' (*Licenziata*, 199 App Div at 111); and the Legislature also intended that the provisions of CPL 20.40 sweep more broadly than CPL 20.20 as a general matter. By construing the statute to allow a situation where there is geographical jurisdiction in the State but not in any of its individual counties, the majority ignores both propositions.

Our Precedent and the Facts in This Case

The majority (like the courts below) takes the position that our hands are tied by our precedent; that we must affirm because we decided in *Matter of Taub v Altman* (3 NY3d 30 [2004]) that there is no venue in this kind of case. The logic undergirding *Taub* and our earlier decisions in *Matter of Steingut v Gold* (42 NY2d 311 [1977]) and *People v Fea* (47 NY2d 70 [1979]) does not, however, mandate an affirmance here, where the facts are very different.

Steingut, *Fea* and *Taub* were animated by an apprehension that particular effect jurisdiction—a legislative ''exception'' to common-law conduct jurisdiction—might swallow up the common-law ''rule.'' Thus, in *Taub* we disclaimed the ''People['s] assert[ion] that . . . the City [in this case, the State] may be deprived of its ability to prosecute within its borders certain crimes, of which it is undeniably the victim'' (3 NY3d at 38), because ''particular effect jurisdiction is an *alternative* ground for venue . . . invoked only when jurisdiction does not lie on some other basis—such as the far more common scenario in which evidence exists that conduct establishing an element of the offense has occurred within'' another New York county (*id.* at 38-39 [emphasis added]). We followed up this caveat with an even more explicit expression by stating that the criminal statute involved in *Taub* provided ''jurisdiction will lie in any county where the defendant executed or mailed the [tax] return'' (*id.* at 39). Similarly, in both *Fea* and *Steingut*, venue would have been proper in the New York county where the allegedly criminal conduct took place. There would have been no venue ''gap'' at common law, and the remedial nature of CPL 20.40 (2) (c) did not come into play.

In this case, however, county geographical jurisdiction could not lie in any New York county other than New York County; nor could geographical jurisdiction lie in any county under any theory of venue other than particular effect. Indeed, the majority appears to concede as much by suggesting that the Legislature might want to fill a perceived gap in the statute. Given that CPL 20.40 (2) (c) is remedial and that finding *no* jurisdiction in *any* county is contrary to legislative intent and objectionable as a matter of policy, there is no warrant for strictly construing this provision that, on its face, easily supports the grand jury's finding of particular effect jurisdiction in New York County (*see generally* McKinney's Cons Laws of NY, Book 1, Statutes § 141 [''In construing a statute which is ambiguous the construction to be adopted is the one which will not cause objectionable results'']). The majority has effectively rendered CPL 20.40 (2) (c) meaningless: on the one hand, it is ''an *alternative* ground for venue . . . invoked only when jurisdiction does not lie on some other basis'' (*Taub*, 3 NY3d at 38-39 [emphasis added]), but on the other hand (this case), it must be strictly construed and so may not be invoked in a situation where there is no alternative basis for geographical jurisdiction in any county despite the existence of geographical jurisdiction in the State (*see* majority op at 426-427).*

* The majority opinion has so eviscerated CPL 20.40 (2) (c) that it is questionable whether particular effect jurisdiction would lie, under the majority's analysis, in the very example that it cites—where a ''culprit maliciously blows up a dam in Putnam County near the Westchester County line, thus flooding *some* Westchester territory'' (majority op at 428 [emphasis added]). A Putnam County dam-breaker, even one who floods ''some Westchester territory,'' cannot be said to have engaged in ''conduct . . . violative of a statute intended to protect the integrity of the governmental processes or . . . harmful to the community as a whole,'' yet the majority twice quotes this standard with approval (*see* majority op at 427, quoting *Fea*, 47

(n. cont'd)

Read together with CPL 20.10 (4), CPL 20.40 (2) (c) vests a county with jurisdiction over criminal

> ‘‘conduct [that] had, or was likely to have, [consequences which, though not necessarily amounting to a result or element of such offense, have a materially harmful impact upon the governmental processes or community welfare of a particular jurisdiction, or result in the defrauding of persons in such jurisdiction] . . . , and was performed with intent that it would, or with knowledge that it was likely to, have such [consequences] therein.’’

The most direct effect of defendant’s alleged perjury in this case would be to impede the Attorney General’s investigation into anticompetitive practices in the tabletop market. The majority zeroes in on this, proclaiming that this is not an effect on the governmental processes of New York County. This analysis, however, misses the mark, particularly once the varnish of ‘‘strict construction’’ is stripped away from section 20.40 (2) (c) in light of the facts in this case.

The Donnelly Act vests the Attorney General with authority to conduct investigations as a *preliminary* to bringing judicial or grand jury proceedings (*see* General Business Law § 343). In this investigation, the Attorney General sent multiple subpoenaed interrogatories from New York County to Federated while defendant was CEO, several of which asked about certain principals’ meetings in New York County. Federated and the Attorney General entered into a confidentiality agreement while defendant was CEO of Federated, which specified that any issues of confidentiality or otherwise would be adjudicated in Supreme Court, New York County. The Attorney General was taking testimony from witnesses in New York County, which was the situs for every interview of a Federated employee or representative save defendant, who was interviewed in Ohio as a negotiated courtesy. Thus, there was sufficient evidence from which the grand jury might fairly and reasonably infer that the particular effect of defendant’s alleged perjury—to thwart or slow down the progress of an antitrust investigation—was likely

---

NY2d at 76-77). It is interesting, too, to note that the dam example cited by the majority originated in Richard G. Denzer’s practice commentary—mere paragraphs away from the statement that ‘‘[i]n general . . . multiple county jurisdiction or venue is bestowed more liberally than state jurisdiction’’ (McKinney’s Cons Laws of NY, Book 11A, CPL 20.40, at 54 [1971 ed]).

to materially harm ''governmental processes'' in New York County, the probable venue for any eventual litigation. Any other result would reward a defendant whose perjury is successful, or would force the Attorney General to bring judicial or grand jury proceedings prematurely, without adequate preliminary inquiry.

Moreover, a secondary, but wholly foreseeable, effect of impeding the Attorney General's investigation into anticompetitive behavior would be to undermine competition in the tabletop market—in other words, hindering an investigation fosters the underlying anticompetitive conduct sought to be deterred and/or punished. While the Attorney General might have a statewide focus generally, the conduct giving rise to his investigation was, among New York counties, particularly concentrated in New York County—where the tabletop industry's showrooms were located and its trade shows were held, the ''nerve center'' of Federated's New York operations, and the site of its flagship Macy's and Bloomingdale's stores. The ''community welfare'' of a county such as New York County includes not only its residents, but also its businesses. As a result, there was sufficient evidence from which the grand jury might fairly and reasonably infer that the particular effect of defendant's alleged perjury—to reduce competition in the tabletop industry—was likely to materially harm the ''community welfare'' of New York County, where the industry was centered.

The final prerequisite for venue is defendant's intent or knowledge that his perjury would have a particular effect on New York County. Here, defendant corresponded with representatives from the Attorney General's office in New York County. As the longtime CEO of Federated, he had to have known that New York County was the focal point for the American tabletop industry and that Federated's ''nerve center'' in New York State is in Manhattan. Defendant, to whom the corporate law department reported, likely knew that Federated had signed a consent agreement dictating that any disputes would be litigated in Supreme Court in New York County. Finally, defendant likely knew that his former colleagues at Federated had been interviewed in New York County in connection with an antitrust investigation related to events during his tenure as CEO, that defendant was the only Federated representative interviewed outside New York County, and that defendant's own interview only took place in Ohio after requests to interview him in New York County had been rebuffed by his counsel. In light of these facts, there is sufficient circumstantial evidence for the grand jury to have reasonably inferred that, more likely than not, defendant knew his alleged perjury was likely to have a particular effect on New York County.

Conclusion

The majority appears to believe that we have been painted into a corner by the Legislature's inadvertence or drafting mistake, and that the only means of escape is new legislation. I disagree. Because neither CPL 20.40 (2) (c)'s text nor our precedents mandate otherwise, I would decide the issue before us as the Legislature intended it to be decided, and would conclude that there was sufficient evidence to support the grand jury's finding of particular effect jurisdiction in New York County. In light of the Court's decision to the contrary, however, there is now no doubt that curative legislation is required if the Attorney General wishes to avoid today's unpleasant outcome when he is forced to depose witnesses out of state in future investigations. As all prosecutors in New York should now realize, CPL 20.40 (2) (c) is a dead letter, except (perhaps) in the event a miscreant blows up a dam in Putnam County (*see supra* at 434 n).

Chief Judge KAYE and Judges SMITH and JONES concur with Judge CIPARICK; Judge READ dissents in a separate opinion in which Judges GRAFFEO and PIGOTT concur.

Order affirmed.

[880 NE2d 863, 850 NYS2d 377]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WINSTON GAJADHAR, Appellant.

Argued November 13, 2007; decided December 18, 2007

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 23, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael J. Obus, J.; *see* 194 Misc 2d 142), which had convicted defendant, upon a jury verdict, of murder in the second degree and attempted robbery in the first degree.

People v Gajadhar, 38 AD3d 127, affirmed.

HEADNOTES

Crimes — Right to Jury Trial — Waiver of Right to 12-Person Jury

1. Article I, section 2 of the state constitution did not prohibit defendant from consenting, in writing and in open court with the trial court's permission, to a deliberating jury of less than 12 individuals. After one of the deliberating jurors was hospitalized and there were no alternate jurors that could be substituted, defendant decided that it was in his interests to be judged by the remaining 11 jurors, rather than accepting a mistrial and subjecting himself to a second trial. The parameters of the right to a jury trial have been modified over time by successive state constitutional amendments that initially provided for the waiver of a 12-person jury in civil cases, and then in noncapital criminal cases as well. Based on the history of article I, section 2 and subsequent decisions construing the meaning of the provision's evolving text, there is no longer a constitutional impediment to a defendant consenting to the continuation of deliberations by 11 jurors in conformance with the explicit procedures set forth in article I, section 2. Moreover, permitting a waiver of the common-law jury under article I, section 2 is consistent with the principle that criminal defendants can waive many fundamental constitutional rights.

Crimes — Right to Jury Trial — Waiver of Right to 12-Person Jury

2. *Cancemi v People* (18 NY 128 [1858]), which held that a verdict reached by an 11-member jury violated article I, section 2 of the state constitution, was decided correctly in 1858 based on the language of the constitutional provision at that time, but it no longer bars a defendant from consenting, in writing and in open court with the trial court's permission, to a deliberating jury of less than 12 individuals. Based on the history of the amendments to article I, section 2 since 1858, and subsequent decisions construing the meaning of the provision's evolving text, there is no longer a constitutional impediment to a defendant consenting to the continuation of deliberations by 11 jurors in conformance with the explicit procedures set forth in article I, section 2.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Jury §§ 68, 70, 190.
Carmody-Wait 2d, Criminal Procedure §§ 172:2746–172:2748, 172:3765.
LaFave, et al., Criminal Procedure (3d ed) §§ 22.1, 24.9.
McKinney's, NY Const, art I, § 2.
NY Jur 2d, Criminal Law §§ 2256, 2507.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Jury and Jury Trial.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: waiver /s jury /p juror /s ill

POINTS OF COUNSEL

Paul Wiener, New York City, and *Steven Banks* for appellant. If a criminal defendant is tried before a jury, the constitutional and statutory requirement that the jury consist of 12 persons is nonwaivable and, therefore, appellant's conviction by an 11-person jury must be reversed, notwithstanding his consent. (*People v Page,* 88 NY2d 1; *Cancemi v People,* 18 NY 128; *People v Ahmed,* 66 NY2d 307; *Williams v Florida,* 399 US 78; *People v Ryan,* 19 NY2d 100; *People v Mitchell,* 266 NY 15; *People v Thorn,* 156 NY 286; *Stokes v People*, 53 NY 164; *People v Rathbone,* 145 NY 434; *People v Warren,* 145 AD2d 966.)

Robert M. Morgenthau, District Attorney, New York City (*Hilary Hassler* and *Mark Dwyer* of counsel), for respondent. Defendant executed a valid, written waiver of his right to a jury of 12 in full compliance with provisions of the state constitution. He should be bound by that waiver. (*Cancemi v People,* 18 NY 128; *People v Page,* 88 NY2d 1; *People v Ryan,* 19 NY2d 100; *People v Lester,* 149 AD2d 975; *Matter of Bell v Sherman,* 174 AD2d 738; *Matter of Stressler v Hynes,* 169 AD2d 750; *Williams v Florida,* 399 US 78; *People v Cosmo,* 205 NY 91; *Patton v United States,* 281 US 276; *People v Mitchell,* 266 NY 15.)

OPINION OF THE COURT

Graffeo, J.

After jury deliberations commenced in this case, one of the jurors became ill and was hospitalized. Opposing a mistrial, defendant asked that the deliberations continue with the remaining 11 jurors. The court granted defendant's request and defendant executed a written waiver of his right to a jury of 12 citizens in open court. We must decide whether article I, section 2 of the state constitution permits a defendant to consent to a deliberating jury of less than 12 individuals. We hold that the waiver in these circumstances was valid.

I

Defendant Winston Gajadhar and his business associate, Tony Norng, operated an automobile repair business in Brooklyn. When the shop closed in 1994, the men believed that they were owed $1,500 from Sammi Fiki for work performed on a taxicab. Norng and defendant decided that defendant would attempt to collect the monies due from Fiki.

When defendant went to Fiki's office to discuss the matter, Fiki stated that he would only speak to Norng. Defendant later returned to Fiki's premises with another man (not Norng) and found that Fiki had been joined by his brother, Mosad, and a man named Hisham. After Fiki denied owing the money, defendant told his companion to "take care of them." The man locked the office door and produced a handgun. A scuffle ensued and, during the melee, Mosad, Hisham and Fiki were shot. After defendant and his accomplice fled, emergency workers responded and transported the victims to a hospital. Fiki and Hisham survived, but Mosad did not.

The police came to suspect that defendant was involved in the crime but believed that he had escaped to his native country of Trinidad. Defendant eventually returned to the United States, securing a job at another automobile repair shop. At some point he made incriminating statements to one of his coworkers who, unbeknownst to defendant, was cooperating with the Federal Bureau of Investigation (FBI) regarding an unrelated matter. The coworker shared defendant's statement with an FBI agent.

In 1999, a team of NYPD officers and FBI agents went to defendant's workplace but defendant became aware that the authorities were looking for him and he managed to elude capture again. He returned to Trinidad but was not permitted to enter the country because he produced a fake passport. Defendant was detained by authorities until United States marshals took him into custody and brought him back to New York.

Defendant was tried before a 12-member jury along with several alternate jurors. At the end of the case, defense counsel informed the trial court that, in the event a juror became unavailable after deliberations began, defendant would not consent to the substitution of an alternate juror. Because substitution without a defendant's consent is prohibited by CPL 270.35 (1), the court dismissed the alternate jurors before deliberations began.

On the third day of deliberations, a juror became ill and had to be hospitalized for approximately one week. The court and the parties were aware that it had been difficult to secure the attendance of all the witnesses, some of whom had to travel from other countries, and that a retrial would be burdensome for all involved. Defense counsel told the court that defendant wanted deliberations to continue with the remaining 11 jurors. The People raised a concern that *Cancemi v People* (18 NY 128 [1858]) prohibited a criminal defendant from consenting to a jury of less than 12.

Supreme Court granted defendant's request, noting that, after *Cancemi* was decided, article I, section 2 of the state constitution was amended to allow a defendant to waive the right to a 12-person jury under proper circumstances, provided that the waiver is made in writing and in open court. Defendant executed the required waiver and deliberations resumed. Defendant was eventually acquitted of intentional murder in the second degree, two counts of assault in the first degree and two counts of attempted second-degree murder, but he was convicted of attempted robbery in the first degree and felony murder in the second degree. Supreme Court sentenced defendant to an aggregate term of 20 years to life in prison.

On appeal, defendant adopted a position contrary to that presented during trial—he claimed that the state constitution does not allow a defendant to consent to a jury of less than 12 members in any situation. The Appellate Division rejected defendant's contention and upheld the convictions. A Judge of this Court granted leave and we now affirm.

II

The number 12 has long been associated with trial by jury but no one knows why or when the common law settled on that figure (*see e.g. People v Cosmo*, 205 NY 91, 96 [1912] ["(w)hen or how that number acquired its historic sacredness no one can tell, for the origin of the institution itself has been lost in the darkness of antiquity'']). Some legal commentators speculate that the number has religious significance (*see e.g.* 1 Edward Coke, Institutes of the Laws of England, at 155a [1st Am ed 1812]).[1] It has also been said that a jury of 12 evolved from certain ancient practices, such as convening 12 individuals with knowledge of a disputed matter to determine the truth or requiring a person to defend an action by swearing an oath of innocence attested to by 11 other individuals (*see e.g.* Proffatt, A Treatise on Trial by Jury § 12, at 16; *id.* § 28, at 41-42; Wells, *The Origin of the Petty Jury*, 27 L Q Rev 347, 359 [1911]; Constitutions of Clarendon § 9 [1164]). Regardless of origin, the number 12 was eventually regarded with ''superstitious reverence'' (Scott, Fundamentals of Procedure in Actions at Law, at 76 [1922]) and ''sometime in the 14th century the size of the jury at common law came to be fixed generally at 12'' (*Williams v Florida*, 399 US 78, 89 [1970]).

The common-law tradition of a 12-person jury was exported to America in the colonial era and gained explicit recognition in the original Charter of Liberties and Privileges enacted by the first Legislature in 1683 (*see* Charter of Liberties and Privileges § 17 [1683], reprinted in 1 Lincoln, Constitutional History of New York, at 101-102). The right was also recognized in the first constitution after New York became a state (*see* 1777 NY Const art XLI). Although the constitution of 1777 did not specifically refer to the number 12, it provided that the right to a jury trial as it existed in New York before the adoption of the constitution was to be continued (*see id.*).

The parameters of the right to a jury trial were later modified by successive state constitutional amendments (*see e.g.* 1821 NY Const, art VII, § 2; 1846 NY Const, art I, § 2; 1938 NY Const, art I, § 2). The 1821 amendment altered the original language slightly without affecting the meaning of the provision. But, in 1846, an amendment added a new principle to the state constitution—the ability of parties in a civil action to waive the right to a jury trial. This was a significant modification that allowed

---

1. *See also* Proffatt, A Treatise on Trial by Jury § 76, at 112 n 4 (1877) (''If the twelve apostles on their twelve thrones must try us in our eternal state, good reason hath the law to appoint the number twelve to try us in our temporal. The tribes of Israel were twelve, the patriarchs were twelve, and Solomon's officers were twelve'' [internal quotation marks omitted]); *id.* § 9, at 11 n 2 (stating that 12 was first adopted in 725 A.D. by a king of Wales who explained that just ''as Christ and his twelve apostles were finally to judge the world, so human tribunals should be composed of the king and twelve wise men'' [internal quotation marks omitted]).

parties not only to consent to trial by a judge serving as the factfinder, but also permitted litigants to "agree to a jury of six, or to other variations in traditional procedure" (Problems Relating to Bill of Rights and General Welfare, 1938 Rep of NY Constitutional Convention Comm, vol 6, at 12 [hereinafter Poletti Report]; *see e.g. Sharrow v Dick Corp.*, 86 NY2d 54, 59 [1995]). Of course, the fact that the constitution was amended to clearly provide for the waiver of a 12-person jury in civil cases meant that the opposite was also true—the right could not be waived in criminal cases.

Against this backdrop, in 1858 this Court decided *Cancemi v People* (18 NY 128 [1858]). In that case, 12 jurors had been empaneled for the defendant's murder trial. During the proceedings, one juror had to be discharged, albeit at the express request of the defendant. As a result, the guilty verdict was rendered by 11 jurors.

This Court concluded that a verdict reached by an 11-member jury violated article I, section 2 of the state constitution, which at that time included no language suggesting that a criminal defendant could waive a jury trial as the 1846 amendment had authorized for civil cases. According to the Court, the common-law jury of 12 was a constitutional "mode of proceeding" in criminal cases that could not be altered by the consent of the parties and, hence, the defendant's approval of the juror's discharge "was a nullity" (*id.* at 137, 138). The Court reasoned that "[i]f a deficiency of one juror might be waived, there appears to be no good reason why a deficiency of eleven might not be; and it is difficult to say why, upon the same principle, the entire panel might not be dispensed with, and the trial committed to the court alone" (*id.* at 138).

Following *Cancemi*, questions were raised about the efficacy of a ban on jury trial waivers in criminal cases. This culminated in a 1935 proposal by the Judicial Council seeking legislative adoption of a concurrent resolution in favor of a constitutional amendment to include noncapital criminal cases within the scope of the waiver language that had been added to article I, section 2 in 1846 for civil trials (*see* 2d Rep of NY Jud Council, at 97, reprinted in 1936 NY Legis Doc No. 48 [C], at 3). The Council recognized that the proposed language was broad enough to "legalize trial by jury of less than twelve men, as well as a complete waiver of the jury" but that the exact scope of the amendment would have to be determined by the judiciary (2d Rep of NY Jud Council, at 100). The Council firmly believed that there was ''little doubt at present that such waiver permitted under proper conditions w[ould] be a desirable and valuable part of criminal procedure'' (*id.*).

The Legislature passed the resolution and submitted the proposed constitutional amendment to the voters for approval. The electorate was to decide whether ''defendant[s] in all criminal cases, except those in which the crime charged may be punishable by death,'' should be able to waive a jury trial (*see* L 1935, vol 1-2, at 1917). After the resolution achieved second passage in the 1937 session, the amendment was approved by voters and became effective on January 1, 1938 (*see* Poletti Report at 8).[2]

Later that year, a constitutional convention was conducted and new language was inserted in article I, section 2 to specify the procedure for obtaining a proper waiver (*see* 2 Rev Rec, 1938 Constitutional Convention, at 1273-1282). After these two amendments, article I, section 2 read, in relevant part, as follows:

> ''[t]rial by jury in all cases in which it has heretofore been guaranteed by constitutional provision shall remain inviolate forever; but a jury trial may be waived by the parties in all civil cases in the manner to be prescribed by law. . . . A jury trial may be waived by the defendant in all criminal cases, except those in which the crime charged may be punishable by death, by a written instrument signed by the defendant in person in open court before and with the approval of a judge or justice of a court having jurisdiction to try the offense. The legislature may enact laws, not inconsistent herewith, governing the form, content, manner and time of presentation of the instrument effectuating such waiver'' (1938 NY Const, art I, § 2).

The language of this constitutional provision has remained unchanged since 1938. In addition, article VI, section 18 also references criminal juries by stating that ''crimes prosecuted by indictment shall be tried by a jury composed of twelve persons, unless a jury trial has been waived as provided in section two of article one'' (NY Const, art VI, § 18 [a]). Thus, whether the procedure used in this case was constitutionally permissible

2. Two years earlier, article I, section 2 had been amended to permit five-sixths verdicts in civil cases (*see* Poletti Report at 8).

depends on the scope of the waiver envisioned in article I, section 2.

III

Following the 1938 amendments, the first major decision by this Court on the issue of jury trial waivers was *People v Ryan* (19 NY2d 100 [1966]). In that case, defense counsel consented to the substitution of an alternate juror for a deliberating juror approximately five hours after deliberations had begun. At that time, section 358-a of the Code of Criminal Procedure allowed such a substitution to occur.

This Court concluded that the substitution violated the right to a 12-person jury because the alternate was kept away from the deliberations for five hours and, during that period, the alternate had ceased to function as a juror (*see* 19 NY2d at 105). As a result, the Court determined that ''13 jurors participated in the deliberations'' (*id.* at 103) in contravention of ''the Constitution of this State . . . [which] prohibits the substitution of an alternate juror—in effect a 13th juror—after the jury has begun its deliberation'' (*id.* at 104-105). Notably, in response to the People's contention that the constitution permitted a defendant to waive the right to a 12-person jury altogether, the Court explained that ''[t]he consent given by the defendants' counsel . . . did not satisfy the constitutional requirements for waiver and, therefore, no waiver occurred'' since article I, section 2 only contemplated a defendant's personal waiver in writing (*id.* at 106). The implication of this ruling is that, had the defendants themselves consented to the substitution of the alternate in writing and in open court, there would not have been a constitutional problem.

In the aftermath of *Ryan*, the Legislature adopted section 270.35 of the Criminal Procedure Law dealing with the substitution of an alternate juror. That statute, unlike section 358-a of the Code of Criminal Procedure, explicitly incorporates the waiver requirements of article I, section 2 by providing that an alternate juror can be substituted for a juror after deliberations have commenced if the defendant personally consents to the substitution in writing and in open court.

Then, in *People v Page* (88 NY2d 1 [1996]), this Court was asked whether a defendant could orally consent to the substitution of an alternate juror after deliberations commenced. We answered that oral consent by a defendant was insufficient because strict compliance with the requirements of CPL 270.35

was essential to effectuate a valid waiver under article I, section 2 (*see id.* at 10). In so holding, we recognized that the analysis in *Cancemi* had been premised on the pre-amendment text of the state constitution, which had not allowed jury trials to be waived in criminal cases. Cognizant of the history underlying the 1938 amendments that made waiver permissible, we explained that "the purpose of the specification in CPL 270.35 for consent memorialized in a writing signed in open court is to ensure that the State constitutional requirements for waiving a jury trial are followed before an alternate is substituted for a regular juror once deliberations have begun" (*id.* at 9). Therefore,

> "a defendant could waive the right to a jury trial—as well as the inclusory right to a jury of 12—and thereby consent to substitution of an alternate for a deliberating juror, 'by a written instrument signed by the defendant in person in open court before and with the approval of a judge or justice of a court having jurisdiction to try the offense' " (*id.* at 8, quoting NY Const, art I, § 2).

IV

There is no doubt that *Cancemi* was decided correctly in 1858. At that point, article I, section 2 unequivocally permitted jury waivers only in civil cases. Conversely, the constitution did not allow criminal defendants to waive the right to a jury trial, which meant that defendants could not consent to jury deliberations by less than 12 jurors (*see generally People v Cosmo*, 205 NY at 96).

[1, 2] In our view, however, the history of article I, section 2 and our subsequent decisions construing the meaning of the provision's evolving text reveal that there is no longer a constitutional impediment to a defendant consenting to the continuation of deliberations by 11 jurors in conformance with the explicit procedures set forth in article I, section 2. The 1938 constitutional amendments clearly dispelled the notion that a defendant cannot consent to an alteration of the common-law jury of 12 in a noncapital criminal case. Since the waiver language in article I, section 2 for civil cases permits juries of less than 12, unlike the dissent, we are not persuaded that the identical language, when applied to criminal cases, prohibits a defendant's waiver allowing deliberations to continue with 11 jurors.[3]

Linguistic considerations aside, because a noncapital criminal defendant is free to waive a jury entirely in order to have a judge act as the finder of fact (*see* CPL 320.10 [1])—something that was not permissible when *Cancemi* was decided—it follows that if a juror becomes unavailable after deliberations have begun and there are no alternates that can be substituted, a defendant should be permitted to request that an 11-member jury decide his fate.[4] Similarly, if criminal defendants can waive the common-law right and consent to deliberations in which 13 jurors are involved (*see People v Page*, 88 NY2d at 8) they should also be able to seek deliberations by 11 jurors if circumstances arise that warrant such a request. If the number 12 truly is sacrosanct, it would have to be required in all conceivable circumstances.

Of course, the constitution authorizes waiver only with the approval of the trial judge. Such a situation may arise when a deliberating juror becomes unavailable due to illness or other unexpected occurrence and the alternate jurors have been discharged at the defendant's request. In this unusual circumstance, "the waiver is tendered in good faith and is not a strategem to procure an otherwise impermissible procedural advantage" (*People v Duchin*, 12 NY2d 351, 353 [1963]; *see People ex rel. Rohrlich v Follette*, 20 NY2d 297, 301 [1967]). Allowing a defendant to decide whether deliberations should continue also provides the accused with more options than would otherwise be available if the right to a jury trial were as rigid and inflexible as defendant maintains. For example, if a defendant believes that a favorable outcome is possible, he may prefer to consent to deliberations continuing with 11 jurors rather than having to

3. The relevant language of article I, section 2 for civil cases reads: "a jury trial may be waived by the parties in all civil cases in the manner to be prescribed by law." Using parallel language for criminal cases, section 2 states, "[a] jury trial may be waived by the defendant in all criminal cases, except those in which the crime charged may be punishable by death . . . ."

The dissent also maintains that we have taken a "drastic departure" from the text of article VI, section 18 (dissenting op at 451). This is not so. That provision requires that all indictments be tried before a 12-member jury unless the defendant waives that right under article I, section 2. Because we believe that article I, section 2 permits a defendant to consent to 11 deliberating jurors under the circumstances presented, our decision is not inconsistent with the language of article VI, section 18.

4. We also note that an 11-member jury does not contravene the federal constitution (*see Williams v Florida*, 399 US at 86).

endure the ordeal, risk and expense of a second trial. But if the defendant believes that he is more likely to prevail at a retrial, the constitution ensures that this remedy is available to a defendant as well.

Equally significant is the fact that permitting a waiver of the common-law jury under article I, section 2 is consistent with the principle that criminal defendants can waive many fundamental constitutional rights: the right to confront accusers (*see e.g. People v Hansen*, 95 NY2d 227, 230 [2000]); the right to counsel (*see e.g. People v Gillian*, 8 NY3d 85, 88 [2006]); the privilege against self-incrimination (*see e.g. People v Lee*, 58 NY2d 491, 494 [1983]); the right to testify and to present a defense (*see e.g. People v Henriquez*, 3 NY3d 210, 217 [2004]); the right to be free from unreasonable searches and seizures (*see generally People v Esajerre*, 35 NY2d 463, 467 [1974]); and the right to be present during trial proceedings (*see e.g. People v Velasquez*, 1 NY3d 44, 48 [2003]). After a defendant enters a knowing, voluntary and intelligent waiver of any of these rights, that choice cannot be challenged on appeal (*see People v Henriquez*, 3 NY3d at 216-217). We do not see sufficient justification for applying a different rule to the right to a jury trial. Contrary to the dissent's analysis, the constitution now entrusts to a defendant the decision whether to allow a jury to continue deliberating with 11 members when a juror becomes unexpectedly unavailable. Therefore, the rights guaranteed by article I, section 2 are personal to the accused.

V

Here, after a deliberating juror was hospitalized and there were no alternate jurors that could be substituted, defendant decided that it was in his interests to be judged by the remaining jurors he had a hand in choosing, rather than accepting a mistrial and subjecting himself to the ordeal of a second trial. Defendant made a good faith request that deliberations continue with the remaining 11 jurors and he executed a written waiver in the manner specified by the constitution that was approved by the trial judge. "Regardless of how unwise" defendant now thinks "that decision may have been, it was his to make" and he must "accept the decision he knowingly, voluntarily and intelligently made" along with "the consequences of his intentional actions and choices" (*id.* at 216-217). In light of this determination, defendant's remaining contention is academic.

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). Because the constitutional (*see* NY Const, art VI, § 18) and statutory (*see* CPL 270.05 [1]) requirement that a jury in a felony case consist of 12 persons is not waivable, defendant's conviction by an 11-person jury of felony murder and attempted robbery must be reversed, notwithstanding defendant's consent to proceed with 11 jurors after one juror became unavailable due to illness.

Contrary to the majority's assertion, *Cancemi v People* (18 NY 128 [1858])—after almost 150 years—remains good law. A defendant exercising the right to a trial by jury must be tried by a panel of 12, and neither a court, a prosecutor nor a defendant can alter the parameters of this fundamental mode of a judicial proceeding; that modification is solely within the province of the Legislature. In *Cancemi*, we held that the constitutionally and legislatively-determined fundamental mode of a court's proceeding is essential to ensuring due process of law and protecting a defendant's liberty, and that the public interest in ensuring that citizens are not punished without due process of law trumps a defendant's ability to control the trial. We further held that the mode of proceeding is not a right personal to a defendant which he or she can affect: "the trial must be by the tribunal and in the mode which the constitution and laws provide, without any essential change [and t]he public officer prosecuting for the people has no authority to consent to such a change, nor has the defendant" (*Cancemi* at 138).

The majority suggests that *Cancemi*, although never overruled, is no longer a bar to a defendant's consent to a jury consisting of fewer than 12. This is so, because our concern that allowing a waiver of one juror would lead to a waiver of the entire jury—not available for criminal trials in 1858—has been alleviated by subsequent constitutional and statutory amendments that permit the waiver of the right to a jury trial in favor of a bench trial (*see* NY Const, art I, § 2; CPL 320.10). However, in deciding *Cancemi*, we stated that:

> "It would be a highly dangerous innovation, in reference to criminal cases, upon the ancient and invaluable institution of trial by jury, and the constitution and laws establishing and securing that mode of trial, for the court to allow of any number short of a full panel of twelve jurors, and we think it ought not to be tolerated" (*Cancemi*, 18 NY at 138).

The majority opines that

> ''the history of article I, section 2 and our subsequent decisions construing the meaning of the provision's evolving text reveal that there is no longer a constitutional impediment to a defendant consenting to the continuation of deliberations by 11 jurors in conformance with the explicit procedures set forth in article I, section 2'' (majority op at 446).

I strongly disagree.

Article I, section 2 of the New York State Constitution refers to the complete waiver of a jury trial in favor of a bench trial, as the corresponding statutory provision—CPL 320.10—indicates. It does not refer to the waiver of a single juror. The majority seeks to tie the legislative history of the 1938 amendment to article I, section 2—authorizing a waiver of jury trial in favor of a bench trial—to the proposition that a defendant may waive the right to be tried by a 12-person jury by relying on the Judicial Council's recommendations for that amendment. The Judicial Council ''was created by statute in 1934 as a permanent research body to advise the [L]egislature and the courts on improvements in the administration of judicial justice'' (Saxe, *The Judicial Council of the State of New York; Its Objectives, Methods, and Accomplishments*, 35 Am Pol Sci Rev 933, 933-934 [Oct. 1941]). I do not believe that the Judicial Council's isolated statement that ''[i]t remains to be determined by judicial interpretation whether the proposed amendment will legalize trial by jury of less than twelve men, as well as a complete waiver of the jury'' (2d Rep of NY Jud Council, at 100) indicates that it had thoughtfully considered allowing a defendant to consent to a jury of fewer than 12 persons, as the majority suggests (*see* majority op at 443-444). Further, the majority's statement that: ''The [Judicial] Council firmly believed that there was 'little doubt at present that such waiver permitted under proper conditions w[ould] be a desirable and valuable part of criminal procedure' '' (majority op at 443-444, quoting 2d Rep of NY Jud Council, at 100) simply refers to the primary subject of the 1938 amendment, a defendant's ability to consent to a bench trial in lieu of a jury trial, not his or her ability to consent to an 11-person jury. Thus, there is no evidence in the 1938 legislative history of the amendment to article I, section 2 that the Legislature itself even considered legalizing the practice of allowing a defendant to consent to being tried by fewer than 12 jurors.

The majority suggests that because the waiver language in article I, section 2 for civil cases is identical to the waiver language for criminal cases, a defendant should be allowed to waive a trial by fewer than 12 jurors. We addressed this proposition in *Cancemi*. There, we noted that

> ''[t]here is, obviously, a wide and important distinction, between civil suits and criminal prosecutions, as to the legal right of a defendant to waive a strict substantial adherence to the established, constitutional, statutory and common law mode and rules of judicial proceedings. This distinction arises from the great difference in the nature of such cases, in respect to the interests involved and the objects to be accomplished'' (*Cancemi*, 18 NY at 135-136).

There has been no constitutional or legislative amendment permitting a trial by fewer than 12 jurors and no ''judicial interpretation''—until today—that allows such a drastic departure from the text of article VI, section 18 of the New York Constitution—adopted in 1961. That section formally enshrined in the language of our Constitution the number of jurors required in a criminal case—''that crimes prosecuted by indictment shall be tried by a jury composed of twelve persons, unless a jury trial has been waived as provided in section two of article one of this constitution'' (NY Const, art VI, § 18 [a]).

Neither has our decisional law eroded this principle. *People v Ryan* (19 NY2d 100 [1966]) and *People v Page* (88 NY2d 1 [1996]), relied heavily upon by the People, do not support the proposition that a defendant may consent to being tried by fewer than 12 persons. Both of those cases involved the interpretation of a statute allowing for the substitution of a juror with an alternate juror.

The primary issue in *Ryan* was whether defense counsel could consent to the admission of an alternate juror into deliberations some five hours after they had begun. The Court disposed of that issue by holding that ''the Constitution of this State, as it has been construed, prohibits the substitution of an alternate juror—in effect a 13th juror—after the jury has begun its deliberation'' (*Ryan*, 19 NY2d at 104-105). The constitutional impediment to a defendant consenting to the substitution of an alternate juror after deliberations had begun that arose in *Ryan* was removed by the Legislature when it enacted CPL 270.35 in 1970.

In *Page*, the issue was whether the defendant could consent orally to the substitution of a juror pursuant to CPL 270.35 (1), which provides that "the defendant must consent to such replacement [and s]uch consent must be in writing and must be signed by the defendant in person in open court in the presence of the court." The majority construes the Court's statement "that a defendant could waive the right to a jury trial—as well as the inclusory right to a jury of 12—and thereby consent to substitution of an alternate for a deliberating juror" (*Page*, 88 NY2d at 8) to mean that a defendant may consent to a jury of fewer than 12 persons. However, the phrase "the inclusory right to a jury of 12" does not refer to the defendant's ability to consent to a jury of fewer than 12 persons, but refers to the defendant's ability to consent to the substitution of a juror—in effect creating the 13th juror (*see Page* at 8, citing *Ryan* at 104-105). Thus, a defendant forgoes "the inclusory right to a jury of 12" when consenting to the substitution of an alternate juror. In sum, neither *Ryan* nor *Page* provide support for the majority's proposition that a defendant may consent to a jury composed of fewer than 12 persons, and "the inclusory right to a jury of 12" can only refer to the substitution of a juror with an alternate—a 13th or maybe even a 14th or 15th juror, not a decrease in the number of jurors deliberating and ultimately reaching a verdict.

As it is well established that constitutional language must be given its plain meaning, the clear and unambiguous language of article VI, section 18 dictates the requisite number of jurors. There is no language in the Constitution that permits a felony jury trial with fewer than 12 jurors. The People maintain—and the majority agrees—that we have allowed criminal defendants to waive many fundamental constitutional rights, such as the right to confront accusers, the right to counsel, the privilege against self-incrimination, the right to testify and to present a defense, the right to be free from unreasonable searches and seizures, and the right to be present during trial proceedings (*see* majority op at 448). Nevertheless, these rights cannot be characterized as fundamental "to the organization of the tribunals or the mode of proceeding prescribed by the constitution and the laws" (*Cancemi*, 18 NY at 137). Because the right to be tried by 12 persons is fundamental to the mode of proceeding and not personal to a defendant, it is distinguishable from the other rights that we have permitted a criminal defendant to waive. The right to be tried by a jury of 12—unless waived in favor of a bench trial—is inviolate and cannot be waived.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Judges READ, SMITH, PIGOTT and JONES concur with Judge GRAFFEO; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge KAYE concurs.

Order affirmed.

[880 NE2d 10, 849 NYS2d 489]

In the Matter of DATA TREE, LLC, Appellant, v EDWARD P. ROMAINE, as Suffolk County Clerk, Respondent.

Argued November 14, 2007; decided December 18, 2007

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 23, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Suffolk County (Michael F. Mullen, J.; *see* 2005 NY Slip Op 30134[U]), entered in a proceeding pursuant to CPLR article 78, which had granted the petition seeking a judgment directing respondent to provide, pursuant to the Freedom of Information Law, certain public land records in a particular electronic format to the extent that petitioner may attend the County Clerk's Office during regular business hours and make individual copies of any public documents in the possession of the Clerk's Office; petitioner may access those individual documents that are available to the public on the Internet, at petitioner's cost and expense; and, other than making public records available for inspection and copying by petitioner in the Clerk's Office during regular business hours and permitting the petitioner access to the public Internet Web site, respondent is not required to gather and exchange the records requested in any form.

Matter of Data Tree, LLC v Romaine, 36 AD3d 804, reversed.

HEADNOTES

Records — Freedom of Information Law — Privacy Exemption — Burden of Proof

1. An agency that seeks to deny a Freedom of Information Law (FOIL) request on the ground that disclosure of the records sought would constitute an "unwarranted invasion of personal privacy" (Public Officers Law § 87 [2] [b]) carries the burden of demonstrating that the exemption applies to the FOIL request. Here, the Appellate Division, by finding that respondent County Clerk demonstrated "in a plausible fashion" that the privacy exemption applied to petitioner's FOIL request for certain land records, used an improper burden-shifting analysis. Respondent was required to meet his burden in more than just a plausible fashion. Rather, he had to show that the requested information fell squarely within a FOIL exemption by articulating a particularized and specific justification for denying access.

Records — Freedom of Information Law — Privacy Exemption

2. The Appellate Division erred by concluding as a matter of law that respondent County Clerk met his burden in establishing that the privacy exemp-

tion set forth in Public Officers Law § 87 (2) (b) applied to the Freedom of Information Law (FOIL) request for certain land records made by petitioner, a national company that provides on-line public land records. The fact that petitioner is a commercial enterprise and was seeking the documents for ''data mining'' purposes was irrelevant and constituted an improper basis for denying the request, as FOIL does not require the party requesting the information to show any particular need or purpose. Questions of fact existed here, however, as to whether the records being sought contained private information, such as Social Security numbers and dates of birth, that would be subject to the privacy exemption, and as to whether such information could be redacted.

Records — Freedom of Information Law — Electronic Records

3. In a proceeding seeking a judgment directing respondent County Clerk to provide, pursuant to the Freedom of Information Law (FOIL), certain public land records in a particular electronic format, questions of fact existed as to whether disclosure might be accomplished by merely retrieving information already maintained electronically by respondent's office, or whether complying with petitioner's request would require creating a new record. Public Officers Law § 89 (3) provides that an agency is not required to create records in order to comply with a FOIL request, and an agency has no obligation to accommodate a request to compile data in a preferable commercial electronic format when the agency does not maintain the records in such a manner. If, however, the records are maintained electronically by an agency and are retrievable with reasonable effort, that agency is required to disclose the information. A simple manipulation of the computer necessary to transfer existing records should not, if it does not involve significant time or expense, be treated as creation of a new document.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 70, 402, 403, 517.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:630, 145:631, 145:636.

MCKINNEY'S, Public Officers Law § 87 (2) (b); § 89 (3).

NY JUR 2d, Records and Recording §§ 22, 40–42, 56, 59.

ANNOTATION REFERENCE

Personal matters exempt from disclosure by invasion of privacy exemption under state freedom of information act. 26 ALR4th 666.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: foil /5 privacy /3 exemption /p question /3 fact

POINTS OF COUNSEL

DLA Piper US LLP, New York City (*Andrew L. Deutsch* of counsel), for appellant. I. The Appellate Division erred in holding that once an agency makes a ''plausible'' claim of a Freedom of Information Law exemption, the burden of proof shifts to the requester to establish that the agency's claim of exemption was erroneous or arbitrary and capricious. (*Matter of Buffalo News v Buffalo Enter. Dev. Corp.,* 84 NY2d 488; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Washington Post Co. v New York State Ins. Dept.,* 61 NY2d 557; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of Newsday, Inc. v Empire State Dev. Corp.,* 98 NY2d 359; *Church of Scientology of N.Y. v State of New York*, 46 NY2d 906; *Matter of New York Times Co. v City of N.Y. Fire Dept.,* 4 NY3d 477; *Matter of Westchester Rockland Newspapers v Kimball,* 50 NY2d 575; *Matter of Pennington v McMahon,* 234 AD2d 624; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 109 AD2d 92, 67 NY2d 562.) II. The Freedom of Information Law's privacy exemption does not apply to public land records. (*People ex rel. German-American Loan & Trust Co. v Richards,* 99 NY 620; *Matter of Brownstone Publs. v New York City Dept. of Bldgs.,* 166 AD2d 294; *New York Pub. Interest Research Group v Cohen,* 188 Misc 2d 658; *Matter of New York Times Co. v City of N.Y. Fire Dept.,* 4 NY3d 477.) III. The Appellate Division erred in holding that an agency may refuse to comply with a Freedom of Information Law request based upon speculation as to the motives of the requester. (*Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Westchester Rockland Newspapers v Kimball,* 50 NY2d 575; *Matter of Washington Post Co. v New York State Ins. Dept.,* 61 NY2d 557; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of Brownstone Publs. v New York City Dept. of Fin.,* 150 AD2d 185.) IV. If Data Tree, LLC bore the burden of proof of disproving the County Clerk's claim of a Freedom of Information Law exemption, it was entitled to a trial of contested issues of fact. (*Matter of Wamsley v East Ramapo Cent. School Dist. Bd. of Educ.,* 281 AD2d 633; *Matter of Cialdella v Board of Educ. of Community School Dist. No. 21 of City School Dist. of City of N.Y.,* 252 AD2d 582; *Matter of Jerkens Truck & Equip. v City of Yonkers,* 130 AD2d 576; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of New York Civ. Liberties Union v City of Schenectady,* 2 NY3d 657; *Matter of Doolan v Board of Coop. Educ. Servs., 2d Supervisory Dist. of Suffolk County,* 48 NY2d 341.)

Christine Malafi, County Attorney, Hauppauge (*Christopher A. Jeffreys* of counsel), for respondent. I. Compliance with petitioner's request would be an unwarranted invasion of personal privacy. (*Matter of Hanig v State of N.Y. Dept. of Motor Vehs.,* 79 NY2d 106; *Matter of Person-Wolinsky Assoc. v Nyquist,* 84 Misc 2d 930; *Matter of Nicholas,* 117 Misc 2d 630; *Matter of Empire Realty Corp. v New York State Div. of Lottery,* 230 AD2d 270; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of New York Times Co. v City of N.Y. Fire Dept.,* 4 NY3d 477; *Matter of Goodstein v Shaw,* 119 Misc 2d 400; *Department of Air Force v Rose,* 425 US 352; *Wine Hobby USA, Inc. v United States Internal Revenue Serv.,* 502 F2d 133.) II. The information requested requires the creation of a record, which is not the purpose of the Freedom of Information Law. (*Matter of Brownstone Publs. v New York City Dept. of Bldgs.,* 146 Misc 2d 376, 166 AD2d 294; *Matter of Wattenmaker v New York State Employees' Retirement Sys.,* 95 AD2d 910, 60 NY2d 555; *Matter of Cromwell v Ward,* 183 AD2d 459; *Matter of Guerrier v Hernandez-Cuebas,* 165 AD2d 218, 78 NY2d 853; *Matter of O'Shaughnessy v New York State Div. of State Police,* 202 AD2d 508, 84 NY2d 807; *Matter of Reubens v Murray,* 194 AD2d 492; *Matter of Gabriels v Curiale,* 216 AD2d 850; *Matter of Rattley v New York City Police Dept.,* 96 NY2d 873; *Matter of Beechwood Restorative Care Ctr. v Signor,* 5 NY3d 435.) III. Judicial records held by the County Clerk are not subject to the Freedom of Information Law. (*Matter of Weston v Sloan,* 84 NY2d 462; *Matter of Newsday, Inc. v Empire State Dev. Corp.,* 98 NY2d 359; *Matter of Stoll v New York State Coll. of Veterinary Medicine at Cornell Univ.,* 94 NY2d 162; *Matter of Alderson v New York State Coll. of Agric. & Life Sciences at Cornell Univ.,* 4 NY3d 225; *Matter of Citizens for Alternatives to Animal Labs v Board of Trustees of State Univ. of N.Y.,* 92 NY2d 357.) IV. Petitioner cannot demonstrate that the County Clerk's application of exemptions to the Freedom of Information Law was unreasonable, arbitrary or capricious. (*Daily News Publ. Co. of Memphis, Tenn. v Office of Ct. Admin. of State of N.Y.,* 186 Misc 2d 424; *Matter of Woytisek v Novello,* 309 AD2d 869; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of 4M Holding Co. v Town Bd. of Town of Islip,* 81 NY2d 1053; *Matter of Lyons v Whitehead,* 2 AD3d 638, 1 NY3d 509; *Matter of Norton v Town of Islip,* 17 AD3d 468.) V. Petitioner's request for a hearing in accordance with CPLR 410 and 7804 (h) is not preserved. (*Miller v Village of Wappingers Falls,* 289 AD2d 209; *Matter of DelGaudio v Aetna Ins. Co.,* 262 AD2d 641; *Matter of Sbuttoni,* 16 AD3d 693; *Matter of Nodine v Board of*

Trustees of Vil. of Baldwinsville, 44 AD2d 764; *Matter of Ames v Johnston,* 169 AD2d 84; *Matter of 22 Park Place Coop. v Board of Assessors of County of Nassau,* 102 AD2d 893; *Matter of Reisman v Codd,* 54 AD2d 878; *Matter of Royal Bus. School v New York State Dept. of Educ.,* 141 AD2d 170; *Matter of McCabe v County of Dutchess,* 143 AD2d 670.)

Cowan, Liebowitz & Latman, P.C., New York City (*Robert W. Clarida* of counsel), and *Meyer, Klipper & Mohr, PLLC*, Washington, D.C. (*Michael R. Klipper, Christopher A. Mohr* and *David Ludwig* of counsel), for American Business Media and others, amici curiae. I. The Appellate Division's conclusion that the record custodian correctly invoked the privacy exemption under Public Officers Law § 87 (2) (b) results from a misreading and misapplication of both the Freedom of Information Law (FOIL) and this Court's FOIL precedent. (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen,* 69 NY2d 246; *Matter of New York Times Co. v City of N.Y. Fire Dept.,* 4 NY3d 477; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.,* 79 NY2d 106; *Matter of Fink v Lefkowitz,* 47 NY2d 567.) II. The Appellate Division's reworking of the burden of proof rules regarding the availability of statutory exemptions to disclosure under the Freedom of Information Law is at odds with precedent and will lead to wholesale rejection of traditionally valid public record requests. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of Westchester Rockland Newspapers v Kimball,* 50 NY2d 575; *Matter of Newsday, Inc. v Empire State Dev. Corp.,* 98 NY2d 359.) III. The court below erred by crafting a new nonstatutory ''purpose'' or ''data mining'' exemption that is unsupported by the Freedom of Information Law or judicial precedent. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of Konigsberg v Coughlin,* 68 NY2d 245; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75.) IV. The Appellate Division's ruling impermissibly usurped the role of the Legislature by creating by judicial fiat a Freedom of Information Law exemption based upon the burdensome nature of a record request.

Levine Sullivan Koch & Schulz, L.L.P., New York City (*David A. Schulz* of counsel), for Advance Publications, Inc. and others, amici curiae. I. The Appellate Division erred in placing the burden of proof on a Freedom of Information Law requester. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of M. Farbman & Sons v New York City*

Health & Hosps. Corp., 62 NY2d 75; *Matter of Newsday, Inc. v Empire State Dev. Corp.,* 98 NY2d 359; *Matter of Westchester Rockland Newspapers v Kimball,* 50 NY2d 575; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of Washington Post Co. v New York State Ins. Dept.,* 61 NY2d 557; *Miller v United States Dept. of State,* 779 F2d 1378; *Department of State v Ray,* 502 US 164; *John Doe Agency v John Doe Corp.,* 493 US 146; *Department of Justice v Tax Analysts,* 492 US 136.) II. The Appellate Division erred by applying different Freedom of Information Law standards to electronic files. (*Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Babigian v Evans,* 104 Misc 2d 140, 97 AD2d 992; *Matter of Guerrier v Hernandez-Cuebas,* 165 AD2d 218, 78 NY2d 853; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse,* 65 NY2d 294; *Matter of Gould v New York City Police Dept.,* 89 NY2d 267; *New York Pub. Interest Research Group v Cohen,* 188 Misc 2d 658; *New York State Rifle & Pistol Assn. v Kelly,* 13 Misc 3d 1225[A], 2006 NY Slip Op 51983[U]; *Matter of Kryston v Board of Educ. of E. Ramapo Cent. School Dist.,* 77 AD2d 896.)

Michael A. Cardozo, Corporation Counsel, New York City (*Kristin M. Helmers* and *Alan G. Krams* of counsel), for City of New York, amicus curiae. The Freedom of Information Law exemption provided for lists of names and addresses, sought for commercial or fund-raising purposes, applies even when the names and addresses are contained in public records. (*Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.,* 73 NY2d 92; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.,* 79 NY2d 106; *Matter of Thomas v City of N.Y. Dept. of Hous. Preserv. & Dev.,* 12 Misc 3d 547; *Matter of Szikszay v Buelow,* 107 Misc 2d 886; *Matter of Kwitny v McGuire,* 102 Misc 2d 124, 77 AD2d 839, 53 NY2d 968.)

OPINION OF THE COURT

PIGOTT, J.

The issue presented on this appeal is whether the Suffolk County Clerk is required by the Freedom of Information Law (FOIL) to provide certain land records requested by Data Tree, LLC, a commercial provider of on-line public land records, and if so, whether the records must be provided in the electronic format specified by Data Tree. We hold that questions of fact exist as to whether compliance with such request would require the Clerk to disclose information excluded under the privacy exemption of FOIL and whether the Clerk has the ability to comply with the request in the format sought by Data Tree. Therefore, we reverse the Appellate Division order denying disclosure and remit the matter to Supreme Court for those determinations.

I.

Data Tree is a national company that provides on-line public land records such as deeds, mortgages, liens, judgments, releases and maps, and maintains a database of nearly two billion documents, providing its customers with immediate electronic access to the information. Its customers are those entities who purchase, sell, finance and insure property. Data Tree obtains the public land records by requesting them from county clerks, or other public officials who have the responsibility of recording and archiving such documents, throughout the country.

In January 2004, Data Tree, pursuant to FOIL, wrote to the Records Access Officer of the Suffolk County Clerk's Office requesting copies of various public land records from January 1, 1983 to the present. It asked the Clerk to provide these records in ''Tiff images or images in the electronic format regularly maintained by the County . . . on CD-ROM or other electronic storage medium regularly used by the County . . . If electronic images are not maintained, then [in] microfilm [format].''

The Clerk failed to respond to the request within the five-day period required by Public Officers Law § 89 (3), thereby constructively denying the request. Upon Data Tree's administrative appeal, the Suffolk County Attorney also denied the request, identifying three reasons: (1) the FOIL request would require rewriting and reformatting of the data, which the Clerk's Office is not required to do; (2) disclosure would constitute an unwarranted invasion of personal privacy due to the volume of the records requested and the commercial nature of Data Tree's business; and (3) the records are available for copying and/or downloading from the computer terminals at the Clerk's Office.

Data Tree then brought the instant CPLR article 78 proceeding seeking a judgment directing the Clerk to provide the records sought along with costs and attorneys' fees.

Supreme Court held that ''[t]he Clerk's Office has rightly denied petitioner's request'' (2005 NY Slip Op 30134[U], *3). It noted that many of the requested documents are available either by computer or in paper form at the Clerk's Office or on its Web site. Additionally, the court adopted the argument of the

Clerk that the bulk of the remaining documents could not be transferred to the requested form (TIFF) or any other electronic medium without creating a new record. It noted that the Clerk's Office was not required to create a new record where none existed, ''particularly when that would be at considerable expense to the taxpayers'' (*id.* *4). Finally, the court granted Data Tree's application ''for access . . . to the extent the documents are maintained and available in the Clerk's Office, or on the internet'' (*id.*). In essence, the court limited the relief sought by Data Tree to allowing it to attend the Clerk's Office during regular business hours and make individual copies of the public documents and/or download the documents available on the Internet at Data Tree's expense.

The Appellate Division affirmed, holding first that the Clerk's Office established an exemption to FOIL, namely, that disclosure of the documents sought would entail an unwarranted invasion of personal privacy (36 AD3d 804 [2d Dept 2007]). The Appellate Division stated that the burden was on the Clerk to prove this exemption and that the Clerk here demonstrated ''in a plausible fashion'' that the exemption applied (*id.* at 805). The court then shifted the burden to Data Tree to establish that the claim of exemption was erroneous or that the Clerk acted in an arbitrary and capricious manner in attempting to invoke an exemption. The court held that Data Tree failed to meet that burden, stating:

> ''To the extent that the request was viewed by the Clerk as data mining, the Clerk determined that such request was clearly within the ambit of the enumerated exemptions to FOIL. In view of the rapid advances in technology, the misuse of that data for purposes unfathomable only a few short years ago is now possible. Whether such raw data (as opposed to the records actually maintained) should be available, and what constraints, if any, should be placed on that access, is a public policy better addressed by the appropriate legislative bodies'' (*id.* at 805-806).

The Appellate Division noted that the right to access and copy such public records has not been construed to ''require extraordinary efforts by the agency to provide the records in any manner requested and without regard to other statutorily mandated obligations to take prudent efforts to protect the guaranteed privacy interests of the citizens of the state'' (*id.* at

806). Thus, it held that the Clerk's refusal was justified in this case both as to the burden imposed and the legitimate desire to protect the privacy of the citizens of Suffolk County. We granted Data Tree leave to appeal.

II.

FOIL provides the public with broad ''access to the records of government'' (Public Officers Law § 84). The term ''record'' is defined to include:

> ''[A]ny information kept, held, filed, produced or reproduced by, with or for an agency or the state legislature, in any physical form whatsoever including, *but not limited to*, reports, statements, examinations, memoranda, opinions, folders, files, books, manuals, pamphlets, forms, papers, designs, drawings, maps, photos, letters, microfilms, computer tapes or discs, rules, regulations or codes'' (Public Officers Law § 86 [4] [emphasis supplied]).

An agency must ''make available for public inspection and copying all records'' unless it can claim a specific exemption to disclosure (*see* Public Officers Law § 87 [2]; § 89 [3]). However, the exemptions are to be narrowly interpreted so that the public is granted maximum access to the records of government (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246, 252 [1987]).

In denying Data Tree's FOIL request, the Clerk relied in part on the privacy exemption, which authorizes each agency to deny access to records or portions of such records that, if disclosed, would constitute an ''unwarranted invasion of personal privacy'' (Public Officers Law § 87 [2] [b]). The law defines an ''unwarranted invasion of personal privacy'' with a nonexclusive list of examples (*see* Public Officers Law § 89 [2] [b] [i]-[vi]).

[1] Data Tree contends that the Appellate Division used an improper burden-shifting analysis to determine whether the privacy exemption applied in this case. We agree. FOIL is based on a presumption of access to the records, and an agency (in this case the Clerk) carries the burden of demonstrating that the exemption applies to the FOIL request (*see* Public Officers Law § 89 [4] [b]; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106, 109 [1992]). Contrary to the Appellate Division's view, the Clerk must meet this burden in more than just a ''plausible fashion.'' In order to deny disclosure, the Clerk must show that the requested information ''falls squarely within a FOIL exemption by articulating a particularized and specific justification for denying access'' (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]; *see Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75, 80 [1984]; *Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). If the Clerk fails to prove that a statutory exemption applies, FOIL ''compels disclosure, not concealment'' (*Matter of Westchester Rockland Newspapers v Kimball*, 50 NY2d 575, 580 [1980]). In short, the burden of proof rests solely with the Clerk to justify the denial of access to the requested records.

[2] Similarly, it was error for the Appellate Division to conclude that as a matter of law the Clerk met its burden in establishing that the privacy exemption to FOIL applies in this case. Although the court failed to articulate the specific basis for its holding, it remarked that Data Tree is a commercial enterprise and was seeking the documents for ''data mining'' purposes. However, FOIL does not require the party requesting the information to show any particular need or purpose (*see Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145, 156 [1999]; *Farbman*, 62 NY2d at 80). Data Tree's commercial motive for seeking the records is therefore irrelevant in this case and constitutes an improper basis for denying the FOIL request.

We note, however, that motive or purpose is not always irrelevant to a request pursuant to FOIL. Public Officers Law § 89 (2) (b) (iii) includes as an ''unwarranted invasion of personal privacy'' the ''sale or release of lists of names and addresses *if such lists would be used for commercial or fund-raising purposes*'' (emphasis added; *see Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92 [1989] [organization's request denied under FOIL for use in direct mail membership solicitation of names and addresses of persons holding rifle or shotgun permits]). That particular exemption does not apply in this case however because Data Tree is not seeking a list of names and addresses to solicit any business. Rather, Data Tree is seeking public land records for commercial reproduction on line.

We conclude that a question of fact exists in this case as to whether the privacy exemption applies to the records because some of the documents requested may contain private information, such as Social Security numbers and dates of birth (*see Matter of Seelig v Sielaff*, 201 AD2d 298 [1st Dept 1994] [release of officers' Social Security numbers in response to request pursuant to FOIL constituted unwarranted invasion of officers' privacy]). However, even when a document subject to FOIL contains such private, protected information, agencies may be required to prepare a redacted version with the exempt material removed (*see* Public Officers Law § 89 [2] [c] [i]; *see e.g. Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294 [1985]). We therefore remit this matter to Supreme Court to determine (upon an in camera inspection of a representative sample of the documents, if necessary) whether any of the records contain information exempt from disclosure on the basis of privacy, and whether that information can be redacted.

III.

As another basis for its denial of disclosure, the Clerk contends that Data Tree's FOIL request requires the creation of a new record. An agency is not required to create records in order to comply with a FOIL request, as Public Officers Law § 89 (3) (a) provides: "Nothing in this article shall be construed to require any entity to prepare any record not possessed or maintained by such entity." Thus, an agency has no obligation to accommodate a request to compile data in a preferable commercial electronic format when the agency does not maintain the records in such a manner.

Nonetheless, FOIL does not differentiate between records stored in paper form or those stored in electronic format. As stated earlier, the term "record" means, among other things, "computer tapes or discs." Disclosure of records is not always necessarily made by the printing out of information on paper, but may require duplicating data to another storage medium, such as a compact disc.* Thus, if the records are maintained electronically by an agency and are retrievable with reasonable effort, that agency is required to disclose the information. In

---

* Indeed, the Legislature contemplated disclosure by electronic means when Public Officers Law § 89 (3) was amended by adding a new paragraph (b) to read:

> "All entities shall, provided such entity has reasonable means available, accept requests for records submitted in the form of electronic mail and shall respond to such requests by electronic mail, using forms, to the extent practicable, consistent with the form or forms developed by the committee on open government pursuant to subdivision one of this section and provided that the written requests do not seek a response in some other form."

such a situation, the agency is merely retrieving the electronic data that it has already compiled and copying it onto another electronic medium. On the other hand, if the agency does not maintain the records in a transferable electronic format, then the agency should not be required to create a new document to make its records transferable. A simple manipulation of the computer necessary to transfer existing records should not, if it does not involve significant time or expense, be treated as creation of a new document.

This does not mean, however, that an agency must accord a commercial entity any more or less access to records than any other citizen. Section 89 (3) of the Public Officers Law requires that upon receipt of a request, an agency has five business days in which it must either grant access to the records, deny access or furnish a written acknowledgment of the receipt of such request. When such acknowledgment is given, it must include a statement of the approximate date when the request will be granted or denied. Further, Public Officers Law § 87 provides that the agency may establish procedures including the time and place when such records will be made available, the persons from whom such records may be obtained and the fees for copies of records. Thus, there is no specific time period in which the agency must grant access to the records. Indeed, the time needed to comply with the request may be dependent on a number of factors, including the volume of the request and the retrieval methods. Therefore, complying with a commercial entity's request for an enormous number of records may require substantial time and expense by the Clerk's Office and may not, absent an agreement providing otherwise, require the Clerk to provide such records in a time other than that which is reasonable in view of the attendant circumstances.

[3] Here, the Clerk argues that he does not maintain the information in the electronic form requested by Data Tree. The Clerk submitted the affidavit of the Director of Optical Imaging for the Suffolk County Clerk's Office who avers that the Clerk's Office would need to have a separate computer program written that would permit the information to be readable on a compact disc or other electronic means. He further states that under the current computer system he is unable to redact all of the private information prior to reproduction. In response, Data Tree proffered the affidavit of its senior software engineer, who claims, by giving examples, that the Clerk could comply with the FOIL request without any computer programming. Further, Data Tree emphasizes that its FOIL request merely asks that the records be provided in any ''electronic format regularly maintained by the County.'' Based on these submissions, questions of fact exist as to whether disclosure may be accomplished by merely retrieving information already maintained electronically by the Clerk's Office or whether complying with Data Tree's request would require creating a new record.

Further, privacy concerns may also exist with respect to the information contained in the electronic format requested by Data Tree. If such information cannot be reasonably redacted from the electronic records, then such records may not be subject to disclosure under FOIL. We therefore remit the matter to Supreme Court to consider these issues in determining whether the Clerk must comply by providing the records in an electronic format requested by Data Tree.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, without costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order, insofar as appealed from, reversed, etc.

[880 NE2d 852, 850 NYS2d 366]

ITC Limited et al., Appellants, v Punchgini, Inc., et al., Respondents.

Argued November 13, 2007; decided December 13, 2007

SUMMARY

Proceeding, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: (1) ''Does New York common law permit the owner of a famous mark or trade dress to assert property rights therein by virtue of the owner's prior use of the mark or dress in a foreign country?'' and, if so, (2) ''How famous must a foreign mark or trade dress be to permit its owner to sue for unfair competition?''

HEADNOTES

Trademarks, Trade Names and Unfair Competition — Unfair Competition — Misappropriation

1. When a business, through renown in New York, possesses goodwill constituting property or a commercial advantage in this state, that goodwill is protected from misappropriation under New York unfair competition law, whether the business is domestic or foreign. Under New York law, an unfair competition claim involving misappropriation usually concerns the taking and use of the plaintiff's property to compete against plaintiff's own use of the same property, and the term ''commercial advantage'' has been used interchangeably with ''property'' within the meaning of the misappropriation theory. For certain kinds of businesses—particularly cachet goods/services with highly mobile clienteles—goodwill can, and does, cross state and national boundary lines.

Trademarks, Trade Names and Unfair Competition — Unfair Competition — Misappropriation — Necessity of Goodwill

2. In order for a foreign plaintiff to state a viable claim for unfair competition under a theory of misappropriation of the plaintiff's foreign mark, the plaintiff must have goodwill in New York. Consumers of the goods or services provided under a certain mark by a defendant in New York must primarily associate the mark with the foreign plaintiff. Relevant factors include evidence that the defendant intentionally associated its goods with those of the foreign plaintiff in the minds of the public, such as public statements or advertising; direct evidence, such as consumer surveys, and evidence of actual overlap between customers of the New York defendant and the foreign plaintiff. Here, plaintiffs, as operators of a well-known, five-star restaurant in India and three other countries, in order to prevail on an unfair competition theory against

defendants, the owners of two Indian restaurants in New York with names similar to that of plaintiffs' restaurants, would first have to show that defendants appropriated plaintiffs' mark or dress for their New York restaurants. Plaintiffs would then have to establish that the relevant consumer market for defendants' restaurants primarily associates the mark or dress with those restaurants owned and operated by plaintiffs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conversion § 7; AM JUR 2d, Good Will §§ 1, 4, 5, 7, 9; AM JUR 2d, Trademarks and Tradenames §§ 89, 90, 107–109, 116, 121, 130, 131.

NY JUR 2d, Trade Regulation §§ 210–219, 227, 229, 230, 310–313.

ANNOTATION REFERENCE

See ALR Index under Good Will; Trademarks, Tradenames, and Unfair Trade Practices.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: unfair /2 competition & foreign /s mark

POINTS OF COUNSEL

King & Spalding LLP, New York City (*Ethan Horwitz, Jill Wasserman, Dana S. Gross* and *Charles A. Pannell, III,* of counsel), for appellant. I. New York's unfair competition law prohibits the misappropriation of a mark, even of a foreign mark. (*Ruder & Finn v Seaboard Sur. Co.,* 52 NY2d 663; *International News Service v Associated Press,* 248 US 215; *Electrolux Corp. v Val-Worth, Inc.,* 6 NY2d 556; *Taendsticksfabriks Akticbolagat Vulcan v Myers,* 139 NY 364; *Avon Periodicals v Ziff-Davis Publ. Co.,* 27 Misc 2d 160; *Artype, Inc. v Zappulla,* 228 F2d 695; *Allied Maintenance Corp. v Allied Mech. Trades,* 42 NY2d 538; *Norwich Pharmacal Co. v Sterling Drug, Inc.,* 271 F2d 569; *Lincoln Rest. Corp. v Wolfies Rest. Inc.,* 291 F2d 302; *Flexitized, Inc. v National Flexitized Corp.,* 335 F2d 774.) II. The well-known marks doctrine is a type of unfair competition. (*Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088; *Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *Maison Prunier v Prunier's Rest. & Cafe, Inc.*, 159 Misc 551; *Rosman v Trans World Airlines,* 34 NY2d 385; *United States v Belmont,* 301 US 324.) III. Public policy favors recognizing the well-known marks doctrine. (*Grupo Gigante SA De CV v Dallo &*

Co., Inc., 391 F3d 1088; *Ambassador E., Inc. v Shelton Corners, Inc.,* 120 F Supp 551; *International Bancorp, LLC v Societe des Bains de Mer et du Cercle des Etrangers a Monaco,* 329 F3d 359.) IV. The mark need only have sufficient secondary meaning to attract a misappropriation. (*Allied Maintenance Corp. v Allied Mech. Trades,* 42 NY2d 538; *Flexitized, Inc. v National Flexitized Corp.,* 335 F2d 774; *Santa's Workshop, Inc. v Sterling,* 282 App Div 328; *Centaur Communications, Ltd. v A/S/M Communications, Inc.,* 830 F2d 1217; *Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *Harlequin Enters. Ltd. v Gulf & W. Corp.,* 644 F2d 946; *Fund of Funds, Ltd. v First Am. Fund of Funds, Inc.,* 274 F Supp 517.) V. The Second Circuit's proposed standards should be rejected. (*Tone Bros., Inc. v Sysco Corp.,* 28 F3d 1192; *Shredded Wheat Co. v Humphrey Cornell Co.,* 250 F 960; *Fleischmann Distilling Corp. v Maier Brewing Co.,* 314 F2d 149; *Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088.)

Kenyon & Kenyon LLP, New York City (*Michelle Mancino Marsh, Michael J. Freno* and *Matthew Moersfelder* of counsel), for respondents. I. New York should not recognize a famous foreign marks exception. (*Hanover Star Milling Co. v Metcalf,* 240 US 403; *United Drug Co. v Theodore Rectanus Co.,* 248 US 90; *Buti v Impressa Perosa, S.R.L.,* 139 F3d 98; *Kos Pharms., Inc. v Andrx Corp.,* 369 F3d 700; *Fuji Photo Film Co., Inc. v Shinohara Shoji Kabushiki Kaisha,* 754 F2d 591; *American Circuit Breaker Corp. v Oregon Breakers, Inc.,* 406 F3d 577; *Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088; *Person's Co., Ltd. v Christman,* 900 F2d 1565; *Almacenes Exito S.A. v El Gallo Meat Mkt., Inc.,* 381 F Supp 2d 324; *Spartan Food Sys., Inc. v HFS Corp.,* 813 F2d 1279.) II. Any famous foreign marks doctrine must require more than secondary meaning. (*Japan Line, Ltd. v County of Los Angeles,* 441 US 434; *Board of Trustees of Univ. of Ill. v United States*, 289 US 48; *Wyndham Co. v Wyndham Hotel Co.,* 176 Misc 2d 116, 261 AD2d 242; *Centaur Communications, Ltd. v A/S/M Communications, Inc.,* 830 F2d 1217; *Alexander Ave. Kosher Rest. Corp. v Dragoon,* 306 AD2d 298; *Hotel Syracuse, Inc. v Motel Syracuse, Inc.,* 283 App Div 182, 309 NY 831; *Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *TCPIP Holding Co., Inc. v Haar Communications, Inc.,* 244 F3d 88; *Thane Intl., Inc. v Trek Bicycle Corp.,* 305 F3d 894; *Black & Decker Corp. v Dunsford,* 944 F Supp 220.) III. ITC Limited cannot be permitted to change the questions presented for the first time in its appellate brief. (*Maison Prunier v Prunier's Rest. & Cafe, Inc.,* 159 Misc 551; *Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *Park 'N Fly, Inc. v Dollar Park & Fly, Inc.,* 469 US 189; *Inwood Laboratories, Inc. v Ives Laboratories, Inc.,* 456 US 844; *Duraco Prods., Inc. v Joy Plastic Enters., Ltd.,* 40 F3d 1431; *Camelot Assoc. Corp. v Camelot Design & Dev.,* 298 AD2d 799; *Allied Maintenance Corp. v Allied Mech. Trades,* 42 NY2d 538; *Bristol-Myers Squibb Co. v McNeil-P.P.C., Inc.,* 973 F2d 1033; *Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088; *Ruder & Finn v Seaboard Sur. Co.,* 52 NY2d 663.) IV. Neither the Paris Convention for the Protection of Industrial Property nor the Agreement on Trade-Related Aspects of Intellectual Property Rights is relevant to New York law. (*Mannington Mills, Inc. v Congoleum Corp.,* 595 F2d 1287; *International Café, S.A.L. v Hard Rock Café Intl. [U.S.A.], Inc.,* 252 F3d 1274; *Mattel, Inc. v MCA Records, Inc.,* 28 F Supp 2d 1120, 296 F3d 894; *Empresa Cubana del Tabaco v Culbro Corp.,* 399 F3d 462; *Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088; *Almacenes Exito S.A. v El Gallo Meat Mkt., Inc.,* 381 F Supp 2d 324; *Kemart Corp. v Printing Arts Research Lab., Inc.,* 269 F2d 375; *In re Rath,* 402 F3d 1207; *United States v Pink,* 315 US 203; *United States v Belmont,* 301 US 324.)

Fross Zelnick Lehrman & Zissu, P.C., New York City (*J. Allison Strickland* and *Laura Popp-Rosenberg* of counsel), for American Intellectual Property Law Association, amicus curiae. I. New York common law recognizes the well-known marks doctrine. (*A. Bourjois & Co. v Katzel,* 260 US 689; *Maison Prunier v Prunier's Rest. & Cafe, Inc.,* 159 Misc 551; *Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *Almacenes Exito S.A. v El Gallo Meat Mkt., Inc.,* 381 F Supp 2d 324; *Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088; *De Beers LV Trademark Ltd. v DeBeers Diamond Syndicate Inc.,* 440 F Supp 2d 249; *Avon Periodicals v Ziff-Davis Publ. Co.,* 27 Misc 2d 160; *Gulden v Chance,* 182 F 303; *Qualitex Co. v Jacobson Products Co.,* 514 US 159; *Moseley v V Secret Catalogue, Inc.,* 537 US 418.) II. The standards must be flexible, but the doctrine should require a foreign mark to be well known to at least one sector of the public. (*Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088; *Maison Prunier v Prunier's Rest. & Cafe, Inc.,* 159 Misc 551; *Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *Two Pesos, Inc. v Taco Cabana, Inc.,* 505 US 763, 1244; *Time, Inc. v Petersen Pub. Co. L.L.C.,* 173 F3d 113.)

Dorsey & Whitney LLP, New York City (*Bruce R. Ewing* of counsel), *Theodore H. Davis, Jr.,* and *David C. Stimson* for International Trademark Association, amicus curiae. I. New York has long maintained broad protections against unfair competition that this Court should not undermine. (*Electrolux Corp. v Val-Worth, Inc.,* 6 NY2d 556; *Ronson Art Metal Works v Gibson Lighter Mfg. Co.,* 3 AD2d 227; *Taendsticksfabriks Akticbolagat Vulcan v Myers,* 139 NY 364; *Mitchel H. Mark Realty Corp. v Major Amusement Co.,* 180 App Div 549; *Metropolitan Opera Assn., Inc. v Wagner-Nichols Recorder Corp.,* 199 Misc 786, 279 App Div 632; *American Chain Co., Inc. v Carr Chain Works, Inc.,* 141 Misc 303; *Fisher v Star Co.,* 231 NY 414; *Norwich Pharmacal Co. v Sterling Drug, Inc.,* 271 F2d 569; *Gotham Silk Hosiery Co. v Reingold,* 223 App Div 260; *Long's Hat Stores Corp. v Long's Clothes,* 224 App Div 497.) II. New York courts have long recognized that the tort of unfair competition prohibits the misappropriation of goodwill and other property interests of businesses located outside of the state. (*Vaudable v Montmartre, Inc.,* 20 Misc 2d 757; *Maison Prunier v Prunier's Rest. & Cafe, Inc.,* 159 Misc 551; *Lincoln Rest. Corp. v Wolfies Rest. Inc.,* 291 F2d 302; *Ambassador E., Inc. v Shelton Corners, Inc.,* 120 F Supp 551; *Hanover Star Milling Co. v Metcalf,* 240 US 403; *United Drug Co. v Theodore Rectanus Co.,* 248 US 90; *Grupo Gigante SA De CV v Dallo & Co., Inc.,* 391 F3d 1088.) III. This Court should not involve itself in doctrinal disputes concerning the famous marks doctrine.

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has asked us to resolve two questions regarding New York common-law claims for unfair competition. We conclude that New York recognizes common-law unfair competition claims, but not the "famous" or "well-known" marks doctrine.

I.

ITC Limited, a corporation organized under the laws of India, owns and operates the Maurya Sheraton & Towers, a five-star luxury hotel in New Delhi, India, through its subsidiary, ITC Hotels Limited. One of the Maurya Sheraton's seven restaurants is Bukhara, a five-star restaurant named after a city in Uzbekistan located on the famous Silk Road between China and the West. The New Delhi Bukhara, which has attained some measure of renown among those with an avid interest in fine cuisine, was named one of the 50 best restaurants in the world by London-based "Restaurant" magazine in 2002 and 2003. In the three decades since the New Delhi Bukhara opened in 1977, ITC has sought to capitalize on the restaurant's prestige, with mixed results: although ITC has opened or franchised Bukhara restaurants in Hong Kong, Bangkok, Bahrain, Montreal, Bangladesh, Singapore, Kathmandu, Ajman and the United States, as of May 2004 only the original restaurant in New Delhi and the restaurants in Singapore, Kathmandu and Ajman remained in business.

ITC established a Bukhara restaurant in Manhattan in 1986; in 1987 a Bukhara restaurant was opened in Chicago by a franchisee. On October 13, 1987 ITC obtained United States trademark registration for a Bukhara mark in connection with restaurant services; however, ITC closed its Bukhara restaurant in Manhattan on December 17, 1991, and cancelled the Chicago restaurant's franchise on August 28, 1997. ITC has not owned, operated or licensed any restaurant in the United States using the Bukhara mark since terminating the Chicago franchisee's licensing agreement in 1997.

In 1999, defendants Raja Jhanjee, Vicky Vij, Dhandu Ram and Paragnesh Desai, together with Vijay Roa, incorporated Punchgini, Inc. for the purpose of opening an Indian restaurant in midtown Manhattan, which they called Bukhara Grill. Jhanjee, Vij and Ram had all worked at the New Delhi Bukhara, and Vij had also worked at ITC's Bukhara restaurant in Manhattan. As Vij explained the origin of the new restaurant's name, in 1999 there was "no restaurant Bukhara in New York, and we just thought we [would] take the name" (*ITC Ltd. v Punchgini, Inc.*, 482 F3d 135, 144 [2d Cir 2007]). In 2001, several Punchgini shareholders and defendants Mahendra Singh and Bachan Rawat, also alumni of ITC's Bukhara, opened a second Indian restaurant in midtown Manhattan, called Bukhara Grill II (*id.*; *ITC Ltd. v Punchgini, Inc.*, 373 F Supp 2d 275, 277 [SD NY 2005]). Defendants have identified five other restaurants in the United States using Bukhara in their names, including one in Brooklyn. These restaurants are not affiliated with ITC. In addition, defendants have learned of more than 20 Bukhara restaurants unrelated to ITC outside the United States, including restaurants located in Uzbekistan, Australia, Egypt, Pakistan, the United Kingdom and "a high-end . . . chain" in South Africa, which "also sells prepackaged foods under the 'Bukhara' name" and "owns the website www.bukhara.com."

The Bukhara Grill features many of the New Delhi Bukhara's signature dishes—which showcase the cuisine of the Northwest frontier region of India—and replicates many of its particular design elements. Indeed, one press report quoted Jhanjee as describing the Bukhara Grill as ''quite like Delhi's Bukhara,'' commenting that ''[t]he food is similar . . . and the waiters too are dressed in similar Pathani suits.''

On March 22, 2000, ITC's attorney sent Jhanjee a letter accusing him of ''passing off [his] new business [i.e., Bukhara Grill] as that of'' ITC, ''piggy[ ]back[ing] on the tremendous reputation'' of ITC's Bukhara restaurants, and ''partak[ing] of the fame, goodwill and custom earned by [ITC], by the mere adoption of the identical name.'' He demanded that Jhanjee acknowledge ITC's exclusive rights to the Bukhara mark and refrain from further use of it; disclose how long he had used the Bukhara mark and render an accounting of sales and/or profits for this time period; and remit to ITC any such profits, plus estimated damages and attorneys' fees.

Bukhara Grill's counsel responded on March 30, 2000, observing that ''preliminary investigation reveals that [ITC] does not presently use the mark BUKHARA in the United States nor has it been in use for more than two years.'' Nevertheless, counsel suggested that discussions be pursued to avoid costly litigation. On June 22, 2000, Bukhara Grill's counsel sent a follow-up letter, apparently to memorialize an oral request for ITC to ''provide . . . proof of use of the alleged mark BUKHARA . . . in the United States over the last two years''; and to state that if there was no response ''by June 28, 2000, we will assume that [ITC] has abandoned any rights it may have had in the alleged mark and any alleged claim against our client.''

On April 15, 2002, almost two years later, ITC's attorney wrote to the Bukhara Grill's counsel, complaining that there had been ''[n]o formal response'' to ITC's 2000 cease-and-desist letter and reiterating ITC's demands. On April 18, 2002, Bukhara Grill's counsel replied, disputing the assertion that prior correspondence from ITC had been ignored, and reasserting abandonment, now claimed to have been ''bolstered'' by the passage of additional time.

On February 26, 2003, another 11 months later, ITC filed a lawsuit against defendants in the United States District Court for the Southern District of New York. The amended complaint alleged trademark infringement under section 32 (1) (a) of the Lanham Act (codified at 15 USC § 1114 [1] [a]); unfair competition and false advertising under sections 43 (a) and 44 (h) of the Lanham Act (codified at 15 USC § 1125 [a]; § 1126 [h]); and parallel actions under New York common law. As an affirmative defense, defendants charged ITC with abandonment of any rights in the United States to the Bukhara mark, and filed a counterclaim seeking cancellation of the mark's registration on that ground.

Following discovery, defendants moved for summary judgment. As an initial matter, the District Court Judge ruled that ITC could not pursue a trademark infringement claim because the record conclusively demonstrated its abandonment of the Bukhara mark and dress for restaurants in the United States. He then considered ITC's "assert[ions] that its unfair competition claims under section 43 (a) of the Lanham Act and the New York common law provide a basis for liability independent of trademark law"; that is, ITC claimed that "[e]ven if it abandoned the 'Bukhara' mark and dress within the United States . . . it [was] nonetheless protected from unfair competition by virtue of the 'well known' or 'famous' marks doctrine" (373 F Supp 2d at 285-286).[1]

"The very existence of th[e well-known marks] doctrine is controversial," the District Court Judge opined, "as is its scope. Neither party cites, nor has the Court found, any Supreme Court or Second Circuit authority upholding liability on this theory, and it has been applied infrequently by the federal district courts" (*id.* at 286). He noted that the Ninth Circuit had recently countenanced the doctrine, but that it did so under "circumstances . . . arguably different from those in this case" (*id.*, citing *Grupo Gigante SA De CV v Dallo & Co., Inc.*, 391 F3d 1088 [9th Cir 2004] [apparently as matter of policy, court permitted Mexican grocery chain to establish whether its "Gigante" mark was sufficiently widely known among Mexican-Americans in Southern California to be protected from use by California grocery chain]).

The Judge, however, remarked that "[t]wo early cases in New York state courts, with fact patterns strikingly similar to the

---

1. There is some ambiguity regarding the proper name for what has been variously called the "famous marks doctrine," the "well-known marks doctrine" and the "famous mark doctrine" (*see e.g.* 5 McCarthy on Trademarks and Unfair Competition § 29:4 [4th ed 2007] [using the above names interchangeably]). Apparently, the use of "well-known" in place of "famous" took hold after the Lanham Act was amended by passage of the Federal Trademark Anti-Dilution Act of 2006, which uses "famous" as a term of art (*see* 15 USC § 1125 [c]). At any rate, "famous" and "well-known," "mark" and "marks," have been used interchangeably to describe the putative doctrine, and no distinction is intended by our choice of words here.

events alleged here by ITC, exemplify the doctrine'' (373 F Supp 2d at 286, citing *Maison Prunier v Prunier's Rest. & Cafe, Inc.*, 159 Misc 551 [Sup Ct, NY County 1936]; *Vaudable v Montmartre, Inc.*, 20 Misc 2d 757 [Sup Ct, NY County 1959]). But ''[a]ssuming without deciding that these cases support the existence of an unfair competition claim, even in the absence of a viable U.S. trademark, on the basis of a foreign mark that is 'well known' or 'famous,' it remains unclear how to determine what foreign marks are sufficiently 'famous' to qualify'' (373 F Supp 2d at 287). After reviewing various possible standards for a mark to qualify for the putative doctrine, the District Court Judge recognized that an ''apparent consensus'' existed as to what ''at the very least . . . must be established in the relevant American market for a mark to qualify under the 'well known' or 'famous' mark doctrine''; and that ''ITC [had] failed even to establish a triable issue'' under that minimum standard (*id.* at 288). He also concluded that ITC lacked standing to press its claim under the Lanham Act for false advertising. The District Court therefore granted defendants summary judgment dismissing ITC's complaint in its entirety, and cancelled ITC's registration of the Bukhara mark, as defendants had requested in their counterclaim.

On March 28, 2007, the Second Circuit affirmed the District Court's award of summary judgment on ITC's infringement, unfair competition and false advertising claims under federal law. The court acknowledged, however, that ''New York common law allows a plaintiff to sue for unfair competition where a property right or a commercial advantage has been misappropriated,'' and stated that ''in light of ITC's abandonment of the Bukhara mark and dress for restaurants in the United States, its common law assertion of a property right or a commercial advantage in these designations based on their foreign use depends on whether New York recognizes the famous marks doctrine in the circumstances here at issue'' (482 F3d at 165 [internal quotation marks and citation omitted]).

Citing *Vaudable* and *Prunier*, two ''decades-old trial court decisions'' that are ''routinely identif[ied] . . . as foundational in the development of the famous marks doctrine'' (*id.* at 166), the court observed that

> ''[n]either the New York Court of Appeals nor any intermediate New York appellate court . . . has ever specifically adopted the views expressed in [these

> cases] to accord common law protection to the owners of famous marks. Moreover, no New York court has clearly delineated a standard for determining when a mark becomes sufficiently famous to warrant protection'' (*id.* at 165-166).

Further, ''recognition of the famous marks doctrine as part of New York common law is plainly an important policy issue for a state that plays a pivotal role in international commerce'' (*id.* at 166). Finally, because ''certification [would] conclusively resolve the question of whether ITC's state unfair competition claim was, in fact, properly dismissed'' (*id.* at 166-167), the Second Circuit certified two questions to us regarding the New York common-law claims.

II.

Certified Question No. 1

''Does New York common law permit the owner of a famous mark or trade dress to assert property rights therein by virtue of the owner's prior use of the mark or dress in a foreign country?'' (482 F3d at 167.)

The Second Circuit's first certified question calls upon us to define property rights in the context of a common-law unfair competition claim grounded on a theory of misappropriation (*see* 482 F3d at 165). Thus, we must consider whether a famous foreign mark constitutes property or a commercial advantage protected from unfair competition under New York law.

We have long recognized two theories of common-law unfair competition: palming off and misappropriation (*see Electrolux Corp. v Val-Worth, Inc.*, 6 NY2d 556, 567-568 [1959] [discussing the acceptance of these theories of unfair competition in New York courts and collecting cases]). ''Palming off''—that is, the sale of the goods of one manufacturer as those of another[2] —was the first theory of unfair competition endorsed by New York courts, and ''has been extended . . . to situations where the parties are not even in competition'' (*Electrolux*, 6 NY2d at 567,

2. ''One of the most obvious forms'' of palming off ''occurs when the copier of an article overtly and explicitly misrepresents its source[, for example], where [a] defendant . . . substituted its product for plaintiff's when customers specifically asked for plaintiff's product'' (*Remco Indus., Inc. v Toyomenka, Inc.*, 286 F Supp 948, 954 [SD NY 1968], *affd* 397 F2d 977 [2d Cir 1968] [citation omitted]; *see also Shaw v Time-Life Records*, 38 NY2d 201, 206 [1975] [defendant ''could not 'palm off' its records as being the personal work of'' plaintiff under New York unfair competition law]).

citing *Elgin Nat. Watch Co. v Illinois Watch Case Co.*, 179 US 665, 674 [1901]; *Neva-Wet Corp. v Never Wet Processing Corp.*, 277 NY 163, 168 [1938]; *Cornell Univ. v Messing Bakeries*, 285 App Div 490 [3d Dept 1955], *affd without op* 309 NY 722 [1955] [three additional citations, all either Court of Appeals opinions or Appellate Division opinions affirmed without opinion by this Court, omitted]).

After the United States Supreme Court sanctioned the misappropriation theory of unfair competition in *International News Service v Associated Press* (248 US 215 [1918]), ''[t]he principle that one may not misappropriate the results of the skill, expenditures and labors of a competitor has . . . often been implemented in [New York] courts'' (*Electrolux*, 6 NY2d at 567, citing *Germanow v Standard Unbreakable Watch Crystals, Inc.*, 283 NY 1, 18 [1940]; *Fisher v Star Co.*, 231 NY 414, 428 [1921]; *see also Meyers v Waverly Fabrics, Div. of Schumacher & Co.*, 65 NY2d 75, 79-80 [1985] [acknowledging defendant's possible liability for ''violation of the law of unfair competition by misrepresenting the (uncopyrighted) design, which it knew to be plaintiff's, as its own'' (numerous citations omitted)]; *National Basketball Assn. v Motorola, Inc.*, 105 F3d 841, 847-853 [2d Cir 1997] [accepting misappropriation as a theory under New York common law]). Indeed, the New York cases cited by the District Court and the Second Circuit as embodying the famous or well-known marks doctrine in New York common law—*Prunier* and *Vaudable*—were, in fact, decided wholly on misappropriation theories.

In *Prunier*, the plaintiff operated celebrated haute cuisine restaurants in Paris and London, but none in the United States. The defendants opened a restaurant in New York and

> ''appropriated to themselves the plaintiff's name. . . . Indeed, it was admitted . . . that the name was intentionally selected because of plaintiff's well-known reputation and good will which has been built up as the result of decades of honest business effort.
>
> ''The defendants den[ied], however, that they ever held themselves out as being Prunier's of Paris'' (159 Misc at 553).

The court upheld the legal viability of an unfair competition claim by the plaintiff—even though the two restaurants were not in direct competition—so long as ''plaintiff['s] conten[tion] that its reputation extends far beyond the territorial limits of Paris and London and that it has a substantial following *in New York city* and in other parts of the world'' was proved (*id.* at 559 [emphasis added]).

In *Vaudable*, the plaintiff's restaurant in Paris—Maxim's—was internationally famous ''in the high-class restaurant field'' (20 Misc 2d at 758-759). The defendants ''appropriate[d] the good will plaintiffs [had] created in the name Maxim's as a restaurant,'' and were therefore held liable for unfair competition based on misappropriation even though the parties were ''not in present actual competition'' (*id.* at 759). ''The trend of the law, both statutory and decisional,'' the court opined, ''has been to extend the scope of the doctrine of unfair competition, whose basic principle is that commercial unfairness should be restrained whenever it appears that there has been a misappropriation, for the advantage of one person, of a property right belonging to another'' (*id.* at 759 [citations omitted]; *see also Roy Export Co. v Columbia Broadcasting Sys.*, 672 F2d 1095, 1105 [2d Cir 1982] [with decline of general federal common law after inception of misappropriation branch of unfair competition tort in *International News Service*, ''the doctrine was developed by the states, New York in particular; there it has flourished in a variety of factual settings'']).

[1] While expositors of the famous marks doctrine point to *Prunier* and *Vaudable* (*see* 5 McCarthy on Trademarks and Unfair Competition § 29:4 n 2 [4th ed 2007] [citing *Prunier* and *Vaudable* as ''(p)erhaps the most famous examples'' of the ''well known'' marks doctrine]), *Prunier* and *Vaudable* themselves in no way explain or proclaim—let alone rely on—any famous or well-known marks doctrine for their holdings. Instead, *Prunier* and *Vaudable* fit logically and squarely within our time-honored misappropriation theory, which prohibits a defendant from using a plaintiff's property right or commercial advantage—in *Prunier* and *Vaudable*, the goodwill attached to a famous name—to compete unfairly against the plaintiff in New York.

Under New York law, ''[a]n unfair competition claim involving misappropriation usually concerns the taking and use of the plaintiff's property to compete against the plaintiff's own use of the same property'' (*Roy Export*, 672 F2d at 1105). The term ''commercial advantage'' has been used interchangeably with ''property'' within the meaning of the misappropriation theory (*see Flexitized, Inc. v National Flexitized Corp.*, 335 F2d 774, 781-782 [2d Cir 1964]). What *Prunier* and *Vaudable* stand for, then, is the proposition that for certain kinds of businesses (particularly cachet goods/services with highly mobile clienteles), goodwill can, and does, cross state and national boundary lines.

Accordingly, while we answer ''Yes'' to the first certified question, we are not thereby recognizing the famous or well-known marks doctrine, or any other new theory of liability under the New York law of unfair competition. Instead, we simply reaffirm that when a business, through renown in New York, possesses goodwill constituting property or a commercial advantage in this state, that goodwill is protected from misappropriation under New York unfair competition law. This is so whether the business is domestic or foreign.

III.

Certified Question No. 2

''How famous must a foreign mark or trade dress be to permit its owner to sue for unfair competition?'' (482 F3d at 167.)

[2] Protection from misappropriation of a famous foreign mark presupposes the existence of actual goodwill in New York (*see e.g. Roy Export*, 672 F2d at 1105 [misappropriation under New York law usually requires use in state of plaintiff's property or commercial advantage to compete against plaintiff]). If a foreign plaintiff has no goodwill in this state to appropriate, there can be no viable claim for unfair competition under a theory of misappropriation. At the very least, a plaintiff's mark, when used in New York, must call to mind its goodwill. Otherwise, a plaintiff's property right or commercial advantage based on the goodwill associated with its mark is not appropriated in this state when its unregistered mark is used here. Thus, at a minimum, consumers of the good or service provided under a certain mark by a defendant in New York must primarily associate the mark with the foreign plaintiff (*cf. Allied Maintenance Corp. v Allied Mech. Trades*, 42 NY2d 538, 545 [1977]).

Whether consumers of a defendant's goods or services primarily associate such goods or services with those provided by a foreign plaintiff is an inquiry that will, of necessity, vary with the facts of each case. Accordingly, we cannot—and do not—provide an exhaustive list of the factors relevant to such an inquiry. That said, some factors that would be relevant include evidence that the defendant intentionally associated its goods with those of the foreign plaintiff in the minds of the public, such as public statements or advertising stating or implying a connection with the foreign plaintiff; direct evidence, such as consumer surveys, indicating that consumers of defendant's goods or services believe them to be associated with the plaintiff; and evidence of actual overlap between customers of the New York defendant and the foreign plaintiff.

If the customers of a New York defendant do not identify a mark with the foreign plaintiff, then no use is being made of the plaintiff's goodwill, and no cause of action lies under New York common law for unfair competition. As a result, to prevail against defendants on an unfair competition theory under New York law, ITC would have to show first, as an independent prerequisite, that defendants appropriated (i.e., deliberately copied), ITC's Bukhara mark or dress for their New York restaurants. If they successfully make this showing, plaintiffs would then have to establish that the relevant consumer market for New York's Bukhara restaurant primarily associates the Bukhara mark or dress with those Bukhara restaurants owned and operated by ITC.

Accordingly, the certified questions should be answered in accordance with this opinion.

Chief Judge Kaye and Judges Ciparick, Graffeo, Smith, Pigott and Jones concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[881 NE2d 180, 851 NYS2d 84]

KEITH HAYWOOD, Appellant, v CURTIS DROWN, Respondent. (Action No. 1.)

KEITH HAYWOOD, Appellant, v PAT SMITH et al., Respondents. (Action No. 2.)

Argued October 17, 2007; decided November 27, 2007

SUMMARY

APPEALS, on constitutional grounds, from two orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 22, 2006. The Appellate Division affirmed two orders of the Supreme Court, Wyoming County (Mark H. Dadd, J.), one as to each action, which had granted defendant's motion to dismiss the complaint and dismissed the complaint.

Haywood v Drown, 35 AD3d 1290, affirmed.

Haywood v Smith, 35 AD3d 1291, affirmed.

HEADNOTE

Constitutional Law — Supremacy Clause — Preclusion of Civil Actions in State Courts against Department of Correctional Services Personnel

Correction Law § 24, pursuant to which New York courts lack jurisdiction under state or federal law to entertain civil actions seeking money damages against officers or employees of the Department of Correctional Services (DOCS), does not violate the Supremacy Clause of the United States Constitution (US Const art VI [2]), despite the fact that state courts cannot adjudicate federal 42 USC § 1983 causes of action against DOCS officers or employees. Although conduct by persons acting under color of state law which is wrongful under 42 USC § 1983 cannot be immunized by state law, the Supremacy Clause imposes no constitutional impediment to the operation of Correction Law § 24. The Supremacy Clause gives states the power to deny enforcement of a federal right if they have a valid excuse for doing so, and one permissible exception is when a state court lacks jurisdiction due to a neutral state rule regarding the administration of the courts. Section 24 does not discriminate against section 1983 actions solely because the suit is brought under a federal law—it applies with equal force to all state and federal claims based on the identity of the defendant and the alleged conduct at issue. Because Correction Law § 24 does not treat section 1983 claims differently than it treats related state law causes of action, the Supremacy Clause is not offended. The fact that a plaintiff can sue the state directly in the Court of Claims does not alter this analysis.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 226, 236, 238, 239, 241–

244; Am Jur 2d, Penal and Correctional Institutions §§ 181, 186.

McKinney's, Correction Law § 24.

NY Jur 2d, Constitutional Law §§ 96, 101, 103, 105, 106; NY Jur 2d, Penal and Correctional Institutions § 222.

42 USCA § 1983; US Const, art VI, cl 2.

ANNOTATION REFERENCE

See ALR Index under Prisons and Prisoners; Supremacy Clause.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: supremacy /2 clause & correction /3 officer

POINTS OF COUNSEL

Dechert LLP (*Jason E. Murtagh,* of the Pennsylvania bar, admitted pro hac vice, of counsel) and *Dechert LLP,* New York City (*Gary J. Mennitt* of counsel), for appellant. I. Correction Law § 24's alleged bar of 42 USC § 1983 claims in state courts would violate the Supremacy Clause. (*Woodward v State of New York,* 23 AD3d 852; *Howlett v Rose,* 496 US 356; *Will v Michigan Dept. of State Police,* 491 US 58; *Brown v State of New York,* 89 NY2d 172; *Gittens v State of New York,* 132 Misc 2d 399; *Felder v Casey,* 487 US 131; *Martinez v California,* 444 US 277; *Wyatt v Cole,* 504 US 158; *Carey v Piphus,* 435 US 247; *Smith v Wade,* 461 US 30.) II. The courts below misinterpreted Correction Law § 24, an indemnification statute not designed to eliminate 42 USC § 1983 damages claims from state court.

Andrew M. Cuomo, Attorney General, Albany (*Robert M. Goldfarb, Barbara D. Underwood* and *Nancy A. Spiegel* of counsel), for respondents. I. Correction Law § 24, by circumscribing the jurisdiction of the state courts over claims for damages against the New York State Department of Correctional Services personnel, does not violate the Supremacy Clause. (*Arteaga v State of New York,* 72 NY2d 212; *Cepeda v Coughlin,* 128 AD2d 995, 70 NY2d 602; *Matter of McGee v Korman,* 70 NY2d 225; *LaValle v Hayden,* 98 NY2d 155; *People v Tichenor,* 89 NY2d 769, 522 US 918; *Will v Michigan Dept. of State Police,* 491 US 58; *Maine v Thiboutot,* 448 US 1; *National Private Truck Council, Inc. v Oklahoma Tax Comm'n,* 515 US 582; *Howlett v Rose,* 496 US 356; *Brown v Gerdes,* 321 US 178.) II. Correction Law § 24 is not an indemnification statute. (*Matter of Barbara C.,* 64 NY2d

866; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577.)

Susan Johnson, Ithaca, *Karen Murtagh-Monks, Patricia Warth, Betsy Hutchings, Steven Banks,* New York City, *John Boston* and *Alfred O'Connor,* Albany, for Prisoners' Legal Services of New York and others, amici curiae. I. Correction Law § 24, as interpreted by the court below, violates the Supremacy Clause because it is preempted by federal law. (*Monell v New York City Dept. of Social Servs.,* 436 US 658; *Howlett v Rose,* 496 US 356; *Claflin v Houseman,* 93 US 130; *Maine v Thiboutot,* 448 US 1; *Martinez v California,* 444 US 277; *Woodward v State of New York,* 23 AD3d 852; *Cepeda v Coughlin,* 128 AD2d 995; *Baker v Coughlin,* 77 F3d 12; *Brown v Coughlin,* 869 F Supp 196; *Degrafinreid v Ricks,* 452 F Supp 2d 328.) II. Correction Law § 24, as interpreted by the court below, violates the Supremacy Clause because it burdens the litigation of 42 USC 1983 claims. (*Felder v Casey,* 487 US 131; *Cepeda v Coughlin,* 128 AD2d 995; *Woodward v State of New York,* 23 AD3d 852; *Brown v State of New York,* 89 NY2d 172; *Cavanaugh v Doherty,* 243 AD2d 92; *Wright v Coughlin,* 31 F Supp 2d 301, 225 F3d 647; *Riviello v Waldron,* 47 NY2d 297; *Murray v Reif,* 36 AD3d 1167; *Bouffard v Lewis,* 139 Misc 2d 786.) III. Correction Law § 24, as interpreted by the court below, violates the Supremacy Clause because it discriminates against a federal right. (*Testa v Katt,* 330 US 386; *Claflin v Houseman,* 93 US 130; *Second Employers' Liability Cases,* 223 US 1; *Douglas v New York, N. H. & H. R. Co.,* 279 US 377; *McKnett v St. Louis & San Francisco R. Co.,* 292 US 230; *Howlett v Rose,* 496 US 356; *Bradley v County of Albany,* 161 AD2d 1050; *Mann v Alvarez,* 242 AD2d 318; *Cooper Industries, Inc. v Leatherman Tool Group, Inc.,* 532 US 424.) IV. Correction Law § 24 violates the Supremacy Clause because it offends principles of federalism by ousting the state courts from a significant area of federal constitutional adjudication. (*Immuno AG. v Moor-Jankowski,* 77 NY2d 235; *Marbury v Madison,* 1 Cranch [5 US] 137.) V. If Correction Law § 24 is interpreted as the Legislature intended—to simply indemnify the New York State Department of Correctional Services employees—then the statute need not be struck as unconstitutional. (*People v Dietze,* 75 NY2d 47; *People v Barber,* 289 NY 378; *Brown v Coughlin,* 869 F Supp 196; *Matter of Burrows v Board of Assessors for Town of Chatham,* 98 AD2d 250.)

OPINION OF THE COURT

GRAFFEO, J.

Pursuant to Correction Law § 24, New York courts lack jurisdiction under state or federal law to entertain civil actions seeking money damages against correction officers. The issue in this case is whether section 24 violates the Supremacy Clause of the United States Constitution because state courts cannot adjudicate federal 42 USC § 1983 causes of action alleging violations of civil rights. We hold that the statute is not unconstitutional.

I

Plaintiff Keith Haywood was sentenced as a second violent felony offender to a 15-to-30-year term of imprisonment after being convicted in 1990 of escape in the first degree and eight counts of robbery in the first degree.[1] While incarcerated at the Attica Correctional Facility, plaintiff was the subject of two misbehavior reports in June 2003, one for assaulting a correction officer and the other for failing a urinalysis test. After separate administrative hearings, plaintiff was found guilty of both disciplinary charges. About a year later, another misbehavior report was issued charging plaintiff with improper mail solicitation. A hearing officer determined that plaintiff was guilty of that charge.

In the aftermath of these disciplinary findings, plaintiff commenced two unrelated, pro se civil actions in state Supreme Court premised on 42 USC § 1983 against employees of the state Department of Correctional Services (DOCS).[2] The first complaint alleged that defendant Curtis Drown, the DOCS hearing officer who found plaintiff guilty of improper mail solicitation, failed to conduct a fair and impartial hearing, that his determination was based on insufficient evidence and that the

---

1. *See People v Haywood*, 184 AD2d 450, 450 (1st Dept 1992), *lv denied* 80 NY2d 904 (1992).

2. Plaintiff has also filed other pro se complaints during his term of confinement (*see e.g. Kollar v Conagra Foods Retail Prods. Co.*, No. 07 CV 0130, 2007 WL 1371105 [WD NY 2007] [complaint regarding ingestion of allegedly tainted peanut butter]; *Haywood v Republic Tobacco, Co., L.P.*, 2007 WL 1063004, *1 [WD NY 2005, No. 05-CV-842A] [complaint alleged exposure to second-hand cigarette smoke]; *Haywood v Nabisco Inc.*, 2005 WL 3523467 [Sup Ct, NY County 2005] [complaint asserted that a ''Chip's Ahoy'' cookie contained a penny that cracked his tooth]; *Haywood v Koehler*, 78 F3d 101, 103 [2d Cir 1996] [complaint of use of excessive force]; *Haywood v Hudson*, 1994 WL 36388, *1, 1994 US Dist LEXIS 877, *1 [ED NY 1994, CV-90-3287] [complaint of use of excessive force]).

penalty imposed was intended to censor plaintiff in violation of the First Amendment. Asserting that his federal civil rights had been impaired, plaintiff sought expungement of the misbehavior charge, punitive damages and attorneys' fees under 42 USC § 1983.[3]

Plaintiff's second lawsuit was filed against defendant Pat Smith, a DOCS hearing officer, two correction officers and two of their superior officers. According to plaintiff, he had been grabbed from behind without justification by one of the correction officers and sustained a ''minor injury to his left pinkie finger.'' He claimed that the correction officer involved in the incident had conspired with his superiors to fabricate the facts set forth in his June 2003 misbehavior report. Plaintiff further alleged that the urinalysis test conducted in June 2003 had been tampered with by DOCS employees. The complaint, relying on 42 USC § 1983, accused defendants of conspiring to violate plaintiff's federal civil rights by assaulting him without cause, creating a false misbehavior report, tampering with his urinalysis test and denying him a fair and impartial hearing.[4]

The defendants in both actions, represented by the Office of the Attorney General pursuant to Public Officers Law § 17, moved to dismiss the complaints on the ground that plaintiff's claims—both state and federal—were barred by Correction Law § 24. This statute provides, in pertinent part:

> ''1. No civil action shall be brought in any court of the state, except by the attorney general on behalf of the state, against any officer or employee of the department [of correctional services], in his personal capacity, for damages arising out of any act done or the failure to perform any act within the scope of the employment and in the discharge of the duties by such officer or employee.
>
> ''2. Any claim for damages arising out of any act

3. This federal statute provides that

> ''[e]very person who, under color of any statute, ordinance, regulation, custom, or usage, of any State or Territory or the District of Columbia, subjects, or causes to be subjected, any citizen of the United States or other person within the jurisdiction thereof to the deprivation of any rights, privileges, or immunities secured by the Constitution and laws, shall be liable to the party injured in an action at law, suit in equity, or other proper proceeding for redress . . . .''

4. The complaint also asserted a second cause of action based on an alleged violation of plaintiff's state constitutional rights.

> done or the failure to perform any act within the scope of the employment and in the discharge of the duties of any officer or employee of the department shall be brought and maintained in the court of claims as a claim against the state.''

Supreme Court dismissed both complaints on this statutory basis, citing *Woodward v State of New York* (23 AD3d 852 [3d Dept 2005], *lv dismissed* 6 NY3d 807 [2006]). The Appellate Division affirmed, concluding that section 24 did not violate the Supremacy Clause of the United States Constitution. Plaintiff appeals as of right and we now affirm.

II

Plaintiff contends that when Congress enacted 42 USC § 1983, it imposed a national policy that was intended to allow persons who are injured by others acting under color of law to seek judicial redress. He claims that by prohibiting section 1983 actions for money damages, Correction Law § 24 impermissibly discriminates against the federal cause of action contrary to the purpose of the Supremacy Clause.[5] Defendants submit that there is no constitutional violation because the states are free to limit the subject matter jurisdiction of their courts. They maintain that section 24 treats all state and federal monetary claims identically since none can be brought against a correction officer personally and, therefore, section 24 does not discriminate against a federal cause of action in favor of a state cause of action.

The Supremacy Clause declares that the

> ''Constitution, and the Laws of the United States which shall be made in Pursuance thereof; and all Treaties made, or which shall be made, under the Authority of the United States, shall be the supreme Law of the Land; and the Judges in every State shall be bound thereby, any Thing in the Constitution or Laws of any State to the Contrary notwithstanding'' (US Const art VI [2]).

In the event of a conflict between federal and state law, the Supremacy Clause preempts operation of state law because when Congress adopts an act it speaks '' 'for all the people and all the States, and thereby establishe[s] a policy for all. That policy is

5. Plaintiff's alternative claim, that the statute merely indemnifies correction officers, was not raised in Supreme Court and is therefore unpreserved.

as much the policy of [the State] as if the act had emanated from its own legislature, and should be respected accordingly in the courts of the State' '' (*Howlett v Rose*, 496 US 356, 371 [1990], quoting *Mondou v New York, N.H. & H.R. Co.*, 223 US 1, 57 [1912]; *see e.g. Testa v Katt*, 330 US 386, 393 [1947]). Thus, under the Supremacy Clause, ''[t]he relative importance to the State of its own law is not material when there is a conflict with a valid federal law'' (*Felder v Casey*, 487 US 131, 138 [1988] [internal quotation marks omitted]).

The alleged conflict between federal and state law in this case arises from the fact that, although a claim based on 42 USC § 1983 for monetary damages against government officials in their personal capacity can generally be asserted in a New York court (*see generally Will v Michigan Dept. of State Police*, 491 US 58, 66 [1989]), Correction Law § 24 restricts a state court from exercising jurisdiction over such a cause of action if it involves DOCS employees. At first glance, this prohibition appears questionable under the Supremacy Clause since the United States Supreme Court has cautioned that ''[c]onduct by persons acting under color of state law which is wrongful under 42 U.S.C. § 1983 . . . cannot be immunized by state law'' and that a ''construction of the federal statute which permitted a state immunity defense to have controlling effect would transmute a basic guarantee into an illusory promise'' (*Martinez v California*, 444 US 277, 284 n 8 [1980] [internal quotation marks omitted]).

Upon closer scrutiny, however, the Supremacy Clause imposes no constitutional impediment to the operation of Correction Law § 24. The Supremacy Clause gives states the power to deny enforcement of a federal right if they have a '' 'valid excuse' '' for doing so (*Howlett*, 496 US at 369, quoting *Douglas v New York, N. H. & H. R. Co.*, 279 US 377, 388 [1929]). One permissible exception is when a state court lacks jurisdiction due to a ''neutral state rule regarding the administration of the courts'' (*Howlett*, 496 US at 372). The Supreme Court has explained that states ''have great latitude to establish the structure and jurisdiction of their own courts'' and that Congress must ''take[ ] the state courts as it finds them'' (*id.* [internal quotation marks omitted]; *see also Brown v Gerdes*, 321 US 178, 189 [1944, Frankfurter, J., concurring] [''(t)he Constitution does not require New York to give jurisdiction to its courts against its will'']; *National Private Truck Council, Inc. v Oklahoma Tax Comm'n*, 515 US 582, 587 n 4 [1995]).

A corollary to this principle is that a state rule will be deemed "neutral" and "valid" if it does not discriminate against federal claims in favor of analogous state claims (*see McKnett v St. Louis & San Francisco R. Co.*, 292 US 230, 233-234 [1934]). In other words, if the same type of claim, "arising under state law, would be enforced in the state courts, the state courts are generally not free to refuse enforcement of the federal claim" (*Martinez v California*, 444 US at 283-284 n 7). Ultimately, what the Supremacy Clause prohibits is refusal by a state court to entertain a suit for the sole reason that the cause of action arises under federal law (*see Howlett*, 496 US at 373, citing *McKnett*, 292 US at 233-234; *Murnan v Wabash Ry. Co.*, 246 NY 244, 247 [1927]).

Thus, the policy underlying the Supremacy Clause is to maintain an equilibrium between state and federal causes of action: if a state court opens its doors to a state cause of action, it must also allow related federal claims to be heard; but if the state does not hear a particular state claim, it may also decline to consider related federal causes of action in its state courts (*see generally Missouri ex rel. Southern R. Co. v Mayfield*, 340 US 1, 4 [1950]). As a result, if a state permits a litigant to assert a state cause of action, it cannot use a sovereign immunity defense to defeat a section 1983 action premised on the same offending conduct (*see Howlett*, 496 US at 379-381). But if a state does not extend jurisdiction to its courts to litigate a certain type of claim, it may deprive those courts of jurisdiction over a related federal claim. In that situation, there is no Supremacy Clause violation because there is no discrimination against the federal claim in favor of similar state claims (*see e.g. McKnett*, 292 US at 233-234). And it follows that if the jurisdiction of a state court does not embrace a certain claim, a litigant cannot evade that rule by raising the same state claim in federal court under the doctrine of pendent jurisdiction (*see Baker v Coughlin*, 77 F3d 12, 15 [2d Cir 1996]). The equality requirement of the Supremacy Clause is satisfied in each of these situations because litigants stand on the same footing—regardless of whether they choose to invoke the authority of a state or federal court—and there is no incentive to engage in the repudiated practice of forum shopping that "frequently and predictably produce[s] different outcomes in federal civil rights litigation based solely on whether that litigation takes place in state or federal court" (*Felder v Casey*, 487 US at 141).

Applying these precepts, we cannot say that Correction Law § 24 violates the Supremacy Clause. The statute, by emphasizing that "[n]o civil action shall be brought in any court of the state," creates a neutral jurisdictional barrier to all claims—state and federal—for monetary damages in a state court against any correction officer in his or her personal capacity for actions within the scope of employment. Section 24, therefore, does not discriminate against section 1983 actions " 'solely because the suit is brought under a federal law' " (*Howlett*, 496 US at 373, quoting *McKnett*, 292 US at 233-234; *see Murnan v Wabash Ry. Co.*, 246 NY at 247)—it applies with equal force to all state and federal claims based on the identity of the defendant[6] and the alleged conduct at issue (*see Woodward v State of New York*, 23 AD3d at 854; *Cepeda v Coughlin*, 128 AD2d 995, 997 [3d Dept 1987], *lv denied* 70 NY2d 602 [1987]; *cf. Meehan v Illinois Power Co.*, 347 Ill App 3d 761, 767, 808 NE2d 555, 562 [App Ct 2004] [no Supremacy Clause violation regarding refusal to permit claims based on federal age discrimination statute because "(a)ll cases involving age discrimination, whether based on federal law or state law, are barred from Illinois circuit courts"], *lv denied* 211 Ill 2d 582, 823 NE2d 967 [2004]). Put simply, because Correction Law § 24 does not treat section 1983 claims differently than it treats related state law causes of action, the Supremacy Clause is not offended.[7]

Nor does the fact that a plaintiff can sue the state directly in the Court of Claims alter our analysis. Ordinarily, a state cannot be sued under 42 USC § 1983 because states are not considered to be "persons" within the purview of the federal statute (*see Will v Michigan Dept. of State Police*, 491 US at 65). Although states are excluded from section 1983 liability, the New York Legislature has recognized that the State of New York is, in effect, the real party in interest when there is a challenge to a correction officer's alleged conduct arising from the discharge of official duties. As a result, the state provides repre-

6. Section 24 operates without regard to the identity of the plaintiff, such as when a correction officer seeks to sue his superior officers for civil rights violations (*see Woodward v State of New York*, 23 AD3d at 853).

7. Cases such as *Howlett* and *Felder*, relied upon by plaintiff and the dissent, are distinguishable from this case. In *Howlett*, for example, the state provided an immunity defense to the section 1983 action that did not apply to related state law claims and that would not have been available if the action had been commenced in federal court (*see* 496 US at 359, 364). Similarly, in *Felder*, state law imposed a notice of claim requirement on section 1983 claims that would not apply if the action had been initiated in federal court (*see* 487 US at 141). In both cases, the state laws upset the equilibrium the Supremacy Clause was designed to maintain and were therefore unconstitutional.

sentation and indemnification for correction officers sued for conduct occurring within the scope of employment (*see* Public Officers Law § 17 [2], [3]). Section 24 (2) further reflects this assumption of responsibility by allowing for the recovery of certain damages against the state in the Court of Claims.[8] Correction Law § 24 therefore creates an exclusive forum for plaintiffs seeking redress of claims against the state—the Court of Claims—despite the absence of jurisdiction in state courts to entertain claims of civil rights violations against those employees directly. By restricting the forum for a certain type of claim to a particular state court, the Legislature did nothing more than exercise its prerogative to establish the subject matter jurisdiction of state courts in a manner consistent with New York's conditional waiver of sovereign immunity, which does not allow civil rights claims to proceed against the state in Supreme Court.

In our view, New York does not discriminate against section 1983 claims by allowing state, but not federal, actions involving DOCS employees to be adjudicated in the Court of Claims since it was Congress that decided to exempt the states as responsible parties from the purview of the federal statute. Furthermore, federal law acknowledges that states can be sued by individuals only in state courts unless sovereign immunity is waived or abrogated (*see* US Const Amend 11; *Seminole Tribe of Fla. v Florida*, 517 US 44, 54 [1996]). Moreover, litigants like plaintiff can use the federal courts to pursue section 1983 claims against individual defendants and seek all of the rights and remedies available under the federal act, although a section 1983 claim brought against a correction officer in federal court cannot raise analogous, jurisdictionally barred state law claims (*see Baker v Coughlin*, 77 F3d at 15). Thus, when Correction Law § 24 applies, New York courts necessarily adjudicate only state claims brought against the state and federal courts adjudicate only federal causes of action brought against individuals. In the end, New York does not discriminate against section 1983 actions in favor of analogous state law claims because Correction Law § 24 removes subject matter jurisdiction over any cause of action—state or federal—for money damages in state Supreme Court for conduct by DOCS employees. Consequently, section 24 does not violate the Supremacy Clause.

---

8. New York's waiver of sovereign immunity is conditioned on submission to the exclusive jurisdiction of the Court of Claims (*see* NY Const, art VI, § 9; Court of Claims Act § 8).

Accordingly, the orders of the Appellate Division should be affirmed, without costs.

JONES, J. (dissenting). The question before this Court is whether Correction Law § 24 violates the Supremacy Clause insofar as it bars litigants from bringing 42 USC § 1983 claims for money damages in state court against DOCS employees for actions committed within the scope of their employment. As interpreted by the majority, section 24 frustrates the purpose of, and is inconsistent with, section 1983. Specifically, section 24 (1) burdens the litigation of section 1983 actions by preventing state courts from adjudicating claims for money damages—even where such courts have jurisdiction over the parties and the type of claim brought—while, at the same time, allowing the court to adjudicate state law actions involving the same conduct by DOCS employees; and (2) immunizes a select group of state employees from section 1983 damages claims where other state employees are not similarly immunized. The majority and the State argue, however, that state courts can decline to exercise their concurrent jurisdiction over section 1983 money damages claims against DOCS employees because Correction Law § 24 affords New York State a ''valid excuse'' (i.e., a neutral rule of judicial administration limiting subject matter jurisdiction) for doing so. Contrary to the majority's conclusion, section 24 cannot withstand a challenge under the Supremacy Clause. Accordingly, I dissent and would reverse the orders of the Appellate Division, reinstate plaintiff's claims and remand both actions to Supreme Court for further proceedings.

I.

Correction Law § 24 (entitled ''Civil actions against [DOCS] personnel'') states:

> ''1. *No civil action shall be brought* in any court of the state, except by the attorney general on behalf of the state, *against any officer or employee of the department, in his personal capacity, for damages arising out of any act done or the failure to perform any act within the scope of the employment and in the discharge of the duties by such officer or employee*.
>
> ''2. Any [such] claim for damages arising out of any act done or the failure to perform any act within the scope of the employment and in the discharge of

> the duties of any officer or employee of the department shall be brought and maintained in the court of claims as a claim against the state'' (emphasis added).

We have stated that the purpose of section 24 is to ensure that DOCS employees, when acting within the scope of employment, freely perform their dangerous duties of maintaining safety and security within correctional facilities without fear of being subjected to voluminous, vexatious and, in many cases, meritless suits brought by prisoners and being held personally liable should a prisoner prevail (*see Arteaga v State of New York*, 72 NY2d 212, 219 [1988]).

The majority opinion provides a detailed description of plaintiff's present claims, and several previous ones (*see* majority op at 484-485), apparently to suggest that the claims are frivolous, which they may well be. I recognize that the problem of baseless lawsuits by prisoners against corrections officers is a serious one; Congress, however, enacted section 1983 to deal with an even more serious problem—i.e., violations of citizens' rights by those acting under the color of state law.

Section 1983 is the current version of section 1 of the Civil Rights Act of 1871, one of the post-Civil War Reconstruction-Era civil rights statutes Congress enacted.[1] Section 1983 states:

---

1. The purpose of the Civil Rights Act of 1871 was to address the lawlessness in the southern states after the Civil War (*see* Cong Globe, 42nd Cong, 1st Sess, at 236 [1871]) and to enforce the provisions of the Fourteenth Amendment (*see Monroe v Pape*, 365 US 167, 171 [1961], *overruled by Monell v New York City Dept. of Social Servs.*, 436 US 658 [1978] [*Monroe* was overruled insofar as it held that local governments are wholly immune from suit under section 1983]). As the Supreme Court stated:

> ''The [Act] grew out of a message sent to Congress by President Grant on March 23, 1871, reading:
>
> '' 'A condition of affairs now exists in some States of the Union rendering life and property insecure and the carrying of the mails and the collection of the revenue dangerous. The proof that such a condition of affairs exists in some localities is now before the Senate. That the power to correct these evils is beyond the control of State authorities I do not doubt; that the power of the Executive of the United States, acting within the limits of existing laws, is sufficient for present emergencies is not clear. Therefore, I urgently recommend such legislation as in the judgment of Congress shall effectually secure life, liberty, and property, and the enforcement of law in all parts of the United States. . . .'
>
> ''[The legislation, which was enacted on April 20, 1871, had three main aims.]

(n. cont'd)

> "*Every person* who, under color of any statute, ordinance, regulation, custom, or usage, of any State or Territory or the District of Columbia, subjects, or causes to be subjected, *any citizen of the United States or other person within the jurisdiction thereof* to the deprivation of any rights, privileges, or immunities secured by the Constitution and laws, shall be liable to the party injured in an action at law, suit in equity, or other proper proceeding for redress" (emphasis added).

Thus, section 1983 permits an individual deprived of his or her federal civil rights by person(s) acting under color of state law (i.e., government officials) to bring a civil suit against the state actor(s), in their *personal capacity*, for compensatory relief. Moreover, the Supreme Court stated that section 1983 was meant to create

> "a species of liability in favor of persons deprived of their federal civil rights by those wielding state authority. . . . '[T]he central objective of the Reconstruction-Era civil rights statutes . . . is to ensure that individuals whose federal constitutional or statutory rights are abridged may recover damages or secure injunctive relief.' Thus, *[section] 1983* provides 'a uniquely federal remedy against incursions . . . upon rights secured by the Constitution and laws of the Nation,' and *is to be accorded 'a sweep as broad as its language.'*
>
> "*Any assessment of the applicability of a state law to federal civil rights litigation, therefore, must be made in light of the purpose and nature of the federal right*. This is so whether the question of

---

"*First*, it might . . . override certain kinds of state laws. . . .

"*Second*, it provided a remedy where state law was inadequate. . . .

"The *third* aim was to provide a federal remedy where the state remedy, though adequate in theory, was not available in practice. . . .

"The debates are replete with references to the lawless conditions existing in the South in 1871. . . . It was not the unavailability of state remedies but the failure of certain States to enforce the laws with an equal hand that furnished the powerful momentum behind this 'force bill.' . . .

"[T]he remedy created was . . . against those who representing a State in some capacity were *unable* or *unwilling* to enforce a state law" (*Monroe*, 365 US at 172-176 [footnotes omitted]).

> state-law applicability arises in [section] 1983 litigation brought in state courts, which possess concurrent jurisdiction over such actions, or in federal-court litigation'' (*Felder v Casey*, 487 US 131, 139 [1988] [emphasis added and citations omitted]).

Bottom line, Congress decided that the threat of abuse of citizens by those acting under color of state law was real enough to justify creating the section 1983 cause of action—even though many section 1983 cases lack merit. Accordingly, the State of New York is not free to decide that DOCS employees must be immune from such suits. In any event, the issue here is not whether plaintiff has a right to bring these claims—he clearly does—but whether state courts, as well as federal courts, must bear the burden of adjudicating them. In my view, state courts cannot selectively escape this responsibility. However, over the years, New York State courts have (*see* Steven H. Steinglass, *an Introduction to State Court Section 1983 Litigation*, in Sword and Shield, A Practical Approach to Section 1983 Litigation, at 153 [ABA 3d ed 2006] [stating that ''(t)he most flagrant example of a state court system selectively excluding (section) 1983 cases is the refusal of the New York courts to entertain (section) 1983 actions against state correctional officials'']).

Although the State of New York *generally* has the freedom to fix the rules of subject matter jurisdiction its courts must follow, it does not have the authority to enact a statute that violates or is inconsistent with federal law—for example, a statute immunizing ''an official from liability for injuries compensable under federal law'' (*Howlett v Rose*, 496 US 356, 361 [1990], citing *Martinez v California*, 444 US 277 [1980])—and simply refer to the statute as a neutral rule of subject matter jurisdiction that serves as a valid excuse for Supremacy Clause purposes. In enacting Correction Law § 24, however, the State Legislature has put forth a statute immunizing official conduct otherwise actionable under federal law. Section 24 is, therefore, inconsistent with section 1983 and violative of the Supremacy Clause.

II.

Under the Supremacy Clause (US Const art VI [2]), federal law is ''the supreme Law of the Land.'' The Supreme Court explained:

> ''[f]ederal law is enforceable in state courts not because Congress has determined that federal courts

> would otherwise be burdened or that state courts might provide a more convenient forum—although both might well be true—but because the Constitution and laws passed pursuant to it are as much laws in the States as laws passed by the state legislature. The Supremacy Clause makes those laws the supreme Law of the Land, and charges state courts with a coordinate responsibility to enforce that law according to their regular modes of procedure. The laws of the United States are laws in the several States, and just as much binding on the citizens and courts thereof as the State laws are. . . . The two together form one system of jurisprudence, which constitutes the law of the land for the State; and the courts of the two jurisdictions are not foreign to each other, nor to be treated by each other as such, but as courts of the same country, having jurisdiction partly different and partly concurrent'' (*Howlett*, 496 US at 367 [citations and internal quotation marks omitted]).

Federal and state courts, therefore, have concurrent jurisdiction over federal actions and state courts have a duty to enforce federal law to the same extent as federal courts *except* where a valid excuse to the exercise of such jurisdiction exists. Discussing this ''valid excuse'' exception, the Supreme Court articulated three corollaries:

> ''1. A state court may not deny a federal right, when the parties and controversy are properly before it, in the absence of valid excuse. . . . The existence of the jurisdiction creates an implication of duty to exercise it. . . .
>
> ''2. An excuse that is inconsistent with or violates federal law is not a valid excuse . . . .
>
> ''3. When a state court refuses jurisdiction because of a neutral state rule regarding the administration of the courts, we must act with utmost caution before deciding that it is obligated to entertain the claim. . . . The requirement that a state court of competent jurisdiction treat federal law as the law of the land does not necessarily include within it a requirement that the State create a court competent to hear [a] case in which the federal claim is pre-

> sented. The general rule . . . is that federal law takes the state courts as it finds them. . . . The States thus have great latitude to establish the structure and jurisdiction of their own courts. . . . In addition, States may apply their own neutral procedural rules to federal claims, unless those rules are [preempted] by federal law'' (*id.* at 369-372 [citations and internal quotation marks omitted]).

Accordingly, a state may enact legislation limiting its subject matter jurisdiction over claims otherwise within its purview as long as the legislation is supported by a valid excuse. If a state applies a *neutral* rule of judicial administration, the state has a valid excuse for refusing to provide a court of competent jurisdiction to hear such claims. For the reasons set forth below, Correction Law § 24 is not a valid excuse.

First, the Supreme Court has not deemed the type of ''jurisdictional'' rule at bar—the effect of which is that section 1983 damages claims against one group of state employees are barred while identical claims against other state employees are allowed—to be a valid excuse. There have only been three cases in which the Supreme Court has held that a valid excuse exists for a state court's refusal to entertain a federal claim. These cases involved neutral rules of judicial administration—all markedly different from section 24—where the state court dismissed the federal claim: (1) on forum non conveniens grounds;[2] (2) because the parties were nonresidents of the forum state;[3] or (3) because the federal claim arose outside of the state's territorial jurisdiction[4] (*see Howlett*, 496 US at 374-375). Moreover, in determining what would be an acceptable valid excuse, the Supreme Court cautioned that ''[t]he fact that a rule is denominated jurisdictional does not provide a court an excuse to avoid the obligation to enforce federal law if the rule does not reflect the concerns of power over the person and competence over the subject matter that jurisdictional rules are

---

2. *See Missouri ex rel. Southern R. Co. v Mayfield*, 340 US 1, 4 (1950) (holding that state court could apply the forum non conveniens doctrine to bar adjudication of action under Federal Employer's Liability Act [FELA] if the state ''enforce[d] its policy impartially so as not to involve a discrimination against [FELA] suits'' [citation omitted]).

3. *See Douglas v New York, N. H. & H. R. Co.*, 279 US 377 (1929) (holding that state statute properly permitted discretionary dismissal of both federal and state claims where neither party was a resident of the forum state).

4. *See Herb v Pitcairn*, 324 US 117, 123 (1945).

designed to protect'' (*id.* at 381). As will be made clear below, Correction Law § 24 does neither.

Second, the majority's view that section 24 does not discriminate against section 1983 damages claims is based, in my view, on an unduly narrow reading of United States Supreme Court precedent. In *Martinez*, the Supreme Court held that a California statute immunizing government conduct was not controlling in section 1983 litigation, even where such litigation took place in state court, because the application of the State's immunity law would thwart the remedial purpose of section 1983 (444 US at 284). In so holding, the Court observed that ''where the same type of claim, if arising under state law, would be enforced in the state courts, the state courts are generally not free to refuse enforcement of the federal claim'' (*id.* at 283 n 7).

At issue in *Felder* was a Wisconsin notice-of-claim statute, which effectively shortened the statute of limitations for those seeking to assert federal civil rights claims. The Supreme Court held that the Wisconsin statute was preempted to the extent that it applied to section 1983 claims because the statute conflicted in both *purpose and effect* with the remedial objectives of section 1983, and its application to a section 1983 claim brought in state court could yield a different outcome than if it were brought in federal court (487 US at 138, 152). Although the statute in *Felder* did not purport to limit the jurisdiction of Wisconsin courts, if it had, the Court would have reached the same result (*see Howlett*, 496 US at 382-383 [stating that ''(t)he force of the Supremacy Clause is not so weak that it can be evaded by mere mention of the word 'jurisdiction' '']).

Moreover, in *Howlett*, the Supreme Court considered whether a Florida statute in which the State waived sovereign immunity from state tort actions—but not from section 1983 claims—against state defendants was a jurisdictional limitation on the power of the Florida state courts. The Court held that the statute violated the Supremacy Clause because the state courts entertained similar state claims not subject to the sovereign immunity defense; as such, section 1983 claims could not be precluded (*see Howlett*, 496 US at 375). Significantly, the Court noted that once a state opens its courts to hear section 1983 actions, it may not selectively exclude certain section 1983 actions by denominating state policies as jurisdictional (*id.* at 381).

In light of the foregoing, the majority's nondiscrimination and ''equality requirement'' arguments are unavailing. I acknowledge that Congress cannot require New York State to *create* a court of competent jurisdiction to entertain section 1983 claims. Here, however, one such court exists. New York State supreme courts are courts of general (i.e., ''original, unlimited and unqualified'') jurisdiction (NY Const, art VI, § 7; *Kagen v Kagen*, 21 NY2d 532, 537 [1968]) that already hear and adjudicate state law claims for damages *and* all section 1983 claims—including claims for declaratory and injunctive relief *and* claims where money damages are sought—*against state employees* (*except those employed by DOCS*). Since the same type of state law claim—and federal law claim for that matter—is enforceable in state supreme court, the State cannot selectively refuse to enforce the federal claim.

Further, as noted by the majority, the State Legislature determined that the State, and not DOCS employees, should be liable for the wrongful conduct committed within the scope of employment (*see* Correction Law § 24 [2]). This policy judgment logically flows from the above-mentioned purpose of section 24. However, under the Supremacy Clause, ''[t]he relative importance to the State of its own law is not material when there is a conflict with a valid federal law, for any state law, however clearly within a State's acknowledged power, which interferes with or is contrary to federal law, must yield'' (*Felder*, 487 US at 138 [internal quotation marks omitted]). Thus, neither the State's policy judgment nor the purpose underlying such judgment qualifies as a neutral rule of judicial administration.

Third, in resolving the issue at bar, the *broad* goals and objectives of section 1983, and for that matter its progenitor (the Civil Rights Act of 1871), must be taken into account. Specifically, this Court should determine whether

> ''the application of the [state statute] to § 1983 actions brought in state courts [is] consistent with the goals of the federal civil rights laws, or [whether] the enforcement of [the state statute] instead stand[s] as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress'' (*id.* [internal quotation marks omitted]).

Here, Correction Law § 24, which by its plain terms immunizes DOCS employees from liability for certain conduct actionable under section 1983,[5] is inconsistent with section 1983's remedial purposes in several important respects. For those litigants who bring their section 1983 claims in state court, section 24: (1) interferes with section 1983 by barring litigants from receiving compensatory relief *directly* from the individual state actor(s) who committed the actionable conduct; and (2) places significant obstacles in front of litigants seeking to secure a full recovery.[6]

Additionally, a state may not extend its sovereign immunity and pass legislation immunizing ''an official from liability for injuries compensable under federal law'' (*Howlett*, 496 US at 360, citing *Martinez*). Comparing the statutes in *Howlett* and the case at bar makes clear that both states sought to cloak their officials in their own sovereign immunity. Put simply, under the statute in *Howlett*, the school board was ''the state'' and therefore immune. Here, damages suits based on the employees' actions can only be brought ''as a claim against the state'' (Correction Law § 24 [2]).[7] The result, in both cases, is that plaintiff's only state-court remedy is a suit against the State, which, pursuant to the Eleventh Amendment of the Federal Constitution and for section 1983 purposes, is not a ''person'' that can be held liable under section 1983.[8] Therefore, plaintiffs are left with no remedy in state court against those individuals who would be liable under section 1983. Given the goals and objectives of section 1983, Congress could not have envisioned such a result.

---

5. *See Baker v Coughlin*, 77 F3d 12, 15 (2d Cir 1996) (holding that ''by its plain terms, [section] 24 governs the substantive rights of corrections officers by conferring upon them an immunity from liability for activities that fall within the scope of the statute'').

6. Under section 24, a litigant can bring section 1983 actions for declaratory and injunctive relief in state court. However, if the litigant is to have a full recovery, as contemplated by section 1983, he or she must seek money damages in federal court. Thus, to obtain a full recovery, a litigant has to split claims and bring two separate actions in two separate jurisdictions. This places an onerous burden on litigants. (*See also Woodward v State of New York*, 23 AD3d 852, 857 [3d Dept 2005, Kane, J., dissenting].)

7. By this requirement, section 24 has redefined and limited the section 1983 cause of action, i.e., it eliminates a plaintiff's federal right to sue a DOCS employee, in his or her personal capacity, for damages in state court.

8. *See Howlett*, 496 US at 365 (stating ''[a]s we held last Term in *Will* v. *Michigan Dept. of State Police*, 491 U. S. 58 [1989], an entity with Eleventh Amendment immunity is not a 'person' within the meaning of [section] 1983'').

III.

In conclusion, I stress two points which make clear why the Appellate Division order should be reversed. First, if you strip away the veneer of the majority's arguments, section 24—a statute which, on its face, precludes anyone, including other DOCS employees and prisoners, from bringing damages claims against DOCS personnel—is not a *neutral* jurisdictional barrier to a particular type of claim. In reality, section 24 functions as an immunity statute that allows state courts to selectively exclude prisoner suits for damages against DOCS personnel. Second, contrary to the majority's view, section 24 simply does not fall under the category of what could be a ''valid excuse'' (i.e., section 24 does not reflect the concerns of power over the litigants and competence over subject matter). Here, the state supreme court has jurisdiction over the parties and, based on the State's willingness to allow the adjudication of *all* section 1983 claims against *other* state employees, competence over the type of claim at bar. Further, plaintiff's claims arose *within* the State's territorial jurisdiction. Based on the foregoing, Correction Law § 24 does not afford a valid excuse to selectively exclude section 1983 damages suits against DOCS personnel and is, therefore, constitutionally infirm under the Supremacy Clause.

Chief Judge KAYE and Judges CIPARICK and READ concur with Judge GRAFFEO; Judge JONES dissents and votes to reverse in a separate opinion in which Judges SMITH and PIGOTT concur.

Orders affirmed, without costs.

[881 NE2d 830, 851 NYS2d 381]

RACHEL EHRENFELD, Appellant, v KHALID SALIM BIN MAHFOUZ, Respondent.

Argued November 15, 2007; decided December 20, 2007

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''[W]hether § 302(a)(1) of New York's long-arm statute confers personal jurisdiction over a person (1) who sued a New York resident in a non-U.S. jurisdiction; and (2) whose contacts with New York stemmed from the foreign lawsuit and whose success in the foreign suit resulted in acts that must be performed by the subject of the suit in New York?''

HEADNOTE

Courts — Jurisdiction — Long-Arm Jurisdiction

CPLR 302 (a) (1) did not confer jurisdiction over the foreign defendant in an action brought by plaintiff, a New York resident who had defaulted in a libel action brought against her by defendant in England, in which she sought a judgment declaring that defendant could not prevail on a libel claim against her based upon the statements at issue in the English action, and that the English default judgment against her was unenforceable in the United States. Defendant's communications and activities in New York, which included serving papers upon plaintiff in New York, contacting her via mail and e-mail in New York, and reporting the contents of an English court order on defendant's Web site which was accessible in New York, were merely incidental to the prosecution of the foreign litigation. None of the contacts established that defendant purposefully availed himself of the privileges of and benefits of New York's laws; rather, his communications in New York were intended to further his assertion of rights under the laws of England. Nor did defendant's refusal to waive whatever rights he might have to enforce the English judgment in New York constitute a purposeful availment of New York's laws.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts § 72; AM JUR 2d, Process §§ 159, 165.

CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem §§ 25:23, 25:24, 25:33, 25:39, 25:40.

MCKINNEY'S, CPLR 302 (a) (1).

NY JUR 2d, Courts and Judges §§ 588–590, 623, 629.

SIEGEL, NY PRAC §§ 84–86.

ANNOTATION REFERENCE

See ALR Index under Long Arm Statutes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: long-arm & non-domiciliary & privilege /3 benefit /s state york

---

POINTS OF COUNSEL

Kornstein Veisz Wexler & Pollard, LLP, New York City (*Daniel J. Kornstein, Mikaela A. McDermott, Mark Platt, Ina R. Bort, Catherine C. Montjar, David T. McTaggart* and *Amy C. Gross* of counsel), for appellant. I. Since Khalid Salim Bin Mahfouz's New York contacts, including a chilling effect, are sufficient, purposeful, affect people and events in New York, and make it foreseeable that he would be sued there, Bin Mahfouz ''transacts business'' in New York. (*Kramer v Vogl,* 17 NY2d 27; *Lynch v Austin,* 96 AD2d 196; *Citigroup Inc. v City Holding Co.,* 97 F Supp 2d 549; *Longines-Wittnauer Watch Co. v Barnes & Reinecke,* 15 NY2d 443, *cert denied sub nom. Estwing Mfg. Co. v Singer,* 382 US 905; *Padilla v Rumsfeld,* 352 F3d 695, 542 US 426; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.,* 7 NY3d 65; *Opticare Acquisition Corp. v Castillo,* 25 AD3d 238; *Hanson v Denckla,* 357 US 235; *George Reiner & Co. v Schwartz,* 41 NY2d 648; *Kreutter v McFadden Oil Corp.,* 71 NY2d 460.) II. Since *Yahoo! Inc. v La Ligue Contre Le Racisme Et L'Antisemitsme* (433 F3d 1199 [2006]) provides persuasive authority based on even less compelling facts, it supports the exercise of jurisdiction here. (*Calder v Jones,* 465 US 783; *Kreutter v McFadden Oil Corp.,* 71 NY2d 460; *Banco Ambrosiano v Artoc Bank & Trust,* 62 NY2d 65; *Talbot v Johnson Newspaper Corp.,* 71 NY2d 827; *Best Van Lines, Inc. v Walker,* 490 F3d 239; *Johnson v Ward,* 4 NY3d 516; *International Shoe Co. v Washington,* 326 US 310; *McGee v International Life Ins. Co.,* 355 US 220; *Parke-Bernet Galleries v Franklyn,* 26 NY2d 13; *Longines-Wittnauer Watch Co. v Barnes & Reinecke,* 15 NY2d 443.) III. Since Dr. Ehrenfeld's claim stems directly from Khalid Salim Bin Mahfouz's intimidation of her in New York, it ''arises from'' Bin Mahfouz's transaction of business in New York. (*McGowan v Smith,* 52 NY2d 268; *Kreutter v McFadden Oil Corp.,* 71 NY2d 460; *Johnson v Ward,* 4 NY3d 516.) IV. Since the exercise of jurisdiction here is fair and grounded in precedent and public policy, the Court should answer the certified question in the affirmative. (*Best Van Lines, Inc. v Walker,* 490 F3d 239; *New York Times Co. v Sullivan,* 376 US 254; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235, 500 US 954; *Hernandez v New York City Health & Hosps. Corp.,* 78 NY2d 687; *Rinaldi v Holt, Rinehart & Winston,* 42 NY2d 369; *Hotchner v Castillo-Puche,* 551 F2d 910, 434 US 834.)

Jones Day (*Timothy J. Finn* and *Stephen J. Brogan,* of the District of Columbia bar, admitted pro hac vice, and *Christian G. Vergonis* of counsel), and *Bonner, Kiernan, Trebach & Crociata,* Washington, D.C. (*Michael Nussbaum* of counsel), for respondent. I. CPLR 302 (a) (1) does not authorize personal jurisdiction over a nondomiciliary whose only acts within New York were incidental to a foreign lawsuit against a New York defendant. (*Ferrante Equip. Co. v Lasker-Goldman Corp.,* 26 NY2d 280; *A. Millner Co. v Noudar, Lda.,* 24 AD2d 326; *Johnson v Ward,* 6 AD3d 286, 4 NY3d 516; *Crystal Lake Camp Corp. v Silver,* 63 Misc 2d 562; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.,* 7 NY3d 65; *Liberatore v Calvino,* 293 AD2d 217; *ISI Brands, Inc. v KCC Intl., Inc.,* 458 F Supp 2d 81; *Rescuecom Corp. v Hyams,* 477 F Supp 2d 522; *Hartford Fire Ins. Co. v California,* 509 US 764; *Padilla v Rumsfeld,* 352 F3d 695, 542 US 426.) II. Dr. Ehrenfeld's arguments rely on the wrong legal standard and should be directed to the Legislature. (*Ferrante Equip. Co. v Lasker-Goldman Corp.,* 26 NY2d 280; *Fantis Foods v Standard Importing Co.,* 49 NY2d 317; *Yahoo! Inc. v La Ligue Contre Le Racisme Et L'Antisemitisme,* 433 F3d 1199; *Opticare Acquisition Corp. v Castillo,* 25 AD3d 238; *Matter of Sayeh R.,* 91 NY2d 306; *Talbot v Johnson Newspaper Corp.,* 123 AD2d 147; *Porter v LSB Indus.,* 192 AD2d 205; *Calder v Jones,* 465 US 783; *McGowan v Smith,* 52 NY2d 268; *Hermann v Sharon Hosp.,* 135 AD2d 682.)

Covington & Burling LLP, New York City (*Jason P. Criss* of counsel), *Weil, Gotschal & Manges LLP* (*R. Bruce Rich* and *Jonathan Bloom* of counsel), *Jan Friedman Constantine, Fletcher, Heald & Hildreth, PLC,* Arlington Virginia (*Kevin M. Goldberg* of counsel), *Angela Mills Wade,* Brussels, Belgium, *Kurt A. Wimmer,* McLean, Virginia, *Patrick D. Maines,* Arlington, Virginia, *Richard T. Kaplar, René P. Milam,* Vienna, Virginia, *Lucy A. Dalglish,* Arlington, Virginia, *Gregg P. Leslie, Matthew B. Pollack, David A. Zapolsky,* Seattle, Washington, *Wiley Rein & Fielding,* Washington, D.C. (*Kathleen A. Kirby* of counsel), *Kai Falkenberg,* New York City, *Dow Lohnes PLLC,* Washington, D.C. (*Jonathan D. Hart* of counsel), and *Sabin, Bermant & Gould LLP,* New York City (*Neil M. Rosenhouse* of counsel), for Advance Publications, Inc. and others, amici curiae. I. The facts presented in this appeal powerfully illustrate the danger libel tourism poses to free expression in New York. (*Bachchan v India Abroad Publs.,* 154 Misc 2d 228; *Matusevitch v Telnikoff,* 877 F Supp 1, 159 F3d 636.) II. The Court of Appeals should adopt the limited holding advocated by Dr. Ehrenfeld. (*Kreutter v McFadden Oil Corp.,* 71 NY2d 460; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.,* 7 NY3d 65; *PDK Labs, Inc. v Friedlander,* 103 F3d 1105; *McKee Elec. Co. v Rauland-Borg Corp.,* 20 NY2d 377; *Burger King Corp. v Rudzewicz,* 471 US 462; *Matter of Sayeh R.,* 91 NY2d 306; *McGowan v Smith,* 52 NY2d 268; *Legros v Irving,* 38 AD2d 53; *Best Van Lines, Inc. v Walker,* 490 F3d 239.)

OPINION OF THE COURT

CIPARICK, J.

The United States Court of Appeals for the Second Circuit has certified to us the question of whether CPLR 302 (a) (1) confers personal jurisdiction over a person ''(1) who sued a New York resident in a non-U.S. jurisdiction; and (2) whose contacts with New York stemmed from the foreign lawsuit and whose success in the foreign suit resulted in acts that must be performed by the subject of the suit in New York'' (489 F3d 542, 545 [2007]). Because these contacts do not constitute the transaction of business in this state, we conclude that CPLR 302 (a) (1) does not confer jurisdiction.

I.

Plaintiff Rachel Ehrenfeld is an author whose writing focuses on international terrorism. In 2003, Chicago-based Bonus Books published her book, Funding Evil: How Terrorism Is Financed—and How to Stop It. In that book, plaintiff asserts that defendant, Khalid Salim Bin Mahfouz—a Saudi Arabian businessman, financier and former head of the National Commercial Bank of Saudi Arabia—and his family have provided direct and indirect monetary support to al Qaeda and other ''Islamist terror groups.'' Funding Evil was published in the United States. However, 23 copies were purchased in the United Kingdom via the Internet and a chapter of the book, accessible from the ABCNews.com Web site, was also available in that country.

Defendant maintains that plaintiff's claims regarding his ties to terrorism are false. On January 23, 2004, defendant's English counsel wrote to plaintiff and sought to have her: (i) promise the ''High Court in England'' that she would refrain from repeating similar allegations, (ii) destroy or deliver to him all copies of Funding Evil, (iii) issue a letter of apology (to be published at plaintiff's expense), (iv) make a charitable donation and (v) pay his legal costs in exchange for defendant's agreement to not bring a defamation action against her. When plaintiff did not accept this offer, defendant sued her, seeking damages and injunctive relief under the English Defamation Act of 1996, in the High Court of Justice, Queens Bench Division, in London.

Pursuant to an order of the English court, defendant served papers upon plaintiff at her New York City apartment on four occasions: October 22, 2004, December 30, 2004, March 3, 2005 and May 19, 2005. Plaintiff alleges that the process server who visited her on March 3 threatened her, stating: ''You had better respond, Sheikh bin Mahfouz is a very important person, and you ought to take very good care of yourself.''[1] In addition to serving litigation papers, defendant's English lawyers contacted plaintiff at her home in New York via mail and e-mail. These communications—received on September 22, 2004, December 9, 2004, April 26, 2005, April 27, 2005, May 2, 2005 and May 9, 2005—all concerned the English action. By these letters and e-mails, defendant's English counsel provided plaintiff with the claim in the English action, witness statements, documents supporting defendant's alleged damages and court orders. For example, the December 9 letter advised plaintiff that pursuant to an injunction issued by the English court she was under a duty to prevent Funding Evil from ''leak[ing] into the [English court's] jursdiction,'' ''England and Wales,'' and that if she failed to do so she could ''be held in contempt of court.''

Plaintiff elected not to appear in the English action.[2] She did so because of the cost of litigating in England, the procedural barriers facing a libel defendant under English law and her dis-

1. In an affidavit, the process server stated that plaintiff ''grossly misrepresented'' their meeting. He admits that he spoke to plaintiff and explained to her that she should contact a lawyer because ''it looked like a default judgment had been entered against her.'' But he submits that during this encounter he ''was cordial and professional, and in no way threatened her or used a menacing tone.''

2. The English court's May 3, 2005 judgment, which accompanied its May 3, 2005 order, notes, however, that an English law firm did submit a letter on behalf of plaintiff and Bonus Books, discussing the merits of a ''plea of justification'' in the English action.

agreement in principle with defendant's alleged attempt to chill her speech in New York by suing in a claimant-friendly libel jurisdiction to which she lacked any tangible connection.[3] On December 7, 2004, the English court entered a default judgment against plaintiff and Bonus Books, providing for an award of damages and enjoining the further publication of the allegedly defamatory statements in England and Wales. On May 3, 2005, the English court entered a second order declaring the allegedly defamatory statements false, setting damages owed to defendant and his sons at £10,000 each, requiring plaintiff and Bonus Books to publish an apology in accordance with section 9 (2) of England's Defamation Act of 1996,[4] mandating that the December 7 injunction "shall continue in full force and effect," and awarding defendant his costs in prosecuting the English action. Defendant reported the contents of the May 3 order on his Web site (*see* Bin Mahfouz Information, http://www.binmahfouz.info/news_20050503.html [accessed Dec. 3, 2007]), which is accessible in New York.

Plaintiff filed suit against defendant in the United States District Court for the Southern District of New York. There, she sought a declaratory judgment that, under federal and New York law, defendant could not prevail on a libel claim against her based upon the statements at issue in the English action and that the December 7 default judgment is unenforceable in the United States and, particularly, in New York State. Defendant moved to dismiss, arguing that the court lacked subject matter and personal jurisdiction.

The district court held that it lacked personal jurisdiction under CPLR 302 (a) (1) because defendant's communications to plaintiff in New York regarding the English action and his Web site posting, "however persistent, vexing or otherwise meant to coerce, do not appear to support any business objective" (2006 WL 1096816, *4, 2006 US Dist LEXIS 23423, *14). Further, the court concluded that plaintiff's reliance upon *Yahoo! Inc. v La Ligue Contre Le Racisme Et L'Antisemitisme* (433 F3d 1199 [9th Cir 2006, en banc]), which affirmed a finding of personal

3. According to plaintiff, she has "never lived in England . . . [Funding Evil] was never published in England . . . and [she has] never taken any steps to cause the Book to be made available to purchasers in England or to facilitate its availability there through internet sources."

4. Section 9 (2) mandates a procedure whereby the parties are to agree upon the "content of any correction and apology, and the time, manner, form and place of publication."

jurisdiction based upon facts similar to those here, was misplaced. This was so, said the district court, because the Ninth Circuit was interpreting California's long-arm statute, which unlike CPLR 302 (a) (1), is ''coextensive with Federal Due Process'' standards for exercising personal jurisdiction (2006 WL 1096816, *5, 2006 US Dist LEXIS 23423, *19).

On appeal, the Second Circuit asked defendant whether he would commit to not seek enforcement of the English court's orders in the United States. In a letter to the court, defendant ''decline[d] to . . . waive . . . whatever rights he may have to seek enforcement of the damage award in a U.S. court.'' On June 8, 2007, the Second Circuit certified to us the above-quoted question. We now answer that question in the negative, concluding that CPLR 302 (a) (1) does not confer in personam jurisdiction over defendant.

II.

At the outset, it is important to emphasize that we are called upon to decide a narrow issue. The Second Circuit has not asked us to opine upon the propriety of English libel law or its differences from its United States and, particularly, New York State counterparts. And we decline to do so. Plaintiff and her amici argue that this case is about ''libel tourism,'' a phenomenon that they variously describe as the use of libel judgments procured in jurisdictions with claimant-friendly libel laws—and little or no connection to the author or purported libelous material—to chill free speech in the United States. However pernicious the effect of this practice may be, our duty here is to determine whether defendant's New York contacts establish a proper basis for jurisdiction under CPLR 302 (a) (1).[5] It is to that inquiry to which we now turn.

5. Plaintiff correctly notes that CPLR 302 (a) (2) and (3), as codified and subsequently amended, exempt from long-arm jurisdiction defamation actions against nondomiciliaries that are predicated upon statements made in or outside of New York. Because these provisions evince the Legislature's intent to protect nondomiciliaries' free speech rights (*see Best Van Lines, Inc. v Walker*, 490 F3d 239, 245 [2d Cir 2007], citing *Legros v Irving*, 38 AD2d 53, 55 [1st Dept 1971]), plaintiff claims that they lead to the conclusion that CPLR 302 (a) (1) must be interpreted to protect New Yorkers from the alleged chilling effect of foreign libel judgments. Plaintiff fails to explain, however, how our decision here would have any effect on the practice of libel law in England. And, in any event, our task is to interpret the New York statute as written. Thus, plaintiff's arguments regarding the enlargement of CPLR 302 (a) (1) to confer jurisdiction upon ''libel tourists'' must be directed to the Legislature.

Plaintiff claims that defendant has transacted business in New York because he purposefully projected himself into the state to further a ''foreign litigation scheme'' designed to chill her speech. Defendant counters that this alleged scheme consists of contacts that are insufficient bases for jurisdiction. He states that he has transacted no business here and that his communications and activities in New York were merely incidental to the prosecution of a foreign litigation. Because none of the contacts here establish that defendant purposefully availed himself of the privileges of and benefits of New York's laws, we agree with defendant (*compare e.g. Fischbarg v Doucet*, 9 NY3d 375, 382 [2007] [decided today] [purposeful availment requires a ''sustained and substantial transaction of business in New York,'' such as the solicitation and establishment of a continuing attorney-client relationship]).

Under CPLR 302 (a) (1) ''a court may exercise personal jurisdiction over any non-domiciliary,'' such as defendant, ''who in person or through an agent . . . transacts any business within the state'' if the cause of action asserted arises out of that transaction. To determine what constitutes a transaction of business we have been guided—as was the Legislature in enacting CPLR 302 (a) (1)—by U.S. Supreme Court opinions delineating proper bases for personal jurisdiction under the Federal Due Process Clause (*see e.g. Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443, 452, 458 [1965], citing, among other precedents, *International Shoe Co. v Washington*, 326 US 310, 316 [1945]). Thus, we have held that ''[t]he overriding criterion'' necessary to establish a transaction of business is ''some act by which the defendant purposefully avails itself of the privilege of conducting activities within [New York]'' (*McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377, 382 [1967], quoting *Hanson v Denckla*, 357 US 235, 253 [1958]; *accord Deutsche Bank Sec., Inc. v Montana Bd. of Invs.,* 7 NY3d 65, 71 [2006]). When a defendant engages in purposeful activity here, personal jurisdiction is proper because it has ''invok[ed] the benefits and protections of [our] laws'' (*George Reiner & Co. v Schwartz*, 41 NY2d 648, 652 [1977] [citation omitted]; *accord Matter of Sayeh R.*, 91 NY2d 306, 319 [1997] [''(R)espondent deliberately and affirmatively sought the protection of this State's laws, and thereby (was) rendered . . . amenable to our general long-arm jurisdiction'']) and thus ''should reasonably expect to defend its actions [ ]here'' (*Deutsche Bank*, 7 NY3d at 71, quoting *Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 466 [1988]).

Here, none of defendant's relevant New York contacts have invoked the privileges or protections of our State's laws.[6] Quite to the contrary, his communications in this state were intended to further his assertion of rights under the laws of England. As defendant points out—and plaintiff does not dispute—his prefiling demand letter and his service of documents were required under English procedural rules governing the prosecution of defamation actions. And in none of his letters to plaintiff did defendant seek to consummate a New York transaction or to invoke our State's laws (*compare e.g. Fischbarg*, 9 NY3d at 382-383 [CPLR 302 (a) (1) jurisdiction proper because ''defendants established a substantial ongoing professional commitment . . . governed by the laws of our state'']).

Accordingly, contrary to plaintiff's assertions, our decisions in *Parke-Bernet Galleries v Franklyn* (26 NY2d 13, 18 [1970] [defendant transacted business in New York by participating in and purchasing paintings from New York auctioneer via telephone]) and *Sayeh R.* (91 NY2d at 319 [long-arm jurisdiction proper because ''(r)espondent has repeatedly invoked the aid and protection of our courts (and) . . . enlisted the aid of local police'' to enforce a Florida court order]) do not support her position (*see also e.g. Deutsche Bank*, 7 NY3d at 72 [long-arm jurisdiction proper because ''sophisticated institutional trader knowingly enter(ed) our state . . . to negotiate and conclude a substantial transaction'']).

---

6. Plaintiff claims that defendant's prior ownership of two New York City condominiums, his previous indictment by a New York County grand jury in connection with an investigation into his activities as an executive of the Bank of Credit and Commerce International and his status as a defendant in several civil actions arising out of the September 11 terrorist attacks, which are currently pending in the United States District Court for the Southern District of New York, are proper bases for CPLR 302 (a) (1) jurisdiction. But these contacts are irrelevant to our analysis because plaintiff's declaratory judgment action arises not out of these acts, but out of defendant's activities related to the English judgment (*see Johnson v Ward*, 4 NY3d 516, 520 [2005] [''coincidental'' activities not related to cause of action are ''too insubstantial'' to support long-arm jurisdiction]).

Similarly flawed is plaintiff's assertion that defendant's ''monitoring her activities in New York,'' by, among other things, reviewing a recent paperback edition of Funding Evil published in the United States and surveying a Web site maintained by the New York-based American Center for Democracy (www.public-integrity.org), an organization in which plaintiff serves as director, supports CPLR 302 (a) (1) jurisdiction. In an age where information about many New Yorkers can be accessed by those outside our state through a simple ''Google'' search, we decline to find that such ''monitoring,'' without more, constitutes the transaction of business in New York under CPLR 302 (a) (1).

Moreover, plaintiff's reliance upon the Second Circuit's decision in *PDK Labs, Inc. v Friedlander* (103 F3d 1105 [2d Cir 1997]) is misplaced. There, the defendant, a promoter of weight-loss products, engaged a New York attorney to contact a New York corporation regarding an alleged infringement of his patents (*see id.* at 1107). In the course of his communications with the corporation, the attorney not only threatened to sue under Georgia law, he also ''solicit[ed] PDK's investment in [the defendant's] weight loss product'' (*id.* at 1109). It was this ''persistent campaign . . . to secure PDK's investment'' that, the court held, ''constitute[d] business transacted in New York under CPLR § 302 (a) (1)'' (*id.*). By contrast in *Beacon Enters., Inc. v Menzies* (715 F2d 757 [2d Cir 1983]), the Second Circuit held that the defendant's mailing of a ''cease and desist'' letter to the plaintiff in New York was not a sufficient predicate for long-arm jurisdiction (*see id.* at 766). The court reasoned that, ''[i]t is difficult to characterize [a] letter alleging infringement in an unspecified locale and threatening litigation in an unspecified forum as an activity invoking the 'benefits and protections' of New York law'' (*id.*). Confronted, as we are, with a demand letter sent by English solicitors requesting—among other things—''[a]n undertaking to the High Court in England'' not to repeat plaintiff's alleged defamatory statements as well as defendant's service of documents and other mailings related to the English action, we, too, conclude that the defendant has not purposefully availed himself of the laws of New York.[7]

Plaintiff urges us, however, to hold that defendant's refusal to waive whatever rights he may have to enforce the English judgment in New York, constitutes a purposeful availment of this state's laws. Indeed, according to her, the ''future New York contact'' of potential enforcement is ''crucial'' to finding jurisdiction over defendant. This is so, she says, because that judgment could only be enforced here, where she resides and works, and where all her assets are located. In addition, plaintiff claims that the ongoing threat of enforcement in New York has led her to decline publishing certain articles and to attempt to conform her writing to the standards of English libel law. Plaintiff also asserts that the alleged chill caused by the English judgment

7. Plaintiff's reliance upon defendant's posting of the result of the English action on his Web site also fails to establish purposeful availment (*see Best Van Lines*, 490 F3d at 253-254 [posting of defamatory comments on ''website accessible to readers in New York . . . d(oes) not constitute 'transact(ing) business' under section 302 (a) (1)'']).

has been felt by certain publishers who have accepted her work in the past, but decline to do so now for unspecified reasons, and by other authors engaged in the investigation of international terrorism whom she alleges must now tailor their writing to avoid foreign libel suits. Furthermore, plaintiff argues that the English judgment requires her to take action—issue an apology and prevent leakage of the allegedly defamatory statements into England and Wales—in New York. Because defendant purposefully filed the English action to cause these alleged New York effects, plaintiff argues that CPLR 302 (a) (1) jurisdiction is proper.

Our decision in *Ferrante Equip. Co. v Lasker-Goldman Corp.* (26 NY2d 280 [1970]) undercuts plaintiff's position. There, the appellant argued that ''although respondent's acts occurred in New Jersey, they had a substantial effect on the performance of [work in] New York and for that reason we should sustain jurisdiction under CPLR 302 [(a) (1)]'' (*id.* at 285). We concluded, however, that we could not do so ''because appellant has been unable to point to a single transaction of business by respondent in New York'' (*id.* at 284). In so holding we adopted the Appellate Division's reasoning that ''[t]he mere receipt by a nonresident of a benefit or profit from a contract performed by others in New York is clearly not an act by the recipient in this State sufficient to confer jurisdiction under our long-arm statute'' (*id.* at 285, quoting 31 AD2d 355, 356 [1st Dept 1969]). Here, as in *Ferrante*, the alleged effects of threatened enforcement of the English judgment may benefit defendant by chilling plaintiff's speech, but those effects do not arise from his invocation of the privileges and benefits of our State's laws. Rather, they arise from an English remedy and plaintiff's unilateral activities in New York (*see Ferrante*, 26 NY2d at 285). As such, those effects do not form a proper basis for CPLR 302 (a) (1) jurisdiction.

III.

Finding little support in our precedents, plaintiff next asks us to adopt the holding of the Ninth Circuit in *Yahoo! Inc. v La Ligue Contre Le Racisme Et L'Antisemitisme* (433 F3d 1199 [2006]). The facts are, indeed, similar to those present here. In *Yahoo!*, two French civil rights groups obtained French court orders that required a California-based Internet service provider to prevent users of its French Web site from accessing certain Web pages associated with Nazism (*see id.* at 1202-1204). By the terms of those orders, Yahoo! was required to alter its servers, located in California, under threat of a substantial monetary penalty. Yahoo! then sued the French groups in federal court in California, seeking a declaratory judgment that the French orders were not enforceable or recognizable in the United States based, in part, upon their interference with Yahoo!'s First Amendment rights. Affirming the federal district court, a majority of the en banc panel ruled that exercising in personam jurisdiction over the French groups was proper.[8]

The critical distinction between *Yahoo!* and the present case, however, is that the California long-arm statute applicable there is ''coextensive with federal due process requirements'' and thus ''the jurisdictional analyses under state law and federal due process are the same'' (433 F3d at 1205; *compare* CPLR 302 [a] [1], *with* Cal Civ Proc Code § 410.10 [''A court of this state may exercise jurisdiction on any basis not inconsistent with the Constitution of this state or of the United States'']). By contrast, we have repeatedly recognized that New York's long-arm statute ''does not confer jurisdiction in every case where it is constitutionally permissible'' (*Kreutter*, 71 NY2d at 471; *accord Talbot v Johnson Newspaper Corp.*, 71 NY2d 827, 828 [1988]). ''Thus, a situation can occur in which the necessary contacts to satisfy due process are present, but in personam jurisdiction will not be obtained in this State because the statute does not authorize it'' (*Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65, 71 [1984]). The Ninth Circuit's analysis in *Yahoo!* confirms that this is just such a situation.

Utilizing the ''effects test'' announced by the United States Supreme Court in *Calder v Jones* (465 US 783 [1984]) the Ninth Circuit majority held that by virtue of obtaining the French orders, the civil rights groups had ''(1) committed an intentional act, (2) expressly aimed at the forum state, (3) causing harm that the defendant knows is likely to be suffered in the forum state'' (*Yahoo!*, 433 F3d at 1206). Because CPLR 302 (a) (3) expressly provides for jurisdiction in cases where—in contrast to transacting business in New York—a defendant ''commits a

---

8. Although eight Ninth Circuit judges found personal jurisdiction over the French civil rights groups, *Yahoo!* was ultimately dismissed on the merits. This was because six judges, sitting on the 11-member panel, voted to dismiss the case for lack of personal jurisdiction and ripeness, respectively (*see* 433 F3d at 1224 [''When the votes of the three judges who conclude that the suit is unripe are combined with the votes of the three dissenting judges who conclude that there is no personal jurisdiction . . . there are six votes to dismiss'']).

tortious act without the state causing injury to person or property within the state,'' use of such an effects test here ''would be an unwarranted extension of [section 302 (a) (1)] and a usurpation of a function more properly belonging to the Legislature'' (*Ferrante*, 26 NY2d at 285-286 [rejecting attempt to ''superimpose'' the language of CPLR 302 (a) (3) onto section 302 (a) (1) based upon New York effect of breach of contract]). Our Legislature, unlike California's, has seen fit to confer jurisdiction in a limited subset of cases concerning nondomiciliaries. And, as we have in the past, we continue to adhere to that express mandate here.[9]

IV.

Accordingly, the certified question should be answered in the negative.[10]

Chief Judge KAYE and Judges GRAFFEO, READ, PIGOTT and JONES concur; Judge SMITH taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

---

9. Plaintiff's assertion that our prior reliance upon U.S. Supreme Court due process precedents when interpreting CPLR 302 (a) (1) should lead to adoption of *Yahoo!*'s holding here is unavailing. Indeed, as one member of the en banc panel opined:

> ''The Supreme Court has never approved such a radical extension of personal jurisdiction as would sanction the majority's holding that, by litigating a bona fide claim in a foreign court and receiving a favorable judgment, a foreign party automatically assents to being haled into court in the other litigant's home forum'' (*Yahoo!*, 433 F3d at 1229 [O'Scannlain, J., concurring]; *see also id.* at 1231 [concluding that district court lacked personal jurisdiction because the French groups' ''actions and contacts with . . . California were, at most, incidental to the legitimate exercise of their rights under French law'']).

10. Because we conclude that defendant has not transacted business in New York, it is unnecessary to reach the second prong of CPLR 302 (a) (1), whether plaintiff's declaratory judgment ''action aris[es] out of defendant's'' alleged New York contacts.

[881 NE2d 204, 851 NYS2d 108]

LOUIS S. EDERER, Respondent, v STEVEN R. GURSKY et al., Appellants.

Argued November 15, 2007; decided December 20, 2007

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 5, 2006. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Richard B. Lowe, III, J.), that had denied defendants' motion for an order dismissing the complaint as to defendants Steven R. Gursky, Mitchell B. Stern, Martin Feinberg, and Michael A. Levine. The following question was certified by the Appellate Division: ''Was the order of Supreme Court, as affirmed by this Court, properly made?''

Ederer v Gursky, 35 AD3d 166, affirmed.

HEADNOTE

Partnership — Individual Liability of Partners — Limited Liability Partnership

In an action brought by plaintiff, a former member of defendant limited liability partnership, seeking an accounting and asserting breaches of certain agreements regarding compensation owed to plaintiff, the individual partner defendants were not shielded from personal liability by Partnership Law § 26 (b). A general partner in a registered limited liability partnership is not shielded from personal liability for breaches of the partnership's or the partners' obligations to each other. Partnership Law § 26 (b) eliminates the liability of a partner in a limited liability partnership for ''any debts'' owed to a third party, but not for debts owed to another partner.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Partnership §§ 910–916.
MCKINNEY'S, Partnership Law § 26 (b).
NY JUR 2d, Business Relationships §§ 1707–1711, 1716, 2270, 2275.

ANNOTATION REFERENCE

See ALR Index under Limited Partnerships; Partners and Partnerships.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: general /2 partner /s limited /2 liability & withdrawal

POINTS OF COUNSEL

Dreier LLP, New York City (*Ira S. Sacks, Mark S. Lafayette* and *Melanie J. Sacks* of counsel), for appellants. I. The order eviscerates the law of limited liability. (*Dawson v White & Case,* 88 NY2d 666; *Lewis v Rosenfeld,* 138 F Supp 2d 466; *We're Assoc. Co. v Cohen, Stracher & Bloom,* 65 NY2d 148; *Schuman v Gallet, Dreyer & Berkey,* 180 Misc 2d 485, 280 AD2d 310; *431 Conklin Corp. v Rice,* 181 AD2d 716; *Matter of Whitley v Klauber,* 51 NY2d 555; *Lichtman v Estrin,* 282 AD2d 326; *Connell v Hayden,* 83 AD2d 30; *Schnapp, Hochberg & Sommers v Nislow,* 106 Misc 2d 194; *Brito v DILP Corp.,* 282 AD2d 320.) II. The order failed to properly distinguish between the duty to account and personal liability for debts disclosed by the accounting. (*Dawson v White & Case,* 88 NY2d 666.) III. The order improperly held that the individual LLP partners may be personally liable for contractual debts of the LLP. (*Lewis v Rosenfeld,* 138 F Supp 2d 466; *Regency Found. v Robson,* 14 Misc 3d 1209[A], 2006 NY Slip Op 52464[U]; *Mantell v Samuelson,* 4 Misc 3d 134[A], 2004 NY Slip Op 50765[U]; *Matter of Joachim v Flanzig,* 3 Misc 3d 371; *Institute of Physical Medicine & Rehabilitation v Country-Wide Ins. Co.,* 193 Misc 2d 803; *F & M Precise Metals, Inc. v Goodman,* 4 Misc 3d 1023; *We're Assoc. Co. v Cohen, Stracher & Bloom,* 65 NY2d 148; *Lichtman v Estrin,* 282 AD2d 326; *Schnapp, Hochberg & Sommers v Nislow,* 106 Misc 2d 194; *Polymer Trading v CIC-Union Europeenne et Cie,* 225 AD2d 482.)

Cowan, Liebowitz & Latman, P.C., New York City (*J. Christopher Jensen* and *Maryann Penney* of counsel), for respondent. Defendants-appellants are not shielded by Partnership Law § 26 (b) from their fiduciary duty to account to a withdrawing partner for his interest in the partnership. (*Karrick v Hannaman*, 168 US 328; *Dawson v White & Case,* 88 NY2d 666; *Shubert v Lawrence,* 27 AD2d 292; *Adam v Cutner & Rathkofp,* 238 AD2d 234; *Londin v Carro, Spanbock, Londin, Fass & Geller,* 124 Misc 2d 1013; *Mudge Rose Guthrie Alexander & Ferdon v Pickett,* 11 F Supp 2d 449; *We're Assoc. Co. v Cohen, Stracher & Bloom,* 65 NY2d 148; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.,* 2 NY3d 524; *Matter of Board of Educ. of City of N.Y. v Allen,* 6 NY2d 127; *Conolly v Thuillez,* 6 Misc 3d 1007[A], 2005 NY Slip Op 50003[U].)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to explore the nature and scope of Partnership Law § 26 (b). We hold that this provision does not shield a general partner in a registered limited liability partnership from personal liability for breaches of the partnership's or partners' obligations to each other.

I.

The relationship that deteriorated into this acrimonious dispute began promisingly enough in 1998 when plaintiff Louis Ederer affiliated with the law firm of Gursky & Associates, P.C., which promptly changed its name to Gursky & Ederer, P.C. (the PC). Ederer joined the PC as a salaried, nonequity contract partner, but he had an understanding with defendant Steven R. Gursky, the PC's sole shareholder, that if their practice developed as anticipated, he would become a full equity partner in about two years' time.

Right on schedule, in May 2000 Gursky orally agreed to increase Ederer's annual compensation by about 17% and to make him a 30% shareholder in the PC as of July 1, the beginning of the PC's fiscal year. Ederer committed to purchase his 30% interest for $600,000, to be paid for by Gursky's taking an additional $150,000 from the PC's yearly distributions for each of the following four years.[1] Finally, Gursky agreed that when the PC took on additional partners, his 70% equity interest would be diluted up to 25% before Ederer's 30% interest was reduced.

In February 2001, the PC became a registered limited liability partnership known as Gursky & Ederer, LLP (the LLP). Significantly, there was no written partnership agreement. The LLP began billing all new legal services, while the PC billed and

---

1. We recognize that defendants strenuously deny that Ederer was ever a shareholder in the PC. They characterize the $600,000 as a payment to be made by Ederer in exchange for the right to receive 30% of the PC's profits as a bonus going forward, which was not in any way ''attributable to goodwill associated with'' the PC. For his part, Ederer has consistently taken the position that purchasing a 30% interest in the PC's future profits was effectively the same thing as purchasing an interest in all the PC's assets, ''including most importantly'' its goodwill. In any event, Supreme Court determined that Ederer, in fact, became a 30% equity shareholder in the PC in 2000. The Appellate Division affirmed Supreme Court without disturbing this factual finding, which, having support in the record, is beyond our review (*see e.g. Cannon v Putnam*, 76 NY2d 644, 651 [1990]).

collected work-in-process and preexisting accounts receivable, and loaned money to the LLP to fund its start-up. In July 2001, the LLP admitted three new partners, defendants Mitchell B. Stern, Martin Feinberg and Michael A. Levine. They collectively acquired a 15% interest in the LLP, leaving Gursky with a 55% interest while Ederer retained his 30% interest.

Ederer received his 30% share of the PC's profits for the fiscal years ending June 30, 2001 and June 30, 2002, less the $150,000 owed to Gursky each year. In 2002, both Ederer and Gursky loaned the PC a portion of their respective shares of the PC's profits. Sometime prior to June 30, 2003, the LLP assumed these loans in exchange for the furniture, fixtures and equipment that it acquired from the PC.

In July 2002, the LLP increased Ederer's annual compensation by about 28%. Gursky also agreed to forgive the remaining $300,000 owed by Ederer for the purchase of his 30% equity interest. Ederer characterizes this gesture as an acknowledgment of his major contributions to the firm's revenue growth; Gursky, as a concession made solely upon Ederer's assurances that he was committed to remaining with the LLP to assure its long-term success.

In June 2003, Ederer advised Gursky that he was withdrawing as a partner in the LLP and a shareholder in the PC. Ederer chalks up his decision to a severe falling out with Gursky in early 2003 over the representation of a firm client. Gursky retorts that Ederer left because the LLP was cash-strapped and unprofitable, and blames him in no small part for this purported state of affairs.

On June 26, 2003, Ederer entered into a withdrawal agreement with the PC and the LLP, which Gursky signed as president of the PC and a partner in the LLP. Under this agreement, Ederer agreed to remain a partner in the LLP so as to serve as lead counsel for a trial scheduled to commence in Georgia on June 30, 2003, although he was not obligated to delay his withdrawal from the LLP beyond July 8. In exchange, the LLP agreed to "continue to pay [Ederer his] regular draw and other compensation through the date of [his] withdrawal from the [LLP]"; to have files on which he was working transferred to his new firm upon the client's request; to give him the opportunity to review his clients' bills before the LLP asked for payment; and to allow him and/or his representatives (including accountants) access to the LLP's and PC's books and records after his withdrawal from the LLP.

The PC was dissolved on June 30, 2003, although formal dissolution papers were not filed with the Secretary of State until March 2004. Ederer withdrew from the LLP on or about July 4, 2003 after having helped secure a $2 million verdict in the Georgia trial, which generated a $600,000 contingency fee for the LLP. After Ederer's departure, the LLP continued in business under the name Gursky & Partners, LLP until March 1, 2005, when it ceased operations.

In December 2003, Ederer commenced this action against the PC, the LLP, Gursky & Partners, LLP, and Gursky, Stern, Feinberg and Levine, seeking an accounting and asserting breach of the withdrawal agreement. In his amended verified complaint dated November 1, 2005, Ederer sought an accounting of his interest in the PC (the first cause of action) and the LLP (the second cause of action), and asserted causes of action for breach of contract relating to Gursky's May 2000 oral agreement to pay him 30% of the PC's profits (the third cause of action), the June 2003 written agreement to pay him for the two weeks he tried the Georgia case for the LLP (the fourth cause of action), and the unpaid portion of his loan to the PC in 2002 (the fifth cause of action).

In their verified answer dated November 7, 2005, defendants denied the gravamen of Ederer's complaint; and interposed numerous affirmative defenses as well as counterclaims sounding in breach of fiduciary duty, conversion, tortious interference with contractual relations, fraud and deceit and fraudulent inducement, breach of contract, and unjust enrichment. Defendants also counterclaimed for a declaration that the withdrawal agreement was void because entered into under the duress of Ederer's alleged threat not to try the case in Georgia.

On November 7, 2005, defendants moved to dismiss the complaint as to defendants Gursky, Stern, Feinberg and Levine; to dismiss the first and second causes of action for an accounting and the third cause of action for breach of contract (the May 2000 oral agreement), or, in the alternative, for summary judgment in favor of all defendants upon these causes of action; and/or for summary judgment in favor of defendants "providing that goodwill should not be valued in connection with an accounting of the affairs of [the PC] and/or [the LLP]." As relevant to this appeal, defendants argued that Ederer's complaint set forth no cognizable causes of action upon which relief could be granted against the individual defendants because Partnership Law § 26 (b) shielded them from any personal liability.

On November 30, 2005, Ederer opposed defendants' motion and cross-moved for partial summary judgment on liability on his first and second causes of action for an accounting, and his third, fourth and fifth causes of action for breach of contract. He asked Supreme Court to direct that a trial be held on damages with respect to the accounting; and requested summary judgment dismissing defendants' counterclaims.

Supreme Court determined that Ederer was entitled to an accounting against all defendants because Partnership Law § 26, which places limits on the personal liability of partners in an LLP, applies ''to debts of the partnership or the partners to third parties'' and ''has nothing to do with a partner's fiduciary obligation to account to his partners for the assets of the partnership.'' The trial court also rejected defendants' argument that ''an accounting of Ederer's interest in [the PC] should not be allowed both because [he] was not a shareholder in the P.C., and because the P.C. had effectively transferred all of its remaining assets to the LLP as of the date of [his] withdrawal from the firm, rendering the accounting of the P.C. duplicative.'' The court determined that, ''[b]ecause of confusion of the location of the firm's assets at the time Ederer left the firm, in order for the accounting of [his] interest to be complete, it must necessarily include an accounting of the firm's assets taken by Gursky from the P.C., as well as an accounting of Ederer's partnership in the LLP.''

In sum, Supreme Court denied defendants' motions in all respects; granted so much of Ederer's cross motion as sought to dismiss defendants' counterclaims for fraud, breach of contract, a declaration that the withdrawal agreement was void, and unjust enrichment, but concluded that there were triable issues of fact precluding dismissal of defendants' counterclaims for breach of fiduciary duty, conversion, and tortious interference with contractual relations; declared the withdrawal agreement valid and enforceable; granted so much of the cross motion as sought partial summary judgment for an accounting against all defendants; and referred the issue of the accounting of the PC and the LLP to a special referee to hear and report with recommendations, or, upon stipulation of the parties, for the special referee or another referee designated by the parties to determine the issue. The trial court further ordered the motion to be held in abeyance pending receipt of the special referee's report and recommendations and a motion under CPLR 4403, or receipt of a determination; and directed the remainder of the action to continue. Defendants appealed.

The Appellate Division affirmed Supreme Court's order on December 5, 2006, concluding that

> "Partnership Law § 26 (b), limiting the liability of partners of a limited liability partnership, does not exempt . . . partners from their individual obligations to account to a withdrawing partner under the earlier enacted and unamended Partnership Law § 74 (Rich, Practice Commentaries, McKinney's Cons Law of NY, Book 38, Partnership Law art 8-B, at 426; *compare* Partnership Law § 40 [1], [2]; § 71 [d])," and "does not exempt the individual defendants from liability to plaintiff for breaches of firm-related agreements between them" (*Ederer v Gursky*, 35 AD3d 166, 166-167 [1st Dept 2006]).

Although individual defendants argued that they had not entered into any agreements with Ederer,

> "it appears that the assets of the PC, with which [Ederer] entered into three agreements, were transferred to the successor LLP, in which all of the individual defendants were partners. The nature and value of the PC's assets, and [Ederer's] interest therein, will be determined in the accounting, and to the extent any of the defendants are in possession of those assets, they may be obliged to pay them over to [Ederer]" (*id.* at 167).

Defendants subsequently moved in the Appellate Division for leave to appeal to this Court. On March 20, 2007, the Appellate Division granted defendants' motion and certified the following question to us: "Was the order of Supreme Court, as affirmed by this Court, properly made?" Defendants limited the appeal to this Court to challenging so much of the Appellate Division order as affirmed Supreme Court's denial of the individual defendants' motion for summary judgment. To the extent appealed from, as limited by defendants' brief, we now affirm, answering the certified question in the affirmative.

II.

This appeal comes down to a dispute over the effect of the Legislature's 1994 amendments to section 26 of the Partnership Law (L 1994, ch 576, § 8). As originally adopted by the Legislature in 1919 (L 1919, ch 408), section 26 was identical to section 15 of the Uniform Partnership Act (UPA), which was drafted by the National Conference of Commissioners on

Uniform State Laws and approved by the Conference in 1914.[2] Prior to its amendment in 1994, section 26 provided that

"[a]ll partners are liable

"1. Jointly and severally for everything chargeable to the partnership under sections twenty-four and twenty-five.

"2. Jointly for all other debts and obligations of the partnership; but any partner may enter into a separate obligation to perform a partnership contract."

Section 24 specifies that

> "[w]here, by any wrongful act or omission of any partner acting in the ordinary course of the business of the partnership, or with the authority of his copartners, loss or injury is caused to any person, not being a partner in the partnership, or any penalty is incurred, the partnership is liable therefor to the same extent as the partner so acting or omitting to act."

Section 25 binds the partnership to "make good the loss"

> "1. Where one partner acting within the scope of his apparent authority receives money or property of a third person and misapplies it; and
>
> "2. Where the partnership in the course of its business receives money or property of a third person and the money or property so received is misapplied by any partner while it is in the custody of the partnership."

Partnership Law § 26, as originally enacted, and its prototype, section 15 of the UPA, have always been understood to mean what they plainly say: general partners are jointly and severally

---

2. The UPA (1914), which governed general partnerships and limited partnerships except where the limited partnership statute was inconsistent, was adopted in every state except Louisiana, and was "the subject of remarkably few amendments in those states" (*see* Prefatory Note to Uniform Partnership Act [1997]). The Conference did not set out to revise the UPA until the 1980s, resulting in a Revised Uniform Partnership Act (RUPA), adopted in 1992, which was amended and restyled the Uniform Partnership Act (1993). Subsequently, another round of changes was incorporated, and the Conference adopted the Uniform Partnership Act (1994). Finally, the Conference added provisions "authorizing the creation of a new form of general partnership called a limited liability partnership (LLP)," which became part of the Uniform Partnership Act (1997) (also referred to as RUPA) (Prefatory Note Addendum). By that time, more than 40 states, including New York, had already amended their general partnership statutes to add limited liability partnership provisions (*id.*).

liable to nonpartner creditors for all wrongful acts and breaches of trust committed by their partners in carrying out the partnership's business, and jointly liable for all other debts to third parties. This proposition follows naturally from the very nature of a partnership, which is based on the law of principal and agent. Just as a principal is liable for the acts of its agents, each partner is personally responsible for the acts of other partners in the ordinary course of the partnership's business. In addition to this vicarious liability to nonpartner creditors, each partner concomitantly has an obligation to share or bear the losses of the partnership through contribution and indemnification in the context of an ongoing partnership (*see* Partnership Law § 40 [1], [2] as originally enacted, which is identical to section 18 [a] and [b] of the UPA); and contribution upon dissolution and winding up (*see* Partnership Law § 65 as originally enacted, which is identical to section 34 of the UPA; Partnership Law § 71 [d] as originally enacted, which is identical to section 40 [d] of the UPA).

The nationwide initiative to create a new business entity combining the flexibility of a partnership without the onus of this traditional vicarious liability originated with a law adopted

> ''in Texas in 1991, following the savings and loan crisis. At that time, a number of legal and accounting firms faced potentially ruinous judgments arising out of their professional services for banks and thrifts which thereafter failed. Because these professional firms were typically organized as general partnerships, this liability also threatened the personal assets of their constituent partners. The Texas LLP statute protected such partners (at least prospectively) from this unlimited personal exposure without requiring a reorganization of their business structure'' (Walker, New York Limited Liability Companies and Partnerships: A Guide to Law and Practice § 14:3, at 344-345 [1 West's NY Prac Series 2002]; *see also* Fortney, *Seeking Shelter in the Minefield of Unintended Consequences—The Traps of Limited Liability Law Firms*, 54 Wash & Lee L Rev 717, 724 [1997] [noting that following the failure of a number of Texas financial institutions, regulators sued these institutions' professional advisers, including attorneys, for damages far exceeding their law firms' insurance coverage; and that because

> "(a)ttorneys could not fathom the possibility of their personal, nonexempt assets being subject to execution for judgment arising from their partners' malpractice," they were "spurred (to seek) legislative changes to limit their vicarious liability"]; Keatinge et al., *Limited Liability Partnerships: The Next Step in the Evolution of the Unincorporated Business Organization*, 51 Bus Law 147, 174 [1995] ["The principal impetus in the enactment of (limited liability partnership) legislation has been the limitation of vicarious liability to third parties"]).

In New York, the Legislature enacted limited liability partnership legislation as a rider to the New York Limited Liability Company Law (*see* Walker § 14:2, at 344). This legislation eliminated the vicarious liability of a general partner in a registered limited liability partnership by amending section 26 of the Partnership Law, and making conforming changes to sections 40 (1), (2), 65 and 71 (d). Specifically, new section 26 (b) creates an exception to the vicarious liability otherwise applicable by virtue of section 26 (a) (original section 26 [section 15 of the UPA]), by providing that

> "[e]xcept as provided by subdivisions (c) and (d) of this section, no partner of a partnership which is a registered limited liability partnership is liable or accountable, directly or indirectly (including by way of indemnification, contribution or otherwise), for any debts, obligations or liabilities of, or chargeable to, the registered limited liability partnership or each other, whether arising in tort, contract or otherwise, which are incurred, created or assumed by such partnership while such partnership is a registered limited liability partnership, solely by reason of being such a partner."

Section 26 (c) excludes from section 26 (b)'s liability shield "any negligent or wrongful act or misconduct committed by [a partner] or by any person under his or her direct supervision and control while rendering professional services on behalf of [the] registered limited liability partnership." Section 26 (d) allows partners to opt out from or reduce the reach of section 26 (b)'s protection from vicarious liability.

As one commentator has noted, by "expressly provid[ing] that limited liability includes liability by way of indemnification or contribution," section 26 (b) precludes the potential for a plaintiff to ''attempt an end-run around the liability shield of [section 26 (b)] by first asserting a claim against the [limited liability partnership] and then arguing that the general partnership statute requires the [limited liability partnership] partners to make contributions to the [limited liability partnership]'' (Johnson, *Limited Liability for Lawyers: General Partners Need Not Apply*, 51 Bus Law 85, 110 [1995]). The Legislature further expressed its intention to negate a partner's indemnification or contribution obligations with respect to liabilities for which the partner was not vicariously liable by making sections 40 (1), (2), 65 and 71 (d) subject to section 26 (b).

Defendants point out that section 26 (b) eliminates the liability of a partner in a limited liability partnership for ''any debts'' without distinguishing between debts owed to a third party or to the partnership or each other. As a result, they contend, the Legislature did not ''leave open to conjecture whether § 26 (b) was intended to cover debts which may be owed by the [limited liability partnership] (or one partner) to other partners.'' This argument ignores, however, that the phrase ''any debts'' is part of a provision (section 26) that has always governed only a partner's liability to third parties, and, in fact, is part of article 3 of the Partnership Law (''Relations of Partners to Persons Dealing with the Partnership''), not article 4 (''Relations of Partners to One Another''). The logical inference, therefore, is that ''any debts'' refers to any debts owed a third party, absent very clear legislative direction to the contrary.

Defendants also note that chapter 576's legislative history illustrates the desire to enact liability protection for partners in limited liability partnerships that is ''the same as that accorded to shareholders of a professional corporation organized under the [Business Corporation Law] [and] as that accorded to members of a professional LLC'' (Senate Introducer Mem in Support, Bill Jacket, L 1994, ch 576). They point out that ''the legislative history of the LLP Act plainly indicates that the Legislature intended to provide an <u>even greater shield</u> of individual liability to partners in LLPs than that enacted by other states as of the date of the legislation.''

These observations are correct, but do not advance defendants' cause. Chapter 576 does, in fact, afford limited liability partners the same protection from third-party claims as New York law provides shareholders in professional corporations or professional limited liability companies. And unlike New York, most states ‘‘have adopted a partial liability shield protecting the partners only from vicarious personal liability for all partnership obligations arising from negligence, wrongful acts or misconduct, whether characterized as tort, contract or otherwise, committed while the partnership is an LLP’’ (*see* Prefatory Note Addendum to Uniform Partnership Act [1997] [explaining that RUPA, by contrast, ‘‘provid(es) for a corporate-styled liability shield which protects partners from vicarious personal liability for all partnership obligations incurred while a partnership is a limited liability partnership’’]; *see also* Walker § 14:5, at 346 [‘‘The type of LLP generally permitted by the states (other than Minnesota and New York) . . . offers less insulation against personal liability than many other types of organization’’]). Nowhere in the voluminous commentary on limited liability partnerships has anyone suggested that New York (or any other state) has adopted a statute expanding the concept of limited liability in the way asserted by defendants.

Next, defendants make two arguments in their attempt to reconcile their interpretation of section 26 (b) with Partnership Law § 74, which gives a partner ‘‘[t]he right to an account of his interest . . . as against the winding up partners or the surviving partners or the person or partnership continuing the business, at the date of dissolution, in the absence of agreement to the contrary’’ (*see also* Partnership Law § 43, which is identical to section 21 of the UPA [*see* Uniform Partnership Act (1914) § 21, Comment, 6 ULA (part II) 194 (indicating that the words ‘‘and hold as trustee for the partnership any profits’’ were meant to ‘‘indicate clearly that the partnership can claim as their own any property or money that can be traced’’ in a situation where a specific sum of partnership money or property is in the hands of an insolvent partner)]). First, they argue that their fiduciary duty as partners to account to one another ‘‘is not the same as personal liability for the debts disclosed by the accounting.’’ But the remedy of accounting is restitutionary by definition (*see* Eichengrun, *Remedying the Remedy of Accounting*, 60 Ind LJ 463, 463 [1984-1985] [in an accounting, ‘‘(t)he plaintiff must establish some basis for the obligation to account, the defendant is ordered to account, and the plaintiff then gets an order directing payment of the sum of money found due’’]; *see also* Belsheim, *The Old Action of Account*, 45 Harv L Rev 466 [1931-1932]). Second, defendants claim that a partner is only personally liable for debts disclosed in an accounting which are attributable to that partner’s own torts or wrongful conduct or supervisory lapses, as excluded by Partnership Law § 26 (c) from the protection of section 26 (b). If the Legislature had intended to qualify section 74 in this manner, however, it surely would have explicitly made section 74 subject to sections 26 (b) and/or 26 (c). It did not do so for the same reason that defendants' arguments fail generally: section 26 (b) only addresses a partner's vicarious liability for partnership obligations.

In closing, we emphasize that the law of partnerships contemplates a written agreement among partners specifying the terms of their relationship. The Partnership Law's provisions are, for the most part, default requirements that come into play in the absence of an agreement. For example, the right to an accounting exists, ''absen[t an] agreement to the contrary'' (Partnership Law § 74). Partners might agree, as among themselves, to limit the right to contribution or indemnification or to exclude it altogether. In this case, however, there was no written partnership agreement; therefore, the provisions of the Partnership Law govern.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question should be answered in the affirmative.

SMITH, J. (dissenting). The text of Partnership Law § 26 (b) seems clear to me: ''no partner of a partnership which is a registered limited liability partnership is liable . . . for any debts, obligations or liabilities of . . . the registered limited liability partnership . . . whether arising in tort, contract or otherwise.'' The statute contains two specific exceptions, applicable when a partner acts wrongfully or when partners agree to vary the liability scheme (Partnership Law § 26 [c], [d]), but there is no exception for liabilities to former partners claiming a share of the partnership's net assets. We should not create an exception that the Legislature did not (*see We're Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148, 151 [1985]). The majority draws a distinction between liability to ''third parties'' and liabilities to former partners (majority op at 524)—but a *former* partner is a third party where the partnership is concerned, and there is no good reason to treat him more favorably than any other third party.

No one suggests that section 26 (b) exempts partners from any of their fiduciary duties; if a partner has diverted partnership funds to himself, or otherwise received more than his fair share, he will not escape liability and his former partners, as well as his existing partners, will be made whole. The issue is whether a former partner claiming his partnership share may reach the personal assets of partners who are no more blameworthy, and have no more been unjustly enriched, than he has.

I can think of two situations in which this issue may be important. First, without any fault by any partner, the business of the partnership may go badly after a partner withdraws from the firm but before he is paid his share, leaving the firm without enough assets to satisfy his claim. (This is apparently what happened here.) Secondly, the partnership's insolvency may result from the fault of a partner who is himself insolvent; in that case, the question is whether the former partner can proceed against the innocent remaining partners.

In the first case, there is no apparent reason why a former partner should be allowed to collect his debt when other third-party creditors may not; in fact, the Partnership Law provides in another context that debts to nonpartners have a preferred status (Partnership Law § 71 [b]). In the second case, the rule adopted by the majority can produce even more clearly perverse results. Take an extreme example: Suppose there are three partners, two with a 49% interest each and one with a 2% interest. One of the 49% partners withdraws, and is entitled to 49% of the firm's assets. Before he can be paid, however, it is found that the other 49% partner has stolen all of those assets, lost them at a casino and gone bankrupt. Why should the innocent 2% partner have to make good the former partner's large loss?

If the Gursky & Ederer firm had remained a professional corporation, instead of turning itself into a limited liability partnership, the result in this case would not be in question: the individual shareholders of the corporation would not be liable for its obligation to Ederer. I do not see why the partners of an LLP should have an obligation that the shareholders of a PC do not, and I therefore dissent.

Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge SMITH dissents in a separate opinion in which Chief Judge KAYE concurs.

Order, insofar as appealed from, affirmed, etc.

[Next page is 801.]